Maybank

REIMAGINING

Humanising Financial Services

Through Values-Based Offerings

ANNUAL REPORT 2025
FINANCIAL STATEMENTS

INSIDE THIS REPORT



OUR PERFORMANCE

1 Highlights of 2025
2 How We Distribute Value Created
3 Financial Performance
4 Five-Year Group Financial Summary
5 Simplified Group Statements of Financial Position
5 Group Quarterly Financial Performance
6 Key Interest Bearing Assets and Liabilities
6 Statement of Value Added
6 Distribution of Value Added
7 Segmental Information

THE FINANCIALS

9 Statement of Directors' Responsibilities
10 Analysis of Financial Statements
14 Financial Statements
301 Financial Data for Shariah Screening Disclosure

66th ANNUAL GENERAL MEETING

To be held physically and broadcasted live from:

Ballroom, Level 3, Malaysia International Trade
and Exhibition Centre (MITEC), Kompleks MITEC
No. 8, Jalan Dutamas 2
50480 Kuala Lumpur, Malaysia

Date and time:

Thursday, 30 April 2026
10.00 a.m.

HIGHLIGHTS OF 2025

DELIVERED SOLID FINANCIAL GROWTH

Total Assets
RM1.05 trillion
(FY2024: RM1.08 trillion)

Record Net Profit
RM10.51 billion
(FY2024: RM10.09 billion)

Return on Equity
11.7%
(FY2024: 11.1%)

Earnings per Share
87.1 sen
(FY2024: 83.6 sen)

Group CET1 Capital Ratio*
15.13%
(FY2024: 14.90%)
* Post second interim dividend

Total Dividend per Share
63.0 sen
(FY2024: 61.0 sen)

Dividend Payout Ratio
72.4%
(FY2024: 73.0%)

Dividend Yield
6.0%
(FY2024: 6.0%)

STRATEGIC GROWTH ACROSS SEGMENTS

Reinforced Maybank's commitment in driving economic growth by facilitating over RM15 billion in financing and investments into Johor-Singapore Special Economic Zone ("JS-SEZ").

Scaled regional Islamic wealth management proposition across home markets, resulting in an increase of 12.6% YoY in Islamic wealth fees to RM252.04 million.

Expanded global market FX sales with Malaysia's wealth and SME income and volume increasing by 3.3% and 10.9% year-on-year ("YoY"), respectively.

Boosted market penetration in high growth mid-market segments, achieving 8.3% YoY growth in mid-market loans in Malaysia.

REDEFINED DIGITAL EXPERIENCE

Enriched regional banking experience with the new multi-currency Global Access via MAE app, offering real-time exchange rates for 18 currencies and zero conversion fees.

Elevated the branch experience with the launch of next-gen Bangsar South branch, a digitally enhanced touchpoint delivering smarter and faster banking.

Enabled convenient digital trading experience, allowing customers to trade globally, access holdings and convert currencies seamlessly within the Maybank Trade app.

Delivered seamless connectivity and facilitated 3.88 billion digital transactions.

Relentless focus on customer-centricity leading to a **commendable Net Promoter Score** of **+44** (2024: +43).

POSITIVELY IMPACTING THE SOCIETY WE SERVE

Accelerated regional decarbonisation by improving physical emission intensity ("PEI") across six key sectors - palm oil, power, aluminium, steel, commercial real estate and automotive.

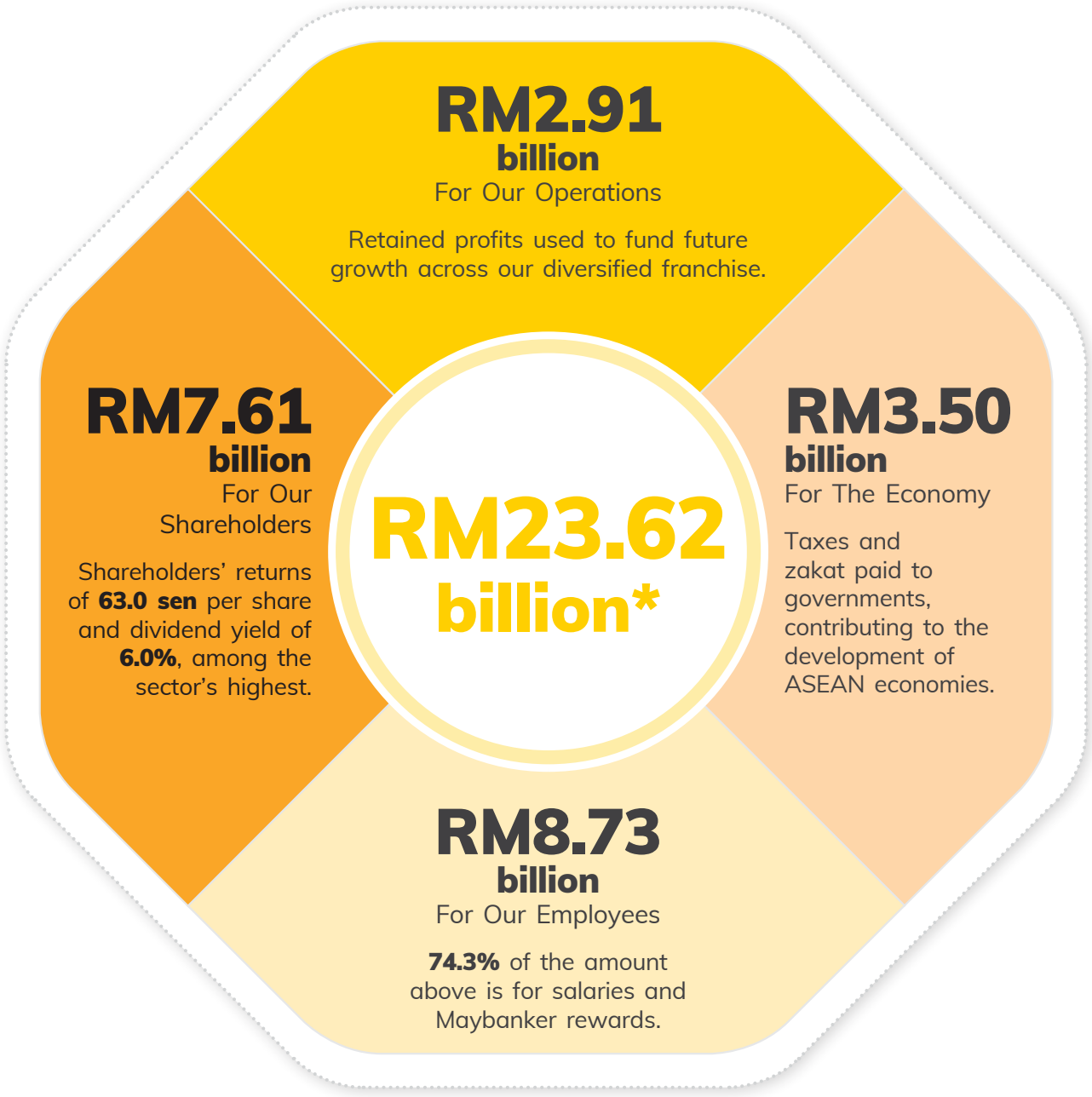
Supported communities through social impact investment totalling RM29.40 billion in 2025.

Achieved the highest MSCI ESG rating of AAA for outstanding environmental, social and governance ("ESG") performance and recognised as **Asia's Best Bank for Transition Strategy** at Euromoney Awards for Excellence 2025.

HOW WE DISTRIBUTE VALUE CREATED

In fulfilling our promise to our stakeholders, Maybank Group distributes value created in relevant and meaningful ways – and for some stakeholder groups, beyond financial means. Stakeholders receive intangible benefits ranging from employee upskilling programmes to diverse community initiatives resulting from our effort to enable a more sustainable future.

Value created in FY2025 was distributed as follows:



* Includes non-controlling interests and depreciation and amortisation. Refer to page 6 for Distribution of Value Added.

FINANCIAL PERFORMANCE

FIVE-YEAR GROUP FINANCIAL SUMMARY

	Group FY 31 Dec					Bank FY 31 Dec	
	2021	2022 Restated[1]	2023	2024	2025	2024	2025
OPERATING RESULT (RM' million)							
Operating revenue	45,959	49,416	63,515	68,943	**66,369**	36,529	**34,028**
Net operating income	25,448	26,492	27,361	29,573	**30,380**	17,006	**18,825**
Pre-provisioning operating profit ("PPOP")[2]	13,930	14,518	13,972	15,112	**15,540**	10,113	**11,688**
Operating profit	10,700	11,741	12,291	13,465	**14,060**	10,089	**11,673**
Profit before taxation and zakat	10,887	11,872	12,532	13,702	**14,334**	10,089	**11,673**
Profit attributable to equity holders of the Bank	8,096	7,961	9,350	10,089	**10,514**	8,654	**10,112**
KEY STATEMENTS OF FINANCIAL POSITION DATA (RM' million)							
Total assets	888,172	948,130	1,027,675	1,075,322	**1,053,584**	589,640	**562,591**
Financial investments portfolio[3]	223,884	231,090	265,916	253,763	**256,723**	149,013	**155,069**
Loans, advances and financing	541,888	575,127	630,422	664,774	**677,889**	281,795	**270,980**
Total liabilities	799,620	859,518	930,026	978,115	**956,742**	511,102	**483,032**
Deposits from customers	588,968	614,895	670,359	712,915	**698,210**	310,609	**300,347**
Investment accounts of customers	28,721	24,501	26,475	28,982	**32,783**	-	**-**
Commitments and contingencies	1,176,244	1,526,306	1,855,618	2,919,100	**2,069,301**	2,803,816	**1,965,142**
Share capital	53,156	54,619	54,674	54,736	**54,882**	54,736	**54,882**
Shareholders' equity	85,811	85,746	94,642	93,971	**93,445**	78,538	**79,559**
SHARE INFORMATION							
Per share (sen)							
Basic earnings	69.7	66.5	77.6	83.6	**87.1**	71.7	**83.7**
Diluted earnings	69.7	66.5	77.6	83.6	**87.1**	71.7	**83.7**
Gross dividend	58.0	58.0	60.0	61.0	**63.0**	61.0	**63.0**
Net assets (sen)	722.4	711.3	784.7	778.7	**773.5**	650.9	**658.5**
Share price as at 31 Dec (RM)	8.30	8.70	8.89	10.24	**10.48**	-	**-**
Market capitalisation (RM' million)	98,592	104,871	107,216	123,566	**126,610**	-	**-**
FINANCIAL RATIOS (%)							
Profitability Ratios/Market Share							
Net interest margin on average interest-earning assets	2.3	2.4	2.1	2.0	**2.0**	1.3	**1.4**
Net interest on average risk-weighted assets	4.7	5.1	4.5	4.4	**4.6**	2.8	**3.0**
Return on equity	9.8	9.6	10.8	11.1	**11.7**	11.6	**13.5**
Net return on average assets	0.9	0.9	0.9	1.0	**1.0**	1.5	**1.8**
Net return on average risk-weighted assets	2.0	2.0	2.2	2.3	**2.4**	3.4	**4.1**
Cost to income ratio[4]	45.3	45.2	48.9	48.9	**48.8**	40.5	**37.9**
Domestic market share in:							
Loans, advances and financing	18.0	18.1	18.4	19.2	**19.4**	19.2	**19.4**
Deposits from customers - Savings account	26.1	26.1	26.0	25.3	**26.1**	25.3	**26.1**
Deposits from customers - Current account	13.8	18.2	16.7	17.0	**19.8**	17.0	**19.8**
CAPITAL ADEQUACY RATIOS (%)							
CET1 Capital Ratio	16.090	15.669	16.191	15.765	**16.041**	15.210	**15.558**
Tier 1 Capital Ratio	16.810	16.376	16.845	16.135	**16.419**	15.433	**15.787**
Total Capital Ratio	19.518	19.080	19.404	18.906	**19.960**	18.325	**19.599**
ASSET QUALITY RATIOS							
Net impaired loans (%)	0.89	0.46	0.53	0.51	**0.79**	0.69	**0.65**
Loan loss coverage (%)	111.9	131.2	124.9	126.9	**106.7**	101.3	**122.3**
Loan-to-deposit ratio (%)[5]	89.5	91.6	91.7	90.7	**93.8**	76.4	**74.7**
Deposits to shareholders' fund (times)[6]	7.2	7.4	7.4	7.9	**7.8**	4.0	**3.8**
VALUATIONS ON SHARE							
Gross dividend yield (%)	7.0	6.7	6.7	6.0	**6.0**	–	**–**
Dividend payout ratio (%)	84.5	87.5	77.4	73.0	**72.4**	–	**–**
Price to earnings multiple (times)	11.9	13.1	11.5	12.2	**12.0**	–	**–**
Price to book multiple (times)	1.1	1.2	1.1	1.3	**1.4**	–	**–**

1 To reflect the impact of adopting MFRS 17 *Insurance Contracts*.

2 PPOP is equivalent to operating profit before impairment losses as stated in the income statements of the financial statements.

3 Financial investments portfolio consists of financial assets designated upon initial recognition at fair value through profit or loss, financial investments at fair value through profit or loss, financial investments at fair value through other comprehensive income and financial investments at amortised cost.

4 Cost to income ratio is computed using total cost over the net operating income. The total cost of the Group is the total overhead expenses, excluding amortisation of intangible assets for Maybank IBG Holdings Limited.

5 Loan-to-deposit ratio is computed using gross loans, advances and financing over deposits from customers and investment accounts of customers.

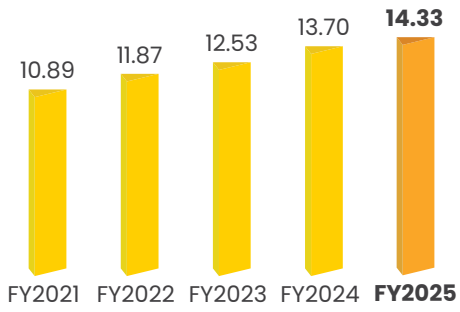
6 Deposits to shareholders' fund include investment accounts of customers.

FINANCIAL PERFORMANCE

Five-Year Group Financial Summary

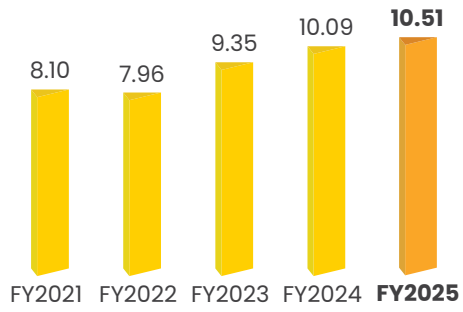
Profit Before Taxation and Zakat

RM14.33 billion



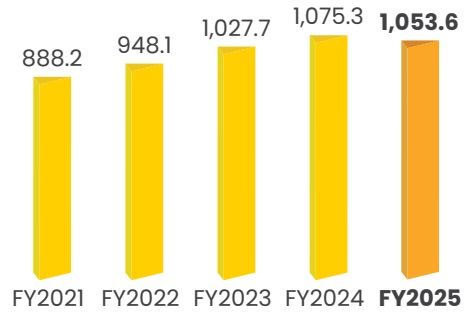
Profit Attributable to Equity Holders of the Bank

RM10.51 billion



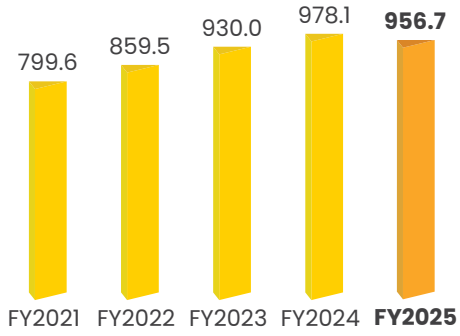
Total Assets

RM1,053.6 billion



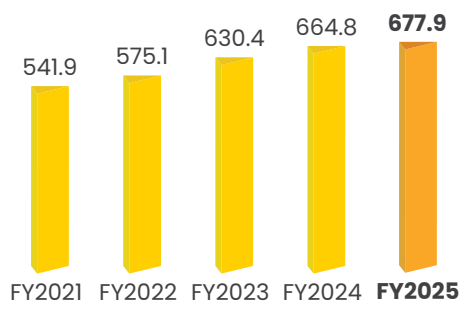
Total Liabilities

RM956.7 billion



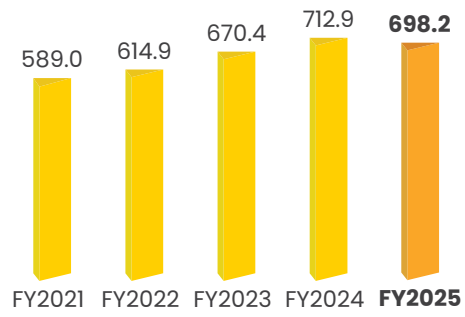
Loans, Advances and Financing

RM677.9 billion



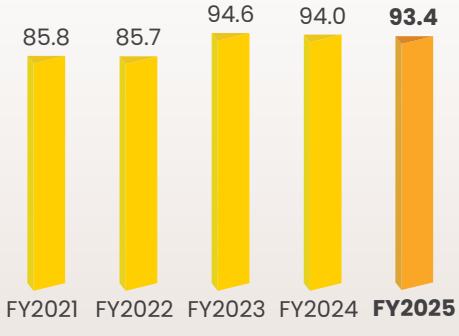
Deposits from Customers

RM698.2 billion



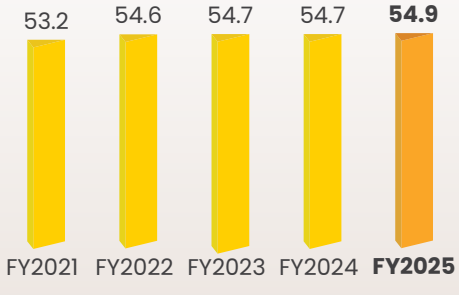
Shareholders' Equity

RM93.4 billion



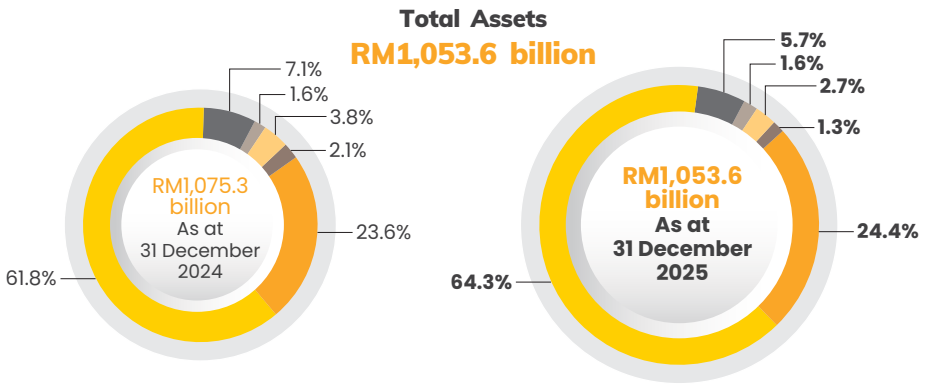
Share Capital

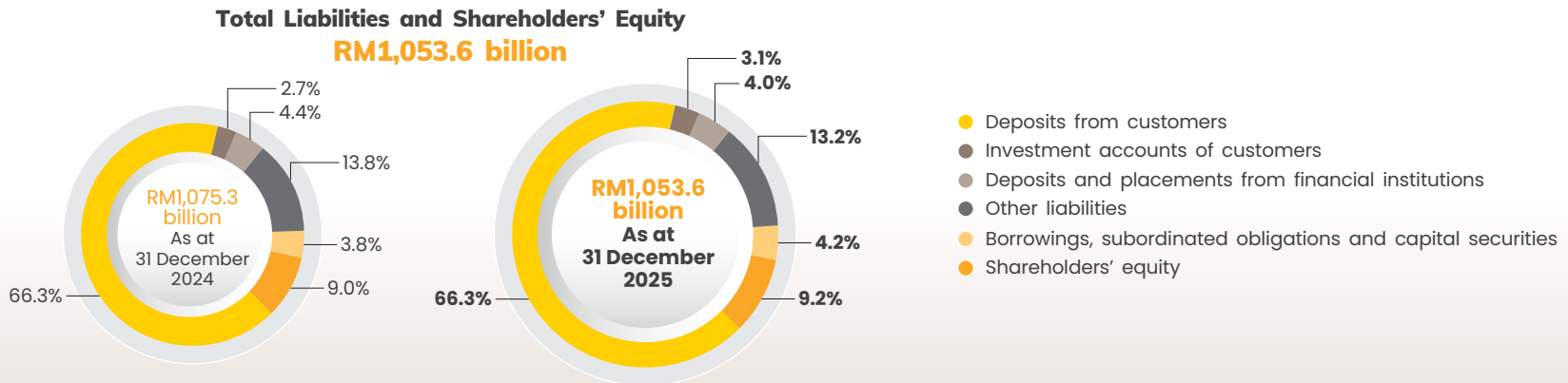
RM54.9 billion



FINANCIAL PERFORMANCE

Simplified Group Statements of Financial Position





GROUP QUARTERLY FINANCIAL PERFORMANCE

RM' million	FY 31 Dec 2025 Q1	Q2	Q3	Q4	YEAR
Operating revenue	**16,874**	**17,079**	**16,602**	**15,814**	**66,369**
Net interest income (including income from Islamic Banking Scheme operations)	**5,287**	**5,382**	**5,361**	**5,780**	**21,810**
Insurance/takaful service result	**471**	**395**	**305**	**585**	**1,756**
Other operating income	**2,100**	**2,679**	**2,745**	**1,496**	**9,020**
Total operating income	**7,858**	**8,457**	**8,411**	**7,860**	**32,586**
Operating profit before impairment losses	**3,969**	**3,899**	**3,811**	**3,861**	**15,540**
Profit before taxation and zakat	**3,594**	**3,512**	**3,506**	**3,722**	**14,334**
Profit attributable to equity holders of the Bank	**2,589**	**2,628**	**2,621**	**2,676**	**10,514**
Earnings per share (sen)	**21.5**	**21.8**	**21.7**	**22.2**	**87.1**
Dividend per share (sen)	**–**	**30.0**	**–**	**33.0**	**63.0**

RM' million	FY 31 Dec 2024 Q1	Q2	Q3	Q4	YEAR
Operating revenue	18,347	17,172	16,688	16,736	68,943
Net interest income (including income from Islamic Banking Scheme operations)	5,244	5,322	5,218	5,370	21,154
Insurance/takaful service result	182	468	282	353	1,285
Other operating income	2,868	2,244	2,002	1,952	9,066
Total operating income	8,295	8,033	7,502	7,674	31,504
Operating profit before impairment losses	3,920	3,750	3,707	3,735	15,112
Profit before taxation and zakat	3,443	3,443	3,402	3,414	13,702
Profit attributable to equity holders of the Bank	2,489	2,530	2,538	2,532	10,089
Earnings per share (sen)	20.6	21.0	21.0	21.0	83.6
Dividend per share (sen)	–	29.0	–	32.0	61.0

FINANCIAL PERFORMANCE

KEY INTEREST BEARING ASSETS AND LIABILITIES

	FY 31 Dec 2024			FY 31 Dec 2025		
	As at 31 December RM' million	Effective Interest Rate %	Interest Income/ Expense RM' million	As at 31 December RM' million	Effective Interest Rate %	Interest Income/ Expense RM' million
Interest earning assets						
Loans, advances and financing	541,888	5.40	34,324	**677,889**	**4.92**	**32,244**
Cash and short-term funds and deposits and placements with financial institutions	62,798	2.76	1,597	**42,359**	**3.03**	**1,491**
Financial assets at fair value through profit or loss	46,208	2.15	1,114	**58,972**	**2.63**	**1,061**
Financial investments at fair value through other comprehensive income	128,177	3.23	5,570	**116,964**	**3.13**	**4,977**
Financial investments at amortised cost	79,377	2.41	2,754	**80,786**	**2.62**	**2,812**
Interest bearing liabilities						
Customers' funding:						
– Deposits from customers	712,915	2.72	19,026	**698,210**	**2.22**	**17,295**
– Investment accounts of customers	28,982	1.63	459	**32,783**	**1.35**	**493**
Deposits and placements from financial institutions	47,051	5.49	3,143	**42,587**	**4.10**	**3,192**
Borrowings	28,260	2.81	1,549	**28,207**	**2.60**	**1,029**
Subordinated obligations	11,158	3.51	1,013	**14,453**	**3.74**	**1,072**
Capital securities	1,577	4.09	102	**1,577**	**4.09**	**65**

STATEMENT OF VALUE ADDED

	FY 31 Dec 2024 RM'000	FY 31 Dec 2025 RM'000
Net interest income	12,807,423	**13,157,012**
Income from Islamic Banking Scheme operations	8,346,399	**8,653,273**
Insurance/takaful service result	1,284,513	**1,755,748**
Other operating income	9,066,000	**9,019,554**
Net insurance/takaful investment/finance result	(1,931,829)	**(2,206,086)**
Overhead expenses excluding personnel expenses, depreciation and amortisation[1]	(5,291,833)	**(5,553,487)**
Allowances for impairment losses on loans, advances and financing and other debts, net	(1,670,545)	**(562,136)**
Writeback of/(allowances for) impairment losses on financial investments, net	42,353	**(847,242)**
Allowances for impairment losses on other assets and interest in associates, net	(18,816)	**(71,398)**
Share of profits in associates and joint ventures	236,302	**274,268**
Value added available for distribution	22,869,967	**23,619,506**

DISTRIBUTION OF VALUE ADDED

	FY 31 Dec 2024 RM'000	FY 31 Dec 2025 RM'000
To employees:		
Personnel expenses	8,596,296	**8,734,086**
To the Government:		
Taxation and zakat	3,312,835	**3,499,761**
To providers of capital:		
Dividends paid to shareholders	7,360,841	**7,611,096**
Non-controlling interests	417,713	**317,400**
To reinvest to the Group:		
Depreciation and amortisation[1]	572,106	**551,626**
Retained profits	2,610,176	**2,905,537**
Value added available for distribution	22,869,967	**23,619,506**

[1] Depreciation and amortisation exclude depreciation of right-of-use assets.

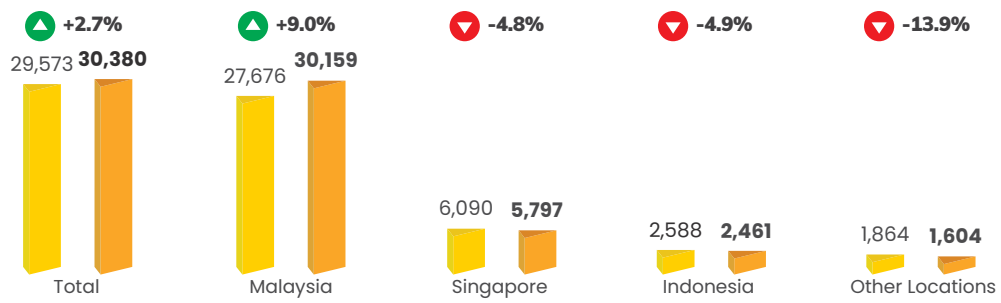
FINANCIAL PERFORMANCE

SEGMENTAL INFORMATION

FY 31 Dec 2024 FY 31 Dec 2025

Analysis by Geographical Location

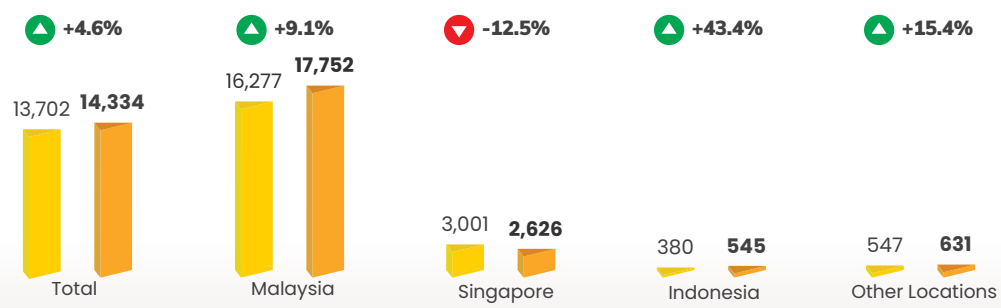
Net Operating Income (RM' million)



Note:

Total net operating income includes inter-segment which are eliminated on consolidation of RM9,641 million for FY 31 December 2025 and RM8,645 million for FY 31 December 2024.

Profit Before Taxation and Zakat (RM' million)

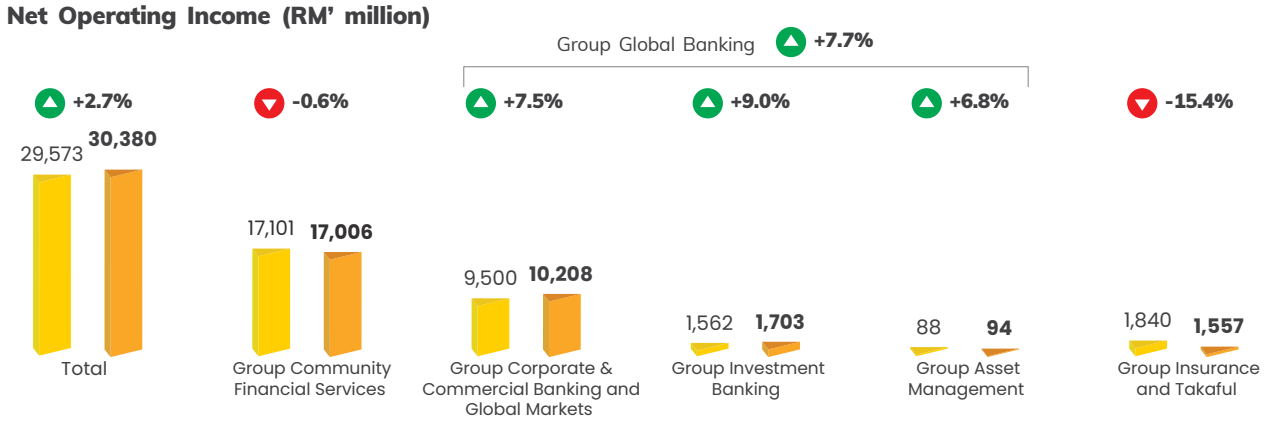


Note:

Total profit before taxation and zakat includes inter-segment which are eliminated on consolidation of RM7,220 million for FY 31 December 2025 and RM6,503 million for FY 31 December 2024.

Analysis by Business Segments*

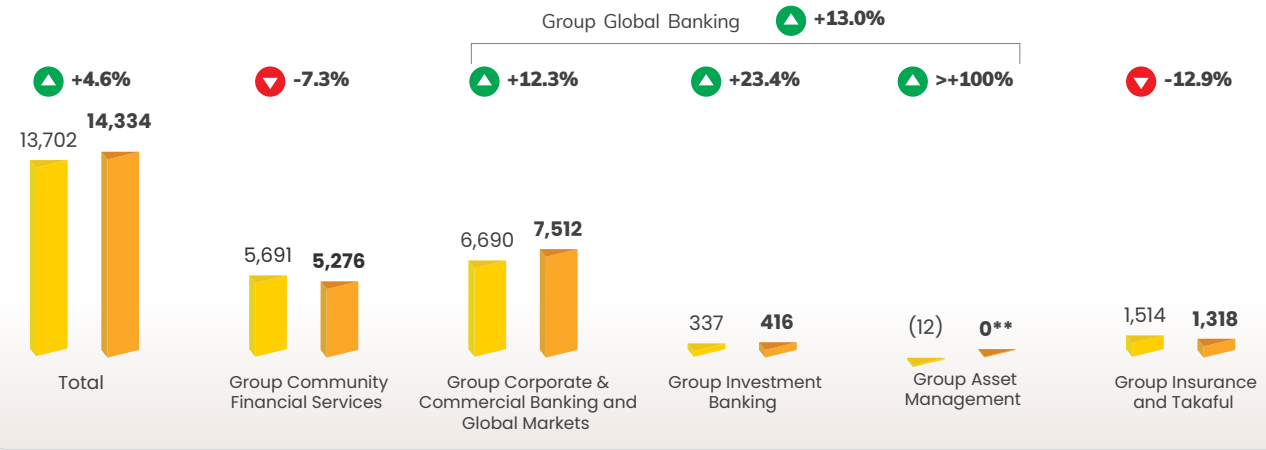
Net Operating Income (RM' million)



Note:

Total net operating income includes Head Office & Others of RM188 million for FY 31 December 2025 and RM518 million for FY 31 December 2024.

Profit Before Taxation and Zakat (RM' million)



Note:

Total profit before taxation and zakat includes Head Office & Others of RM188 million for FY 31 December 2025 and RM518 million for FY 31 December 2024.

* The figures as at 31 December 2024 have been restated due to a structural change of business segmentation that took effect during the financial year ended 31 December 2025.

** Amount less than RM1,000.

FINANCIAL STATEMENTS



CONTENTS

14 Directors' Report
22 Statement by Directors
22 Statutory Declaration
23 Independent Auditors' Report
27 Index to the Financial Statements
28 Statements of Financial Position
29 Income Statements
30 Statements of Comprehensive Income
31 Consolidated Statement of Changes in Equity
33 Statement of Changes in Equity
34 Statements of Cash Flows
36 Notes to the Financial Statements

STATEMENT OF DIRECTORS' RESPONSIBILITIES

IN RESPECT OF THE AUDITED FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

The directors are responsible for ensuring that the annual audited financial statements of the Group and of the Bank are drawn up in accordance with MFRS Accounting Standards, IFRS Accounting Standards, the requirements of the Companies Act 2016, Bank Negara Malaysia's Guidelines and the Listing Requirements of Bursa Malaysia Securities Berhad.

The directors are also responsible for ensuring that the annual audited financial statements of the Group and of the Bank are prepared with reasonable accuracy from the accounting records of the Group and of the Bank so as to give a true and fair view of the financial position of the Group and of the Bank as at 31 December 2025, and of their financial performance and cash flows for the financial year then ended.

In preparing the annual audited financial statements, the directors have:

- considered the applicable approved accounting standards in Malaysia;
- adopted and consistently applied appropriate accounting policies;
- made judgements and estimates that are prudent and reasonable; and
- prepared the financial statements on a going concern basis as the directors have a reasonable expectation, having made enquiries, that the Group and the Bank have adequate resources to continue in operational existence for the foreseeable future.

The directors also have a general responsibility for taking reasonable steps to safeguard the assets of the Group and the Bank to prevent and detect fraud and other irregularities.

ANALYSIS OF FINANCIAL STATEMENTS

REVIEW OF FY2025 FINANCIAL RESULTS

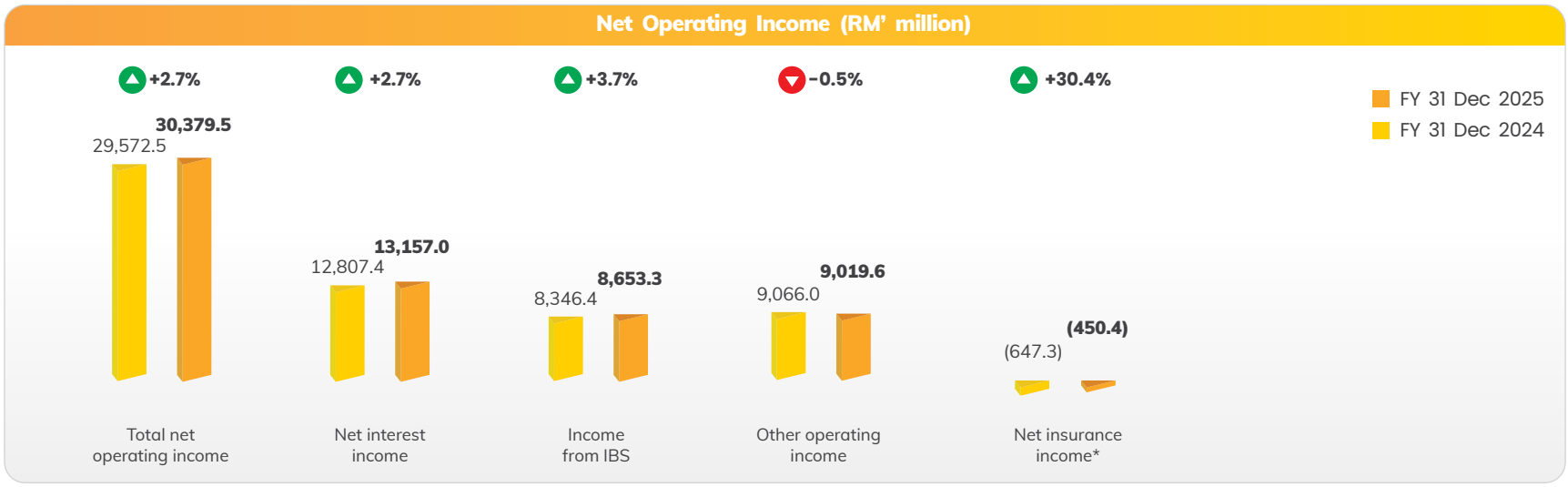
The Group's profit after tax and zakat attributable to equity holders of the Bank grew 4.2% YoY to RM10,513.9 million in FY2025, an increase of RM425.2 million from FY2024.

The financial results were driven by higher net operating income of RM807.0 million, and an improvement in net allowances for impairment losses on loans, advances, financing and other debts and financial investments of RM218.8 million due to recoveries from non-retail portfolios. Net credit cost improved to 8 bps from 26 bps in the previous year. The decline is due to the reclassification of loan provisions following a corporate borrower restructuring and recoveries in the non-retail portfolio happened in FY2025.

These were, however, offset by higher overhead expenses of RM379.0 million and higher taxation and zakat of RM307.2 million.

NET OPERATING INCOME

The Group's net operating income rose 2.7% YoY, stood at RM30,379.5 million from RM29,572.5 million in FY2024. The improvement of RM807.0 million was significantly attributable to higher net interest income and income from Islamic Banking Scheme ("IBS") operations of RM656.5 million, and higher net insurance income of RM196.9 million. The increases were, however, offset by lower other operating income of RM46.4 million.



*Net insurance income comprises of insurance/takaful service result and net insurance/takaful investment/finance result

NET INTEREST INCOME

The Group's net interest income improved by RM349.6 million YoY, mainly attributable to lower interest expense on deposits from customers and from financial institutions of RM2,721.0 million in line with the decrease in total deposits of 5.9%, and lower interest expense on borrowings, subordinated obligations and capital securities of RM519.4 million. The decreases were, however, offset by lower interest income on loans, advances and financing of RM2,656.5 million.

RM' million	FY2024	FY2025	Variance	% Change
Interest Income				
Loans, advances and financing	22,488.2	**19,831.7**	**(2,656.5)**	**-11.8%**
Money at call and deposit and placements with financial institutions	1,470.3	**1,274.5**	**(195.8)**	**-13.3%**
Financial investments portfolio	8,023.1	**7,547.4**	**(475.7)**	**-5.9%**
Other interest income	788.3	**697.6**	**(90.7)**	**-11.5%**
	32,769.9	**29,351.2**	**(3,418.7)**	**-10.4%**
Interest Expense				
Deposits and placements from financial institutions	2,360.7	**1,743.3**	**(617.4)**	**-26.2%**
Deposits from customers	13,149.7	**11,046.1**	**(2,103.6)**	**-16.0%**
Borrowings, subordinated obligations and capital securities	2,121.1	**1,623.7**	**(497.4)**	**-23.5%**
Financial liabilities at fair value through profit or loss	1,163.0	**857.2**	**(305.8)**	**-26.3%**
Structured deposit	39.9	**52.5**	**12.6**	**31.6%**
Obligations on financial assets sold under repurchase agreements	1,128.1	**871.4**	**(256.7)**	**-22.8%**
	19,962.5	**16,194.2**	**(3,768.3)**	**-18.9%**
Net Interest Income	12,807.4	**13,157.0**	**349.6**	**2.7%**

ANALYSIS OF FINANCIAL STATEMENTS

INCOME FOR ISLAMIC BANKING SCHEME OPERATIONS ("IBS")

Income from IBS operations increased RM306.9 million YoY from RM8,346.4 million to RM8,653.3 million, primarily attributable to higher fund-based income of RM189.6 million from higher financing growth, and higher fee-based income of RM117.2 million.

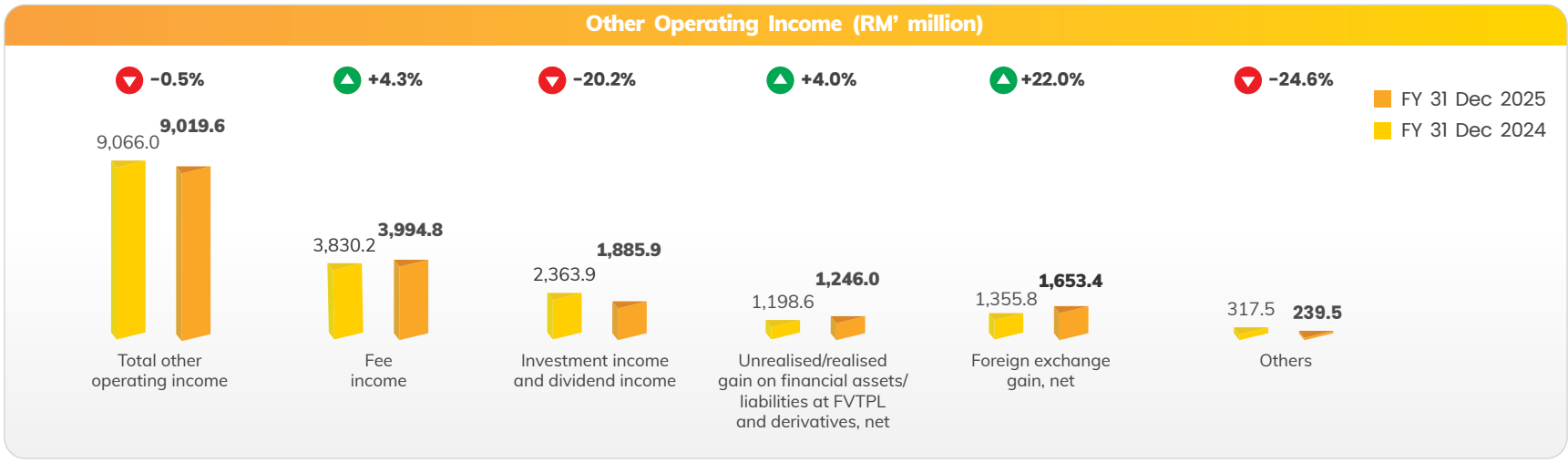
The growth in fund-based income was significantly driven by higher profit income from financing and advances of RM673.2 million, offset with higher profit distributed to depositors and investment accounts holder of RM360.3 million and lower profit income from financial investments at FVOCI of RM155.8 million.

The growth in fee-based income was significantly driven by higher core fee income from service charges and fees of RM71.6 million and higher foreign exchange profit of RM42.7 million.

OTHER OPERATING INCOME

The Group's other operating income declined slightly by RM46.4 million YoY from RM9,066.0 million in FY2024 to RM9,019.6 million in FY2025. This was mainly due to lower unrealised gain on revaluation of financial liabilities at FVTPL of RM1,940.7 million, and lower net gain on disposal of financial assets at FVTPL of RM629.2 million.

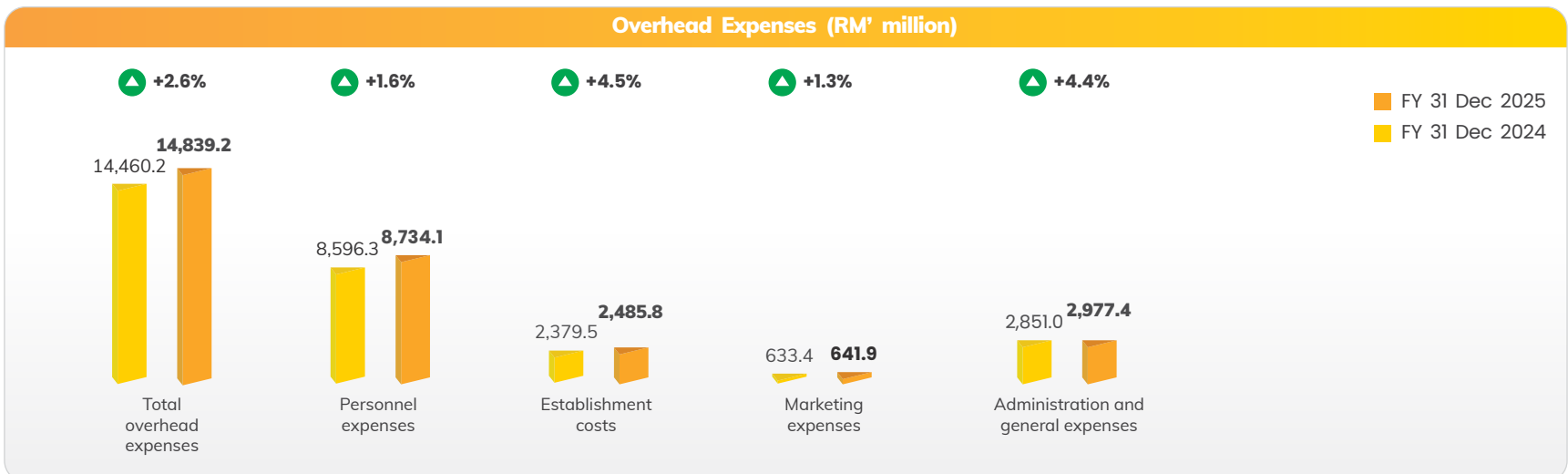
The decreases above were, however, moderated by higher realised gain on derivatives of RM1,005.9 million, lower unrealised loss on revaluation of derivatives of RM767.3 million, higher foreign exchange gain of RM297.6 million, higher unrealised gain on revaluation of financial investments at FVTPL of RM214.8 million, and higher net gain on disposal of financial investments at FVOCI of RM212.7 million.



OVERHEAD EXPENSES

The Group's overhead expenses increased by RM379.0 million or 2.6% YoY from RM14,460.2 million in FY2024 to RM14,839.2 million in FY2025 with cost to income ratio stood at 48.8% in FY2025.

The increase in overhead was significantly driven by higher fees and brokerage expenses of RM165.2 million, personnel costs of RM137.8 million, information technology expenses of RM118.1 million, and marketing expenses of RM8.5 million.



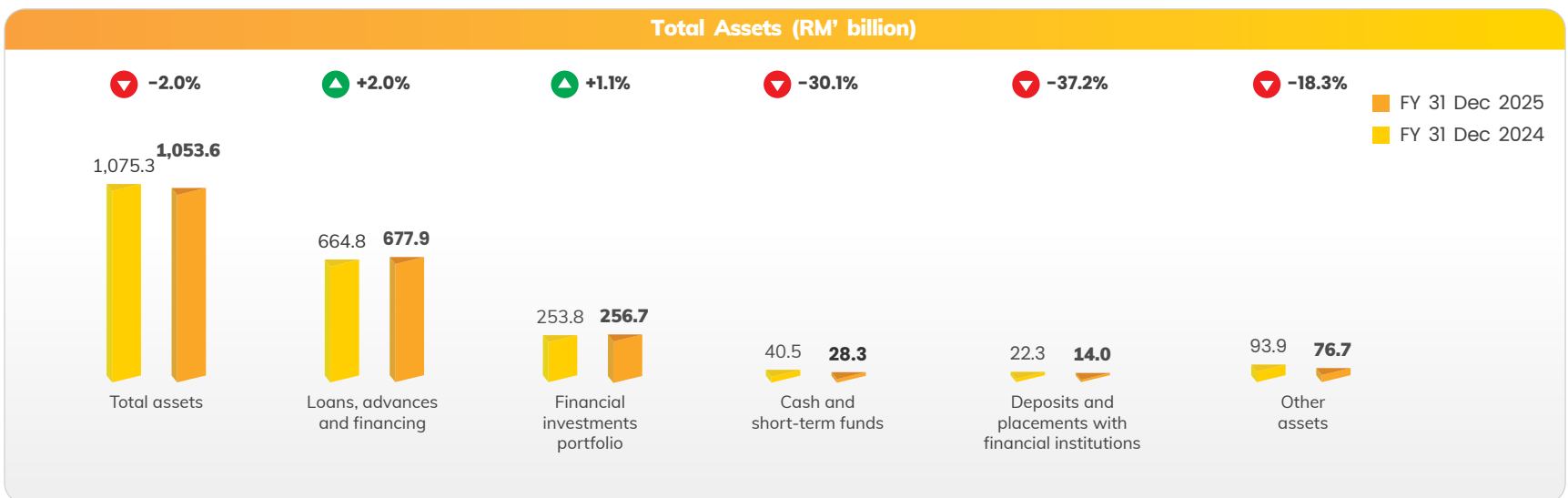
ANALYSIS OF FINANCIAL STATEMENTS

REVIEW OF FY2025 FINANCIAL POSITION

TOTAL ASSETS

The Group's total assets stood at RM1,053.6 billion as at 31 December 2025, a decrease of RM21.7 billion or 2.0% YoY. The contraction was largely driven by lower cash and short-term funds of RM12.2 billion, deposits and placements with financial institutions of RM8.3 billion, and financial assets purchased under resale agreements of RM7.8 billion.

The decreases were partially offset by higher loans, advances and financing of RM13.1 billion, and higher financial investments portfolio of RM2.9 billion.



LOANS, ADVANCES AND FINANCING

The Group's loans, advances and financing grew 2.0% YoY to RM677.9 billion as at 31 December 2025 from RM664.8 billion as at 31 December 2024. The growth was underpinned by robust performances from the Community Financial Services ("CFS") franchise across the home markets in Malaysia (6.7%), Singapore (9.4%) and Indonesia (5.4%). Global Banking ("GB") operations in Malaysia recorded growth of 4.8% while Singapore and Indonesia showed slower growth at 1.9% and 17.4% respectively. For more information, refer to 'Group Chief Financial Officer's Statement' section of the Integrated Annual Report.

FINANCIAL INVESTMENTS PORTFOLIO

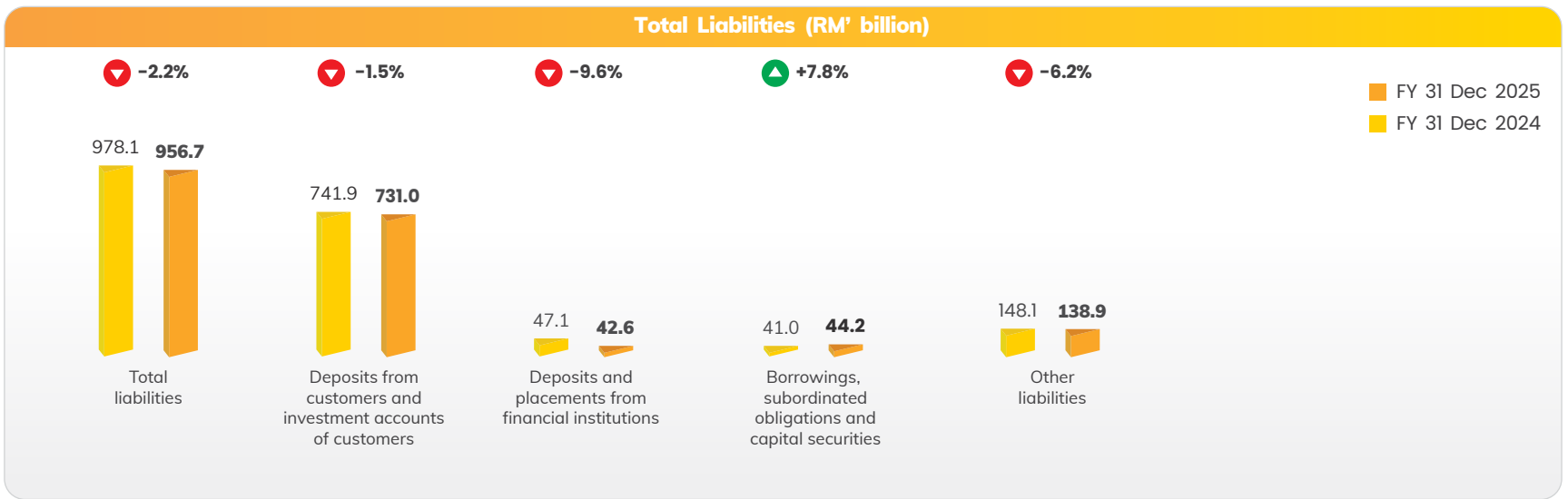
The Group's financial investments portfolio grew by RM2.9 billion to RM256.7 billion as at 31 December 2025 arising from the growth in financial investments at fair value through profit or loss of RM12.8 billion, and financial investments at amortised cost of RM1.4 billion. The increases were, however, offset by a decline in financial investments at fair value through other comprehensive income of RM11.2 billion.

ANALYSIS OF FINANCIAL STATEMENTS

TOTAL LIABILITIES

The Group's total liabilities contracted to RM956.7 billion as at 31 December 2025, a decrease of 2.2% or RM21.4 billion. The lower total liabilities was mainly attributable to decline in deposits from customers and investment accounts of customers of RM10.9 billion, obligations on financial assets sold under repurchase agreements of RM6.9 billion, and deposits and placements from financial institutions of RM4.5 billion.

The above decreases were, however, mitigated by the increase in subordinated obligations of RM3.3 billion.



DEPOSITS FROM CUSTOMERS AND INVESTMENT ACCOUNTS OF CUSTOMERS

The Group's deposits from customers and investment accounts of customers declined marginally by 1.5% YoY to RM731.0 billion, mainly due to a decline of 7.7% in fixed deposits ("FD") especially from Singapore and Indonesia through efforts in managing cost of funds. Current and savings accounts ("CASA") showed marginal increase of 0.3% supported by broad-based growth from home markets in Malaysia (6.7%), Singapore (28.9%) and Indonesia (6.4%). For more information, refer to 'Group Chief Financial Officer's Statement' section of the Integrated Annual Report.

DIRECTORS' REPORT

31 DECEMBER 2025

The Board of Directors has pleasure in presenting their report together with the audited financial statements of the Group and of the Bank for the financial year ended 31 December 2025.

PRINCIPAL ACTIVITIES

The Bank is principally engaged in the business of Commercial Banking and the provision of related financial services.

The subsidiaries of the Bank are principally engaged in the businesses of banking and finance, Islamic banking, investment banking including stockbroking, underwriting of general and life insurance, general and family takaful, trustee and nominee services and asset management. Further details of the subsidiaries are described in Note 64(a) to the financial statements.

There were no significant changes in these principal activities during the financial year.

RESULTS

	Group RM'000	Bank RM'000
Profit before taxation and zakat	**14,333,794**	**11,672,919**
Taxation and zakat	**(3,502,446)**	**(1,561,084)**
Profit for the financial year	**10,831,348**	**10,111,835**
Attributable to:		
Equity holders of the Bank	**10,513,948**	**10,111,835**
Non-controlling interests	**317,400**	**–**
	10,831,348	**10,111,835**

There were no material transfers to or from reserves, allowances or provisions during the financial year other than those as disclosed in Notes 5, 6, 7, 10, 11, 12, 15, 17, 26, 44, 45 and 46 and the statements of changes in equity to the financial statements.

In the opinion of the Board of Directors, the results of the operations of the Group and of the Bank during the current financial year were not substantially affected by any item, transaction or event of a material and unusual nature other than the effects of emerging risks as disclosed in Note 3.4 to the financial statements.

DIVIDENDS

The amount of dividends paid by the Bank since 31 December 2024 (as disclosed in Note 51(b) to the financial statements) were as follows:

	RM'000
In respect of the financial year ended 31 December 2024 as reported in the directors' report of that year:	
A single-tier second interim cash dividend of 32.0 sen per ordinary share, on 12,066,952,192 ordinary shares, declared on 26 February 2025 and paid on 26 March 2025.	**3,861,425**
In respect of the financial year ended 31 December 2025:	
A single-tier first interim cash dividend of 30.0 sen per ordinary share, on 12,081,103,393 ordinary shares, declared on 26 August 2025 and paid on 26 September 2025.	**3,624,331**
	7,485,756

Subsequent to the financial year end, on 26 February 2026, the Board of Directors declared a single-tier second interim cash dividend in respect of the current financial year ended 31 December 2025 of 33.0 sen per ordinary share amounting to dividend payable of RM3,986,764,754 (based on 12,081,105,315 ordinary shares issued as at 26 February 2026).

The financial statements for the current financial year ended 31 December 2025 do not reflect this single-tier second interim cash dividend. Such dividend will be accounted for in the statements of changes in equity as an appropriation of retained profits in the next financial year ending 31 December 2026.

MAYBANK GROUP EMPLOYEES' SHARE GRANT PLAN ("ESGP") AND CASH-SETTLED PERFORMANCE-BASED EMPLOYEES' SHARE GRANT PLAN ("CESGP")

The existing ESGP ("ESGP2018") is governed by the ESGP By-Laws approved by the shareholders at an Extraordinary General Meeting ("EGM") held on 6 April 2017, and was implemented on 14 December 2018 for a period of seven (7) years from the effective date. A total of five (5) awards have been made under the ESGP2018 from 2018 to 2022, of which all the awards have been vested to eligible employees from 2021 to 2025. No new awards under ESGP2018 have been issued to staff since 2023, and the plan has officially expired on 13 December 2025.

As a continuation of the existing employees' share grant plan, the shareholders at the EGM held on 3 May 2023 have approved the establishment of a new ESGP plan ("ESGP2023"). The ESGP2023 was implemented on 20 September 2023 for eligible talents and senior management. The features of the ESGP2023 are similar to the ESGP2018 with the exception being the plan period i.e. 10 years as compared to ESGP2018 of 7 years. Three (3) out of eight (8) awards have been made in 2023 to 2025, which will vest in 2026 to 2028, subject to fulfilment of the ESGP vesting conditions as well as meeting the performance criteria at the Maybank Group and individual levels.

Both ESGP2018 and ESGP2023 are administered by the Nomination and Remuneration Committee of the Board ("NRC").

The ESGP consists of two (2) types of performance-based awards: Employees' Share Grant Plan ("ESGP Shares") and Cash-settled Performance-based Employees' Share Grant Plan ("CESGP"). The ESGP Shares may be settled by way of issuance and transfer of new Maybank shares or by cash at the absolute discretion of Maybank Group NRC.

The ESGP Shares is a form of Restricted Share Units ("RSU") and the NRC may, from time to time during the ESGP period, make further ESGP grants designated as Supplemental ESGP to a selected group of eligible employees to participate in Supplemental ESGP. This selected group may consist of selected key executives, selected key retentions and selected senior external recruits, and such grants may contain terms and conditions which may vary from earlier ESGP grants made available to selected senior management.

The CESGP is a form of Cash-settled Performance-based Restricted Share Unit Scheme ("CRSU") and the NRC may, from time to time during the ESGP period, make further CESGP grants designated as Supplemental CESGP to a selected group of eligible employees to participate in the ESGP. This selected group may consist of senior management, selected key retentions and selected senior external recruits, and such Supplemental CESGP grants may contain terms and conditions which may vary from earlier CESGP grants made available to selected employees.

The maximum number of ordinary shares in the Bank available under the ESGP should not exceed 3.5% of the total number of issued and paid-up capital of the Bank at any point of time during the duration of the ESGP schemes.

The number of ESGP Shares and CESGP to be vested is based on a multiple of the initial grant whereby the multiple is determined according to the performance targets and/or conditions. In the event the performance targets and/or conditions are not met by the eligible employees, the ESGP Shares and CESGP shall not be vested to them at the end of the ESGP vesting schedule.

Details on the key features of the ESGP and CESGP are disclosed in Note 32(b) to the financial statements.

Details of shares awarded under the ESGP Shares and CESGP are as follows:

(a) ESGP Shares

Award date	Number of ESGP Shares awarded* '000	Vesting date
ESGP2018		
30.09.2022 - Fifth Grant	**15,472**	Up to 3-year cliff vesting from grant date and based on performance metrics and vesting conditions
ESGP2023		
20.09.2023 - First Grant	**19,582**	Up to 3-year cliff vesting from grant date and based on performance metrics and vesting conditions
08.03.2024 - Second Grant - Tranche 1	**19,508**	
05.09.2024 - Second Grant - Tranche 2	**2,272**	
01.11.2024 - Second Grant - Tranche 3	**878**	
30.04.2025 - Third Grant - Tranche 1	**19,861**	
31.10.2025 - Third Grant - Tranche 2	**2,001**	

DIRECTORS' REPORT

31 DECEMBER 2025

MAYBANK GROUP EMPLOYEES' SHARE GRANT PLAN ("ESGP") AND CASH-SETTLED PERFORMANCE-BASED EMPLOYEES' SHARE GRANT PLAN ("CESGP") (CONT'D.)

Details of shares awarded under the ESGP Shares and CESGP are as follows (cont'd.):

(b) CESGP

Award date	Number of CESGP awarded* '000	Vesting date
ESGP2018		
30.09.2022 - Fifth Grant	**6,006**	Up to 3-year cliff vesting from grant date and based on performance metrics and vesting conditions
ESGP2023		
20.09.2023 - First Grant	**7,390**	Up to 3-year cliff vesting from grant date and based on performance metrics and vesting conditions
08.03.2024 - Second Grant - Tranche 1	**7,574**	
05.09.2024 - Second Grant - Tranche 2	**525**	
30.04.2025 - Third Grant - Tranche 1	**7,767**	
31.10.2025 - Third Grant - Tranche 2	**524**	

* The number of ESGP Shares and CESGP awarded to the eligible employees are based on the assumption that the Group and the eligible employees have met average performance targets. The number of ESGP Shares and CESGP to be vested to the eligible employees will be conditional upon fulfilling the vesting conditions set by the Group.

The maximum number of ordinary shares in the Bank available under the ESGP should not exceed 3.5% of the total number of issued and paid-up capital of the Bank at any point of time during the duration of the scheme.

During the financial year ended 31 December 2025, a total of 14,341,242 ESGP Shares (0.12% of issued share capital) and 5,295,400 CESGP under the ESGP2018 Fifth Grant had been vested to 917 and 341 eligible senior management, respectively. The remaining grants have not been vested as at 31 December 2025.

The following table illustrates the number of, and movements in, ESGP Shares during the financial year ended 31 December 2025:

Award date	Outstanding as at 01.01.2025 '000	Movements during the financial year				Outstanding as at 31.12.2025 '000
		Awarded '000	Additional* '000	Vested '000	Forfeited '000	
ESGP2018						
30.09.2022 – Fifth Grant	**14,585**	**–**	**985**	**(13,978)**	**(1,592)**	**–**
ESGP2023						
20.09.2023 – First Grant	**18,956**	**–**	**–**	**–**	**(583)**	**18,373**
08.03.2024 – Second Grant – Tranche 1	**19,095**	**–**	**–**	**–**	**(618)**	**18,477**
05.09.2024 – Second Grant – Tranche 2	**2,226**	**–**	**–**	**–**	**(136)**	**2,090**
01.11.2024 – Second Grant – Tranche 3	**878**	**–**	**–**	**(363)**	**–**	**515**
30.04.2025 – Third Grant – Tranche 1	**–**	**19,861**	**–**	**–**	**(356)**	**19,505**
31.10.2025 – Third Grant – Tranche 2	**–**	**2,001**	**–**	**–**	**–**	**2,001**
	55,740	**21,862**	**985**	**(14,341)**	**(3,285)**	**60,961**

* The final number of shares vested under ESGP Shares is in accordance with the terms and condition approved by the Board of Directors.

DIRECTORS' REPORT

31 DECEMBER 2025

MAYBANK GROUP EMPLOYEES' SHARE GRANT PLAN ("ESGP") AND CASH-SETTLED PERFORMANCE-BASED EMPLOYEES' SHARE GRANT PLAN ("CESGP") (CONT'D.)

The following table illustrates the number of, and movements in, CESGP during the financial year ended 31 December 2025:

Award date	Outstanding as at 01.01.2025 '000	Movements during the financial year				Outstanding as at 31.12.2025 '000
		Awarded '000	Additional* '000	Vested '000	Forfeited '000	
ESGP2018						
30.09.2022 – Fifth Grant	**5,266**	**–**	**503**	**(5,295)**	**(474)**	**–**
ESGP2023						
20.09.2023 – First Grant	**7,150**	**–**	**–**	**–**	**(230)**	**6,920**
08.03.2024 – Second Grant – Tranche 1	**7,470**	**–**	**–**	**–**	**(284)**	**7,186**
05.09.2024 – Second Grant – Tranche 2	**481**	**–**	**–**	**–**	**(28)**	**453**
30.04.2025 – Third Grant – Tranche 1	**–**	**7,767**	**–**	**–**	**(128)**	**7,639**
31.10.2025 – Third Grant – Tranche 2	**–**	**524**	**–**	**–**	**–**	**524**
	20,367	**8,291**	**503**	**(5,295)**	**(1,144)**	**22,722**

* The final number of shares vested under the CESGP is in accordance with the terms and condition approved by the Board of Directors.

Executive Director and Key Management Personnel who have been awarded with the ESGP Shares and CESGP during the financial year ended 31 December 2025:

Name	Number of ESGP Shares awarded '000	Number of CESGP awarded '000
Dato' Sri Khairussaleh bin Ramli	**409**	**–**
Other Key Management Personnel	**2,332**	**761**

Since the commencement of the ESGP2023 scheme on 20 September 2023, a total of 0.53% of the ESGP Shares have been granted to the Executive Director and Key Management Personnel, of which 0.02% were granted during the financial year ended 31 December 2025.

ISSUANCE OF SHARES AND DEBENTURES

The following are the changes in debt and equity securities of the Group and the Bank during the financial year ended 31 December 2025:

(i) During the financial year ended 31 December 2025, the Bank increased its issued and paid-up ordinary shares from 12,066,952,192 units to 12,081,105,315 units via issuance of 14,153,123 new ordinary shares amounting to RM146,137,769 arising from the ESGP, as disclosed in Note 32(b)(i) to the financial statements.

The new ordinary shares issued during the financial year rank pari passu in all respects with the existing ordinary shares of the Bank.

(ii) During the financial year ended 31 December 2025, the Group and the Bank made various issuances and redemptions of debt securities, as disclosed in Notes 25, 29, 30 and 31 to the financial statements.

The proceeds from the issuances may be utilised to fund the working capital, general banking and other corporate purposes.

DIRECTORS' REPORT

31 DECEMBER 2025

DIRECTORS

The names of the directors of the Bank in office since the beginning of the financial year to the date of this report are:

Tan Sri Dato' Sri Ir. Zamzamzairani bin Mohd Isa (Chairman)
Dato' Sri Khairussaleh bin Ramli (President & Group Chief Executive Officer)
Fauziah binti Hisham
Che Zakiah binti Che Din
Shariffuddin bin Khalid
Dato' Zulkiflee Abbas bin Abdul Hamid
Shirley Goh
Datuk Yee Yang Chien
Chiam Sou Hong
Vittorio Furlan
Rohaya binti Mohammad Yusof (Appointed on 1 February 2026)
Dr. Hasnita binti Dato' Hashim (Retired on 30 June 2025)
Anthony Brent Elam (Retired on 14 November 2025)

The names of the directors of the Bank's subsidiaries in office since the beginning of the financial year to the date of this report are disclosed in Note 66 to the financial statements.

DIRECTORS' BENEFITS

Neither at the end of the financial year, nor at any time during that financial year, did there subsist any arrangement to which the Bank or any of its subsidiaries was a party, whereby the directors might acquire benefits by means of acquisition of shares in or debentures of the Bank or any other body corporate, other than those arising from the ESGP.

Since the end of the previous financial year, no director has received or become entitled to receive a benefit (other than benefits included in the aggregate amount of emoluments received or due and receivable by the directors from the Bank and its related corporations, or the fixed salary of a full-time employee of the Bank as disclosed in Note 43 to the financial statements) by reason of a contract made by the Bank or its related corporations with the director or with a firm of which the director is a member, or with a company in which the director has a substantial financial interest.

The total remuneration paid to or receivables by directors of the Bank for the financial year ended:

	Group RM'000	Bank RM'000
Salary	**3,440**	**3,440**
Fees	**10,671**	**5,586**
Bonus	**7,830**	**7,830**
Retirement cost	**555**	**555**
ESGP expenses	**2,591**	**2,591**
Other remuneration	**4,478**	**3,626**
Estimated monetary value of benefits-in-kind	**777**	**682**
Indemnity given to or insurance effected for any directors	**1,579**	**1,493**
	31,921	**25,803**

DIRECTORS' INTERESTS

According to the register of directors' shareholdings, the interests of directors in office at the end of the financial year in shares and ESGP of the Bank during the financial year were as follows:

	Number of ordinary shares			
	As at 01.01.2025	Acquired	Issued pursuant to ESGP	As at 31.12.2025
Direct interest				
Fauziah binti Hisham	**21,435**	**2,000****	**–**	**21,435**
Dato' Sri Khairussaleh bin Ramli	**–**	**–**	**276,000**	**276,000**
	21,435	**2,000**	**276,000**	**299,435**
Indirect interest				
Shirley Goh	**10,090***	**1,100****	**–**	**10,090**

* Interest by virtue of shares held by spouse.
** Interest by virtue of shares held via children's account.

DIRECTORS' REPORT

31 DECEMBER 2025

DIRECTORS' INTERESTS (CONT'D.)

According to the register of directors' shareholdings, the interests of directors in office at the end of the financial year in shares and ESGP of the Bank during the financial year were as follows (cont'd.):

	Award date	Outstanding as at 01.01.2025	Movements during the financial year			Outstanding as at 31.12.2025
			Awarded	Vested	Forfeited	
Dato' Sri Khairussaleh bin Ramli	**ESGP2018**					
	30.09.2022 – Fifth Grant	**300,000**	**–**	**(276,000)**	**(24,000)**	**–**
	ESGP2023					
	20.09.2023 – First Grant	**409,000**	**–**	**–**	**–**	**409,000**
	08.03.2024 – Second Grant - Tranche 1	**409,000**	**–**	**–**	**–**	**409,000**
	30.04.2025 – Third Grant - Tranche 1	**–**	**409,000**	**–**	**–**	**409,000**
		1,118,000	**409,000**	**(276,000)**	**(24,000)**	**1,227,000**

None of the other directors in office at the end of the financial year had any interest in shares in the Bank or its related corporations during the financial year.

RATING BY EXTERNAL RATING AGENCIES

Details of the Bank's ratings are as follows:

Rating agency	Date	Rating classification	Rating received
Standard & Poor's ("S&P")	4 April 2025	Issuer Credit Rating	A-/Stable/A-2
		Junior Subordinated	BB+
		Senior Unsecured	A-
		Senior Unsecured	A-2
		Subordinated	BBB
Moody's Investors Service	29 July 2025	Outlook	Stable
		Bank Deposits	A3/P-2
		Baseline Credit Assessment	a3
		Adjusted Baseline Credit Assessment	a3
		Counterparty Risk Assessment	A2(cr)/P-1(cr)
		Senior Unsecured	A3
		Subordinate	(P)Baa2
		Commercial Paper	P-2
		Counterparty Risk Ratings	A2/P-1
RAM Ratings	19 December 2025	Financial Institution Ratings	AAA/Stable/P1
		RM20 billion Subordinated Note Programme (2012/-)	AA1/Stable
		RM10 billion Additional Tier-1 Capital Securities Programme (2014/-)	AA3/Stable
		RM30 billion Sukuk Programme (2017/-)	
		– Senior Sukuk Murabahah	AAA/Stable
		– Subordinated Sukuk Murabahah	AA1/Stable
		– Additional Tier-1 Sukuk Mudharabah	AA3/Stable
		RM10 billion Senior Medium Term Note Programme (2015/-)	AAA/Stable
		RM10 billion Commercial Paper/Medium Term Note Programme (2023/2030)	AAA/Stable/P1
Japan Credit Rating Agency	13 February 2026	Foreign Currency Long-term Issuer Rating	A+
		Outlook	Stable
		Bonds	A+

DIRECTORS' REPORT

31 DECEMBER 2025

BUSINESS OUTLOOK

Global GDP growth is expected to moderate at 3.0% in 2026 (2025: 3.2%), reflecting outlook for major economies, namely the US (2026: 2.3%; 2025: 2.3%) and China (2026: 4.5%; 2025: 5.0%), following cuts in the Federal Reserve's interest rate and ongoing structural and transitional challenges in China. ASEAN-6 GDP growth is expected to remain resilient at 4.8% in 2026 (2025: 5.0%), reflecting steady momentum in Indonesia, Malaysia and Thailand alongside improvement in the Philippines, while growth in Singapore and Vietnam moderated following the strong showing in 2025.

Malaysia's GDP is forecasted to grow 5.1% (2025: 5.2%), largely driven by domestic consumption, continued domestic investment and AI-driven global technology upcycles as well as expanded public sector spending. Despite external challenges, domestic economic activities, particularly investment, are expected to remain stable. This will be supported by key strategic initiatives, including the National Energy Transition Roadmap, the New Industrial Master Plan, Johor-Singapore Special Economic Zone and the New Incentives Framework. Bank Negara Malaysia is expected to maintain the Overnight Policy Rate at 2.75% for the year while inflation is forecasted to remain moderate at 1.8% (2025: 1.4%).

Singapore's GDP is estimated to remain robust and above-trend at 3.6% (2025: 5%) supported by the AI boom, construction activity and falling interest rates, which will cushion the impact of tariffs. The 3-month Singapore Overnight Rate Average ("SORA") rate is expected to ease further to 0.7% in 2026 on US Federal Reserve rate cuts and safe-haven inflows.

Indonesia's GDP growth is anticipated to slightly improve to 5.2% in 2026 (2025: 5.1%) as pro-growth fiscal and monetary policies support domestic demand, including national infrastructure projects and downstream investment. Headline inflation is projected to rise but remain within Bank Indonesia's target range at 2.8% (2025: 1.9%). Bank Indonesia is also expected to further ease its policy rate by 50bps to 4.25% in 2026 to support domestic economic activity.

Maybank Group will continue to grow its core businesses in the home markets and connect its regional footprints to serve its broad range of clients. The Group's ROAR30 strategy will build businesses at scale with focus on global Islamic Finance, regional wealth management, regional transactions and payments, and regional corporate and investment banking. It will also strengthen the foundation with investments in technology, data and AI in building a workforce of the future, as well as optimising productivity and capital. Values-based banking remains a strategic differentiator for the Group, aligned with its mission of Humanising Financial Services in delivering exceptional customer experiences, impacting society positively and powering the real economy to create economic value while delivering sustainable shareholder returns.

The Group remains committed to sustainability practices. These include pursuing the carbon neutral and net zero transition pathways supporting underserved communities, and embedding sustainability through financing commitments.

Asset quality management remains a priority to the Group in 2026. Maybank will seek to actively manage credit portfolios as well as maintain sound liquidity and strong capital levels to support disciplined asset growth.

Barring any unforeseen circumstances, the Group has set a Headline Return on Equity Key Performance Indicator ("KPI") of ≥11.8% for FY2026.

OTHER STATUTORY INFORMATION

(a) Before the statements of financial position and income statements of the Group and of the Bank were made out, the directors took reasonable steps:

  (i) to ascertain that proper action had been taken in relation to the writing off of bad debts and the making of allowances for doubtful debts and satisfied themselves that all known bad debts had been written off and that adequate allowances had been made for doubtful debts; and

  (ii) to ensure that any current assets which were unlikely to realise their values as shown in the accounting records in the ordinary course of business had been written down to an amount which they might be expected so to realise.

(b) At the date of this report, the directors are not aware of any circumstances which would render:

  (i) the amount written off for bad debts or the amount of the allowances for doubtful debts in the financial statements of the Group and of the Bank inadequate to any substantial extent; and

  (ii) the values attributed to current assets in the financial statements of the Group and of the Bank misleading.

(c) At the date of this report, the directors are not aware of any circumstances which have arisen which would render adherence to the existing method of valuation of assets or liabilities of the Group and of the Bank misleading or inappropriate.

(d) At the date of this report, the directors are not aware of any circumstances not otherwise dealt with in this report or the financial statements of the Group and of the Bank which would render any amount stated in the financial statements misleading.

DIRECTORS' REPORT

31 DECEMBER 2025

OTHER STATUTORY INFORMATION (CONT'D.)

(e) As at the date of this report, there does not exist:

(i) any charge on the assets of the Group and of the Bank which has arisen since the end of the financial year which secures the liabilities of any other person; or

(ii) any contingent liability of the Group or of the Bank which has arisen since the end of the financial year other than those arising in the normal course of business of the Group and of the Bank.

(f) In the opinion of the directors:

(i) no contingent liability or other liability has become enforceable or is likely to become enforceable within the period of twelve (12) months after the end of the financial year which will or may affect the ability of the Group and of the Bank to meet their obligations as and when they fall due; and

(ii) no item or transaction or event of a material and unusual nature has arisen in the interval between the end of the financial year and the date of this report which is likely to affect substantially the results of the operations of the Group or of the Bank for the financial year in which this report is made.

SIGNIFICANT AND SUBSEQUENT EVENTS

The significant and subsequent events are disclosed in Note 61 to the financial statements. There are no significant adjusting events after the statements of financial position date up to the date when the financial statements are authorised for issuance which is within the period from 1 January 2026 to 26 February 2026.

AUDITORS

The auditors, Ernst & Young PLT, have expressed their willingness to continue in office.

Auditors' remuneration of the Group and the Bank are RM40,566,000 and RM18,029,000 respectively. Details of auditors' remuneration are as set out in Note 42 to the Financial Statements.

Signed on behalf of the Board of Directors in accordance with a resolution of the directors dated 26 February 2026.

Tan Sri Dato' Sri Ir. Zamzamzairani bin Mohd Isa
Kuala Lumpur, Malaysia

Shirley Goh

STATEMENT BY DIRECTORS

PURSUANT TO SECTION 251(2) OF THE COMPANIES ACT 2016

We, Tan Sri Dato' Sri Ir. Zamzamzairani bin Mohd Isa and Shirley Goh, being two of the directors of Malayan Banking Berhad, do hereby state that, in the opinion of the directors, the accompanying financial statements set out on pages 28 to 300 are drawn up in accordance with MFRS Accounting Standards, IFRS Accounting Standards and the requirements of the Companies Act 2016 in Malaysia so as to give a true and fair view of the financial position of the Group and of the Bank as at 31 December 2025 and of the results and the cash flows of the Group and of the Bank for the financial year then ended.

Signed on behalf of the Board of Directors in accordance with a resolution of the directors dated 26 February 2026.



Tan Sri Dato' Sri Ir. Zamzamzairani bin Mohd Isa
Kuala Lumpur, Malaysia



Shirley Goh

STATUTORY DECLARATION

PURSUANT TO SECTION 251(1)(B) OF THE COMPANIES ACT 2016

I, Shafiq Bin Abdul Jabbar, being the officer primarily responsible for the financial management of Malayan Banking Berhad, do solemnly and sincerely declare that the accompanying financial statements set out on pages 28 to 300 are in my opinion correct and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Statutory Declarations Act, 1960.



Shafiq Bin Abdul Jabbar
MIA 23405

Subscribed and solemnly declared by the abovenamed Shafiq Bin Abdul Jabbar at Kuala Lumpur in Malaysia on 26 February 2026.

Before me,



Commissioner for Oaths



INDEPENDENT AUDITORS' REPORT

TO THE MEMBERS OF MALAYAN BANKING BERHAD (INCORPORATED IN MALAYSIA)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of Malayan Banking Berhad, which comprise the statements of financial position as at 31 December 2025 of the Group and of the Bank, and the income statements, statements of comprehensive income, statements of changes in equity and statements of cash flows of the Group and of the Bank for the financial year then ended, and notes to the financial statements, including material accounting policy information, as set out on pages 28 to 300.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and of the Bank as at 31 December 2025, and of their financial performance and their cash flows for the financial year then ended in accordance with MFRS Accounting Standards, IFRS Accounting Standards and the requirements of the Companies Act 2016 in Malaysia.

Basis for opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Auditors' responsibilities for the audit of the financial statements* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Independence and other ethical responsibilities

We are independent of the Group and of the Bank in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("By-Laws") and the International Code of Ethics for Professional Accountants (including International Independence Standards) ("IESBA Code"), as applicable to audits of financial statements of public interest entities and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the Group and of the Bank for the current financial year. These matters were addressed in the context of our audit of the financial statements of the Group and of the Bank as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the *Auditors' responsibilities for the audit of the financial statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements of the Group and of the Bank. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis of our audit opinion on the accompanying financial statements.

Risk area and rationale	***Our response***
Impairment of (i) goodwill and (ii) investment in subsidiaries and interest in associates (i) Goodwill The Group's goodwill balance as at 31 December 2025 stood at RM4.8 billion. Goodwill impairment testing of cash generating units ("CGUs") relies on estimates of value-in-use ("VIU") based on estimated future cash flows. The Group is required to annually test the amount of goodwill for impairment. (ii) Investment in subsidiaries and interest in associates As at 31 December 2025, the carrying amount of investment in subsidiaries (Bank only) stood at RM37.1 billion and interest in associates (Group and Bank) stood at RM1.8 billion and RM0.4 billion respectively. Similarly, we focused on impairment assessment of investment in subsidiaries and interest in associates as the impairment testing relies on VIU estimates based on estimated future cash flows. These involve management judgements and are based on complex assumptions that are affected by expected future market and economic conditions, including uncertainties from emerging risks. *Refer to summary of material accounting policies information in Notes 2.3(i), 2.3(ii) and 2.3(iii), significant accounting judgements, estimates and assumptions in Notes 3.6 and 3.7 and the disclosure of (i) goodwill and (ii) investment in subsidiaries and interest in associates in Notes 18, 19 and 22 to the financial statements.*	Our audit procedures included, among others, evaluating the assumptions and methodologies used by the Group and the Bank in performing the impairment assessment. We tested the basis of preparing the cash flow forecasts, taking into account the back testing results on the accuracy of previous forecasts and the historical evidence supporting underlying assumptions. We assessed the appropriateness of the other key assumptions, such as the weighted average cost of capital discount rates assigned to the CGUs, as well as the long-term growth rate, by comparing against internal information, and external economic and market data, including emerging risks. We assessed the sensitivity analysis performed by management on the key inputs to the impairment models, to understand the impact that reasonable alternative assumptions would have on the overall recoverable amounts. We also reviewed the adequacy of the Group's and of the Bank's disclosures within the financial statements on those assumptions to which the outcome of the impairment test is most sensitive.

INDEPENDENT AUDITORS' REPORT

TO THE MEMBERS OF MALAYAN BANKING BERHAD (INCORPORATED IN MALAYSIA)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (CONT'D.)

Key audit matters (cont'd.)

Risk area and rationale	*Our response*
Expected credit losses of loans, advances and financing and investments not carried at fair value through profit or loss As at 31 December 2025, the loans, advances and financing represent 64.3% and 48.2% of the total assets of the Group and of the Bank respectively, and the investments carried at amortised cost and fair value through other comprehensive income represent 18.8% and 23.7% of the total assets of the Group and of the Bank respectively. MFRS 9 Financial Instruments ("MFRS 9") requires the Group and the Bank to account for the impairment of these assets with a forward-looking Expected Credit Losses ("ECL") approach. The measurement of ECL requires the application of significant judgement and increased complexity which includes the identification of on-balance sheet and off-balance sheet credit exposures with significant deterioration in credit quality, assumptions used in the ECL models (for exposures assessed individually or collectively) such as the expected future cash flows, forward-looking macroeconomic factors and probability-weighted multiple scenarios. Management overlays have been applied due to uncertainties from emerging risks. *Refer to summary of material accounting policies information in Note 2.3(v)(d), significant accounting judgements, estimates and assumptions in Notes 3.2 and 3.4 and the disclosures of loans, advances and financing and investments, allowances for impairment losses, impairment assessment considerations and credit risk management in Notes 10, 11, 12, 44, 45, 53(b), 53(c) and 53(e) to the financial statements.*	Our audit procedures included the assessment of key controls over the origination, segmentation, ongoing internal credit quality assessments, recording and monitoring of the loans, advances and financing and the investments. We also assessed the processes and effectiveness of key controls over the transfer criteria (for the three stages of credit exposures under MFRS 9 in accordance with credit quality), impairment measurement methodologies, governance for development, maintenance and validation of ECL models, inputs, basis and assumptions used by the Group and the Bank in staging the credit exposures and calculating the ECL. For staging and identification of credit exposures with significant deterioration in credit quality, we assessed and tested the reasonableness of the transfer criteria applied by the Group and the Bank for different types of credit exposures. We evaluated if the transfer criteria are consistent with the Group's and the Bank's credit risk management practices. For the measurement of ECL, we assessed and tested reasonableness of the Group's and of the Bank's ECL models, including model inputs, model design and model performance for significant portfolios. We challenged whether historic experience is representative of current circumstances and of the recent losses incurred in the portfolios and assessed the reasonableness of forward-looking adjustments, macroeconomic factor analysis and probability-weighted multiple scenarios. We evaluated if changes in modelling approaches, parameters and assumptions are needed and if any changes made were appropriate. We also assessed, tested and monitored the sensitivity of the credit loss provisions to changes in modelling assumptions. In assessing the management overlays applied in the ECL amid current environment uncertainties from emerging risks, we performed scenario analysis to cross-check the impacts and challenged reasonableness of the basis applied by the management, particularly for the asset under Stages 1 and 2. With respect to individually assessed ECL which are mainly in relation to the impaired assets in Stage 3, we reviewed and tested a sample of loans, advances and financing and investments to evaluate the timely identification by the Group and the Bank of exposures with significant deterioration in credit quality or which have been impaired. For cases where impairment has been identified, we assessed the Group's and the Bank's assumptions on the expected future cash flows, including the value of realisable collaterals based on available market information and the multiple scenarios considered. We also challenged the assumptions and compared estimates to external evidence where available, including the management overlays applied due to uncertainties from emerging risks. We also assessed whether the financial statements disclosures adequately and appropriately reflect the Group's and the Bank's exposures to credit risk. We involved our credit modelling specialists and IT specialists in the performance of these procedures where their specific expertise was required.

INDEPENDENT AUDITORS' REPORT

TO THE MEMBERS OF MALAYAN BANKING BERHAD (INCORPORATED IN MALAYSIA)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (CONT'D.)

Information other than the financial statements and auditors' report thereon

The directors of the Bank are responsible for the other information. The other information comprises the directors' report and the annual report, but does not include the financial statements of the Group and of the Bank and our auditors' report thereon. The annual report is expected to be made available to us after the date of this auditors' report.

Our opinion on the financial statements of the Group and of the Bank does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Group and of the Bank, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of the Group and of the Bank or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditors' report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the annual report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to the directors of the Bank and take appropriate action.

Responsibilities of the directors for the financial statements

The directors of the Bank are responsible for the preparation of financial statements of the Group and of the Bank that give a true and fair view in accordance with MFRS Accounting Standards, IFRS Accounting Standards and the requirements of the Companies Act 2016 in Malaysia. The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of financial statements of the Group and of the Bank that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of the Bank, the directors are responsible for assessing the Group's and the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or the Bank or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of the Bank as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Group and of the Bank, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and of the Bank's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's or the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Group and of the Bank or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group or the Bank to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements of the Group and of the Bank, including the disclosures, and whether the financial statements of the Group and of the Bank represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the financial statements of the Group. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

INDEPENDENT AUDITORS' REPORT

TO THE MEMBERS OF MALAYAN BANKING BERHAD (INCORPORATED IN MALAYSIA)

REPORT ON THE FINANCIAL STATEMENTS (CONT'D.)

Auditors' responsibilities for the audit of the financial statements (cont'd.)

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

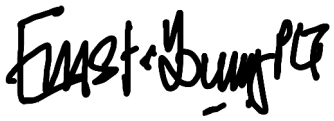
From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the financial statements of the Group and of the Bank for the current financial year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

In accordance with the requirements of the Companies Act 2016 in Malaysia, we report that the subsidiaries of which we have not acted as auditors, are disclosed in Note 64 to the financial statements.

OTHER MATTERS

This report is made solely to the members of the Bank, as a body, in accordance with Section 266 of the Companies Act 2016 in Malaysia and for no other purpose. We do not assume responsibility to any other person for the content of this report.



Ernst & Young PLT
202006000003 (LLP0022760-LCA) & AF 0039
Chartered Accountants

Kuala Lumpur, Malaysia
26 February 2026



Muhammad Syarizal bin Abdul Rahim
No. 03157/01/2027 J
Chartered Accountant

INDEX TO THE FINANCIAL STATEMENTS

FINANCIAL STATEMENTS	PAGE
Statements of financial position	28
Income statements	29
Statements of comprehensive income	30
Consolidated statement of changes in equity	31
Statement of changes in equity	33
Statements of cash flows	34

NOTES TO THE FINANCIAL STATEMENTS	PAGE
1. Corporate information	36
2. Accounting policies	36
3. Significant accounting judgements, estimates and assumptions	59
4. Standards and annual improvements to standards issued but not yet effective	62
5. Cash and short-term funds	65
6. Deposits and placements with financial institutions	66
7. Financial assets purchased under resale agreements and obligations on financial assets sold under repurchase agreements	69
8. Financial assets designated upon initial recognition at fair value through profit or loss ("FVTPL")	71
9. Financial investments at fair value through profit or loss ("FVTPL")	71
10. Financial investments at fair value through other comprehensive income ("FVOCI")	73
11. Financial investments at amortised cost	76
12. Loans, advances and financing	80
13. Derivative financial instruments and hedge accounting	89
14. Insurance contract/takaful certificate assets/liabilities and reinsurance contract/retakaful certificate assets/liabilities	93
15. Other assets	96
16. Investment properties	97
17. Statutory deposits with central banks	98
18. Investment in subsidiaries	99
19. Interest in associates and joint venture	102
20. Property, plant and equipment	104
21. Right-of-use assets	109
22. Intangible assets	111
23. Deposits from customers	115
24. Deposits and placements from financial institutions	116
25. Financial liabilities at fair value through profit or loss ("FVTPL")	117
26. Other liabilities	118
27. Provision for taxation and zakat	125
28. Deferred tax	125
29. Borrowings	129
30. Subordinated obligations	133
31. Capital securities	134
32. Share capital, share-based payments and shares held-in-trust	135
33. Retained profits	140

NOTES TO THE FINANCIAL STATEMENTS	PAGE
34. Reserves	141
35. Operating revenue	142
36. Interest income	143
37. Interest expense	143
38. Insurance/takaful service result	144
39. Dividends from subsidiaries and associates	145
40. Other operating income	146
41. Net insurance/takaful investment/finance result	147
42. Overhead expenses	148
43. Directors' fees and remuneration	150
44. Allowances for/(writeback of) impairment losses on loans, advances, financing and other debts, net	153
45. Allowances for/(writeback of) impairment losses on financial investments, net	153
46. Allowances for/(writeback of) impairment losses on other assets and investment in associate/subsidiary, net	154
47. Taxation and zakat	155
48. Significant related party transactions and balances	156
49. Credit exposure arising from credit transactions with connected parties	161
50. Earnings per share ("EPS")	161
51. Dividends	162
52. Commitments and contingencies	163
53. Financial risk management policies	166
54. Fair value measurements	224
55. Offsetting of financial assets and financial liabilities	236
56. Capital and other commitments	237
57. Capital management	237
58. Internal capital adequacy assessment process ("ICAAP")	238
59. Capital adequacy	239
60. Segment information	243
61. Significant and subsequent events	247
62. Income statement and statement of financial position of insurance and takaful business	248
63. The operations of Islamic Banking Scheme ("IBS")	250
64. Details of subsidiaries, deemed controlled structured entities, associates and joint ventures	292
65. Currency	296
66. Directors of subsidiaries of the Group	297
67. Financial Data for Shariah Screening Disclosure	301

STATEMENTS OF FINANCIAL POSITION

AS AT 31 DECEMBER 2025

	Note	Group		Bank	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Assets					
Cash and short-term funds	5	**28,328,140**	40,522,520	**23,860,757**	27,212,276
Deposits and placements with financial institutions	6	**14,030,366**	22,275,032	**29,613,139**	38,309,616
Financial assets purchased under resale agreements	7(i)	**8,812,426**	16,630,783	**9,736,966**	17,608,327
Financial assets designated upon initial recognition at fair value through profit or loss	8	**12,905,693**	12,933,334	**–**	–
Financial investments at fair value through profit or loss	9	**46,066,479**	33,274,540	**21,483,165**	15,404,523
Financial investments at fair value through other comprehensive income	10	**116,964,234**	128,177,404	**65,619,846**	68,927,203
Financial investments at amortised cost	11	**80,786,440**	79,377,492	**67,965,825**	64,681,307
Loans, advances and financing to financial institutions	12(i)	**907,213**	2,033,225	**49,564,603**	48,321,215
Loans, advances and financing to customers	12(ii)	**676,981,380**	662,740,860	**221,415,399**	233,474,014
Derivative assets	13	**17,640,228**	23,417,580	**17,405,045**	23,331,778
Insurance contract/takaful certificate assets	14(i)	**103,165**	75,199	**–**	–
Reinsurance contract/retakaful certificate assets	14(ii)	**5,274,445**	5,910,059	**–**	–
Other assets	15	**17,316,342**	15,486,024	**11,827,919**	9,423,930
Investment properties	16	**1,042,622**	1,038,657	**–**	–
Statutory deposits with central banks	17	**11,958,915**	17,166,509	**3,051,218**	4,648,095
Investment in subsidiaries	18	**–**	–	**37,133,790**	35,575,751
Interest in associates and joint venture	19	**1,832,384**	1,857,728	**438,859**	438,859
Property, plant and equipment	20	**2,458,303**	2,283,097	**987,923**	861,851
Right-of-use assets	21	**1,924,027**	1,456,464	**1,285,210**	460,130
Intangible assets	22	**6,532,573**	6,993,290	**815,001**	664,603
Deferred tax assets	28	**1,718,218**	1,672,159	**385,973**	296,655
Total assets		**1,053,583,593**	1,075,321,956	**562,590,638**	589,640,133
Liabilities					
Customers' funding:					
– Deposits from customers	23	**698,210,227**	712,915,459	**300,346,778**	310,608,986
– Investment accounts of customers*	63(t)	**32,782,974**	28,981,847	**–**	–
Deposits and placements from financial institutions	24	**42,587,329**	47,051,220	**69,888,618**	76,999,224
Obligations on financial assets sold under repurchase agreements	7(ii)	**25,899,425**	32,831,691	**33,949,068**	46,954,812
Derivative liabilities	13	**24,535,876**	27,494,477	**24,156,646**	26,984,480
Financial liabilities at fair value through profit or loss	25	**9,583,737**	11,943,454	**6,748,860**	7,429,042
Bills and acceptances payable		**1,452,395**	1,214,634	**608,709**	466,170
Insurance contract/takaful certificate liabilities	14(i)	**47,093,930**	46,102,335	**–**	–
Reinsurance contract/retakaful certificate liabilities	14(ii)	**32,762**	27,063	**–**	–
Other liabilities	26	**29,115,493**	27,507,979	**14,814,278**	13,692,978
Provision for taxation and zakat	27	**395,791**	294,643	**–**	–
Deferred tax liabilities	28	**814,707**	755,338	**–**	–
Borrowings	29	**28,207,145**	28,260,101	**16,802,922**	15,546,427
Subordinated obligations	30	**14,452,872**	11,157,808	**14,138,570**	10,843,439
Capital securities	31	**1,577,087**	1,576,770	**1,577,087**	1,576,770
Total liabilities		**956,741,750**	978,114,819	**483,031,536**	511,102,328
Equity attributable to equity holders of the Bank					
Share capital	32	**54,882,333**	54,736,195	**54,882,333**	54,736,195
Shares held-in-trust	32(c)	**(78)**	(1,764)	**(78)**	(1,764)
Retained profits	33	**37,756,235**	34,028,358	**20,053,014**	16,822,741
Reserves	34	**806,137**	5,207,839	**4,623,833**	6,980,633
		93,444,627	93,970,628	**79,559,102**	78,537,805
Non-controlling interests		**3,397,216**	3,236,509	**–**	–
		96,841,843	97,207,137	**79,559,102**	78,537,805
Total liabilities and shareholders' equity		**1,053,583,593**	1,075,321,956	**562,590,638**	589,640,133
Commitments and contingencies	52	**2,069,301,088**	2,919,100,070	**1,965,141,573**	2,803,815,918
Net assets per share attributable to equity holders of the Bank		**RM7.73**	RM7.79	**RM6.59**	RM6.51

* Investment accounts of customers are used to fund financing and advances as disclosed in Note 63(l).

The accompanying notes form an integral part of the financial statements.

INCOME STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

	Note	Group 2025 RM'000	Group 2024 RM'000	Bank 2025 RM'000	Bank 2024 RM'000
Operating revenue	35	**66,369,232**	68,942,785	**34,208,230**	36,528,832
Interest income	36	**29,351,194**	32,769,873	**20,200,643**	22,887,904
Interest expense	37	**(16,194,182)**	(19,962,450)	**(12,818,316)**	(15,869,379)
Net interest income		**13,157,012**	12,807,423	**7,382,327**	7,018,525
Income from Islamic Banking Scheme operations	63(b)	**8,653,273**	8,346,399	**–**	–
		21,810,285	21,153,822	**7,382,327**	7,018,525
Insurance/takaful service result	38	**1,755,748**	1,284,513	**–**	–
Dividends from subsidiaries and associates	39	**–**	–	**5,537,700**	4,191,743
Other operating income	40	**9,019,554**	9,066,000	**5,904,972**	5,796,183
Total operating income		**32,585,587**	31,504,335	**18,824,999**	17,006,451
Net insurance/takaful investment/finance result	41	**(2,206,086)**	(1,931,829)	**–**	–
Net operating income		**30,379,501**	29,572,506	**18,824,999**	17,006,451
Overhead expenses	42	**(14,839,199)**	(14,460,235)	**(7,137,004)**	(6,893,494)
Operating profit before impairment losses		**15,540,302**	15,112,271	**11,687,995**	10,112,957
(Allowances for)/writeback of impairment losses on loans, advances, financing and other debts, net	44	**(562,136)**	(1,670,545)	**335,612**	(148,291)
(Allowances for)/writeback of impairment losses on financial investments, net	45	**(847,242)**	42,353	**(2,405)**	136,132
Allowances for impairment losses on other assets and investment in associate/subsidiary, net	46	**(71,398)**	(18,816)	**(348,283)**	(12,112)
Operating profit		**14,059,526**	13,465,263	**11,672,919**	10,088,686
Share of profits in associates and joint venture	19	**274,268**	236,302	**–**	–
Profit before taxation and zakat		**14,333,794**	13,701,565	**11,672,919**	10,088,686
Taxation and zakat	47	**(3,502,446)**	(3,195,179)	**(1,561,084)**	(1,434,846)
Profit for the financial year		**10,831,348**	10,506,386	**10,111,835**	8,653,840
Attributable to:					
Equity holders of the Bank		**10,513,948**	10,088,673	**10,111,835**	8,653,840
Non-controlling interests		**317,400**	417,713	**–**	–
		10,831,348	10,506,386	**10,111,835**	8,653,840
Earnings per share attributable to equity holders of the Bank					
Basic (sen)	50(a)	**87.05**	83.61		
Diluted (sen)	50(b)	**87.05**	83.61		

Dividends per ordinary share held by equity holders of the Bank in respect of the financial year (sen)		Bank 2025	Bank 2024
Paid – First interim for financial year ended 31 December 2025	51	**30.00**	**–**
Paid – Second interim for the financial year ended 31 December 2024	51	**32.00**	**–**
Paid – First interim for the financial year ended 31 December 2024	51	**–**	29.00
Paid – Second interim for the financial year ended 31 December 2023	51	**–**	31.00
Declared – Second interim for the financial year ended 31 December 2025	51(a)	**33.00**	**–**
Declared – Second interim for the financial year ended 31 December 2024		**–**	32.00

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF COMPREHENSIVE INCOME

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

	Note	Group		Bank	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Profit for the financial year		**10,831,348**	10,506,386	**10,111,835**	8,653,840
Other comprehensive loss:					
Items that will not be reclassified subsequently to profit or loss:					
Defined benefit plan actuarial gain	26(i)(b)	**38,565**	22,259	**–**	–
Income tax effect	28	**(7,540)**	(6,548)	**–**	–
Net (loss)/gain from change in fair value on equity instruments at fair value through other comprehensive income		**(175,314)**	97,998	**(82,016)**	5,936
		(144,289)	113,709	**(82,016)**	5,936
Items that may be reclassified subsequently to profit or loss:					
Net gain/(loss) on debt instruments at fair value through other comprehensive income		**710,352**	(775,241)	**(86,451)**	(641,800)
– Net loss from change in fair value		**(32,587)**	(840,246)	**(267,605)**	(603,920)
– Changes in expected credit losses		**666,069**	(153,283)	**80,455**	(182,776)
– Income tax effect	28	**76,870**	218,288	**100,699**	144,896
Net loss on foreign exchange translation		**(3,986,444)**	(2,444,251)	**(1,542,114)**	(698,614)
Cost of hedging for fair value hedge		**6,145**	(53,062)	**6,145**	(53,062)
Net loss on capital reserve		**(548)**	(1,483)	**–**	–
Net gain on revaluation reserve		**1**	3	**–**	–
Share of change in associates' reserve		**(191,599)**	(276,482)	**–**	–
Net insurance finance/investment result		**(54,324)**	(107,690)	**–**	–
		(3,516,417)	(3,658,206)	**(1,622,420)**	(1,393,476)
Other comprehensive loss for the financial year, net of tax		**(3,660,706)**	(3,544,497)	**(1,704,436)**	(1,387,540)
Total comprehensive income for the financial year		**7,170,642**	6,961,889	**8,407,399**	7,266,300
Other comprehensive (loss)/income for the financial year, attributable to:					
Equity holders of the Bank		**(3,653,847)**	(3,548,191)	**(1,704,436)**	(1,387,540)
Non-controlling interests		**(6,859)**	3,694	**–**	–
		(3,660,706)	(3,544,497)	**(1,704,436)**	(1,387,540)
Total comprehensive income for the financial year, attributable to:					
Equity holders of the Bank		**6,860,101**	6,540,482	**8,407,399**	7,266,300
Non-controlling interests		**310,541**	421,407	**–**	–
		7,170,642	6,961,889	**8,407,399**	7,266,300

The accompanying notes form an integral part of the financial statements.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

Group	Attributable to equity holders of the Bank										Non-controlling Interests RM'000	Total Equity RM'000
	Non-distributable											
	Share Capital (Note 32) RM'000	Shares Held-in-trust (Note 32(c)) RM'000	Statutory Reserve (Note 34(a)) RM'000	Regulatory Reserve (Note 34(b)) RM'000	Fair Value Through Other Comprehensive Income Reserve (Note 34) RM'000	Exchange Fluctuation Reserve (Note 34) RM'000	ESGP Reserve (Note 34) RM'000	Other Reserves (Note 34(c)) RM'000	*Retained Profits (Note 33) RM'000	Total Shareholders' Equity RM'000		
At 1 January 2025	**54,736,195**	**(1,764)**	**502,436**	**2,846,576**	**2,731,389**	**(532,658)**	**110,928**	**(450,832)**	**34,028,358**	**93,970,628**	**3,236,509**	**97,207,137**
Profit for the financial year	–	–	–	–	–	–	–	–	**10,513,948**	**10,513,948**	**317,400**	**10,831,348**
Other comprehensive income/ (loss)	–	–	–	–	**571,053**	**(4,221,338)**	–	**(3,562)**	–	**(3,653,847)**	**(6,859)**	**(3,660,706)**
Defined benefit plan actuarial gain	–	–	–	–	–	–	–	**28,178**	–	**28,178**	**2,847**	**31,025**
Share of associates' reserve	–	–	–	–	**58,401**	**(250,000)**	–	–	–	**(191,599)**	–	**(191,599)**
Net loss on foreign exchange translation	–	–	–	–	–	**(3,971,338)**	–	–	–	**(3,971,338)**	**(15,106)**	**(3,986,444)**
Net gain on financial investments at fair value through other comprehensive income	–	–	–	–	**512,652**	–	–	–	–	**512,652**	**22,386**	**535,038**
Cost of hedging for fair value hedge	–	–	–	–	–	–	–	**6,145**	–	**6,145**	–	**6,145**
Net loss on capital reserve	–	–	–	–	–	–	–	**(526)**	–	**(526)**	**(22)**	**(548)**
Net gain on revaluation reserve	–	–	–	–	–	–	–	–	–	–	**1**	**1**
Net insurance finance/ investment result	–	–	–	–	–	–	–	**(37,359)**	–	**(37,359)**	**(16,965)**	**(54,324)**
Total comprehensive income/ (loss) for the financial year	–	–	–	–	**571,053**	**(4,221,338)**	–	**(3,562)**	**10,513,948**	**6,860,101**	**310,541**	**7,170,642**
Net gain on disposal of financial investments at fair value through other comprehensive income	–	–	–	–	**(21,484)**	–	–	–	**21,484**	–	–	–
Share-based payment under Maybank Group Employees' Share Grant Plan ("ESGP") (Note 32(b))	–	–	–	–	–	–	**99,654**	–	–	**99,654**	–	**99,654**
Effects of changes in corporate structure within the Group	–	–	–	–	–	–	–	–	–	–	**(25,592)**	**(25,592)**
Effect of net acquisition from/ disposal to non-controlling interests	–	–	–	–	–	–	–	–	–	–	**2,665**	**2,665**
Transfer to statutory reserve (Note 34(a))	–	–	**14,730**	–	–	–	–	–	**(14,730)**	–	–	–
Transfer from regulatory reserve (Note 34(b))	–	–	–	**(755,161)**	–	–	–	–	**755,161**	–	–	–
Issue of shares pursuant to Maybank Group ESGP	**146,138**	**1,686**	–	–	–	–	**(85,594)**	–	**(62,230)**	–	–	–
Dividends paid (Note 51)	–	–	–	–	–	–	–	–	**(7,485,756)**	**(7,485,756)**	**(126,907)**	**(7,612,663)**
Total transactions with shareholders/other equity movements	**146,138**	**1,686**	**14,730**	**(755,161)**	**(21,484)**	–	**14,060**	–	**(6,786,071)**	**(7,386,102)**	**(149,834)**	**(7,535,936)**
At 31 December 2025	**54,882,333**	**(78)**	**517,166**	**2,091,415**	**3,280,958**	**(4,753,996)**	**124,988**	**(454,394)**	**37,756,235**	**93,444,627**	**3,397,216**	**96,841,843**

* Retained profits include distributable and non-distributable profits arising from Non-Distributable Life Funds surplus of an insurance subsidiary. Refer to Note 33 for further details.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

Group	Attributable to equity holders of the Bank										Non-controlling Interests RM'000	Total Equity RM'000
	Non-distributable											
	Share Capital (Note 32) RM'000	Shares Held-in-trust (Note 32(c)) RM'000	Statutory Reserve (Note 34(a)) RM'000	Regulatory Reserve (Note 34(b)) RM'000	Fair Value Through Other Comprehensive Income Reserve (Note 34) RM'000	Exchange Fluctuation Reserve (Note 34) RM'000	ESGP Reserve (Note 34) RM'000	Other Reserves (Note 34(c)) RM'000	*Retained Profits (Note 33) RM'000	Total Shareholders' Equity RM'000		
At 1 January 2024	54,673,596	(1,203)	435,860	2,473,192	3,449,495	2,183,168	90,750	(336,042)	31,672,801	94,641,617	3,006,546	97,648,163
Profit for the financial year	–	–	–	–	–	–	–	–	10,088,673	10,088,673	417,713	10,506,386
Other comprehensive (loss)/ income	–	–	–	–	(717,575)	(2,715,826)	–	(114,790)	–	(3,548,191)	3,694	(3,544,497)
Defined benefit plan actuarial gain	–	–	–	–	–	–	–	14,042	–	14,042	1,669	15,711
Share of associates' reserve	–	–	–	–	8,096	(284,578)	–	–	–	(276,482)	–	(276,482)
Net loss on foreign exchange translation	–	–	–	–	–	(2,431,248)	–	–	–	(2,431,248)	(13,003)	(2,444,251)
Net (loss)/gain on financial investments at fair value through other comprehensive income	–	–	–	–	(725,671)	–	–	–	–	(725,671)	48,428	(677,243)
Cost of hedging for fair value hedge	–	–	–	–	–	–	–	(53,062)	–	(53,062)	–	(53,062)
Net loss on capital reserve	–	–	–	–	–	–	–	(1,410)	–	(1,410)	(73)	(1,483)
Net gain on revaluation reserve	–	–	–	–	–	–	–	–	–	–	3	3
Net insurance finance/ investment result	–	–	–	–	–	–	–	(74,360)	–	(74,360)	(33,330)	(107,690)
Total comprehensive (loss)/ income for the financial year	–	–	–	–	(717,575)	(2,715,826)	–	(114,790)	10,088,673	6,540,482	421,407	6,961,889
Net gain on disposal of financial investments at fair value through other comprehensive income	–	–	–	–	(531)	–	–	–	531	–	–	–
Share-based payment under Maybank Group Employees' Share Grant Plan ("ESGP") (Note 32(b))	–	–	–	–	–	–	82,216	–	–	82,216	–	82,216
Effects of changes in corporate structure within the Group	–	–	–	–	–	–	–	–	(53,516)	(53,516)	(22,824)	(76,340)
Effect of net acquisition from/ disposal to non-controlling interests	–	–	–	–	–	–	–	–	–	–	12,060	12,060
Transfer to statutory reserve (Note 34(a))	–	–	66,576	–	–	–	–	–	(66,576)	–	–	–
Transfer to regulatory reserve (Note 34(b))	–	–	–	373,384	–	–	–	–	(373,384)	–	–	–
Issue of shares pursuant to Maybank Group ESGP	62,599	(561)	–	–	–	–	(62,038)	–	–	–	–	–
Dividends paid (Note 51)	–	–	–	–	–	–	–	–	(7,240,171)	(7,240,171)	(180,680)	(7,420,851)
Total transactions with shareholders/other equity movements	62,599	(561)	66,576	373,384	(531)	–	20,178	–	(7,733,116)	(7,211,471)	(191,444)	(7,402,915)
At 31 December 2024	54,736,195	(1,764)	502,436	2,846,576	2,731,389	(532,658)	110,928	(450,832)	34,028,358	93,970,628	3,236,509	97,207,137

* Retained profits include distributable and non-distributable profits arising from Non-Distributable Life Funds surplus of an insurance subsidiary. Refer to Note 33 for further details.

The accompanying notes form an integral part of the financial statements.

STATEMENT OF CHANGES IN EQUITY

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

Bank	Attributable to equity holders of the Bank									
		Non-distributable								
	Share Capital (Note 32) RM'000	Shares Held-in-trust (Note 32(c)) RM'000	Statutory Reserve (Note 34(a)) RM'000	Regulatory Reserve (Note 34(b)) RM'000	Fair Value Through Other Comprehensive Income Reserve (Note 34) RM'000	Exchange Fluctuation Reserve (Note 34) RM'000	ESGP Reserve (Note 34) RM'000	Hedge Reserve (Note 34(c)) RM'000	Distributable Retained Profits (Note 33) RM'000	Total Equity RM'000
At 1 January 2025	**54,736,195**	**(1,764)**	**98,094**	**2,230,452**	**1,763,015**	**2,790,276**	**110,928**	**(12,132)**	**16,822,741**	**78,537,805**
Profit for the financial year	–	–	–	–	–	–	–	–	**10,111,835**	**10,111,835**
Other comprehensive (loss)/income	–	–	–	–	**(168,467)**	**(1,542,114)**	–	**6,145**	–	**(1,704,436)**
Net loss on foreign exchange translation	–	–	–	–	–	**(1,542,114)**	–	–	–	**(1,542,114)**
Net loss on financial investments at fair value through other comprehensive income	–	–	–	–	**(168,467)**	–	–	–	–	**(168,467)**
Cost of hedging for fair value hedge	–	–	–	–	–	–	–	**6,145**	–	**6,145**
Total comprehensive (loss)/income for the financial year	–	–	–	–	**(168,467)**	**(1,542,114)**	–	**6,145**	**10,111,835**	**8,407,399**
Share-based payment under Maybank Group Employees' Share Grant Plan ("ESGP") (Note 32(b))	–	–	–	–	–	–	**99,654**	–	–	**99,654**
Transfer to statutory reserve (Note 34(a))	–	–	**9,357**	–	–	–	–	–	**(9,357)**	–
Transfer to regulatory reserve (Note 34(b))	–	–	–	**(675,781)**	–	–	–	–	**675,781**	–
Issue of shares pursuant to Maybank Group ESGP	**146,138**	**1,686**	–	–	–	–	**(85,594)**	–	**(62,230)**	–
Dividends paid (Note 51)	–	–	–	–	–	–	–	–	**(7,485,756)**	**(7,485,756)**
Total transactions with shareholders/ other equity movements	**146,138**	**1,686**	**9,357**	**(675,781)**	–	–	**14,060**	–	**(6,881,562)**	**(7,386,102)**
At 31 December 2025	**54,882,333**	**(78)**	**107,451**	**1,554,671**	**1,594,548**	**1,248,162**	**124,988**	**(5,987)**	**20,053,014**	**79,559,102**

Bank	Attributable to equity holders of the Bank									
		Non-distributable								
	Share Capital (Note 32) RM'000	Shares Held-in-trust (Note 32(c)) RM'000	Statutory Reserve (Note 34(a)) RM'000	Regulatory Reserve (Note 34(b)) RM'000	Fair Value Through Other Comprehensive Income Reserve (Note 34) RM'000	Exchange Fluctuation Reserve (Note 34) RM'000	ESGP Reserve (Note 34) RM'000	Hedge Reserve (Note 34(c)) RM'000	Distributable Retained Profits (Note 33) RM'000	Total Equity RM'000
At 1 January 2024	54,673,596	(1,203)	85,340	1,829,556	2,398,837	3,488,890	90,750	40,930	15,822,764	78,429,460
Profit for the financial year	–	–	–	–	–	–	–	–	8,653,840	8,653,840
Other comprehensive loss	–	–	–	–	(635,864)	(698,614)	–	(53,062)	–	(1,387,540)
Net loss on foreign exchange translation	–	–	–	–	–	(698,614)	–	–	–	(698,614)
Net loss on financial investments at fair value through other comprehensive income	–	–	–	–	(635,864)	–	–	–	–	(635,864)
Cost of hedging for fair value hedge	–	–	–	–	–	–	–	(53,062)	–	(53,062)
Total comprehensive (loss)/income for the financial year					(635,864)	(698,614)	–	(53,062)	8,653,840	7,266,300
Net loss on disposal of financial investments at fair value through other comprehensive income	–	–	–	–	42	–	–	–	(42)	–
Share-based payment under Maybank Group Employees' Share Grant Plan ("ESGP") (Note 32(b))	–	–	–	–	–	–	82,216	–	–	82,216
Transfer to statutory reserve (Note 34(a))	–	–	12,754	–	–	–	–	–	(12,754)	–
Transfer to regulatory reserve (Note 34(b))	–	–	–	400,896	–	–	–	–	(400,896)	–
Issue of shares pursuant to Maybank Group ESGP	62,599	(561)	–	–	–	–	(62,038)	–	–	–
Dividends paid (Note 51)	–	–	–	–	–	–	–	–	(7,240,171)	(7,240,171)
Total transactions with shareholders/ other equity movements	62,599	(561)	12,754	400,896	42	–	20,178	–	(7,653,863)	(7,157,955)
At 31 December 2024	54,736,195	(1,764)	98,094	2,230,452	1,763,015	2,790,276	110,928	(12,132)	16,822,741	78,537,805

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CASH FLOWS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Cash flows from operating activities				
Profit before taxation and zakat	**14,333,794**	13,701,565	**11,672,919**	10,088,686
Adjustments for:				
Share of profits in associates and joint venture (Note 19)	**(274,268)**	(236,302)	**–**	–
Depreciation of property, plant and equipment (Notes 38(ii) & 42)	**312,192**	334,511	**70,412**	72,021
Depreciation of right-of-use assets (Notes 38(ii) & 42)	**503,389**	515,254	**114,406**	114,402
Amortisation of computer software (Notes 38(ii) & 42)	**269,288**	269,845	**83,514**	76,315
Finance costs on lease liabilities (Notes 38(ii) & 42)	**92,143**	65,714	**48,885**	16,595
Gain on disposal of property, plant and equipment (Note 40)	**(10,124)**	(4,608)	**(8,230)**	(689)
Gain on disposal of foreclosed properties (Note 40)	**(16,411)**	(4,737)	**–**	(5,877)
Excess of capital repayment of a subsidiary (Note 40)	**–**	–	**(1,853)**	–
Net (gain)/loss on change in structure/disposal of deemed controlled structured entities (Note 40)	**(4,713)**	2,166	**(1,667)**	(3,140)
Net gain on liquidation of subsidiaries (Note 40)	**–**	(3,096)	**–**	–
Net loss/(gain) on disposal of interest in an associate (Note 40)	**267**	(111,443)	**–**	–
Net gain on disposal of financial assets at fair value through profit or loss (Note 40, Notes 63 (aa) & (ac))	**(523,254)**	(1,143,282)	**(467,648)**	(704,027)
Net gain on disposal of financial investments at fair value through other comprehensive income (Note 40, Notes 63 (aa) & (ac))	**(1,510,547)**	(1,327,654)	**(1,054,077)**	(896,635)
Net gain on redemption of financial investments at amortised cost (Note 40)	**(1,424)**	–	**(1,424)**	–
(Accretion of discounts)/amortisation of premium, net (Note 36, Notes 63 (aa) & (ac))	**(145,143)**	87,217	**(524,041)**	(302,246)
Unrealised loss on revaluation of financial assets at fair value through profit or loss and derivatives (Note 40, Notes 63 (aa) & (ac))	**(133,250)**	850,983	**362,676**	1,697,853
Unrealised gain on revaluation of financial liabilities at fair value through profit or loss (Note 40)	**66,401**	(1,874,273)	**66,401**	(1,874,273)
Allowances for impairment losses on loans, advances and financing, net (Note 44)	**1,402,820**	2,722,359	**166,545**	759,644
Allowances for impairment losses on other debts (Note 44)	**13,766**	2,737	**4,833**	1,082
Allowances for/(writeback of) for impairment losses on financial investments, net (Note 45)	**847,242**	(42,353)	**2,405**	(136,132)
Allowances for impairment losses on other assets and investments in associates, net (Note 46)	**71,398**	18,816	**348,283**	12,112
Dividends from subsidiaries and associates (Note 39)	**–**	–	**(5,537,700)**	(4,191,743)
Dividends from financial investments portfolio (Note 40)	**(339,558)**	(294,512)	**(12,791)**	(8,057)
ESGP expenses (Notes 38(ii) & 42)	**183,819**	97,501	**100,424**	56,676
Property, plant and equipment written off (Note 42)	**4,564**	78	**144**	3
Intangible assets written off (Note 42)	**1,818**	500	**1,455**	500
Fair value adjustments on investment properties (Note 40)	**(768)**	(18,395)	**–**	–
Operating profit before working capital changes	**15,143,441**	13,608,591	**5,433,871**	4,773,070
Change in cash and short-term funds with original maturity of more than three months	**189,494**	(283,346)	**(577,332)**	(2,557,828)
Change in deposits and placements with financial institutions with original maturity of more than three months	**59,873**	(419,967)	**775,124**	(1,764,209)
Change in financial assets purchased under resale agreements	**7,818,457**	713,643	**7,871,361**	(1,927,611)
Change in financial investments portfolio	**97,623**	14,683,272	**(3,365,934)**	13,114,185
Change in loans, advances and financing	**(33,957,719)**	(52,860,582)	**2,847,115**	(10,593,198)
Change in other assets	**(1,396,008)**	(4,514,831)	**(2,351,079)**	(3,487,077)
Change in statutory deposits with central banks	**5,208,646**	(1,426,878)	**1,596,877**	43,052
Change in deposits from customers	**82,701**	54,096,370	**(4,964,419)**	14,459,214
Change in investment accounts of customers	**3,801,127**	2,506,451	**–**	–
Change in deposits and placements from financial institutions	**(4,463,891)**	2,374,327	**(7,110,606)**	18,777,441
Change in obligations on financial assets sold under repurchase agreements	**(6,932,266)**	(5,241,017)	**(13,005,744)**	(10,198,031)
Change in financial liabilities at fair value through profit or loss	**(1,798,477)**	(1,223,428)	**(118,943)**	9,382
Change in bills and acceptances payable	**237,761**	81,465	**142,539**	23,323
Change in other liabilities	**2,685,854**	8,563,853	**2,642,700**	4,026,835
Change in insurance/reinsurance contract/takaful/retakaful certificate assets	**608,281**	(158,781)	**–**	–
Change in insurance/reinsurance contract/takaful/retakaful certificate liabilities	**997,293**	1,548,846	**–**	–
Cash (used in)/generated from operating activities	**(11,617,810)**	32,047,988	**(10,184,470)**	24,698,548
Taxes and zakat paid	**(3,332,985)**	(3,264,012)	**(1,646,800)**	(1,149,131)
Net cash (used in)/generated from operating activities	**(14,950,795)**	28,783,976	**(11,831,270)**	23,549,417

STATEMENTS OF CASH FLOWS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Cash flows from investing activities				
Purchase of investment properties (Note 16)	**(3,638)**	(616)	**–**	–
Purchase of property, plant and equipment (Note 20)	**(565,967)**	(391,753)	**(207,766)**	(80,320)
Purchase of intangible assets (Note 22)	**(506,708)**	(405,753)	**(236,570)**	(199,914)
Net effect arising from:				
– transaction with non-controlling interests	**4,713**	(10,763)	**–**	–
– proceeds from disposal of interest in an associate	**–**	262,080	**–**	–
– capital repayment of a subsidiary	**–**	–	**203,980**	–
– increase in shares in existing subsidiary	**–**	(54,550)	**–**	–
Purchase of additional ordinary shares in existing subsidiaries	**–**	–	**(2,108,564)**	(1,119,489)
Purchase of shares in deemed controlled structured entities	**–**	–	**–**	(10,000)
Proceeds from disposal of property, plant and equipment	**11,935**	14,948	**8,955**	860
Proceeds from partial disposal of deemed controlled structured entities	**–**	–	**–**	24,000
Proceeds from disposal of a deemed controlled structured entity	**–**	–	**–**	4,237
Dividends received from:				
– financial investments portfolio (Note 40)	**339,558**	294,512	**12,791**	8,057
– associates (Note 39)	**–**	–	**1,660**	–
– subsidiaries (Note 39)	**–**	–	**5,536,040**	4,191,743
Net cash (used in)/generated from investing activities	**(720,107)**	(291,895)	**3,210,526**	2,819,174
Cash flows from financing activities				
Issuance/(repayment) of borrowings, net (Note 29)	**1,778,628**	242,858	**2,215,074**	(4,703,215)
Issuance of subordinated obligations (Note 30)	**5,550,000**	3,000,000	**5,550,000**	3,000,000
Redemption of subordinated obligations (Note 30)	**(2,300,000)**	(2,000,000)	**(2,300,000)**	(2,000,000)
Redemption of capital securities (Note 31)	**–**	(1,240,000)	**–**	(1,240,000)
Repayment of lease liabilities (Note 26(iv))	**(557,497)**	(589,373)	**(120,076)**	(121,915)
Dividends paid (Note 51)	**(7,485,756)**	(7,240,171)	**(7,485,756)**	(7,240,171)
Dividends paid to non-controlling interests	**(126,907)**	(180,680)	**–**	–
Net cash used in financing activities	**(3,141,532)**	(8,007,366)	**(2,140,758)**	(12,305,301)
Net (decrease)/increase in cash and cash equivalents	**(18,812,434)**	20,484,715	**(10,761,502)**	14,063,290
Cash and cash equivalents at 1 January	**60,775,847**	41,064,936	**47,807,240**	34,302,874
Effects of foreign exchange rate changes	**(1,382,581)**	(773,804)	**(1,088,299)**	(558,924)
Cash and cash equivalents at 31 December	**40,580,832**	60,775,847	**35,957,439**	47,807,240
Cash and cash equivalents comprise:				
Cash and short-term funds (Note 5)	**28,354,404**	40,553,850	**23,866,783**	27,218,238
Deposits and placements with other financial institutions (Note 6)	**14,034,312**	22,279,247	**29,621,304**	38,317,442
	42,388,716	62,833,097	**53,488,087**	65,535,680
Less:				
Cash and short-term funds and deposits and placements with financial institutions, with original maturity of more than three months	**(1,747,006)**	(2,017,029)	**(17,469,770)**	(17,688,219)
Restricted deposits and placements with financial institutions	**(60,878)**	(40,221)	**(60,878)**	(40,221)
Cash and cash equivalents at 31 December	**40,580,832**	60,775,847	**35,957,439**	47,807,240

The accompanying notes form an integral part of the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

1. CORPORATE INFORMATION

Malayan Banking Berhad ("Maybank" or the "Bank") is a public limited liability company, incorporated and domiciled in Malaysia and is listed on the Main Market of Bursa Malaysia Securities Berhad. The registered office of the Bank is located at 14th Floor, Menara Maybank, 100, Jalan Tun Perak, 50050 Kuala Lumpur.

The Bank is principally engaged in all aspects of commercial banking and related financial services.

The subsidiaries of the Bank are principally engaged in the businesses of banking and finance, Islamic banking, investment banking including stockbroking, underwriting of general and life insurance, general and family takaful, trustee and nominee services and asset management.

There were no significant changes in these activities during the financial year.

These financial statements were authorised for issue by the Board of Directors in accordance with a resolution of the directors on 26 February 2026.

2. ACCOUNTING POLICIES

2.1 Basis of preparation and presentation of the financial statements

The financial statements of the Bank and its subsidiaries ("Maybank Group" or the "Group") and of the Bank have been prepared in accordance with MFRS Accounting Standards, IFRS Accounting Standards and the requirements of the Companies Act 2016 in Malaysia.

The financial statements of the Group and of the Bank have been prepared on a historical cost basis unless otherwise indicated in the summary of material accounting policies as disclosed in Note 2.3.

The Group's financial statements also include separate disclosures on its insurance and takaful businesses and Islamic banking operations as disclosed in Notes 62 and 63, respectively. The principal activities for insurance and takaful businesses are mainly the underwriting of general and life insurance business, the management of general and family takaful business and investment-linked business. Islamic banking refers generally to the acceptance of deposits, granting of financing and dealing in Islamic securities under the Shariah principles.

The Group and the Bank present their statements of financial position in the order of liquidity.

Financial assets and financial liabilities are offset and the net amount are reported in the statements of financial position of the Group and of the Bank only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously. Income and expenses are not offset in the income statements of the Group and of the Bank unless required or permitted by an accounting standard or interpretation, and as specifically disclosed in the accounting policies of the Group and of the Bank.

The financial statements are presented in Ringgit Malaysia ("RM") and all values are rounded to the nearest thousand (RM'000), unless otherwise stated.

2.2 Basis of consolidation

The consolidated financial statements comprise the financial statements of the Bank and its subsidiaries including the equity accounting of interest in associates and joint ventures as at 31 December 2025. Further details on the accounting policies for investment in subsidiaries and interest in associates and joint ventures are disclosed in Note 2.3.

The financial statements of the Bank's subsidiaries, associates and joint ventures are prepared for the same reporting date as the Bank, using consistent accounting policies for transactions and events in similar circumstances.

Subsidiaries (including deemed controlled structured entities) are consolidated from the date of acquisition or the date of incorporation, being the date on which the Bank obtains control and continue to be consolidated until the date that such control effectively ceases. The Group controls an investee, if and only if, the Group has three (3) elements of control as below:

- Power over the investee;
- Exposure, or rights, to variable returns from its involvement with the investee; and
- The ability to use its power over the investee to affect its returns.

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control.

Generally, there is a presumption that a majority of voting rights result in control. To support this presumption, and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; and
- The Group's voting rights and potential voting rights.

When assessing whether to consolidate investment funds, the Group reviews all facts and circumstances to determine whether the Group, as fund manager, is acting as an agent or a principal. The Group may be deemed to be a principal, and hence controls and consolidates the funds, when it acts as a fund manager and cannot be removed without cause, has variable returns through significant unit holdings and/or a guarantee, and is able to influence the returns of the funds through its power.

All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

Non-controlling interests ("NCI") represent the portion of profit and loss and net assets in subsidiaries not wholly-owned, directly or indirectly by the Bank. NCI are presented separately in the consolidated income statement, consolidated statement of comprehensive income and within equity in the consolidated statement of financial position, but separate from parent shareholders' equity. Total comprehensive income is allocated against the interest of NCI, even if this results in the NCI having a deficit balance. A change in the ownership interest of a subsidiary, without loss of control, is accounted for as an equity transaction between the Group and its NCI holders. Any differences between the Group's share of net assets before and after the change and any considerations received or paid, is recognised in equity.

2. ACCOUNTING POLICIES (CONT'D.)

2.2 Basis of consolidation (cont'd.)

If the Group loses control over a subsidiary, it:

- Derecognises the assets (including goodwill) and liabilities of the subsidiary at their carrying amounts;
- Derecognises the carrying amount of any non-controlling interests in the former subsidiary;
- Recognises the fair value of the consideration received;
- Derecognises the cumulative foreign exchange translation differences recorded in equity;
- Recognises the fair value of any investments retained in the former subsidiary;
- Recognises any gains or losses in the profit and loss; and
- Reclassifies the parent's share of components previously recognised in other comprehensive income to income statements or retained earnings, if required in accordance with other MFRS Accounting Standards.

All of the above will be accounted for from the date when control is lost.

The accounting policies for business combination and goodwill are disclosed in Note 2.3(iii).

2.3 Summary of material accounting policies

(i) Investment in subsidiaries

Subsidiaries are entities controlled by the Bank, as defined in Note 2.2.

In the Bank's separate financial statements, investments in subsidiaries are stated at cost less accumulated impairment losses. The policy for the recognition and measurement of impairment losses is in accordance with Note 2.3(xv). On disposal of such investments, the difference between the net disposal proceeds and their carrying amounts is recognised as gain or loss on disposal in the income statements.

Additional information on investment in subsidiaries is disclosed in Note 18 and details of subsidiaries and deemed controlled structured entities are disclosed in Notes 64(a) and 64(b), respectively.

(ii) Interest in associates and joint ventures

An associate is an entity over which the Group and the Bank have significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but is not control or joint control over those policies.

A joint venture is a type of joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the joint venture. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

The considerations made in determining significant influence or joint control are similar to those necessary to determine control over subsidiaries.

The Group's interest in its associates and joint ventures are accounted for using the equity method. The associates and joint ventures are equity accounted for from the date the Group gains significant influence or joint control until the date the Group ceases to have significant influence over the associate or joint control over the joint venture.

Under the equity method, the interest in associates and joint ventures is initially recognised at cost. The carrying amount of the investment is adjusted for changes in the Group's share of net assets of the associate or joint venture since the acquisition date. Goodwill relating to an associate or joint venture is included in the carrying amount of the investment and is neither amortised nor individually tested for impairment. Details of goodwill included in the Group's carrying amount of interest in associates and joint ventures are disclosed in Note 19(iv).

The consolidated income statement reflects the Group's share of the results of operations of the associates and joint ventures. Any changes in other comprehensive income ("OCI") of those investees is presented as part of the Group's OCI. Where there has been a change recognised directly in the equity of the associates or joint ventures, the Group recognises its share of such changes and discloses this, when applicable, in the consolidated statement of changes in equity. Unrealised gains and losses resulting from transactions between the Group and the associates or joint ventures are eliminated to the extent of the interest in the associates or joint ventures. The aggregate of the Group's share of profit and loss in associates and joint ventures is shown on the face of the consolidated income statement. The Group's share of profit and loss in associates and joint ventures represents profit and loss after tax and non-controlling interests in the subsidiaries of the associates or joint ventures.

When the Group's share of losses in associates or joint ventures equals or exceeds its interest in the associates or joint ventures, including any long-term interests that, in substance, form part of the Group's net interest in the associates or joint ventures, the Group does not recognise further losses, unless it has incurred obligations or made payments on behalf of the associates or joint ventures.

The financial statements of the associates or joint ventures are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the Group.

After application of the equity method, the Group determines whether it is necessary to recognise an impairment loss on its investments in associates and joint ventures. The Group determines at each reporting date whether there is any objective evidence that the interest in the associates and joint ventures is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associates or joint ventures and its carrying amount, then recognises the amount in the 'share of profits in associates and joint ventures' in the consolidated income statements.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(ii) Interest in associates and joint ventures (cont'd.)

Upon loss of significant influence over the associates or joint control over the joint ventures, the Group measures and recognises any retained investments at its fair value. Any differences between the carrying amount of the associates or joint ventures upon loss of significant influence or joint control and the fair value of the retained investments and proceeds from disposal is recognised in the consolidated income statement.

In the Bank's separate financial statements, interest in associates and joint ventures is stated at cost less accumulated impairment losses. The policy for the recognition and measurement of impairment losses is in accordance with Note 2.3(xv). On disposal of such investments, the difference between the net disposal proceeds and their carrying amounts is recognised as gain or loss on disposal in the income statements.

Additional information on interest in associates and joint ventures and details of associates and joint ventures is disclosed in Notes 19, 64(c) and 64(d), respectively.

(iii) Business combination and goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred measured at acquisition date fair value and the amount of any non-controlling interests in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interest in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred and included in administrative expenses in the income statements. When the Group acquires a business, it assesses the financial assets and financial liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date.

If the business combination is achieved in stages, the previously held equity interest is remeasured at its acquisition date fair value and any resulting gains and losses is recognised in the income statements. It is then considered in the determination of goodwill. Any contingent considerations to be transferred by the acquirer will be recognised at fair value at the acquisition date. Contingent consideration classified as an asset or liability that is a financial instrument and within the scope of MFRS 9 *Financial Instruments* ("MFRS 9") is measured at fair value with changes in fair value recognised either in the income statements in accordance with MFRS 9. Other contingent considerations that are not within the scope of MFRS 9 are measured at fair value at each reporting date with changes in fair value recognised in profit and loss.

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests, and any previous interests held, over the net identifiable assets acquired and liabilities assumed.

If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group reassesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognised at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognised in the consolidated income statements.

After initial recognition, goodwill is measured at cost less accumulated impairment losses. Goodwill is reviewed for impairment annually, or more frequently, if events or changes in circumstances indicate that the carrying amount may be impaired.

For the purpose of impairment testing, goodwill acquired in a business combination is allocated, from the acquisition date, to each of the Group's cash-generating units ("CGU") that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units. The accounting policy for impairment of non-financial assets (including goodwill) is disclosed in Note 2.3(xv).

Where goodwill has been allocated to a CGU and part of the operation within that CGU is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative fair values of the operation disposed of and the portion of the CGU retained.

(iv) Intangible assets

In addition to goodwill, intangible assets also include core deposit intangibles, customer relationship, agency force and investment management agreements acquired in business combination, computer software and software-in-development.

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Group and the Bank.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Subsequent to initial recognition, intangible assets are measured at cost less any accumulated amortisation and any accumulated impairment losses, except for software-in-development which is not subject to amortisation until the development is completed and the asset is available for use.

The useful lives of intangible assets are assessed as either finite or indefinite. Intangible assets with indefinite lives are not amortised but are tested for impairment annually, either individually or at the CGU level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(iv) Intangible assets (cont'd.)

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate and treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statements in the expense category consistent with the function of the intangible asset.

Gains or losses arising from derecognition of intangible assets are measured as the difference between the net disposal proceeds and the carrying amount of the assets and are recognised in income statements when the assets are derecognised.

A summary of the policies applied to the Group's and the Bank's intangible assets are as follows:

	Amortisation methods used	Useful economic lives
Computer software	Straight-line	3 to 10 years
Core deposit intangibles	Reducing balance	8 years
Customer relationship	Reducing balance	3 to 15 years
Agency force	Reducing balance	10 to 11 years
Investment management agreements	No amortisation	Indefinite

Additional information on intangible assets is disclosed in Note 22.

(v) Financial assets

(a) Date of recognition

All financial assets are initially recognised on the trade date, i.e. the date that the Group and the Bank become a party to the contractual provisions of the instrument. This includes regular way trades, purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the market place.

All financial assets are measured initially at their fair value plus directly attributable transaction costs, except in the case of financial assets recorded at fair value through profit or loss.

The Group and the Bank classify all of its financial assets based on the business model for managing the assets and the asset's contractual cash flow characteristics.

(b) Initial recognition and subsequent measurement

Business model

The Group and the Bank determine their business model at the level that best reflects how groups of financial assets are managed to achieve its business objective.

The Group and the Bank do not assess the business model on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the portfolio and the financial assets held within that business model are evaluated and reported to the key management personnel;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed;
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected); and
- The expected frequency, value and timing of sales are also important aspects of the Group's and the Bank's assessment.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Group's and the Bank's original expectations, the Group and the Bank do not change the classification of the remaining financial assets held in that business model, but incorporate such information when assessing newly originated or newly purchased financial assets going forward. When, and only when, the Group changes its business model for managing financial assets it shall reclassify all affected financial assets.

Solely payments of principal and interest/profit ("SPPI") test

Upon determination of business model, the Group and the Bank will assess the contractual terms of financial assets to identify whether they meet the SPPI test.

'Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

The most significant elements of interest/profit within a lending arrangement are typically the consideration for the time value of money and credit risk. The Group and the Bank apply judgement and consider relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest/profit rate is set in assessing the SPPI.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(v) Financial assets (cont'd.)

(b) Initial recognition and subsequent measurement (cont'd.)

Solely payments of principal and interest/profit ("SPPI") test (cont'd.)

In contrast, contractual terms that introduce a more than de *minimis* exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are SPPI on the amount outstanding. In such cases, the financial asset is required to be measured at fair value through profit or loss ("FVTPL").

Included in financial assets are the following:

- Amortised cost, as explained in Note 2.3(v)(b)(1);
- Fair value through OCI ("FVOCI"), as explained in Note 2.3(v)(b)(2); and
- FVTPL, as explained in Note 2.3(v)(b)(3).

(1) Amortised cost

The Group and the Bank measure financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are SPPI on the principal amount outstanding.

Included in financial assets at amortised cost are cash and short-term funds, deposits and placements with financial institutions, financial assets purchased under resale agreements, financial investments and loans, advances and financing to customers as disclosed in the respective notes to the financial statements.

(2) FVOCI

The Group and the Bank measure debt instruments at FVOCI when both of the following conditions are met:

- The instrument is held within a business model, the objective of which is achieved by both collecting contractual cash flows and selling financial assets; and
- The contractual terms of the financial assets meet the SPPI test.

Financial assets at FVOCI are subsequently measured at fair value with gains and losses arising due to changes in fair value recognised in OCI. Interest/profit income and foreign exchange gains and losses are recognised in profit and loss in the same manner as for financial assets measured at amortised cost. Where the Group and the Bank hold more than one investment in the same security, they are deemed to be disposed of on a first-in, first-out basis. On derecognition, cumulative gains or losses previously recognised in OCI are reclassified from OCI to profit and loss.

Equity instruments are normally measured at FVTPL. However, for non-traded equity instruments, with an irrevocable option at inception, the Group and the Bank measure the changes through FVOCI (without recycling to profit or loss upon derecognition).

Included in financial assets at FVOCI are financial investments and loans, advances and financing to customers/borrowers.

(3) FVTPL

Financial assets at FVTPL are those that are held for trading and have been either designated by management upon initial recognition or are mandatorily required to be measured at fair value under MFRS 9. The Group and the Bank designate an instrument at FVTPL upon initial recognition when one of the following criteria is met. Such designation is determined on an instrument-by-instrument basis:

- The designation eliminates or significantly reduces inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on them on a different basis; or
- The assets and liabilities are part of a group of financial assets, financial liabilities or both, which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

Included in financial assets at FVTPL are financial investments, financial assets designated upon initial recognition and derivatives.

Subsequent to initial recognition, financial assets designated at FVTPL are recorded in the statement of financial position at fair value. Changes in fair value are recognised in the income statements under the caption of 'other operating income'.

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(v) Financial assets (cont'd.)

(c) Derecognition

A financial asset is derecognised when there is substantial modification of terms and conditions or factors other than substantial modification, as explained in Note 2.3(v)(c)(2).

(1) Derecognition due to substantial modification of terms and conditions

The Group and the Bank derecognise a financial asset, such as a loan/financing to a borrower/customer, when the terms and conditions have been renegotiated to the extent that, substantially, it becomes a new loan/financing, with the difference recognised as a derecognition gain or loss, to the extent that an impairment loss has not already been recorded.

The newly recognised loans/financing are classified as Stage 1 for expected credit loss ("ECL") measurement purposes, unless the new loan/financing is deemed to be purchased or originated credit-impaired ("POCI").

If the modification does not result in cash flows that are substantially different, the modification does not result in derecognition. Based on the change in cash flows discounted at the original effective interest rate ("EIR") or effective profit rate ("EPR"), the Group and the Bank record a modification gain or loss, to the extent that an impairment loss has not already been recorded.

(2) Derecognition other than for substantial modification

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when:

(1) The rights to receive cash flows from the financial asset have expired; or

(2) The transfer of financial asset is as set out below and the transfer qualifies for derecognition.

The Group and the Bank have transferred the financial asset if, and only if, either:

- The Group and the Bank have transferred its contractual rights to receive cash flows from the financial asset; or
- They retains the rights to the cash flows, but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement.

Pass-through arrangements are transactions whereby the Group and the Bank retain the contractual rights to receive the cash flows of a financial asset (the 'original asset'), but assume a contractual obligation to pay those cash flows to one or more entities (the 'eventual recipients'), when all of the following three conditions are met:

- The Group and the Bank have no obligation to pay the eventual recipients until it has received cash flows from the original asset, excluding short-term advances with the right to full recovery of the amount lent plus accrued interest/profit at market rates;
- The Group and the Bank cannot sell or pledge the original asset other than as security to the eventual recipients; and
- The Group and the Bank have to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the Bank is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents including interest/profit earned, during the period between the collection date and the date of required remittance to the eventual recipients.

A transfer only qualifies for derecognition if either the Group and the Bank have:

- Transferred substantially all the risks and rewards of the asset; or
- Neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

The Group and the Bank consider control to be transferred if and only if, the transferee has the practical ability to sell the asset in its entirety to an unrelated third party and is able to exercise that ability unilaterally and without imposing additional restrictions on the transfer.

When the Group and the Bank have neither transferred nor retained substantially all the risks and rewards and have retained control of the asset, the asset continues to be recognised only to the extent of the Group's and the Bank's continuing involvement, in which case, the Group and the Bank also recognise an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group and the Bank have retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group and the Bank could be required to pay.

If continuing involvement takes the form of a written or purchased option (or both) on the transferred asset, the continuing involvement is measured at the value the Group and the Bank would be required to pay upon repurchase. In the case of a written put option on an asset that is measured at fair value, the extent of the Group and the Bank continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(v) Financial assets (cont'd.)

(d) Impairment of financial assets

The MFRS 9 impairment requirements are based on an ECL model. The ECL model applies to financial assets measured at amortised cost or at FVOCI, irrevocable loan/financing commitments and financial guarantee contracts, which include loans, advances and financing and debt instruments held by the Group and the Bank. The ECL model also applies to contract assets under MFRS 15 *Revenue from Contracts with Customers* and lease receivables under MFRS 16 *Leases*.

The measurement of ECL involves increased complexity and judgement that include:

(1) Determination of significant increase in credit risk since initial recognition ("SICR")

The assessment of SICR is key in establishing the point of switching between the requirement to measure an allowance based on 12-month ECL and one that is based on lifetime ECL. The Group and the Bank performed quantitative and qualitative assessments to determine SICR by comparing the risk of a default occurring on the financial assets as at reporting date with the risk of default occurring on the financial assets as at the date of initial recognition.

The Group and the Bank apply a three-stage approach based on the change in credit quality since initial recognition:

3-Stage approach	Stage 1 Performing	Stage 2 Under-performing	Stage 3 Non-performing
ECL Approach	12-month ECL	Lifetime ECL	Lifetime ECL
Criterion	No significant increase in credit risk	Credit risk increased significantly	Credit-impaired assets
Recognition of interest/profit income	On gross carrying amount	On gross carrying amount	On net carrying amount

(2) ECL measurement

There are three main components to measure ECL which are a probability of default model ("PD"), a loss given default model ("LGD") and the exposure at default model ("EAD"). The Group and the Bank leveraged as much as possible on its existing Basel II models and performed the required adjustments to produce MFRS 9 compliant model.

MFRS 9 does not distinguish between individual assessment and collective assessment. Therefore, the Group and the Bank have decided to continue measuring the impairment mainly on an individual transaction basis for financial assets that are deemed to be individually significant, and collectively assess for other financial assets.

(3) Expected life

Lifetime expected credit losses must be measured over the expected life of the asset. This is restricted to the maximum contractual life and takes into account expected prepayments, extensions, calls and similar options, except for certain revolving financial instruments such as credit cards and overdrafts. The expected life for these revolving facilities generally refers to their behavioural life.

(4) Financial investments at FVOCI

The ECL for financial investments measured at FVOCI do not reduce the carrying amount of these financial assets in the statement of financial position, which remains at fair value. Instead, an amount equivalent to the allowance that would arise if the assets were measured at amortised cost is recognised in OCI as an accumulated impairment amount, with a corresponding charge to profit or loss. The accumulated losses recognised in OCI is recycled to the profit or loss upon derecognition of the assets.

(5) Forward-looking information

ECL measurement is based on unbiased probability-weighted credit losses determined by evaluating a range of possible outcomes and considering future economic conditions. The reasonable and supportable forward-looking information is obtained from independent research parties (Maybank IB Research and independent research organisation). Maybank IBG Research assumptions and analyses are based on the collation of macroeconomic data obtained from various sources such as, but not limited to regulators, government and foreign ministries as well as independent research organisations.

Where applicable, the Group and the Bank incorporate forward-looking adjustments in credit risk factors of PD and LGD used in ECL calculation; taking into account the impact of multiple probability-weighted future forecast economic scenarios.

Embedded in ECL is a broad range of forward-looking information as economic inputs, such as:

- Gross Domestic Product ("GDP") growth;
- Inflation rates;
- Unemployment rates;
- House Price indices; and
- Central Banks' policy rates.

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(v) Financial assets (cont'd.)

(d) Impairment of financial assets (cont'd.)

(5) Forward-looking information (cont'd.)

The Group and the Bank apply the following three alternatives macroeconomic scenarios to reflect an unbiased probability-weighted range of possible future outcomes in estimating ECL:

Base scenario: This scenario reflects that current macroeconomic conditions continue to prevail; and

Upside and Downside scenarios: These scenarios are set relative to the base scenario; reflecting best and worst-case macroeconomic conditions based on subject matter expert's best judgement of current economic conditions.

(6) Valuation of collateral held as security for financial assets

The Group's and the Bank's valuation policies for collateral assigned to its financial assets are dependent on its lending arrangements.

(e) Modification of loans/financing

The Group and the Bank sometimes renegotiate or otherwise modify the contractual cash flows of loans/financing to borrowers/customers. When this happens, the Group and the Bank assess whether or not the new terms are substantially different to the original terms. The Group and the Bank do this by considering, among others, the following factors:

- If the borrower/customer is in financial difficulty, whether the modification merely reduces the contractual cash flows to amounts the borrower/customer is expected to be able to pay;
- Whether any substantial new terms are introduced, such as a profit share or equity-based return that substantially affects the risk profile of the loan/financing;
- Significant extension of the loan/financing term when the borrower/customer is not in financial difficulty;
- Significant change in the interest/profit rate;
- Change in the currency in which the loan/financing is denominated in; and
- Insertion of collaterals, other securities or credit enhancements that significantly affect the credit risk associated with the loan/financing.

If the terms are substantially different, the Group and the Bank derecognise the original financial asset and recognise a 'new' asset at fair value and recalculate a new EIR/EPR for the asset. The date of renegotiation is consequently considered to be the date of initial recognition for impairment calculation purposes, including for the purpose of determining whether a significant increase in credit risk has occurred. However, the Group and the Bank also assess whether the new financial asset recognised is deemed to be credit-impaired at initial recognition, especially in circumstances where the renegotiation was driven by the debtor being unable to make the originally agreed payments. Differences in the carrying amount are also recognised in the income statements as a gain or loss on derecognition.

If the terms are not substantially different, the renegotiation or modification does not result in derecognition, and the Group and the Bank recalculate the gross carrying amount based on the revised cash flows of the financial asset and recognise a modification gain or loss in the income statements. The new gross carrying amount is recalculated by discounting the modified cash flows at the original EIR/EPR (or credit-adjusted EIR/EPR for purchased or originated credit-impaired financial assets).

(f) Reclassification of financial assets

Reclassification of financial assets is permissible when and only when there is change in business model for managing financial assets.

The Group and the Bank do not consider the following changes in circumstances as reclassifications:

- An item that was previously a designated and effective hedging instrument in a cash flow hedge or net investment hedge no longer qualifies as such;
- An item becomes a designated and effective hedging instrument in a cash flow hedge or net investment hedge; and
- Changes in measurement where the Group and the Bank adopt fair value option.

(vi) Financial liabilities

(a) Date of recognition

All financial liabilities are initially recognised on the trade date i.e. the date that the Group and the Bank become a party to the contractual provision of the instruments. This includes regular way trades, purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(vi) Financial liabilities (cont'd.)

(b) Initial recognition and subsequent measurement

Financial liabilities are classified according to the substance of the contractual arrangements entered into and the definitions of a financial liability. All financial liabilities are measured initially at fair value plus directly attributable transaction costs, except in the case of financial liabilities at FVTPL.

Financial liabilities are classified as either financial liabilities at FVTPL or other financial liabilities.

(1) Financial liabilities at FVTPL

Financial liabilities at FVTPL include financial liabilities held for trading and financial liabilities designated upon initial recognition at FVTPL.

Financial liabilities held for trading

Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term. This category includes derivatives entered into by the Group and the Bank that do not meet the hedge accounting criteria.

Gains or losses on financial liabilities held for trading are recognised in the income statements as disclosed in other operating income.

Financial liabilities designated at fair value

Financial liabilities designated upon initial recognition at FVTPL are designated at the initial date of recognition, and only if the criteria in MFRS 9 are satisfied.

The Group and the Bank have adopted Fair Value Option ("FVO") for certain financial liabilities. The Group and the Bank have designated certain financial liabilities namely, structured deposits and borrowings containing embedded derivatives at FVTPL upon inception. Details of the financial liabilities at FVTPL are disclosed in Note 25.

The changes in fair value are presented as follows:

(i) Change in fair value due to own credit risk – presented in other comprehensive income which will not get recycled into profit or loss.

(ii) Change in fair value due to market risk or other factors – presented in income statement.

(2) Other financial liabilities

The Group's and the Bank's other financial liabilities include deposits from customers, investment accounts of customers, deposits and placements from financial institutions, debt securities (including borrowings), payables, bills and acceptances payable and other liabilities.

(i) Deposits from customers, investment accounts of customers and deposits and placements from financial institutions

Deposits from customers, investment accounts of customers and deposits and placements from financial institutions are stated at placement values. Interest/profit expense on deposits from customers, investment accounts of customers and deposits and placements from financial institutions measured at amortised cost is recognised as it is accrued using the effective interest/profit method.

(ii) Debt securities

Debt securities issued by the Group and the Bank are classified as financial liabilities or equity in accordance with the substance of the contractual terms of the instruments. The Group's and the Bank's debt securities issued consist of subordinated notes/bonds/sukuk, capital securities and borrowings.

These debt securities are classified as liabilities in the statement of financial position as there is a contractual obligation by the Group and the Bank to make cash payments of either principal or interest/profit or both to holders of the debt securities and that the Group and the Bank are contractually obliged to settle the financial instrument in cash or another financial instrument.

Subsequent to initial recognition, debt securities issued are recognised at amortised cost, with any differences between proceeds net of transaction costs and the redemption value being recognised in the income statements over the period of the borrowings on an effective interest/profit method.

(iii) Payables

Payables are recognised initially at fair value plus directly attributable transaction costs and subsequently measured at amortised cost using the effective interest/profit method.

(iv) Bills and acceptances payable

Bills and acceptances payable represent the Group's and the Bank's own bills and acceptances rediscounted and outstanding in the market. These financial liabilities are measured at amortised cost using the effective interest/profit method.

(v) Other liabilities

Other liabilities are stated at cost which is the fair value of the consideration expected to be paid in the future for goods and services received.

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(vi) Financial liabilities (cont'd.)

(c) Derecognition

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying amount of the original financial liability and the consideration paid is recognised in the income statements.

(vii) Offsetting of financial assets and financial liabilities

Financial assets and financial liabilities are offset and the net amount is reported in the statements of financial position of the Group and of the Bank if there is a current legally enforceable right to offset the recognised amount and there is an intention to settle on a net basis or to realise the assets and settle the liabilities simultaneously.

The financial assets and financial liabilities of the Group and of the Bank that are subject to offsetting, enforceable master netting arrangements and similar agreements are disclosed in Note 55.

(viii) Derivative financial instruments and hedge accounting

(a) Derivative financial instruments

The Group and the Bank trade derivatives such as interest/profit rate swaps and futures, credit default swaps, commodity swaps, currency swaps, currency forwards and options on interest/profit rates, foreign currencies, equities and commodities.

Derivative financial instruments are initially recognised at fair value. For non-option derivatives, their fair value are normally zero or negligible at inception. For purchased or written options, their fair value are equivalent to the market premium paid or received. The derivatives are subsequently remeasured at their fair value. Fair values are obtained from quoted market prices in active markets, including recent market transactions and valuation techniques that include discounted cash flow models and option pricing models, as appropriate. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative. Changes in the fair value of any derivatives that do not qualify for hedge accounting are recognised immediately in the income statements.

(b) Hedge accounting

The Group and the Bank use derivative instruments to manage exposures to interest/profit rates, foreign currencies and credit risks. In order to manage particular risks, the Group and the Bank apply hedge accounting for transactions which meet specified criteria.

At the inception of the hedge relationship, the Group and the Bank formally document the relationship between the hedged item and the hedging instrument, including the nature of the risk, the risk management objective and strategy for undertaking the hedge and the method that will be used to assess the effectiveness of the hedging relationship at inception and on ongoing basis.

Hedges that meet the strict criteria for hedge accounting are accounted for, as described below:

(1) Fair value hedge

For designated and qualifying fair value hedges, the cumulative change in the fair value of a hedging instrument is recognised in the income statements. Meanwhile, the cumulative change in the fair value of the hedged item attributable to the risk hedged is recorded as part of the carrying amount of the hedged item in the statements of financial position and is also recognised in the income statements.

For fair value hedges relating to items carried at amortised cost, any adjustments to carrying amount is amortised over the remaining term of the hedge using the effective interest/profit method. The amortisation may begin as soon as an adjustment exists and no later than when the hedged item ceases to be adjusted for changes in its fair value attributable to the risk being hedged. If the hedged item is derecognised, the unamortised fair value adjustment is recognised immediately in the income statements.

(2) Cash flow hedge

For designated and qualifying cash flow hedges, the effective portion of the gain or loss on the hedging instrument is recognised directly in other comprehensive income in the cash flow hedge reserve, while any ineffective portions of the gain or loss on the hedging instrument is recognised immediately in the income statements.

When a hedging instrument expires, or is sold, terminated, exercised or when the hedge no longer meets the criteria for hedge accounting, any cumulative gains or losses previously recognised in other comprehensive income remains separately in equity until the forecast transaction occurs or the foreign currency firm commitment is met.

When a forecast transaction is no longer expected to occur, the cumulative gain or loss that was reported in other comprehensive income is immediately transferred to income statements.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(viii) Derivative financial instruments and hedge accounting (cont'd.)

(b) Hedge accounting (cont'd.)

(3) Net investment hedge

Net investment hedge, including a hedge of a monetary item that is accounted for as part of the net investment, is accounted for in a way similar to cash flow hedges. Any gains or losses on the hedging instrument relating to the effective portion of the hedge is recognised in other comprehensive income, while any gains or losses relating to the ineffective portion is recognised immediately in the income statements.

On disposal of the foreign operations, the cumulative amount of any such gains or losses recognised in other comprehensive income is transferred to the income statements.

The Group uses its subordinated obligations as a hedge of its exposure to foreign exchange risks on its investments in foreign subsidiaries.

The Group and the Bank applied the interbank offered rates ("IBOR") reform Phase 1 reliefs to hedging relationships directly affected by IBOR reform during the period before the replacement of an existing interest/profit rate benchmark with an alternative risk-free rate ("RFR").

The Group and the Bank assumed that for the purpose of assessing expected future hedge effectiveness, the interest/profit rate is not altered as a result of IBOR reform. The Group and the Bank do not discontinue the hedging relationship if the results of the assessment of retrospective hedge effectiveness fall outside the monitoring threshold, although any hedge ineffectiveness must be recognised in profit or loss, as normal.

When the basis for determining the contractual cash flows of the hedge item or hedge instrument changes as a result of IBOR reform and therefore there is no longer uncertainty arising about the cash flows of the hedge item or the hedge instrument, the Group and the Bank amend the hedge documentation of that hedging relationship to reflect the changes required by IBOR reform.

The hedge designation is amended only to make one or more of the following changes:

- Designating an alternative benchmark rate as the hedge risk;
- Updating the description of the hedge item, including the description of the designated portion of the cash flows or fair value being hedged; or
- Updating the description of the hedging instrument.

The Group and the Bank amend the description of the hedging instrument only if the following condition are met:

- Updating the description of how the entity will assess the hedge effectiveness;
- It makes a change required by IBOR reform by using an approach other than changing the basis for determining the contractual cash flow of the hedging instrument;
- The chosen approach is economically equivalent to changing the basis for determining the contractual cash flows of the original hedging instruments; and
- The original hedging instrument is not derecognised.

These amendments in the formal hedge documentation do not constitute the discontinuation of the hedging relationship or the designation of a new hedging relationship.

When the Group and the Bank change the designation to an alternative benchmark interest rate and that rate is not a separately identifiable component at the date it is designated, the Group and the Bank deem that the rate meet the separately identifiable portion if it reasonably expects that the rate will be separately identifiable within a 24-month period. The 24-month period applies on a rate-by-rate basis and starts from the date the Group and the Bank first designates the alternative benchmark rate as a hedged risk.

If subsequently, the Group and the Bank expect that a non-contractually specified alternative benchmark rate to be separately identifiable within 24-month period, hedge accounting is discontinued prospectively from the date of that reassessment to all hedging relationship in which the alternative benchmark rate is designated as a risk component.

When the interest benchmark on which the future cash flows had been based is changed as required by IBOR reform, for the purpose of determining whether the hedged future cash flows are expected to occur, the Group and the Bank deem that the amount accumulated in the cash flow hedge reserve to be based on the alternative benchmark rate on which the hedged future cash flows will be based.

(ix) Embedded derivatives

Embedded derivatives in financial assets are not separated from a host financial asset and classified based on the business model and their contractual terms as outlined in Note 2.3(v)(b).

Derivatives embedded in financial liabilities and in non-financial host contracts are treated as separate derivatives and recorded at fair value if their economic characteristic and risk are not closely related to those of the host contract is not itself held for trading or designated at FVTPL. The embedded derivatives separated from the host are carried at fair value in the trading portfolio with changes in fair value recognised in the income statements.

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(x) Resale and repurchase agreements

Securities purchased under resale agreements are securities which the Group and the Bank purchase with a commitment to resell at future dates. The commitments to resell the securities are reflected as assets on the statements of financial position. The difference between the purchase and resale prices is recognised in the income statements under the caption of 'interest income and income derived from investment of depositors' funds/Islamic Banking Funds' and is accrued over the life of the agreement using the effective interest/profit method.

Conversely, obligations on securities sold under repurchase agreements are securities which the Group and the Bank sell from its portfolio, with a commitment to repurchase at future dates. Such financing transactions and corresponding obligations to purchase the securities are reflected as liabilities on the statements of financial position. The difference between the sale and the repurchase prices is recognised in the income statements under the caption of 'interest expense and profit distributed to depositors' and is accrued over the life of the agreement using the effective interest/profit method.

(xi) Property, plant and equipment and depreciation

All items of property, plant and equipment are initially recorded at cost. The cost of an item of property, plant and equipment is recognised as an asset, if and only if, it is probable that future economic benefits associated with the item will flow to the Group and the Bank and the cost of the item can be measured reliably.

Subsequent to initial recognition, all items of property, plant and equipment are measured at cost less accumulated depreciation and accumulated impairment losses, if any. When significant parts of property, plant and equipment are required to be replaced in intervals, the Group and the Bank recognise such parts as individual assets with specific useful lives and depreciate them accordingly. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in the income statements as incurred.

Freehold land has an unlimited useful life and therefore is not depreciated. Work-in-progress is not depreciated until the development is completed and is available for use.

Leasehold land is depreciated over the period of the respective leases which ranges from 30 to 999 years. The remaining period of respective leases ranges from 6 to 991 years.

Depreciation of other property, plant and equipment is computed on a straight-line basis over its estimated useful life at the following annual rates:

Buildings on freehold land	50 years
Buildings on leasehold land	50 years or remaining life of the lease, whichever is shorter
Office furniture, fittings, equipments and renovations	10% – 33%
Computers and peripherals	10% – 50%
Electrical and security equipments	10% – 33%
Motor vehicles	12% – 33%

The carrying amounts of property, plant and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying amount may not be recoverable.

The residual value, useful life and depreciation method are reviewed at each financial year end and adjusted prospectively, if appropriate.

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. The difference between the net disposal proceeds, if any, and the net carrying amount is recognised in the income statements.

Details of property, plant and equipment of the Group and of the Bank are disclosed in Note 20.

(xii) Investment properties

Investment properties are properties which are held either to earn rental income or for capital appreciation or for both. Such properties are initially measured at cost, including transaction costs. Subsequent to initial recognition, investment properties are stated at fair value which reflect market conditions at the reporting date. Fair value is arrived at by reference to market evidence of transaction prices for similar properties and is performed by registered independent valuers having an appropriate recognised professional qualification and recent experience in the location and category of the properties being valued.

Gains or losses arising from changes in the fair values of investment properties are recognised in the income statements in the year in which they arise, including the corresponding tax effect.

Investment properties are derecognised either when they have been disposed of or when they are permanently withdrawn from use and no future economic benefit is expected from their disposal. The difference between the net disposal proceeds and the carrying amount of the asset is recognised in the income statements in the period of derecognition.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(xii) Investment properties (cont'd.)

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change in use.

For a transfer from owner-occupied property to investment property, the property is accounted for in accordance with the accounting policy for property, plant and equipment as set out in Note 2.3(xi) up to the date of change in use. Any differences arising at the date of change in use between the carrying amount of the property immediately prior to the change in use and its fair value is recognised directly in equity as revaluation reserve. When a fair value gain reverses a previous impairment loss, the gain is recognised in the income statements. Upon disposal of such investment property, any surpluses previously recorded in equity is transferred to retained earnings; the transfer is not made through the income statements.

The Group disclosed the details of investment properties in Note 16.

Investment property under construction ("IPUC") is measured at fair value (when the fair value is reliably determinable).

IPUC for which fair value cannot be determined reliably is measured at cost less impairment.

The fair values of IPUC are determined at the end of the reporting period based on the opinion of a qualified independent valuer and valuations are performed using either the residual method approach or discounted cash flow approach, as deemed appropriate by the valuer. Each IPUC is individually assessed.

(xiii) Other assets

(a) Other debtors and amount due from brokers and clients

Included in other assets are other debtors, amount due from brokers and clients, prepayments and deposits, tax recoverable and foreclosed properties.

These assets are carried at anticipated realisable values. An estimate is made for doubtful debts based on a review of all outstanding balances as at the reporting date. Bad debts are written off when identified.

Included in other debtors are physical gold held by the Group and the Bank as a result of its broker-dealer activities. These are accounted for at fair value less costs to sell. Changes in fair value less costs to sell are recognised in the income statements under the caption of 'other operating income'.

(b) Foreclosed assets

Foreclosed assets are those acquired in full or partial satisfaction of debts. Foreclosed assets are stated at the lower of carrying amount and fair value less costs to sell and are recognised in 'other assets'.

(xiv) Cash and short-term funds

Cash and short-term funds in the statement of financial position comprise cash balances and deposits with financial institutions and money at call with a maturity of one month or less, which are subjected to an insignificant risk of changes in value.

For the purpose of the statements of cash flows, cash and cash equivalents comprise cash and short-term funds and deposits and placements with financial institutions, with original maturity of three (3) months or less.

(xv) Impairment of non-financial assets

The carrying amounts of non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment. If there is such indication or when annual impairment testing for an asset is required, the Group and the Bank estimate the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or CGU's fair value less costs to sell and its value-in-use ("VIU"). When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

The Group bases its VIU calculation on detailed budgets and forecast calculations, which are prepared separately for each of the Group's CGU to which the individual assets are allocated. In assessing VIU, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators.

An impairment loss in respect of goodwill is not reversed. For other non-financial assets, an assessment is made at each reporting date as to whether there are any indications that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group and the Bank estimate the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceeds the carrying amount that would have been determined, net of depreciation or amortisation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the income statements.

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(xv) Impairment of non-financial assets (cont'd.)

Further disclosures relating to impairment of non-financial assets are disclosed in the following notes:

- Significant accounting judgements, estimates and assumptions (Note 3);
- Property, plant and equipment (Note 20);
- Right-of-use assets (Note 21); and
- Intangible assets (Note 22).

(xvi) Provisions

Provisions are recognised when the Group and the Bank have a present obligation (legal or constructive) as a result of a past event and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount can be made.

When the Group and the Bank expect some or all of a provision to be reimbursed, for example, under an insurance contract, the reimbursement is recognised as a separate asset, but only when the reimbursement is virtually certain. The expense relating to a provision is presented in the income statements net of any reimbursement.

Where the effect of the time value of money is material, the amount of the provision is the present value of the expenditure expected to be required to settle the obligation. Any increases in the provision due to the passage of time is recognised in the income statements.

Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate. Where it is no longer probable that an outflow of resources embodying economic benefits will be required to settle the obligation, the provision is reversed and recognised in the income statements.

(xvii) Financial guarantees contract

Financial guarantees are contracts that require the Group and the Bank to make specified payments to reimburse the holder for a loss it incurs because a specified party fails to meet its obligation when it is due in accordance with the contractual terms. In the ordinary course of business, the Group and the Bank give financial guarantees, consisting of letters of credit, guarantees and acceptances.

Financial guarantees premium are initially recognised at fair value on the date the guarantee was issued. Subsequent to initial recognition, the received premium is amortised over the life of the financial guarantee. The guarantee liability (the notional amount) is subsequently recognised at the higher of this amortised amount and the present value of any expected payments (when a payment under guarantee has become probable). The unamortised premium received on these financial guarantees is included within 'other liabilities' in the statements of financial position.

(xviii) Foreign currencies

(a) Functional and presentation currency

The individual financial statements of each entity in the Group are measured using the currency of the primary economic environment in which the entity operates (the "functional currency"). The consolidated financial statements are presented in Ringgit Malaysia ("RM"), which is also the Bank's functional currency.

(b) Foreign currency transactions and balances

Transactions in foreign currencies are measured in the respective functional currencies of the Bank and its subsidiaries and are recorded on initial recognition in the functional currencies at exchange rates approximating those ruling at the transaction dates.

Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rate of exchange at the reporting date.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the reporting date are recognised in the income statements except for exchange differences arising on monetary items that form part of the Group's net investment in foreign operations, which are recognised initially in other comprehensive income and accumulated under foreign currency translation reserve in other comprehensive income.

Non-monetary items denominated in foreign currencies that are measured at historical cost are translated using the spot exchange rates as at the date of the initial transactions. Non-monetary items denominated in foreign currencies measured at fair value are translated using the spot exchange rates at the date when the fair value was determined.

Exchange differences arising on the translation of non-monetary items carried at fair value are included in the income statements for the financial year except for the differences arising on the translation of non-monetary items in respect of which gains and losses are recognised in other comprehensive income.

(c) Foreign operations

The results and financial position of foreign operations that have a functional currency different from the presentation currency of RM of the consolidated financial statements are translated into RM as follows:

- Assets and liabilities of foreign operations are translated at the closing rate prevailing at the reporting date;
- Income and expenses for each income statement are translated at average exchange rates for the financial year; and
- All resulting exchange differences are taken directly to other comprehensive income through the foreign currency translation reserve.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(xviii) Foreign currencies (cont'd.)

(c) Foreign operations (cont'd.)

On the disposal of a foreign operation, the cumulative amount of the exchange differences relating to that foreign operation, recognised in other comprehensive income and accumulated in the separate component of equity, is reclassified from equity to the income statements (as a reclassification adjustment) when the gain or loss on disposal is recognised.

On the partial disposal of a subsidiary that includes a foreign operation, the Group reattributes the proportionate share of the cumulative amount of the exchange differences recognised in other comprehensive income to the non-controlling interests in that foreign operation. In any other partial disposal of a foreign operation, the Group reclassifies to the income statements only the proportionate share of the cumulative amount of the exchange differences recognised in other comprehensive income.

Goodwill and fair value adjustments arising on the acquisition of foreign operations are treated as assets and liabilities of the foreign subsidiaries and translated at the closing rate at the reporting date.

(xix) Income and deferred taxes and zakat

(a) Income tax

Current tax assets/recoverable and current tax liabilities/provisions are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

Income taxes for the year comprises current and deferred taxes. Current tax expenses are determined according to the tax laws of each jurisdiction in which the Bank and its subsidiaries or associates operate and generate taxable income.

Current tax expenses relating to items recognised directly in equity, are recognised in other comprehensive income or in equity and not in the income statements.

Details of income tax for the Group and the Bank are disclosed in Note 47.

(b) Deferred tax

Deferred tax is recognised in full, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts at the reporting date.

Deferred tax liabilities are recognised for all temporary differences, except:

(i) when the deferred tax liability arises from the initial recognition of goodwill of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and

(ii) in respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised except:

(i) when the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and

(ii) in respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be utilised.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted at the reporting date.

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(xix) Income and deferred taxes and zakat (cont'd.)

(b) Deferred tax (cont'd.)

Deferred tax relating to items recognised outside income statements is recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity. Deferred tax arising from a business combination is adjusted against goodwill on acquisition.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Details of deferred tax assets and liabilities are disclosed in Note 28.

(c) Zakat

This represents business zakat payable by the Group in compliance with Shariah principles and as approved by the Group's Shariah Committee.

(xx) Leases

(a) Classification

At inception of a contract, the Group and the Bank assess whether a contract is, or contains, a lease arrangement based on whether the contract conveys to the user (the lessee) the right to control the use of an identified asset for a period of time in exchange for consideration. If a lease arrangement contains more than one lease component, or a combination of leasing and services transactions, the consideration is allocated to each of these lease and non-lease components at inception and on each subsequent remeasurement of the contract on the basis of their relative stand-alone selling prices. The Group and the Bank combine lease and non-lease components, in cases where splitting the non-lease component is not possible.

(b) Recognition and initial measurement

(1) The Group and the Bank as a lessee

The Group and the Bank apply a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group and the Bank recognise lease liabilities to make lease payments and right-of-use asset representing the right of use of the underlying assets.

Right-of-use ("ROU") assets

The Group and the Bank recognise ROU assets at the commencement date of the lease (i.e. the date the underlying asset is available for use). ROU assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities.

The cost of ROU assets includes the amount of lease liabilities adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The lease term includes periods covered by an option to extend if the Group and the Bank are reasonably certain to exercise that option. Unless the Group and the Bank are reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised ROU assets are depreciated on a straight-line basis over the shorter of its estimated useful life and the lease term. ROU assets are subject to impairment assessment. The impairment policy for ROU assets are in accordance with impairment of non-financial assets as described in Note 2.3(xv).

Lease liabilities

At the commencement date of the lease, the Group and the Bank recognise lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (less any lease incentive receivables), variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees.

The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and the Bank and payments of penalties for terminating a lease, if the lease term reflects the Group and the Bank exercising the option to terminate. The variable lease payments that do not depend on an index or a rate are recognised as expense in the period on which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group and the Bank use incremental borrowing rate at the commencement date if the interest/profit rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest/profit and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the fixed lease payments or a change in the assessment of an option to purchase the underlying asset.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(xx) Leases (cont'd.)

(b) Recognition and initial measurement (cont'd.)

(2) Short-term leases and leases of low-value assets

The Group and the Bank apply the short-term lease recognition exemption to its short-term leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option. The Group and the Bank also apply the lease of low-value assets recognition exemption to leases of assets that are considered of low-value. Lease payments on short-term leases and leases of low-value assets are recognised as an expense when incurred.

(xxi) Insurance contracts/takaful certificates and reinsurance contracts/retakaful certificates

Through its insurance and takaful subsidiaries, the Group issues contracts/certificates to customers that contain insurance/takaful risk, financial risk or a combination thereof. A contract/certificate under which the Group accepts significant insurance/takaful risk from another party by agreeing to compensate that party on the occurrence of a specified uncertain future event, is classified as an insurance contract/takaful certificate. An insurance contract/takaful certificate may also transfer financial risk, but is accounted for as an insurance contract/takaful certificate if the insurance/takaful risk is significant.

The Group also cedes insurance/takaful risk in the normal course of its business. Ceded reinsurance/retakaful arrangements do not relieve the Group or the Company from its obligations to policyholders/participants. Reinsurance/retakaful arrangements entered into by the Group that meet the classification requirements of insurance contracts/takaful certificates as described above are measured consistently with the amounts associated with the underlying insurance contracts/takaful certificates and the terms of the relevant reinsurance/retakaful arrangement. Arrangements that do not meet these classification requirements are accounted for as financial assets.

(a) Recognition

The Group recognises groups of insurance contracts/takaful certificates that it issues from the earliest of the following:

- The beginning of the coverage period of the group of contracts/certificates.
- The date when the first payment from a policyholder/participant is due, or when the first payment is received if there is no due date.
- For a group of onerous contracts/certificates, as soon as facts and circumstances indicate that the group of contracts/certificates is onerous.

The Group recognises a group of reinsurance contracts/retakaful certificates held it has entered into from the earliest of the following:

- The beginning of the coverage period of the group of reinsurance contracts/retakaful certificates held. However, the Group delays the recognition of a group of reinsurance contracts/retakaful certificates held that provide proportionate coverage until the date when any underlying insurance contract/takaful certificate is initially recognised, if that date is later than beginning of the coverage period of the group of reinsurance contracts/retakaful certificates held; and
- The date the Group recognises an onerous group of underlying insurance contracts/takaful certificates if the Group entered into the related reinsurance contracts/retakaful certificates held in the group of reinsurance contracts/retakaful certificates held at or before that date.

The Group does not recognise a proportional reinsurance contracts/retakaful certificates held until at least one underlying direct insurance contract/takaful certificate has been recognised. Groups of reinsurance contract/retakaful certificate held are recognised when the coverage of the first underlying contract/certificate starts.

A group of reinsurance contracts/retakaful certificates held that covers aggregate losses from underlying contracts/certificates in excess of a specified amount (non-proportionate reinsurance contracts/retakaful certificates, such as excess of loss reinsurance/retakaful) is recognised at the beginning of the coverage period of that group.

The Group adds new contracts/certificates in the reporting period in which the contracts/certificates meet one of the criteria set out above.

(b) Measurement

Insurance contracts/takaful certificates issued and reinsurance contracts/retakaful certificates held

The Group presents separately in the statement of financial position the carrying amount of groups of insurance contracts/takaful certificates issued that are assets, groups of insurance contracts/takaful certificates issued that are liabilities, reinsurance contracts/retakaful certificates held that are assets and groups of reinsurance contracts/retakaful certificates held that are liabilities.

The Group's insurance contracts/takaful certificates issued and reinsurance contracts/retakaful certificates held are eligible for the measurement models as detailed below:

General Measurement Model ("GMM")

This is the default measurement model for insurance contracts/takaful certificates which measures a group of insurance contracts/takaful certificates as the total of:

- Fulfilment cash flows; and
- A Contractual Service Margin ("CSM") which represents the unearned profit the Group will recognise as it provides service under the insurance contracts/takaful certificates in the group.

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(xxi) Insurance contracts/takaful certificates and reinsurance contracts/retakaful certificates (cont'd.)

(b) Measurement (cont'd.)

The Group's insurance contracts/takaful certificates issued and reinsurance contracts/retakaful certificates held are eligible for the measurement models as detailed below (cont'd.):

General Measurement Model ("GMM") (cont'd.)

Fulfilment cash flows comprise unbiased and probability-weighted estimates of future cash flows, discounted to present value to reflect the time value of money and financial risks, plus a risk adjustment for non-financial risk.

At the end of the reporting period, the carrying amount of a group of insurance contracts/takaful certificates is the sum of the liability for remaining coverage and the liability of incurred claims. The liability for remaining coverage consists of the fulfilment cash flows related to future services and the CSM, while the liability for incurred claims consists of the fulfilment cash flows related to past services. The CSM gets adjusted for changes in cash flows related to future services and for the interest accretion at interest rates locked-in at initial recognition of the group of contracts/certificates. A release from the CSM is recognised in profit or loss in each period to reflect the services provided in that period based on coverage units. The Group has computed this based on the coverage units by benefit types.

Variable Fee Approach ("VFA")

The measurement approach for insurance contracts/takaful certificates with direct participation features is referred to as the variable fee approach. The VFA modifies the accounting model GMM to reflect that the consideration an entity receives for the contracts/certificates is a variable fee.

An insurance contract/takaful certificate with direct participation features is defined by the Group as one which, at inception, meets the following criteria:

- The contractual terms specify that the policyholders/participants participate in a share of a clearly identified pool of underlying items;
- The Group expects to pay to the policyholders/participants an amount equal to a substantial share of the fair value returns on the underlying items; and
- The Group expects a substantial proportion of any change in the amounts to be paid to the policyholders/participants to vary with the change in fair value of the underlying items.

Premium Allocation Approach ("PAA")

The Group applies the PAA measurement model for policies that have contract/certificate boundaries (i.e. coverage periods) of less than one (1) year as well as for policies with contract/certificate boundaries of more than 1 year which pass the PAA eligibility test.

Under the PAA, the liability for remaining coverage is measured as the amount of premiums/contribution received net of acquisition cash flows paid, less the net amount of premiums/contribution and acquisition cash flows that have been recognised in profit or loss over the expired portion of the coverage period based on the passage of time. The measurement of the liability for incurred claims is identical under all three (3) measurement models, apart from the determination of locked-in interest rates used for discounting.

The Group applies both the PAA or GMM models for all reinsurance contracts/retakaful certificates held, depending on the specific contract/certificate boundaries for each reinsurance contract/retakaful certificate.

(c) Modification and derecognition

The Group derecognises insurance contracts/takaful certificates when:

- The rights and obligations relating to the contracts/certificates are extinguished (i.e. discharged, cancelled or expired); or
- The contract/certificate is modified such that the modification results in a change in the measurement model, or the applicable standard for measuring a component of the contract/certificate. In such cases, the Group derecognises the initial contract/certificate and recognises the modified contract/certificate as a new contract/certificate.

When a modification is not treated as a derecognition, the Group recognises amounts paid or received for the modification with the contracts/certificates as an adjustment to the relevant liability for remaining coverage.

(d) Insurance/takaful service result

Insurance/takaful service result comprises of insurance/takaful revenue and insurance/takaful service expenses and net expenses from reinsurance contracts/retakaful certificates held.

Insurance/takaful revenue for contracts not measured under the PAA in each reporting period represents the changes in the liabilities for remaining coverage that relate to services for which the Group expects to receive consideration, an allocation of premiums/contribution that relate to recovering insurance/takaful acquisition cash flows and experience adjustments for premium receipts.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(xxi) Insurance contracts/takaful certificates and reinsurance contracts/retakaful certificates (cont'd.)

(d) Insurance/takaful service result (cont'd.)

For contracts measured under the PAA, the insurance/takaful revenue for the period is the amount of expected premium/contribution receipts (excluding any investment component) allocated to the period. The Group allocates the expected premium/contribution receipts to each period on the basis of the passage of time. However, if the expected pattern of release of risk differs significantly from the passage of time, then the allocation is made on the basis of the expected timing of incurred insurance/takaful service expenses.

Insurance/takaful service expenses represent expenses that relate directly to the fulfilment of contracts/certificates. Expenses that do not relate directly to the fulfilment of contracts/certificates are presented in 'overhead expenses'.

Net expenses from reinsurance contracts/retakaful certificates represents amount recovered from reinsurer/retakaful and reinsurance/retakaful expenses.

(e) Net insurance/takaful investment/finance result

Net insurance/takaful investment/finance result comprises of finance income or expense from insurance contracts/takaful certificates issued and from reinsurance contracts/retakaful certificates held.

Insurance/takaful finance income or expenses represents the change in the carrying amount of the group of insurance contracts/takaful certificates arising from:

- The effect of the time value of money and changes in the time value of money; and
- The effect of financial risk and changes in financial risk.

(xxii) Fair value measurement

The Group and the Bank measure financial instruments such as financial investments at FVTPL, financial investments designated at FVTPL, financial investments at FVOCI, derivatives, non-financial assets such as investment properties and financial liabilities at FVTPL, at fair value at each statement of financial position date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Group and the Bank.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group and the Bank use valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value are measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 – Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Group and the Bank determine whether transfers have occurred between fair value hierarchy levels by reassessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The fair value hierarchies of financial instruments and non-financial assets that are measured at fair value are disclosed in Note 54(c).

While the fair value hierarchies of financial assets and financial liabilities that are not measured at fair value, the fair value are disclosed in Note 54(g).

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(xxiii) Interest/profit income and expense

Interest/profit-bearing financial assets classified as financial investments at FVTPL, financial investments at FVOCI, financial investments at amortised cost and loans, advances and financing are recognised in the income statements under the caption of 'interest income and income derived from investment of depositors' funds/investment account funds/Islamic Banking Funds' using the effective interest/profit method. Interest/profit-bearing financial liabilities classified as deposits from customers, investment accounts of customers, deposits and placements from financial institutions, financial liabilities at FVTPL, debt securities and payables are recognised in the income statements under the caption 'interest expense and profit distributed to depositors' using effective interest/profit method.

The effective interest/profit method is a method of calculating the amortised cost of a financial asset or a financial liability and of allocating the interest/profit income or interest expense/profit distributed to depositors over the relevant period. The EIR/EPR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instruments or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability. When calculating the EIR/EPR, the Group and the Bank take into account all contractual terms of the financial instrument and include any fees or incremental costs that are directly attributable to the instrument, which are an integral part of the EIR/EPR, but does not consider future credit losses.

Once the recorded value of a financial asset or a group of similar financial assets has been reduced due to an impairment loss, interest/profit income continues to be recognised using the rate of interest/profit used to discount the future cash flows for the purpose of measuring the impairment loss.

Profit income and profit distributed to depositors from Islamic banking business are recognised on an accrual basis in accordance with the principles of Shariah.

(xxiv) Fee and other income

(a) Fee income

The Group and the Bank earn fee income from a diverse range of services they provide to its customers as follows:

(1) Fee income earned on the execution of a significant act

Income earned on the execution of a significant act is recognised as revenue when the act is completed (for example, fees arising from negotiating, or participating in the negotiation of, a transaction for a third party, such as an arrangement for the acquisition of shares or other securities).

(2) Fee income earned from provision of services

Income earned from the provision of services is recognised as revenue over the period in which the services are provided (for example, asset management, portfolio and other management advisory and service fees).

(3) Fee income that forms an integral part of the effective interest/profit rate of a financial instrument

Income that forms an integral part of the effective interest/profit rate of a financial instrument is recognised as an adjustment to the effective interest/profit rate (for example, certain loan/financing commitment fees) and recorded as part of 'interest and income derived from investment of depositors' funds/investment account funds/Islamic Banking Funds' in the income statements.

Fee income can be divided into the following categories:

(1) Commission

Income earned in respect of sales or distribution of banking, investments and insurance products. Commission earned from banking is on trade and bancassurance.

(2) Service charges and fees

Income earned on the services provided to retail and corporate customers, including account management and various transaction-based services, such as interchange foreign currency transactions, money order processing and insufficient funds/overdraft transactions.

(3) Underwriting fees

Income earned for the placement of a customer's debt or equity securities.

(4) Brokerage income

Brokerage income includes fees earned from transaction-based services that are performed as part of investment management services.

(5) Fees on loans, advances and financing

Income earned in respect of loans, advances and financing such as loan/financing commitments, financial guarantees and standby letters of credit.

(b) Dividend income

Dividend income is recognised when the Group's and the Bank's right to receive the payment is established. This is the ex-dividend date for listed equity securities, and usually the date when shareholders have approved the dividend for unlisted equity securities.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(xxiv) Fee and other income (cont'd.)

(c) Customer loyalty programmes

Award credits under the customer loyalty programmes are accounted for as a separately identifiable component of the transaction in which they are granted. The fair value of the consideration received in respect of the initial sale is allocated between the cost of award credits and the other components of the sale. The consideration allocated to award credits is recognised in the income statements under the caption of 'other operating income' when award credits are redeemed.

As at 31 December 2025, the remaining performance obligations associated with future net fee income of the Group ranging from one (1) year to three (3) years and more than three (3) years are RM213.2 million (2024: RM231.4 million) and RM223.5 million (2024: RM190.7 million), respectively. Whereas, future net fee income of the Bank ranging from one (1) year to three (3) years and more than three (3) years are RM165.5 million (2024: RM209.4 million) and RM199.2 million (2024: RM153.9 million), respectively.

(xxv) Employee benefits

(a) Short-term employee benefits

Wages, salaries, bonuses and social security contributions are recognised as an expense in the income statements in the year in which the associated services are rendered by employees of the Group and of the Bank. Short-term accumulating compensated absences such as paid annual leave are recognised as an expense in the income statements when services are rendered by employees that increase their entitlement to future compensated absences. Short-term non-accumulating compensated absences such as sick leave are recognised as an expense in the income statements when the absences occur.

(b) Other long-term employee benefits

Other long-term employee benefits are benefits that are not expected to be settled wholly before twelve (12) months after the end of the reporting date in which the employees render the related services.

The cost of long-term employee benefits is accrued to match the services rendered by employees of the Group using the recognition and measurement bases similar to that for defined benefit plans disclosed in Note 2.3(xxv)(d), except that the remeasurements of the net defined benefit liability or asset are recognised immediately in the income statements.

(c) Defined contribution plans

As required by law, companies in Malaysia make contributions to the Employees Provident Fund ("EPF"). Certain overseas branches and overseas subsidiaries of the Bank make contributions to their respective countries' statutory pension schemes. Such contributions are recognised as an expense in the income statements when incurred.

(d) Defined benefit plans

As required by labour laws in certain countries, certain subsidiaries of the Bank are required to pay severance payments to their employees upon employees' retirement. The Group treats such severance payment obligations as defined benefit plans or pension plans.

The defined benefit costs and the present value of defined benefit obligations are calculated at the reporting date by the qualified actuaries using the projected unit credit method.

Remeasurements of the net defined benefit liability or asset, which comprise actuarial gains and losses, the return on plan assets (excluding interest) and the effect of the asset ceiling (if any, excluding interest), are recognised immediately in other comprehensive income in the period in which they occur and recorded in defined benefit reserve. Remeasurements are not reclassified to the income statement in subsequent periods.

Past service costs are recognised in the income statements on the earlier of:

- The date of the plan amendment or curtailment; or
- The date that the overseas subsidiaries of the Bank recognise restructuring related costs.

Net interest on the net defined benefit asset or liability and other expenses relating to defined benefit plans are calculated by applying the discount rate to the net defined benefit liability or asset and recognised in the income statements.

The Group disclosed the details of defined benefit plans in Note 26(i).

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(xxv) Employee benefits (cont'd.)

(e) Share-based compensation

(1) Employees' Share Grant Plan ("ESGP Shares")

The ESGP Shares is awarded to the eligible Executive Directors and employees of the participating Maybank Group excluding dormant subsidiaries. The ESGP Shares may be settled by way of issuance and transfer of new Maybank shares or by cash at the absolute discretion of the Nomination and Remuneration Committee of the Board ("NRC").

The total fair value of ESGP Shares granted to eligible employees is recognised as an employee cost with a corresponding increase in the reserve within equity over the vesting period and taking into account the probability that the ESGP Shares will vest. The fair value of ESGP Shares is measured at grant date, taking into account the market and non-market vesting conditions upon which the ESGP Shares were granted.

Upon vesting of ESGP Shares, the Bank will recognise the impact of the actual numbers of ESGP Shares vested as compared to original estimates.

(2) Cash-settled Performance-based Employees' Share Grant Plan ("CESGP")

The CESGP is awarded to the eligible Executive Directors and employees of the participating Maybank Group, subject to achievement of performance criteria set out by the Board of Directors and prevailing market practices in the respective countries. Upon vesting, the cash amount equivalent to the value of the Maybank Reference Shares will be transferred to the eligible employees.

The total fair value of CESGP granted to eligible employees is recognised as an employee cost with a corresponding increase in the liability over the vesting period and taking into account the probability that the CESGP will vest. The fair value of CESGP is measured at grant date, taking into account the market and non-market vesting conditions upon which the CESGP were granted.

Upon vesting of CESGP, the Group and the Bank will recognise the impact of the actual numbers of CESGP vested as compared to original estimates.

Details of shares granted under ESGP and CESGP are disclosed in Note 32(b).

(xxvi) Non-current assets (or disposal group) held for sale and discontinued operations

Non-current assets (or disposal group) are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use. The condition is regarded as met only when the sale is highly probable and the asset is available for immediate sale in its present condition, management has committed to the sale and the sale is expected to have been completed within one (1) year from the date of classification.

Immediately before the initial classification of non-current assets (or disposal group) as held for sale, the carrying amount of non-current assets (or component of a disposal group) is remeasured in accordance with applicable MFRS Accounting Standards. Thereafter, the non-current assets (or disposal group) are measured at the lower of carrying amount and fair value less costs to sell.

Any impairment losses on a disposal group is first allocated to goodwill and then to remaining assets and liabilities on pro rata basis, except that no loss is allocated to financial assets, deferred tax assets and investment property, which continue to be measured in accordance with MFRS Accounting Standards. Impairment losses on initial classification as held for sale and subsequent gains or losses on remeasurement are recognised in the income statements. Gains are not recognised in excess of any cumulative impairment losses.

Property, plant and equipment and intangible assets are not depreciated or amortised once classified as held for sale. Equity accounting on associates ceases once the associates are classified as held for sale.

A disposal group qualifies as discontinued operation if it is a component of the Group and of the Bank that either has been disposed of, or is classified as held for sale and:

- represents a separate major line of business or geographical area of operations;
- is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations; or
- is a subsidiary acquired exclusively with a view to resale.

Discontinued operations are excluded from the results of continuing operations and are presented as a single amount as profit or loss after tax from discontinued operations in the income statements.

(xxvii) Share capital and dividends declared

Ordinary shares are classified as equity when there is no contractual obligation to transfer cash or other financial assets. Transaction costs directly attributable to the issuance of new equity shares are taken to equity as a deduction against the issuance proceeds.

Dividends declared on ordinary shares are recognised as a liability and deducted from equity in the period in which all relevant approvals have been obtained.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

2. ACCOUNTING POLICIES (CONT'D.)

2.3 Summary of material accounting policies (cont'd.)

(xxviii) Contingent assets and contingent liabilities

Contingent assets arise from unplanned or other unexpected events that give rise to the possibility of an inflow of economic benefits to the Group and the Bank. The Group and the Bank do not recognise contingent assets but disclose its existence when inflows of economic benefits are probable but not virtually certain.

Contingent liabilities are possible obligations that arise from past events, whose existence will only be confirmed by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Group and the Bank; or are present obligations that have arisen from past events but are not recognised because it is not probable that an outflow of economic benefits will be required, or the amount cannot be estimated reliably. The Group and the Bank do not recognise contingent liabilities. Contingent liabilities are disclosed, unless the probability of outflow of economic benefits is remote.

(xxix) Earnings per share

The Group presents basic and diluted (where applicable) earnings per share ("EPS") for profit or loss from continuing operations attributable to the ordinary equity holders of the Bank on the face of the income statements.

Basic EPS is calculated by dividing the net profit attributable to equity holders of the Bank by the weighted average number of ordinary shares in issue during the financial year.

Diluted EPS is calculated by dividing the net profit attributable to equity holders of the Bank by the weighted average number of ordinary shares in issue during the financial year, which has been adjusted for the effects of all dilutive potential ordinary shares. No adjustment is made for anti-dilutive potential ordinary shares.

Where there is a discontinued operation reported, the Group presents the basic and diluted amounts per share for the discontinued operation in the income statements.

(xxx) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker is a person or a group of people that is responsible to allocate resources and assess the performances of the operating segments of an entity. The Group has determined the Group Executive Committee of the Bank as its chief operating decision-maker.

All transactions between business segments (intra-segment revenue and costs) are being eliminated at Head Office. Income and expenses directly associated with each business segment are included in determining business segment performance.

The Group disclosed its segment information in Note 60.

(xxxi) Financial assistance scheme

Financing under a government scheme is recognised and measured in accordance with MFRS 9 *Financial Instruments*, with the benefit at a below market and concession rate is measured as the difference between the initial carrying amount or fair value of the financing and the amount received. Government financing facility is measured in accordance with the amount received.

The benefit of a financing or a facility under a government scheme that addresses identified costs or expenses incurred by the Group and the Bank is recognised in the profit or loss in the same financial period when the costs or expenses are recognised, when the required conditions are fulfilled in accordance with MFRS 120 *Accounting for Government Grants and Disclosure of Government Assistance*.

2.4 Changes in accounting policies and disclosures

On 1 January 2025, the Group and the Bank adopted the following amendments to existing MFRS Accounting Standards:

Description	Effective for annual periods beginning on or after
Amendments to MFRS 121 *The Effects of Changes in Foreign Exchange Rates – Lack of Exchangeability*	1 January 2025

Amendments to MFRS 121 The Effects of Changes in Foreign Exchange Rates - Lack of Exchangeability

The amendments clarify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking, as well as require the disclosure of information that enables users of financial statements to understand the impact of a currency not being exchangeable.

The amendments are to be applied in annual reporting periods beginning on or after 1 January 2025, earlier application is permitted but will need to be disclosed. These amendments do not have a significant impact on the preparation of the Group's and the Bank's financial statements.

3. SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of the Group's and of the Bank's financial statements requires management to make judgements, estimates and assumptions that affect the application of policies and reported amounts of income, expenses, assets, liabilities, the accompanying disclosures and the disclosure of contingent liabilities. Although these estimates and judgements are based on management's best knowledge of current events and actions, actual results may differ. The most significant uses of judgements and estimates are as follows:

3.1 Going concern

The Group's and the Bank's management have made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt upon the Group's and the Bank's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

3.2 Impairment of financial investments portfolio (Notes 10, 11 and 45)

The measurement of the ECL for financial assets measured at amortised cost and FVOCI is an area that requires the use of complex models and significant assumptions about future economic conditions and credit behaviour.

In carrying out the impairment review, the following management's judgements are required:

(i) Determination whether the investment is impaired based on certain indicators such as, amongst others, difficulties of the issuers or obligors, deterioration of the credit quality of the issuers or obligors; and

(ii) Determination of ECL that reflect:

  (a) An unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;

  (b) The time value of money; and

  (c) Reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

The overlays and post-model adjustments arising from emerging risks involved significant level of judgement and reflect the management's views of uncertainties in the forward-looking assessment for ECL estimation. The impact is outlined in Note 3.4.

3.3 Fair value estimation of financial assets/investments at FVTPL (Notes 8 and 9), financial investments at FVOCI (Note 10), loans, advances and financing at FVOCI (Note 12), derivative financial instruments (Note 13) and financial liabilities at FVTPL (Note 25)

For financial instruments measured at fair value, where the fair values cannot be derived from active markets, these fair values are determined using a variety of valuation techniques, including the discounted cash flows method, option pricing models, credit models and other relevant valuation models.

The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Refer to Note 54 for further disclosures.

3.4 Impairment losses on loans, advances and financing (Notes 12, 26 and 44)

The Group and the Bank review their individually significant loans, advances and financing at each reporting date to assess whether an impairment loss should be recorded in the income statements. In particular, management's judgement is required in the estimation of the amount and timing of future cash flows when determining the impairment losses. In estimating these cash flows, the Group and the Bank make judgements about the borrower's or the customer's financial situation and the net realisable value of collateral. These estimates are based on assumptions on a number of factors and actual results may differ, resulting in future changes to the allowances.

The Group's and the Bank's ECL calculations under MFRS 9 are outputs of complex models with a number of underlying assumptions regarding the choices of variable inputs and their interdependencies.

Elements of the ECL models that are considered accounting judgements and estimates include:

(i) Internal credit grading model, which assigns PDs to the individual grades;

(ii) Criteria for assessing possible significant increase in credit risk and qualitative information to determine if allowances should be measured using lifetime ECL basis;

(iii) The segmentation of financial assets when their ECL is assessed on a collective basis;

(iv) Development of ECL models, including the various formulas and the choice of inputs;

(v) Determination of associations between macroeconomic scenarios and economic inputs, such as unemployment levels and collateral values and the effect on PDs, EADs and LGDs; and

(vi) Selection of forward-looking macroeconomic scenarios and their probability weightings to derive the economic inputs into the ECL models.

Overlays and adjustments for ECL

As the current MFRS 9 models are being recalibrated and not expected to generate levels of ECL with sufficient reliability yet in view of uncertainties from emerging risks from the current economic environment, overlays and post-model adjustments have been applied to determine a sufficient overall level of ECL as of the financial year end.

These overlays and post-model adjustments were taken to reflect the following risk factors not captured in the modelled outcome:

(a) Latest macroeconomic outlook amid the elevated uncertainty arising from tariff pressure and ongoing geopolitical tension;

(b) High risk and vulnerable sectors; and

(c) Effects of climate related matters (physical and transition risk) and the impact to economic activities including delinquencies and defaults.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

3. SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS (CONT'D.)

3.4 Impairment losses on loans, advances and financing (Notes 12, 26 and 44) (cont'd.)

Overlays and adjustments for ECL (cont'd.)

The overlays and post-model adjustments involved significant level of judgement and reflect the management's views of uncertainties in the forward-looking assessment for ECL estimation. The drivers of the management judgemental adjustments continue to evolve with the economic environment.

The borrowers or customers who have received repayment supports remain in their existing stages unless they have been individually identified as not viable or with other risk trigger or with subsequent indicators of significant increase in credit risk. The overlays and post-model adjustments are made at both portfolio and individual obligor levels in determining the sufficient level of ECL overlay.

The impact of these post-model adjustments were estimated at both portfolio and vulnerable obligors level amounting to RM2,292.2 million (2024: RM1,706.3 million) for the Group and RM899.6 million (2024: RM507.2 million) for the Bank respectively as at 31 December 2025, with 67% allocated to the retail and retail SME portfolios in anticipation of emerging asset quality risk from current economic environment.

These overlays include impact assessment on impairment of financial investments portfolio as outlined in Note 3.2.

3.5 Valuation of investment properties (Note 16)

The measurement of the fair value for investment properties is arrived at by reference to market evidence of transaction prices for similar properties and is performed by independent valuers who hold a recognised and relevant professional qualification and have recent experience in the locations and category of the properties being valued.

3.6 Impairment of investment in subsidiaries (Note 18) and interest in associates and joint ventures (Note 19)

The Group and the Bank assess whether there is any indication that an investment in subsidiaries and interest in associates and joint ventures which may be impaired at each reporting date.

If indicators are present, these investments are subjected to impairment review. The impairment review comprises a comparison of the carrying amounts and estimated recoverable amounts of the investments.

Judgements made by management in the process of applying the Group's accounting policies in respect of investment in subsidiaries and interest in associates and joint ventures are as follows:

(i) The Group determines whether its investments are impaired following certain indications of impairment such as, amongst others, prolonged shortfall between market value and carrying amount, significant changes with adverse effects on the investment and deteriorating financial performance of the investment due to observed changes in the economic environment; and

(ii) Depending on their nature and the location in which the investments relate to, judgements are made by management to select suitable methods of valuation such as, amongst others, discounted future cash flows or estimated fair value based on quoted market price of the most recent transactions. Once a suitable method of valuation is selected, management makes certain assumptions concerning the future to estimate the recoverable amount of the specific individual investment. These assumptions and other key sources of estimation uncertainty at the reporting date, may have a significant risk of causing a material adjustment to the carrying amounts of the investments within the next financial year. Depending on the specific individual investment, assumptions made by management may include, amongst others, assumptions on expected future cash flows, revenue growth, terminal value, discount rate used for purposes of discounting future cash flows which incorporates the relevant risks and expected future outcomes based on certain past trends.

Sensitivity to changes in assumptions

Management believes that no reasonably expected possible changes in the key assumptions described above would cause the carrying amounts of the investments to materially exceed their recoverable amounts.

3.7 Impairment of goodwill (Note 22(i))

The Group tests annually whether the goodwill that has an indefinite life is impaired by measuring the recoverable amount of the CGU based on the VIU method, which requires the use of estimates of future cash flow projections, terminal growth rates and discount rates. Changes to the assumptions used by management, particularly the discount rate and the terminal value, may affect the results of the impairment assessment.

3.8 Deferred tax (Note 28) and income tax (Note 47)

The Group and the Bank are subject to income tax in many jurisdictions and significant judgement is required in estimating the provision for income tax. There are many transactions and interpretations of tax law for which the final outcome will not be established until some time later. Liabilities for taxation are recognised based on estimates of whether additional taxes will be payable. The estimation process includes seeking advice on the tax treatments where appropriate. Where the final liability for taxation is different from the amounts that were initially recorded, the differences will affect the income tax and deferred tax provisions in the period in which the estimate is revised or the final liability is established.

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax planning strategies.

3.9 Liabilities of insurance business (Note 14)

Insurance contracts and takaful certificates measurement

There are several sources of uncertainties that need to be considered in the estimation of general insurance/general takaful liabilities and life/family takaful liabilities.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

3. SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS (CONT'D.)

3.9 Liabilities of insurance business (Note 14) (cont'd.)

Insurance contracts and takaful certificates measurement (cont'd.)

The key significant areas of estimation uncertainty and critical judgements in measuring general insurance/general takaful liabilities and life/family takaful liabilities include:

(i) Estimates of future cash flows

In estimating the future cash flows, the Group incorporates, in an unbiased way, all reasonable and supportable information that is available without undue cost or effort at the reporting date. This information includes both internal and external historical data about claims and other experiences, updated to reflect current expectations of future events.

The estimates of future cash flows reflect the Group's view of current conditions at the reporting date and current expectations of future events that might affect those cash flows.

Cash flows within the boundary of a contract/certificate are those that relate directly to the fulfilment of the contract/certificate, including those for which the Group has discretion over the amount or timing. These include payments to (or on behalf of) policyholders/participants, insurance/takaful acquisition cash flows and other costs that are incurred in fulfilling contracts/certificates. Insurance/takaful acquisition cash flows and other costs that are incurred in fulfilling contracts/certificates comprise both direct costs and an allocation of fixed and variable overheads.

Cash flows are attributed to acquisition activities and other fulfilment activities either directly or estimated based on the type of activities performed by the respective business function. Cash flows attributable to acquisition and other fulfilment activities are allocated to groups of contracts/certificates using methods that are systematic and rational and will be consistently applied to all costs that have similar characteristics, such as based on total premiums, number of policies or number of claims.

The key assumptions that were used when estimating future cash flows are mortality and morbidity rates, longevity and lapse and surrender rates.

(ii) Discount rates

For general insurance/general takaful business, insurance contracts/takaful certificates liabilities are calculated by using risk-free discount rates.

For life insurance and family takaful business in Malaysia operations, the Group generally determines discount rates by using risk-free rates, plus an illiquidity premium where applicable. Risk-free rates are determined by reference to the yields of government securities, meanwhile the illiquidity premium is determined by reference to observable market rates, including low-risk assets and corporate bonds. The yield curves will be extrapolated between the last liquid point and the ultimate forward rate, which reflects long-term real interest rate and inflation expectations. Although the ultimate forward rate will be subject to revision, it is expected to be updated only upon significant changes in the long-term expectations being observed.

For life insurance business in Singapore operation, the Group determines risk-free discount rates using the observed yield curves of government securities. The derivation of the illiquidity premium leverages the matching adjustment or illiquidity premium calibrated in accordance to Monetary Authority of Singapore ("MAS") Risk Based Capital framework technical specifications. Smith-Wilson method is considered for extrapolation between the last liquid point and the ultimate forward rate ("UFR") for discount rates beyond the observable data. The UFR reflects long-term real interest rates and inflation expectations. Although the ultimate forward rate will be subject to revision, it is expected to be updated only upon significant changes in the long-term expectations being observed.

(iii) Risk adjustments for non-financial risk

Risk adjustments for non-financial risk are determined to reflect the compensation that the Group would require for bearing non-financial risk and its degree of risk aversion. The Group applies a confidence level technique to determine the risk adjustments for non-financial risk of both its insurance contracts/takaful certificates and reinsurance contracts/retakaful certificates.

Under a confidence level technique, the Group estimates the probability distribution of the expected value of the future cash flows at each reporting date and calculates the risk adjustment for non-financial risk as the excess of the value at risk at the target confidence level over the expected present value of the future cash flows allowing for the associated risks over all future years. The target confidence level is 75th percentile, in line with the regulatory requirement of BNM under the Risk Based Capital Framework for insurers/takaful operators.

(iv) Contractual service margin

The CSM is a component of the assets or liabilities for the group of insurance contracts/takaful certificates that represents the unearned profit that the Group will recognise as it provides services in the future. An amount of the CSM for a group of insurance contracts/takaful certificates is recognised in profit or loss as insurance/takaful revenue in each period to reflect the services provided under the group of insurance contracts/takaful certificates in that period. The amount is determined by:

- Identifying the coverage units in the group;
- Allocating the CSM at the end of the period (before recognising any amounts in profit or loss to reflect the services provided in the period) equally to each coverage unit provided in the current period and expected to be provided in the future years; and
- Recognising in profit or loss the amount allocated to coverage units provided in the period.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

3. SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS (CONT'D.)

3.9 Liabilities of insurance business (Note 14) (cont'd.)

Insurance contracts and takaful certificates measurement (cont'd.)

The key significant areas of estimation uncertainty and critical judgements in measuring general insurance/general takaful liabilities and life/family takaful liabilities include (cont'd.):

(iv) Contractual service margin (cont'd.)

The number of coverage units in a group is the quantity of coverage provided by the contracts/certificates in the group, which is determined by considering for each contract/certificate the quantity of the benefits provided and its expected coverage duration.

For groups of life insurance contracts/family takaful certificates, the quantity of benefit is the contractually agreed sum covered over the duration of the contracts/certificates. The total coverage units of each group of insurance contracts/takaful certificates are reassessed at the end of each reporting period to adjust for the reduction of remaining coverage for claims paid, expectations of lapses and cancellation of contracts/certificates in the period. They are then allocated based on probability-weighted average duration of each coverage unit provided in the current period and expected to be provided in the future.

3.10 Defined benefit plans (Note 26(i))

The cost of the defined benefit plan and other post employment benefits and the present value of the pension obligation are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, expected rate of returns on investments, future salary increases, mortality rates, resignation rates and future pension increases. Due to the complexity of the valuation and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the interest/profit rates of high quality government bonds in their respective currencies and extrapolated maturity corresponding to the expected duration of the defined benefit obligation.

The mortality rate is based on publicly available mortality tables for the specific countries. Future salary increases and pension increases are based on expected future inflation rates for the respective countries.

Further details about the assumptions used, including a sensitivity analysis, are given in Note 26(i)(d).

3.11 Deemed controlled structured entities (Note 64(b))

The Group has established a number of fixed income funds and equity funds, where it is deemed to be acting as principal rather than agent in its role as funds investment manager for the funds. Accordingly, the Group is deemed to control these entities and consolidate these entities based on the accounting policies as disclosed in Note 2.2.

3.12 Leases - renewal option (Note 21 and Note 26(iv))

The Group and the Bank determine the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

The Group and the Bank have the option, under some of its leases to lease the assets for additional terms of three to nine years. The Group and the Bank apply judgement in evaluating whether it is reasonably certain to exercise the option to renew. That is, it considers all relevant factors that create an economic incentive for it to exercise the renewal. After the commencement date, the Group and the Bank reassess the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise (or not to exercise) the option to renew (e.g. a change in business strategy). The Group and the Bank included the renewal period as part of the lease term for leases of premises and IT equipments due to the significance of these assets to its operations.

4. STANDARDS AND ANNUAL IMPROVEMENTS TO STANDARDS ISSUED BUT NOT YET EFFECTIVE

The following are new MFRS Accounting Standards and amendments to existing MFRS Accounting Standards and annual improvements to MFRS Accounting Standards issued by Malaysian Accounting Standards Board ("MASB"), but not yet effective, up to the date of issuance of the Group's and of the Bank's financial statements. The Group and the Bank intend to adopt these standards and annual improvements to standards, if applicable, when they become effective:

Description	Effective for annual periods beginning on or after
Amendments to MFRS 9 *Financial Instruments* and MFRS 7 *Financial Instruments: Disclosures - Classification and Measurement of Financial Instruments*	1 January 2026
Amendments to MFRS 9 *Financial Instruments* and MFRS 7 *Financial Instruments: Disclosures - Contracts Referencing Nature-dependent Electricity*	1 January 2026
Annual Improvements to MFRS Accounting Standards - Volume 11	1 January 2026
MFRS 18 *Presentation and Disclosure in Financial Statements*	1 January 2027
MFRS 19 *Subsidiaries without Public Accountability: Disclosures*	1 January 2027
Amendments to MFRS 121 *The Effects of Changes in Foreign Exchange Rates - Translation to a Hyperinflationary Presentation Currency*	1 January 2027
Amendments to MFRS 10 *Consolidated Financial Statements* and MFRS 128 *Investments in Associates and Joint Ventures - Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*	Deferred

4. STANDARDS AND ANNUAL IMPROVEMENTS TO STANDARDS ISSUED BUT NOT YET EFFECTIVE (CONT'D.)

Amendments to MFRS 9 *Financial Instruments* and MFRS 7 *Financial Instruments: Disclosures - Classification and Measurement of Financial Instruments*

The amendments clarify the following:

- A financial liability is derecognised on the settlement date, i.e., when the related obligation is discharged, cancelled, expired or the liability otherwise qualifies for derecognition. It also introduces an accounting policy choice to derecognise financial liabilities that are settled through an electronic payment system ("EPS") before settlement date if certain conditions are met;
- Assessment of the contractual cash flow characteristics of financial assets that include ESG-linked features and other similar contingent features; and
- The treatment of non-recourse assets and contractually linked instruments ("CLI").

The amendments require additional disclosures in MFRS 7 for financial assets and liabilities with contractual terms that reference a contingent event (including those that are ESG-linked), and equity instruments classified at FVOCI.

The new requirements will be applied retrospectively with an adjustment to opening retained earnings. Prior periods are not required to be restated and can only be restated without using hindsight. An entity is required to disclose information about financial assets that change their measurement category due to the amendments.

The amendments will be effective for annual reporting periods beginning on or after 1 January 2026. Entities can early adopt the amendments that relate to the classification of financial assets plus the related disclosures and apply the other amendments later. The amendments are not expected to have a significant impact on the preparation of the Group's and the Bank's financial statements.

Amendments to MFRS 9 *Financial Instruments* and MFRS 7 *Financial Instruments: Disclosures - Contracts Referencing Nature-dependent Electricity*

The amendments clarify the following:

- For the nature-dependent electricity contracts, like power purchase agreements ("PPAs") that meet own-use exemptions, an entity is allowed to exclude such contracts from the scope of financial instruments accounting under MFRS 9. Instead, the PPAs will be treated as non-financial contracts as part of normal operating expenses. Own-use exemptions are applied if the electricity is purchased with the intention of being used for the entity's own operational needs, rather than reselling it or using it as a trading asset. The entity needs to expect that the quantity of electricity it agrees to purchase will align with its expected consumption needs and must actually use the electricity it buys; and
- On the other hand, for the PPAs that do not meet the own-use exemption, such contracts are recognised as derivatives and valued at FVTPL. Applying hedge accounting can help entities reduce profit or loss volatility by aligning the accounting treatment with how these PPAs hedge the price fluctuations of future electricity purchases or sales.

Under the amendments, an entity may apply the own-use exemption to certain PPAs, meaning these contracts would not be recognised on its statement of financial position. In this scenario, the entity is required to provide additional disclosures on:

- Contractual features that subject the entity to fluctuations in electricity volume and the risk of receiving surplus supply;
- Projected future cash flows from unrecognised contractual obligations to purchase electricity within the relevant time periods;
- Qualitative information on how the entity evaluates if a contract could turn onerous; and
- Both qualitative and quantitative details regarding the costs and proceeds related to the purchase and sale of electricity, derived from the information used in the 'net-purchaser' evaluation.

The amendments will be effective for annual reporting periods beginning on or after 1 January 2026. Early adoption is allowed. The amendments are not expected to have a significant impact on the preparation of the Group's and the Bank's financial statements.

MFRS 18 *Presentation and Disclosure in Financial Statements*

MFRS 18 *Presentation and Disclosure in Financial Statements* replaces MFRS 101 *Presentation in Financial Statements*. MFRS 18 introduces new categories and subtotals in the statement of profit or loss. It also requires disclosure of management-defined performance measures ("MPMs") and includes new requirements for the location, aggregation and disaggregation of financial information.

In the statement of profit or loss, an entity will be required to classify income and expenses within its statement of profit or loss into three new categories: operating; investing; and financing. In addition, MFRS 18 requires an entity to present two new subtotals which are 'operating profit or loss' and 'profit or loss before financing and income taxes'.

For the purposes of classifying its income and expenses into the categories required by MFRS 18, an entity will need to assess whether it has a 'main business activity' of investing in assets or providing financing to customers, as specific classification requirements will apply to such entities. Determining whether an entity has such a specified main business activity is a matter of fact and circumstances which requires judgement. An entity may have more than one main business activity.

MFRS 18 introduces MPMs as subtotals of income and expenses that an entity uses in public communications outside financial statements, to communicate management's view of an aspect of the financial performance of the entity as a whole to users. MFRS 18 requires disclosure of information about all of an entity's MPMs within a single note to the financial statements and requires several disclosures to be made about each MPM, including how the measure is calculated and a reconciliation to the most comparable subtotal.

MFRS 18 differentiates between 'presenting' information in the primary financial statements and 'disclosing' it in the notes, and introduces a principle for determining the location of information based on identified 'roles' of the primary financial statements and the notes. MFRS 18 requires aggregation and disaggregation of information to be performed with reference to similar and dissimilar characteristics.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

4. STANDARDS AND ANNUAL IMPROVEMENTS TO STANDARDS ISSUED BUT NOT YET EFFECTIVE (CONT'D.)

MFRS 18 *Presentation and Disclosure in Financial Statements* (cont'd.)

Consequential amendments to other accounting standards:

- MFRS 107 *Statement of Cash Flows* - Amendments include changing the starting point for determining cash flows from operations under the indirect method from 'profit or loss' to 'operating profit or loss'. The optionality around classification of cash flows from dividends and interest in the statement of cash flows has also largely been removed;
- MFRS 133 *Earnings per Share* - Amendments to include additional requirements that permit entities to disclose additional amounts per share, only if the numerator used in the calculation meets specified criteria. The numerator must be: (i) An amount attributable to ordinary equity holders of the parent entity; and (ii) A total or subtotal identified by MFRS 18 or an MPM as defined by MFRS 18;
- MFRS 101 *Presentation of Financial Statements* - Some requirements have been moved to MFRS 108 *Accounting Policies, Changes in Accounting Estimates and Errors* which has been renamed as MFRS 108 *Basis of Preparation of Financial Statements;* and
- MFRS 134 *Interim Financial Reporting* has been amended to require disclosure of MPMs.

MFRS 18 and the amendments to the other accounting standards will be effective for reporting periods beginning on or after 1 January 2027 and will be applied retrospectively. Early adoption is permitted and must be disclosed. The Group is assessing the impact of adoption of the new standard. At this juncture, the standard is expected to have an impact primarily on the presentation and structure of the Group's and the Bank's Income Statements and Statement of Comprehensive Income including the related disclosure.

MFRS 19 *Subsidiaries without Public Accountability: Disclosures*

MFRS 19 *Subsidiaries without Public Accountability: Disclosures* allows eligible entities to elect to apply reduced disclosure requirements while still applying the recognition, measurement and presentation requirements in other MFRS Accounting Standards. Unless otherwise specified, eligible entities that elect to apply MFRS 19 will not need to apply the disclosure requirements.

An entity may elect to apply MFRS 19 if at the end of the reporting period:

- It is a subsidiary as defined in MFRS 10 *Consolidated Financial Statements;*
- It does not have public accountability; and
- It has a parent (either ultimate or intermediate) that prepares consolidated financial statements, available for public use, which comply with MFRS Accounting Standards.

An entity applying MFRS 19 is required to disclose that fact as part of its general MFRS Accounting Standards compliance statement. MFRS 19 requires an entity whose financial statements comply with MFRS Accounting Standards including MFRS 19 to make an explicit and unreserved statement of such compliance.

MFRS 19 will be effective for reporting periods beginning on or after 1 January 2027 and earlier adoption is permitted. The Group is evaluating the potential impact of adopting this standard on the required effective date.

If an eligible entity chooses to apply the standard earlier, it is required to disclose that fact. An entity is required, during the first period (annual and interim) in which it applies the standard, to align the disclosures in the comparative period with the disclosures included in the current period under MFRS 19, unless MFRS 19 permits or requires otherwise.

Amendments to MFRS 121 *The Effects of Changes in Foreign Exchange Rates - Translation to a Hyperinflationary Presentation Currency*

The amendments clarify that if an entity presents its financial statements in a hyperinflationary currency but has:

- a non-hyperinflationary functional currency to translate all the financial statement amounts (including comparatives) by using the closing rate at the latest reporting date; and
- a hyperinflationary functional currency and a foreign operation with a non-hyperinflationary functional currency to translate all amounts (except comparatives) of a foreign operation with a non-hyperinflationary functional currency by using the closing rate at the latest reporting date and apply the general price index to restate the comparatives.

The amendments will be effective for annual reporting periods beginning on or after 1 January 2027. Early adoption is allowed. The amendments are not expected to have a significant impact on the preparation of the Group's and the Bank's financial statements.

Amendments to MFRS 10 *Consolidated Financial Statements* and MFRS 128 *Investments in Associates and Joint Ventures - Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

The amendments clarify that:

- Gains and losses resulting from transactions involving assets that do not constitute a business, between investor and its associate or joint venture are recognised in the entity's financial statements only to the extent of unrelated investors' interests in the associate or joint venture; and
- Gains and losses resulting from transactions involving the sale or contribution of assets to an associate or a joint venture that constitute a business is recognised in full.

The amendments are to be applied prospectively to the sale or contribution of assets occurring in annual periods beginning on or after a date to be determined by the MASB. Earlier application is permitted. The amendments are not expected to have material impact on the Group's and the Bank's financial statements.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

5. CASH AND SHORT-TERM FUNDS

	Note	Group		Bank	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Cash balances and deposits with financial institutions		**25,815,482**	37,126,959	**23,866,783**	27,218,238
Money at call		**2,538,922**	3,426,891	**–**	–
		28,354,404	40,553,850	**23,866,783**	27,218,238
Allowances for impairment losses	(i)	**(26,264)**	(31,330)	**(6,026)**	(5,962)
		28,328,140	40,522,520	**23,860,757**	27,212,276

The Group's monies held-in-trust for clients as at the reporting date are approximately RM4,610,628,000 (2024: RM3,834,295,000). These amounts are excluded from the cash and short-term funds of the Group in accordance with Financial Reporting Standards Implementation Committee ("FRSIC") Consensus 18. The Bank does not have monies held-in-trust for clients as at the reporting date.

(i) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on cash and short-term funds are as follows:

As at 31 December 2025

Changes in the gross carrying amount of cash and short-term funds for the Group and the Bank that contributed to changes in the loss allowances during the financial year ended 31 December 2025 were mainly due to the following:

– The Group's overall gross carrying amount for cash and short-term funds decrease. The decrease in the ECL was due to improvement in credit risk which correspondingly decrease the net remeasurement of allowances for the Group; and

– The Bank's increase in the ECL was due to financial assets that carried higher ECL during the year, which resulted in higher ECL despite the overall decrease in gross carrying amount for cash and short-term funds.

	Stage 1	Stage 2	Stage 3	
	12-month ECL RM'000	Lifetime ECL not credit impaired RM'000	Lifetime ECL credit impaired RM'000	Total RM'000
Group				
At 1 January 2025	**31,330**	**–**	**–**	**31,330**
Net movement of allowances	**5,658**	**–**	**–**	**5,658**
Exchange differences	**(10,724)**	**–**	**–**	**(10,724)**
At 31 December 2025	**26,264**	**–**	**–**	**26,264**
Bank				
At 1 January 2025	**5,962**	**–**	**–**	**5,962**
Net movement of allowances	**441**	**–**	**–**	**441**
Exchange differences	**(377)**	**–**	**–**	**(377)**
At 31 December 2025	**6,026**	**–**	**–**	**6,026**

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

5. CASH AND SHORT-TERM FUNDS (CONT'D.)

(i) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on cash and short-term funds are as follows (cont'd.):

As at 31 December 2024

Changes in the gross carrying amount of cash and short-term funds for the Group and the Bank that contributed to changes in the loss allowances during the financial year ended 31 December 2024 were mainly due to the following:

– The Group's and the Bank's decrease in the ECL for Stage 1 was due to financial assets that carried lower credit risk which correspondingly decreased the ECL despite the overall increase in gross carrying amount for cash and short-term funds.

	Stage 1	Stage 2	Stage 3	
	12-month ECL RM'000	Lifetime ECL not credit impaired RM'000	Lifetime ECL credit impaired RM'000	Total RM'000
Group				
At 1 January 2024	36,518	–	–	36,518
Net movement of allowances	(4,191)	–	–	(4,191)
Exchange differences	(997)	–	–	(997)
At 31 December 2024	31,330	–	–	31,330
Bank				
At 1 January 2024	7,041	–	–	7,041
Net movement of allowances	(1,137)	–	–	(1,137)
Exchange differences	58	–	–	58
At 31 December 2024	5,962	–	–	5,962

6. DEPOSITS AND PLACEMENTS WITH FINANCIAL INSTITUTIONS

	Note	Group		Bank	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Licensed banks		**3,494,459**	15,671,243	**19,966,925**	32,983,290
Bank Negara Malaysia		**869,572**	751,714	**869,572**	751,714
Other financial institutions	(i)	**9,670,281**	5,856,290	**8,784,807**	4,582,438
		14,034,312	22,279,247	**29,621,304**	38,317,442
Allowances for impairment losses	(ii)	**(3,946)**	(4,215)	**(8,165)**	(7,826)
		14,030,366	22,275,032	**29,613,139**	38,309,616

(i) Included in deposits and placements with other financial institutions is USD15.0 million (2024: USD9.0 million) or Ringgit Malaysia equivalent of RM60.9 million (2024: RM40.2 million) pledged with the New York State Banking Department which is not available for use by the Group and the Bank due to capital equivalency deposit requirements.

6. DEPOSITS AND PLACEMENTS WITH FINANCIAL INSTITUTIONS (CONT'D.)

(ii) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on deposits and placements with financial institutions are as follows:

As at 31 December 2025

Changes in the gross carrying amount of deposits and placements with financial institutions for the Group and the Bank that contributed to changes in the loss allowances during the financial year ended 31 December 2025 were mainly due to the following:

– The Group's overall gross carrying amount for deposits and placements with financial institutions decrease. The decrease in the ECL was due to improvement in credit risk which correspondingly decrease the net remeasurement of allowances for the Group; and

– The Bank's increase in the ECL was due to financial assets that carried higher ECL during the year, which resulted in higher ECL despite the overall decrease in gross carrying amount for deposits and placements.

	Stage 1	Stage 2	Stage 3	
	12-month ECL RM'000	Lifetime ECL not credit impaired RM'000	Lifetime ECL credit impaired RM'000	Total RM'000
Group				
At 1 January 2025	**4,215**	**–**	**–**	**4,215**
Net remeasurement of allowances	**(24,631)**	**–**	**–**	**(24,631)**
New financial assets originated or purchased	**25,245**	**–**	**–**	**25,245**
Exchange differences	**(883)**	**–**	**–**	**(883)**
At 31 December 2025	**3,946**	**–**	**–**	**3,946**
Bank				
At 1 January 2025	**7,826**	**–**	**–**	**7,826**
Net remeasurement of allowances	**(21,717)**	**–**	**–**	**(21,717)**
New financial assets originated or purchased	**23,896**	**–**	**–**	**23,896**
Exchange differences	**(1,840)**	**–**	**–**	**(1,840)**
At 31 December 2025	**8,165**	**–**	**–**	**8,165**

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

6. DEPOSITS AND PLACEMENTS WITH FINANCIAL INSTITUTIONS (CONT'D.)

(ii) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on deposits and placements with financial institutions are as follows (cont'd.):

As at 31 December 2024

Changes in the gross carrying amount of deposits and placements with financial institutions for the Group and the Bank that contributed to changes in the loss allowances during the financial year ended 31 December 2024 were mainly due to the following:

– The decrease in the ECL was due to improvement in credit risk which correspondingly decreased the net remeasurement of allowances for the Group; and

– The Bank's overall gross carrying amount for deposits and placements with financial institutions increased as a result of recognition of financial assets originated or purchased during the year which correspondingly increased the ECL allowances.

	Stage 1	Stage 2	Stage 3	
	12-month ECL RM'000	Lifetime ECL not credit impaired RM'000	Lifetime ECL credit impaired RM'000	Total RM'000
Group				
At 1 January 2024	6,713	–	–	6,713
Net remeasurement of allowances	(15,435)	–	–	(15,435)
New financial assets originated or purchased	14,909	–	–	14,909
Financial assets derecognised	(506)	–	–	(506)
Exchange differences	(1,466)	–	–	(1,466)
At 31 December 2024	4,215	–	–	4,215
Bank				
At 1 January 2024	2,825	–	–	2,825
Net remeasurement of allowances	(8,172)	–	–	(8,172)
New financial assets originated or purchased	14,665	–	–	14,665
Financial assets derecognised	(87)	–	–	(87)
Exchange differences	(1,405)	–	–	(1,405)
At 31 December 2024	7,826	–	–	7,826

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

7. FINANCIAL ASSETS PURCHASED UNDER RESALE AGREEMENTS AND OBLIGATIONS ON FINANCIAL ASSETS SOLD UNDER REPURCHASE AGREEMENTS

(i) The financial assets purchased under resale agreements are as follows:

	Note	Group		Bank	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Foreign Government Treasury Bills		–	451,086	–	451,086
Foreign Government Securities		**6,899,757**	15,200,345	**6,854,832**	15,168,001
Foreign Government Bonds		**94,420**	229,391	–	–
Foreign Corporate Bonds and Sukuk		**1,055,067**	363,634	**1,055,067**	363,634
Corporate Bonds and Sukuk		**765,493**	336,389	–	142,358
Malaysian Government Investment Issues		–	51,588	**1,829,680**	1,486,700
		8,814,737	16,632,433	**9,739,579**	17,611,779
Allowances for impairment losses	(a)	**(2,311)**	(1,650)	**(2,613)**	(3,452)
		8,812,426	16,630,783	**9,736,966**	17,608,327

(a) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on financial assets purchased under resale agreements are as follows:

As at 31 December 2025

Changes in the gross carrying amount of financial assets purchased under resale agreements for the Group and the Bank that contributed to changes in the loss allowances during the financial year ended 31 December 2025 were mainly due to the following:

– The Group's increase in the ECL was due to financial assets that carried higher ECL during the year, which resulted in higher ECL despite the overall decrease in gross carrying amount; and

– The Bank's overall gross carrying amount decreased as a result of derecognition of financial assets which correspondingly decreased the ECL allowances and improvement in credit risk which correspondingly decrease the net remeasurement of allowances.

	Stage 1	Stage 2	Stage 3	
	12-month ECL RM'000	Lifetime ECL not credit impaired RM'000	Lifetime ECL credit impaired RM'000	Total RM'000
Group				
At 1 January 2025	**1,650**	**–**	**–**	**1,650**
Net remeasurement of allowances	**(191)**	**–**	**–**	**(191)**
New financial assets originated or purchased	**3,314**	**–**	**–**	**3,314**
Financial assets derecognised	**(3,223)**	**–**	**–**	**(3,223)**
Exchange differences	**761**	**–**	**–**	**761**
At 31 December 2025	**2,311**	**–**	**–**	**2,311**
Bank				
At 1 January 2025	**3,452**	**–**	**–**	**3,452**
Net remeasurement of allowances	**258**	**–**	**–**	**258**
New financial assets originated or purchased	**1,643**	**–**	**–**	**1,643**
Financial assets derecognised	**(2,518)**	**–**	**–**	**(2,518)**
Exchange differences	**(222)**	**–**	**–**	**(222)**
At 31 December 2025	**2,613**	**–**	**–**	**2,613**

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

7. FINANCIAL ASSETS PURCHASED UNDER RESALE AGREEMENTS AND OBLIGATIONS ON FINANCIAL ASSETS SOLD UNDER REPURCHASE AGREEMENTS (CONT'D.)

(i) The financial assets purchased under resale agreements are as follows (cont'd.):

(a) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on financial assets purchased under resale agreements are as follows (cont'd.):

As at 31 December 2024

Changes in the gross carrying amount of financial assets purchased under resale agreements for the Group and the Bank that contributed to changes in the loss allowances during the financial year ended 31 December 2024 were mainly due to the following:

– The Group's overall gross carrying amount for financial assets under resale agreements decreased as a result of derecognition of financial assets which correspondingly decreased the ECL allowances; and

– The Bank's overall increase in the gross carrying amount for financial assets purchased under resale agreements was mainly contributed by new financial assets originated or purchased which correspondingly increased the ECL allowances.

	Stage 1	Stage 2	Stage 3	
	12-month ECL RM'000	Lifetime ECL not credit impaired RM'000	Lifetime ECL credit impaired RM'000	Total RM'000
Group				
At 1 January 2024	3,051	–	–	3,051
Net remeasurement of allowances	(1,582)	–	–	(1,582)
New financial assets originated or purchased	1,599	–	–	1,599
Financial assets derecognised	(80)	–	–	(80)
Exchange differences	(1,338)	–	–	(1,338)
At 31 December 2024	1,650	–	–	1,650
Bank				
At 1 January 2024	2,914	–	–	2,914
Net remeasurement of allowances	(234)	–	–	(234)
New financial assets originated or purchased	932	–	–	932
Exchange differences	(160)	–	–	(160)
At 31 December 2024	3,452	–	–	3,452

(ii) The obligations on financial assets sold under repurchase agreements are as follows:

	Note	Group		Bank	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Financial investments at fair value through profit or loss	9	**1,821,402**	972,811	**3,301,086**	5,621,054
Financial investments at fair value through other comprehensive income	10(i)	**17,146,980**	25,861,115	**25,620,315**	39,432,006
Financial investments at amortised cost	11(iv)	**6,931,043**	5,997,765	**5,027,667**	1,901,752
		25,899,425	32,831,691	**33,949,068**	46,954,812

8. FINANCIAL ASSETS DESIGNATED UPON INITIAL RECOGNITION AT FAIR VALUE THROUGH PROFIT OR LOSS ("FVTPL")

	Group		Bank	
At fair value	**2025 RM'000**	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Money market instruments:				
Malaysian Government Securities	**260,936**	206,439	**–**	–
Malaysian Government Investment Issues	**859,069**	789,579	**–**	–
Negotiable Islamic Certificates of Deposits	**20,161**	–	**–**	–
	1,140,166	996,018	**–**	–
Quoted securities:				
Outside Malaysia:				
Shares, warrants and loan stocks	**13,952**	28,240	**–**	–
	13,952	28,240	**–**	–
Unquoted securities:				
In Malaysia:				
Corporate Bonds and Sukuk	**11,485,186**	11,764,353	**–**	–
Outside Malaysia:				
Corporate Bonds and Sukuk	**266,389**	144,723	**–**	–
	11,751,575	11,909,076	**–**	–
Total financial assets designated upon initial recognition at FVTPL	**12,905,693**	12,933,334	**–**	–

9. FINANCIAL INVESTMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS ("FVTPL")

	Group		Bank	
At fair value	**2025 RM'000**	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Money market instruments:				
Malaysian Government Securities	**2,528,403**	2,119,895	**2,507,234**	2,068,329
Malaysian Government Investment Issues	**1,493,517**	1,121,097	**1,264,664**	862,818
Cagamas Bonds	**130,592**	190,507	**–**	–
Foreign Government Securities	**4,870,749**	4,835,108	**3,766,203**	4,295,768
Malaysian Government Treasury Bills	**3,320,854**	2,998,405	**2,469,262**	2,024,515
Bank Negara Malaysia Bills and Notes	**–**	240,989	**–**	240,989
	12,344,115	11,506,001	**10,007,363**	9,492,419

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

9. FINANCIAL INVESTMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS ("FVTPL") (CONT'D.)

	Group		Bank	
At fair value	**2025 RM'000**	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Quoted securities:				
In Malaysia:				
Shares, warrants and loan stocks	**6,160,492**	4,509,761	**820,950**	511,108
Unit trusts	**459,531**	365,387	**348,815**	308,271
Outside Malaysia:				
Shares, warrants, mutual funds and loan stocks	**11,588,139**	5,938,176	**3,954,763**	1,161,688
Unit trusts	**1,927,215**	1,960,320	**324,802**	315,382
Corporate Bonds and Sukuk	**2,586,485**	1,620,425	**–**	–
Government Bonds	**100,564**	206,435	**–**	–
Government Treasury Bills	**22,101**	34,481	**–**	–
	22,844,527	14,634,985	**5,449,330**	2,296,449
Unquoted securities:				
In Malaysia:				
Shares	**1,057,925**	1,028,571	**832,443**	782,270
Unit trusts	**2,495,629**	1,141,987	**–**	–
Corporate Bonds and Sukuk	**2,577,825**	939,397	**1,217,334**	101,691
Structured deposits	**131,566**	348,369	**–**	–
Outside Malaysia:				
Shares	**12,966**	16,108	**–**	1,070
Unit trusts	**179,824**	100,725	**–**	–
Mutual funds	**253,477**	509,503	**–**	–
Corporate Bonds and Sukuk	**319,460**	834,287	**127,530**	516,017
Government Bonds	**3,849,165**	2,214,607	**3,849,165**	2,214,607
	10,877,837	7,133,554	**6,026,472**	3,615,655
Total financial investments at FVTPL	**46,066,479**	33,274,540	**21,483,165**	15,404,523

Included in financial investments at fair value through profit or loss are financial assets sold under repurchase agreements as follows:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Foreign Government Securities	**1,091,131**	972,811	**2,570,815**	5,129,896
Foreign Government Treasury Bills	**730,271**	–	**730,271**	491,158
Total (Note 7(ii))	**1,821,402**	972,811	**3,301,086**	5,621,054

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

10. FINANCIAL INVESTMENTS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME ("FVOCI")

At fair value	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Money market instruments:				
Malaysian Government Securities	**10,848,647**	14,199,670	**10,545,981**	13,871,078
Malaysian Government Investment Issues	**17,973,658**	24,706,315	**7,270,308**	9,160,311
Negotiable instruments of deposits	**204,813**	817,566	**–**	650,785
Foreign Government Securities	**11,013,717**	11,155,645	**2,711,057**	1,075,363
Foreign Government Treasury Bills	**4,799,020**	13,280,499	**1,279,699**	6,343,127
Cagamas Bonds	**571,186**	685,993	**571,186**	685,993
	45,411,041	64,845,688	**22,378,231**	31,786,657
Quoted securities:				
In Malaysia:				
Shares, warrants and loan stocks	**715,093**	469,843	**349,900**	447
Corporate Bonds and Sukuk	**17,796**	–	**21,377**	–
Outside Malaysia:				
Corporate Bonds and Sukuk	**3,840,637**	4,294,516	**–**	–
Government Bonds	**1,238,310**	1,945,447	**–**	–
	5,811,836	6,709,806	**371,277**	447
Unquoted securities:				
In Malaysia:				
Shares and loan stocks	**433,457**	373,131	**423,778**	357,023
Government Bonds	**219,173**	775,021	**219,173**	775,021
Corporate Bonds and Sukuk	**37,634,336**	33,290,467	**17,903,127**	16,018,343
Outside Malaysia:				
Shares	**4,075**	4,405	**–**	–
Mutual funds	**2,668**	2,920	**–**	–
Government Bonds	**13,127,235**	10,450,105	**12,715,765**	9,817,468
Corporate Bonds and Sukuk	**14,320,413**	11,725,861	**11,608,495**	10,172,244
	65,741,357	56,621,910	**42,870,338**	37,140,099
Total financial investments at FVOCI*	**116,964,234**	128,177,404	**65,619,846**	68,927,203

* Includes MFRS 9 reclassification that resulted in a net increase of RM239.7 million for the Group (2024: RM1,564.2 million) and RM239.7 million for the Bank (2024: RM1,564.2 million), respectively arising from implementation of Group Investment Management Framework ("GIMF") in stages as disclosed in Note 53(a).

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

10. FINANCIAL INVESTMENTS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME ("FVOCI") (CONT'D.)

(i) Included in financial investments at fair value through other comprehensive income are financial assets sold under repurchase agreements as follows:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Malaysian Government Securities	**8,105,834**	11,131,266	**8,105,834**	11,131,266
Malaysian Government Investment Issues	**6,841,445**	9,928,081	**6,841,445**	9,928,081
Corporate Bonds and Sukuk	**–**	–	**1,789,405**	1,435,096
Foreign Corporate Bonds and Sukuk	**1,109,846**	3,072,021	**3,449,185**	5,813,529
Foreign Government Treasury Bills	**–**	–	**543,338**	2,053,071
Foreign Government Bonds	**1,046,411**	1,497,235	**1,046,411**	1,497,235
Foreign Government Securities	**43,444**	232,512	**3,844,697**	7,573,728
Total (Note 7(ii))	**17,146,980**	25,861,115	**25,620,315**	39,432,006

(ii) The maturity profile of money market instruments are as follows:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Within one year	**7,138,013**	20,204,597	**1,728,504**	7,905,187
One year to three years	**2,950,179**	2,712,736	**1,338,406**	1,012,548
Three years to five years	**6,106,017**	7,462,498	**1,680,027**	2,660,250
After five years	**29,216,832**	34,465,857	**17,631,294**	20,208,672
	45,411,041	64,845,688	**22,378,231**	31,786,657

(iii) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on financial investments at fair value through other comprehensive income are as follows:

As at 31 December 2025

Changes in the gross carrying amount of financial investments at fair value through other comprehensive income for the Group and the Bank that contributed to changes in the loss allowances during the financial year ended 31 December 2025 were mainly due to the following:

- The Group's overall gross carrying amount decreased however the increase in ECL was due to deterioration in credit risk which correspondingly increase the net remeasurement of allowances for the Group;
- The Bank's overall gross carrying amount decreased primarily due to the derecognition of financial assets, partially offset by new financial asset originations, with these movements resulting in corresponding changes in ECL allowances; and
- The Bank's increase in ECL was due to deterioration in credit risk which correspondingly increase the net remeasurement of allowances.

	Stage 1	Stage 2	Stage 3	
	12-month ECL RM'000	**Lifetime ECL not credit impaired RM'000**	**Lifetime ECL credit impaired RM'000**	**Total RM'000**
Group				
At 1 January 2025	**55,001**	**7,862**	**–**	**62,863**
Net remeasurement of allowances	**(4,096)**	**293,414**	**–**	**289,318**
New financial assets originated or purchased	**18,440**	**–**	**–**	**18,440**
Financial assets derecognised	**(11,015)**	**(396)**	**–**	**(11,411)**
Changes in models/risk parameters	**(383)**	**–**	**–**	**(383)**
Exchange differences	**2,971**	**2**	**–**	**2,973**
At 31 December 2025	**60,918**	**300,882**	**–**	**361,800**

10. FINANCIAL INVESTMENTS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME ("FVOCI") (CONT'D.)

(iii) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on financial investments at fair value through other comprehensive income are as follows (cont'd.):

As at 31 December 2025 (cont'd.)

	Stage 1	Stage 2	Stage 3	
	12-month ECL RM'000	Lifetime ECL not credit impaired RM'000	Lifetime ECL credit impaired RM'000	Total RM'000
Bank				
At 1 January 2025	**12,488**	**6,221**	**–**	**18,709**
Net remeasurement of allowances	**(5,156)**	**(3,748)**	**–**	**(8,904)**
New financial assets originated or purchased	**6,026**	**–**	**–**	**6,026**
Financial assets derecognised	**(5,174)**	**(14)**	**–**	**(5,188)**
Changes in models/risk parameters	**(57)**	**–**	**–**	**(57)**
Exchange differences	**5,079**	**1**	**–**	**5,080**
At 31 December 2025	**13,206**	**2,460**	**–**	**15,666**

As at 31 December 2024

Changes in the gross carrying amount of financial investments at fair value through other comprehensive income for the Group and the Bank that contributed to changes in the loss allowances during the financial year ended 31 December 2024 were mainly due to the following:

– The Group's and Bank's overall gross carrying amount decreased as a result of derecognition of financial assets which correspondingly decreased the ECL allowances; and
– The decrease in the ECL was due to derecognition of financial assets for Stage 1, 2 and 3 which correspondingly decreased ECL allowances of RM149.4 million.

	Stage 1	Stage 2	Stage 3	
	12-month ECL RM'000	Lifetime ECL not credit impaired RM'000	Lifetime ECL credit impaired RM'000	Total RM'000
Group				
At 1 January 2024	31,392	6,303	137,718	175,413
Transferred to Stage 1	22	(22)	–	–
Transferred to Stage 2	(3)	3	–	–
Net remeasurement of allowances	17,106	1,239	1,247	19,592
New financial assets originated or purchased	17,398	466	–	17,864
Financial assets derecognised	(10,289)	(127)	(138,965)	(149,381)
Changes in models/risk parameters	(170)	–	–	(170)
Exchange differences	(455)	–	–	(455)
At 31 December 2024	55,001	7,862	–	62,863
Bank				
At 1 January 2024	10,938	4,436	138,965	154,339
Net remeasurement of allowances	684	1,790	–	2,474
New financial assets originated or purchased	4,994	–	–	4,994
Financial assets derecognised	(3,971)	(5)	(138,965)	(142,941)
Changes in models/risk parameters	(19)	–	–	(19)
Exchange differences	(138)	–	–	(138)
At 31 December 2024	12,488	6,221	–	18,709

The contractual outstanding amount on financial investments at FVOCI that was written off during the financial year, and is still subject to recovery activities is nil (2024: nil) for the Group and nil (2024: nil) for the Bank.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

10. FINANCIAL INVESTMENTS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME ("FVOCI") (CONT'D.)

(iv) Equity instruments at fair value through other comprehensive income are as follows:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Quoted Securities:				
In Malaysia	**715,093**	469,843	**349,900**	447
Unquoted Securities:				
In Malaysia	**433,457**	373,131	**423,778**	357,023
Outside Malaysia	**4,075**	4,405	**–**	–
	437,532	377,536	**423,778**	357,023
	1,152,625	847,379	**773,678**	357,470

The Group and the Bank have elected to recognise these equity investments at fair value through other comprehensive income, these investments are held as long term strategic investments that are not expected to be sold in the short term to medium term. Gains or losses on the derecognition of these equity investments are not transferred to profit or loss.

During the financial year ended 31 December 2025, the Group and the Bank disposed equity investments from the financial investments at FVOCI and recorded gain on disposal of RM21.5 million (2024: gain of RM0.5 million) and nil (2024: negligible loss on disposal), respectively.

11. FINANCIAL INVESTMENTS AT AMORTISED COST

	Note	Group		Bank	
		2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Money market instruments:					
Malaysian Government Securities		**9,698,036**	9,200,606	**9,697,936**	9,200,506
Malaysian Government Investment Issues		**15,423,604**	14,773,870	**5,826,837**	5,507,742
Foreign Government Securities		**17,074,965**	15,878,979	**9,792,640**	9,253,064
Khazanah Bonds		**75,104**	71,950	**75,104**	71,950
Cagamas Bonds		**25,323**	35,588	**25,323**	35,588
Foreign Government Treasury Bills		**111,693**	–	**111,693**	–
		42,408,725	39,960,993	**25,529,533**	24,068,850
Unquoted securities:					
In Malaysia:					
Corporate Bonds and Sukuk		**21,486,637**	20,882,450	**26,033,823**	22,049,832
Government Bonds		**169,244**	194,877	**169,244**	194,877
Outside Malaysia:					
Corporate Bonds and Sukuk		**5,459,396**	5,503,289	**5,496,717**	5,648,255
Government Bonds		**11,380,037**	13,967,020	**10,770,984**	12,749,768
		38,495,314	40,547,636	**42,470,768**	40,642,732
Allowances for impairment losses	(iii)	**(117,599)**	(1,131,137)	**(34,476)**	(30,275)
Total financial investments at amortised cost*		**80,786,440**	79,377,492	**67,965,825**	64,681,307

* Includes MFRS 9 reclassification that resulted in a net decrease of RM224.1 million for the Group (2024: RM1,700.7 million) and RM224.1 million for the Bank (2024: RM1,700.7 million), respectively arising from implementation of Group Investment Management Framework ("GIMF") in stages as disclosed in Note 53(a).

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

11. FINANCIAL INVESTMENTS AT AMORTISED COST (CONT'D.)

(i) Indicative fair values of financial investments at amortised cost are as follows:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Money market instruments:				
Malaysian Government Securities	**9,728,817**	9,012,373	**9,728,716**	9,012,271
Malaysian Government Investment Issues	**15,398,818**	14,401,908	**5,820,741**	5,363,998
Foreign Government Securities	**17,050,537**	15,224,656	**9,835,641**	9,021,830
Khazanah Bonds	**79,007**	73,941	**79,007**	73,941
Cagamas Bonds	**25,580**	35,622	**25,580**	35,622
Foreign Government Treasury Bills	**113,591**	–	**113,591**	–
Unquoted securities:				
Corporate Bonds and Sukuk in Malaysia	**21,401,255**	19,886,302	**26,029,943**	21,915,217
Government Bonds in Malaysia	**144,773**	160,633	**144,773**	160,633
Corporate Bonds and Sukuk outside Malaysia	**5,455,314**	5,308,837	**5,502,574**	5,491,768
Government Bonds outside Malaysia	**10,002,079**	12,332,977	**9,392,336**	11,114,676

(ii) The maturity profile of money market instruments are as follows:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Within one year	**9,870,866**	5,695,893	**6,162,468**	4,171,757
One year to three years	**6,898,371**	9,292,571	**3,670,794**	5,521,302
Three years to five years	**6,045,783**	3,936,046	**1,943,541**	1,602,694
After five years	**19,593,705**	21,036,483	**13,752,730**	12,773,097
	42,408,725	39,960,993	**25,529,533**	24,068,850

(iii) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on financial investments at amortised cost are as follows:

As at 31 December 2025

Changes in the gross carrying amount of financial investments at amortised cost for the Group and the Bank that contributed to changes in the loss allowances during the financial year ended 31 December 2025 were mainly due to the following:

– The Group's overall gross carrying amount increased however the decrease in ECL was due to write-off of investments with ECL of RM1,558.2 million for the Group resulted in the reduction of Stage 3 ECL; and

– The Bank's overall gross carrying amount increased which correspondingly increase the ECL allowances. The increase in the ECL for Stage 1 & Stage 2 was due to deterioration in credit risk which correspondingly increase the net remeasurement of allowances.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

11. FINANCIAL INVESTMENTS AT AMORTISED COST (CONT'D.)

(iii) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on financial investments at amortised cost are as follows (cont'd.):

As at 31 December 2025 (cont'd.)

	Stage 1	Stage 2	Stage 3	
	12-month ECL RM'000	Lifetime ECL not credit impaired RM'000	Lifetime ECL credit impaired RM'000	Total RM'000
Group				
At 1 January 2025	**34,225**	**15,962**	**1,080,950**	**1,131,137**
Net remeasurement of allowances	**20,124**	**49,926**	**486,470**	**556,520**
New financial assets originated or purchased	**12,147**	**–**	**–**	**12,147**
Financial assets derecognised	**(17,141)**	**(105)**	**–**	**(17,246)**
Changes in models/risk parameters	**(143)**	**–**	**–**	**(143)**
Amount written-off	**–**	**–**	**(1,558,191)**	**(1,558,191)**
Exchange differences	**(6,120)**	**(505)**	**–**	**(6,625)**
At 31 December 2025	**43,092**	**65,278**	**9,229**	**117,599**
Bank				
At 1 January 2025	**19,771**	**10,504**	**–**	**30,275**
Net remeasurement of allowances	**11,447**	**2,049**	**–**	**13,496**
New financial assets originated or purchased	**9,715**	**–**	**–**	**9,715**
Financial assets derecognised	**(12,540)**	**–**	**–**	**(12,540)**
Changes in models/risk parameters	**(143)**	**–**	**–**	**(143)**
Exchange differences	**(5,822)**	**(505)**	**–**	**(6,327)**
At 31 December 2025	**22,428**	**12,048**	**–**	**34,476**

11. FINANCIAL INVESTMENTS AT AMORTISED COST (CONT'D.)

(iii) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on financial investments at amortised cost are as follows (cont'd.):

As at 31 December 2024

Changes in the gross carrying amount of financial investments at amortised cost for the Group and the Bank that contributed to changes in the loss allowances during the financial year ended 31 December 2024 were mainly due to the following:

– The increase in the ECL for Stage 2 was due to deterioration in credit risk which correspondingly increased the net remeasurement of allowances for the Group; and

– The write-off of investments with a gross carrying amount of RM139.8 million for the Group resulted in the reduction of Stage 3 ECL.

	Stage 1	Stage 2	Stage 3	
	12-month ECL RM'000	Lifetime ECL not credit impaired RM'000	Lifetime ECL credit impaired RM'000	Total RM'000
Group				
At 1 January 2024	68,754	73	1,133,039	1,201,866
Transferred to Stage 2	(1,504)	1,504	–	–
Net remeasurement of allowances	(20,072)	14,385	87,696	82,009
New financial assets originated or purchased	8,468	–	–	8,468
Financial assets derecognised	(12,142)	–	–	(12,142)
Changes in models/risk parameters	(8,593)	–	–	(8,593)
Amount written-off	–	–	(139,785)	(139,785)
Exchange differences	(686)	–	–	(686)
At 31 December 2024	34,225	15,962	1,080,950	1,131,137
Bank				
At 1 January 2024	31,611	–	–	31,611
Transferred to Stage 2	(219)	219	–	–
Net remeasurement of allowances	410	10,285	–	10,695
New financial assets originated or purchased	7,159	–	–	7,159
Financial assets derecognised	(9,901)	–	–	(9,901)
Changes in models/risk parameters	(8,593)	–	–	(8,593)
Exchange differences	(696)	–	–	(696)
At 31 December 2024	19,771	10,504	–	30,275

(iv) Included in financial investments at amortised cost are financial assets sold under repurchase agreements as follows:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Malaysian Government Securities	**2,846,265**	1,768,381	**2,846,265**	1,768,381
Malaysian Government Investment Issues	**2,181,402**	–	**2,181,402**	–
Foreign Corporate Bonds and Sukuk	**–**	34,027	**–**	34,027
Foreign Government Bonds	**1,903,376**	4,195,357	**–**	99,344
Total (Note 7(ii))	**6,931,043**	5,997,765	**5,027,667**	1,901,752

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

12. LOANS, ADVANCES AND FINANCING

	Note	Group		Bank	
		2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Loans, advances and financing to financial institutions	(i)	**907,213**	2,033,225	**49,564,603**	48,321,215
Loans, advances and financing to customers	(ii)	**676,981,380**	662,740,860	**221,415,399**	233,474,014
Net loans, advances and financing		**677,888,593**	664,774,085	**270,980,002**	281,795,229

(i) Loans, advances and financing to financial institutions^:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
(A) Loans, advances and financing to financial institutions at FVOCI	**–**	147,161	**–**	453,603
(B) Loans, advances and financing to financial institutions at amortised cost	**908,905**	1,891,093	**49,713,728**	49,356,628
Gross loans, advances and financing to financial institutions	**908,905**	2,038,254	**49,713,728**	49,810,231
Allowances for loans, advances and financing:				
– Stage 1 – 12-month ECL	**(1,661)**	(4,959)	**(36,072)**	(58,889)
– Stage 2 – Lifetime ECL not credit impaired	**(31)**	(70)	**(13,267)**	(17,714)
– Stage 3 – Lifetime ECL credit impaired	**–**	–	**(99,786)**	(1,412,413)
Net loans, advances and financing to financial institutions	**907,213**	2,033,225	**49,564,603**	48,321,215

^ Included in the Bank's loans, advances and financing to financial institutions is financing granted to Maybank Islamic Berhad ("MIB"), a subsidiary of the Bank, under a government financing scheme as part of the government support measures in response to COVID-19 pandemic for the purpose of SME lending amounting to RM1,099.7 million (31 December 2024: RM1,066.6 million), and under the Restricted Profit-Sharing Investment Account ("RPSIA") amounting to RM48,341.8 million net of expected credit losses (31 December 2024: RM47,436.0 million). The RPSIA is a contract based on the Mudharabah principle between two parties financing where the Bank acts as the investor who provides capital to MIB whereas the business venture is managed by MIB as an entrepreneur. The profit of the business venture is shared between both parties based on pre-agreed ratios. Losses, if any, are borne by the Bank.

(ii) Loans, advances and financing to customers:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
(A) Loans, advances and financing to customers at FVOCI	**30,288,409**	31,869,625	**35,715,653**	34,208,448
(B) Loans, advances and financing to customers at amortised cost	**732,415,098**	718,550,527	**189,702,261**	204,379,508
	762,703,507	750,420,152	**225,417,914**	238,587,956
Unearned interest and income	**(77,063,623)**	(77,489,434)	**(1,082,328)**	(1,256,608)
Gross loans, advances and financing to customers	**685,639,884**	672,930,718	**224,335,586**	237,331,348
Allowances for loans, advances and financing:				
– Stage 1 – 12-month ECL	**(2,099,634)**	(1,869,401)	**(864,368)**	(843,618)
– Stage 2 – Lifetime ECL not credit impaired	**(3,412,665)**	(3,448,382)	**(1,363,852)**	(982,225)
– Stage 3 – Lifetime ECL credit impaired	**(3,146,205)**	(4,872,075)	**(691,967)**	(2,031,491)
Net loans, advances and financing to customers	**676,981,380**	662,740,860	**221,415,399**	233,474,014
Net loans, advances and financing	**677,888,593**	664,774,085	**270,980,002**	281,795,229

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

12. LOANS, ADVANCES AND FINANCING (CONT'D.)

(iii) Loans, advances and financing to financial institutions and customers:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Loans/financing to financial institutions (Note 12(i))	**908,905**	2,038,254	**49,713,728**	49,810,231
Overdrafts/cashline	**19,393,409**	19,516,204	**5,913,068**	5,900,988
Term loans/financing:				
– Housing loans/financing	**235,771,850**	224,224,025	**48,516,581**	47,520,672
– Syndicated loans/financing	**45,637,526**	57,512,642	**40,561,192**	50,606,905
– Hire purchase receivables*	**102,074,012**	99,457,138	**10,848,046**	11,982,725
– Lease receivables	**3,949,474**	3,692,891	**–**	–
– Other loans/financing	**241,844,337**	239,505,652	**60,322,897**	65,909,321
Credit card receivables	**13,561,977**	12,875,607	**8,530,282**	8,125,452
Bills receivables	**9,912,717**	8,270,372	**9,144,471**	7,414,874
Trust receipts	**1,862,059**	2,815,248	**1,196,612**	2,148,977
Claims on customers under acceptance credits	**12,930,321**	13,618,365	**4,982,459**	5,256,336
Revolving credits	**62,831,381**	56,251,780	**32,180,318**	30,372,238
Share margin financing	**8,187,210**	8,029,684	**2,740,331**	2,843,317
Staff loans/financing	**4,683,474**	4,581,552	**480,575**	505,214
Loans/financing to:				
– Directors of the Bank	**3,373**	2,586	**809**	850
– Directors of subsidiaries	**4,419**	5,624	**262**	77
Others	**55,968**	60,782	**11**	10
	763,612,412	752,458,406	**275,131,642**	288,398,187
Unearned interest and income	**(77,063,623)**	(77,489,434)	**(1,082,328)**	(1,256,608)
Gross loans, advances and financing	**686,548,789**	674,968,972	**274,049,314**	287,141,579
Allowances for loans, advances and financing:				
– Stage 1 – 12-month ECL	**(2,101,295)**	(1,874,360)	**(900,440)**	(902,507)
– Stage 2 – Lifetime ECL not credit impaired	**(3,412,696)**	(3,448,452)	**(1,377,119)**	(999,939)
– Stage 3 – Lifetime ECL credit impaired	**(3,146,205)**	(4,872,075)	**(791,753)**	(3,443,904)
Net loans, advances and financing	**677,888,593**	664,774,085	**270,980,002**	281,795,229

* The hire purchase receivables of a subsidiary of RM340,995,000 (2024: RM735,366,000) are pledged as collateral to a secured borrowing as disclosed in Note 29(a).

(iv) Loans, advances and financing analysed by type of customers are as follows:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Domestic banking institutions	**1,245,362**	1,890,404	**53,232,023**	51,666,348
Domestic non-banking financial institutions	**28,155,487**	26,548,746	**14,160,580**	14,647,001
Domestic business enterprises:				
– Small and medium enterprises	**118,877,716**	103,420,343	**34,966,800**	32,471,288
– Others	**109,074,448**	123,876,062	**61,289,675**	75,034,054
Government and statutory bodies	**17,232,937**	20,355,302	**39,517**	41,893
Individuals	**349,880,587**	336,303,146	**65,249,954**	66,292,626
Other domestic entities	**18,121,616**	17,249,847	**5,768,630**	6,218,446
Foreign entities	**43,960,636**	45,325,122	**39,342,135**	40,769,923
Gross loans, advances and financing	**686,548,789**	674,968,972	**274,049,314**	287,141,579

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

12. LOANS, ADVANCES AND FINANCING (CONT'D.)

(v) Loans, advances and financing analysed by geographical locations are as follows:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Malaysia	**444,308,574**	420,317,046	**175,161,507**	177,886,638
Singapore	**174,287,704**	171,983,295	**73,665,168**	76,930,359
Indonesia	**31,377,014**	36,721,381	**–**	–
Labuan Offshore	**8,783,544**	9,872,585	**8,783,096**	9,872,127
Hong Kong SAR	**9,201,515**	12,571,030	**8,745,970**	12,162,503
United States of America	**770,438**	688,494	**770,438**	688,494
People's Republic of China	**5,322,382**	6,368,957	**5,322,382**	6,368,957
Vietnam	**1,084,554**	1,872,941	**262,665**	1,076,016
United Kingdom	**916,907**	1,686,067	**916,872**	1,686,064
Brunei	**388,428**	420,645	**388,428**	420,645
Cambodia	**4,829,805**	5,466,654	**–**	–
Philippines	**3,857,668**	5,005,529	**–**	–
Thailand	**1,387,468**	1,944,572	**–**	–
Laos	**12,402**	16,076	**12,402**	16,076
Myanmar	**20,386**	33,700	**20,386**	33,700
Gross loans, advances and financing	**686,548,789**	674,968,972	**274,049,314**	287,141,579

(vi) Loans, advances and financing analysed by interest/profit rate sensitivity are as follows:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Fixed rate:				
– Housing loans/financing	**42,531,257**	43,209,791	**264,133**	314,358
– Hire purchase receivables	**79,792,831**	75,327,647	**8,776,508**	9,662,124
– Other fixed rate loans/financing	**92,297,904**	77,714,455	**78,631,270**	76,198,655
	214,621,992	196,251,893	**87,671,911**	86,175,137
Variable rate:				
– Base lending/financing rate/base rate plus	**276,386,830**	266,261,433	**73,605,885**	77,494,856
– Cost plus	**33,111,130**	32,528,955	**11,473,072**	11,308,557
– Other variable rates	**162,428,837**	179,926,691	**101,298,446**	112,163,029
	471,926,797	478,717,079	**186,377,403**	200,966,442
Gross loans, advances and financing	**686,548,789**	674,968,972	**274,049,314**	287,141,579

12. LOANS, ADVANCES AND FINANCING (CONT'D.)

(vii) Loans, advances and financing analysed by economic purpose are as follows:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Purchase of securities	**32,993,791**	33,724,590	**6,290,962**	6,662,353
Purchase of transport vehicles	**89,495,635**	87,678,483	**7,906,852**	9,034,268
Purchase of landed properties:				
– Residential	**214,538,549**	203,613,003	**49,099,710**	50,305,403
– Non-residential	**58,646,502**	51,883,255	**17,685,976**	16,911,820
Purchase of fixed assets (excluding landed properties)	**2,727,049**	2,853,631	**1,339,660**	1,577,953
Personal use	**14,382,790**	13,224,084	**3,335,420**	3,219,500
Credit card	**13,625,672**	12,937,078	**8,524,211**	8,123,222
Purchase of consumer durables	**11,146**	2,826	**9,679**	1,716
Constructions	**14,231,327**	14,940,052	**7,377,080**	8,269,601
Mergers and acquisitions	**2,990,470**	3,110,519	**2,248,708**	2,925,627
Working capital	**195,254,217**	199,812,931	**134,113,686**	139,071,606
Others	**47,651,641**	51,188,520	**36,117,370**	41,038,510
Gross loans, advances and financing	**686,548,789**	674,968,972	**274,049,314**	287,141,579

(viii) The maturity profile of loans, advances and financing are as follows:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Within one year	**149,492,683**	132,096,115	**88,520,945**	75,000,228
One year to three years	**75,452,732**	89,047,889	**52,184,599**	63,361,552
Three years to five years	**87,474,810**	90,471,651	**56,590,447**	58,980,445
After five years	**374,128,564**	363,353,317	**76,753,323**	89,799,354
Gross loans, advances and financing	**686,548,789**	674,968,972	**274,049,314**	287,141,579

(ix) Movements in impaired loans, advances and financing ("impaired loans") are as follows:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
At 1 January	**8,325,759**	8,600,425	**5,619,460**	6,447,445
Impaired during the financial year	**5,168,291**	4,248,528	**1,475,848**	1,153,264
Reclassified as non-impaired	**(456,192)**	(450,019)	**(116,389)**	(151,202)
Amount recovered	**(1,653,415)**	(1,399,236)	**(1,740,264)**	(420,009)
Amount written off	**(2,233,722)**	(2,482,735)	**(2,304,430)**	(1,385,891)
Exchange differences	**(340,524)**	(191,204)	**(73,623)**	(24,147)
Gross impaired loans at 31 December	**8,810,197**	8,325,759	**2,860,602**	5,619,460
Less: Stage 3 - Lifetime ECL credit impaired	**(3,728,727)**	(5,094,481)	**(1,091,018)**	(3,666,310)
Net impaired loans at 31 December	**5,081,470**	3,231,278	**1,769,584**	1,953,150

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

12. LOANS, ADVANCES AND FINANCING (CONT'D.)

(ix) Movements in impaired loans, advances and financing ("impaired loans") are as follows (cont'd.):

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Calculation of ratio of net impaired loans:				
Gross impaired loans at 31 December (excluding financing funded by Investment Account*)	**8,810,197**	8,325,759	**2,860,602**	5,619,460
Less: Stage 3 – Lifetime ECL credit impaired	**(3,728,727)**	(5,094,481)	**(1,091,018)**	(3,666,310)
Net impaired loans	**5,081,470**	3,231,278	**1,769,584**	1,953,150
Gross loans, advances and financing	**686,548,789**	674,968,972	**274,049,314**	287,141,579
Less: Funded by Investment Accounts*	**(32,782,974)**	(28,981,847)	**–**	–
Less: Allowances for loans, advances and financing at FVOCI and at amortised cost	**(9,399,542)**	(10,567,101)	**(3,499,762)**	(5,693,302)
Net loans, advances and financing	**644,366,273**	635,420,024	**270,549,552**	281,448,277
Ratio of net impaired loans	**0.79%**	0.51%	**0.65%**	0.69%

* In the book of Maybank Islamic Berhad, a wholly-owned subsidiary of the Bank, the unrestricted investment accounts (net of intercompany balances) was RM32,783.0 million (2024: RM28,981.8 million).

(x) Impaired loans, advances and financing by economic purpose are as follows:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Purchase of securities	**111,082**	95,648	**3,468**	2,121
Purchase of transport vehicles	**683,801**	548,419	**91,746**	77,585
Purchase of landed properties:				
– Residential	**1,342,574**	1,216,436	**373,486**	348,471
– Non-residential	**830,270**	907,651	**224,302**	237,096
Purchase of fixed assets (excluding landed properties)	**74,824**	119,524	**55,143**	65,816
Personal use	**220,713**	424,282	**41,755**	48,952
Credit card	**88,391**	77,577	**43,775**	37,911
Purchase of consumer durables	**133**	1,591	**132**	21
Constructions	**418,678**	396,335	**239,410**	123,812
Working capital	**4,472,104**	4,090,561	**1,390,499**	4,371,388
Others	**567,627**	447,735	**396,886**	306,287
Gross impaired loans, advances and financing	**8,810,197**	8,325,759	**2,860,602**	5,619,460

12. LOANS, ADVANCES AND FINANCING (CONT'D.)

(xi) Impaired loans, advances and financing by geographical distribution are as follows:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Malaysia	**5,561,631**	4,674,768	**1,858,276**	4,722,034
Singapore	**499,312**	740,179	**62,004**	37,157
Indonesia	**1,185,107**	1,419,763	**–**	–
Labuan Offshore	**445,625**	724,514	**445,625**	724,514
Hong Kong SAR	**366,239**	727	**366,230**	716
People's Republic of China	**119,477**	103,932	**119,477**	103,932
Vietnam	**1,114**	16,981	**–**	15,673
Brunei	**8,233**	12,319	**8,233**	12,319
Cambodia	**361,007**	355,393	**–**	–
Philippines	**229,301**	241,188	**–**	–
Thailand	**32,394**	32,880	**–**	–
Laos	**159**	518	**159**	518
Myanmar	**598**	2,597	**598**	2,597
Gross impaired loans, advances and financing	**8,810,197**	8,325,759	**2,860,602**	5,619,460

(xii) Analysis of changes in gross carrying amount and the corresponding allowances for loans, advances and financing are as follows:

As at 31 December 2025

Changes in the gross carrying amount of loans, advances and financing carried at fair value through other comprehensive income and amortised cost for the Group and the Bank that contributed to the changes in the loss allowances during the financial year ended 31 December 2025 were mainly due to the following:

- Gross carrying amount for the Group grew primarily from retail housing loans/financing and hire purchase receivables by 5% and 3%, respectively while revolving credits grew by 12% mainly from non-retail customers/borrowers; offset with significant repayment from syndicated loans/financing by 21%;
- The ECL for Stage 1 (12-month ECL) and Stage 2 (lifetime ECL not credit impaired) increased by RM198.2 million. The increase is in tandem with higher growth in loans, advances and financing; and
- The ECL for Stage 3 (lifetime ECL credit impaired) decreased by RM1,365.8 million primarily due to reallocation of ECL post-restructuring of significant non-retail borrower during the year, further supplemented by write-off during the year, which remained under active recovery efforts, for the Group and the Bank amounting to RM2,233.7 million (2024: RM2,482.7 million) and RM2,304.4 million (2024: RM1,385.9 million), respectively.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

12. LOANS, ADVANCES AND FINANCING (CONT'D.)

(xii) Analysis of changes in gross carrying amount and the corresponding allowances for loans, advances and financing are as follows (cont'd.):

As at 31 December 2025 (cont'd.)

At fair value through other comprehensive income

	Stage 1	Stage 2	Stage 3	
	12-month ECL RM'000	Lifetime ECL not credit impaired RM'000	Lifetime ECL credit impaired RM'000	Total RM'000
Group				
At 1 January 2025	**108,959**	**40,849**	**222,406**	**372,214**
Transferred to Stage 2	**(15,408)**	**15,408**	**–**	**–**
Transferred to Stage 3	**–**	**(7,927)**	**7,927**	**–**
Net remeasurement of allowances	**(12,061)**	**3,974**	**430,999**	**422,912**
New financial assets originated or purchased	**42,696**	**20,038**	**–**	**62,734**
Financial assets derecognised	**(27,449)**	**(229)**	**–**	**(27,678)**
Changes in models/risk parameters	**(957)**	**(7,658)**	**–**	**(8,615)**
Amount written off	**–**	**–**	**(68,231)**	**(68,231)**
Exchange differences	**(3,240)**	**(171)**	**(10,579)**	**(13,990)**
At 31 December 2025	**92,540**	**64,284**	**582,522**	**739,346**
Bank				
At 1 January 2025	**109,468**	**15,078**	**222,406**	**346,952**
Transferred to Stage 2	**(15,408)**	**15,408**	**–**	**–**
Transferred to Stage 3	**–**	**(7,927)**	**7,927**	**–**
Net remeasurement of allowances	**(9,342)**	**3,944**	**147,742**	**142,344**
New financial assets originated or purchased	**38,278**	**6,737**	**–**	**45,015**
Financial assets derecognised	**(21,973)**	**–**	**–**	**(21,973)**
Changes in models/risk parameters	**282**	**–**	**–**	**282**
Amount written off	**–**	**–**	**(68,231)**	**(68,231)**
Exchange differences	**(3,202)**	**(158)**	**(10,579)**	**(13,939)**
At 31 December 2025	**98,103**	**33,082**	**299,265**	**430,450**

At amortised cost

	Stage 1	Stage 2	Stage 3	
	12-month ECL RM'000	Lifetime ECL not credit impaired RM'000	Lifetime ECL credit impaired RM'000	Total RM'000
Group				
At 1 January 2025	**1,874,360**	**3,448,452**	**4,872,075**	**10,194,887**
Transferred to Stage 1	**418,071**	**(384,289)**	**(33,782)**	**–**
Transferred to Stage 2	**(107,223)**	**192,817**	**(85,594)**	**–**
Transferred to Stage 3	**(35,536)**	**(339,858)**	**375,394**	**–**
Net remeasurement of allowances	**116,068**	**724,159**	**576,868**	**1,417,095**
New financial assets originated or purchased	**495,868**	**197,442**	**–**	**693,310**
Financial assets derecognised	**(349,881)**	**(259,178)**	**(136,157)**	**(745,216)**
Changes in models/risk parameters	**(253,269)**	**(117,794)**	**(28,321)**	**(399,384)**
Amount written off	**–**	**–**	**(2,165,491)**	**(2,165,491)**
Exchange differences	**(57,163)**	**(49,055)**	**(228,787)**	**(335,005)**
At 31 December 2025	**2,101,295**	**3,412,696**	**3,146,205**	**8,660,196**

12. LOANS, ADVANCES AND FINANCING (CONT'D.)

(xii) Analysis of changes in gross carrying amount and the corresponding allowances for loans, advances and financing are as follows (cont'd.):

As at 31 December 2025 (cont'd.)

At amortised cost (cont'd.)

	Stage 1	Stage 2	Stage 3	
	12-month ECL RM'000	Lifetime ECL not credit impaired RM'000	Lifetime ECL credit impaired RM'000	Total RM'000
Bank				
At 1 January 2025	**902,507**	**999,939**	**3,443,904**	**5,346,350**
Transferred to Stage 1	**133,349**	**(122,367)**	**(10,982)**	**–**
Transferred to Stage 2	**(31,697)**	**49,683**	**(17,986)**	**–**
Transferred to Stage 3	**(8,413)**	**(97,208)**	**105,621**	**–**
Net remeasurement of allowances	**92,765**	**608,879**	**(397,151)**	**304,493**
New financial assets originated or purchased	**165,394**	**52,153**	**–**	**217,547**
Financial assets derecognised	**(179,676)**	**(53,509)**	**(51,219)**	**(284,404)**
Changes in models/risk parameters	**(163,673)**	**(52,653)**	**(24)**	**(216,350)**
Amount written off	**–**	**–**	**(2,236,198)**	**(2,236,198)**
Exchange differences	**(10,116)**	**(7,798)**	**(44,212)**	**(62,126)**
At 31 December 2025	**900,440**	**1,377,119**	**791,753**	**3,069,312**

As at 31 December 2024

Changes in the gross carrying amount of loans, advances and financing carried at fair value through other comprehensive income and amortised cost for the Group and the Bank that contributed to the changes in the loss allowances during the financial year ended 31 December 2024 were mainly due to the following:

- Gross carrying amount grew primarily from retail housing loans/financing and hire purchase receivables by 10% and 7%, respectively while other term loans grew by 7% mainly from non-retail customers/borrowers;
- The ECL for Stage 1 (12-month ECL) and Stage 2 (lifetime ECL not credit impaired) decreased by RM21.8 million. The decrease is mainly due to migration of customers/borrowers as a result of the Bank's active credit risk management, offset with higher growth in loans, advances and financing; and
- The ECL for Stage 3 (lifetime ECL credit impaired) decreased by RM152.3 million primarily due to higher recoveries from gross impaired loans, advances and financing, further supplemented by write-off during the year, which remained under active recovery efforts, for the Group and the Bank amounting to RM2,482.7 million (2023: RM4,169.7 million) and RM1,385.9 million (2023: RM2,864.8 million), respectively.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

12. LOANS, ADVANCES AND FINANCING (CONT'D.)

(xii) Analysis of changes in gross carrying amount and the corresponding allowances for loans, advances and financing are as follows (cont'd.):

As at 31 December 2024 (cont'd.)

At fair value through other comprehensive income

	Stage 1	Stage 2	Stage 3	
	12-month ECL RM'000	Lifetime ECL not credit impaired RM'000	Lifetime ECL credit impaired RM'000	Total RM'000
Group				
At 1 January 2024	161,078	28,426	223,441	412,945
Net remeasurement of allowances	(25,246)	20,190	28,951	23,895
New financial assets originated or purchased	36,472	–	–	36,472
Financial assets derecognised	(58,126)	(7,190)	(27,329)	(92,645)
Exchange differences	(5,219)	(577)	(2,657)	(8,453)
At 31 December 2024	108,959	40,849	222,406	372,214
Bank				
At 1 January 2024	155,617	15,040	223,441	394,098
Net remeasurement of allowances	(25,871)	7,804	28,951	10,884
New financial assets originated or purchased	39,403	–	–	39,403
Financial assets derecognised	(54,461)	(7,202)	(27,329)	(88,992)
Exchange differences	(5,220)	(564)	(2,657)	(8,441)
At 31 December 2024	109,468	15,078	222,406	346,952

At amortised cost

	Stage 1	Stage 2	Stage 3	
	12-month ECL RM'000	Lifetime ECL not credit impaired RM'000	Lifetime ECL credit impaired RM'000	Total RM'000
Group				
At 1 January 2024	2,018,494	3,286,439	5,023,310	10,328,243
Transferred to Stage 1	335,162	(311,382)	(23,780)	–
Transferred to Stage 2	(111,935)	187,894	(75,959)	–
Transferred to Stage 3	(73,659)	(247,346)	321,005	–
Net remeasurement of allowances	(343,907)	587,762	2,743,736	2,987,591
New financial assets originated or purchased	637,915	269,379	–	907,294
Financial assets derecognised	(489,473)	(249,480)	(493,272)	(1,232,225)
Changes in models/risk parameters	(46,881)	(20,883)	1,696	(66,068)
Amount written off	–	–	(2,482,735)	(2,482,735)
Exchange differences	(51,356)	(53,931)	(141,926)	(247,213)
At 31 December 2024	1,874,360	3,448,452	4,872,075	10,194,887
Bank				
At 1 January 2024	908,460	1,201,148	4,007,763	6,117,371
Transferred to Stage 1	92,883	(78,158)	(14,725)	–
Transferred to Stage 2	(23,553)	55,513	(31,960)	–
Transferred to Stage 3	(43,771)	(118,114)	161,885	–
Net remeasurement of allowances	26,420	(79,685)	1,098,245	1,044,980
New financial assets originated or purchased	245,741	94,585	–	340,326
Financial assets derecognised	(264,532)	(62,031)	(349,048)	(675,611)
Changes in models/risk parameters	(22,123)	(1,273)	(29)	(23,425)
Amount written off	–	–	(1,385,891)	(1,385,891)
Exchange differences	(17,018)	(12,046)	(42,336)	(71,400)
At 31 December 2024	902,507	999,939	3,443,904	5,346,350

13. DERIVATIVE FINANCIAL INSTRUMENTS AND HEDGE ACCOUNTING

The following tables summarise the contractual or underlying principal amounts of trading derivatives and financial instruments held for hedging purposes. The principal or contractual amounts of these instruments reflect the volume of transactions outstanding at the reporting date and do not represent amounts at risk.

Derivative financial instruments are revalued on a gross position basis and the unrealised gains or losses are reflected in "Derivative Financial Instruments" Assets and Liabilities respectively.

	Group			Bank		
		<------- Fair Values ------>			<------- Fair Values ------>	
2025	Principal Amount RM'000	Assets RM'000	Liabilities RM'000	Principal Amount RM'000	Assets RM'000	Liabilities RM'000
Trading derivatives						
Foreign exchange related contracts						
Currency forwards:						
– Less than one year	**80,738,271**	**445,524**	**(1,666,111)**	**49,390,951**	**236,993**	**(924,013)**
– One year to three years	**4,601,413**	**49,858**	**(216,952)**	**4,575,502**	**49,381**	**(219,891)**
– More than three years	**2,608,196**	**12,061**	**(135,225)**	**1,933,472**	**9,136**	**(135,434)**
	87,947,880	**507,443**	**(2,018,288)**	**55,899,925**	**295,510**	**(1,279,338)**
Currency swaps:						
– Less than one year	**539,682,547**	**3,050,884**	**(3,837,639)**	**586,838,565**	**3,478,632**	**(4,415,897)**
– One year to three years	**2,468,149**	**30,236**	**(13,384)**	**2,610,197**	**30,236**	**(13,387)**
– More than three years	**832,417**	**4,283**	**(36,642)**	**832,417**	**4,283**	**(36,642)**
	542,983,113	**3,085,403**	**(3,887,665)**	**590,281,179**	**3,513,151**	**(4,465,926)**
Currency spots:						
– Less than one year	**11,221,401**	**12,365**	**(10,788)**	**11,676,000**	**11,898**	**(11,186)**
Currency options:						
– Less than one year	**2,991,245**	**53,339**	**(75,473)**	**3,255,575**	**20,527**	**(34,904)**
– One year to three years	**394,194**	**281**	**(11,784)**	**502,901**	**16,369**	**(17,550)**
	3,385,439	**53,620**	**(87,257)**	**3,758,476**	**36,896**	**(52,454)**
Cross currency interest rate swaps:						
– Less than one year	**25,427,175**	**520,117**	**(257,988)**	**25,387,303**	**534,290**	**(255,876)**
– One year to three years	**30,884,929**	**699,905**	**(344,301)**	**34,006,682**	**760,628**	**(599,212)**
– More than three years	**15,351,049**	**557,044**	**(177,878)**	**14,662,191**	**560,401**	**(229,438)**
	71,663,153	**1,777,066**	**(780,167)**	**74,056,176**	**1,855,319**	**(1,084,526)**
Interest rate related contracts						
Interest rate swaps:						
– Less than one year	**494,791,740**	**716,683**	**(685,543)**	**494,901,214**	**718,656**	**(686,190)**
– One year to three years	**245,053,863**	**1,303,332**	**(1,190,510)**	**246,123,829**	**1,331,685**	**(1,236,000)**
– More than three years	**245,046,988**	**7,754,856**	**(9,408,722)**	**245,123,029**	**7,762,682**	**(9,412,987)**
	984,892,591	**9,774,871**	**(11,284,775)**	**986,148,072**	**9,813,023**	**(11,335,177)**
Interest rate futures:						
– Less than one year	**6,643,683**	**182,613**	**(182,579)**	**6,643,683**	**182,613**	**(182,579)**
Interest rate options:						
– One year to three years	**4,854,248**	**36,490**	**(24,399)**	**4,854,248**	**36,490**	**(24,399)**
– More than three years	**24,854,393**	**1,565,351**	**(4,394,532)**	**24,854,393**	**1,565,351**	**(4,394,532)**
	29,708,641	**1,601,841**	**(4,418,931)**	**29,708,641**	**1,601,841**	**(4,418,931)**

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

13. DERIVATIVE FINANCIAL INSTRUMENTS AND HEDGE ACCOUNTING (CONT'D.)

	Group			Bank		
		<------- Fair Values ------>			<------- Fair Values ------>	
2025 (cont'd.)	Principal Amount RM'000	Assets RM'000	Liabilities RM'000	Principal Amount RM'000	Assets RM'000	Liabilities RM'000
Trading derivatives (cont'd.)						
Equity related contracts						
Equity options:						
– Less than one year	6,082,837	325,792	(502,950)	904,531	78,689	(748)
Equity swaps:						
– Less than one year	6,444,076	438,268	(1,478,687)	3,102,711	124,095	(1,430,936)
– One year to three years	1,290	–	(8)	–	–	–
	6,445,366	438,268	(1,478,695)	3,102,711	124,095	(1,430,936)
Commodity related contracts						
Commodity options:						
– Less than one year	3,387,833	116,742	(116,742)	3,387,833	116,742	(116,742)
– One year to three years	9,531,955	526,992	(526,992)	9,531,955	526,992	(526,992)
– More than three years	663,808	20,693	(20,693)	663,808	20,693	(20,693)
	13,583,596	664,427	(664,427)	13,583,596	664,427	(664,427)
Commodity swaps:						
– Less than one year	1,496,445	30,934	(30,934)	1,496,445	30,934	(30,934)
– One year to three years	774,526	26,172	(26,172)	774,526	26,172	(26,172)
	2,270,971	57,106	(57,106)	2,270,971	57,106	(57,106)
Credit related contracts						
Credit default swaps:						
– Less than one year	37,266	204	(21)	37,266	204	(21)
– One year to three years	7,146	729	(110)	7,146	729	(110)
	44,412	933	(131)	44,412	933	(131)
Hedging derivatives						
Foreign exchange related contracts						
Cross currency interest rate swaps:						
– Less than one year	743,073	62,609	(103,287)	743,073	62,609	(103,287)
– One year to three years	1,092,704	71,047	(57,487)	1,092,704	71,047	(57,487)
– More than three years	1,394,108	104,012	(162,308)	1,394,108	104,012	(162,308)
	3,229,885	237,668	(323,082)	3,229,885	237,668	(323,082)
Interest rate related contracts						
Interest rate swaps:						
– Less than one year	214,729	9,911	(1,947)	214,729	9,911	(1,947)
– One year to three years	3,292,773	86,264	(5,289)	3,292,773	86,264	(5,289)
– More than three years	385,558	–	(7,162)	385,558	–	(7,162)
	3,893,060	96,175	(14,398)	3,893,060	96,175	(14,398)
Netting effects for reporting under MFRS 132	–	(1,175,363)	1,175,363	–	(1,164,299)	1,164,299
Total	1,773,996,028	17,640,228	(24,535,876)	1,785,201,318	17,405,045	(24,156,646)

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

13. DERIVATIVE FINANCIAL INSTRUMENTS AND HEDGE ACCOUNTING (CONT'D.)

	Group			Bank		
		<------- Fair Values ------>			<------- Fair Values ------>	
2024	Principal Amount RM'000	Assets RM'000	Liabilities RM'000	Principal Amount RM'000	Assets RM'000	Liabilities RM'000
Trading derivatives						
Foreign exchange related contracts						
Currency forwards:						
– Less than one year	71,521,377	761,477	(901,440)	48,116,738	589,566	(482,479)
– One year to three years	4,607,422	33,749	(54,558)	4,788,964	41,041	(68,201)
– More than three years	2,714,512	1,218	(105,270)	2,714,512	1,218	(105,243)
	78,843,311	796,444	(1,061,268)	55,620,214	631,825	(655,923)
Currency swaps:						
– Less than one year	569,331,377	4,922,132	(4,569,469)	592,094,350	4,973,423	(4,764,235)
– One year to three years	1,247,882	77,472	(62,796)	1,247,882	77,472	(62,796)
– More than three years	929,048	10,364	–	929,048	10,364	–
	571,508,307	5,009,968	(4,632,265)	594,271,280	5,061,259	(4,827,031)
Currency spots:						
– Less than one year	3,973,321	5,290	(7,790)	3,892,603	5,693	(6,772)
Currency options:						
– Less than one year	3,359,218	16,503	(12,286)	3,326,546	19,594	(16,002)
– One year to three years	1,479,861	14,140	(23,074)	1,715,930	46,089	(55,192)
	4,839,079	30,643	(35,360)	5,042,476	65,683	(71,194)
Cross currency interest rate swaps:						
– Less than one year	24,046,124	392,360	(185,601)	23,962,765	391,066	(180,177)
– One year to three years	34,164,337	543,459	(613,725)	36,156,313	609,048	(688,291)
– More than three years	16,546,045	586,577	(378,941)	16,448,253	541,570	(374,732)
	74,756,506	1,522,396	(1,178,267)	76,567,331	1,541,684	(1,243,200)
Interest rate related contracts						
Interest rate swaps:						
– Less than one year	1,220,805,397	1,725,048	(1,665,181)	1,220,894,777	1,727,273	(1,668,704)
– One year to three years	323,620,793	2,211,177	(1,972,265)	323,904,667	2,273,440	(1,995,829)
– More than three years	257,658,705	12,484,612	(13,525,504)	257,703,395	12,505,743	(13,536,823)
	1,802,084,895	16,420,837	(17,162,950)	1,802,502,839	16,506,456	(17,201,356)
Interest rate futures:						
– Less than one year	17,319,610	186,726	(173,785)	17,319,610	186,726	(173,785)
– One year to three years	2,234,500	–	(154)	2,234,500	–	(154)
	19,554,110	186,726	(173,939)	19,554,110	186,726	(173,939)
Interest rate options:						
– One year to three years	5,713,544	11,818	(3,039)	5,713,544	11,818	(3,039)
– More than three years	29,197,987	961,459	(4,220,411)	29,197,987	961,459	(4,220,411)
	34,911,531	973,277	(4,223,450)	34,911,531	973,277	(4,223,450)

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

13. DERIVATIVE FINANCIAL INSTRUMENTS AND HEDGE ACCOUNTING (CONT'D.)

	Group			Bank		
		<------- Fair Values ------>			<------- Fair Values ------>	
2024 (cont'd.)	**Principal Amount RM'000**	**Assets RM'000**	**Liabilities RM'000**	**Principal Amount RM'000**	**Assets RM'000**	**Liabilities RM'000**
Trading derivatives (cont'd.)						
Equity related contracts						
Equity options:						
– Less than one year	4,461,548	133,663	(397,733)	495,859	57,832	(1,222)
Equity swaps:						
– Less than one year	1,319,441	82,367	(107,737)	306,215	–	(21,455)
– One year to three years	865,175	193,683	(102,560)	859,753	193,683	(102,406)
	2,184,616	276,050	(210,297)	1,165,968	193,683	(123,861)
Commodity related contracts						
Commodity options:						
– Less than one year	1,976,879	40,950	(40,950)	1,976,879	40,950	(40,950)
– One year to three years	9,712,433	612,850	(612,850)	9,712,433	612,850	(612,850)
– More than three years	318,550	150,168	(150,168)	318,550	150,168	(150,168)
	12,007,862	803,968	(803,968)	12,007,862	803,968	(803,968)
Commodity swaps:						
– One year to three years	1,362	18	(14)	1,362	18	(14)
Credit related contracts						
Credit default swaps:						
– Less than one year	37,275	472	(205)	37,275	472	(205)
– More than three years	6,975	833	(51)	6,975	833	(51)
	44,250	1,305	(256)	44,250	1,305	(256)
Hedging derivatives						
Foreign exchange related contracts						
Cross currency interest rate swaps:						
– Less than one year	3,429,413	68,853	(431,243)	3,429,413	68,853	(431,243)
– One year to three years	1,225,228	141,434	(132,026)	1,225,228	141,434	(132,026)
– More than three years	1,565,351	95,038	(253,319)	1,565,351	95,038	(253,319)
	6,219,992	305,325	(816,588)	6,219,992	305,325	(816,588)
Interest rate related contracts						
Interest rate swaps:						
– Less than one year	1,519,460	52,519	–	1,519,460	52,519	–
– One year to three years	1,966,360	136,493	(8,163)	1,966,360	136,493	(8,163)
– More than three years	2,470,687	14,118	(33,629)	2,470,687	14,118	(33,629)
	5,956,507	203,130	(41,792)	5,956,507	203,130	(41,792)
Netting effects for reporting under MFRS 132	–	(3,251,460)	3,251,460	–	(3,206,086)	3,206,086
Total	2,621,347,197	23,417,580	(27,494,477)	2,618,254,184	23,331,778	(26,984,480)

13. DERIVATIVE FINANCIAL INSTRUMENTS AND HEDGE ACCOUNTING (CONT'D.)

Fair value hedge

Included within hedging derivatives are derivatives where the Group and the Bank applied hedge accounting.

Fair value hedge is used by the Group and the Bank to protect against changes in the fair value of financial assets and financial liabilities due to movements in interest rates. The financial instruments hedged for interest rate risk include the Group's and the Bank's financial investments, borrowings and loans, advances and financing.

The Group and the Bank discontinued a number of hedge relationships between the hedged items and hedging instruments due to a change in risk management objective resulted from the implementation of the Group Investment Management Framework ("GIMF") in the financial year 31 December 2023.

A total gain of RM233,919,000 (2024: RM252,396,000) has been amortised in the profit and loss during the financial year with the remaining unamortised Fair Value Hedge adjustment being RM759,722,000 (2024: RM1,085,813,000) which will be amortised over the average remaining maturity of the related financial assets and financial liabilities.

For the financial year ended 31 December 2025, the Group and the Bank recognised the following net gain/(loss) for both existing and discontinued hedges:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Gain/(loss) on the hedging instruments	**168,034**	(50,475)	**54,461**	(51,777)
(Loss)/gain on the hedged items attributable to the hedged risk	**(164,146)**	17,790	**(50,573)**	19,092
Gain on amortisation of discontinued portfolio hedge	**233,919**	252,396	**238,174**	256,651

14. INSURANCE CONTRACT/TAKAFUL CERTIFICATE ASSETS/LIABILITIES AND REINSURANCE CONTRACT/RETAKAFUL CERTIFICATE ASSETS/LIABILITIES

Group	**Note**	**2025 RM'000**	**2024 RM'000**
Insurance contract/takaful certificate assets		**103,165**	75,199
Insurance contract/takaful certificate liabilities		**(47,093,930)**	(46,102,335)
Insurance contract/takaful certificate liabilities, net	(i)	**(46,990,765)**	(46,027,136)
Reinsurance contract/retakaful certificate assets		**5,274,445**	5,910,059
Reinsurance contract/retakaful certificate liabilities		**(32,762)**	(27,063)
Reinsurance contract/retakaful certificate assets, net	(ii)	**5,241,683**	5,882,996

(i) Insurance contract/takaful certificate

Group	**2025 RM'000**	**2024 RM'000**
Remaining coverage	**(34,167,352)**	(32,712,181)
– Excluding loss component	**(33,131,977)**	(31,513,382)
– Loss component	**(1,035,375)**	(1,198,799)
Incurred claims	**(12,823,413)**	(13,314,955)
	(46,990,765)	(46,027,136)

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

14. INSURANCE CONTRACT/TAKAFUL CERTIFICATE ASSETS/LIABILITIES AND REINSURANCE CONTRACT/RETAKAFUL CERTIFICATE ASSETS/LIABILITIES (CONT'D.)

(i) Insurance contract/takaful certificate (cont'd.)

The overview of the movement in net assets or liabilities for insurance contracts/takaful certificates issued is presented in the table below:

	2025				2024			
Group	**Remaining coverage RM'000**	**Incurred claims RM'000**	**Insurance /takaful acquisition cash flows RM'000**	**Total RM'000**	**Remaining coverage RM'000**	**Incurred claims RM'000**	**Insurance /takaful acquisition cash flows RM'000**	**Total RM'000**
Insurance contract/takaful certificate assets at 1 January	**19,824**	**55,375**	**–**	**75,199**	(5,675,160)	5,588,230	210,134	123,204
Insurance contract/takaful certificate liabilities at 1 January	**(32,732,005)**	**(13,370,330)**	**–**	**(46,102,335)**	(27,872,664)	(16,186,101)	(438,786)	(44,497,551)
As at 1 January, net	**(32,712,181)**	**(13,314,955)**	**–**	**(46,027,136)**	(33,547,824)	(10,597,871)	(228,652)	(44,374,347)
Changes in income statements or other comprehensive income								
Insurance/takaful revenue (Note 38(i))	**9,070,253**	**–**	**–**	**9,070,253**	8,199,896	–	–	8,199,896
Insurance/takaful service expenses (Note 38(ii))	**(1,396,302)**	**(4,527,894)**	**–**	**(5,924,196)**	(1,008,780)	(5,346,232)	–	(6,355,012)
Finance (expenses)/income from insurance/takaful certificate contract (Note 41(i))	**(523,270)**	**(1,828,682)**	**–**	**(2,351,952)**	767,093	(2,861,241)	–	(2,094,148)
Exchange differences	**438,834**	**(16,792)**	**–**	**422,042**	617,072	55,511	–	672,583
Amount recognised in income statements or other comprehensive income	**7,589,515**	**(6,373,368)**	**–**	**1,216,147**	8,575,281	(8,151,962)	–	423,319
Net cash flows	**(9,044,686)**	**6,864,910**	**–**	**(2,179,776)**	(7,739,638)	5,434,878	228,652	(2,076,108)
As at 31 December, net	**(34,167,352)**	**(12,823,413)**	**–**	**(46,990,765)**	(32,712,181)	(13,314,955)	–	(46,027,136)
Insurance contract/takaful certificate assets at 31 December	**54,058**	**49,107**	**–**	**103,165**	19,824	55,375	–	75,199
Insurance contract/takaful certificate liabilities at 31 December	**(34,221,410)**	**(12,872,520)**	**–**	**(47,093,930)**	(32,732,005)	(13,370,330)	–	(46,102,335)
As at 31 December, net	**(34,167,352)**	**(12,823,413)**	**–**	**(46,990,765)**	(32,712,181)	(13,314,955)	–	(46,027,136)

14. INSURANCE CONTRACT/TAKAFUL CERTIFICATE ASSETS/LIABILITIES AND REINSURANCE CONTRACT/RETAKAFUL CERTIFICATE ASSETS/LIABILITIES (CONT'D.)

(ii) Reinsurance contract/retakaful certificate

Group	2025 RM'000	2024 RM'000
Remaining coverage	**1,605,300**	1,691,554
- Excluding loss component	**1,509,728**	1,589,726
- Loss component	**95,572**	101,828
Amounts recoverable for incurred claims	**3,636,383**	4,191,442
	5,241,683	5,882,996

The overview of the movement in net assets or liabilities for reinsurance contracts/retakaful certificates held is presented in the table below:

	2025			2024		
Group	Remaining coverage RM'000	Amounts recoverable for incurred claims RM'000	Total RM'000	Remaining coverage RM'000	Amounts recoverable for incurred claims RM'000	Total RM'000
Reinsurance contract/retakaful certificate assets at 1 January	**1,703,765**	**4,206,294**	**5,910,059**	2,554,384	3,144,448	5,698,832
Reinsurance contract/retakaful certificate liabilities at 1 January	**(12,211)**	**(14,852)**	**(27,063)**	(10,940)	(72,061)	(83,001)
As at 1 January, net	**1,691,554**	**4,191,442**	**5,882,996**	2,543,444	3,072,387	5,615,831
Changes in income statements or other comprehensive income						
Net (expenses)/income from reinsurance contracts/retakaful certificates held (Note 38(iii))	**(1,758,920)**	**368,611**	**(1,390,309)**	(1,698,419)	1,138,048	(560,371)
Finance (expenses)/income from reinsurance contracts/retakaful certificates held (Note 41(ii))	**(359,893)**	**505,759**	**145,866**	(352,950)	515,269	162,319
Exchange differences	**(74,792)**	**66,288**	**(8,504)**	(125,797)	(3,003)	(128,800)
Amount recognised in income statements or other comprehensive income	**(2,193,605)**	**940,658**	**(1,252,947)**	(2,177,166)	1,650,314	(526,852)
Net cash flows	**2,107,351**	**(1,495,717)**	**611,634**	1,325,276	(531,259)	794,017
As at 31 December, net	**1,605,300**	**3,636,383**	**5,241,683**	1,691,554	4,191,442	5,882,996
Reinsurance contract/retakaful certificate assets at 31 December	**1,613,340**	**3,661,105**	**5,274,445**	1,703,765	4,206,294	5,910,059
Reinsurance contract/retakaful certificate liabilities at 31 December	**(8,040)**	**(24,722)**	**(32,762)**	(12,211)	(14,852)	(27,063)
As at 31 December, net	**1,605,300**	**3,636,383**	**5,241,683**	1,691,554	4,191,442	5,882,996

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

15. OTHER ASSETS

	Note	Group		Bank	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Other debtors	(i)	**13,299,994**	11,449,296	**11,533,597**	9,147,376
Amount due from brokers and clients	55	**2,412,808**	2,083,055	**–**	–
Prepayments and deposits		**907,635**	1,095,128	**178,163**	231,694
Tax recoverable		**496,872**	562,500	**151,336**	81,613
Foreclosed properties		**341,737**	380,318	**10,508**	–
		17,459,046	15,570,297	**11,873,604**	9,460,683
Allowances for impairment losses	(ii)	**(142,704)**	(84,273)	**(45,685)**	(36,753)
		17,316,342	15,486,024	**11,827,919**	9,423,930

(i) Included in other debtors are physical gold held by the Group and the Bank of RM1,706,857,000 (2024: RM1,070,881,000) and of RM1,629,347,000 (2024: RM1,021,128,000) respectively, as a result of its broker-dealer activities.

(ii) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on other assets are as follows:

As at 31 December 2025
Changes in the gross carrying amount of other assets that contributed to the changes in the loss allowances during the financial year ended 31 December 2025 were mainly due to higher impaired receivables from other debtors.

Group	12-month ECL RM'000	Stage 1 Lifetime ECL not credit impaired RM'000	Stage 2 Lifetime ECL credit impaired RM'000	Stage 3 Total RM'000
At 1 January 2025	**8,516**	**80**	**75,677**	**84,273**
Transferred to Stage 2	**(482)**	**482**	**–**	**–**
Transferred to Stage 3	**(16)**	**–**	**16**	**–**
Net movement of allowances	**54,282**	**225**	**12,403**	**66,910**
Exchange differences	**(3,294)**	**(35)**	**(5,150)**	**(8,479)**
At 31 December 2025	**59,006**	**752**	**82,946**	**142,704**
Bank				
At 1 January 2025	**–**	**–**	**36,753**	**36,753**
Net movement of allowances	**–**	**–**	**11,280**	**11,280**
Exchange differences	**–**	**–**	**(2,348)**	**(2,348)**
At 31 December 2025	**–**	**–**	**45,685**	**45,685**

15. OTHER ASSETS (CONT'D.)

(ii) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on other assets are as follows (cont'd.):

As at 31 December 2024
Changes in the gross carrying amount of other assets that contributed to the changes in the loss allowances during the financial year ended 31 December 2024 were mainly due to higher impaired receivables.

Group	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
At 1 January 2024	273	75	66,554	66,902
Net movement of allowances	7,424	(3)	9,019	16,440
Exchange differences	819	8	104	931
At 31 December 2024	8,516	80	75,677	84,273
Bank				
At 1 January 2024	–	–	31,156	31,156
Net movement of allowances	–	–	6,145	6,145
Exchange differences	–	–	(548)	(548)
At 31 December 2024	–	–	36,753	36,753

16. INVESTMENT PROPERTIES

Group	2025 RM'000	2024 RM'000
At fair value		
At 1 January	**1,038,657**	1,019,958
Additions	**3,638**	616
Fair value adjustments (Note 40)	**768**	18,395
Exchange differences	**(441)**	(312)
At 31 December	**1,042,622**	1,038,657

The following investment properties are held under lease terms:

Group	2025 RM'000	2024 RM'000
At fair value		
Leasehold land	**192,320**	186,000
Buildings	**292,695**	297,423
	485,015	483,423

The Group has no restrictions on the realisability of its investment properties and has no contractual obligations to either purchase, construct or develop investment properties or for repairs, maintenance and enhancements.

Investment properties are stated at fair value, which have been determined by an accredited independent valuer using a variety of approaches such as comparison method and income capitalisation approach. Details of valuation methods are disclosed in Note 54(b).

As at 31 December 2025, the Group has IPUC amounting to RM6,707,000 (2024: RM3,153,000) and the Bank does not have any IPUC.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

17. STATUTORY DEPOSITS WITH CENTRAL BANKS

	Note	Group		Bank	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Bank Negara Malaysia	(i)	**3,187,221**	6,384,199	**994,888**	2,139,303
Other central banks	(ii)	**8,772,409**	10,784,244	**2,056,330**	2,508,792
		11,959,630	17,168,443	**3,051,218**	4,648,095
Allowances for impairment losses	(iii)	**(715)**	(1,934)	**–**	–
		11,958,915	17,166,509	**3,051,218**	4,648,095

(i) The non-interest bearing statutory deposits maintained with Bank Negara Malaysia are in compliance with the requirements of the Central Bank of Malaysia Act 2009, the amount of which is determined as set percentages of total eligible liabilities.

(ii) The statutory deposits of the foreign branches and foreign subsidiaries are denominated in foreign currencies and maintained with the central banks of the respective countries, in compliance with the applicable legislations in the respective countries.

(iii) Analysis of changes in allowances for impairment losses on statutory deposits with central banks are as follows:

Group As at 31 December 2025	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
At 1 January 2025	**1,934**	**–**	**–**	**1,934**
Net movement of allowances	**(1,051)**	**–**	**–**	**(1,051)**
Exchange differences	**(168)**	**–**	**–**	**(168)**
At 31 December 2025	**715**	**–**	**–**	**715**

Group As at 31 December 2024	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
At 1 January 2024	1,975	–	–	1,975
Net movement of allowances	104	–	–	104
Exchange differences	(145)	–	–	(145)
At 31 December 2024	1,934	–	–	1,934

18. INVESTMENT IN SUBSIDIARIES

Bank	2025 RM'000	2024 RM'000
Unquoted shares, at cost		
– In Malaysia	**39,092,040**	37,199,001
– Outside Malaysia	**1,334,410**	1,334,410
	40,426,450	38,533,411
Less: Accumulated impairment losses	**(3,292,660)**	(2,957,660)
	37,133,790	35,575,751

The following are major events of the Group and of the Bank during the financial year ended 31 December 2025:

(i) Dissolution of Kim Eng Finance (Singapore) Pte. Ltd.

On 20 February 2025, Kim Eng Finance (Singapore) Pte. Ltd., a wholly-owned subsidiary of Maybank IBG Holdings Limited ("MIBGH"), which in turn is a wholly-owned subsidiary of the Bank, has been struck off from the Registrar of Companies by Accounting and Corporate Regulatory Authority.

(ii) Capital injection into Etiqa Life and General Assurance Philippines, Inc.

On 4 March 2025, Etiqa International Holdings Sdn. Bhd. ("EIH"), a wholly-owned subsidiary of the Bank injected additional capital of PHP500.0 million (or equivalent amount of RM41.3 million) to Etiqa Life and General Assurance Philippines, Inc., a 95.24% subsidiary of the Bank.

(iii) Capital injection into PT Maybank Asset Management

On 24 March 2025 and 25 September 2025, Maybank Asset Management Sdn. Bhd. ("MAM"), a wholly-owned subsidiary of the Bank through Maybank Asset Management Group Berhad ("MAMG") injected additional capital of IDR12.5 billion (or equivalent amount of RM3.5 million) and IDR12.5 billion (or equivalent amount of RM3.3 million), respectively to PT Maybank Asset Management, a 99.0% subsidiary of the Bank.

(iv) Subscription of rights issue of 65,413,000 new ordinary shares issued by Maybank Islamic Berhad ("MIB"), a wholly-owned subsidiary of the Bank

On 25 March 2025, the Bank subscribed to rights issue of 42,636,460 new ordinary shares issued by MIB, at an issue price of RM32.20 per ordinary share for a total consideration of RM1,372,894,000.

On 25 September 2025, the Bank subscribed to rights issue of 22,776,167 new ordinary shares issued by MIB, at an issue price of RM32.30 per ordinary share for a total consideration of RM735,670,000.

(v) Capital injection into Etiqa General Insurance (Cambodia) Plc.

On 16 April 2025 and 23 May 2025, EIH, a wholly-owned subsidiary of the Bank injected additional capital of USD0.8 million (or equivalent amount of RM3.6 million) and USD0.7 million (or equivalent amount of RM3.0 million) respectively to Etiqa General Insurance (Cambodia) Plc., a wholly-owned subsidiary of the Bank.

(vi) Capital injection into Etiqa Life Insurance (Cambodia) Plc.

On 16 April 2025 and 26 December 2025, EIH, a wholly-owned subsidiary of the Bank injected additional capital of USD1.5 million (or equivalent amount of RM6.7 million) and USD1.5 million (or equivalent amount of RM6.1 million) respectively to Etiqa Life Insurance (Cambodia) Plc., a wholly-owned subsidiary of the Bank.

(vii) Capital repayment from Maybank Alliances Sdn. Bhd.

On 3 November 2025, the Bank received capital repayment of RM204.0 million from Maybank Alliances Sdn. Bhd., a wholly-owned subsidiary of the Bank.

The Bank recorded the excess of capital repayment of RM1.9 million as disclosed in Note 40.

(viii) Capital injection into Maybank Asset Management Sdn. Bhd.

On 15 December 2025, Maybank Asset Management Group Berhad ("MAMG"), a wholly-owned subsidiary of the Bank injected additional capital of RM7.0 million to Maybank Asset Management Sdn. Bhd. ("MAM"), a wholly-owned subsidiary of the Bank.

(ix) Investment and dilution of deemed controlled structured entities by the Bank

During the financial year ended 31 December 2025, the Bank had invested and experienced dilution of interest in deemed controlled structured entities as follows:

(a) The Bank invested into Maybank Global Shariah Multi-Assets-I Fund, an equity fund managed by MAM, a wholly-owned subsidiary of the Bank through MAMG, a wholly-owned subsidiary of the Bank, for an equivalent amount of RM22.2 million as a deemed controlled structured entity. The investment in the fund was subsequently diluted and reclassified from deemed controlled structured entity to financial investments at FVTPL.

The Group recorded loss on reclassification from deemed controlled structured entity to financial investments at FVTPL amounting to approximately RM68,000 as disclosed in Note 40.

(b) The Bank's investment in Maybank Money Market Fund, an equity fund managed by MAM, a wholly-owned subsidiary of the Bank through MAMG, a wholly-owned subsidiary of the Bank, for an equivalent amount of RM8.2 million has been diluted and reclassified from deemed controlled structured entity to financial investments at FVTPL.

The Group and the Bank recorded gain on reclassification from deemed controlled structured entity to financial investments at FVTPL amounting to approximately RM5,702,000 and RM1,588,000, respectively as disclosed in Note 40.

(c) The Bank's investment in Maybank All-Weather Quantitative Fund, an equity fund managed by MAM, a wholly-owned subsidiary of the Bank through MAMG, a wholly-owned subsidiary of the Bank, for an equivalent amount of RM5.2 million has been diluted and reclassified from deemed controlled structured entity to financial investments at FVTPL.

The Group recorded a loss and the Bank recorded a gain amounting to RM921,000 and RM79,000, respectively on reclassification from deemed controlled structured entity to financial investments at FVTPL, as disclosed in Note 40.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

18. INVESTMENT IN SUBSIDIARIES (CONT'D.)

The following were major events of the Group and of the Bank during the previous financial year ended 31 December 2024:

(i) Acquisition of 20% equity interest in Maybank Asset Management Group Berhad ("MAMG") pursuant to the exercise of the put option

The Bank had on 19 October 2023 entered into a conditional share sale agreement with Permodalan Nasional Berhad ("PNB") in relation to the acquisition of 8,336,404 ordinary shares in MAMG, representing 20% of the total issued share capital of MAMG for a cash consideration of RM70,391,800 pursuant to the exercise of the put option granted by the Bank to PNB. The acquisition was completed on 23 February 2024.

(ii) Capital injection into PT Maybank Asset Management

On 22 March 2024 and 25 October 2024, Maybank Asset Management Sdn. Bhd. ("MAM"), a wholly-owned subsidiary of the Bank through MAMG injected additional capital of IDR12.0 billion (or equivalent amount of RM3.7 million) and IDR12.4 billion (or equivalent amount of RM3.5 million), respectively to PT Maybank Asset Management, a 99.0% subsidiary of the Bank.

(iii) Subscription of rights issue of 29,546,000 new ordinary shares issued by Maybank Islamic Berhad ("MIB"), a wholly-owned subsidiary of the Bank

On 25 March 2024, the Bank subscribed to rights issue of 7,386,500 new ordinary shares issued by MIB, at an issue price of RM32.80 per ordinary share for a total consideration of RM242,269,814.

On 25 September 2024, the Bank subscribed to rights issue of 22,159,500 new ordinary shares issued by MIB, at an issue price of RM29.59 per ordinary share for a total consideration of RM655,699,605.

(iv) Capital injection into Maybank Offshore Corporate Services (L) Sdn. Bhd. ("MOCS")

On 29 July 2024 and 26 August 2024, the Bank injected additional capital of USD23.0 million (or equivalent amount of RM105.8 million) and USD10.1 million (or equivalent amount of RM45.3 million), respectively to MOCS, a wholly-owned subsidiary of the Bank.

(v) Capital injection into Sorak Financial Holdings Pte. Ltd. ("Sorak")

On 29 July 2024 and 26 August 2024, the Bank via MOCS, an intermediate holding company of Sorak, injected additional capital of USD12.0 million (or equivalent amount of RM55.4 million) and USD10.1 million (or equivalent amount of RM44.3 million), respectively to Sorak, a wholly-owned subsidiary of the Bank.

(vi) Acquisition of additional 40.58% ordinary shares in Etiqa Life and General Assurance Philippines, Inc. ("ELGAP")

On 11 November 2024, Etiqa International Holdings Sdn. Bhd. ("EIHSB"), a wholly-owned subsidiary of the Bank, completed the acquisition of additional 40.58% ordinary shares in ELGAP from Maybank Capital, Inc., a wholly-owned subsidiary of the Bank through Maybank IBG Holdings Limited ("MIBGH"). Post acquisition, EIHSB's ordinary shareholding in ELGAP increased from 54.66% to 95.24%. There is no change in the Group's effective interest in ELGAP.

(vii) Liquidation of MAM PE Asia Fund I (Labuan) LLP

On 20 November 2024, MIBGH, a wholly-owned subsidiary of the Bank has completed the liquidation of MAM PE Asia Fund I (Labuan) LLP, a wholly-owned subsidiary of the Bank. The Group recorded a gain on liquidation of subsidiaries amounting to RM3,023,000.

(viii) Dissolution of PhileoAllied Securities (Philippines) Inc.

On 20 December 2024, PhileoAllied Securities (Philippines) Inc. was declared dissolved by Philippines Securities and Exchange Commission, a wholly-owned subsidiary of Maysec Sdn. Bhd., a wholly-owned subsidiary of the Bank through Maybank Investment Bank Berhad. The Group recorded a gain on liquidation of subsidiaries amounting to RM73,000.

(ix) Dilution, investments and redemption of deemed controlled structured entities by the Bank

During the previous financial year ended 31 December 2024, the Bank had experienced dilution of interest, invested and redeemed its investments in deemed controlled structured entities as follows:

(a) The Bank's investment in Maybank Dana Ekuitas, an equity fund managed by MAM, a wholly-owned subsidiary of the Bank through MAMG, a wholly-owned subsidiary of the Bank, for an equivalent amount of RM15.9 million has been diluted and reclassified from deemed controlled structured entity to financial investments at FVTPL.

The Group and the Bank recorded loss on reclassification from deemed controlled structured entity to financial investments at FVTPL amounting to approximately RM2,192,000 and RM1,032,000, respectively.

(b) The Bank invested into MBB Global Strategic Growth-i Fund, an equity fund managed by MAM, a wholly-owned subsidiary of the Bank through MAMG, a wholly-owned subsidiary of the Bank, for an amount of RM10.0 million as a deemed controlled structured entity.

(c) The Bank fully redeemed its investments in MAMG Inverse ETF Fund, an equity fund managed by MAM, a wholly-owned subsidiary of the Bank through MAMG, a wholly-owned subsidiary of the Bank, for total consideration of USD0.9 million (or equivalent amount of RM4.2 million).

The Group recorded a gain and the Bank recorded a loss amounting to RM26,000 and RM782,000, respectively on the disposal of deemed controlled structured entities.

(d) The Bank redeemed its investment in Maybank All-Weather Quant Fund, an equity fund managed by MAM, a wholly-owned subsidiary of the Bank through MAMG, a wholly-owned subsidiary of the Bank, for total consideration of USD1.4 million (or equivalent amount of RM6.1 million).

The Bank recorded net gain on redemption of the investment in deemed controlled structured entity amounting to RM1,944,000.

(e) The Bank redeemed its investment in Maybank Enhanced Income Fund, an equity fund managed by MAM, a wholly-owned subsidiary of the Bank through MAMG, a wholly-owned subsidiary of the Bank, for total consideration of USD4.1 million (or equivalent amount of RM17.9 million).

The Bank recorded net gain on redemption of the investment in deemed controlled structured entity amounting to RM3,010,000.

Details and financial information of subsidiaries that have material non-controlling interests are as follows:

(i) Etiqa International Holdings Sdn. Bhd. ("EIH");

(ii) PT Bank Maybank Indonesia Tbk ("MBI"); and

(iii) Maybank IBG Holdings Limited ("MIBGH").

The proportion of effective equity interest held by non-controlling interests within EIH, MBI and MIBGH are disclosed in Note 64(a).

18. INVESTMENT IN SUBSIDIARIES (CONT'D.)

The summarised financial information of EIH, MBI and MIBGH are disclosed as follows:

	EIH		MBI		MIBGH	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Summarised income statements:						
Interest income	**812,396**	862,666	**3,481,990**	3,818,522	**812,893**	722,933
Interest expense	**(20,894)**	(40,606)	**(1,494,105)**	(1,650,412)	**(422,822)**	(353,551)
Net interest income	**791,502**	822,060	**1,987,885**	2,168,110	**390,071**	369,382
Insurance/takaful service result	**1,258,849**	627,089	**–**	–	**–**	–
Other operating income	**1,711,867**	2,001,241	**466,263**	404,757	**483,017**	504,463
Total operating income	**3,762,218**	3,450,390	**2,454,148**	2,572,867	**873,088**	873,845
Net insurance/takaful investment/finance result	**(2,231,890)**	(1,964,233)	**–**	–	**–**	–
Net operating income	**1,530,328**	1,486,157	**2,454,148**	2,572,867	**873,088**	873,845
Overhead expenses	**(203,117)**	(259,531)	**(1,748,536)**	(1,863,012)	**(697,909)**	(695,298)
Operating profit before impairment losses	**1,327,211**	1,226,626	**705,612**	709,855	**175,179**	178,547
(Allowances for)/writeback of impairment losses on loans, advances, financing and other debts, net	**(1,221)**	1,058	**(128,216)**	(307,642)	**15,245**	(35,970)
Writeback of/(allowances for) impairment losses on financial investments, net	**9,413**	(16,537)	**(4,585)**	1,070	**–**	–
Writeback of/(allowances for) impairment losses on other financial assets, net	**300**	4,921	**(3,205)**	(4,401)	**1,136**	(2,066)
Operating profit	**1,335,703**	1,216,068	**569,606**	398,882	**191,560**	140,511
Share of profits in associates	**–**	–	**–**	–	**3,615**	1,610
Profit before taxation and zakat	**1,335,703**	1,216,068	**569,606**	398,882	**195,175**	142,121
Taxation and zakat	**(315,817)**	(319,763)	**(136,450)**	(95,334)	**(23,204)**	(49,454)
Profit for the financial year	**1,019,886**	896,305	**433,156**	303,548	**171,971**	92,667
Attributable to:						
Equity holders of the Bank	**1,341,140**	1,170,293	**419,538**	280,368	**159,457**	83,239
Non-controlling interests	**(321,254)**	(273,988)	**13,618**	23,180	**12,514**	9,428
	1,019,886	896,305	**433,156**	303,548	**171,971**	92,667
Dividends paid to non-controlling interests of the Group	**108,407**	158,332	**13,938**	16,745	**4,562**	5,603
Summarised statements of financial position:						
Total assets	**60,776,017**	60,031,449	**46,218,112**	53,680,728	**15,302,165**	12,746,187
Total liabilities	**(51,672,351)**	(51,516,908)	**(38,943,488)**	(45,913,974)	**(13,509,297)**	(10,831,465)
Total equity	**9,103,666**	8,514,541	**7,274,624**	7,766,754	**1,792,868**	1,914,722
Attributable to:						
Equity holders of the Bank	**6,472,299**	6,085,497	**7,121,419**	7,601,731	**1,678,664**	1,804,047
Non-controlling interests	**2,631,367**	2,429,044	**153,205**	165,023	**114,204**	110,675
	9,103,666	8,514,541	**7,274,624**	7,766,754	**1,792,868**	1,914,722
Summarised cash flow statements:						
Operating activities	**3,213,150**	2,194,279	**1,101,985**	(2,124,350)	**2,128,420**	(428,006)
Investing activities	**(2,741,004)**	(1,774,088)	**350,493**	(1,935,550)	**(12,671)**	62,883
Financing activities	**(320,481)**	(575,840)	**(2,217,070)**	5,017,591	**(2,087,382)**	242,392
Net increase/(decrease) in cash and cash equivalents	**151,665**	(155,649)	**(764,592)**	957,691	**28,367**	(122,731)

Details of the subsidiaries of the Bank are disclosed in Note 64(a).

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

19. INTEREST IN ASSOCIATES AND JOINT VENTURE

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Equity interest				
Unquoted shares, at cost	**367,750**	346,757	**438,859**	438,859
Quoted shares, at cost	**2,864,864**	2,864,864	**–**	–
Exchange differences	**(2,823,426)**	(2,572,898)	**–**	–
	409,188	638,723	**438,859**	438,859
Share of post-acquisition reserves	**1,854,202**	1,650,011	**–**	–
	2,263,390	2,288,734	**438,859**	438,859
Less: Accumulated impairment losses	**(431,006)**	(431,006)	**–**	–
	1,832,384	1,857,728	**438,859**	438,859
Market value of quoted shares	**1,218,664**	1,004,830	**–**	–

(i) The carrying amount of interest in joint venture of the Group has been reduced to zero since 31 December 2019.

(ii) The following table summarises the information of the Group's material associates, adjusted for any differences in accounting policies and reconciles the information to the carrying amount of the Group's interest in associates and joint venture:

Summarised income statements:

Group 2025	MCB Bank RM'000	An Binh Commercial Joint Stock Bank RM'000	Other individually immaterial associates and joint venture RM'000	Total RM'000
Interest income	**4,953,876**	**1,950,450**	**55,849**	**6,960,175**
Interest expense	**(2,518,227)**	**(1,300,655)**	**(25,500)**	**(3,844,382)**
Net interest income	**2,435,649**	**649,795**	**30,349**	**3,115,793**
Other operating income	**488,931**	**820,159**	**30,648**	**1,339,738**
Net operating income	**2,924,580**	**1,469,954**	**60,997**	**4,455,531**
Overhead expenses	**(1,277,846)**	**(428,273)**	**(31,909)**	**(1,738,028)**
Operating profit before impairment losses	**1,646,734**	**1,041,681**	**29,088**	**2,717,503**
Writeback of/(allowances for) impairment losses on loans, advances and financing, net	**108,621**	**(276,014)**	**(1,507)**	**(168,900)**
Operating profit	**1,755,355**	**765,667**	**27,581**	**2,548,603**
Share of profits in associates	**45,183**	**–**	**–**	**45,183**
Profit before taxation	**1,800,538**	**765,667**	**27,581**	**2,593,786**
Taxation	**(1,010,539)**	**(28,647)**	**(5,618)**	**(1,044,804)**
Profit for the financial year	**789,999**	**737,020**	**21,963**	**1,548,982**
Group's share of profits for the financial year	**148,362**	**120,798**	**5,108**	**274,268**
Dividends paid by the associates during the financial year	**119,112**	**–**	**1,660**	**120,772**

19. INTEREST IN ASSOCIATES AND JOINT VENTURE (CONT'D.)

(ii) The following table summarises the information of the Group's material associates, adjusted for any differences in accounting policies and reconciles the information to the carrying amount of the Group's interest in associates and joint venture (cont'd.):

Summarised income statements (cont'd.):

Group 2024	MCB Bank RM'000	An Binh Commercial Joint Stock Bank RM'000	Other individually immaterial associates and joint venture RM'000	Total RM'000
Interest income	6,961,811	1,652,177	65,438	8,679,426
Interest expense	(4,146,513)	(1,128,027)	(31,955)	(5,306,495)
Net interest income	2,815,298	524,150	33,483	3,372,931
Other operating income	775,373	208,679	151,755	1,135,807
Net operating income	3,590,671	732,829	185,238	4,508,738
Overhead expenses	(1,193,537)	(400,120)	(139,481)	(1,733,138)
Operating profit before impairment losses	2,397,134	332,709	45,757	2,775,600
Allowances for impairment losses on loans, advances and financing, net	(17,919)	(295,643)	(414)	(313,976)
Operating profit	2,379,215	37,066	45,343	2,461,624
Share of profits in associates	35,432	–	–	35,432
Profit before taxation	2,414,647	37,066	45,343	2,497,056
Taxation	(1,243,774)	5,293	(5,043)	(1,243,524)
Profit for the financial year	1,170,873	42,359	40,300	1,253,532
Group's share of profits for the financial year	219,890	6,943	9,469	236,302
Dividends paid by the associates during the financial year	129,407	–	–	129,407

Summarised statements of financial position:

Group 2025	MCB Bank RM'000	An Binh Commercial Joint Stock Bank RM'000	Other individually immaterial associates and joint venture RM'000	Total RM'000
Total assets	**50,459,370**	**33,583,058**	**233,111**	**84,275,539**
Total liabilities	**(46,685,833)**	**(30,875,853)**	**(213,470)**	**(77,775,156)**
Total equity	**3,773,537**	**2,707,205**	**19,641**	**6,500,383**
Proportion of Group's ownership	**708,670**	**443,711**	**8,292**	**1,160,673**
Goodwill	**497,976**	**173,735**	**–**	**671,711**
Carrying amount of the investment	**1,206,646**	**617,446**	**8,292**	**1,832,384**
2024				
Total assets	48,707,069	30,222,764	309,222	79,239,055
Total liabilities	(45,103,395)	(27,709,181)	(286,078)	(73,098,654)
Total equity	3,603,674	2,513,583	23,144	6,140,401
Proportion of Group's ownership	676,770	411,976	8,497	1,097,243
Goodwill	553,760	206,725	–	760,485
Carrying amount of the investment	1,230,530	618,701	8,497	1,857,728

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

19. INTEREST IN ASSOCIATES AND JOINT VENTURE (CONT'D.)

(iii) Details of the associates and joint venture of the Group and of the Bank are disclosed in Note 64(c) and Note 64(d), respectively.

(iv) The details of goodwill included within the Group's carrying amount of interest in associates and joint venture are as follows:

Group	2025 RM'000	2024 RM'000
At 1 January	**760,485**	1,021,187
Disposal	**–**	(236,812)
Exchange differences	**(88,774)**	(23,890)
At 31 December	**671,711**	760,485

20. PROPERTY, PLANT AND EQUIPMENT

Group As at 31 December 2025	*Properties RM'000	Office Furniture, Fittings, Equipment and Renovations RM'000	Computers and Peripherals RM'000	Electrical and Security Equipment RM'000	Motor Vehicles RM'000	Work-in-Progress RM'000	Total RM'000
Cost							
At 1 January 2025	**2,289,869**	**1,642,682**	**2,113,876**	**360,711**	**54,476**	**67,774**	**6,529,388**
Additions	**496**	**60,304**	**291,270**	**4,398**	**5,601**	**203,898**	**565,967**
Disposals	**(2,504)**	**(17,571)**	**(56,920)**	**(2,914)**	**(4,043)**	**–**	**(83,952)**
Write-offs (Note 42)	**–**	**(32,589)**	**(6,802)**	**(5,904)**	**(801)**	**(4,381)**	**(50,477)**
Transferred between categories	**–**	**33,843**	**1,674**	**3,624**	**–**	**(39,141)**	**–**
Transferred from/(to) intangible assets (Note 22)	**–**	**2,825**	**7,226**	**–**	**–**	**(4,259)**	**5,792**
Exchange differences	**(81,582)**	**(58,243)**	**(85,367)**	**(2,258)**	**(5,801)**	**(1,177)**	**(234,428)**
At 31 December 2025	**2,206,279**	**1,631,251**	**2,264,957**	**357,657**	**49,432**	**222,714**	**6,732,290**
Accumulated depreciation and impairment losses							
At 1 January 2025	**963,922**	**1,387,881**	**1,564,934**	**282,339**	**47,215**	**–**	**4,246,291**
Depreciation charge for the financial year (Notes 38(ii) & 42)	**40,032**	**66,753**	**184,819**	**12,718**	**7,870**	**–**	**312,192**
Disposals	**(1,796)**	**(17,643)**	**(56,834)**	**(2,898)**	**(2,970)**	**–**	**(82,141)**
Write-offs (Note 42)	**–**	**(32,556)**	**(6,794)**	**(5,769)**	**(794)**	**–**	**(45,913)**
Transferred between categories	**–**	**(12)**	**–**	**12**	**–**	**–**	**–**
Transferred to intangible assets (Note 22)	**–**	**–**	**(50)**	**–**	**–**	**–**	**(50)**
Exchange differences	**(35,445)**	**(50,191)**	**(64,284)**	**(1,940)**	**(4,532)**	**–**	**(156,392)**
At 31 December 2025	**966,713**	**1,354,232**	**1,621,791**	**284,462**	**46,789**	**–**	**4,273,987**
Analysed as:							
Accumulated depreciation	**959,209**	**1,354,228**	**1,621,791**	**284,462**	**46,789**	**–**	**4,266,479**
Accumulated impairment losses	**7,504**	**4**	**–**	**–**	**–**	**–**	**7,508**
	966,713	**1,354,232**	**1,621,791**	**284,462**	**46,789**	**–**	**4,273,987**
Net carrying amount							
At 31 December 2025	**1,239,566**	**277,019**	**643,166**	**73,195**	**2,643**	**222,714**	**2,458,303**

20. PROPERTY, PLANT AND EQUIPMENT (CONT'D.)

Group As at 31 December 2024	*Properties RM'000	Office Furniture, Fittings, Equipment and Renovations RM'000	Computers and Peripherals RM'000	Electrical and Security Equipment RM'000	Motor Vehicles RM'000	Work-in-Progress RM'000	Total RM'000
Cost							
At 1 January 2024	2,358,019	1,657,655	2,047,249	349,475	54,168	44,144	6,510,710
Additions	2,632	65,910	240,085	12,468	10,601	60,057	391,753
Disposals	(2,097)	(23,296)	(95,059)	(5,173)	(5,432)	(490)	(131,547)
Write-offs (Note 42)	–	(14,161)	(11,039)	(2,605)	(1,531)	–	(29,336)
Transferred between categories	–	27,839	–	9,059	–	(36,898)	–
Transferred to intangible assets (Note 22)	–	(26,655)	(1,800)	–	–	–	(28,455)
Exchange differences	(68,685)	(44,610)	(65,560)	(2,513)	(3,330)	961	(183,737)
At 31 December 2024	2,289,869	1,642,682	2,113,876	360,711	54,476	67,774	6,529,388
Accumulated depreciation and impairment losses							
At 1 January 2024	954,962	1,408,790	1,518,044	276,023	43,645	–	4,201,464
Depreciation charge for the financial year (Notes 38(ii) & 42)	35,074	78,004	195,964	13,669	11,800	–	334,511
Disposals	(1,125)	(22,860)	(87,985)	(5,128)	(4,109)	–	(121,207)
Write-offs (Note 42)	–	(14,126)	(10,996)	(2,605)	(1,531)	–	(29,258)
Transferred to intangible assets (Note 22)	–	(13,093)	(52)	–	–	–	(13,145)
Exchange differences	(24,989)	(48,834)	(50,041)	380	(2,590)	–	(126,074)
At 31 December 2024	963,922	1,387,881	1,564,934	282,339	47,215	–	4,246,291
Analysed as:							
Accumulated depreciation	956,418	1,387,877	1,564,934	282,339	47,215	–	4,238,783
Accumulated impairment losses	7,504	4	–	–	–	–	7,508
	963,922	1,387,881	1,564,934	282,339	47,215	–	4,246,291
Net carrying amount							
At 31 December 2024	1,325,947	254,801	548,942	78,372	7,261	67,774	2,283,097

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

20. PROPERTY, PLANT AND EQUIPMENT (CONT'D.)

Group	Freehold Land RM'000	Buildings on Freehold Land RM'000	Buildings on Leasehold Land		Leasehold Land^		Total RM'000
			Less Than 50 Years RM'000	50 Years or More RM'000	Less Than 50 Years RM'000	50 Years or More RM'000	
As at 31 December 2025							
***Properties consist of:**							
Cost							
At 1 January 2025	**107,404**	**488,081**	**417,638**	**671,964**	**169,758**	**435,024**	**2,289,869**
Additions	**–**	**–**	**275**	**–**	**221**	**–**	**496**
Disposals	**(110)**	**(709)**	**(1,176)**	**–**	**(509)**	**–**	**(2,504)**
Transferred between categories	**(6,408)**	**6,408**	**(37,908)**	**57,547**	**25**	**(19,664)**	**–**
Exchange differences	**(529)**	**(11,306)**	**(22,113)**	**(19,513)**	**(20,019)**	**(8,102)**	**(81,582)**
At 31 December 2025	**100,357**	**482,474**	**356,716**	**709,998**	**149,476**	**407,258**	**2,206,279**
Accumulated depreciation and impairment losses							
At 1 January 2025	**56**	**296,251**	**294,654**	**248,972**	**11,035**	**112,954**	**963,922**
Depreciation charge for the financial year	**–**	**10,347**	**9,048**	**14,812**	**471**	**5,354**	**40,032**
Disposals	**–**	**(679)**	**(870)**	**–**	**(247)**	**–**	**(1,796)**
Transferred between categories	**–**	**–**	**(37,304)**	**49,569**	**14**	**(12,279)**	**–**
Exchange differences	**–**	**(3,388)**	**(20,263)**	**(8,474)**	**–**	**(3,320)**	**(35,445)**
At 31 December 2025	**56**	**302,531**	**245,265**	**304,879**	**11,273**	**102,709**	**966,713**
Analysed as:							
Accumulated depreciation	**2**	**296,552**	**244,396**	**304,453**	**11,273**	**102,533**	**959,209**
Accumulated impairment losses	**54**	**5,979**	**869**	**426**	**–**	**176**	**7,504**
	56	**302,531**	**245,265**	**304,879**	**11,273**	**102,709**	**966,713**
Net carrying amount							
At 31 December 2025	**100,301**	**179,943**	**111,451**	**405,119**	**138,203**	**304,549**	**1,239,566**
As at 31 December 2024							
***Properties consist of:**							
Cost							
At 1 January 2024	110,868	491,981	426,549	705,052	176,191	447,378	2,358,019
Additions	–	2,590	42	–	–	–	2,632
Disposals	–	(2,097)	–	–	–	–	(2,097)
Exchange differences	(3,464)	(4,393)	(8,953)	(33,088)	(6,433)	(12,354)	(68,685)
At 31 December 2024	107,404	488,081	417,638	671,964	169,758	435,024	2,289,869
Accumulated depreciation and impairment losses							
At 1 January 2024	56	289,652	288,044	256,225	10,612	110,373	954,962
Depreciation charge for the financial year	–	10,036	16,981	4,777	423	2,857	35,074
Disposals	–	(1,107)	(18)	–	–	–	(1,125)
Exchange differences	–	(2,330)	(10,353)	(12,030)	–	(276)	(24,989)
At 31 December 2024	56	296,251	294,654	248,972	11,035	112,954	963,922
Analysed as:							
Accumulated depreciation	2	290,272	293,785	248,546	11,035	112,778	956,418
Accumulated impairment losses	54	5,979	869	426	–	176	7,504
	56	296,251	294,654	248,972	11,035	112,954	963,922
Net carrying amount							
At 31 December 2024	107,348	191,830	122,984	422,992	158,723	322,070	1,325,947

20. PROPERTY, PLANT AND EQUIPMENT (CONT'D.)

Bank	*Properties RM'000	Office Furniture, Fittings, Equipment and Renovations RM'000	Computers and Peripherals RM'000	Electrical and Security Equipment RM'000	Motor Vehicles RM'000	Work-in-Progress RM'000	Total RM'000
As at 31 December 2025							
Cost							
At 1 January 2025	**1,311,613**	**956,940**	**349,153**	**232,037**	**10,255**	**37,277**	**2,897,275**
Additions	**496**	**15,660**	**34,085**	**3,613**	**813**	**153,099**	**207,766**
Disposals	**(2,504)**	**(314)**	**(21,114)**	**(234)**	**(564)**	**–**	**(24,730)**
Write-offs (Note 42)	**–**	**(18,407)**	**(4,191)**	**(5,187)**	**–**	**–**	**(27,785)**
Transferred between categories	**–**	**6,608**	**1,671**	**2,832**	**–**	**(11,111)**	**–**
Transferred to intangible assets (Note 22)	**–**	**–**	**(79)**	**–**	**–**	**–**	**(79)**
Exchange differences	**(19,162)**	**(2,969)**	**(2,711)**	**(233)**	**(162)**	**(494)**	**(25,731)**
At 31 December 2025	**1,290,443**	**957,518**	**356,814**	**232,828**	**10,342**	**178,771**	**3,026,716**
Accumulated depreciation							
At 1 January 2025	**659,624**	**871,772**	**299,767**	**195,962**	**8,299**	**–**	**2,035,424**
Depreciation charge for the financial year (Note 42)	**24,033**	**20,418**	**17,580**	**7,626**	**755**	**–**	**70,412**
Disposals	**(1,796)**	**(314)**	**(21,097)**	**(234)**	**(564)**	**–**	**(24,005)**
Write-offs (Note 42)	**–**	**(18,398)**	**(4,191)**	**(5,052)**	**–**	**–**	**(27,641)**
Transferred between categories	**–**	**(12)**	**–**	**12**	**–**	**–**	**–**
Transferred to intangible assets (Note 22)	**–**	**–**	**(50)**	**–**	**–**	**–**	**(50)**
Exchange differences	**(9,850)**	**(2,892)**	**(2,237)**	**(224)**	**(144)**	**–**	**(15,347)**
At 31 December 2025	**672,011**	**870,574**	**289,772**	**198,090**	**8,346**	**–**	**2,038,793**
Net carrying amount							
At 31 December 2025	**618,432**	**86,944**	**67,042**	**34,738**	**1,996**	**178,771**	**987,923**
As at 31 December 2024							
Cost							
At 1 January 2024	1,340,446	938,586	336,258	224,495	11,317	23,089	2,874,191
Additions	42	13,681	25,985	10,836	234	29,542	80,320
Disposals	–	(530)	(11,623)	(2,734)	(954)	–	(15,841)
Write-offs (Note 42)	–	(5,485)	(169)	(2,605)	(235)	–	(8,494)
Transferred between categories	–	13,709	–	2,311	–	(16,020)	–
Transferred to subsidiaries	–	(19)	–	–	–	(161)	(180)
Exchange differences	(28,875)	(3,002)	(1,298)	(266)	(107)	827	(32,721)
At 31 December 2024	1,311,613	956,940	349,153	232,037	10,255	37,277	2,897,275
Accumulated depreciation							
At 1 January 2024	650,590	857,781	295,786	192,756	8,453	–	2,005,366
Depreciation charge for the financial year (Note 42)	23,325	22,025	16,905	8,785	981	–	72,021
Disposals	–	(529)	(11,616)	(2,725)	(800)	–	(15,670)
Write-offs (Note 42)	–	(5,482)	(169)	(2,605)	(235)	–	(8,491)
Exchange differences	(14,291)	(2,023)	(1,139)	(249)	(100)	–	(17,802)
At 31 December 2024	659,624	871,772	299,767	195,962	8,299	–	2,035,424
Net carrying amount							
At 31 December 2024	651,989	85,168	49,386	36,075	1,956	37,277	861,851

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

20. PROPERTY, PLANT AND EQUIPMENT (CONT'D.)

Bank	Freehold Land RM'000	Buildings on Freehold Land RM'000	Buildings on Leasehold Land		Leasehold Land^		Total RM'000
			Less Than 50 Years RM'000	50 Years or More RM'000	Less Than 50 Years RM'000	50 Years or More RM'000	
As at 31 December 2025							
***Properties consist of:**							
Cost							
At 1 January 2025	**105,237**	**403,743**	**319,520**	**371,209**	**19,318**	**92,586**	**1,311,613**
Additions	**–**	**–**	**275**	**–**	**221**	**–**	**496**
Disposals	**(110)**	**(709)**	**(1,176)**	**–**	**(509)**	**–**	**(2,504)**
Transferred between categories	**(6,408)**	**6,408**	**(37,908)**	**57,547**	**25**	**(19,664)**	**–**
Exchange differences	**(515)**	**(542)**	**(1,698)**	**(15,247)**	**–**	**(1,160)**	**(19,162)**
At 31 December 2025	**98,204**	**408,900**	**279,013**	**413,509**	**19,055**	**71,762**	**1,290,443**
Accumulated depreciation							
At 1 January 2025	**–**	**260,966**	**214,031**	**147,846**	**9,131**	**27,650**	**659,624**
Depreciation charge for the financial year	**–**	**8,427**	**5,837**	**8,697**	**417**	**655**	**24,033**
Disposals	**–**	**(679)**	**(870)**	**–**	**(247)**	**–**	**(1,796)**
Transferred between categories	**–**	**–**	**(37,304)**	**49,569**	**14**	**(12,279)**	**–**
Exchange differences	**–**	**(217)**	**(2,811)**	**(6,325)**	**–**	**(497)**	**(9,850)**
At 31 December 2025	**–**	**268,497**	**178,883**	**199,787**	**9,315**	**15,529**	**672,011**
Net carrying amount							
At 31 December 2025	**98,204**	**140,403**	**100,130**	**213,722**	**9,740**	**56,233**	**618,432**
As at 31 December 2024							
***Properties consist of:**							
Cost							
At 1 January 2024	106,018	404,812	321,855	394,146	19,318	94,297	1,340,446
Additions	–	–	42	–	–	–	42
Exchange differences	(781)	(1,069)	(2,377)	(22,937)	–	(1,711)	(28,875)
At 31 December 2024	105,237	403,743	319,520	371,209	19,318	92,586	1,311,613
Accumulated depreciation							
At 1 January 2024	–	253,459	204,660	156,284	8,761	27,426	650,590
Depreciation charge for the financial year	–	8,046	13,313	624	370	972	23,325
Exchange differences	–	(539)	(3,942)	(9,062)	–	(748)	(14,291)
At 31 December 2024	–	260,966	214,031	147,846	9,131	27,650	659,624
Net carrying amount							
At 31 December 2024	105,237	142,777	105,489	223,363	10,187	64,936	651,989

^ The leasehold land identified as ROU assets for the Group and the Bank as disclosed in Note 21.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

21. RIGHT-OF-USE ASSETS

Group	Premises RM'000	Office Equipments RM'000	Computers and Data Centres RM'000	Motor Vehicles RM'000	Total RM'000
As at 31 December 2025					
Cost					
At 1 January 2025	**1,972,672**	**1,241**	**929,523**	**4,433**	**2,907,869**
Additions	**1,035,495**	**325**	**32,630**	**11,437**	**1,079,887**
Termination	**(190,562)**	**(166)**	**(20,518)**	**(754)**	**(212,000)**
Modification	**(27,670)**	**–**	**(13,124)**	**–**	**(40,794)**
Exchange differences	**(100,607)**	**(77)**	**(9,071)**	**(285)**	**(110,040)**
At 31 December 2025	**2,689,328**	**1,323**	**919,440**	**14,831**	**3,624,922**
Accumulated depreciation					
At 1 January 2025	**979,128**	**754**	**468,272**	**3,251**	**1,451,405**
Depreciation charge for the financial year (Notes 38(ii) & 42)	**252,925**	**923**	**246,446**	**3,095**	**503,389**
Termination	**(182,003)**	**(810)**	**(19,784)**	**(803)**	**(203,400)**
Modification	**38,934**	**–**	**(14,761)**	**–**	**24,173**
Exchange differences	**(68,622)**	**(104)**	**(5,578)**	**(368)**	**(74,672)**
At 31 December 2025	**1,020,362**	**763**	**674,595**	**5,175**	**1,700,895**
Net carrying amount					
At 31 December 2025	**1,668,966**	**560**	**244,845**	**9,656**	**1,924,027**
At 1 January 2024					
Cost					
At 1 January 2024	1,925,601	1,291	920,960	24,454	2,872,306
Additions	208,727	292	93,734	150	302,903
Termination	(106,602)	(288)	(103,889)	(18,553)	(229,332)
Modification	8,978	–	26,532	–	35,510
Exchange differences	(64,032)	(54)	(7,814)	(1,618)	(73,518)
At 31 December 2024	1,972,672	1,241	929,523	4,433	2,907,869
Accumulated depreciation					
At 1 January 2024	895,547	712	321,187	18,723	1,236,169
Depreciation charge for the financial year (Notes 38(ii) & 42)	255,201	199	255,398	4,456	515,254
Termination	(105,698)	(236)	(104,121)	(18,526)	(228,581)
Modification	(28,630)	–	54	3	(28,573)
Exchange differences	(37,292)	79	(4,246)	(1,405)	(42,864)
At 31 December 2024	979,128	754	468,272	3,251	1,451,405
Net carrying amount					
At 31 December 2024	993,544	487	461,251	1,182	1,456,464

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

21. RIGHT-OF-USE ASSETS (CONT'D.)

Bank	Premises RM'000	Office Equipments RM'000	Computers and Data Centres RM'000	Motor Vehicles RM'000	Total RM'000
As at 31 December 2025					
Cost					
At 1 January 2025	**887,925**	**612**	**512**	**715**	**889,764**
Additions	**950,943**	**38**	**–**	**103**	**951,084**
Termination	**(68,216)**	**(57)**	**–**	**(319)**	**(68,592)**
Modification	**(4,728)**	**–**	**–**	**–**	**(4,728)**
Exchange differences	**(17,314)**	**(33)**	**(12)**	**(27)**	**(17,386)**
At 31 December 2025	**1,748,610**	**560**	**500**	**472**	**1,750,142**
Accumulated depreciation					
At 1 January 2025	**428,688**	**446**	**112**	**388**	**429,634**
Depreciation charge for the financial year (Note 42)	**113,915**	**91**	**169**	**231**	**114,406**
Termination	**(65,681)**	**(57)**	**–**	**(313)**	**(66,051)**
Modification	**16**	**–**	**–**	**–**	**16**
Exchange differences	**(13,018)**	**(30)**	**(3)**	**(22)**	**(13,073)**
At 31 December 2025	**463,920**	**450**	**278**	**284**	**464,932**
Net carrying amount					
At 31 December 2025	**1,284,690**	**110**	**222**	**188**	**1,285,210**
As at 31 December 2024					
Cost					
At 1 January 2024	900,462	652	392	594	902,100
Additions	56,549	16	–	150	56,715
Termination	(59,846)	(27)	–	–	(59,873)
Modification	2,485	–	–	–	2,485
Exchange differences	(11,725)	(29)	120	(29)	(11,663)
At 31 December 2024	887,925	612	512	715	889,764
Accumulated depreciation					
At 1 January 2024	381,742	405	201	117	382,465
Depreciation charge for the financial year (Note 42)	113,870	89	154	289	114,402
Termination	(59,588)	(29)	(231)	–	(59,848)
Modification	(283)	–	–	–	(283)
Exchange differences	(7,053)	(19)	(12)	(18)	(7,102)
At 31 December 2024	428,688	446	112	388	429,634
Net carrying amount					
At 31 December 2024	459,237	166	400	327	460,130

Total net carrying amount of the ROU assets including leasehold land for the Group and the Bank as disclosed in Note 20 as at 31 December 2025 are RM2,366,779,000 (2024: RM1,937,257,000) and RM1,351,183,000 (2024: RM535,253,000), respectively.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

22. INTANGIBLE ASSETS

Group	Goodwill RM'000	Core Deposit Intangibles RM'000	Agency Force RM'000	Customer Relationship RM'000	Investment Management Agreement RM'000	Computer Software RM'000	Software-in-Development RM'000	Total RM'000
As at 31 December 2025								
Cost								
At 1 January 2025	**7,207,699**	**294,962**	**82,742**	**168,166**	**11,141**	**3,945,540**	**485,875**	**12,196,125**
Additions	**–**	**–**	**–**	**–**	**–**	**91,260**	**415,448**	**506,708**
Disposals	**–**	**–**	**–**	**–**	**–**	**(6,004)**	**(8,292)**	**(14,296)**
Write-offs (Note 42)	**–**	**–**	**–**	**–**	**–**	**(10,095)**	**(1,064)**	**(11,159)**
Transferred between categories	**–**	**–**	**–**	**–**	**–**	**228,735**	**(228,735)**	**–**
Transferred from/(to) property, plant and equipment (Note 20)	**–**	**–**	**–**	**–**	**–**	**1,513**	**(7,305)**	**(5,792)**
Exchange differences	**(649,058)**	**(36,777)**	**–**	**(3,035)**	**–**	**(86,454)**	**(5,975)**	**(781,299)**
At 31 December 2025	**6,558,641**	**258,185**	**82,742**	**165,131**	**11,141**	**4,164,495**	**649,952**	**11,890,287**
Accumulated amortisation								
At 1 January 2025	**–**	**294,962**	**82,742**	**168,166**	**–**	**2,946,560**	**–**	**3,492,430**
Amortisation charge for the financial year (Notes 38(ii) & 42)	**–**	**–**	**–**	**–**	**–**	**269,288**	**–**	**269,288**
Disposal	**–**	**–**	**–**	**–**	**–**	**(1,226)**	**–**	**(1,226)**
Write-offs (Note 42)	**–**	**–**	**–**	**–**	**–**	**(9,341)**	**–**	**(9,341)**
Transferred from property, plant and equipment (Note 20)	**–**	**–**	**–**	**–**	**–**	**50**	**–**	**50**
Exchange differences	**–**	**(36,777)**	**–**	**(3,035)**	**–**	**(63,311)**	**–**	**(103,123)**
At 31 December 2025	**–**	**258,185**	**82,742**	**165,131**	**–**	**3,142,020**	**–**	**3,648,078**
Accumulated impairment losses								
At 1 January 2025	**1,710,405**	**–**	**–**	**–**	**–**	**–**	**–**	**1,710,405**
Impairment loss	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**
Exchange differences	**(769)**	**–**	**–**	**–**	**–**	**–**	**–**	**(769)**
At 31 December 2025	**1,709,636**	**–**	**–**	**–**	**–**	**–**	**–**	**1,709,636**
Net carrying amount								
At 31 December 2025	**4,849,005**	**–**	**–**	**–**	**11,141**	**1,022,475**	**649,952**	**6,532,573**

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

22. INTANGIBLE ASSETS (CONT'D.)

Group	Goodwill RM'000	Core Deposit Intangibles RM'000	Agency Force RM'000	Customer Relationship RM'000	Investment Management Agreement RM'000	Computer Software RM'000	Software-in-Development RM'000	Total RM'000
As at 31 December 2024								
Cost								
At 1 January 2024	7,689,535	317,668	82,742	172,762	11,141	3,626,179	471,986	12,372,013
Additions	–	–	–	–	–	116,760	288,993	405,753
Disposals	–	–	–	–	–	(3,064)	(4,034)	(7,098)
Write-offs (Note 42)	–	–	–	–	–	(11,396)	(500)	(11,896)
Transferred between categories	–	–	–	–	–	259,180	(259,180)	–
Transferred from property, plant and equipment (Note 20)	–	–	–	–	–	29,143	(688)	28,455
Exchange differences	(481,836)	(22,706)	–	(4,596)	–	(71,262)	(10,702)	(591,102)
At 31 December 2024	7,207,699	294,962	82,742	168,166	11,141	3,945,540	485,875	12,196,125
Accumulated amortisation								
At 1 January 2024	–	317,668	82,742	172,762	–	2,729,866	–	3,303,038
Amortisation charge for the financial year (Notes 38(ii) & 42)	–	–	–	–	–	269,845	–	269,845
Disposal	–	–	–	–	–	(271)	–	(271)
Write-offs (Note 42)	–	–	–	–	–	(11,396)	–	(11,396)
Transferred to property, plant and equipment (Note 20)	–	–	–	–	–	13,145	–	13,145
Exchange differences	–	(22,706)	–	(4,596)	–	(54,629)	–	(81,931)
At 31 December 2024	–	294,962	82,742	168,166	–	2,946,560	–	3,492,430
Accumulated impairment losses								
At 1 January 2024	1,707,064	–	–	–	–	–	–	1,707,064
Impairment loss	4,430	–	–	–	–	–	–	4,430
Exchange differences	(1,089)	–	–	–	–	–	–	(1,089)
At 31 December 2024	1,710,405	–	–	–	–	–	–	1,710,405
Net carrying amount								
At 31 December 2024	5,497,294	–	–	–	11,141	998,980	485,875	6,993,290

22. INTANGIBLE ASSETS (CONT'D.)

Bank	Goodwill RM'000	Computer Software RM'000	Software–in–Development RM'000	Total RM'000
As at 31 December 2025				
Cost				
At 1 January 2025	**81,015**	**1,346,501**	**265,548**	**1,693,064**
Additions	**–**	**23,937**	**212,633**	**236,570**
Disposals	**–**	**(501)**	**–**	**(501)**
Write-offs (Note 42)	**–**	**(666)**	**(1,004)**	**(1,670)**
Transferred between categories	**–**	**150,313**	**(150,313)**	**–**
Transferred from property, plant and equipment (Note 20)	**–**	**79**	**–**	**79**
Exchange differences	**–**	**(3,823)**	**(848)**	**(4,671)**
At 31 December 2025	**81,015**	**1,515,840**	**326,016**	**1,922,871**
Accumulated amortisation				
At 1 January 2025	**–**	**1,028,461**	**–**	**1,028,461**
Amortisation charge for the financial year (Note 42)	**–**	**83,514**	**–**	**83,514**
Disposals	**–**	**(501)**	**–**	**(501)**
Write-offs (Note 42)	**–**	**(215)**	**–**	**(215)**
Transferred from property, plant and equipment (Note 20)	**–**	**50**	**–**	**50**
Exchange differences	**–**	**(3,439)**	**–**	**(3,439)**
At 31 December 2025	**–**	**1,107,870**	**–**	**1,107,870**
Net carrying amount				
At 31 December 2025	**81,015**	**407,970**	**326,016**	**815,001**
As at 31 December 2024				
Cost				
At 1 January 2024	81,015	1,222,544	204,765	1,508,324
Additions	–	14,016	185,898	199,914
Write-offs (Note 42)	–	(11,396)	(500)	(11,896)
Transferred to a subsidiary	–	(795)	–	(795)
Transferred between categories	–	124,228	(124,228)	–
Exchange differences	–	(2,096)	(387)	(2,483)
At 31 December 2024	81,015	1,346,501	265,548	1,693,064
Accumulated amortisation				
At 1 January 2024	–	965,028	–	965,028
Amortisation charge for the financial year (Note 42)	–	76,315	–	76,315
Write-offs (Note 42)	–	(11,396)	–	(11,396)
Exchange differences	–	(1,486)	–	(1,486)
At 31 December 2024	–	1,028,461	–	1,028,461
Net carrying amount				
At 31 December 2024	81,015	318,040	265,548	664,603

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

22. INTANGIBLE ASSETS (CONT'D.)

(i) Goodwill

Goodwill has been allocated to the Group's Cash-Generating Units ("CGUs") identified according to the following business segments:

Group	Note	2025 RM'000	2024 RM'000
American Express ("AMEX") card services business in Malaysia	(a)	**81,015**	81,015
Acquisition of PT Bank Maybank Indonesia Tbk ("Maybank Indonesia")		**5,807,085**	5,807,085
Less: Accumulated impairment losses	(b)	**(1,619,518)**	(1,619,518)
		4,187,567	4,187,567
Acquisition of Maybank IBG Holdings Limited ("MIBGH")	(c)	**2,001,914**	2,001,914
Less: Accumulated impairment losses		**(18,591)**	(18,591)
		1,983,323	1,983,323
Acquisition of PT Maybank Asset Management		**20,162**	20,162
Less: Accumulated impairment losses		**(20,162)**	(20,162)
		–	–
Acquisition of PT Asuransi Etiqa Internasional Indonesia		**60,974**	60,974
Less: Accumulated impairment losses		**(43,899)**	(43,899)
		17,075	17,075
Acquisition of Amanah Mutual Berhad		**2,168**	2,168
Exchange differences		**(1,422,143)**	(773,854)
		4,849,005	5,497,294

Bank	Note	2025 RM'000	2024 RM'000
American Express ("AMEX") card services business in Malaysia	(a)	**81,015**	81,015

Goodwill is allocated to the Group's CGUs expected to benefit from the synergies of the acquisitions. The recoverable amount of the CGUs is assessed based on value-in-use and compared to the carrying amount of the CGUs to determine whether any impairment exists. Impairment loss is recognised in the income statement when the carrying amount of the CGUs exceeds its recoverable amount. During the financial year ended 31 December 2025, the impairment losses recognised for the CGUs were nil (2024: RM4.4 million).

(a) The value-in-use calculations apply discounted cash flow projections prepared and approved by management, covering a 10-year period.

The other key assumptions for the computation of value-in-use are as follows:

(i) The Bank expects the AMEX card services business to be a going concern;

(ii) The growth in business volume is expected to be consistent with the industry growth rate of 8.0% to 14.0% per annum; and

(iii) The discount rate applied is the internal weighted average cost of capital of the Bank at the time of assessment, which is estimated to be 7.46% per annum (2024: 7.69% per annum).

(b) The value-in-use discounted cash flow model uses free cash flow to equity ("FCFE") projections prepared and approved by management covering a 5-year period.

The other key assumptions for the computation of value-in-use are as follows:

(i) The Bank expects Maybank Indonesia's banking business operations to be a going concern;

(ii) The discount rate applied is based on current specific country risks which is estimated to be approximately 10.8% per annum (2024: 12.2% per annum); and

(iii) Terminal value whereby cash flow growth rate of 5.0% (2024: 5.1%).

For sensitivity analysis purposes, a 10 basis points change in the discount rate would increase or decrease the recoverable amount by RM263.4 million and RM254.4 million respectively, while a 10 basis points change in the terminal growth rate on the annual cash flows of Maybank Indonesia would increase or decrease the recoverable amount by RM214.0 million and RM206.7 million respectively.

22. INTANGIBLE ASSETS (CONT'D.)

(i) Goodwill (cont'd.)

(c) Maybank Investment Banking Group ("MIBG") is segregated into two business pillars, namely, Investment Banking and Advisory ("IB&A") and Brokerage, Equity & Commodity Derivatives ("ECDG") and other businesses. MIBG comprises mainly Maybank Investment Bank Berhad ("MIBMY") and Maybank IBG Holding Limited ("MIBGH") whilst MIBG forms the Investment Banking sub-segment within Global Banking.

The value-in-use discounted cash flow model uses free cash flow to the firm ("FCFF") projections prepared and approved by management covering a 5-year period of MIBMY and MIBGH collectively.

The other key assumptions for the computation of value-in-use are as follows:

(i) The Bank expects MIBG's business operations to be a going concern;

(ii) The discount rate applied is the internal weighted average cost of capital of MIBG at the time of assessment, which is estimated to be 7.7% per annum (2024: 7.9% per annum); and

(iii) Terminal value whereby cash flow growth rate is 3.2% (2024: 4.1%), which is consistent with the average GDP rate of Malaysia, Singapore and Thailand, which are the major MIBG's operating markets.

For sensitivity analysis purposes, if the annual cash flows growth rate of MIBG is at a constant negative growth rate of 7.0% or the discount rate increased to approximately 20.9%, the recoverable amount would be reduced to its carrying amount of the CGU.

(ii) Core Deposit Intangibles ("CDI")

Core deposit intangibles arise from the acquisition of Maybank Indonesia's banking business operations. The CDI is deemed to have a finite useful life of 8 years and has been fully amortised based on a reducing balance method.

(iii) Agency force

The agency force arises from the acquisition of MIBGH's investment banking business operations. The agency force is deemed to have a finite useful life of 11 years and has been fully amortised based on a reducing balance method.

(iv) Customer relationship

The customer relationship arises from the acquisition of MIBGH's investment banking business operations. The customer relationship is deemed to have a finite useful life of 3 - 9 years and has been fully amortised based on a reducing balance method.

(v) Investment management agreements

The Group has recognised the investment management agreements acquired through the acquisition of Amanah Mutual Berhad as intangible assets as they are expected to provide consistent revenue flow and future economic benefits to the Group. The investment management agreements are initially recognised at cost and subsequently carried at cost less any accumulated impairment losses. The useful life of the investment management agreements are estimated to be indefinite as it is believed that there is no foreseeable limit to the period over which the investment management agreements are expected to generate net cash inflows for the Group.

23. DEPOSITS FROM CUSTOMERS

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Fixed deposits and negotiable instruments of deposits				
- One year or less	**328,452,721**	359,786,179	**153,739,657**	170,287,990
- More than one year	**6,352,598**	4,124,887	**2,246,265**	1,199,284
	334,805,319	363,911,066	**155,985,922**	171,487,274
Money market deposits	**95,492,538**	103,518,983	**22,419,200**	29,566,090
Savings deposits	**104,407,413**	96,386,543	**33,971,802**	32,803,883
Demand deposits	**163,504,957**	149,098,867	**87,969,854**	76,751,739
	698,210,227	712,915,459	**300,346,778**	310,608,986

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

23. DEPOSITS FROM CUSTOMERS (CONT'D.)

The deposits are sourced from the following types of customers:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Business enterprises	**381,059,650**	325,086,856	**164,707,110**	174,630,839
Individuals	**178,892,999**	275,588,994	**84,351,940**	84,635,236
Government and statutory bodies	**73,255,845**	52,691,775	**20,098,106**	19,578,968
Others	**65,001,733**	59,547,834	**31,189,622**	31,763,943
	698,210,227	712,915,459	**300,346,778**	310,608,986

The maturity profile of fixed deposits and negotiable instruments of deposits are as follows:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Within six months	**274,106,522**	296,594,038	**131,655,895**	142,587,146
Six months to one year	**54,346,199**	63,192,141	**22,083,762**	27,700,844
One year to three years	**5,570,560**	3,530,590	**1,679,783**	640,686
Three years to five years	**299,529**	89,151	**83,973**	53,452
More than five years	**482,509**	505,146	**482,509**	505,146
	334,805,319	363,911,066	**155,985,922**	171,487,274

24. DEPOSITS AND PLACEMENTS FROM FINANCIAL INSTITUTIONS

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Licensed banks	**39,413,542**	44,509,804	**67,431,002**	75,107,282
Licensed finance companies	**1,274,849**	861,295	**1,274,849**	861,295
Licensed investment banks	**749,158**	583,092	**749,157**	583,092
Other financial institutions	**1,149,780**	1,097,029	**433,610**	447,555
	42,587,329	47,051,220	**69,888,618**	76,999,224

The maturity profile of deposits and placements from financial institutions are as follows:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
One year or less	**38,796,349**	40,997,427	**66,784,084**	71,537,983
More than one year	**3,790,980**	6,053,793	**3,104,534**	5,461,241
	42,587,329	47,051,220	**69,888,618**	76,999,224

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

25. FINANCIAL LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS ("FVTPL")

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Structured deposits	**3,046,858**	4,846,081	**211,981**	331,669
Borrowings				
Unsecured				
Medium term notes				
– More than one year				
Denominated in:				
– USD	**6,536,879**	7,097,373	**6,536,879**	7,097,373
Total financial liabilities at fair value through profit or loss	**9,583,737**	11,943,454	**6,748,860**	7,429,042

The Group and the Bank have designated certain structured deposits and borrowings at FVTPL. This designation is permitted under MFRS 9 *Financial Instruments* as it significantly reduces accounting mismatch. These instruments are managed by the Group and the Bank on the basis of their fair values and include terms that have substantive derivative characteristics.

The contractual carrying amounts of structured deposits designated at FVTPL as at 31 December 2025 were RM3,026,392,000 (2024: RM4,893,934,000) for the Group and RM214,814,000 (2024: RM333,757,000) for the Bank, meanwhile the contractual carrying amount of borrowings designated at FVTPL as at 31 December 2025 for the Group and the Bank were RM14,023,081,000 (2024: RM14,650,722,000). The fair value changes of the financial liabilities at FVTPL that are attributable to the changes in own credit risk are not significant.

The movements in the borrowings are as follows:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
At 1 January	**7,097,373**	8,443,692	**7,097,373**	8,443,692
Non-cash changes:				
Fair value changes	**67,147**	(1,873,689)	**67,147**	(1,873,689)
Others	**486,046**	852,930	**486,046**	852,930
Exchange differences	**(1,113,687)**	(325,560)	**(1,113,687)**	(325,560)
At 31 December	**6,536,879**	7,097,373	**6,536,879**	7,097,373

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

26. OTHER LIABILITIES

	Note	Group		Bank	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Amount due to brokers and clients	55	**6,655,834**	4,595,057	**–**	–
Deposits, other creditors and accruals		**19,434,901**	19,955,057	**13,095,212**	12,454,015
Defined benefit pension plans	(i)	**439,216**	530,427	**–**	–
Provisions for commitments and contingencies	(ii)	**21,236**	53,976	**21,078**	19,176
Allowances for impairment losses on loan commitments and financial guarantee contracts	(iii)	**246,718**	397,797	**129,185**	229,514
Lease liabilities	(iv)	**1,925,147**	1,316,862	**1,309,732**	464,118
Structured deposits		**392,441**	658,803	**259,071**	526,155
		29,115,493	27,507,979	**14,814,278**	13,692,978

(i) Defined benefit pension plans

The Bank's subsidiaries have obligations in respect of the severance payments they must make to employees upon retirement under labour laws of respective countries. The Bank's subsidiaries treat these severance payment obligations as a defined benefit plan.

The obligation under the defined benefit plan is determined by a professionally qualified independent actuary based on actuarial assumptions using Projected Unit Credit Method. Such determination is made based on the present value of expected cash flows of benefits to be paid in the future taking into account the actuarial assumptions, including salaries, turnover rate, mortality rate, years of service and other factors.

The defined benefit plans expose the Bank's subsidiaries to actuarial risks, such as longevity risk, interest rate risk, currency risk and market (investment) risk.

(a) Funding to defined benefit plans

The defined benefit plans are fully funded by the Bank's subsidiaries. The funding requirements are based on the pension funds actuarial measurement framework set out in the funding policies of the plans. The subsidiaries' employees are not required to contribute to the plans.

The following payments are expected contributions to be made by the Bank's subsidiaries to the defined benefit plans obligations in the future years:

Group	2025 RM'000	2024 RM'000
Within the next 12 months	**59,203**	51,628
Between 1 and 5 years	**194,268**	222,970
Between 5 and 10 years	**321,413**	418,657
Beyond 10 years	**1,241,443**	3,041,400
Total expected payments	**1,816,327**	3,734,655

26. OTHER LIABILITIES (CONT'D.)

(i) Defined benefit pension plans (cont'd.)

(b) Movements in net defined benefit liabilities

The following table shows a reconciliation of net defined benefit liabilities and its components:

Group As at 31 December 2025	Defined benefit obligations RM'000	Fair value of plan assets RM'000	Net defined benefit liabilities RM'000
At 1 January 2025	**565,296**	**(34,869)**	**530,427**
Included in income statements:			
Current service cost	**62,332**	**–**	**62,332**
Past service income	**5,317**	**–**	**5,317**
Interest income/(cost)	**31,685**	**(1,923)**	**29,762**
Actuarial gain on other long–term employee benefits plans	**(30,308)**	**–**	**(30,308)**
	69,026	**(1,923)**	**67,103**
Included in statements of comprehensive income:			
Remeasurement (gain)/loss:			
– Actuarial (gain)/loss arising from:			
– Demographic assumptions	**(21,373)**	**–**	**(21,373)**
– Financial assumptions	**(7,057)**	**738**	**(6,319)**
– Experience adjustments	**(10,660)**	**–**	**(10,660)**
– Return on plan assets (excluding interest income)	**–**	**(213)**	**(213)**
	(39,090)	**525**	**(38,565)**
Others:			
Contributions paid by employers	**–**	**(8,889)**	**(8,889)**
Benefits paid	**(50,571)**	**12,118**	**(38,453)**
Exchange differences	**(73,500)**	**1,093**	**(72,407)**
	(124,071)	**4,322**	**(119,749)**
At 31 December 2025	**471,161**	**(31,945)**	**439,216**

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

26. OTHER LIABILITIES (CONT'D.)

(i) Defined benefit pension plans (cont'd.)

(b) Movements in net defined benefit liabilities (cont'd.)

The following table shows a reconciliation of net defined benefit liabilities and its components (cont'd.):

Group (cont'd.) As at 31 December 2024	Defined benefit obligations RM'000	Fair value of plan assets RM'000	Net defined benefit liabilities RM'000
At 1 January 2024	561,382	(36,897)	524,485
Included in income statements:			
Current service cost	141,614	–	141,614
Past service cost	(7,788)	–	(7,788)
Interest income/(cost)	36,400	(2,271)	34,129
Actuarial gain on other long–term employee benefits plans	(53,442)	–	(53,442)
	116,784	(2,271)	114,513
Included in statements of comprehensive income:			
Remeasurement (gain)/loss:			
– Actuarial (gain)/loss arising from:			
– Demographic assumptions	(1,321)	–	(1,321)
– Financial assumptions	(4,756)	1,974	(2,782)
– Experience adjustments	(17,761)	–	(17,761)
– Return on plan assets (excluding interest income)	113	(508)	(395)
	(23,725)	1,466	(22,259)
Others:			
Contributions paid by employers	–	(9,332)	(9,332)
Benefits paid	(56,677)	11,748	(44,929)
Exchange differences	(32,468)	417	(32,051)
	(89,145)	2,833	(86,312)
At 31 December 2024	565,296	(34,869)	530,427

26. OTHER LIABILITIES (CONT'D.)

(i) Defined benefit pension plans (cont'd.)

(c) Plan assets

The major categories of plan assets included as part of the fair value of total plan assets are as follows:

Group	2025 RM'000	2024 RM'000
Cash and cash equivalents	**1,075**	3,227
Quoted investments in active markets:		
Equity securities:		
– Consumer markets	**–**	2,704
– Financial institutions	**158**	1,604
Bonds issued by foreign governments	**24,480**	17,951
Debt instruments	**809**	2,395
Other receivables	**10,729**	8,448
Other payables	**(5,306)**	(1,460)
	31,945	34,869

For Bank's subsidiaries which have plan assets, an Asset-Liability Matching Study ("ALM") is performed at each reporting date. The principal technique of the ALM is to ensure the expected return on assets is sufficient to support the desired level of funding arising from the defined benefit plans.

(d) Defined benefit obligations

(A) Actuarial assumptions

The principal assumptions used by subsidiaries in determining its pension obligations are as follows:

Group	2025 %	2024 %
Discount rate		
– Indonesia	**6.60**	6.98
– Philippines	**6.15**	6.05
– Thailand	**2.19**	2.22
Future salary growth		
– Indonesia	**6.17**	6.50
– Philippines	**5.17**	5.17
– Thailand	**5.00**	5.00

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

26. OTHER LIABILITIES (CONT'D.)

(i) Defined benefit pension plans (cont'd.)

(d) Defined benefit obligations (cont'd.)

(A) Actuarial assumptions (cont'd.)

The principal assumptions used by subsidiaries in determining its pension obligations are as follows (cont'd.):

Group	2025 Years	2024 Years
Indonesia:		
Life expectancy for individual retiring at age of 55 – 56:		
– Male	**20.29**	20.31
– Female	**21.26**	21.28
Philippines:		
Life expectancy for individual retiring at age of 60:		
– Male	**14.50**	14.50
– Female	**17.50**	18.00
Thailand:		
Life expectancy for individual retiring at age of 60:		
– Male	**14.40**	14.40
– Female	**21.00**	21.00

The average duration of the defined benefit plans obligations at the end of each reporting year are as follows:

Group	2025 Years	2024 Years
Duration of defined benefit plans obligations		
– Indonesia	**9.65**	9.36
– Philippines	**13.92**	13.59
– Thailand	**14.37**	14.06

(B) Sensitivity analysis

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligations by the amounts shown below:

	Defined benefit obligations	
Group	Increased by 1% RM'000	Decreased by 1% RM'000
2025		
Discount rate (1% movement)	**(400,397)**	**(349,233)**
Future salary growth (1% movement)	**(348,834)**	**(399,357)**
Future mortality (1% movement)	**101**	**(100)**
2024		
Discount rate (1% movement)	(57,696)	17,437
Future salary growth (1% movement)	7,806	(49,479)
Future mortality (1% movement)	99	(98)

The sensitivity analysis above have been determined based on a method that extrapolates the impact on net defined benefit obligations as a result of reasonable changes in key assumptions occurring at the end of each reporting year.

26. OTHER LIABILITIES (CONT'D.)

(ii) The movements of provisions for commitments and contingencies are as follows:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
At 1 January	**53,976**	28,976	**19,176**	18,176
Addition	**2,060**	25,000	**1,902**	1,000
Written back	**(34,800)**	–	**–**	–
At 31 December	**21,236**	53,976	**21,078**	19,176

(iii) Movements in the allowances for impairment losses on loan commitments and financial guarantee contracts are as follows:

As at 31 December 2025	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
Group				
At 1 January 2025	**167,452**	**99,546**	**130,799**	**397,797**
Transferred to Stage 1	**6,478**	**(5,966)**	**(512)**	**–**
Transferred to Stage 2	**(9,001)**	**9,548**	**(547)**	**–**
Transferred to Stage 3	**(91)**	**(303)**	**394**	**–**
Net remeasurement of allowances	**(11,999)**	**(3,945)**	**(53,902)**	**(69,846)**
New credit exposures originated or purchased	**90,754**	**18,401**	**–**	**109,155**
Credit exposures derecognised	**(73,878)**	**(81,496)**	**(20,578)**	**(175,952)**
Changes in models/risk parameters	**(10,584)**	**(1,475)**	**7,904**	**(4,155)**
Exchange differences	**(9,128)**	**(1,139)**	**(14)**	**(10,281)**
At 31 December 2025	**150,003**	**33,171**	**63,544**	**246,718**
Bank				
At 1 January 2025	**71,192**	**84,267**	**74,055**	**229,514**
Transferred to Stage 1	**2,643**	**(2,135)**	**(508)**	**–**
Transferred to Stage 2	**(2,903)**	**3,126**	**(223)**	**–**
Transferred to Stage 3	**(15)**	**(8)**	**23**	**–**
Net remeasurement of allowances	**(2,519)**	**(4,588)**	**(17,234)**	**(24,341)**
New credit exposures originated or purchased	**52,078**	**9,375**	**–**	**61,453**
Credit exposures derecognised	**(42,995)**	**(74,049)**	**(19,966)**	**(137,010)**
Changes in models/risk parameters	**(2,941)**	**(1,257)**	**7,934**	**3,736**
Exchange differences	**(3,558)**	**(638)**	**29**	**(4,167)**
At 31 December 2025	**70,982**	**14,093**	**44,110**	**129,185**

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

26. OTHER LIABILITIES (CONT'D.)

(iii) Movements in the allowances for impairment losses on loan commitments and financial guarantee contracts are as follows (cont'd.):

As at 31 December 2024	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
Group				
At 1 January 2024	139,916	98,486	107,041	345,443
Transferred to Stage 1	6,015	(5,920)	(95)	–
Transferred to Stage 2	(1,819)	1,821	(2)	–
Transferred to Stage 3	(101)	(84)	185	–
Net remeasurement of allowances	4,607	8,057	105,518	118,182
New credit exposures originated or purchased	101,616	18,068	–	119,684
Credit exposures derecognised	(73,580)	(16,472)	(77,669)	(167,721)
Changes in models/risk parameters	(3,738)	(196)	(2,704)	(6,638)
Exchange differences	(5,464)	(4,214)	(1,475)	(11,153)
At 31 December 2024	167,452	99,546	130,799	397,797
Bank				
At 1 January 2024	70,961	82,971	35,157	189,089
Transferred to Stage 1	875	(875)	–	–
Transferred to Stage 2	(750)	750	–	–
Transferred to Stage 3	–	(15)	15	–
Net remeasurement of allowances	(232)	3,743	51,801	55,312
New credit exposures originated or purchased	49,558	10,149	–	59,707
Credit exposures derecognised	(46,933)	(8,547)	(11,567)	(67,047)
Changes in models/risk parameters	8	–	–	8
Exchange differences	(2,295)	(3,909)	(1,351)	(7,555)
At 31 December 2024	71,192	84,267	74,055	229,514

(iv) Lease liabilities

The movements in lease liabilities are as follows:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
At 1 January	**1,316,862**	1,513,084	**464,118**	520,650
New lease contracts	**1,082,124**	426,258	**919,478**	49,314
Modification	**(877)**	(1,002)	**–**	–
Termination	**(7,608)**	(97,819)	**(2,673)**	(526)
Lease finance cost (Notes 38(ii) & 42)	**92,143**	65,714	**48,885**	16,595
Lease obligation reduction/repayment	**(557,497)**	(589,373)	**(120,076)**	(121,915)
At 31 December	**1,925,147**	1,316,862	**1,309,732**	464,118

26. OTHER LIABILITIES (CONT'D.)

(iv) Lease liabilities (cont'd.)

The undiscounted maturity analysis of lease liabilities are as follows:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Less than one year	**548,921**	345,482	**29,557**	25,700
Between one and five years	**1,218,880**	691,642	**135,680**	164,788
More than five years	**2,801,291**	686,679	**2,070,691**	309,597
	4,569,092	1,723,803	**2,235,928**	500,085

27. PROVISION FOR TAXATION AND ZAKAT

	Group	
	2025 RM'000	2024 RM'000
Taxation	**281,321**	192,918
Zakat	**114,470**	101,725
	395,791	294,643

28. DEFERRED TAX

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
At 1 January	**(916,821)**	(623,340)	**(296,655)**	(83,505)
Recognised in income statements:				
Tax expenses/(income) (Note 47)	**2,685**	(117,656)	**(15,993)**	(56,649)
Tax borne by insurance policyholders/takaful participants	**8,215**	18,152	**–**	–
Recognised in statements of other comprehensive income	**(69,330)**	(211,740)	**(100,699)**	(144,896)
Exchange differences	**71,740**	17,763	**27,374**	(11,605)
At 31 December	**(903,511)**	(916,821)	**(385,973)**	(296,655)

Presented after appropriate offsetting as follows:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Deferred tax assets	**(1,718,218)**	(1,672,159)	**(385,973)**	(296,655)
Deferred tax liabilities	**814,707**	755,338	**–**	–
	(903,511)	(916,821)	**(385,973)**	(296,655)

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

28. DEFERRED TAX (CONT'D.)

Presented prior to offsetting as follows:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Deferred tax assets	**(2,185,380)**	(2,164,041)	**(782,272)**	(738,095)
Deferred tax liabilities	**1,281,869**	1,247,220	**396,299**	441,440
	(903,511)	(916,821)	**(385,973)**	(296,655)

Deferred tax assets and liabilities are offset when there is a legally enforceable right to set-off current tax assets against current tax liabilities and when the deferred income taxes relate to the same fiscal authority.

The components and movements of deferred tax assets and liabilities during the financial year prior to offsetting are as follows:

Deferred tax assets of the Group:

	Impairment losses on loans, financial investments and other financial assets RM'000	**FVOCI reserve and amortisation of premium RM'000**	**Provision for liabilities RM'000**	**Other temporary differences RM'000**	**Unutilised International Currency Business Unit ("ICBU") business losses RM'000**	**Total RM'000**
As at 31 December 2025						
At 1 January 2025	**(993,867)**	**(93,957)**	**(671,400)**	**(394,558)**	**(10,259)**	**(2,164,041)**
Recognised in income statements:						
Tax (income)/expenses	**(52,514)**	**(1,819)**	**(33,748)**	**2,025**	**2,581**	**(83,475)**
Tax borne by insurance policyholders/takaful participants	**(213)**	**(1,229)**	**–**	**(495)**	**–**	**(1,937)**
Recognised in statements of other comprehensive income	**–**	**27,300**	**7,540**	**–**	**–**	**34,840**
Exchange differences	**(63,073)**	**37,543**	**42,491**	**12,272**	**–**	**29,233**
At 31 December 2025	**(1,109,667)**	**(32,162)**	**(655,117)**	**(380,756)**	**(7,678)**	**(2,185,380)**
As at 31 December 2024						
At 1 January 2024	(946,557)	(101,330)	(645,636)	(442,836)	(11,859)	(2,148,218)
Recognised in income statements:						
Tax (income)/expenses	(61,740)	(952)	(88,304)	(49,918)	1,600	(199,314)
Tax borne by insurance policyholders/takaful participants	–	–	–	(2,259)	–	(2,259)
Recognised in statements of other comprehensive income	–	(12,542)	5,564	2,225	–	(4,753)
Exchange differences	14,430	20,867	56,976	98,230	–	190,503
At 31 December 2024	(993,867)	(93,957)	(671,400)	(394,558)	(10,259)	(2,164,041)

28. DEFERRED TAX (CONT'D.)

The components and movements of deferred tax assets and liabilities during the financial year prior to offsetting are as follows (cont'd.):

Deferred tax liabilities of the Group:

	Excess capital allowance RM'000	FVOCI reserve and accretion of discounts RM'000	Non-Distributable Life Funds Surplus RM'000	Other temporary differences RM'000	Total RM'000
As at 31 December 2025					
At 1 January 2025	**144,038**	**682,396**	**322,315**	**98,471**	**1,247,220**
Recognised in income statements:					
Tax expenses/(income)	**42,127**	**–**	**58,255**	**(14,222)**	**86,160**
Tax borne by insurance policyholders/takaful participants	**(444)**	**–**	**–**	**10,596**	**10,152**
Recognised in statements of other comprehensive income	**–**	**(104,170)**	**–**	**–**	**(104,170)**
Exchange differences	**(34,838)**	**(134,721)**	**182,762**	**29,304**	**42,507**
At 31 December 2025	**150,883**	**443,505**	**563,332**	**124,149**	**1,281,869**
As at 31 December 2024					
At 1 January 2024	144,271	754,630	470,767	155,210	1,524,878
Recognised in income statements:					
Tax expenses	20,659	–	38,135	22,864	81,658
Tax borne by insurance policyholders/takaful participants	–	–	–	20,411	20,411
Recognised in statements of other comprehensive income	–	(205,746)	4,032	(5,273)	(206,987)
Exchange differences	(20,892)	133,512	(190,619)	(94,741)	(172,740)
At 31 December 2024	144,038	682,396	322,315	98,471	1,247,220

Deferred tax assets of the Bank:

	Impairment losses on loans, financial investments and other financial assets RM'000	FVOCI reserve RM'000	Provision for liabilities RM'000	Total RM'000
As at 31 December 2025				
At 1 January 2025	**(265,327)**	**–**	**(472,768)**	**(738,095)**
Recognised in income statements:				
Tax income	**(43,105)**	**–**	**(12,039)**	**(55,144)**
Exchange differences	**–**	**–**	**10,967**	**10,967**
At 31 December 2025	**(308,432)**	**–**	**(473,840)**	**(782,272)**
As at 31 December 2024				
At 1 January 2024	(268,304)	(21,941)	(389,325)	(679,570)
Recognised in income statements:				
Tax expenses/(income)	2,977	–	(71,832)	(68,855)
Recognised in statements of other comprehensive income	–	16,406	–	16,406
Exchange differences	–	5,535	(11,611)	(6,076)
At 31 December 2024	(265,327)	–	(472,768)	(738,095)

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

28. DEFERRED TAX (CONT'D.)

The components and movements of deferred tax assets and liabilities during the financial year prior to offsetting are as follows (cont'd.):

Deferred tax liabilities of the Bank:

	Excess capital allowance RM'000	FVOCI reserve RM'000	Other temporary differences RM'000	Total RM'000
As at 31 December 2025				
At 1 January 2025	**67,986**	**373,225**	**229**	**441,440**
Recognised in income statements:				
Tax expenses	**39,151**	**–**	**–**	**39,151**
Recognised in statements of other comprehensive income	**–**	**(100,699)**	**–**	**(100,699)**
Exchange differences	**–**	**16,405**	**2**	**16,407**
At 31 December 2025	**107,137**	**288,931**	**231**	**396,299**
As at 31 December 2024				
At 1 January 2024	55,780	540,056	229	596,065
Recognised in income statements:				
Tax expenses	12,206	–	–	12,206
Recognised in statements of other comprehensive income	–	(161,302)	–	(161,302)
Exchange differences	–	(5,529)	–	(5,529)
At 31 December 2024	67,986	373,225	229	441,440

As disclosed in Note 3.8, the tax effects of unutilised tax losses and unused tax credits which would give rise to net deferred tax assets are recognised to the extent that it is probable that future taxable profits will be available to offset against deductible temporary differences, unutilised tax losses and unused tax credits. At the financial year end, the amounts of unutilised tax losses and unabsorbed capital allowances which are not recognised in the financial statements due to uncertainty of their realisation are as follows:

Group	2025 RM'000	2024 RM'000
Unutilised tax losses	**116,529**	240,821
Unabsorbed capital allowances	**1,489**	4,143
	118,018	244,964

For Malaysia, the deductible temporary differences have an expiry date of 10 years which is in line with Section 44(5F) of the Income Tax Act 1967 that comes into operation from year of assessment 2019 and subsequent years of assessment. For overseas, the deductible temporary differences have no expiry date, except for India which can only be carried forward to deduct against future profits for a period of 8 years.

The Group is within the scope of the Organisation for Economic Co-operation and Development ("OECD") Pillar Two model rules. For countries like United Kingdom and Vietnam where the Group has its operations, Pillar Two legislation was effective from 1 January 2024. For other countries like Malaysia, Singapore, Indonesia, Hong Kong and Thailand, it is effective from 1 January 2025.

The Group applies the exception to recognising and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes, as provided in the amendments to IAS 12 issued in May 2023.

Under the Finance (No.2) Act 2023 for Malaysia, the Group is liable to pay a top-up tax for the difference between its Global Anti-Base Erosion ("GloBE") effective tax rate per jurisdiction and the 15% minimum rate. The impact to the Group is estimated to be immaterial as the Group does not benefit from significant tax incentives and as the headline tax is above 15% in most of the jurisdictions that the Group operates in.

For the current year, an assessment was conducted based on the 2025 financial statements information for the constituent entities in the Group. The Group has considered both the application of the Transitional Safe Harbour rules and the assessment based on Pillar Two rules.

The Group expects a minimal top-up tax liability to Maybank arising from its operation in certain non-Pillar Two implementing jurisdiction and investment entities in the Group which would be in-scope for Malaysia.

The Group continues to follow Pillar Two legislative developments, as further countries enact the Pillar Two model rules, to evaluate the potential future impact on its consolidated results of operations, financial position and cash flows.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

29. BORROWINGS

	Note	Group		Bank	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Secured:	(a)				
(i) Borrowings					
– Less than one year					
Denominated in:					
– USD		**–**	478,762	**–**	478,762
– IDR		**515,928**	1,166,594	**–**	–
– VND		**70,388**	–	**–**	–
		586,316	1,645,356	**–**	478,762
– More than one year					
Denominated in:					
– EUR		**4,821,840**	2,406,834	**–**	–
– IDR		**1,671,730**	1,087,482	**–**	–
		6,493,570	3,494,316	**–**	–
Total secured borrowings		**7,079,886**	5,139,672	**–**	478,762
Unsecured:	(b)				
(i) Borrowings					
– Less than one year					
Denominated in:					
– USD		**752,428**	3,423,950	**34,314**	13,261
– CNY		**1,162,442**	616,155	**1,162,442**	616,155
– SGD		**783,309**	1,394,652	**783,309**	293,298
– THB		**723,727**	1,372,139	**–**	–
– HKD		**43,308**	52,610	**–**	–
– IDR		**1,160,243**	360,111	**–**	–
– VND		**77,337**	–	**–**	–
– JPY		**–**	1,030,845	**–**	–
– RM[1]		**5,063,353**	177,364	**4,516,350**	177,364
		9,766,147	8,427,826	**6,496,415**	1,100,078
– More than one year					
Denominated in:					
– USD		**810,875**	469,672	**–**	22,993
– IDR		**243,730**	278,337	**–**	–
– CNY		**–**	1,226,277	**–**	1,226,277
– SGD		**–**	91,159	**–**	91,159
– RM[1]		**806,711**	2,570,170	**806,711**	2,570,170
		1,861,316	4,635,615	**806,711**	3,910,599

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

29. BORROWINGS (CONT'D.)

	Note	Group		Bank	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
(ii) Medium Term Notes					
– Less than one year					
Denominated in:					
– USD		**528,324**	–	**528,324**	–
– HKD		**300,862**	485,786	**300,862**	485,786
– JPY		**515,174**	1,158,381	**515,174**	1,158,381
– CNH		**–**	1,009,429	**–**	1,009,429
		1,344,360	2,653,596	**1,344,360**	2,653,596
– More than one year					
Denominated in:					
– USD		**5,964,820**	4,894,099	**5,964,820**	4,894,099
– HKD		**1,104,490**	778,704	**1,104,490**	778,704
– JPY		**484,484**	1,111,806	**484,484**	1,111,806
– AUD		**355,282**	363,594	**355,282**	363,594
– CNH		**126,175**	134,980	**126,175**	134,980
– RM		**120,185**	120,209	**120,185**	120,209
		8,155,436	7,403,392	**8,155,436**	7,403,392
Total unsecured borrowings		**21,127,259**	23,120,429	**16,802,922**	15,067,665
Total borrowings		**28,207,145**	28,260,101	**16,802,922**	15,546,427

[1] Included in the borrowings are the amounts received by the Group and the Bank under government financing scheme as part of the government support measure in response to COVID-19 pandemic with a six-year maturity amounting to RM1,775,447,000 (31 December 2024: RM1,722,063,000) to be repaid on 17 June 2026 and RM42,679,000 (31 December 2024: RM41,395,000) to be repaid on 6 October 2026 for the purpose of SME lending at a below market rate. The financing under the government scheme is for lending at concession rates to SMEs and for COVID-19 related relief measures.

The movements in the borrowings are as follows:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
At 1 January	**28,260,101**	31,037,570	**15,546,427**	22,785,069
Issuance/(repayment), net	**1,778,628**	242,858	**2,215,074**	(4,703,215)
Non-cash changes:				
Others	**96,400**	19,489	**43,060**	(11,753)
Exchange differences	**(1,927,984)**	(3,039,816)	**(1,001,639)**	(2,523,674)
At 31 December	**28,207,145**	28,260,101	**16,802,922**	15,546,427

(a) Secured borrowings

The secured borrowings are secured against the following collaterals:

(i) Fiduciary transfer of the subsidiary's receivables with an aggregate amount of not less than 50% to 110% of the total outstanding loan;

(ii) Fiduciary transfer of the subsidiary's receivables with day past due not more than 30 to 90 days; and

(iii) Specific collaterals are as follows:

(1) certain motor vehicles;

(2) fixed deposits; and

(3) financial investments.

29. BORROWINGS (CONT'D.)

(b) Unsecured borrowings

The unsecured borrowings include term loans, commercial papers ("CP"), medium term notes ("MTN") and overdrafts denominated in multi-currencies.

The following are the changes in the borrowings which include bonds, MTN, CP and structured notes issued/redeemed by the Group and the Bank during the financial year ended 31 December 2025:

(1) Issuance/redemption of medium term notes by the Bank

Issuance/Redemption	Currency	Description	Aggregate Nominal Value (in million)
Issuance	HKD	Fixed Rate Notes	913.0
Issuance	HKD	Zero Coupon Notes	375.0
Issuance	USD	Floating Rate Notes	500.0
Redemption	JPY	Fixed Rate Notes	40,600.0
Redemption	CNH	Fixed Rate Notes	1,640.0
Redemption	HKD	Fixed Rate Notes	850.0

(2) Issuance of commercial papers by the Bank

The aggregate nominal value of the commercial papers issued by the Bank and outstanding as at 31 December 2025 are as follows:

Currency	Description	Aggregate Nominal Value (in million)
RM	Zero Coupon Notes	2,750.2
SGD	Fixed Rate Notes*	221.4
USD	Fixed Rate Notes*	7.1

* Extendible money market certificates

(3) Issuance of covered bonds by Maybank Singapore Limited

Currency	Description	Aggregate Nominal Value (in million)
EUR	Fixed Rate Notes	500.0

During the financial year ended 31 December 2025, covered bonds of EUR500 million were issued by Maybank Singapore Limited under its USD10 billion Global Covered Bonds Programme. Covered bond is a senior obligation of Maybank Singapore Limited backed by a cover pool comprising mortgage portfolio that have been ring-fenced via contractual structures in a bankruptcy-remote structured entity, Silver Fern Covered Bonds Pte. Ltd., as disclosed in Note 64(b). The mortgage portfolio continues to be recognised on the Group's balance sheet as Maybank Singapore Limited remains exposed to the risks and rewards associated with them.

(4) Issuance/redemption of bonds by PT Bank Maybank Indonesia Tbk and its subsidiaries

Issuance/Redemption	Currency	Description	Aggregate Nominal Value (in million)
Issuance	IDR	Fixed Rate Notes	2,750,000.0
Redemption	IDR	Fixed Rate Notes	2,545,400.0

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

29. BORROWINGS (CONT'D.)

The following are the changes in the borrowings which include bonds, MTN, CP and structured notes issued/redeemed by the Group and the Bank during the financial year ended 31 December 2025 (cont'd.):

(5) Issuance of commercial papers by Maybank Singapore Limited

The aggregate nominal value of the commercial papers issued by Maybank Singapore Limited and outstanding as at 31 December 2025 are as follows:

Currency	Description	Aggregate Nominal Value (in million)
USD	Zero Coupon Notes	80.2

(6) Issuance of Islamic commercial papers by Maybank Islamic Berhad

The aggregate nominal value of the Islamic commercial papers ("ICP") issued by Maybank Islamic Berhad and outstanding as at 31 December 2025 are as follows:

Currency	Description	Aggregate Nominal Value (in million)
RM	Zero Profit ICP	550.0

(7) Repayment of borrowings by the Bank

The aggregate nominal value of borrowings repaid by the Bank as at 31 December 2025 are as follows:

Currency	Description	Aggregate Nominal Value (in million)
CNY	Long-Term Borrowings	1,000.0
USD	Long-Term Borrowings	107.0

(8) Borrowings/repayment of borrowings by PT Bank Maybank Indonesia Tbk and its subsidiaries

The aggregate nominal value of borrowings issued by PT Bank Maybank Indonesia Tbk and its subsidiaries as at 31 December 2025 are as follows:

Issuance/Redemption	Currency	Description	Aggregate Nominal Value (in million)
Issuance	IDR	Borrowings	6,512,372.1
Issuance	USD	Borrowings	145.0
Repayment	IDR	Borrowings	3,041,972.9
Repayment	USD	Borrowings	377.0

(9) Borrowings/repayment of borrowings by Maybank IBG Holdings Limited and its subsidiaries

The aggregate nominal value of borrowings issued by Maybank IBG Holdings Limited and its subsidiaries as at 31 December 2025 are as follows:

Issuance/Redemption	Currency	Description	Aggregate Nominal Value (in million)
Issuance	VND	Borrowings	954,000.0
Issuance	IDR	Borrowings	845,000.0
Repayment	JPY	Borrowings	36,133.0
Repayment	THB	Borrowings	4,890.4
Repayment	SGD	Borrowings	335.0
Repayment	USD	Borrowings	104.5
Repayment	HKD	Borrowings	8.0

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

30. SUBORDINATED OBLIGATIONS

	Note	Group		Bank	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
RM1,700.0 million Subordinated Sukuk Murabahah due in 2031	(i)	**1,733,820**	1,733,279	**1,733,820**	1,733,279
RM2,300.0 million Subordinated Sukuk Murabahah due in 2030	(ii)	**–**	2,315,336	**–**	2,315,336
RM700.0 million Subordinated Sukuk Murabahah due in 2032	(iii)	**703,648**	703,570	**703,648**	703,570
RM3,000.0 million Subordinated Sukuk Murabahah due in 2031	(iv)	**3,045,786**	3,045,268	**3,043,535**	3,043,017
RM309.0 million Subordinated bonds due in 2031	(v)	**312,051**	312,118	**–**	–
RM3,000.0 million Subordinated Sukuk Murabahah due in 2034	(vi)	**3,048,834**	3,048,237	**3,048,834**	3,048,237
RM750.0 million Subordinated Sukuk Murabahah due in 2037	(vii)	**752,170**	–	**752,170**	–
RM1,800.0 million Subordinated Sukuk Murabahah due in 2037	(viii)	**1,822,643**	–	**1,822,643**	–
RM3,000.0 million Subordinated Sukuk Murabahah due in 2040	(ix)	**3,033,920**	–	**3,033,920**	–
		14,452,872	11,157,808	**14,138,570**	10,843,439

The movements in the subordinated obligations are as follows:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
At 1 January	**11,157,808**	10,145,549	**10,843,439**	9,831,248
Issuance during the financial year	**5,550,000**	3,000,000	**5,550,000**	3,000,000
Redemption during the financial year	**(2,300,000)**	(2,000,000)	**(2,300,000)**	(2,000,000)
Non-cash changes:				
Others	**45,064**	12,259	**45,131**	12,191
At 31 December	**14,452,872**	11,157,808	**14,138,570**	10,843,439

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

30. SUBORDINATED OBLIGATIONS (CONT'D.)

Note	Description	Issue date	First call date	Maturity date	Coupon/ Profit rate (% p.a.)	Nominal value
	Malayan Banking Berhad					
	RM10.0 billion Sukuk Programme					
(i)	RM Subordinated Sukuk Murabahah[2, 3]	31-Jan-19	30-Jan-26	31-Jan-31	4.71	RM1,700.0 million
(ii)	RM Subordinated Sukuk Murabahah[1]	9-Oct-20	9-Oct-25	9-Oct-30	2.90	RM2,300.0 million
(iii)	RM Subordinated Sukuk Murabahah[2, 3]	9-Oct-20	8-Oct-27	8-Oct-32	3.10	RM700.0 million
	RM30.0 billion Sukuk Programme					
(iv)	RM Subordinated Sukuk Murabahah[2, 3]	5-Aug-21	5-Aug-26	5-Aug-31	3.41	RM3,000.0 million
(vi)	RM Subordinated Sukuk Murabahah[2, 3]	31-Jan-24	31-Jan-29	31-Jan-34	4.03	RM3,000.0 million
(vii)	RM Subordinated Sukuk Murabahah[2, 3]	29-May-25	28-May-32	29-May-37	3.84	RM750.0 million
(viii)	RM Subordinated Sukuk Murabahah[2, 3]	28-Aug-25	27-Aug-32	28-Aug-37	3.85	RM1,800.0 million
(ix)	RM Subordinated Sukuk Murabahah[2, 3]	8-Sep-25	7-Sep-35	7-Sep-40	3.92	RM3,000.0 million
	Maybank Ageas Holdings Sdn Bhd					
(v)	RM Subordinated Bonds[2, 3]	7-Oct-21	7-Oct-26	7-Oct-31	3.95	RM309.0 million

[1] This subordinated sukuk was fully redeemed on the first call date.

[2] The Bank may, subject to the prior consent of BNM, redeem these subordinated sukuk/bonds, in whole or in part on the first call date and on each interest/ profit payment date thereafter.

[3] These subordinated sukuk/bonds are Basel III-compliant.

All the subordinated instruments above constitute unsecured liabilities of the Group and of the Bank and are subordinated to the senior indebtedness of the Group and of the Bank in accordance with the respective terms and conditions of their issues.

31. CAPITAL SECURITIES

Description	Issue date	First call date	Maturity date	Group and Bank 2025 RM'000	Group and Bank 2024 RM'000
Malayan Banking Berhad					
RM10.0 billion Sukuk Programme					
RM1,560 million 4.13% AT1 Sukuk Mudharabah[1]	25-Sep-19	25-Sep-26	Perpetual	**1,577,087**	1,576,770
				1,577,087	1,576,770

[1] The Bank may, subject to the prior consent of BNM, redeem the AT1 Sukuk Mudharabah, in whole or in part, on the first call date and on every periodic distribution date thereafter. These AT1 Sukuk Mudharabah are Basel III-compliant.

The movements in capital securities are as follows:

	Group and Bank 2025 RM'000	Group and Bank 2024 RM'000
At 1 January	**1,576,770**	2,829,802
Redemption during the financial year	**–**	(1,240,000)
Non-cash changes:		
Others	**317**	(13,032)
At 31 December	**1,577,087**	1,576,770

32. SHARE CAPITAL, SHARE-BASED PAYMENTS AND SHARES HELD-IN-TRUST

Group and Bank	2025 '000	2024 '000	2025 RM'000	2024 RM'000
Issued and fully paid ordinary shares:				
At 1 January	**12,066,952**	12,060,237	**54,736,195**	54,673,596
Shares issued under the:				
– Maybank Group Employees' Share Grant Plan ("ESGP")	**14,153**	6,715	**146,138**	62,599
At 31 December	**12,081,105**	12,066,952	**54,882,333**	54,736,195

(a) Increase in share capital

During the current financial year ended 31 December 2025, the Bank increased its share capital from RM54,736,195,010 to RM54,882,332,779 via issuance of 14,153,123 new ordinary shares amounting to RM146,137,769 arising from the ESGP, as disclosed in Note 32(b)(i) to the financial statements.

(b) Maybank Group Employees' Share Grant Plan ("ESGP") and Cash-settled Performance-based Employees' Share Grant Plan ("CESGP")

The existing ESGP ("ESGP2018") is governed by the ESGP By-Laws approved by the shareholders at an Extraordinary General Meeting held on 6 April 2017, and was implemented on 14 December 2018 for a period of seven (7) years from the effective date. A total of five (5) awards have been made under the ESGP2018 from 2018 to 2022, of which all the awards have been vested to eligible employees from 2021 to 2025. No new awards under ESGP2018 have been issued to staff since 2023, and the plan has officially expired on 13 December 2025.

The ESGP consists of two (2) types of performance-based awards: Employees' Share Grant Plan ("ESGP Shares") and Cash-settled Performance-based Employees' Share Grant Plan ("CESGP"). The ESGP Shares may be settled by way of issuance and transfer of new Maybank shares or by cash at the absolute discretion of Maybank Group NRC.

The ESGP Shares is a form of Restricted Share Units ("RSU") and the NRC may, from time to time during the ESGP period, make further ESGP grants designated as Supplemental ESGP to a selected group of eligible employees to participate in Supplemental ESGP. This selected group may consist of selected key executives, selected key retentions and selected senior external recruits, and such grants may contain terms and conditions which may vary from earlier ESGP grants made available to selected senior management.

The CESGP is a form of Cash-settled Performance-based Restricted Share Unit Scheme ("CRSU") and the NRC may, from time to time during the ESGP period, make further CESGP grants designated as Supplemental CESGP to a selected group of eligible employees to participate in the ESGP. This selected group may consist of senior management, selected key retentions and selected senior external recruits, and such Supplemental CESGP grants may contain terms and conditions which may vary from earlier CESGP grants made available to selected employees.

Other principal features of the ESGP are as follows:

(1) The employees eligible to participate in the ESGP must be on the payroll of the Participating Maybank Group and have not served a notice of resignation or received a notice of termination.

Participating Maybank Group includes the Bank and its overseas branches and subsidiaries, but excluding dormant subsidiaries.

(2) The entitlement under the ESGP for the Executive Directors, including any persons connected to the directors, is subject to the approval of the shareholders of the Bank in a general meeting.

(3) The existing ESGP ("ESGP2018") is valid for a period of seven (7) years from the effective date. No new awards under ESGP2018 have been issued to staff since 2023, and the plan has officially expired on 13 December 2025.

The number of ESGP Shares and CESGP to be vested is based on a multiple of the initial grant whereby the multiple is determined according to the performance targets and/or conditions. In the event the performance targets and/or conditions are not met by the eligible employees, the ESGP Shares and CESGP shall not be vested to them at the end of the ESGP vesting schedule.

As continuation of the existing employees' share grant plan, a new ESGP plan ("ESGP2023") has been established in 2023 and is valid for a period of ten (10) years from the effective date.

Notwithstanding the above, the Bank may terminate the ESGP at any time during the duration of the scheme subject to consent of Maybank's shareholders at a general meeting, wherein at least a majority of the shareholders, present and voting, vote in favour of termination.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

32. SHARE CAPITAL, SHARE–BASED PAYMENTS AND SHARES HELD–IN–TRUST (CONT'D.)

(b) Maybank Group Employees' Share Grant Plan ("ESGP") and Cash-settled Performance-based Employees' Share Grant Plan ("CESGP") (cont'd.)

(i) Details of ESGP Shares awarded

All the ESGP Shares awarded by the Bank were allocated to eligible senior management of the Group and of the Bank. Details of shares awarded under the ESGP Shares are as follows:

Award date	Fair value RM	Number of ESGP Shares awarded* '000	Percentage of issued share capital %	Number of participants^	Vesting date
ESGP2018					
30.09.2022 – Fifth Grant	6.4241	15,472	0.13	1,046	Up to 3-year cliff vesting from grant date and based on performance metrics and vesting conditions
ESGP2023					
20.09.2023 – First Grant	6.9001	19,582	0.16	1,130	
08.03.2024 – Second Grant – Tranche 1	7.5225	19,508	0.16	1,128	
05.09.2024 – Second Grant – Tranche 2	7.5225	2,272	0.02	178	Up to 3-year cliff vesting from grant date and based on performance metrics and vesting conditions
01.11.2024 – Second Grant – Tranche 3	7.5225	878	0.01	3	
30.04.2025 – Third Grant – Tranche 1	7.6635	19,861	0.16	1,189	
31.10.2025 – Third Grant – Tranche 2	7.6635	2,001	0.02	155	

* The number of ESGP Shares awarded to the eligible employees are based on the assumption that the Group and the eligible employees have met average performance targets. The number of ESGP Shares to be vested to the eligible employees will be conditional upon fulfilling the vesting conditions set by the Group.

^ Participants of ESGP Shares refers to eligible senior management of the Bank, including Executive Director (i.e. President & Group Chief Executive Officer).

32. SHARE CAPITAL, SHARE–BASED PAYMENTS AND SHARES HELD–IN–TRUST (CONT'D.)

(b) Maybank Group Employees' Share Grant Plan ("ESGP") and Cash-settled Performance-based Employees' Share Grant Plan ("CESGP") (cont'd.)

(i) Details of ESGP Shares awarded (cont'd.)

The following table illustrates the number of, and movements in, ESGP Shares during the financial year ended 31 December 2025:

Award date	Outstanding as at 01.01.2025 '000	Movements during the financial year				Outstanding as at 31.12.2025 '000
		Awarded '000	Additional* '000	Vested '000	Forfeited '000	
ESGP2018						
30.09.2022 – Fifth Grant	**14,585**	**–**	**985**	**(13,978)**	**(1,592)**	**–**
ESGP2023						
20.09.2023 – First Grant	**18,956**	**–**	**–**	**–**	**(583)**	**18,373**
08.03.2024 – Second Grant – Tranche 1	**19,095**	**–**	**–**	**–**	**(618)**	**18,477**
05.09.2024 – Second Grant – Tranche 2	**2,226**	**–**	**–**	**–**	**(136)**	**2,090**
01.11.2024 – Second Grant – Tranche 3	**878**	**–**	**–**	**(363)**	**–**	**515**
30.04.2025 – Third Grant – Tranche 1	**–**	**19,861**	**–**	**–**	**(356)**	**19,505**
31.10.2025 – Third Grant – Tranche 2	**–**	**2,001**	**–**	**–**	**–**	**2,001**
	55,740	**21,862**	**985**	**(14,341)**	**(3,285)**	**60,961**

* The final number of shares vested under ESGP Shares is in accordance with the terms and conditions approved by the Board of Directors.

(ii) Fair value of ESGP Shares awarded

The fair value of ESGP Shares awarded was estimated by an external valuer using the Monte-Carlo Simulation model, taking into account the terms and conditions upon which the ESGP Shares were awarded. The fair value of ESGP Shares measured, closing share price at grant date and the assumptions were as follows:

Award date	Fair value of ESGP Shares (RM)	Closing share price at award date (RM)	Expected volatility (%)	Vesting period (years)	Risk-free rate (%)	Expected dividend yield (%)
ESGP2018						
30.09.2022 – Fifth Grant	6.4241	8.58	17.76	3	3.68	6.98
ESGP2023						
20.09.2023 – First Grant	6.9001	8.86	14.68	3	3.43	6.75
08.03.2024 – Second Grant – Tranche 1	7.5225	9.75	11.45	3	3.42	6.62
05.09.2024 – Second Grant – Tranche 2	7.5225	10.80	11.45	3	3.42	6.62
01.11.2024 – Second Grant – Tranche 3	7.5225	10.40	11.45	3	3.42	6.62
30.04.2025 – Third Grant – Tranche 1	7.6635	9.99	12.00	3	3.20	6.62
31.10.2025 – Third Grant – Tranche 2	7.6635	9.87	12.00	3	3.20	6.62

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

32. SHARE CAPITAL, SHARE–BASED PAYMENTS AND SHARES HELD–IN–TRUST (CONT'D.)

(b) Maybank Group Employees' Share Grant Plan ("ESGP") and Cash-settled Performance-based Employees' Share Grant Plan ("CESGP") (cont'd.)

(iii) Details of CESGP awarded

All the CESGP awarded by the Bank were allocated to eligible senior management of the Group and the Bank. Details of the CESGP awarded are as follows:

Award date	Fair value RM	Number of CESGP awarded* '000	Number of participants^	Vesting date
ESGP2018				
30.09.2022 – Fifth Grant	6.4241	6,006	398	Up to 3-year cliff vesting from grant date and based on performance metrics and vesting conditions
ESGP2023				
20.09.2023 – First Grant	6.9001	7,390	442	Up to 3-year cliff vesting from grant date and based on performance metrics and vesting conditions
08.03.2024 – Second Grant – Tranche 1	7.5225	7,574	444	
05.09.2024 – Second Grant – Tranche 2	7.5225	525	44	
30.04.2025 – Third Grant – Tranche 1	7.6635	7,767	467	
31.10.2025 – Third Grant – Tranche 2	7.6635	524	47	

* The number of CESGP awarded to the eligible employees are based on the assumption that the Group and the eligible employees have met average performance targets. The number of CESGP to be vested to the eligible employees will be conditional upon fulfilling the vesting conditions set by the Group.

^ Participants of CESGP refers to eligible senior management of the Bank, including Executive Director (i.e. President & Group Chief Executive Officer).

The following table illustrates the number of, and movements in, CESGP during the financial year ended 31 December 2025:

Award date	Outstanding as at 01.01.2025 '000	Movements during the financial year				Outstanding as at 31.12.2025 '000
		Awarded '000	Additional* '000	Vested '000	Forfeited '000	
ESGP2018						
30.09.2022 – Fifth Grant	**5,266**	**–**	**503**	**(5,295)**	**(474)**	**–**
ESGP2023						
20.09.2023 – First Grant	**7,150**	**–**	**–**	**–**	**(230)**	**6,920**
08.03.2024 – Second Grant – Tranche 1	**7,470**	**–**	**–**	**–**	**(284)**	**7,186**
05.09.2024 – Second Grant – Tranche 2	**481**	**–**	**–**	**–**	**(28)**	**453**
30.04.2025 – Third Grant – Tranche 1	**–**	**7,767**	**–**	**–**	**(128)**	**7,639**
31.10.2025 – Third Grant – Tranche 2	**–**	**524**	**–**	**–**	**–**	**524**
	20,367	**8,291**	**503**	**(5,295)**	**(1,144)**	**22,722**

* The final number of shares vested under the CESGP is in accordance with the terms and conditions approved by the Board of Directors.

32. SHARE CAPITAL, SHARE–BASED PAYMENTS AND SHARES HELD–IN–TRUST (CONT'D.)

(b) Maybank Group Employees' Share Grant Plan ("ESGP") and Cash-settled Performance-based Employees' Share Grant Plan ("CESGP") (cont'd.)

(iv) Fair value of CESGP awarded

The fair value of CESGP awarded was estimated by an external valuer using the Monte-Carlo Simulation model, taking into account the terms and conditions upon which the CESGP were awarded. The fair value of CESGP measured, closing share price at grant date and the assumptions were as follows:

Award date	Fair value of CESGP (RM)	Closing share price at award date (RM)	Expected volatility (%)	Vesting period (years)	Risk-free rate (%)	Expected dividend yield (%)
ESGP2018						
30.09.2022 – Fifth Grant	6.4241	8.58	17.76	3	3.68	6.98
ESGP2023						
20.09.2023 – First Grant	6.9001	8.86	14.68	3	3.43	6.75
08.03.2024 – Second Grant – Tranche 1	7.5225	9.75	11.45	3	3.42	6.62
05.09.2024 – Second Grant – Tranche 2	7.5225	10.80	11.45	3	3.42	6.62
30.04.2025 – Third Grant – Tranche 1	7.6635	9.99	12.00	3	3.20	6.62
31.10.2025 – Third Grant – Tranche 2	7.6635	9.87	12.00	3	3.20	6.62

(c) Shares held-in-trust

Shares held-in-trust records the issuance of new Maybank ordinary shares for vesting of ESGP Shares. The shares issued are held in omnibus account at the Bank before it is vested to eligible employees.

The movements of shares held-in-trust are as follows:

Group and Bank	Number of ordinary shares		Amount	
	2025 '000	2024 '000	2025 RM'000	2024 RM'000
At 1 January	**197**	138	**1,764**	1,203
Issuance of shares in relation to ESGP shares	**14,153**	6,715	**146,138**	63,462
ESGP vested to the eligible employees of the Group and of the Bank	**(14,341)**	(6,656)	**(147,824)**	(62,901)
At 31 December	**9**	197	**78**	1,764

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

33. RETAINED PROFITS

(a) The Group's retained profits

The retained profits of the Group include the non-distributable life funds surplus of an insurance subsidiary as a result of the Bank Negara Malaysia ("BNM") Guidelines on Financial Reporting for Insurers. This non-distributable life funds surplus is only available for distribution to shareholders based on the amount recommended by the Appointed Actuary in accordance with the Financial Services Act 2013.

The movements of distributable and non-distributable retained profits of the Group are as follows:

Group	***Non–Distributable* Life Funds Surplus RM'000**	***Distributable* Retained Profits RM'000**	**Total Retained Profits RM'000**
As at 31 December 2025			
At 1 January 2025	**953,248**	**33,075,110**	**34,028,358**
Profit for the financial year	**136,620**	**10,377,328**	**10,513,948**
Total comprehensive income for the financial year	**136,620**	**10,377,328**	**10,513,948**
Transfer from non-participating ("non-par") surplus upon recommendation by the Appointed Actuary	**(134,166)**	**134,166**	**–**
Reinstatement of Group adjustment on expenses	**(246)**	**246**	**–**
Net gain on disposal of financial investments at fair value through other comprehensive income	**3,944**	**17,540**	**21,484**
Issue of shares pursuant to Maybank Group ESGP	**–**	**(62,230)**	**(62,230)**
Transfer to statutory reserve	**–**	**(14,730)**	**(14,730)**
Transfer from regulatory reserve	**–**	**755,161**	**755,161**
Dividends paid (Note 51)	**–**	**(7,485,756)**	**(7,485,756)**
Total transactions with shareholders/other equity movements	**(130,468)**	**(6,655,603)**	**(6,786,071)**
At 31 December 2025	**959,400**	**36,796,835**	**37,756,235**
As at 31 December 2024			
At 1 January 2024	795,273	30,877,528	31,672,801
Profit for the financial year	175,446	9,913,227	10,088,673
Total comprehensive income for the financial year	175,446	9,913,227	10,088,673
Transfer from non-participating ("non-par") surplus upon recommendation by the Appointed Actuary	(15,569)	15,569	–
Reinstatement of Group adjustment on expenses	(1,475)	1,475	–
Net (loss)/gain on disposal of financial investments at fair value through other comprehensive income	(427)	958	531
Effects of changes in corporate structure within the Group	–	(53,516)	(53,516)
Transfer to statutory reserve	–	(66,576)	(66,576)
Transfer to regulatory reserve	–	(373,384)	(373,384)
Dividends paid (Note 51)	–	(7,240,171)	(7,240,171)
Total transactions with shareholders/other equity movements	(17,471)	(7,715,645)	(7,733,116)
At 31 December 2024	953,248	33,075,110	34,028,358

(b) The Bank's retained profits

The retained profits of the Bank as at 31 December 2025 and 31 December 2024 are distributable profits and may be distributed as dividends under the single-tier system based on the tax regulations in Malaysia.

The movements of retained profits of the Bank are disclosed in the statement of changes in equity.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

34. RESERVES

	Note	Group		Bank	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Non–distributable:					
Statutory reserve	(a)	**517,166**	502,436	**107,451**	98,094
Regulatory reserve	(b)	**2,091,415**	2,846,576	**1,554,671**	2,230,452
Other reserves	(c)	**(454,394)**	(450,832)	**(5,987)**	(12,132)
FVOCI reserve*	2.3(v)(b)(2)	**3,280,958**	2,731,389	**1,594,548**	1,763,015
Exchange fluctuation reserve	2.3(xviii)(c)	**(4,753,996)**	(532,658)	**1,248,162**	2,790,276
ESGP reserve	2.3(xxv)(e)	**124,988**	110,928	**124,988**	110,928
		806,137	5,207,839	**4,623,833**	6,980,633

* Included net gain through other comprehensive income for the Group of RM15.6 million (2024: RM136.5 million) and for the Bank of RM15.6 million (2024: RM136.6 million) arising from implementation of GIMF in stages as disclosed in Note 53(a).

(a) The statutory reserves are maintained in compliance with the requirements of certain Central Banks of the respective countries in which the Group and the Bank operate and are not distributable as cash dividends.

(b) Regulatory reserve is maintained in aggregate, loss allowance for non-credit impaired exposures (commonly known as Stage 1 and Stage 2 provisions) that has been assessed and recognised in accordance with MFRS Accounting Standards and which has been transferred from the retained profits, in accordance with BNM's Financial Reporting Policy document.

(c) Other reserves

Group	Capital Reserve (Note 34(c)(i)) RM'000	Revaluation Reserve (Note 34(c)(ii)) RM'000	Defined Benefit Reserve RM'000	Hedge Reserve RM'000	Insurance Finance Reserve RM'000	Total Other Reserves RM'000
As at 31 December 2025						
At 1 January 2025	**12,837**	**(2,688)**	**115,055**	**(379,874)**	**(196,162)**	**(450,832)**
Other comprehensive (loss)/income	**(526)**	**–**	**28,178**	**6,145**	**(37,359)**	**(3,562)**
Defined benefit plan actuarial gain	**–**	**–**	**28,178**	**–**	**–**	**28,178**
Cost of hedging for fair value hedge	**–**	**–**	**–**	**6,145**	**–**	**6,145**
Net loss on capital reserve	**(526)**	**–**	**–**	**–**	**–**	**(526)**
Net insurance finance/investment result	**–**	**–**	**–**	**–**	**(37,359)**	**(37,359)**
Total comprehensive (loss)/income for the financial year	**(526)**	**–**	**28,178**	**6,145**	**(37,359)**	**(3,562)**
At 31 December 2025	**12,311**	**(2,688)**	**143,233**	**(373,729)**	**(233,521)**	**(454,394)**
As at 31 December 2024						
At 1 January 2024	14,247	(2,688)	101,013	(326,812)	(121,802)	(336,042)
Other comprehensive (loss)/income	(1,410)	–	14,042	(53,062)	(74,360)	(114,790)
Defined benefit plan actuarial gain	–	–	14,042	–	–	14,042
Cost of hedging for fair value hedge	–	–	–	(53,062)	–	(53,062)
Net loss on capital reserve	(1,410)	–	–	–	–	(1,410)
Net insurance finance/investment result	–	–	–	–	(74,360)	(74,360)
Total comprehensive (loss)/income for the financial year	(1,410)	–	14,042	(53,062)	(74,360)	(114,790)
At 31 December 2024	12,837	(2,688)	115,055	(379,874)	(196,162)	(450,832)

(i) The capital reserve of the Group arose from the corporate exercises undertaken by certain subsidiaries in previous years.
(ii) Revaluation reserve relates to the transfer of self-occupied properties to investment properties subsequent to the change on occupation intention.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

35. OPERATING REVENUE

The Group operating revenue comprises of all types of revenue derived from the business of banking, income from Islamic Banking Scheme ("IBS") operations, finance, investment banking, general and life insurance (including takaful), stockbroking, leasing and factoring, trustee and nominee services, asset management and venture capital but excluding all transactions between related companies.

The Bank operating revenue comprises of gross interest income, gross fee and gross commission income, investment income, gross dividends and other income derived from banking and finance operations.

	Note	Group		Bank	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Interest income	36	**29,351,194**	32,769,873	**20,200,643**	22,887,904
Income derived from investment of depositors' funds	63(b)	**13,783,333**	13,111,772	**–**	–
Income derived from investment of investment account funds	63(b)	**1,463,263**	1,327,575	**–**	–
Income derived from investment of Islamic Banking Funds	63(b)	**889,621**	744,905	**–**	–
Profit share income from investment accounts	63(b)	**1,450**	300	**–**	–
Insurance/takaful service revenue	38	**9,070,253**	8,199,896	**–**	–
Dividends from subsidiaries and associates	39	**–**	–	**5,537,700**	4,191,743
Other operating income	40	**9,019,554**	9,066,000	**5,904,972**	5,796,183
Excluding non–operating revenue which comprises the following items:					
– Interest expense on derivatives*		**2,677,091**	3,747,058	**2,660,736**	3,742,174
– Direct costs on brokerage and commission income		**225,531**	200,546	**–**	–
– Excess of capital repayment of a subsidiary	40	**–**	–	**(1,853)**	–
– Net (gain)/loss on change in structure/disposal of deemed controlled structured entities	40	**(4,713)**	2,166	**(1,667)**	(3,140)
– Net gain on liquidation of subsidiaries	40	**–**	(3,096)	**–**	–
– Net loss/(gain) on disposal of interest in an associate	40	**267**	(111,443)	**–**	–
– Rental income	40	**(49,585)**	(51,042)	**(63,832)**	(65,538)
– Gain on disposal of property, plant and equipment	40	**(10,124)**	(4,608)	**(8,230)**	(689)
– Fair value adjustments on investment properties	40	**(768)**	(18,395)	**–**	–
– Other non–operating income	40	**(47,135)**	(38,722)	**(20,239)**	(19,805)
		11,810,118	12,788,464	**8,469,887**	9,449,185
		66,369,232	68,942,785	**34,208,230**	36,528,832

* Interest expense on derivatives forms part of the "realised gain on derivatives" as disclosed in Note 40.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

36. INTEREST INCOME

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Loans, advances and financing	**19,831,693**	22,488,169	**12,500,508**	14,757,768
Money at call and deposits and placements with financial institutions	**1,274,450**	1,470,346	**1,919,227**	1,927,748
Financial assets purchased under resale agreements	**475,415**	819,394	**517,598**	863,311
Financial assets at FVTPL	**1,032,924**	1,083,122	**213,549**	291,613
Financial investments at FVOCI	**4,241,355**	4,678,616	**2,676,546**	2,989,454
Financial investments at amortised cost	**2,273,090**	2,261,405	**1,849,174**	1,755,764
	29,128,927	32,801,052	**19,676,602**	22,585,658
Accretion of discounts/(amortisation of premiums), net	**222,267**	(31,179)	**524,041**	302,246
	29,351,194	32,769,873	**20,200,643**	22,887,904

Included in interest income for the current financial year was interest on impaired assets amounting to approximately RM251,428,000 (2024: RM254,926,000) for the Group and RM95,431,000 (2024: RM103,734,000) for the Bank.

The following table provides information on financial assets that were modified while they had a loss allowance measured at an amount equal to lifetime ECL:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Financial assets modified during the financial year				
Amortised cost before modification	**1,895,377**	1,090,014	**390,833**	276,815
Modification gain	**25,482**	13,882	**4,820**	3,192
Amortised cost after modification	**1,920,859**	1,103,896	**395,653**	280,007
Financial assets modified since initial recognition				
Gross carrying amount at 31 December of financial assets for which loss allowance has changed to 12-month measurement during the financial year	**372,945**	430,507	**143,273**	207,615

37. INTEREST EXPENSE

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Deposits and placements from financial institutions	**1,743,324**	2,360,688	**2,792,815**	3,047,197
Deposits from customers	**11,046,060**	13,149,716	**6,928,907**	8,795,669
Obligations on financial assets sold under repurchase agreements	**871,444**	1,128,105	**1,196,549**	1,710,705
Borrowings	**1,029,272**	1,548,666	**572,713**	862,420
Subordinated obligations	**529,609**	470,103	**456,145**	391,902
Capital securities	**64,745**	102,304	**64,745**	102,304
Structured deposits	**52,513**	39,915	**40,715**	30,890
Financial liabilities at fair value through profit or loss	**857,215**	1,162,953	**765,727**	928,292
	16,194,182	19,962,450	**12,818,316**	15,869,379

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

38. INSURANCE/TAKAFUL SERVICE RESULT

Group	Note	2025 RM'000	2024 RM'000
Insurance/takaful revenue	(i)	**9,070,253**	8,199,896
Insurance/takaful service expenses	(ii)	**(5,924,196)**	(6,355,012)
Net expenses from reinsurance contracts/retakaful certificates held	(iii)	**(1,390,309)**	(560,371)
		1,755,748	1,284,513
(i) Insurance/takaful revenue			
Contracts/certificates not measured under the PAA			
Amounts relating to changes in liabilities for remaining coverage			
– CSM recognised for service provided		**292,322**	254,543
– Changes in risk adjustment for non–financial risk		**118,578**	125,283
– Expected incurred claims and other insurance service expenses		**1,458,337**	1,313,238
Allocation of the portion of premiums/contributions that relates to the recovery of Insurance/takaful acquisition		**247,838**	244,977
Experience adjustments for premium receipts		**228,071**	65,243
		2,345,146	2,003,284
Contracts/certificates measured under the PAA			
Release of premiums		**6,725,107**	6,196,612
Total insurance/takaful revenue		**9,070,253**	8,199,896
(ii) Insurance/takaful service expenses			
Incurred claims and other directly attributable expenses[1]		**(5,885,961)**	(4,373,163)
Changes that relate to the past service–adjustment to the Liabilities for Incurred Claims ("LIC")		**914,456**	(1,198,470)
Changes in estimates that result in reversal on onerous contracts		**52,959**	164,552
Insurance/takaful acquisition cash flow amortisation		**(1,005,652)**	(947,840)
Others		**2**	(91)
Total insurance/takaful service expenses		**(5,924,196)**	(6,355,012)

[1] Included in incurred claims and other directly attributable expenses are depreciation of property, plant and equipment of RM11,682,000 (2024: RM12,536,000), depreciation of right-of-use assets of RM10,083,000 (2024: RM8,878,000), amortisation of intangible assets of RM18,172,000 (2024: RM19,714,000), lease finance cost of RM2,028,000 (2024: RM255,000) and ESGP expenses of RM5,634,000 (2024: RM4,649,000) for the Group during the financial year ended 31 December 2025.

38. INSURANCE/TAKAFUL SERVICE RESULT (CONT'D.)

Group	Note	2025 RM'000	2024 RM'000
(iii) Net expenses from reinsurance contracts/retakaful certificates held:			
Contracts/certificates not measured under PAA			
Amounts relating to changes in assets for remaining coverage			
– CSM recognised for service provided		**(27,799)**	(11,569)
– Changes in risk adjustment for non–financial risk		**(7,580)**	(6,792)
– Expected incurred claims recovery and other reinsurance service expenses		**(207,138)**	(114,782)
– Adjustments to incurred claims		**24,914**	1,004
– Claims recovered		**96,763**	43,531
		(120,840)	(88,608)
Contracts/certificates measured under PAA			
Effect of changes in non-performance risk reinsurer/retakaful operators		**(1)**	22
Changes that relate to future services		**(156,185)**	(132,097)
Adjustments to incurred claims		**(1,530,981)**	(636,803)
Other directly attributable (expenses)/income		**(1,579)**	41,935
Claims recovered		**433,721**	267,422
Other changes		**(14,444)**	(12,242)
		(1,269,469)	(471,763)
Total net expenses from reinsurance contracts/retakaful certificates held		**(1,390,309)**	(560,371)

39. DIVIDENDS FROM SUBSIDIARIES AND ASSOCIATES

Bank	2025 RM'000	2024 RM'000
Gross dividend income from:		
Subsidiaries	**5,536,040**	4,191,743
Associates	**1,660**	–
	5,537,700	4,191,743

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

40. OTHER OPERATING INCOME

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Fee income:				
Commission	**1,358,550**	1,354,945	**1,027,573**	997,856
Service charges and fees	**1,965,663**	1,835,932	**967,253**	992,597
Underwriting fees	**74,437**	53,199	**12,361**	7,737
Brokerage income	**310,183**	332,727	**1,327**	1,592
Fees on loans, advances and financing	**285,986**	253,413	**191,339**	195,229
	3,994,819	3,830,216	**2,199,853**	2,195,011
Investment income:				
Net gain on disposal of financial assets at FVTPL				
– Designated upon initial recognition	**11,168**	16,106	**–**	–
– Financial investments at FVTPL	**472,493**	1,096,771	**467,648**	704,027
Net gain on disposal of financial investments at FVOCI	**1,056,773**	844,107	**1,054,077**	896,635
Net gain on redemption of financial investments at amortised cost	**1,424**	–	**1,424**	–
Excess of capital repayment of a subsidiary	**–**	–	**1,853**	–
Net gain/(loss) on change in structure/disposal of deemed controlled structured entities	**4,713**	(2,166)	**1,667**	3,140
Net gain on liquidation of subsidiaries	**–**	3,096	**–**	–
Net (loss)/gain on disposal of interest in associates	**(267)**	111,443	**–**	–
	1,546,304	2,069,357	**1,526,669**	1,603,802
Gross dividend income from:				
Financial investments at FVOCI				
– Quoted in Malaysia	**54,313**	55,275	**–**	–
– Quoted outside Malaysia	**9,869**	10,244	**–**	–
– Unquoted in Malaysia	**2,777**	2,533	**2,757**	2,513
– Unquoted outside Malaysia	**1,707**	1,675	**258**	–
	68,666	69,727	**3,015**	2,513
Financial assets at FVTPL				
– Quoted in Malaysia	**106,539**	95,733	**4,561**	481
– Quoted outside Malaysia	**52,999**	85,648	**959**	807
– Unquoted in Malaysia	**11,587**	6,631	**4,256**	4,256
– Unquoted outside Malaysia	**99,767**	36,773	**–**	–
	270,892	224,785	**9,776**	5,544
	339,558	294,512	**12,791**	8,057
Unrealised gain/(loss) on revaluation of:				
Financial assets designated upon initial recognition at FVTPL	**202,617**	124,706	**–**	–
Financial investments at FVTPL	**1,094,324**	957,393	**920,766**	256,697
Financial liabilities at FVTPL	**(66,401)**	1,874,273	**(66,401)**	1,874,273
Derivatives	**(1,172,924)**	(1,940,256)	**(1,283,442)**	(1,954,550)
	57,616	1,016,116	**(429,077)**	176,420

40. OTHER OPERATING INCOME (CONT'D.)

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Other income:				
Foreign exchange gain, net	**1,653,364**	1,355,807	**1,433,812**	1,500,235
Realised gain on derivatives	**1,188,403**	182,481	**880,470**	48,670
Rental income	**49,585**	51,042	**63,832**	65,538
Gain on disposal of property, plant and equipment	**10,124**	4,608	**8,230**	689
Gain on disposal of foreclosed properties	**16,411**	4,737	**–**	5,877
Fair value adjustments on investment properties (Note 16)	**768**	18,395	**–**	–
Other operating income	**115,467**	200,007	**188,153**	172,079
Other non–operating income	**47,135**	38,722	**20,239**	19,805
	3,081,257	1,855,799	**2,594,736**	1,812,893
Total other operating income	**9,019,554**	9,066,000	**5,904,972**	5,796,183

41. NET INSURANCE/TAKAFUL INVESTMENT/FINANCE RESULT

Group	Note	2025 RM'000	2024 RM'000
Finance expenses from insurance contracts/takaful certificates issued	(i)	**2,351,952**	2,094,148
Finance income from reinsurance contracts/retakaful certificates held	(ii)	**(145,866)**	(162,319)
		2,206,086	1,931,829
(i) Finance expenses from insurance contracts/takaful certificates issued			
Changes in fair value of underlying assets of contracts measured under the VFA		**1,524,765**	1,425,959
Interest accreted using current financial assumptions		**195,350**	223,106
Effect of changes in interest/profit rates and other financial assumptions		**631,461**	416,247
Effect of measuring changes in estimates at current rates and adjusting the CSM at rates on initial recognition		**376**	28,836
Total finance expenses from insurance contracts/takaful certificates issued		**2,351,952**	2,094,148
Represented by:			
Amount recognised in income statements		**2,351,952**	2,094,148
		2,351,952	2,094,148
(ii) Finance income from reinsurance contracts/retakaful certificates held			
Interest accreted using current financial assumptions		**(46,021)**	(38,762)
Effect of changes in interest/profit rates and other financial assumptions		**23,502**	21,002
Effect of measuring changes in estimates at current rates and adjusting the CSM at rates on initial recognition		**(39,101)**	(424)
Effect of changes in non-performance risk reinsurer/retakaful operators		**(84,246)**	(144,135)
Total finance income from reinsurance contracts/retakaful certificates held		**(145,866)**	(162,319)
Represented by:			
Amount recognised in income statements		**(145,866)**	(162,319)
		(145,866)	(162,319)

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

42. OVERHEAD EXPENSES

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Personnel expenses				
Salaries, allowances and bonuses	**6,493,693**	6,356,133	**3,529,563**	3,549,152
Social security cost	**60,534**	57,682	**33,527**	30,662
Retirement cost	**798,006**	742,473	**537,088**	526,198
ESGP expenses[1]	**178,185**	92,852	**100,424**	56,676
Other staff related expenses	**1,203,668**	1,347,156	**652,332**	788,663
	8,734,086	8,596,296	**4,852,934**	4,951,351
Establishment costs				
Depreciation of property, plant and equipment (Note 20)	**300,510**	321,975	**70,412**	72,021
Depreciation of right–of–use assets (Note 21)	**493,306**	506,376	**114,406**	114,402
Amortisation of computer software (Note 22)	**251,116**	250,131	**83,514**	76,315
Rental of leasehold land and premises	**16,704**	17,211	**7,596**	7,523
Repairs and maintenance of property, plant and equipment	**191,734**	190,082	**116,896**	110,301
Information technology expenses	**1,126,809**	1,008,751	**1,740,873**	1,530,557
Finance cost on lease liabilities (Note 26(iv))	**90,115**	65,459	**48,885**	16,595
Others	**15,515**	19,564	**14,984**	16,153
	2,485,809	2,379,549	**2,197,566**	1,943,867
Marketing expenses				
Advertisement and publicity	**230,497**	271,797	**123,386**	141,265
Others	**411,380**	361,557	**293,400**	250,654
	641,877	633,354	**416,786**	391,919
Administration and general expenses				
Fees and brokerage	**1,517,207**	1,352,040	**1,030,666**	909,486
Administrative expenses	**533,351**	558,895	**238,607**	239,257
General expenses	**874,061**	913,453	**364,284**	386,478
Others	**52,808**	26,648	**31,906**	9,497
	2,977,427	2,851,036	**1,665,463**	1,544,718
Overhead expenses allocated to subsidiaries	**–**	–	**(1,995,745)**	(1,938,361)
Total overhead expenses	**14,839,199**	14,460,235	**7,137,004**	6,893,494
Cost to income ratio[2]	**48.8%**	48.9%	**37.9%**	40.5%

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

42. OVERHEAD EXPENSES (CONT'D.)

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Included in overhead expenses are:				
Directors' fees and remuneration (Note 43)	**21,622**	27,812	**15,757**	21,766
Rental of equipment	**64,327**	52,323	**2,592**	2,188
Direct operating expenses of investment properties	**5,365**	5,405	**–**	–
Auditors' remuneration:				
Statutory audit:	**31,030**	31,227	**12,273**	12,510
– Ernst & Young PLT	**12,054**	13,528	**7,374**	7,689
– Other member firms of Ernst & Young Global	**18,802**	17,685	**4,738**	4,821
– Other auditors[3]	**174**	14	**161**	–
Assurance and compliance related services:				
– Reporting accountants, review engagements and regulatory–related services	**8,886**	8,068	**5,156**	4,099
Non–audit services:				
– Other services	**650**	2,031	**600**	1,650
Employee benefit expenses (Note 26(i)(b))	**67,103**	114,513	**–**	–
Property, plant and equipment written off (Note 20)	**4,564**	78	**144**	3
Intangible assets written off (Note 22)	**1,818**	500	**1,455**	500
Expenses of short–term leases	**6,926**	8,751	**2,142**	2,830
Expenses of low–value assets	**34,483**	36,129	**16,889**	16,549

[1] ESGP expenses comprise cash-settled and equity-settled share-based payment transactions. The amount arising from equity-settled share-based payment transactions for the Group and the Bank are approximately RM120,165,000 and RM78,575,000 (2024: RM71,708,000 and RM44,960,000), respectively.

[2] Cost to income ratio is computed using total overhead expenses over the net operating income as disclosed on the face of income statements.

[3] Relates to fees paid and payable to accounting firms other than Ernst & Young PLT and other members of Ernst & Young Global.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

43. DIRECTORS' FEES AND REMUNERATION

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Directors of the Bank:				
Executive director:				
Salary	**3,440**	3,120	**3,440**	3,120
Bonus	**7,830**	6,697	**7,830**	6,697
Retirement cost	**555**	1,574	**555**	1,574
ESGP expenses	**2,591**	1,591	**2,591**	1,591
Other remuneration	**432**	328	**432**	328
Estimated monetary value of benefits-in-kind	**107**	84	**107**	84
	14,955	13,394	**14,955**	13,394
Non-executive directors:				
Fees	**10,671**	10,785	**5,586**	5,505
Other remuneration	**4,046**	3,717	**3,194**	2,951
Estimated monetary value of benefits-in-kind	**671**	571	**575**	334
	15,388	15,073	**9,355**	8,790
Sub-total for directors of the Bank	**30,342**	28,467	**24,310**	22,184
Indemnity given to or insurance effected for any directors	**1,579**	1,539	**1,493**	1,445
Total (including benefits-in-kind and indemnity given to or insurance effected for any directors) (Note 48(a)(iii))	**31,921**	30,006	**25,803**	23,629
Total (excluding benefits-in-kind and indemnity given to or insurance effected for any directors) (Note 42)	**29,565**	27,812	**23,628**	21,766

The Bank maintained on group basis, a Directors' and Officers' Liability Insurance against any legal liability incurred by the Directors in the discharge of their duties while holding office for the Bank. The Directors shall not be indemnified by such insurance for any deliberate negligence, fraud, intentional breach of law or breach of trust proven against them.

43. DIRECTORS' FEES AND REMUNERATION (CONT'D.)

The remuneration attributable to the President & Group Chief Executive Officer of the Bank including benefits-in-kind during the financial year amounted to RM14,955,000 (2024: RM13,394,000).

The total remuneration (including benefits-in-kind) of the directors of the Group and of the Bank are as follows:

	Group				Bank			
2025	Fees RM'000	Salary and/ or other emoluments* RM'000	Benefits–in–kind RM'000	Total RM'000	Fees RM'000	Salary and/ or other emoluments* RM'000	Benefits–in–kind RM'000	Total RM'000
Executive director:								
Dato' Sri Khairussaleh bin Ramli	–	14,848	107	14,955	–	14,848	107	14,955
Non-executive directors:								
Tan Sri Dato' Sri Ir. Zamzamzairani bin Mohd Isa	742	585	157	1,484	742	585	157	1,484
Fauziah binti Hisham	1,273	339	137	1,749	537	261	116	914
Che Zakiah binti Che Din	1,223	389	26	1,638	435	207	24	666
Shariffuddin bin Khalid	932	408	21	1,361	570	333	21	924
Dato' Zulkiflee Abbas bin Abdul Hamid	1,454	333	60	1,847	520	243	24	787
Shirley Goh	984	388	81	1,453	520	261	81	862
Datuk Yee Yang Chein	887	382	4	1,273	535	297	4	836
Chiam Sou Hong	644	289	56	989	485	289	56	830
Vittorio Furlan	528	293	34	855	528	293	34	855
Dr. Hasnita binti Dato' Hashim[1]	952	227	40	1,219	260	153	4	417
Anthony Brent Elam[2]	1,052	413	54	1,519	454	272	54	780
	10,671	4,046	670	15,387	5,586	3,194	575	9,355
Total directors' remuneration	10,671	18,894	777	30,342	5,586	18,042	682	24,310

* Include bonus, retirement cost, ESGP expenses, allowances, social allowances, leave passage and reimbursements.
[1] Retired on 30 June 2025.
[2] Retired on 14 November 2025.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

43. DIRECTORS' FEES AND REMUNERATION (CONT'D.)

The total remuneration (including benefits–in–kind) of the directors of the Group and of the Bank are as follows (cont'd.):

	Group				Bank			
2024	**Fees RM'000**	**Salary and/ or other emoluments* RM'000**	**Benefits–in–kind RM'000**	**Total RM'000**	**Fees RM'000**	**Salary and/ or other emoluments* RM'000**	**Benefits–in–kind RM'000**	**Total RM'000**
Executive director:								
Dato' Sri Khairussaleh bin Ramli	–	13,310	84	13,394	–	13,310	84	13,394
Non–executive directors:								
Tan Sri Dato' Sri Ir. Zamzamzairani bin Mohd Isa	747	605	125	1,477	747	605	125	1,477
Dr. Hasnita binti Dato' Hashim	1,188	278	46	1,512	501	196	11	708
Anthony Brent Elam	1,091	366	55	1,512	497	238	55	790
Che Zakiah binti Che Din	1,125	348	29	1,502	461	222	18	701
Fauziah binti Hisham	1,268	351	29	1,648	533	274	19	826
Shariffuddin bin Khalid	949	377	11	1,337	577	306	11	894
Dato' Zulkiflee Abbas bin Abdul Hamid	1,499	341	57	1,897	519	256	23	798
Shirley Goh	1,003	373	23	1,399	529	248	23	800
Datuk Yee Yang Chein	629	276	3	908	504	253	3	760
Chiam Sou Hong[1]	186	111	8	305	186	111	8	305
Vittorio Furlan[1]	186	81	–	267	186	81	–	267
Edwin Gerungan[2]	914	210	185	1,309	265	161	38	464
	10,785	3,717	571	15,073	5,505	2,951	334	8,790
Total directors' remuneration	10,785	17,027	655	28,467	5,505	16,261	418	22,184

* Include bonus, retirement cost, ESGP expenses, allowances, social allowances, leave passage and reimbursements.

[1] Appointed on 5 August 2024.

[2] Retired on 23 August 2024.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

44. ALLOWANCES FOR/(WRITEBACK OF) IMPAIRMENT LOSSES ON LOANS, ADVANCES, FINANCING AND OTHER DEBTS, NET

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Allowances for/(writeback of) impairment losses on loans, advances and financing:				
– Stage 1 – 12–month ECL, net	**5,308**	(260,341)	**(74,322)**	(53,022)
– Stage 2 – Lifetime ECL not credit impaired, net	**492,239**	609,235	**495,032**	(42,457)
– Stage 3 – Lifetime ECL credit impaired, net	**776,813**	2,278,927	**(329,918)**	791,024
	1,274,360	2,627,821	**90,792**	695,545
Bad debts and financing:				
– Written off	**128,460**	94,538	**75,753**	64,099
– Recovered	**(854,450)**	(1,054,551)	**(506,990)**	(612,435)
	(725,990)	(960,013)	**(431,237)**	(548,336)
Allowances for impairment losses on other debts	**13,766**	2,737	**4,833**	1,082
	562,136	1,670,545	**(335,612)**	148,291

45. ALLOWANCES FOR/(WRITEBACK OF) IMPAIRMENT LOSSES ON FINANCIAL INVESTMENTS, NET

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Financial investments at FVOCI				
– Stage 1 – 12–month ECL, net	**2,946**	24,045	**(4,361)**	1,688
– Stage 2 – Lifetime ECL not credit impaired, net	**293,018**	1,578	**(3,762)**	1,785
– Stage 3 – Lifetime ECL credit impaired, net	**–**	(137,718)	**–**	(138,965)
	295,964	(112,095)	**(8,123)**	(135,492)
Financial investments at amortised cost				
– Stage 1 – 12–month ECL, net	**14,987**	(32,339)	**8,479**	(10,925)
– Stage 2 – Lifetime ECL not credit impaired, net	**49,821**	14,385	**2,049**	10,285
– Stage 3 – Lifetime ECL credit impaired, net	**486,470**	87,696	**–**	–
	551,278	69,742	**10,528**	(640)
	847,242	(42,353)	**2,405**	(136,132)

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

46. ALLOWANCES FOR/(WRITEBACK OF) IMPAIRMENT LOSSES ON OTHER ASSETS AND INVESTMENT IN ASSOCIATE/SUBSIDIARY, NET

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
(a) Other financial assets				
Cash and short–term funds				
– Stage 1 – 12–month ECL, net	**5,658**	(4,191)	**441**	(1,137)
	5,658	(4,191)	**441**	(1,137)
Deposit and placements with financial institutions				
– Stage 1 – 12–month ECL, net	**614**	(1,032)	**2,179**	6,406
	614	(1,032)	**2,179**	6,406
Financial assets purchased under resale agreements				
– Stage 1 – 12–month ECL, net	**(100)**	(63)	**(617)**	698
	(100)	(63)	**(617)**	698
Insurance/reinsurance contract/takaful/retakaful certificate assets				
– Stage 1 – 12–month ECL, net	**(633)**	(4,442)	**–**	–
	(633)	(4,442)	**–**	–
Other assets				
– Stage 1 – 12–month ECL, net	**7,547**	7,424	**–**	–
– Stage 2 – Lifetime ECL not credit impaired, net	**225**	(3)	**–**	–
– Stage 3 – Lifetime ECL credit impaired, net	**1,428**	9,019	**305**	6,145
	9,200	16,440	**305**	6,145
Statutory deposit with central banks				
– Stage 1 – 12–month ECL, net	**(1,051)**	104	**–**	–
	(1,051)	104	**–**	–
	13,688	6,816	**2,308**	12,112
(b) Other non-financial assets				
Impairment on other non–financial assets	**57,710**	–	**10,975**	–
(c) Interest in an associate				
Impairment on interest in an associate	**–**	12,000	**–**	–
(d) Investment in a subsidiary				
Impairment on investment in a subsidiary	**–**	–	**335,000**	–
	71,398	18,816	**348,283**	12,112

47. TAXATION AND ZAKAT

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Malaysian income tax	**2,864,344**	2,867,363	**1,479,875**	1,486,170
Foreign income tax	**587,754**	674,849	**175,357**	309,242
Less: Double taxation relief	**(154,609)**	(263,164)	**(154,609)**	(263,164)
	3,297,489	3,279,048	**1,500,623**	1,532,248
Under/(over) provision in respect of prior year:				
Malaysian income tax	**93,444**	(45,165)	**70,456**	(44,130)
Foreign income tax	**(3,317)**	(20,523)	**–**	–
Pillar 2 Global Minimum Tax top-up charge	**860**	–	**860**	–
	3,388,476	3,213,360	**1,571,939**	1,488,118
Deferred tax (Note 28):				
Relating to origination and reversal of temporary differences	**2,685**	(117,656)	**(15,993)**	(56,649)
Tax expense for the financial year	**3,391,161**	3,095,704	**1,555,946**	1,431,469
Zakat	**111,285**	99,475	**5,138**	3,377
	3,502,446	3,195,179	**1,561,084**	1,434,846

The Group's and the Bank's effective tax rate for the financial year ended 31 December 2025 was lower than the statutory tax rate due to the effects of lower tax rates in other tax jurisdictions and certain income not subject to tax.

Domestic income tax for the Group and the Bank are calculated at the Malaysian statutory tax rate of 24% of the estimated chargeable profit for the financial year. Taxation for foreign entities in other jurisdictions are calculated at the rates prevailing in the respective jurisdictions.

A reconciliation of income tax expense applicable to profit before taxation at the statutory income tax rate to income tax expense at the effective income tax rate of the Group and of the Bank are as follows:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Profit before taxation	**14,333,794**	13,701,565	**11,672,919**	10,088,686
Taxation at Malaysian statutory tax rate of 24% (2024: 24%)	**3,440,110**	3,288,376	**2,801,500**	2,421,285
Different tax rates in other countries	**(300,199)**	(191,759)	**(121,513)**	(62,250)
Income not subject to tax	**(247,679)**	(84,977)	**(1,465,631)**	(1,037,676)
Expenses not deductible for tax purposes	**502,106**	239,444	**270,274**	154,240
Utilisation of previously unused tax losses and unabsorbed capital allowances	**(28,339)**	(32,980)	**–**	–
Under/(over) provision in income tax expense in prior year	**90,127**	(65,688)	**70,456**	(44,130)
Pillar 2 Global Minimum Tax top-up charge	**860**	–	**860**	–
Share of profits in associates and joint venture	**(65,825)**	(56,712)	**–**	–
Tax expense for the financial year	**3,391,161**	3,095,704	**1,555,946**	1,431,469

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

48. SIGNIFICANT RELATED PARTY TRANSACTIONS AND BALANCES

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Bank has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Group or the Bank and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

Related parties also include key management personnel defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Group and of the Bank either directly or indirectly. The key management personnel includes all the directors and chief executive officers of the Group and of the Bank.

The Group and the Bank have related party relationships with their substantial shareholders, subsidiaries, associates and key management personnel.

Related party transactions have been entered into in the normal course of business under normal trade terms. The significant related party transactions and balances of the Group and of the Bank are as follows:

(a) Significant related party transactions

(i) Subsidiaries

	Note	Bank 2025 RM'000	Bank 2024 RM'000
Income:			
Interest on deposits		**1,536,188**	1,455,185
Dividend income	39	**5,536,040**	4,191,743
Other income		**344,556**	730,332
		7,416,784	6,377,260
Expenditure:			
Interest on deposits		**1,596,563**	857,217
Other expenses	(A)	**1,493,092**	1,347,300
		3,089,655	2,204,517
Others:			
ESGP expenses charged to subsidiaries		**41,590**	26,748
Overhead expenses allocated to subsidiaries	42	**1,995,745**	1,938,361
		2,037,335	1,965,109

48. SIGNIFICANT RELATED PARTY TRANSACTIONS AND BALANCES (CONT'D.)

Related party transactions have been entered into in the normal course of business under normal trade terms. The significant related party transactions and balances of the Group and of the Bank are as follows (cont'd.):

(a) Significant related party transactions (cont'd.)

(i) Subsidiaries (cont'd.)

(A) Other expenses analysed by type of intercompany charges and by geographical locations are as follows:

	Malaysia RM'000	Singapore RM'000	Total RM'000
2025			
Information technology expenses	**1,422,015**	**–**	**1,422,015**
Insurance premiums	**41,621**	**–**	**41,621**
Research fees and others	**10,119**	**19,337**	**29,456**
	1,473,755	**19,337**	**1,493,092**
2024			
Information technology expenses	1,193,707	–	1,193,707
Insurance premiums	42,796	–	42,796
Research fees and others	76,694	34,103	110,797
	1,313,197	34,103	1,347,300

Transactions between the Bank and its subsidiaries are eliminated on consolidation at Group level.

(ii) Associates

	Bank	
	2025 RM'000	2024 RM'000
Income:		
Dividend income (Note 39)	**1,660**	–

There were no significant transactions with joint venture for the financial year ended 31 December 2025.

(iii) Key management personnel

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Short–term employee benefits				
– Fees	**29,365**	30,232	**5,586**	5,505
– Salaries, allowances and bonuses	**71,013**	63,366	**13,816**	13,094
– Retirement cost	**5,730**	5,015	**1,635**	1,574
– Other staff benefits	**7,830**	6,456	**682**	420
Share–based payment				
– ESGP expenses	**17,534**	11,170	**2,591**	1,591
Post employment benefits				
– Retirement gratuity	**2,473**	795	**–**	–
Others				
– Indemnity given to or insurance effected for any directors (Note 43)	**1,579**	1,539	**1,493**	1,445
	135,518	118,573	**25,803**	23,629

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

48. SIGNIFICANT RELATED PARTY TRANSACTIONS AND BALANCES (CONT'D.)

Related party transactions have been entered into in the normal course of business under normal trade terms. The significant related party transactions and balances of the Group and of the Bank are as follows (cont'd.):

(a) Significant related party transactions (cont'd.)

(iii) Key management personnel (cont'd.)

Included in the total key management personnel compensation are:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Directors' remuneration including benefits-in-kind and indemnity given to or insurance effected for any directors (Note 43)	**31,921**	30,006	**25,803**	23,629

The number of shares awarded for ESGP and CESGP to key management personnel are as follows:

(a) ESGP

	Group		Bank	
	2025 '000	**2024 '000**	**2025 '000**	**2024 '000**
At 1 January	**8,169**	6,744	**1,118**	709
Adjustment*	**(994)**	(109)	**–**	–
Awarded	**2,741**	2,997	**409**	409
Vested	**(1,613)**	(755)	**(276)**	–
Forfeited	**(86)**	(708)	**(24)**	–
At 31 December	**8,217**	8,169	**1,227**	1,118

* Adjustment relates to changes in key management personnel during the financial year.

(b) CESGP

	Group		Bank	
	2025 '000	**2024 '000**	**2025 '000**	**2024 '000**
At 1 January	**1,829**	1,602	**–**	–
Adjustment*	**(219)**	(21)	**–**	–
Awarded	**761**	707	**–**	–
Vested	**(386)**	(239)	**–**	–
Additional/(forfeited)	**11**	(220)	**–**	–
At 31 December	**1,996**	1,829	**–**	–

* Adjustment relates to changes in key management personnel during the financial year.

48. SIGNIFICANT RELATED PARTY TRANSACTIONS AND BALANCES (CONT'D.)

Related party transactions have been entered into in the normal course of business under normal trade terms. The significant related party transactions and balances of the Group and of the Bank are as follows (cont'd.):

(b) Significant related party balances

(i) Subsidiaries

	Bank	
	2025 RM'000	**2024 RM'000**
Amounts due from:		
Current accounts and deposits	**32,381,723**	33,473,286
Loans, advances and financing	**52,544,118**	51,145,794
Interest and other receivable on deposits	**1,500,495**	395,433
Corporate bonds and sukuk	**9,294,796**	7,892,880
Derivative assets	**1,039,537**	590,759
	96,760,669	93,498,152
Amounts due to:		
Current accounts and deposits	**34,166,157**	35,189,141
Obligations on financial assets sold under repurchase agreements	**8,163,614**	16,997,997
Interest payable on deposits	**5,106**	8,621
Deposits and other creditors	**3,934,096**	22,648,471
Derivative liabilities	**998,080**	571,148
	47,267,053	75,415,378
Commitments and contingencies	**541,550**	559,182

Balances between the Bank and its subsidiaries are eliminated on consolidation at Group level.

(ii) Associates

	Bank	
	2025 RM'000	**2024 RM'000**
Amounts due from:		
Current accounts and deposits	**2,537**	2,863

There were no significant balances with joint venture as at 31 December 2025.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

48. SIGNIFICANT RELATED PARTY TRANSACTIONS AND BALANCES (CONT'D.)

Related party transactions have been entered into in the normal course of business under normal trade terms. The significant related party transactions and balances of the Group and of the Bank are as follows (cont'd.):

(b) Significant related party balances (cont'd.)

(iii) Key management personnel

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Loans, advances and financing	**53,718**	56,692	**12,735**	14,114
Deposits from customers	**88,159**	90,905	**56,348**	47,302

The balances relate to transactions with key management personnel of the Group.

(c) Government-related entities

Permodalan Nasional Berhad ("PNB"), is a government-linked entity and a shareholder with significant influence on the Bank, with direct shareholding of 6.43% (2024: 6.52%) and indirect shareholding of 27.86% (2024: 30.51%) via Amanah Raya Trustee Berhad (Skim Amanah Saham Bumiputera) as at 31 December 2025. PNB and entities directly controlled by PNB are collectively referred to as government-related entities to the Group and the Bank.

All the transactions entered into by the Group and the Bank with the government-related entities are conducted in the ordinary course of the Group's and of the Bank's business on terms comparable to those with other entities that are not government-related. The Group has established credit policies, pricing strategy and approval process for loans and financing, which are independent of whether the counterparties are government-related entities or not.

(i) Individually significant transactions and balances with PNB due to its size of transactions:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Transactions during the financial year:				
Interest and finance income	**338,591**	382,648	**98,688**	113,749
Balances as at reporting dates:				
Loans, advances and financing	**7,895,143**	8,633,799	**2,695,000**	2,695,000

(ii) Collectively, but not individually, significant transactions:

The Group has transactions with other government-related entities including but not limited to provision of loans and financing, deposits placement, brokerage services and underwriting of insurance and takaful.

For the financial year ended 31 December 2025, management estimates that the aggregate amount of the significant transactions with other government-related entities for the Group is at 0.4% (2024: 0.5%) and the Bank is negligible (2024: negligible) of their total interest and finance income.

For the financial year ended 31 December 2025, management estimates that the aggregate amount of the significant balances due from other government-related entities for the Group is 0.2% (2024: 0.4%) and the Bank is negligible (2024: negligible) of their total loans, advances and financing.

49. CREDIT EXPOSURE ARISING FROM CREDIT TRANSACTIONS WITH CONNECTED PARTIES

The credit exposures disclosed below are based on the requirement of Paragraph 9.1 of Bank Negara Malaysia's revised Guidelines on Credit Transactions and Exposures with Connected Parties.

Based on these guidelines, a connected party refers to the following:

(i) Directors of the Bank and their close relatives;

(ii) Controlling shareholder of the Bank and his close relatives;

(iii) Influential shareholder of the Bank and his close relatives;

(iv) Executive officer, being a member of management having authority and responsibility for planning, directing and/or controlling activities of the Bank and his close relatives;

(v) Officers who are responsible for or have the authority to appraise and/or approve credit transactions or review the status of existing credit transactions, either as a member of a committee or individually and their close relatives;

(vi) Firms, partnerships, companies or any legal entities which control, or are controlled by any person listed in (i) to (v) above, or in which they have an interest, as a director, partner, executive officer, agent or guarantor, and their subsidiaries or entities controlled by them;

(vii) Any person for whom the persons listed in (i) to (v) above is a guarantor; and

(viii) Subsidiary of or an entity controlled by the Bank and its connected parties.

Credit transactions and exposures to connected parties as disclosed below include the extension of credit facilities and/or off-balance sheet credit exposures such as guarantees, trade-related facilities and loan commitments.

	Group		Bank	
	2025	**2024**	**2025**	**2024**
Outstanding credit exposures with connected parties (RM'000)	**17,430,652**	16,664,784	**19,387,888**	18,284,431
Percentage of outstanding credit exposures to connected parties as proportion of total credit exposures	**1.7%**	1.6%	**3.5%**	3.1%
Percentage of outstanding credit exposures to connected parties which is impaired* or in default	**–**	–	**–**	–

* Impaired refers to non-performing as stated in Paragraph 9.1 of Bank Negara Malaysia's revised Guidelines on Credit Transactions and Exposures with Connected Parties.

The outstanding credit exposures with connected parties of the Group and the Bank as at 31 December 2024 have been restated.

50. EARNINGS PER SHARE ("EPS")

(a) Basic EPS

The basic EPS of the Group and of the Bank are calculated by dividing the net profit for the financial year attributable to equity holders of the Bank by the weighted average number of ordinary shares in issue during the financial year.

	Group		Bank	
	2025	**2024**	**2025**	**2024**
Net profit for the financial year attributable to equity holders of the Bank (RM'000)	**10,513,948**	10,088,673	**10,111,835**	8,653,840
Weighted average number of ordinary shares in issue ('000)	**12,078,636**	12,066,393	**12,078,636**	12,066,393
Basic earnings per share (sen)	**87.05**	83.61	**83.72**	71.72

(b) Diluted EPS

The Group and the Bank have no dilution in their earnings per ordinary share in the current and the preceding financial years as there are no dilutive potential ordinary shares.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

51. DIVIDENDS

Group and Bank	2025 RM'000	2024 RM'000	Dividends per share 2025 sen	Dividends per share 2024 sen
Single-tier second interim dividend of 32.0 sen in respect of the financial year ended 31 December 2024 (Note 51(b)(i))	**3,861,425**	–	**32.00**	–
Single-tier first interim dividend of 30.0 sen in respect of the financial year ended 31 December 2025 (Note 51(b)(ii))	**3,624,331**	–	**30.00**	–
Single-tier second interim dividend of 31.0 sen in respect of the financial year ended 31 December 2023	**–**	3,740,755	**–**	31.00
Single-tier first interim dividend of 29.0 sen in respect of the financial year ended 31 December 2024	**–**	3,499,416	**–**	29.00
	7,485,756	7,240,171	**62.00**	60.00
Less: Dividend on shares held-in-trust	**–**	–		
	7,485,756	7,240,171		

(a) Second interim dividend

The Board of Directors has declared a single-tier second interim cash dividend in respect of the current financial year ended 31 December 2025 of 33.0 sen per ordinary share amounting to dividend payable of RM3,986,764,754 (based on 12,081,105,315 ordinary shares issued as at 26 February 2026).

The financial statements for the current financial year ended 31 December 2025 do not reflect this single-tier second interim cash dividend. Such dividend will be accounted for in the statements of changes in equity as an appropriation of retained profits in the next financial year ending 31 December 2026.

(b) Dividends paid during the financial year

(i) A single-tier second interim cash dividend of 32.0 sen per ordinary share amounted to RM3,861,425,000 on 12,066,952,192 ordinary shares, in respect of the financial year ended 31 December 2024.

(ii) A single-tier first interim cash dividend of 30.0 sen per ordinary share amounting to RM3,624,331,000 on 12,081,103,393 ordinary shares, in respect of the current financial year ended 31 December 2025.

(c) Dividends paid by Maybank's subsidiaries to non-controlling interests

Dividends paid by Maybank's subsidiaries to non-controlling interests amounted to RM126,907,000 during the financial year ended 31 December 2025 (2024: RM180,680,000).

52. COMMITMENTS AND CONTINGENCIES

(a) In the normal course of business, the Group and the Bank make various commitments and incur certain contingent liabilities with legal recourse to their customers. No material losses are anticipated as a result of these transactions.

The risk-weighted exposures of the Group and of the Bank are as follows:

	2025			2024		
Group	**Full commitment RM'000**	**Credit equivalent amount* RM'000**	**Risk-weighted amount* RM'000**	**Full commitment RM'000**	**Credit equivalent amount* RM'000**	**Risk-weighted amount* RM'000**
Contingent liabilities						
Direct credit substitutes	**10,634,351**	**9,548,894**	**5,613,298**	11,476,839	11,497,829	6,866,583
Certain transaction-related contingent items	**17,273,271**	**8,419,101**	**4,896,332**	17,123,562	7,993,031	4,452,760
Short-term self-liquidating trade-related contingencies	**5,824,359**	**851,492**	**439,425**	6,522,883	1,087,817	528,606
	33,731,981	**18,819,487**	**10,949,055**	35,123,284	20,578,677	11,847,949
Commitments						
Irrevocable commitments to extend credit:						
– Maturity within one year	**177,449,636**	**20,220,144**	**5,046,818**	177,464,605	17,777,251	4,833,261
– Maturity exceeding one year	**71,933,671**	**68,347,791**	**28,234,742**	71,010,933	87,720,120	35,677,083
	249,383,307	**88,567,935**	**33,281,560**	248,475,538	105,497,371	40,510,344
Miscellaneous commitments and contingencies	**12,189,772**	**1,796,648**	**202,151**	14,154,051	1,837,400	129,068
Total credit–related commitments and contingencies	**295,305,060**	**109,184,070**	**44,432,766**	297,752,873	127,913,448	52,487,361
Derivative financial instruments						
Foreign exchange related contracts:						
– Less than one year	**660,803,712**	**6,167,894**	**1,638,165**	675,660,830	8,276,927	2,018,589
– One year to less than five years	**54,467,414**	**3,995,434**	**1,865,184**	55,660,165	3,604,283	1,656,040
– Five years and above	**5,159,745**	**463,296**	**225,145**	8,819,521	881,857	506,944
	720,430,871	**10,626,624**	**3,728,494**	740,140,516	12,763,067	4,181,573
Interest rate related contracts:						
– Less than one year	**501,650,152**	**82,120**	**31,503**	1,239,644,467	39,352	19,862
– One year to less than five years	**417,531,483**	**2,207,633**	**831,988**	475,699,773	2,244,464	848,700
– Five years and above	**105,956,340**	**2,015,806**	**913,666**	147,162,803	2,581,511	1,225,913
	1,025,137,975	**4,305,559**	**1,777,157**	1,862,507,043	4,865,327	2,094,475
Equity and commodity related contracts:						
– Less than one year	**17,411,191**	**1,085,339**	**315,475**	7,757,868	212,860	82,467
– One year to less than five years	**10,971,579**	**693,554**	**148,272**	10,897,520	617,932	190,632
	28,382,770	**1,778,893**	**463,747**	18,655,388	830,792	273,099
Credit related contracts:						
– Less than one year	**37,266**	**–**	**–**	37,275	–	–
– One year to less than five years	**7,146**	**–**	**–**	6,975	–	–
	44,412	**–**	**–**	44,250	–	–
Total treasury–related commitments and contingencies	**1,773,996,028**	**16,711,076**	**5,969,398**	2,621,347,197	18,459,186	6,549,147
Total commitments and contingencies	**2,069,301,088**	**125,895,146**	**50,402,164**	2,919,100,070	146,372,634	59,036,508

* The credit equivalent amount and the risk-weighted amount are derived from using the credit conversion factors and risk-weights, respectively as specified by BNM for regulatory capital adequacy purposes.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

52. COMMITMENTS AND CONTINGENCIES (CONT'D.)

(a) In the normal course of business, the Group and the Bank make various commitments and incur certain contingent liabilities with legal recourse to their customers. No material losses are anticipated as a result of these transactions (cont'd.).

The risk-weighted exposures of the Group and of the Bank are as follows (cont'd.):

	2025			2024		
Bank	**Full commitment RM'000**	**Credit equivalent amount* RM'000**	**Risk–weighted amount* RM'000**	**Full commitment RM'000**	**Credit equivalent amount* RM'000**	**Risk–weighted amount* RM'000**
Contingent liabilities						
Direct credit substitutes	**6,944,213**	**5,830,587**	**3,597,818**	7,449,249	7,446,166	3,598,123
Certain transaction–related contingent items	**11,005,395**	**5,504,999**	**3,257,455**	11,693,698	5,375,799	2,935,723
Short–term self–liquidating trade–related contingencies	**4,761,669**	**644,919**	**343,264**	4,954,695	802,135	431,223
	22,711,277	**11,980,505**	**7,198,537**	24,097,642	13,624,100	6,965,069
Commitments						
Irrevocable commitments to extend credit:						
– Maturity within one year	**105,652,869**	**8,845,397**	**1,911,075**	106,658,657	8,015,654	2,057,708
– Maturity exceeding one year	**42,040,513**	**35,037,436**	**15,885,740**	44,087,018	56,454,651	24,610,700
	147,693,382	**43,882,833**	**17,796,815**	150,745,675	64,470,305	26,668,408
Miscellaneous commitments and contingencies	**9,535,596**	**2,191,837**	**219,234**	10,718,417	2,237,768	174,105
Total credit–related commitments and contingencies	**179,940,255**	**58,055,175**	**25,214,586**	185,561,734	80,332,173	33,807,582
Derivative financial instruments						
Foreign exchange related contracts:						
– Less than one year	**677,291,467**	**5,889,992**	**1,431,890**	674,822,415	7,992,950	1,833,023
– One year to less than five years	**57,998,204**	**3,777,689**	**1,386,582**	60,010,371	3,552,068	1,360,470
– Five years and above	**3,611,970**	**462,749**	**133,324**	6,781,110	878,678	469,205
	738,901,641	**10,130,430**	**2,951,796**	741,613,896	12,423,696	3,662,698
Interest rate related contracts:						
– Less than one year	**501,759,626**	**81,341**	**29,908**	1,239,733,847	39,884	19,648
– One year to less than five years	**418,709,712**	**2,199,714**	**795,461**	475,890,514	2,207,669	766,619
– Five years and above	**105,924,118**	**2,009,475**	**910,330**	147,300,626	2,569,674	1,214,587
	1,026,393,456	**4,290,530**	**1,735,699**	1,862,924,987	4,817,227	2,000,854
Equity and commodity related contracts:						
– Less than one year	**8,891,520**	**530,205**	**129,803**	2,778,953	104,604	31,316
– One year to less than five years	**10,970,289**	**693,554**	**148,272**	10,892,098	617,932	190,632
	19,861,809	**1,223,759**	**278,075**	13,671,051	722,536	221,948
Credit related contracts:						
– Less than one year	**37,266**	**–**	**–**	37,275	–	–
– One year to less than five years	**7,146**	**–**	**–**	6,975	–	–
	44,412	**–**	**–**	44,250	–	–
Total treasury–related commitments and contingencies	**1,785,201,318**	**15,644,719**	**4,965,570**	2,618,254,184	17,963,459	5,885,500
Total commitments and contingencies	**1,965,141,573**	**73,699,894**	**30,180,156**	2,803,815,918	98,295,632	39,693,082

* The credit equivalent amount and the risk–weighted amount are derived from using the credit conversion factors and risk–weights, respectively as specified by BNM for regulatory capital adequacy purposes.

52. COMMITMENTS AND CONTINGENCIES (CONT'D.)

(a) In the normal course of business, the Group and the Bank make various commitments and incur certain contingent liabilities with legal recourse to their customers. No material losses are anticipated as a result of these transactions (cont'd.).

(i) The Group's and the Bank's derivative financial instruments are subject to market, credit and liquidity risks, as follows:

- Market risk on derivatives is the potential loss to the value of these contracts due to changes in price of the underlying items such as equities, interest rates, foreign exchange rates, credit spreads, commodities or other indices. The notional or contractual amounts provide only the volume of transactions outstanding at the reporting date and do not represent the amount at risk. Exposure to market risk may be reduced through offsetting items from on and off-balance sheet positions;
- Credit risk arises from the possibility that a counterparty may be unable to meet the terms of a contract in which the Bank and certain subsidiaries have a gain position. As at 31 December 2025, the amount of credit risk in the Group, measured in terms of the cost to replace the profitable contracts, was RM17,640.2 million (2024: RM23,417.6 million). This amount will increase or decrease over the life of the contracts, mainly as a function of maturity dates and market rates or prices; and
- Liquidity risk on derivatives is the risk that the derivative position cannot be closed out promptly. Exposure to liquidity risk is reduced through contracting derivatives where the underlying items are widely traded.

(ii) There have been no changes since the end of the previous financial year in respect of the following:

- The types of derivative financial contracts entered into and the rationale for entering into such contracts, as well as the expected benefits accruing from these contracts;
- The risk management policies in place for mitigating and controlling the risks associated with these financial derivative contracts; and
- The related accounting policies.

(b) Contingent liabilities

There is no material contingent liabilities during the financial year ended 31 December 2025.

(c) Operating lease commitments

The Group as a lessor

The Group leases out its properties including investment properties under operating leases with the term of the leases ranging up to 5 years.

The future minimum lease payments under these non-cancellable operating leases are as follows:

	Group	
	2025 RM'000	**2024 RM'000**
Within one year	**47,402**	50,820
Between one and five years	**28,940**	30,171
	76,342	80,991

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES

(a) Financial risk management overview

Risk management has evolved into an important driver for strategic decisions in support of business strategies while balancing the appropriate levels of risk taken to the desired levels of returns.

During the previous financial year ended 31 December 2024, the Group implemented the GIMF in stages for certain entities and business units which constitutes a change in business model for managing financial assets under MFRS 9 *Financial Instruments*. Consequently, all affected financial assets have been reclassified in accordance with MFRS 9 requirements.

The Board of Directors is the Group's ultimate governing body, which has overall responsibility for establishing a sound risk management and internal control system, as well as for reviewing its adequacy and effectiveness in identifying, assessing and responding to risks that may hinder the Group from achieving its objectives. To effectively carry out its risk and control oversight responsibilities, the Board has established the Risk Management Committee ("RMC"), the Compliance Committee of the Board ("CCB"), and the Audit Committee of the Board ("ACB") to oversee matters relating to risk, compliance and controls, respectively.

The Management has established various Executive Level Management Committees ("ELCs") to assist and support the Board committees in overseeing core areas of business operations and controls. These ELCs include the Group Executive Committee, Group Management Credit Committee, Group Executive Risk and Compliance Committee, Group Asset and Liability Management Committee, EXCO Sustainability Committee and EXCO Technology Committee.

The Maybank Group Enterprise Risk Management Framework ("ERMF") was established to foster ongoing vigilance and awareness of the most significant risks that could impact the Group's mission.

The framework is built upon a comprehensive set of foundational components designed to cultivate a robust risk management culture, encompassing practices and processes:

(i) *Risk Culture:* Risk culture is a key pillar of the ERMF, guiding behaviour and decision-making across the Group.

(ii) *Risk Appetite:* Risk Appetite defines the level and types of risk the Group is willing to accept to achieve strategic objectives and is aligned with the Group's strategy, capital, liquidity position and regulatory requirements.

(iii) *Risk Response and Control:* The Bank sets appropriate responses and implements controls to manage identified risks within defined thresholds, ensuring they stay within its risk appetite and remain effective over time.

(iv) *Governance and Risk Oversight:* The Group's governance structure enables strong oversight by the Board and includes the roles of the Board, risk committees and senior management with well-defined, transparent and consistent lines of responsibilities.

(v) *Risk Management Practices and Processes:* Risk management processes provide a structured and consistent approach to identify, assess and measure, respond to and control, monitor, escalate and report risks across the bank.

(vi) *Stress Test:* Stress testing is used to test the resilience of the Group's exposure against future financial scenarios and gauge the resulting risk and adequacy of capital.

(vii) *Systems, Infrastructure and Resources:* Effective risk management practices and processes rely on a strong management information system and sufficient resources, which provide the basis and support for the ERMF.

(b) Impairment assessment

The references below show where the Group's impairment assessment and measurement approach is set out in this report. It should be read in conjunction with the summary of material accounting policies (Note 2.3).

- The Group's definition and assessment of default and cure (Note 53(b)(i)).
- An explanation of the Group's internal grading system (Note 53(e)(5)).
- How the Group defines, calculates and monitors the probability of default, exposure at default and loss given default (Note 53(e)(1)).
- When the Group considers there has been a significant increase in credit risk of an exposure (Note 53(b)(ii)).
- The Group's policy of segmenting financial assets where ECL is assessed on a collective basis (Note 53(b)(iii)).
- The details of the ECL calculations for Stage 1, Stage 2 and Stage 3 assets (Note 2.3(v)(d)).

(i) Definition of default and cure

The Group considers a financial instrument as defaulted and therefore classified as Stage 3 (credit-impaired) for ECL calculations when:

- Principal or interest/profit or both of the credit facility are past due for more than 90 days or 3 months; or
- In the case of revolving credit facilities (e.g. overdraft), where the outstanding amount has remained in excess of the approved limit for a period of more than 90 days or 3 months; or
- The account is less than 90 days or 3 months past due and exhibit indications of significant increase in credit risk; or
- Impaired loans, advances and financing that have been rescheduled or restructured, the loans, advances and financing will continue to be classified as impaired until repayments based on the rescheduled or restructured terms have been observed continuously for a period of at least six (6) months or longer as determined by the approving authority of the rescheduled or restructured credit, and the counterparties/accounts no longer exhibit signs of significant increase in credit risk. Credit facilities to the retail segment will be classified as impaired until all payments as per the revised contractual terms have been made in a timely manner over a continuous repayment period of 12 months; or
- Default occurs for repayments scheduled on intervals of three (3) months or longer.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(b) Impairment assessment (cont'd.)

(i) Definition of default and cure (cont'd.)

As part of a qualitative assessment on whether a customer is in default, the Group also considers a variety of events that may indicate the unlikeliness to pay. When such events occur, the Group assesses whether these events should result in treating the customer as defaulted and therefore assessed as Stage 3 for ECL calculations, or whether Stage 2 is more appropriate. The following non–exhaustive events will be assessed:

- Significant downgrade in credit rating from initial recognition or last reviewed date;
- Breach of covenant not waived by the Group;
- Insolvent status;
- High probability of entering into bankruptcy; or
- Listed debt or equity suspended at the primary exchange because of either financial difficulties or adverse news.

It is the Group's policy to consider a financial instrument to be re–classified out of Stage 3 when none of the default criteria is present. The decision whether to classify an asset as Stage 2 or Stage 1 depends on prudent credit judgement at the time of the assessment, and that the asset no longer shows significant increase in credit risk with stringent governance from relevant approving authority.

(ii) Significant increase in credit risk

The Group implements impairment assessment based on ECL model from MFRS 9 impairment requirements. Robust models and credit risk assessments are in place to assess significant increase in credit risk since initial recognition in determining the appropriate ECL approach (12–month ECL or lifetime ECL).

The Group also applies a secondary qualitative method for triggering significant increase in credit risk for an asset, such as moving a customer/facility to watch list, or forborne upon observing credit risk grade deterioration since inception and payment are more than 30 days past due. The Group's credit review process considers events explained in Note 53(b)(i) are significant increase in credit risk on top of default criteria.

When estimating ECL on a collective basis for a group of similar assets (as set out in Note 53(b)(iii)), the Group applies the same principles for assessing whether there has been a significant increase in credit risk since initial recognition.

(iii) Grouping financial assets measured on a collective basis

As explained in Note 2.3(v)(d)(2), depending on the factors below, the Group and the Bank calculate ECL either on a collective or an individual basis.

Financial assets subject to ECL that have been assessed individually but for which no impairment is required and all individually insignificant exposure are then assessed collectively, in groups of assets with similar credit risk characteristics.

The Group and the Bank group these exposure into smaller homogeneous portfolios, based on a combination of internal and external characteristics of the loans.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(c) Analysis of inputs to the ECL model under multiple economic scenarios

An overview of the approach to estimate ECL is set out in Note 2.3 Summary of material accounting policies and in Note 3 Significant accounting judgements, estimates and assumptions; in which the macroeconomic factors are regularly monitored as part of the normal credit risk management of the Group and the Bank, including emerging risk consideration arising from adverse industry outlook. To ensure completeness and accuracy, the Group and the Bank obtain the data used from independent research parties (Maybank IB Research and independent research organisation), including determining the weights attributable to the multiple scenarios as at every year end to apply on next financial year's ECL computation.

The following table shows the forecast of the key forward–looking macroeconomic variables used in each of the economic scenarios for the ECL calculations for financial year ended 31 December 2025 and 31 December 2024. The figures for "Subsequent years" represent a long–term average and the same are applied for each scenario.

31 December 2025

Key Variables	ECL Scenario	Assigned Probabilities	2025	2026	2027	2028	2029	Subsequent years
Real GDP (%)	Base case	**55**	**4.9**	**4.6**	**4.5**	**4.5**	**4.5**	**4.5**
	Upside	**5**	**5.0**	**5.0**	**5.0**	**5.0**	**5.0**	**5.0**
	Downside	**40**	**3.0**	**3.0**	**3.0**	**3.0**	**3.0**	**3.0**
Property Price Index (%)	Base case	**55**	**2.0**	**2.0**	**2.0**	**2.0**	**2.0**	**2.0**
	Upside	**5**	**2.8**	**3.0**	**3.0**	**3.0**	**3.0**	**3.0**
	Downside	**40**	**0.5**	**0.5**	**0.5**	**0.5**	**0.5**	**0.5**
Overnight Policy Rate (%)	Base case	**55**	**3.0**	**3.0**	**3.0**	**3.0**	**3.0**	**3.0**
	Upside	**5**	**2.8**	**2.8**	**2.8**	**2.8**	**2.8**	**2.8**
	Downside	**40**	**3.5**	**3.5**	**3.5**	**3.5**	**3.5**	**3.5**
Unemployment Rate (%)	Base case	**55**	**3.2**	**3.3**	**3.3**	**3.3**	**3.3**	**3.3**
	Upside	**5**	**3.0**	**3.0**	**3.0**	**3.0**	**3.0**	**3.0**
	Downside	**40**	**3.8**	**3.8**	**3.8**	**3.8**	**3.8**	**3.8**

31 December 2024

Key Variables	ECL Scenario	Assigned Probabilities	2024	2025	2026	2027	2028	Subsequent years
Real GDP (%)	Base case	60	4.4	5.0	5.0	5.0	5.0	5.0
	Upside	10	4.8	5.5	5.5	5.5	5.5	5.5
	Downside	30	3.2	3.8	3.8	3.8	3.8	3.8
Property Price Index (%)	Base case	60	1.0	2.0	2.0	2.0	2.0	2.0
	Upside	10	1.8	2.5	2.5	2.5	2.5	2.5
	Downside	30	0.3	0.5	0.5	0.5	0.5	0.5
Overnight Policy Rate (%)	Base case	60	3.0	3.0	3.0	3.0	3.0	3.0
	Upside	10	2.8	2.8	2.8	2.8	2.8	2.8
	Downside	30	3.5	3.5	3.5	3.5	3.5	3.5
Unemployment Rate (%)	Base case	60	3.4	3.3	3.3	3.3	3.3	3.3
	Upside	10	3.3	3.0	3.0	3.0	3.0	3.0
	Downside	30	3.8	3.8	3.8	3.8	3.8	3.8

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(d) Financial instruments by category

Group 2025	Fair value through profit or loss RM'000	Designated at fair value through profit or loss RM'000	Fair value through other comprehensive income RM'000	At amortised cost RM'000	Sub-total RM'000	Assets not in scope of MFRS 9 RM'000	Total RM'000
Assets							
Cash and short-term funds	–	–	–	28,328,140	28,328,140	–	28,328,140
Deposits and placements with financial institutions	–	–	–	14,030,366	14,030,366	–	14,030,366
Financial assets purchased under resale agreements	–	–	–	8,812,426	8,812,426	–	8,812,426
Financial investments portfolio	46,066,479	12,905,693	116,964,234	80,786,440	256,722,846	–	256,722,846
Loans, advances and financing to financial institutions	–	–	–	907,213	907,213	–	907,213
Loans, advances and financing to customers	–	–	30,288,409	646,692,971	676,981,380	–	676,981,380
Derivative assets	17,640,228	–	–	–	17,640,228	–	17,640,228
Insurance contract/takaful certificate assets	–	–	–	–	–	103,165	103,165
Reinsurance contract/retakaful certificate assets	–	–	–	–	–	5,274,445	5,274,445
Other assets	–	–	–	15,232,749	15,232,749	2,083,593	17,316,342
Investment properties	–	–	–	–	–	1,042,622	1,042,622
Statutory deposits with central banks	–	–	–	11,958,915	11,958,915	–	11,958,915
Interest in associates and joint venture	–	–	–	–	–	1,832,384	1,832,384
Property, plant and equipment	–	–	–	–	–	2,458,303	2,458,303
Right-of-use assets	–	–	–	–	–	1,924,027	1,924,027
Intangible assets	–	–	–	–	–	6,532,573	6,532,573
Deferred tax assets	–	–	–	–	–	1,718,218	1,718,218
Total assets	63,706,707	12,905,693	147,252,643	806,749,220	1,030,614,263	22,969,330	1,053,583,593

Group 2025	Fair value through profit or loss RM'000	Designated at fair value through profit or loss RM'000	Other financial liabilities RM'000	Sub-total RM'000	Liabilities not in scope of MFRS 9 RM'000	Total RM'000
Liabilities						
Customers' funding:						
– Deposits from customers	–	–	698,210,227	698,210,227	–	698,210,227
– Investment accounts of customers*	–	–	32,782,974	32,782,974	–	32,782,974
Deposits and placements from financial institutions	–	–	42,587,329	42,587,329	–	42,587,329
Obligations on financial assets sold under repurchase agreements	–	–	25,899,425	25,899,425	–	25,899,425
Derivative liabilities^	24,535,876	–	–	24,535,876	–	24,535,876
Financial liabilities at fair value through profit or loss	–	9,583,737	–	9,583,737	–	9,583,737
Bills and acceptances payable	–	–	1,452,395	1,452,395	–	1,452,395
Insurance contract/takaful certificate liabilities	–	–	–	–	47,093,930	47,093,930
Reinsurance contract/retakaful certificate liabilities	–	–	–	–	32,762	32,762
Other liabilities	–	–	20,990,477	20,990,477	8,125,016	29,115,493
Provision for taxation and zakat	–	–	–	–	395,791	395,791
Deferred tax liabilities	–	–	–	–	814,707	814,707
Borrowings	–	–	28,207,145	28,207,145	–	28,207,145
Subordinated obligations	–	–	14,452,872	14,452,872	–	14,452,872
Capital securities	–	–	1,577,087	1,577,087	–	1,577,087
Total liabilities	24,535,876	9,583,737	866,159,931	900,279,544	56,462,206	956,741,750

* Investment accounts of customers are used to fund financing and advances as disclosed in Note 63(l).
^ Included in derivative liabilities are derivative instruments designated as effective hedging instruments. Refer to fair value hedge disclosed in Note 13.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(d) Financial instruments by category (cont'd.)

Group 2024	Fair value through profit or loss RM'000	Designated at fair value through profit or loss RM'000	Fair value through other comprehensive income RM'000	At amortised cost RM'000	Sub–total RM'000	Assets not in scope of MFRS 9 RM'000	Total RM'000
Assets							
Cash and short–term funds	–	–	–	40,522,520	40,522,520	–	40,522,520
Deposits and placements with financial institutions	–	–	–	22,275,032	22,275,032	–	22,275,032
Financial assets purchased under resale agreements	–	–	–	16,630,783	16,630,783	–	16,630,783
Financial investments portfolio	33,274,540	12,933,334	128,177,404	79,377,492	253,762,770	–	253,762,770
Loans, advances and financing to financial institutions	–	–	147,161	1,886,064	2,033,225	–	2,033,225
Loans, advances and financing to customers	–	–	31,869,625	630,871,235	662,740,860	–	662,740,860
Derivative assets	23,417,580	–	–	–	23,417,580	–	23,417,580
Insurance contract/takaful certificate assets	–	–	–	–	–	75,199	75,199
Reinsurance contract/retakaful certificate assets	–	–	–	–	–	5,910,059	5,910,059
Other assets	–	–	–	13,056,355	13,056,355	2,429,669	15,486,024
Investment properties	–	–	–	–	–	1,038,657	1,038,657
Statutory deposits with central banks	–	–	–	17,166,509	17,166,509	–	17,166,509
Interest in associates and joint venture	–	–	–	–	–	1,857,728	1,857,728
Property, plant and equipment	–	–	–	–	–	2,283,097	2,283,097
Right–of–use assets	–	–	–	–	–	1,456,464	1,456,464
Intangible assets	–	–	–	–	–	6,993,290	6,993,290
Deferred tax assets	–	–	–	–	–	1,672,159	1,672,159
Total assets	56,692,120	12,933,334	160,194,190	821,785,990	1,051,605,634	23,716,322	1,075,321,956

Group 2024	Fair value through profit or loss RM'000	Designated at fair value through profit or loss RM'000	Other financial liabilities RM'000	Sub–total RM'000	Liabilities not in scope of MFRS 9 RM'000	Total RM'000
Liabilities						
Customers' funding:						
– Deposits from customers	–	–	712,915,459	712,915,459	–	712,915,459
– Investment accounts of customers*	–	–	28,981,847	28,981,847	–	28,981,847
Deposits and placements from financial institutions	–	–	47,051,220	47,051,220	–	47,051,220
Obligations on financial assets sold under repurchase agreements	–	–	32,831,691	32,831,691	–	32,831,691
Derivative liabilities^	27,494,477	–	–	27,494,477	–	27,494,477
Financial liabilities at fair value through profit or loss	–	11,943,454	–	11,943,454	–	11,943,454
Bills and acceptances payable	–	–	1,214,634	1,214,634	–	1,214,634
Insurance contract/takaful certificate liabilities	–	–	–	–	46,102,335	46,102,335
Reinsurance contract/retakaful certificate liabilities	–	–	–	–	27,063	27,063
Other liabilities	–	–	15,293,922	15,293,922	12,214,057	27,507,979
Provision for taxation and zakat	–	–	–	–	294,643	294,643
Deferred tax liabilities	–	–	–	–	755,338	755,338
Borrowings	–	–	28,260,101	28,260,101	–	28,260,101
Subordinated obligations	–	–	11,157,808	11,157,808	–	11,157,808
Capital securities	–	–	1,576,770	1,576,770	–	1,576,770
Total liabilities	27,494,477	11,943,454	879,283,452	918,721,383	59,393,436	978,114,819

* Investment accounts of customers are used to fund financing and advances as disclosed in Note 63(l).

^ Included in derivative liabilities are derivative instruments designated as effective hedging instruments. Refer to fair value hedge disclosed in Note 13.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(d) Financial instruments by category (cont'd.)

Bank 2025	Fair value through profit or loss RM'000	Fair value through other comprehensive income RM'000	At amortised cost RM'000	Sub-total RM'000	Assets not in scope of MFRS 9 RM'000	Total RM'000
Assets						
Cash and short-term funds	–	–	23,860,757	23,860,757	–	23,860,757
Deposits and placements with financial institutions	–	–	29,613,139	29,613,139	–	29,613,139
Financial assets purchased under resale agreements	–	–	9,736,966	9,736,966	–	9,736,966
Financial investments portfolio	21,483,165	65,619,846	67,965,825	155,068,836	–	155,068,836
Loans, advances and financing to financial institutions	–	–	49,564,603	49,564,603	–	49,564,603
Loans, advances and financing to customers	–	35,715,653	185,699,746	221,415,399	–	221,415,399
Derivative assets	17,405,045	–	–	17,405,045	–	17,405,045
Other assets	–	–	11,470,048	11,470,048	357,871	11,827,919
Statutory deposits with central banks	–	–	3,051,218	3,051,218	–	3,051,218
Investment in subsidiaries	–	–	–	–	37,133,790	37,133,790
Interest in associates and joint venture	–	–	–	–	438,859	438,859
Property, plant and equipment	–	–	–	–	987,923	987,923
Right-of-use assets	–	–	–	–	1,285,210	1,285,210
Intangible assets	–	–	–	–	815,001	815,001
Deferred tax assets	–	–	–	–	385,973	385,973
Total assets	38,888,210	101,335,499	380,962,302	521,186,011	41,404,627	562,590,638

Bank 2025	Fair value through profit or loss RM'000	Designated at fair value through profit or loss RM'000	Other financial liabilities RM'000	Sub-total RM'000	Liabilities not in scope of MFRS 9 RM'000	Total RM'000
Liabilities						
Deposits from customers	–	–	300,346,778	300,346,778	–	300,346,778
Deposits and placements from financial institutions	–	–	69,888,618	69,888,618	–	69,888,618
Obligations on financial assets sold under repurchase agreements	–	–	33,949,068	33,949,068	–	33,949,068
Derivative liabilities^	24,156,646	–	–	24,156,646	–	24,156,646
Financial liabilities at fair value through profit or loss	–	6,748,860	–	6,748,860	–	6,748,860
Bills and acceptances payable	–	–	608,709	608,709	–	608,709
Other liabilities	–	–	11,244,943	11,244,943	3,569,335	14,814,278
Borrowings	–	–	16,802,922	16,802,922	–	16,802,922
Subordinated obligations	–	–	14,138,570	14,138,570	–	14,138,570
Capital securities	–	–	1,577,087	1,577,087	–	1,577,087
Total liabilities	24,156,646	6,748,860	448,556,695	479,462,201	3,569,335	483,031,536

^ Included in derivative liabilities are derivative instruments designated as effective hedging instruments. Refer to fair value hedge disclosed in Note 13.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(d) Financial instruments by category (cont'd.)

Bank 2024	Fair value through profit or loss RM'000	Fair value through other comprehensive income RM'000	At amortised cost RM'000	Sub-total RM'000	Assets not in scope of MFRS 9 RM'000	Total RM'000
Assets						
Cash and short-term funds	–	–	27,212,276	27,212,276	–	27,212,276
Deposits and placements with financial institutions	–	–	38,309,616	38,309,616	–	38,309,616
Financial assets purchased under resale agreements	–	–	17,608,327	17,608,327	–	17,608,327
Financial investments portfolio	15,404,523	68,927,203	64,681,307	149,013,033	–	149,013,033
Loans, advances and financing to financial institutions	–	453,603	47,867,612	48,321,215	–	48,321,215
Loans, advances and financing to customers	–	34,208,448	199,265,566	233,474,014	–	233,474,014
Derivative assets	23,331,778	–	–	23,331,778	–	23,331,778
Other assets	–	–	9,061,608	9,061,608	362,322	9,423,930
Statutory deposits with central banks	–	–	4,648,095	4,648,095	–	4,648,095
Investment in subsidiaries	–	–	–	–	35,575,751	35,575,751
Interest in associates and joint venture	–	–	–	–	438,859	438,859
Property, plant and equipment	–	–	–	–	861,851	861,851
Right-of-use assets	–	–	–	–	460,130	460,130
Intangible assets	–	–	–	–	664,603	664,603
Deferred tax assets	–	–	–	–	296,655	296,655
Total assets	38,736,301	103,589,254	408,654,407	550,979,962	38,660,171	589,640,133

Bank 2024	Fair value through profit or loss RM'000	Designated at fair value through profit or loss RM'000	Other financial liabilities RM'000	Sub-total RM'000	Liabilities not in scope of MFRS 9 RM'000	Total RM'000
Liabilities						
Deposits from customers	–	–	310,608,986	310,608,986	–	310,608,986
Deposits and placements from financial institutions	–	–	76,999,224	76,999,224	–	76,999,224
Obligations on financial assets sold under repurchase agreements	–	–	46,954,812	46,954,812	–	46,954,812
Derivative liabilities^	26,984,480	–	–	26,984,480	–	26,984,480
Financial liabilities at fair value through profit or loss	–	7,429,042	–	7,429,042	–	7,429,042
Bills and acceptances payable	–	–	466,170	466,170	–	466,170
Other liabilities	–	–	10,927,192	10,927,192	2,765,786	13,692,978
Borrowings	–	–	15,546,427	15,546,427	–	15,546,427
Subordinated obligations	–	–	10,843,439	10,843,439	–	10,843,439
Capital securities	–	–	1,576,770	1,576,770	–	1,576,770
Total liabilities	26,984,480	7,429,042	473,923,020	508,336,542	2,765,786	511,102,328

^ Included in derivative liabilities are derivative instruments designated as effective hedging instruments. Refer to fair value hedge disclosed in Note 13.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management

1. Credit risk management overview

Credit risk definition

Credit risk is the risk that a counterparty fails to meet its obligations in accordance with the agreed terms of a credit facility. The exposures to credit risk are unilateral and only the lending bank faces the risk of loss.

Management of credit risk

The Group's policy on credit classification and impairment on borrower's account is in accordance with MFRS 9, with relevant guiding principles to assess the observed credit behaviour and based upon unbiased probability–weighted credit losses determined by evaluating a range of possible outcomes considering future economic outlook.

Non–retail credits are assessed jointly by Business and Credit where each counterparty is rated based on the assessment of qualitative and quantitative factors, including the counterparty's actual financial position, projected cash flows, types of facilities and collateral offered.

Reviews of non–retail credits are conducted at least once a year with updated information on the counterparty's financial position, key shareholders and senior management, market position, industry and economic conditions, ESG and climate risk requirements, as well as account conduct. These counterparties are also subject to periodic credit classification and impairment assessment to determine the credit staging and if any early intervention is required. Counterparties that exhibit any signs of increase in or significant credit risks will be closely monitored at the relevant asset quality committees. Appropriate corrective actions are taken and tracked to mitigate and prevent credit risk deterioration.

Retail credits are predicated on data analytics and are programmed–driven. Retail credits are governed by the Product Development Assessment ("PDA") or Universal Product Development Assessment ("UPDA"). Reviews of retail credits are generally conducted at the portfolio level, where the PDAs or UPDAs of each retail product are reviewed at a minimum, on an annual basis.

Counterparty credit risk is the risk arising from the possibility that a counterparty will default prior to expiration of a financial contract, and will therefore not make the current and future payments as required by the contract for all treasury–related transactions. Counterparty credit risk originates from the Group's lending business, investment and treasury activities that impact the Group's Trading and Banking books through dealings in foreign exchange, money market instruments, fixed income securities, commodities, equities and over–the–counter derivatives. The primary distinguishing feature of counterparty credit risk compared to other forms of credit risk is that the future value of the underlying contract is uncertain, and may be either positive or negative depending on the value of all future cash flows.

Counterparty credit risk exposures are managed via counterparty limits on a single counterparty basis or counterparty group basis predicated on BNM's Single Counterparty Exposure Limits. The Group actively monitors and manages its exposures to ensure that exposures to a single counterparty group are within prudent limits at all times. Counterparty credit risk exposures may be materially affected by market risk events. The Group has in place dedicated teams to promptly identify, review and prescribe appropriate actions through its respective risk committees.

For derivatives and foreign exchange exposures, the Group adopts the Current Exposure Method to measure counterparty credit risk. The method calculates credit risk exposure by taking into account mark–to–market values and the appropriate add–on factors for potential future exposures that are in accordance with BNM Guidelines and Basel II requirements.

In managing large exposures and to avoid undue concentration of credit risk in its credit portfolio, the Group has emplaced, amongst others, limits/thresholds or related lending guidelines, for:

- Countries;
- Sectors;
- Single counterparty groups;
- Collaterals;
- Connected parties; and
- Product or facility types.

Reviews of the aforesaid limits/thresholds or related lending guidelines are undertaken on a periodic basis, whereupon any emerging concentration risks are addressed accordingly. Any breach/excess of limits/thresholds is escalated for approvals, and any deviations from the lending guidelines are to be justified with strong mitigations.

The Group has dedicated teams at Group and country levels to effectively manage vulnerable non–retail and retail credits. Special attention is given to these vulnerable credits where more frequent and intensive reviews are performed in order to prevent further deterioration or to accelerate remedial action.

As part of enhancing the Group's Environment, Social and Governance ("ESG") practices, the Group takes a proactive approach to incorporate ESG considerations into business processes by developing and periodically reviewing the Group's ESG screening documents and Risk Acceptance Criteria, which addresses the inherent ESG/climate risks. To further support the ESG Risk Management Framework, the Group Climate Risk Policy has been instituted to manage climate risks of the Group's business activities exposure and operations. The policy is guided by both central bank and government policies and serves as a guidance for the Bank in managing climate risks.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

1. Credit risk management overview (cont'd.)

Management of credit risk (cont'd.)

While observing ESG risk and MFRS 9 impairment requirements, the Group adopts reasonable and supportable information that is available without undue cost or effort in addressing climate risk impact on ECL assessment as part of the forward–looking consideration.

The Group's credit processes encompass assessment, approval monitoring and independent post–approval credit review. Group Risk is responsible for developing, enhancing, communicating and implementing effective and consistent credit risk management policies, tools and methodologies across the Group to ensure that appropriate standards are in place to identify, measure, control, monitor and report such risks.

The Group's credit approval structure is based on joint approvals by both the Business and Credit, with the highest approving authority being the Group Management Credit Committee ("GMCC"). The parameters that determine the level of approving authority are the counterparty group's exposure, the counterparty's credit rating and the tenor of the term loan (if applicable).

Credit risk measurement

Majority of the Group's retail portfolios are under rated approach, leveraging on models already developed under Basel II Advanced Internal Ratings–Based ("AIRB") Approach. This AIRB approach calls for more extensive reliance on the Bank's own internal experience whereby estimations for Probability of Default ("PD"), Exposure at Default ("EAD") and Loss Given Default ("LGD") are based on its own historical data. Separate PD, EAD and LGD statistical models were developed at the respective retail portfolio level; each model covering borrowers with fundamentally similar risk profiles in a portfolio. The estimates derived from the models are used as input for MFRS 9 estimation to develop the term structures and forward–looking models.

For non–retail portfolios, the Group uses internal credit models for evaluating the majority of its credit risk exposures. For corporate and bank portfolios, the Group has adopted the Foundation Internal Ratings–Based ("FIRB") Approach, which allows the Group to use its own internal PD estimates from Credit Risk Rating System ("CRRS"). These estimates are then used to develop term structures and forward–looking models for MFRS 9 purposes.

CRRS is a statistical default prediction model that was developed and calibrated to suit the Group's banking environment using internal data.

CRRS is designed to account for differences in risk due to country, industry segment (such as manufacturing, services, trading, contractors and real estate), as well as size.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

2. Maximum exposure to credit risk

The following analysis represents the Group's maximum exposure to credit risk of on–balance sheet financial assets and off–balance sheet exposure, excluding any collateral held or other credit enhancements. For on–balance sheet financial assets, the exposure to credit risk equals their carrying amount. For off–balance sheet exposure, the maximum exposure to credit risk is the maximum amount that the Group would have to pay if the obligations of the instruments issued are called upon and/or the full amount of the undrawn credit facilities granted to customers/borrowers.

	Maximum exposure	
Group	**2025 RM'000**	**2024 RM'000**
Credit exposure for on–balance sheet financial assets:		
Cash and short–term funds	**28,328,140**	40,522,520
Deposits and placements with financial institutions	**14,030,366**	22,275,032
Financial assets purchased under resale agreements	**8,812,426**	16,630,783
Financial investments portfolio*	**236,736,747**	241,394,535
Loans, advances and financing to financial institutions	**907,213**	2,033,225
Loans, advances and financing to customers	**676,981,380**	662,740,860
Derivative assets	**17,640,228**	23,417,580
Other assets	**15,232,749**	13,056,355
Statutory deposits with central banks	**11,958,915**	17,166,509
	1,010,628,164	1,039,237,399
Credit exposure for off–balance sheet items:		
Direct credit substitutes	**10,634,351**	11,476,839
Certain transaction–related contingent items	**17,273,271**	17,123,562
Short–term self–liquidating trade–related contingencies	**5,824,359**	6,522,883
Irrevocable commitments to extend credit	**249,383,307**	248,475,538
Miscellaneous	**12,189,772**	14,154,051
	295,305,060	297,752,873
Total maximum credit risk exposure	**1,305,933,224**	1,336,990,272

* Financial investments portfolio consists of financial assets designated upon initial recognition at fair value through profit or loss, financial investments at fair value through profit or loss, financial investments at fair value through other comprehensive income and financial investments at amortised cost. The portfolio excludes quoted and unquoted shares.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

2. Maximum exposure to credit risk (cont'd.)

	Maximum exposure	
Bank	**2025 RM'000**	**2024 RM'000**
Credit exposure for on–balance sheet financial assets:		
Cash and short–term funds	**23,860,757**	27,212,276
Deposits and placements with financial institutions	**29,613,139**	38,309,616
Financial assets purchased under resale agreements	**9,736,966**	17,608,327
Financial investments portfolio*	**148,687,002**	146,199,427
Loans, advances and financing to financial institutions	**49,564,603**	48,321,215
Loans, advances and financing to customers	**221,415,399**	233,474,014
Derivative assets	**17,405,045**	23,331,778
Other assets	**11,470,048**	9,061,608
Statutory deposits with central banks	**3,051,218**	4,648,095
	514,804,177	548,166,356
Credit exposure for off–balance sheet items:		
Direct credit substitutes	**6,944,213**	7,449,249
Certain transaction–related contingent items	**11,005,395**	11,693,698
Short–term self–liquidating trade–related contingencies	**4,761,669**	4,954,695
Irrevocable commitments to extend credit	**147,693,382**	150,745,675
Miscellaneous	**9,535,596**	10,718,417
	179,940,255	185,561,734
Total maximum credit risk exposure	**694,744,432**	733,728,090

* Financial investments portfolio consists of financial investments at fair value through profit or loss, financial investments at fair value through other comprehensive income and financial investments at amortised cost. The portfolio excludes quoted and unquoted shares.

Credit exposure for on–balance sheet financial assets that are not subject to impairment:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Financial assets at fair value through profit or loss				
– Financial investments#	**27,246,957**	21,781,924	**15,875,009**	12,948,387
Financial assets designated at fair value through profit or loss				
– Financial investments#	**12,891,741**	12,905,094	**–**	–
	40,138,698	34,687,018	**15,875,009**	12,948,387

\# Financial investments exclude quoted and unquoted shares.

The financial effect of collaterals (quantification of the extent to which collateral and other credit enhancements mitigate credit risk) held for loans, advances and financing as at 31 December 2025 for the Group is at 76% (2024: 67%) and the Bank is at 59% (2024: 69%). The financial effect of collateral held for other financial assets is not significant.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

3. Credit risk concentration profile

Concentration risk is the risk that can materialise from excessive exposures to single counterparty and persons connected to it, a particular instrument or a particular market segment/sector. The Group analysed the concentration of credit risk by geographic purpose and industry sector as follows:

(a) Concentration of credit risk for both on–balance sheet financial assets and off–balance sheet exposures analysed by geographic purpose are as follows:

Group	Cash and short-term funds RM'000	Deposits and placements with financial institutions RM'000	Financial assets purchased under resale agreements RM'000	Financial investments portfolio* RM'000	Loans, advances and financing RM'000	Derivative assets RM'000	Other assets RM'000	Statutory deposits with central banks RM'000	Total RM'000	Commitments and contingencies RM'000
2025										
Malaysia	**15,994,975**	**3,999,401**	**2,553,227**	**162,800,007**	**438,354,841**	**11,522,688**	**11,027,948**	**3,187,222**	**649,440,309**	**152,195,403**
Singapore	**1,510,287**	**653,657**	**2,238,548**	**33,453,818**	**173,237,387**	**246,341**	**676,943**	**6,243,432**	**218,260,413**	**91,567,386**
Indonesia	**1,741,178**	**243,291**	**49,601**	**14,586,578**	**30,471,996**	**516,556**	**1,286,731**	**1,718,707**	**50,614,638**	**2,403,262**
Labuan Offshore	**2**	**–**	**–**	**–**	**8,658,294**	**1**	**961**	**–**	**8,659,258**	**55,293**
Hong Kong SAR	**772,723**	**1,566**	**2,060,816**	**3,867,864**	**9,131,831**	**594,063**	**491,662**	**–**	**16,920,525**	**25,305,218**
United States of America	**1,737,401**	**8,767,263**	**–**	**6,287,161**	**768,946**	**32,894**	**23,331**	**–**	**17,616,996**	**753,504**
People's Republic of China	**1,829,483**	**–**	**–**	**3,576,810**	**5,224,181**	**487,505**	**680,283**	**–**	**11,798,262**	**7,377,991**
Vietnam	**270,065**	**20,050**	**–**	**–**	**1,082,488**	**3,744**	**38,050**	**102,596**	**1,516,993**	**1,222,817**
United Kingdom	**554,668**	**–**	**–**	**687,178**	**914,246**	**3,854,287**	**286,988**	**–**	**6,297,367**	**873,270**
Philippines	**762,750**	**27,100**	**89,744**	**2,685,712**	**3,610,255**	**2,825**	**183,474**	**237,549**	**7,599,409**	**2,575,823**
Brunei	**187,188**	**–**	**–**	**47,037**	**379,194**	**3,350**	**3**	**–**	**616,772**	**389,177**
Cambodia	**1,763,611**	**285,713**	**–**	**119,728**	**4,666,637**	**128**	**36,260**	**461,445**	**7,333,522**	**1,249,069**
Thailand	**66,143**	**2,577**	**–**	**–**	**1,356,507**	**977**	**264,940**	**–**	**1,691,144**	**72,982**
Laos	**2,630**	**6**	**–**	**48,222**	**11,954**	**–**	**830**	**1,411**	**65,053**	**812**
India	**21,232**	**–**	**–**	**5,201,497**	**–**	**6,627**	**5,829**	**–**	**5,235,185**	**269,021**
Others	**1,113,804**	**29,742**	**1,820,490**	**3,375,135**	**19,836**	**368,242**	**228,516**	**6,553**	**6,962,318**	**8,994,032**
	28,328,140	**14,030,366**	**8,812,426**	**236,736,747**	**677,888,593**	**17,640,228**	**15,232,749**	**11,958,915**	**1,010,628,164**	**295,305,060**
2024										
Malaysia	22,114,837	5,319,673	50,174	165,464,413	413,762,098	15,137,068	9,807,365	6,384,199	638,039,827	149,962,731
Singapore	7,992,066	11,991,859	9,368,457	35,685,768	170,603,735	655,453	338,240	6,637,871	243,273,449	96,023,678
Indonesia	2,009,664	–	229,350	13,627,055	35,318,706	449,844	958,696	2,957,748	55,551,063	1,460,922
Labuan Offshore	2	–	–	–	9,476,680	309	1,136	–	9,478,127	59,046
Hong Kong SAR	651,327	4,164	3,778,816	4,968,413	12,536,462	898,096	413,255	–	23,250,533	24,967,385
United States of America	2,571,364	4,600,344	–	6,605,547	686,117	50,735	51,964	–	14,566,071	1,133,503
People's Republic of China	912,806	–	–	3,546,743	6,273,766	976,899	232,836	–	11,943,050	7,920,322
Vietnam	155,740	–	–	–	1,850,752	563,823	26,004	367,969	2,964,288	1,853,946
United Kingdom	592,605	–	–	785,120	1,672,417	4,209,067	174,240	–	7,433,449	2,389,483
Philippines	513,631	221,342	–	3,130,791	4,776,958	1,344	264,897	377,362	9,286,325	3,749,836
Brunei	122,322	–	–	48,686	408,022	70,975	4	–	650,009	492,567
Cambodia	1,467,017	100,304	–	46,820	5,310,723	4,527	20,465	432,018	7,381,874	1,416,564
Thailand	53,868	2,527	–	–	1,913,070	8,308	347,396	–	2,325,169	95,597
Laos	1,237	1,979	–	73,152	15,438	–	883	1,586	94,275	894
India	57,260	–	–	5,234,202	–	–	7,219	–	5,298,681	68,183
Others	1,306,774	32,840	3,203,986	2,177,825	169,141	391,132	411,755	7,756	7,701,209	6,158,216
	40,522,520	22,275,032	16,630,783	241,394,535	664,774,085	23,417,580	13,056,355	17,166,509	1,039,237,399	297,752,873

* Financial investments portfolio consists of financial assets designated upon initial recognition at fair value through profit or loss, financial investments at fair value through profit or loss, financial investments at fair value through other comprehensive income and financial investments at amortised cost, excluding quoted and unquoted shares.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

3. Credit risk concentration profile (cont'd.)

(a) Concentration of credit risk for both on–balance sheet financial assets and off–balance sheet exposures analysed by geographic purpose are as follows (cont'd.):

Bank	Cash and short-term funds RM'000	Deposits and placements with financial institutions RM'000	Financial assets purchased under resale agreements RM'000	Financial investments portfolio* RM'000	Loans, advances and financing RM'000	Derivative assets RM'000	Other assets RM'000	Statutory deposits with central banks RM'000	Total RM'000	Commitments and contingencies RM'000
2025										
Malaysia	**16,044,179**	**19,723,531**	**1,828,682**	**111,783,889**	**172,710,350**	**12,223,905**	**10,651,934**	**994,889**	**345,961,359**	**76,511,165**
Singapore	**712,920**	**490,480**	**4,026,978**	**20,025,811**	**73,355,305**	**–**	**82,816**	**1,945,769**	**100,640,079**	**58,296,311**
Indonesia	**375,248**	**243,291**	**–**	**3,054,536**	**–**	**214,457**	**–**	**–**	**3,887,532**	**518,333**
Labuan Offshore	**–**	**–**	**–**	**–**	**8,657,847**	**1**	**–**	**–**	**8,657,848**	**55,293**
Hong Kong SAR	**740,834**	**–**	**2,060,816**	**3,649,578**	**8,676,300**	**594,063**	**29,327**	**–**	**15,750,918**	**25,269,488**
United States of America	**1,435,166**	**8,767,263**	**–**	**3,087,074**	**768,946**	**31,192**	**–**	**–**	**14,089,641**	**752,409**
People's Republic of China	**1,829,483**	**–**	**–**	**2,451,178**	**5,224,181**	**487,505**	**680,194**	**–**	**10,672,541**	**7,316,661**
Vietnam	**187,866**	**–**	**–**	**–**	**262,002**	**2,577**	**42**	**102,596**	**555,083**	**1,222,773**
United Kingdom	**543,845**	**–**	**–**	**687,178**	**914,210**	**3,479,781**	**24,902**	**–**	**5,649,916**	**869,386**
Philippines	**785,912**	**130,207**	**–**	**613,305**	**–**	**–**	**–**	**–**	**1,529,424**	**20,293**
Brunei	**187,188**	**–**	**–**	**47,037**	**379,194**	**3,350**	**3**	**–**	**616,772**	**347,428**
Cambodia	**4,232**	**258,361**	**–**	**–**	**–**	**–**	**–**	**–**	**262,593**	**219,132**
Thailand	**40,849**	**–**	**–**	**–**	**–**	**977**	**–**	**–**	**41,826**	**–**
Laos	**2,630**	**6**	**–**	**–**	**11,954**	**–**	**830**	**1,411**	**16,831**	**812**
India	**687**	**–**	**–**	**31,500**	**–**	**–**	**–**	**–**	**32,187**	**236,111**
Others	**969,718**	**–**	**1,820,490**	**3,255,916**	**19,713**	**367,237**	**–**	**6,553**	**6,439,627**	**8,304,660**
	23,860,757	**29,613,139**	**9,736,966**	**148,687,002**	**270,980,002**	**17,405,045**	**11,470,048**	**3,051,218**	**514,804,177**	**179,940,255**
2024										
Malaysia	12,019,626	22,077,930	1,485,953	110,523,878	173,553,325	15,530,868	8,590,104	2,139,303	345,920,987	75,287,862
Singapore	7,287,717	11,344,132	9,142,173	21,006,719	76,492,416	604,628	94,003	2,131,481	128,103,269	65,334,620
Indonesia	789,976	–	–	1,395,677	–	176,779	–	–	2,362,432	62,627
Labuan Offshore	–	–	–	–	9,476,223	309	–	–	9,476,532	59,046
Hong Kong SAR	641,112	–	3,778,816	4,676,958	12,131,119	879,303	143,753	–	22,251,061	24,937,734
United States of America	2,253,315	4,600,344	–	3,543,259	686,117	50,735	–	–	11,133,770	1,132,392
People's Republic of China	912,806	–	–	2,240,118	6,273,766	976,899	232,824	–	10,636,413	7,843,443
Vietnam	82,211	–	–	–	1,055,452	561,230	37	367,969	2,066,899	1,853,900
United Kingdom	581,129	–	–	577,256	1,672,414	4,090,132	–	–	6,920,931	1,758,016
Philippines	1,358,218	–	–	172,541	–	–	–	–	1,530,759	457,026
Brunei	122,322	–	–	48,686	408,022	70,975	4	–	650,009	438,554
Cambodia	14,077	285,231	–	–	–	3,108	–	–	302,416	361,802
Thailand	39,894	–	–	–	–	–	–	–	39,894	–
Laos	1,237	1,979	–	–	15,438	–	883	1,586	21,123	894
India	523	–	–	33,347	–	–	–	–	33,870	51,394
Others	1,108,113	–	3,201,385	1,980,988	30,937	386,812	–	7,756	6,715,991	5,982,424
	27,212,276	38,309,616	17,608,327	146,199,427	281,795,229	23,331,778	9,061,608	4,648,095	548,166,356	185,561,734

* Financial investments portfolio consists of financial investments at fair value through profit or loss, financial investments at fair value through other comprehensive income and financial investments at amortised cost, excluding quoted and unquoted shares.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

3. Credit risk concentration profile (cont'd.)

(b) Concentration of credit risk for both on–balance sheet financial assets and off–balance sheet exposures analysed by industry sector are as follows:

Group	Cash and short–term funds RM'000	Deposits and placements with financial institutions RM'000	Financial assets purchased under resale agreements RM'000	Financial investments portfolio* RM'000	Loans, advances and financing RM'000	Derivative assets RM'000	Other assets RM'000	Statutory deposits with central banks RM'000	Total RM'000	Commitments and contingencies RM'000
2025										
Agriculture	–	–	–	2,190,759	7,773,754	27,737	–	–	9,992,250	1,055,436
Mining and quarrying	–	–	–	2,599,391	4,110,920	20	–	–	6,710,331	641,782
Manufacturing	–	–	–	1,525,412	35,520,158	572,504	–	–	37,618,074	10,410,472
Construction	–	–	–	10,071,927	26,851,599	1,215	–	–	36,924,741	14,559,006
Electricity, gas and water supply	–	–	–	7,010,675	11,452,719	215,389	–	–	18,678,783	4,701,264
Wholesale, retail trade, restaurants and hotels	–	–	–	7,454,976	59,070,646	29,555	490	–	66,555,667	40,987,201
Finance, insurance, real estate and business	28,328,140	14,030,366	8,812,426	88,195,002	200,552,562	16,732,906	13,576,496	11,958,915	382,186,813	127,433,006
Transport, storage and communication	–	–	–	11,796,649	15,085,843	52,373	16	–	26,934,881	4,562,889
Education, health and others	–	–	–	78,587,486	10,015,108	1,769	–	–	88,604,363	6,878,460
Household	–	–	–	–	281,457,397	–	451,006	–	281,908,403	66,718,738
Others	–	–	–	27,304,470	25,997,887	6,760	1,204,741	–	54,513,858	17,356,806
	28,328,140	14,030,366	8,812,426	236,736,747	677,888,593	17,640,228	15,232,749	11,958,915	1,010,628,164	295,305,060
2024										
Agriculture	–	–	–	1,508,932	7,785,837	77,672	–	–	9,372,441	2,953,634
Mining and quarrying	–	–	–	618,225	4,180,625	20,696	–	–	4,819,546	2,987,246
Manufacturing	–	–	–	1,107,667	36,133,160	467,646	–	–	37,708,473	20,454,600
Construction	–	–	–	6,184,206	24,931,127	118	–	–	31,115,451	16,380,451
Electricity, gas and water supply	–	–	–	9,264,270	8,854,534	158,555	4,361	–	18,281,720	11,108,386
Wholesale, retail trade, restaurants and hotels	–	–	–	10,682,568	62,821,167	3,847	510	–	73,508,092	46,659,440
Finance, insurance, real estate and business	40,522,520	22,275,032	16,579,942	82,471,880	154,925,081	22,666,268	11,779,471	17,166,509	368,386,703	136,809,506
Transport, storage and communication	–	–	–	10,244,118	14,441,421	20,975	16	–	24,706,530	4,927,320
Education, health and others	–	–	50,841	84,670,752	16,286,514	482	–	–	101,008,589	8,040,331
Household	–	–	–	–	331,175,745	–	281,702	–	331,457,447	39,046,607
Others	–	–	–	34,641,917	3,238,874	1,321	990,295	–	38,872,407	8,385,352
	40,522,520	22,275,032	16,630,783	241,394,535	664,774,085	23,417,580	13,056,355	17,166,509	1,039,237,399	297,752,873

* Financial investments portfolio consists of financial assets designated upon initial recognition at fair value through profit or loss, financial investments at fair value through profit or loss, financial investments at fair value through other comprehensive income and financial investments at amortised cost, excluding quoted and unquoted shares.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

3. Credit risk concentration profile (cont'd.)

(b) Concentration of credit risk for both on–balance sheet financial assets and off–balance sheet exposures analysed by industry sector are as follows (cont'd.):

Bank	Cash and short-term funds RM'000	Deposits and placements with financial institutions RM'000	Financial assets purchased under resale agreements RM'000	Financial investments portfolio* RM'000	Loans, advances and financing RM'000	Derivative assets RM'000	Other assets RM'000	Statutory deposits with central banks RM'000	Total RM'000	Commitments and contingencies RM'000
2025										
Agriculture	–	–	–	956,611	5,695,103	27,154	–	–	6,678,868	443,748
Mining and quarrying	–	–	–	–	2,081,266	–	–	–	2,081,266	526,261
Manufacturing	–	–	–	759,626	14,764,006	542,639	–	–	16,066,271	6,409,705
Construction	–	–	–	5,952,619	8,945,418	426	–	–	14,898,463	8,552,081
Electricity, gas and water supply	–	–	–	2,144,609	9,339,684	215,389	–	–	11,699,682	3,739,841
Wholesale, retail trade, restaurants and hotels	–	–	–	44,855	23,211,277	27,179	–	–	23,283,311	33,874,241
Finance, insurance, real estate and business	23,860,757	29,613,139	7,908,283	53,462,562	124,615,097	16,536,195	11,470,048	3,051,218	270,517,299	78,289,585
Transport, storage and communication	–	–	–	4,650,317	6,997,607	49,903	–	–	11,697,827	2,670,556
Education, health and others	–	–	1,828,683	57,162,621	3,402,774	1,769	–	–	62,395,847	4,930,607
Household	–	–	–	–	68,789,409	–	–	–	68,789,409	28,940,631
Others	–	–	–	23,553,182	3,138,361	4,391	–	–	26,695,934	11,562,999
	23,860,757	29,613,139	9,736,966	148,687,002	270,980,002	17,405,045	11,470,048	3,051,218	514,804,177	179,940,255
2024										
Agriculture	–	–	–	965,532	5,344,232	75,443	–	–	6,385,207	2,531,620
Mining and quarrying	–	–	–	–	3,700,176	831	–	–	3,701,007	2,496,779
Manufacturing	–	–	–	555,315	17,825,849	444,902	–	–	18,826,066	15,656,089
Construction	–	–	–	3,454,263	11,021,343	99	–	–	14,475,705	10,949,115
Electricity, gas and water supply	–	–	–	1,055,691	5,831,831	158,555	–	–	7,046,077	10,364,396
Wholesale, retail trade, restaurants and hotels	–	–	–	50,443	27,412,364	2,938	–	–	27,465,745	39,300,450
Finance, insurance, real estate and business	27,212,276	38,309,616	16,122,374	50,974,925	122,056,197	22,626,667	9,061,608	4,648,095	291,011,758	88,684,329
Transport, storage and communication	–	–	–	4,027,829	9,681,324	20,873	–	–	13,730,026	3,779,589
Education, health and others	–	–	1,485,953	59,623,357	9,527,067	481	–	–	70,636,858	6,409,176
Household	–	–	–	–	68,213,692	–	–	–	68,213,692	2,322,929
Others	–	–	–	25,492,072	1,181,154	989	–	–	26,674,215	3,067,262
	27,212,276	38,309,616	17,608,327	146,199,427	281,795,229	23,331,778	9,061,608	4,648,095	548,166,356	185,561,734

* Financial investments portfolio consists of financial investments at fair value through profit or loss, financial investments at fair value through other comprehensive income and financial investments at amortised cost, excluding quoted and unquoted shares.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

4. Collateral

Collateral provides a secondary source of repayment in the event that counterparties default on their credit facilities. The Group has in place collateral requirements and concentration thresholds to manage collateral risks. The main types of collateral accepted by the Group and the Bank to mitigate credit risk are as follows:

- For mortgage loans and financing – charges over residential properties;
- For auto loans and financing – ownership claims over the vehicles financed;
- For share margin financing – pledges over securities from listed exchanges;
- For commercial property loans and financing – charges over the properties financed;
- For other loans and financing – charges over business assets such as premises, machineries & equipment financed or deposits; and
- For Over–the–Counter ("OTC") derivatives – cash and government bonds.

5. Credit quality of financial assets

Credit classification for financial assets

The four (4) risk categories are as set out and defined below, from very low to high, apart from impaired, describe the credit quality of the Group's lending. These classifications encompass a range of more granular, internal gradings assigned to loans, advances and financing whilst external gradings are applied to financial investments. There is no direct correlation between the internal and external ratings at a granular level, except to the extent that each falls within a single credit quality band.

Risk category	Borrower Risk Rating grade	External credit ratings based on S&P's ratings	External credit ratings based on RAM's ratings
Very low	1 – 5	AAA to BBB+	AAA to AA1
Low	6 – 10	BBB+ to BB+	AA2 to A3
Medium	11 – 15	BB to B+	A3 to BB1
High	16 – 21	B to C	BB2 to C

Risk category is as described below:

Very low	: Obligors rated in this category have an excellent capacity to meet financial commitments with very low credit risk.
Low	: Obligors rated in this category have a good capacity to meet financial commitments with low credit risk.
Medium	: Obligors rated in this category have a fairly acceptable capacity to meet financial commitments with moderate credit risk.
High	: Obligors rated in this category have uncertain capacity to meet financial commitments and are subject to high credit risk.

Other than the above rated risk categories, other categories used internally are as follows:

Impaired/default	: Obligors with objective evidence of impairment as a result of one or more events that have an impact on the estimated future cash flows of the obligors that can be reliably estimated. The detailed definition is further disclosed in Note 2.3(v)(d).
Unrated	: Refer to obligors which are currently not assigned with obligors' ratings due to unavailability of ratings models.
Sovereign	: Refer to obligors which are governments.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

5. Credit quality of financial assets (cont'd.)

The following table sets out information about the credit quality of financial assets measured at fair value through other comprehensive income and at amortised cost. Unless otherwise stated, for financial assets, the amounts in the table represent gross carrying amount.

Financial investments – at FVOCI

Group	Stage 1 12–month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
2025				
Very Low	**56,559,128**	**5,764**	**–**	**56,564,892**
Low	**22,865,708**	**526,037**	**–**	**23,391,745**
Medium	**35,072,250**	**–**	**–**	**35,072,250**
High	**313,361**	**–**	**–**	**313,361**
Unrated	**469,361**	**–**	**–**	**469,361**
Carrying amount – fair value	**115,279,808**	**531,801**	**–**	**115,811,609**
Expected credit loss	**(60,918)**	**(300,882)**	**–**	**(361,800)**
2024				
Very Low	43,320,984	–	–	43,320,984
Low	77,430,402	751,909	–	78,182,311
Medium	4,226,122	544,713	–	4,770,835
High	111,378	–	–	111,378
Unrated	587,141	–	–	587,141
Impaired	–	–	357,376	357,376
Carrying amount – fair value	125,676,027	1,296,622	357,376	127,330,025
Expected credit loss	(55,001)	(7,862)	–	(62,863)

Bank	Stage 1 12–month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
2025				
Very Low	**32,899,387**	**–**	**–**	**32,899,387**
Low	**9,644,838**	**188,099**	**–**	**9,832,937**
Medium	**21,408,150**	**–**	**–**	**21,408,150**
High	**236,335**	**–**	**–**	**236,335**
Unrated	**469,359**	**–**	**–**	**469,359**
Carrying amount – fair value	**64,658,069**	**188,099**	**–**	**64,846,168**
Expected credit loss	**(13,206)**	**(2,460)**	**–**	**(15,666)**
2024				
Very Low	24,182,016	–	–	24,182,016
Low	43,418,239	–	–	43,418,239
Medium	784,970	184,508	–	969,478
Carrying amount – fair value	68,385,225	184,508	–	68,569,733
Expected credit loss	(12,488)	(6,221)	–	(18,709)

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

5. Credit quality of financial assets (cont'd.)

The following table sets out information about the credit quality of financial assets measured at fair value through other comprehensive income and at amortised cost. Unless otherwise stated, for financial assets, the amounts in the table represent gross carrying amount (cont'd.).

Financial investments – at amortised cost

Group	Stage 1 12–month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
2025				
Very Low	**38,015,898**	**–**	**–**	**38,015,898**
Low	**13,642,962**	**121,909**	**–**	**13,764,871**
Medium	**27,448,695**	**209,832**	**–**	**27,739,527**
Unrated	**472,429**	**–**	**–**	**472,429**
Impaired	**–**	**–**	**911,314**	**911,314**
	79,579,984	**412,741**	**911,314**	**80,904,039**
Less: Expected credit loss	**(43,092)**	**(65,278)**	**(9,229)**	**(117,599)**
Net carrying amount	**79,536,892**	**347,463**	**902,085**	**80,786,440**
2024				
Very Low	31,408,366	–	–	31,408,366
Low	43,565,210	263,256	–	43,828,466
Medium	2,014,786	122,529	–	2,137,315
Unrated	500,849	–	–	500,849
Impaired	–	–	2,633,633	2,633,633
	77,489,211	385,785	2,633,633	80,508,629
Less: Expected credit loss	(34,225)	(15,962)	(1,080,950)	(1,131,137)
Net carrying amount	77,454,986	369,823	1,552,683	79,377,492

Bank	Stage 1 12–month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
2025				
Very Low	**28,875,367**	**–**	**–**	**28,875,367**
Low	**20,320,851**	**–**	**–**	**20,320,851**
Medium	**17,282,626**	**183,732**	**–**	**17,466,358**
Unrated	**472,429**	**–**	**–**	**472,429**
Impaired	**–**	**–**	**865,296**	**865,296**
	66,951,273	**183,732**	**865,296**	**68,000,301**
Less: Expected credit loss	**(22,428)**	**(12,048)**	**–**	**(34,476)**
Net carrying amount	**66,928,845**	**171,684**	**865,296**	**67,965,825**
2024				
Very Low	23,842,072	–	–	23,842,072
Low	39,904,725	252,528	–	40,157,253
Medium	211,407	–	–	211,407
Unrated	500,850	–	–	500,850
	64,459,054	252,528	–	64,711,582
Less: Expected credit loss	(19,771)	(10,504)	–	(30,275)
Net carrying amount	64,439,283	242,024	–	64,681,307

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

5. Credit quality of financial assets (cont'd.)

The following table sets out information about the credit quality of financial assets measured at fair value through other comprehensive income and at amortised cost. Unless otherwise stated, for financial assets, the amounts in the table represent gross carrying amount (cont'd.).

Loans, advances and financing to financial institutions – at FVOCI

Group	Stage 1 12–month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
2025				
Very Low	–	–	–	–
High	–	–	–	–
Carrying amount – fair value	–	–	–	–
Expected credit loss	–	–	–	–
2024				
Very Low	147,161	–	–	147,161
Carrying amount – fair value	147,161	–	–	147,161
Expected credit loss	–	–	–	–

Bank	Stage 1 12–month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
2025				
Very Low	–	–	–	–
High	–	–	–	–
Carrying amount – fair value	–	–	–	–
Expected credit loss	–	–	–	–
2024				
Very Low	453,603	–	–	453,603
Carrying amount – fair value	453,603	–	–	453,603
Expected credit loss	–	–	–	–

There were no outstanding loans, advances and financing to financing institutions at FVOCI as at 31 December 2025.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

5. Credit quality of financial assets (cont'd.)

The following table sets out information about the credit quality of financial assets measured at fair value through other comprehensive income and at amortised cost. Unless otherwise stated, for financial assets, the amounts in the table represent gross carrying amount (cont'd.).

Loans, advances and financing to financial institutions – at amortised cost

Group	Stage 1 12–month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
2025				
Medium	**598,445**	**146,336**	**–**	**744,781**
Unrated	**164,124**	**–**	**–**	**164,124**
	762,569	**146,336**	**–**	**908,905**
Less: Expected credit loss	**(1,661)**	**(31)**	**–**	**(1,692)**
Net carrying amount	**760,908**	**146,305**	**–**	**907,213**
2024				
Very Low	47,389	–	–	47,389
Medium	1,765,255	9,199	–	1,774,454
High	69,250	–	–	69,250
	1,881,894	9,199	–	1,891,093
Less: Expected credit loss	(4,959)	(70)	–	(5,029)
Net carrying amount	1,876,935	9,129	–	1,886,064

Bank	Stage 1 12–month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
2025				
Very Low	**20,302,704**	**–**	**–**	**20,302,704**
Low	**9,693,166**	**231,816**	**–**	**9,924,982**
Medium	**18,049,198**	**849,420**	**–**	**18,898,618**
Unrated	**487,415**	**–**	**–**	**487,415**
Impaired	**–**	**–**	**100,009**	**100,009**
	48,532,483	**1,081,236**	**100,009**	**49,713,728**
Less: Expected credit loss	**(36,072)**	**(13,267)**	**(99,786)**	**(149,125)**
Net carrying amount	**48,496,411**	**1,067,969**	**223**	**49,564,603**
2024				
Very Low	17,164,540	–	–	17,164,540
Low	14,436,644	3,995	–	14,440,639
Medium	12,321,723	1,182,834	–	13,504,557
High	69,250	–	–	69,250
Unrated	1,105,047	–	–	1,105,047
Impaired	–	–	3,072,595	3,072,595
	45,097,204	1,186,829	3,072,595	49,356,628
Less: Expected credit loss	(58,889)	(17,714)	(1,412,413)	(1,489,016)
Net carrying amount	45,038,315	1,169,115	1,660,182	47,867,612

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

5. Credit quality of financial assets (cont'd.)

The following table sets out information about the credit quality of financial assets measured at fair value through other comprehensive income and at amortised cost. Unless otherwise stated, for financial assets, the amounts in the table represent gross carrying amount (cont'd.).

Loans, advances and financing to customers – at FVOCI

Group	Stage 1 12–month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
2025				
Very Low	**6,842,806**	**–**	**–**	**6,842,806**
Low	**10,169,160**	**1,113,673**	**–**	**11,282,833**
Medium	**7,653,728**	**1,136,523**	**–**	**8,790,251**
High	**410,806**	**805,735**	**–**	**1,216,541**
Unrated	**1,311,138**	**–**	**–**	**1,311,138**
Impaired	**–**	**–**	**844,840**	**844,840**
Carrying amount – fair value	**26,387,638**	**3,055,931**	**844,840**	**30,288,409**
Expected credit loss	**(92,540)**	**(64,284)**	**(582,522)**	**(739,346)**
2024				
Very Low	2,919,961	–	–	2,919,961
Low	18,700,945	–	–	18,700,945
Medium	5,930,464	649,949	–	6,580,413
High	459,799	149,447	–	609,246
Unrated	2,760,854	–	–	2,760,854
Impaired	–	–	298,206	298,206
Carrying amount – fair value	30,772,023	799,396	298,206	31,869,625
Expected credit loss	(108,959)	(40,849)	(222,406)	(372,214)

Bank	Stage 1 12–month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
2025				
Very Low	**6,842,806**	**–**	**–**	**6,842,806**
Low	**17,184,887**	**1,113,673**	**–**	**18,298,560**
Medium	**7,074,445**	**655,954**	**–**	**7,730,399**
High	**410,806**	**805,735**	**–**	**1,216,541**
Unrated	**1,311,137**	**–**	**–**	**1,311,137**
Impaired	**–**	**–**	**316,210**	**316,210**
Carrying amount – fair value	**32,824,081**	**2,575,362**	**316,210**	**35,715,653**
Expected credit loss	**(98,103)**	**(33,082)**	**(299,265)**	**(430,450)**
2024				
Very Low	2,919,961	–	–	2,919,961
Low	22,089,552	–	–	22,089,552
Medium	5,203,954	326,675	–	5,530,629
High	459,799	149,447	–	609,246
Unrated	2,760,854	–	–	2,760,854
Impaired	–	–	298,206	298,206
Carrying amount – fair value	33,434,120	476,122	298,206	34,208,448
Expected credit loss	(109,468)	(15,078)	(222,406)	(346,952)

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

5. Credit quality of financial assets (cont'd.)

The following table sets out information about the credit quality of financial assets measured at fair value through other comprehensive income and at amortised cost. Unless otherwise stated, for financial assets, the amounts in the table represent gross carrying amount (cont'd.).

Loans, advances and financing to customers – at amortised cost

Group	Stage 1 12–month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
2025				
Very Low	**252,132,502**	**735,653**	**–**	**252,868,155**
Low	**218,634,584**	**5,174,308**	**–**	**223,808,892**
Medium	**91,049,423**	**24,200,395**	**–**	**115,249,818**
High	**6,444,467**	**9,781,822**	**–**	**16,226,289**
Unrated	**37,924,069**	**1,308,895**	**–**	**39,232,964**
Impaired	**–**	**–**	**7,965,357**	**7,965,357**
	606,185,045	**41,201,073**	**7,965,357**	**655,351,475**
Less: Expected credit loss	**(2,099,634)**	**(3,412,665)**	**(3,146,205)**	**(8,658,504)**
Net carrying amount	**604,085,411**	**37,788,408**	**4,819,152**	**646,692,971**
2024				
Very Low	239,841,734	596,804	–	240,438,538
Low	221,425,194	5,444,958	–	226,870,152
Medium	89,596,864	21,117,840	–	110,714,704
High	5,633,432	9,284,137	–	14,917,569
Unrated	39,225,109	867,469	–	40,092,578
Impaired	–	–	8,027,552	8,027,552
	595,722,333	37,311,208	8,027,552	641,061,093
Less: Expected credit loss	(1,869,401)	(3,448,382)	(4,872,075)	(10,189,858)
Net carrying amount	593,852,932	33,862,826	3,155,477	630,871,235

Bank	Stage 1 12–month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
2025				
Very Low	**52,853,946**	**101,848**	**–**	**52,955,794**
Low	**81,318,852**	**2,320,903**	**–**	**83,639,755**
Medium	**27,270,259**	**8,769,349**	**–**	**36,039,608**
High	**1,439,827**	**2,327,240**	**–**	**3,767,067**
Unrated	**9,186,053**	**587,274**	**–**	**9,773,327**
Impaired	**–**	**–**	**2,444,382**	**2,444,382**
	172,068,937	**14,106,614**	**2,444,382**	**188,619,933**
Less: Expected credit loss	**(864,368)**	**(1,363,852)**	**(691,967)**	**(2,920,187)**
Net carrying amount	**171,204,569**	**12,742,762**	**1,752,415**	**185,699,746**
2024				
Very Low	50,549,435	100,233	–	50,649,668
Low	90,853,679	3,081,450	–	93,935,129
Medium	35,808,050	7,264,893	–	43,072,943
High	1,267,995	2,463,055	–	3,731,050
Unrated	9,376,953	108,499	–	9,485,452
Impaired	–	–	2,248,658	2,248,658
	187,856,112	13,018,130	2,248,658	203,122,900
Less: Expected credit loss	(843,618)	(982,225)	(2,031,491)	(3,857,334)
Net carrying amount	187,012,494	12,035,905	217,167	199,265,566

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

5. Credit quality of financial assets (cont'd.)

The following table sets out information about the credit quality of financial assets measured at fair value through other comprehensive income and at amortised cost. Unless otherwise stated, for financial assets, the amounts in the table represent gross carrying amount (cont'd.).

Group	Cash and short–term funds RM'000	Deposits and placements with financial institutions RM'000	Financial assets purchased under resale agreements RM'000	Statutory deposits with central banks RM'000
2025				
Stage 1				
Sovereign	**7,939,319**	**3,598,193**	**–**	**11,959,630**
Very Low	**5,133,257**	**9,171,176**	**2,904,780**	**–**
Low	**7,068,741**	**857,292**	**5,865,032**	**–**
Medium	**328,315**	**340,000**	**–**	**–**
High	**12,900**	**1,565**	**–**	**–**
Unrated	**7,871,872**	**66,086**	**44,925**	**–**
	28,354,404	**14,034,312**	**8,814,737**	**11,959,630**
Less: Expected credit loss	**(26,264)**	**(3,946)**	**(2,311)**	**(715)**
Net carrying amount	**28,328,140**	**14,030,366**	**8,812,426**	**11,958,915**
2024				
Stage 1				
Sovereign	21,649,048	16,906,771	–	17,168,443
Very Low	6,467,228	5,289,712	15,761,446	–
Low	5,017,370	–	400,286	–
Medium	477,263	–	468,100	–
High	36,987	4,162	–	–
Unrated	6,905,954	78,602	2,601	–
	40,553,850	22,279,247	16,632,433	17,168,443
Less: Expected credit loss	(31,330)	(4,215)	(1,650)	(1,934)
Net carrying amount	40,522,520	22,275,032	16,630,783	17,166,509

None of the above financial assets were classified as Stage 2 or Stage 3 as at 31 December 2025 and 31 December 2024.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

5. Credit quality of financial assets (cont'd.)

The following table sets out information about the credit quality of financial assets measured at fair value through other comprehensive income and at amortised cost. Unless otherwise stated, for financial assets, the amounts in the table represent gross carrying amount (cont'd.).

Bank	Cash and short–term funds RM'000	Deposits and placements with financial institutions RM'000	Financial assets purchased under resale agreements RM'000	Statutory deposits with central banks RM'000
2025				
Stage 1				
Sovereign	**3,014,063**	**2,764,058**	**–**	**3,051,218**
Very Low	**1,085,674**	**8,767,263**	**6,523,864**	**–**
Low	**12,193,967**	**17,094,678**	**3,215,715**	**–**
Medium	**1,296,355**	**713,839**	**–**	**–**
High	**4,913**	**263,803**	**–**	**–**
Unrated	**6,271,811**	**17,663**	**–**	**–**
	23,866,783	**29,621,304**	**9,739,579**	**3,051,218**
Less: Expected credit loss	**(6,026)**	**(8,165)**	**(2,613)**	**–**
Net carrying amount	**23,860,757**	**29,613,139**	**9,736,966**	**3,051,218**
2024				
Stage 1				
Sovereign	8,663,030	15,648,702	–	4,648,095
Very Low	2,486,391	4,600,398	15,761,445	–
Low	8,083,003	17,775,786	1,728,226	–
Medium	2,243,169	–	122,108	–
High	37,031	290,485	–	–
Unrated	5,705,614	2,071	–	–
	27,218,238	38,317,442	17,611,779	4,648,095
Less: Expected credit loss	(5,962)	(7,826)	(3,452)	–
Net carrying amount	27,212,276	38,309,616	17,608,327	4,648,095

None of the above financial assets were classified as Stage 2 or Stage 3 as at 31 December 2025 and 31 December 2024.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

5. Credit quality of financial assets (cont'd.)

The following table sets out information about the credit quality of financial assets measured at fair value through other comprehensive income and at amortised cost. Unless otherwise stated, for financial assets, the amounts in the table represent gross carrying amount (cont'd.).

Other assets

Group	Stage 1 12–month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
2025				
Very Low	**837,105**	**–**	**–**	**837,105**
Low	**6,331,032**	**116**	**–**	**6,331,148**
Medium	**1,634,795**	**–**	**–**	**1,634,795**
High	**609**	**–**	**–**	**609**
Unrated	**6,448,515**	**11,385**	**–**	**6,459,900**
Impaired	**–**	**–**	**111,896**	**111,896**
	15,252,056	**11,501**	**111,896**	**15,375,453**
Less: Expected credit loss	**(59,006)**	**(752)**	**(82,946)**	**(142,704)**
Net carrying amount	**15,193,050**	**10,749**	**28,950**	**15,232,749**
2024				
Sovereign	9,957	–	–	9,957
Very Low	429,618	–	–	429,618
Low	2,878,586	56	–	2,878,642
Medium	1,185,223	–	–	1,185,223
High	670	–	–	670
Unrated	8,552,453	4,425	–	8,556,878
Impaired	–	–	79,640	79,640
	13,056,507	4,481	79,640	13,140,628
Less: Expected credit loss	(8,516)	(80)	(75,677)	(84,273)
Net carrying amount	13,047,991	4,401	3,963	13,056,355

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

5. Credit quality of financial assets (cont'd.)

The following table sets out information about the credit quality of financial assets measured at fair value through other comprehensive income and at amortised cost. Unless otherwise stated, for financial assets, the amounts in the table represent gross carrying amount (cont'd.).

Other assets (cont'd.)

Bank	Stage 1 12–month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
2025				
Very Low	**112,528**	**–**	**–**	**112,528**
Low	**6,254,461**	**–**	**–**	**6,254,461**
Medium	**1,634,795**	**–**	**–**	**1,634,795**
High	**609**	**–**	**–**	**609**
Unrated	**3,464,317**	**–**	**–**	**3,464,317**
Impaired	**–**	**–**	**49,023**	**49,023**
	11,466,710	**–**	**49,023**	**11,515,733**
Less: Expected credit loss	**–**	**–**	**(45,685)**	**(45,685)**
Net carrying amount	**11,466,710**	**–**	**3,338**	**11,470,048**
2024				
Sovereign	9,957	–	–	9,957
Very Low	117,763	–	–	117,763
Low	2,854,178	–	–	2,854,178
Medium	1,185,223	–	–	1,185,223
High	670	–	–	670
Unrated	4,890,043	–	–	4,890,043
Impaired	–	–	40,527	40,527
	9,057,834	–	40,527	9,098,361
Less: Expected credit loss	–	–	(36,753)	(36,753)
Net carrying amount	9,057,834	–	3,774	9,061,608

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

5. Credit quality of financial assets (cont'd.)

The following table sets out information about the credit quality of financial assets measured at fair value through other comprehensive income and at amortised cost. Unless otherwise stated, for financial assets, the amounts in the table represent gross carrying amount (cont'd.).

Loan commitments and financial guarantee contracts

Group	Stage 1 12–month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
2025				
Very Low	**2,538,776**	**10,919**	**–**	**2,549,695**
Low	**6,292,230**	**160,046**	**–**	**6,452,276**
Medium	**4,680,754**	**1,267,019**	**–**	**5,947,773**
High	**413,436**	**230,120**	**–**	**643,556**
Unrated	**2,172,170**	**2,057**	**–**	**2,174,227**
Impaired	**–**	**–**	**75,063**	**75,063**
Carrying amount	**16,097,366**	**1,670,161**	**75,063**	**17,842,590**
Expected credit loss	**(150,003)**	**(33,171)**	**(63,544)**	**(246,718)**
2024				
Very Low	1,612,312	8,104	–	1,620,416
Low	9,075,726	381,701	–	9,457,427
Medium	5,037,631	527,941	–	5,565,572
High	577,949	225,444	–	803,393
Unrated	1,523,396	71,453	–	1,594,849
Impaired	–	–	599,775	599,775
Carrying amount	17,827,014	1,214,643	599,775	19,641,432
Expected credit loss	(167,452)	(99,546)	(130,799)	(397,797)

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

5. Credit quality of financial assets (cont'd.)

The following table sets out information about the credit quality of financial assets measured at fair value through other comprehensive income and at amortised cost. Unless otherwise stated, for financial assets, the amounts in the table represent gross carrying amount (cont'd.).

Loan commitments and financial guarantee contracts (cont'd.)

Bank	Stage 1 12–month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
2025				
Very Low	**1,192,384**	**2,554**	**–**	**1,194,938**
Low	**3,552,313**	**40,905**	**–**	**3,593,218**
Medium	**1,569,064**	**881,027**	**–**	**2,450,091**
High	**194,231**	**93,544**	**–**	**287,775**
Unrated	**1,149,414**	**7**	**–**	**1,149,421**
Impaired	**–**	**–**	**50,668**	**50,668**
Carrying amount	**7,657,406**	**1,018,037**	**50,668**	**8,726,111**
Expected credit loss	**(70,982)**	**(14,093)**	**(44,110)**	**(129,185)**
2024				
Very Low	613,387	7,069	–	620,456
Low	4,558,835	318,304	–	4,877,139
Medium	1,498,182	180,728	–	1,678,910
High	256,301	82,447	–	338,748
Unrated	359,531	71,416	–	430,947
Impaired	–	–	80,911	80,911
Carrying amount	7,286,236	659,964	80,911	8,027,111
Expected credit loss	(71,192)	(84,267)	(74,055)	(229,514)

The Group and the Bank issue loan commitments and financial guarantees, consist of undrawn commitment, letters of credit, guarantees and acceptances which the loss allowance is recognised as expected credit loss.

The following table sets out information about the credit quality of financial assets measured at fair value through profit or loss:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Financial investments at FVTPL				
Very Low	**15,854,206**	8,413,053	**5,419,833**	4,732,504
Low	**13,795,411**	17,851,418	**3,414,539**	7,660,150
Medium	**7,356,168**	2,697,042	**6,291,065**	15,216
Unrated	**3,132,913**	5,725,505	**749,572**	540,517
Total carrying amount	**40,138,698**	34,687,018	**15,875,009**	12,948,387

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

6. Credit quality of impaired financial assets

(i) Impaired financial assets analysed by geographic purpose are as follows:

Group	Loans, advances and financing RM'000	Financial investments portfolio* RM'000	Other assets RM'000	Total RM'000
2025				
Malaysia	**5,561,631**	**911,314**	**56,870**	**6,529,815**
Singapore	**499,312**	**–**	**4,483**	**503,795**
Indonesia	**1,185,107**	**–**	**3,393**	**1,188,500**
Labuan Offshore	**445,625**	**–**	**19,229**	**464,854**
Hong Kong SAR	**366,239**	**–**	**1,408**	**367,647**
United States of America	**–**	**–**	**1**	**1**
People's Republic of China	**119,477**	**–**	**–**	**119,477**
Vietnam	**1,114**	**–**	**–**	**1,114**
United Kingdom	**–**	**–**	**144**	**144**
Brunei	**8,233**	**–**	**–**	**8,233**
Cambodia	**361,007**	**–**	**–**	**361,007**
Philippines	**229,301**	**–**	**3,069**	**232,370**
Thailand	**32,394**	**–**	**23,285**	**55,679**
Laos	**159**	**–**	**–**	**159**
Myanmar	**598**	**–**	**–**	**598**
Others	**–**	**–**	**14**	**14**
	8,810,197	**911,314**	**111,896**	**9,833,407**
2024				
Malaysia	4,674,768	2,991,009	20,289	7,686,066
Singapore	740,179	–	4,763	744,942
Indonesia	1,419,763	–	3,885	1,423,648
Labuan Offshore	724,514	–	21,293	745,807
Hong Kong SAR	727	–	1,771	2,498
United States of America	–	–	1	1
People's Republic of China	103,932	–	–	103,932
Vietnam	16,981	–	–	16,981
United Kingdom	–	–	141	141
Brunei	12,319	–	–	12,319
Cambodia	355,393	–	–	355,393
Philippines	241,188	–	3,318	244,506
Thailand	32,880	–	24,166	57,046
Laos	518	–	–	518
Myanmar	2,597	–	–	2,597
Others	–	–	13	13
	8,325,759	2,991,009	79,640	11,396,408

* Financial investments portfolio consists of financial assets designated upon initial recognition at fair value through profit or loss, financial investments at fair value through profit or loss, financial investments at fair value through other comprehensive income and financial investments at amortised cost, excluding quoted and unquoted shares.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

6. Credit quality of impaired financial assets (cont'd.)

(i) Impaired financial assets analysed by geographic purpose are as follows (cont'd.):

Bank	Loans, advances and financing RM'000	Financial investments portfolio* RM'000	Other assets RM'000	Total RM'000
2025				
Malaysia	**1,858,276**	**865,296**	**30,104**	**2,753,676**
Singapore	**62,004**	**–**	**–**	**62,004**
Labuan Offshore	**445,625**	**–**	**18,919**	**464,544**
Hong Kong SAR	**366,230**	**–**	**–**	**366,230**
People's Republic of China	**119,477**	**–**	**–**	**119,477**
Brunei	**8,233**	**–**	**–**	**8,233**
Laos	**159**	**–**	**–**	**159**
Myanmar	**598**	**–**	**–**	**598**
	2,860,602	**865,296**	**49,023**	**3,774,921**
2024				
Malaysia	4,722,034	–	19,447	4,741,481
Singapore	37,157	–	–	37,157
Labuan Offshore	724,514	–	21,080	745,594
Hong Kong SAR	716	–	–	716
People's Republic of China	103,932	–	–	103,932
Vietnam	15,673	–	–	15,673
Brunei	12,319	–	–	12,319
Laos	518	–	–	518
Myanmar	2,597	–	–	2,597
	5,619,460	–	40,527	5,659,987

* Financial investments portfolio consists of financial investments at fair value through profit or loss, financial investments at fair value through other comprehensive income and financial investments at amortised cost, excluding quoted and unquoted shares.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

6. Credit quality of impaired financial assets (cont'd.)

(ii) Impaired financial assets analysed by industry sectors are as follows:

Group	Loans, advances and financing RM'000	Financial investments portfolio* RM'000	Other assets RM'000	Total RM'000
2025				
Agriculture	**96,364**	**–**	**–**	**96,364**
Mining and quarrying	**241,656**	**–**	**–**	**241,656**
Manufacturing	**700,402**	**–**	**–**	**700,402**
Construction	**1,762,056**	**–**	**–**	**1,762,056**
Electricity, gas and water supply	**27,936**	**865,296**	**–**	**893,232**
Wholesale, retail trade, restaurants and hotels	**1,828,283**	**–**	**–**	**1,828,283**
Finance, insurance, real estate and business	**1,554,926**	**–**	**82,013**	**1,636,939**
Transport, storage and communication	**331,466**	**–**	**–**	**331,466**
Education, health and others	**147,894**	**46,018**	**–**	**193,912**
Household	**2,081,475**	**–**	**29,877**	**2,111,352**
Others	**37,739**	**–**	**6**	**37,745**
	8,810,197	**911,314**	**111,896**	**9,833,407**
2024				
Agriculture	81,049	–	–	81,049
Mining and quarrying	170,303	–	–	170,303
Manufacturing	1,137,404	–	–	1,137,404
Construction	1,599,336	–	–	1,599,336
Electricity, gas and water supply	16,519	2,947,348	–	2,963,867
Wholesale, retail trade, restaurants and hotels	1,935,699	–	–	1,935,699
Finance, insurance, real estate and business	1,100,821	–	48,131	1,148,952
Transport, storage and communication	295,910	–	–	295,910
Education, health and others	198,337	43,661	–	241,998
Household	1,717,992	–	31,505	1,749,497
Others	72,389	–	4	72,393
	8,325,759	2,991,009	79,640	11,396,408

* Financial investments portfolio consists of financial assets designated upon initial recognition at fair value through profit or loss, financial investments at fair value through profit or loss, financial investments at fair value through other comprehensive income and financial investments at amortised cost, excluding quoted and unquoted shares.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

6. Credit quality of impaired financial assets (cont'd.)

(ii) Impaired financial assets analysed by industry sectors are as follows (cont'd.):

Bank	Loans, advances and financing RM'000	Financial investments portfolio* RM'000	Other assets RM'000	Total RM'000
2025				
Agriculture	**16,433**	**–**	**–**	**16,433**
Mining and quarrying	**102,332**	**–**	**–**	**102,332**
Manufacturing	**122,743**	**–**	**–**	**122,743**
Construction	**651,944**	**–**	**–**	**651,944**
Electricity, gas and water supply	**1,013**	**865,296**	**–**	**866,309**
Wholesale, retail trade, restaurants and hotels	**415,272**	**–**	**–**	**415,272**
Finance, insurance, real estate and business	**1,000,588**	**–**	**49,023**	**1,049,611**
Transport, storage and communication	**99,619**	**–**	**–**	**99,619**
Education, health and others	**11,653**	**–**	**–**	**11,653**
Household	**437,796**	**–**	**–**	**437,796**
Others	**1,209**	**–**	**–**	**1,209**
	2,860,602	**865,296**	**49,023**	**3,774,921**
2024				
Agriculture	16,141	–	–	16,141
Mining and quarrying	2,918,396	–	–	2,918,396
Manufacturing	390,836	–	–	390,836
Construction	752,571	–	–	752,571
Electricity, gas and water supply	2,105	–	–	2,105
Wholesale, retail trade, restaurants and hotels	453,034	–	–	453,034
Finance, insurance, real estate and business	533,913	–	40,527	574,440
Transport, storage and communication	108,711	–	–	108,711
Education, health and others	18,636	–	–	18,636
Household	424,255	–	–	424,255
Others	862	–	–	862
	5,619,460	–	40,527	5,659,987

* Financial investments portfolio consists of financial investments at fair value through profit or loss, financial investments at fair value through other comprehensive income and financial investments at amortised cost, excluding quoted and unquoted shares.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(e) Credit risk management (cont'd.)

7. Possessed collateral

Assets obtained by taking possession of collateral held as security against loans, advances and financing and held as at the financial year end are as follows:

	Group	
	2025 RM'000	**2024 RM'000**
Residential properties	**118,292**	174,420
Others	**164,643**	201,230
	282,935	375,650

Repossessed collaterals are sold as soon as practicable. Repossessed collaterals are included under 'other assets' on the statement of financial position. The Group and the Bank do not occupy repossessed properties or assets for its business use.

(f) Market risk management

1. Market risk management overview

Market risk management

Market risk is defined as the risk of loss or adverse impact on earnings or capital arising from movements of market rates or prices such as interest/profit rates, foreign exchange rates, commodity prices and equity prices.

2. Market risk management

Management of trading activities

The Group's market risk exposures of the Trading Book are primarily from trading activities in financial markets. The risk measurement techniques employed by the Group comprise both quantitative and qualitative measures.

The Trading Book is governed by comprehensive market risk policies and limits that are reviewed semi–annually to ensure alignment with the Group's risk appetite and to reflect evolving market conditions and business strategies. The Group employs both quantitative and qualitative risk measurement techniques including Value at Risk ("VaR") and risk sensitivity limits.

VaR measures the potential losses from market movements over a specified time horizon at a given confidence level. The Group's VaR methodology is based on historical simulation, using a 99.2% confidence level and a one–day holding period, and is regularly back tested to assess its reliability. Stressed VaR and Stress testing of trading exposures are also conducted and evaluated on a regular basis.

Risk sensitivity measures, such as price value of one basis point ("PV01") are used to monitor the portfolio's sensitivity interest/profit rate movements, while net open position ("NOP") limits are applied to manage foreign currency exposures. These sensitivity measures apply to both linear and non–linear (option–related) positions, providing granular information on Group's market risk profile and supporting monitoring, control and analysis.

Management and measurement of Interest Rate Risk ("IRR")/Rate of Return Risk ("RoR") in the banking book

The Group emphasises the importance of managing IRR/RoR in the banking book as most of the balance sheet items of the Group generate interest/profit income and interest expense/profit distributed to depositors, which are indexed to interest/profit rates. Volatility of earnings can pose a threat to the Group's profitability while economic value provides a more comprehensive view of the potential long–term effects on the Group's overall capital adequacy.

IRR/RoR in the banking book encompasses repricing risk, yield curve risk, basis risk and option risk arising from movements in interest/profit rates. The objective of the Group's IRR/RoR in the banking book framework is to ensure that all IRR/RoR in the banking book is managed within its risk appetite.

IRR/RoR in the banking book is measured and monitored proactively, using the following principal measurement techniques:

- Repricing Gap Analysis;
- Economic Value at Risk; and
- Earnings at Risk.

3. Interest rate risk

The Group and the Bank are exposed to various risks associated with the effects of fluctuations in the prevailing levels of market interest rates on the financial position and cash flows. Interest rate risk exposure is identified, measured, monitored and controlled through limits and procedures set by the Group Asset & Liability Management Committee ("ALCO") to protect total net interest income from changes in market interest rates.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(f) Market risk management (cont'd.)

3. Interest rate risk (cont'd.)

The tables below summarise the Group's and the Bank's exposure to interest rate risk as at 31 December 2025 and 31 December 2024. The tables indicate effective average interest rates at the reporting date and the periods in which the financial instruments are repriced or mature, whichever is earlier.

Group 2025	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 12 months RM'000	>1 to 5 years RM'000	Over 5 years RM'000	Non-interest sensitive RM'000	Trading books RM'000	Total RM'000	Effective interest rate %
Assets									
Cash and short-term funds	19,570,662	–	–	–	–	8,757,478	–	28,328,140	2.57
Deposits and placements with financial institutions	–	13,015,894	896,470	24,145	–	93,857	–	14,030,366	3.96
Financial assets purchased under resale agreements	4,783,602	4,028,824	–	–	–	–	–	8,812,426	2.54
Financial assets designated upon initial recognition at fair value through profit or loss	–	–	–	–	–	–	12,905,693	12,905,693	5.06
Financial investments at fair value through profit or loss	–	–	–	–	–	–	46,066,479	46,066,479	1.95
Financial investments at fair value through other comprehensive income	5,548,776	3,618,164	5,084,505	26,267,470	75,384,074	1,061,245	–	116,964,234	3.13
Financial investments at amortised cost	5,143,662	3,508,888	10,353,669	27,154,638	34,609,121	16,462	–	80,786,440	2.62
Loans, advances and financing									
– Non-impaired	392,586,151	55,747,369	74,325,660	83,054,176	72,025,236	–	–	677,738,592	4.92
– Impaired*	5,663,992	–	–	–	–	–	–	5,663,992	–
– 12-month ECL and Lifetime ECL not credit impaired	–	–	–	–	–	(5,513,991)	–	(5,513,991)	–
Derivative assets	–	–	–	–	–	–	17,640,228	17,640,228	–
Insurance contract/takaful certificate assets	–	–	–	–	–	103,165	–	103,165	–
Reinsurance contract/retakaful certificate assets	–	–	–	–	–	5,274,445	–	5,274,445	–
Other assets	–	–	–	–	–	17,316,342	–	17,316,342	–
Investment properties	–	–	–	–	–	1,042,622	–	1,042,622	–
Other non-interest sensitive balances	–	–	–	–	–	26,424,420	–	26,424,420	–
Total assets	433,296,845	79,919,139	90,660,304	136,500,429	182,018,431	54,576,045	76,612,400	1,053,583,593	
Liabilities and shareholders' equity									
Customers' funding:									
– Deposits from customers	238,491,623	144,956,044	195,157,191	55,041,934	64,563,435	–	–	698,210,227	2.22
– Investment accounts of customers^	3,526,919	4,622,424	10,983,237	5,869,098	7,781,296	–	–	32,782,974	1.35
Deposits and placements from financial institutions	13,821,424	9,706,582	14,730,974	3,693,505	634,844	–	–	42,587,329	4.10
Obligations on financial assets sold under repurchase agreements	16,123,053	8,757,891	–	1,018,481	–	–	–	25,899,425	3.40
Derivative liabilities	–	–	–	–	–	–	24,535,876	24,535,876	–
Financial liabilities at fair value through profit or loss	5,855,152	25,550	6,750	174,610	3,521,675	–	–	9,583,737	2.20
Bills and acceptances payable	–	–	–	–	–	1,452,395	–	1,452,395	–
Insurance contract/takaful certificate liabilities	–	–	–	–	–	47,093,930	–	47,093,930	–
Reinsurance contract/retakaful certificate liabilities	–	–	–	–	–	32,762	–	32,762	–
Other liabilities	328,857	162,169	685,998	–	–	27,938,469	–	29,115,493	0.28
Borrowings	6,727,108	3,232,402	8,027,465	10,163,152	57,018	–	–	28,207,145	2.60
Subordinated obligations	2,200,622	1,594,559	3,000,000	2,107,691	5,550,000	–	–	14,452,872	3.74
Capital securities	17,087	–	1,560,000	–	–	–	–	1,577,087	4.09
Other non-interest sensitive balances	–	–	–	–	–	1,210,498	–	1,210,498	–
Total liabilities	287,091,845	173,057,621	234,151,615	78,068,471	82,108,268	77,728,054	24,535,876	956,741,750	
Shareholders' equity	–	–	–	–	–	93,444,627	–	93,444,627	–
Non-controlling interests	–	–	–	–	–	3,397,216	–	3,397,216	–
	–	–	–	–	–	96,841,843	–	96,841,843	
Total liabilities and shareholders' equity	287,091,845	173,057,621	234,151,615	78,068,471	82,108,268	174,569,897	24,535,876	1,053,583,593	
On-balance sheet interest sensitivity gap	146,205,000	(93,138,482)	(143,491,311)	58,431,958	99,910,163	(119,993,852)	52,076,524		
Off-balance sheet interest sensitivity gap	(9,345,706)	(3,669,426)	934,708	9,364,337	2,716,087	–	–		
Total interest sensitivity gap	136,859,294	(96,807,908)	(142,556,603)	67,796,295	102,626,250	(119,993,852)	52,076,524		
Cumulative interest rate sensitivity gap	136,859,294	40,051,386	(102,505,217)	(34,708,922)	67,917,328	(52,076,524)	–		

* This is arrived after deducting the Lifetime ECL credit impaired from gross impaired loans.
^ Investment accounts of customers are used to fund financing and advances as disclosed in Note 63(I).

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(f) Market risk management (cont'd.)

3. Interest rate risk (cont'd.)

The tables below summarise the Group's and the Bank's exposure to interest rate risk as at 31 December 2025 and 31 December 2024. The tables indicate effective average interest rates at the reporting date and the periods in which the financial instruments are repriced or mature, whichever is earlier (cont'd.).

Group 2024	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 12 months RM'000	>1 to 5 years RM'000	Over 5 years RM'000	Non-interest sensitive RM'000	Trading books RM'000	Total RM'000	Effective interest rate %
Assets									
Cash and short-term funds	31,457,793	–	–	–	–	9,064,727	–	40,522,520	1.98
Deposits and placements with financial institutions	–	21,924,953	11,612	3,147	–	335,320	–	22,275,032	4.19
Financial assets purchased under resale agreements	14,068,040	1,130,722	1,432,021	–	–	–	–	16,630,783	1.78
Financial assets designated upon initial recognition at fair value through profit or loss	–	–	–	–	–	–	12,933,334	12,933,334	3.06
Financial investments at fair value through profit or loss	–	–	–	–	–	–	33,274,540	33,274,540	1.80
Financial investments at fair value through other comprehensive income	10,508,669	6,700,045	11,411,807	23,931,021	74,966,626	659,236	–	128,177,404	3.23
Financial investments at amortised cost	5,379,314	1,247,687	10,616,892	26,777,825	35,337,401	18,373	–	79,377,492	2.41
Loans, advances and financing									
– Non-impaired	357,470,601	67,861,560	63,790,570	94,550,157	82,970,325	–	–	666,643,213	5.40
– Impaired*	3,453,684	–	–	–	–	–	–	3,453,684	–
– 12-month ECL and Lifetime ECL not credit impaired	–	–	–	–	–	(5,322,812)	–	(5,322,812)	–
Derivative assets	–	–	–	–	–	–	23,417,580	23,417,580	–
Insurance contract/takaful certificate assets	–	–	–	–	–	75,199	–	75,199	–
Reinsurance contract/retakaful certificate assets	–	–	–	–	–	5,910,059	–	5,910,059	–
Other assets	–	–	–	–	–	15,486,024	–	15,486,024	–
Investment properties	–	–	–	–	–	1,038,657	–	1,038,657	–
Other non-interest sensitive balances	–	–	–	–	–	31,429,247	–	31,429,247	–
Total assets	422,338,101	98,864,967	87,262,902	145,262,150	193,274,352	58,694,030	69,625,454	1,075,321,956	
Liabilities and shareholders' equity									
Customers' funding:									
– Deposits from customers	237,356,232	137,789,625	200,851,014	65,486,585	71,432,003	–	–	712,915,459	2.72
– Investment accounts of customers^	4,295,627	2,610,728	6,988,044	4,622,114	10,465,334	–	–	28,981,847	1.63
Deposits and placements from financial institutions	7,462,352	15,735,063	18,431,950	5,093,400	328,455	–	–	47,051,220	5.49
Obligations on financial assets sold under repurchase agreements	21,751,645	11,025,868	54,178	–	–	–	–	32,831,691	4.85
Derivative liabilities	–	–	–	–	–	–	27,494,477	27,494,477	–
Financial liabilities at fair value through profit or loss	7,042,314	–	59,500	272,680	4,568,960	–	–	11,943,454	3.40
Bills and acceptances payable	–	–	–	–	–	1,214,634	–	1,214,634	–
Insurance contract/takaful certificate liabilities	–	–	–	–	–	46,102,335	–	46,102,335	–
Reinsurance contract/retakaful certificate liabilities	–	–	–	–	–	27,063	–	27,063	–
Other liabilities	422,379	267,731	602,382	1,763	–	26,213,724	–	27,507,979	1.09
Borrowings	8,629,530	3,507,188	4,569,519	11,454,047	99,817	–	–	28,260,101	2.81
Subordinated obligations	455,558	1,659,719	2,300,000	6,742,531	–	–	–	11,157,808	3.51
Capital securities	16,770	–	–	1,560,000	–	–	–	1,576,770	4.09
Other non-interest sensitive balances	–	–	–	–	–	1,049,981	–	1,049,981	–
Total liabilities	287,432,407	172,595,922	233,856,587	95,233,120	86,894,569	74,607,737	27,494,477	978,114,819	
Shareholders' equity	–	–	–	–	–	93,970,628	–	93,970,628	
Non-controlling interests	–	–	–	–	–	3,236,509	–	3,236,509	
	–	–	–	–	–	97,207,137	–	97,207,137	
Total liabilities and shareholders' equity	287,432,407	172,595,922	233,856,587	95,233,120	86,894,569	171,814,874	27,494,477	1,075,321,956	
On-balance sheet interest sensitivity gap	134,905,694	(73,730,955)	(146,593,685)	50,029,030	106,379,783	(113,120,844)	42,130,977		
Off-balance sheet interest sensitivity gap	(7,976,516)	(5,536,335)	878,604	5,392,824	7,241,423	–	–		
Total interest sensitivity gap	126,929,178	(79,267,290)	(145,715,081)	55,421,854	113,621,206	(113,120,844)	42,130,977		
Cumulative interest rate sensitivity gap	126,929,178	47,661,888	(98,053,193)	(42,631,339)	70,989,867	(42,130,977)	–		

* This is arrived after deducting the Lifetime ECL credit impaired from gross impaired loans.

^ Investment accounts of customers are used to fund financing and advances as disclosed in Note 63(l).

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(f) Market risk management (cont'd.)

3. Interest rate risk (cont'd.)

The tables below summarise the Group's and the Bank's exposure to interest rate risk as at 31 December 2025 and 31 December 2024. The tables indicate effective average interest rates at the reporting date and the periods in which the financial instruments are repriced or mature, whichever is earlier (cont'd.).

Bank 2025	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 12 months RM'000	>1 to 5 years RM'000	Over 5 years RM'000	Non-interest sensitive RM'000	Trading books RM'000	Total RM'000	Effective interest rate %
Assets									
Cash and short-term funds	16,642,087	–	–	–	–	7,218,670	–	23,860,757	2.93
Deposits and placements with financial institutions	–	23,812,238	5,430,608	–	353,546	16,747	–	29,613,139	3.27
Financial assets purchased under resale agreements	5,666,891	4,070,075	–	–	–	–	–	9,736,966	2.60
Financial investments at fair value through profit or loss	–	–	–	–	–	–	21,483,165	21,483,165	1.50
Financial investments at fair value through other comprehensive income	955,616	1,754,496	2,779,907	12,373,281	46,982,868	773,678	–	65,619,846	3.13
Financial investments at amortised cost	1,747,331	4,778,980	11,716,384	20,223,685	29,499,445	–	–	67,965,825	2.79
Loans, advances and financing									
– Non-impaired	166,666,426	39,406,068	18,103,137	31,972,801	15,040,280	–	–	271,188,712	4.50
– Impaired*	2,068,849	–	–	–	–	–	–	2,068,849	–
– 12-month ECL and Lifetime ECL not credit impaired	–	–	–	–	–	(2,277,559)	–	(2,277,559)	–
Derivative assets	–	–	–	–	–	–	17,405,045	17,405,045	–
Other assets	–	–	–	–	–	11,827,919	–	11,827,919	–
Other non-interest sensitive balances	–	–	–	–	–	44,097,974	–	44,097,974	–
Total assets	193,747,200	73,821,857	38,030,036	64,569,767	91,876,139	61,657,429	38,888,210	562,590,638	
Liabilities and shareholders' equity									
Deposits from customers	91,866,026	64,990,411	83,475,392	24,223,201	35,791,748	–	–	300,346,778	1.95
Deposits and placements from financial institutions	40,117,869	10,266,784	16,292,728	2,951,929	259,308	–	–	69,888,618	3.12
Obligations on financial assets sold under repurchase agreements	20,322,470	12,608,117	–	1,018,481	–	–	–	33,949,068	3.21
Derivative liabilities	–	–	–	–	–	–	24,156,646	24,156,646	–
Financial liabilities at fair value through profit or loss	3,020,275	25,550	6,750	174,610	3,521,675	–	–	6,748,860	3.13
Bills and acceptances payable	–	–	–	–	–	608,709	–	608,709	–
Other liabilities	213,608	144,666	685,998	–	–	13,770,006	–	14,814,278	0.31
Borrowings	869,205	1,240,000	5,752,728	8,883,971	57,018	–	–	16,802,922	2.81
Subordinated obligations	1,888,570	–	3,000,000	3,700,000	5,550,000	–	–	14,138,570	3.82
Capital securities	17,087	–	1,560,000	–	–	–	–	1,577,087	4.09
Total liabilities	158,315,110	89,275,528	110,773,596	40,952,192	45,179,749	14,378,715	24,156,646	483,031,536	
Shareholders' equity	–	–	–	–	–	79,559,102	–	79,559,102	
Total liabilities and shareholders' equity	158,315,110	89,275,528	110,773,596	40,952,192	45,179,749	93,937,817	24,156,646	562,590,638	
On-balance sheet interest sensitivity gap	35,432,090	(15,453,671)	(72,743,560)	23,617,575	46,696,390	(32,280,388)	14,731,564		
Off-balance sheet interest sensitivity gap	(1,779,096)	(3,668,522)	589,255	2,142,275	2,716,088	–	–		
Total interest sensitivity gap	33,652,994	(19,122,193)	(72,154,305)	25,759,850	49,412,478	(32,280,388)	14,731,564		
Cumulative interest rate sensitivity gap	33,652,994	14,530,801	(57,623,504)	(31,863,654)	17,548,824	(14,731,564)	–		

* This is arrived after deducting the Lifetime ECL credit impaired from gross impaired loans.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(f) Market risk management (cont'd.)

3. Interest rate risk (cont'd.)

The tables below summarise the Group's and the Bank's exposure to interest rate risk as at 31 December 2025 and 31 December 2024. The tables indicate effective average interest rates at the reporting date and the periods in which the financial instruments are repriced or mature, whichever is earlier (cont'd.).

Bank 2024	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 12 months RM'000	>1 to 5 years RM'000	Over 5 years RM'000	Non-interest sensitive RM'000	Trading books RM'000	Total RM'000	Effective interest rate %
Assets									
Cash and short-term funds	19,989,219	–	–	–	–	7,223,057	–	27,212,276	1.80
Deposits and placements with financial institutions	–	29,337,952	8,626,242	–	325,485	19,937	–	38,309,616	4.26
Financial assets purchased under resale agreements	15,047,992	1,128,314	1,432,021	–	–	–	–	17,608,327	2.07
Financial investments at fair value through profit or loss	–	–	–	–	–	–	15,404,523	15,404,523	1.69
Financial investments at fair value through other comprehensive income	3,976,563	3,164,534	4,010,191	11,834,502	45,583,943	357,470	–	68,927,203	3.13
Financial investments at amortised cost	729	3,673,662	12,492,032	21,782,885	26,731,999	–	–	64,681,307	2.62
Loans, advances and financing									
– Non-impaired	154,098,174	50,223,314	12,412,625	43,640,964	21,147,042	–	–	281,522,119	5.22
– Impaired*	2,175,556	–	–	–	–	–	–	2,175,556	–
– 12-month ECL and Lifetime ECL not credit impaired	–	–	–	–	–	(1,902,446)	–	(1,902,446)	–
Derivative assets	–	–	–	–	–	–	23,331,778	23,331,778	–
Other assets	–	–	–	–	–	9,423,930	–	9,423,930	–
Other non-interest sensitive balances	–	–	–	–	–	42,945,944	–	42,945,944	–
Total assets	195,288,233	87,527,776	38,973,111	77,258,351	93,788,469	58,067,892	38,736,301	589,640,133	
Liabilities and shareholders' equity									
Deposits from customers	103,045,281	62,349,597	80,552,574	28,336,679	36,324,855	–	–	310,608,986	2.60
Deposits and placements from financial institutions	26,204,557	15,293,732	30,865,429	4,414,615	220,891	–	–	76,999,224	3.95
Obligations on financial assets sold under repurchase agreements	27,580,320	16,387,375	2,987,117	–	–	–	–	46,954,812	4.04
Derivative liabilities	–	–	–	–	–		26,984,480	26,984,480	–
Financial liabilities at fair value through profit or loss	2,527,902	–	59,500	272,680	4,568,960	–	–	7,429,042	3.96
Bills and acceptances payable	–	–	–	–	–	466,170	–	466,170	–
Other liabilities	337,883	221,977	599,985	1,763	–	12,531,370	–	13,692,978	0.93
Borrowings	497,771	1,650,789	4,376,659	7,965,114	1,056,094	–	–	15,546,427	2.54
Subordinated obligations	143,439	–	2,300,000	8,400,000	–	–	–	10,843,439	3.61
Capital securities	16,770	–	–	1,560,000	–	–	–	1,576,770	4.09
Total liabilities	160,353,923	95,903,470	121,741,264	50,950,851	42,170,800	12,997,540	26,984,480	511,102,328	
Shareholders' equity	–	–	–	–	–	78,537,805	–	78,537,805	
Total liabilities and shareholders' equity	160,353,923	95,903,470	121,741,264	50,950,851	42,170,800	91,535,345	26,984,480	589,640,133	
On-balance sheet interest sensitivity gap	34,934,310	(8,375,694)	(82,768,153)	26,307,500	51,617,669	(33,467,453)	11,751,821		
Off-balance sheet interest sensitivity gap	(1,506,130)	(5,568,589)	652,704	(819,408)	7,241,423	–	–		
Total interest sensitivity gap	33,428,180	(13,944,283)	(82,115,449)	25,488,092	58,859,092	(33,467,453)	11,751,821		
Cumulative interest rate sensitivity gap	33,428,180	19,483,897	(62,631,552)	(37,143,460)	21,715,632	(11,751,821)	–		

* This is arrived after deducting the Lifetime ECL credit impaired from gross impaired loans.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(f) Market risk management (cont'd.)

4. Yield/profit rate risk on IBS portfolio

The Group is exposed to the risk associated with the effects of fluctuations in the prevailing levels of yield/profit rate on the financial position and cash flows of the IBS portfolio. The fluctuations in yield/profit rate can be influenced by changes in profit rates that affect the value of financial instruments under the IBS portfolio. Yield/profit rate risk is monitored and managed by the Group ALCO to protect the income from IBS operations.

The tables below summarise the Group's exposure to yield/profit rate risk for the IBS operations as at 31 December 2025 and 31 December 2024. The tables indicate effective average yield/profit rates at the reporting date and the periods in which the financial instruments are either repriced or mature, whichever is earlier.

Group 2025	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 12 months RM'000	>1 to 5 years RM'000	Over 5 years RM'000	Non-yield/ profit rate sensitive RM'000	Trading books RM'000	Total RM'000	Effective yield/profit rate %
Assets									
Cash and short-term funds	18,911,744	–	–	–	–	8,141	–	18,919,885	2.86
Deposits and placements with financial institutions	–	2,644,351	2,023,820	–	–	–	–	4,668,171	3.33
Financial assets purchased under resale agreements	764,798	1,788,430	–	–	–	–	–	2,553,228	3.05
Financial investments at fair value through profit or loss	–	–	–	–	–	–	1,685,011	1,685,011	3.15
Financial investments at fair value through other comprehensive income	–	131,497	110,776	4,494,159	10,769,902	–	–	15,506,334	3.95
Financial investments at amortised cost	23,625	516,626	203,182	5,745,970	7,858,948	–	–	14,348,351	3.59
Financing and advances									
– Non-impaired	201,347,775	5,077,618	2,418,833	23,411,747	43,297,589	–	–	275,553,562	4.65
– Impaired*	2,521,995	–	–	–	–	–	–	2,521,995	–
– 12-month ECL and Lifetime ECL not credit impaired	–	–	–	–	–	(2,376,373)	–	(2,376,373)	–
Derivative assets	–	–	–	–	–	–	963,038	963,038	–
Other assets	–	–	–	–	–	4,919,670	–	4,919,670	–
Other non-yield/profit sensitive balances	–	–	–	–	–	2,523,302	–	2,523,302	–
Total assets	223,569,937	10,158,522	4,756,611	33,651,876	61,926,439	5,074,740	2,648,049	341,786,174	
Liabilities and Islamic banking capital funds									
Customers' funding:									
– Deposits from customers	74,327,020	59,212,655	66,611,741	16,637,157	28,770,007	–	–	245,558,580	2.43
– Investment accounts of customers^	3,618,662	4,751,804	11,342,178	6,103,841	8,093,048	–	–	33,909,533	1.34
Deposits and placements from financial institutions	7,152,954	11,711,997	3,812,266	237,657	375,535	66,460	–	23,356,869	3.50
Obligations on financial assets sold under repurchase agreements	–	1,829,680	–	–	–	–	–	1,829,680	3.05
Derivative liabilities	–	–	–	–	–	–	1,356,308	1,356,308	–
Bills and acceptances payable	–	–	–	–	–	54,494	–	54,494	–
Other liabilities	3,060	–	–	–	–	2,255,269	–	2,258,329	3.09
Term funding	–	3,032,815	4,439,637	3,103,492	–	–	–	10,575,944	3.37
Subordinated sukuk	–	11,043	13,561	3,000,000	–	–	–	3,024,604	3.56
Capital securities	–	–	2,217	–	1,000,000	–	–	1,002,217	4.76
Other non-yield/profit sensitive balances	–	–	–	–	–	92,344	–	92,344	–
Total liabilities	85,101,696	80,549,994	86,221,600	29,082,147	38,238,590	2,468,567	1,356,308	323,018,902	
Islamic banking capital funds	–	–	–	–	–	18,767,272	–	18,767,272	
Total liabilities and Islamic banking capital funds	85,101,696	80,549,994	86,221,600	29,082,147	38,238,590	21,235,839	1,356,308	341,786,174	
On-balance sheet yield/profit rate sensitivity gap	138,468,241	(70,391,472)	(81,464,989)	4,569,729	23,687,849	(16,161,099)	1,291,741		
Off-balance sheet yield/profit rate sensitivity gap	(684)	(200)	(0)	774	110	–	–		
Total yield/profit rate sensitivity gap	138,467,557	(70,391,672)	(81,464,989)	4,570,503	23,687,959	(16,161,099)	1,291,741		
Cumulative yield/profit rate sensitivity gap	138,467,557	68,075,885	(13,389,104)	(8,818,601)	14,869,358	(1,291,741)	–		

* This is arrived after deducting the Lifetime ECL credit impaired from gross impaired financing outstanding.

^ Investment accounts of customers are used to fund financing and advances as disclosed in Note 63(I).

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(f) Market risk management (cont'd.)

4. Yield/profit rate risk on IBS portfolio (cont'd.)

The tables below summarise the Group's exposure to yield/profit rate risk for the IBS operations as at 31 December 2025 and 31 December 2024. The tables indicate effective average yield/profit rates at the reporting date and the periods in which the financial instruments are either repriced or mature, whichever is earlier (cont'd.).

Group 2024	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 12 months RM'000	>1 to 5 years RM'000	Over 5 years RM'000	Non-yield/ profit rate sensitive RM'000	Trading books RM'000	Total RM'000	Effective yield/profit rate %
Assets									
Cash and short-term funds	20,822,472	–	–	–	–	5,892	–	20,828,364	2.80
Deposits and placements with financial institutions	–	6,821,503	1,691,701	–	–	–	–	8,513,204	3.75
Financial assets purchased under resale agreements	–	1,434,429	–	–	–	–	–	1,434,429	3.39
Financial investments at fair value through profit or loss	–	–	–	–	–	–	1,527,376	1,527,376	3.56
Financial investments at fair value through other comprehensive income	149,721	20,310	70,955	4,425,131	13,512,767	–	–	18,178,884	4.07
Financial investments at amortised cost	18,757	17,722	169,172	3,753,620	8,829,661	–	–	12,788,932	3.47
Financing and advances									
– Non-impaired	178,355,661	4,560,445	2,812,831	19,537,543	46,763,671	–	–	252,030,151	4.71
– Impaired*	1,557,176	–	–	–	–	–	–	1,557,176	–
– 12-month ECL and Lifetime ECL not credit impaired	–	–	–	–	–	(2,283,560)	–	(2,283,560)	–
Derivative assets	–	–	–	–	–	–	563,671	563,671	–
Other assets	–	–	–	–	–	6,478,931	–	6,478,931	–
Other non-yield/profit sensitive balances	–	–	–	–	–	4,467,558	–	4,467,558	–
Total assets	200,903,787	12,854,409	4,744,659	27,716,294	69,106,099	8,668,821	2,091,047	326,085,116	
Liabilities and Islamic banking capital funds									
Customers' funding:									
– Deposits from customers	71,348,133	52,103,518	61,500,445	14,090,579	35,107,147	–	–	234,149,822	2.77
– Investment accounts of customers^	4,443,921	2,705,297	7,207,526	4,834,532	10,947,088	–	–	30,138,364	1.62
Deposits and placements from financial institutions	4,939,358	8,779,542	8,838,627	347,726	107,564	76,923	–	23,089,740	3.73
Obligations on financial assets sold under repurchase agreements	–	1,435,112	–	–	–	–	–	1,435,112	3.39
Derivative liabilities	–	–	–	–	–	–	379,353	379,353	–
Bills and acceptances payable	–	–	–	–	–	75,343	–	75,343	–
Other liabilities	2,783	–	–	–	–	7,264,544	–	7,267,327	3.95
Term funding	–	2,981,076	3,938,602	3,070,427	–	–	–	9,990,105	3.65
Subordinated sukuk	–	–	–	2,020,610	–	–	–	2,020,610	3.48
Capital securities	–	–	–	1,002,087	–	–	–	1,002,087	4.76
Other non-yield/profit sensitive balances	–	–	–	–	–	74,970	–	74,970	–
Total liabilities	80,734,195	68,004,545	81,485,200	25,365,961	46,161,799	7,491,780	379,353	309,622,833	
Islamic banking capital funds	–	–	–	–	–	16,462,283	–	16,462,283	
Total liabilities and Islamic banking capital funds	80,734,195	68,004,545	81,485,200	25,365,961	46,161,799	23,954,063	379,353	326,085,116	
On-balance sheet yield/profit rate sensitivity gap	120,169,592	(55,150,136)	(76,740,541)	2,350,333	22,944,300	(15,285,242)	1,711,694		
Off-balance sheet yield/profit rate sensitivity gap	(296)	–	(4)	190	110	–	–		
Total yield/profit rate sensitivity gap	120,169,296	(55,150,136)	(76,740,545)	2,350,523	22,944,410	(15,285,242)	1,711,694		
Cumulative yield/profit rate sensitivity gap	120,169,296	65,019,160	(11,721,385)	(9,370,862)	13,573,548	(1,711,694)	–		

* This is arrived after deducting the Lifetime ECL credit impaired from gross impaired financing outstanding.
^ Investment accounts of customers are used to fund financing and advances as disclosed in Note 63(I).

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(f) Market risk management (cont'd.)

5. Sensitivity analysis for interest rate risk

The tables below show the sensitivity of the Group's and of the Bank's profit after tax to an up and down 100 basis points parallel rate shocks.

	Tax rate	Group		Bank	
		+100 basis points RM'000	–100 basis points RM'000	+100 basis points RM'000	–100 basis points RM'000
2025					
Impact to profit before tax		**469,315**	**(469,315)**	**33,755**	**(33,755)**
Impact to profit after tax	**24%**	**356,679**	**(356,679)**	**25,654**	**(25,654)**
2024					
Impact to profit before tax		413,168	(413,168)	8,840	(8,840)
Impact to profit after tax	24%	314,007	(314,007)	6,718	(6,718)

Impact to profit after tax is measured using EaR methodology which is simulated based on a set of standardised rate shocks on the interest rate gap profile derived from the financial position of the Group and of the Bank. The interest rate gap is the mismatch of rate sensitive assets and rate sensitive liabilities taking into consideration the earlier of repricing or remaining maturity, behavioural assumptions of certain indeterminate maturity products such as current and savings deposits, to reflect the actual sensitivity behaviour of these interest bearing liabilities.

Impact to revaluation reserve is assessed by applying up and down 100 basis points rate shocks to the yield curve to model the impact on mark–to–market of financial investments at FVOCI.

	Group		Bank	
	+100 basis points RM'000	–100 basis points RM'000	+100 basis points RM'000	–100 basis points RM'000
2025				
Impact to revaluation reserve for FVOCI before tax	**(5,501,402)**	**5,501,402**	**(4,159,391)**	**4,159,391**
2024				
Impact to revaluation reserve for FVOCI before tax	(6,288,267)	6,288,267	(4,178,314)	4,178,314

6. Foreign exchange risk

Foreign exchange ("FX") risk arises as a result of movements in relative currencies due to the Group's operating business activities, trading activities and structural foreign exchange exposures from foreign investments and capital management activities.

Generally, the Group is exposed to three types of foreign exchange risk such as translation risk, transactional risk and economic risk which are managed in accordance with the market risk policy and limits. The FX translation risks are mitigated as the assets are funded in the same currency. In addition, the earnings from the overseas operations are repatriated in line with Management Committees' direction as and when required. The Group controls its FX exposures by transacting in permissible currencies. It has an internal FX NOP to measure, control and monitor its FX risk and implements FX hedging strategies to minimise FX exposures. Stress testing is conducted periodically to ensure sufficient capital buffer on FX risk.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(f) Market risk management (cont'd.)

6. Foreign exchange risk (cont'd.)

The tables below analyse the net foreign exchange positions of the Group and of the Bank as at 31 December 2025 and 31 December 2024, by major currencies, which are mainly in Ringgit Malaysia, Singapore Dollar, Great Britain Pound, Hong Kong Dollar, United States Dollar, Indonesia Rupiah and Euro. The "others" foreign exchange risk include mainly exposure to Australian Dollar, Japanese Yen, Chinese Renminbi, Philippine Peso and Brunei Dollar.

Group 2025	Malaysian Ringgit RM'000	Singapore Dollar RM'000	Great Britain Pound RM'000	Hong Kong Dollar RM'000	United States Dollar RM'000	Indonesia Rupiah RM'000	Euro RM'000	Others RM'000	Total RM'000
Assets									
Cash and short-term funds	13,220,583	1,532,800	424,878	92,891	9,137,519	441,990	502,776	2,974,703	28,328,140
Deposits and placements with financial institutions	1,728,352	611,539	–	1,634	11,651,002	–	–	37,839	14,030,366
Financial assets purchased under resale agreements	763,464	1,136,655	–	–	6,768,775	4,676	–	138,856	8,812,426
Financial assets designated upon initial recognition at fair value through profit or loss	12,868,725	–	–	–	33,201	–	–	3,767	12,905,693
Financial investments at fair value through profit or loss	18,278,215	10,706,340	39	1,477,509	3,300,044	6,793,404	53,915	5,457,013	46,066,479
Financial investments at fair value through other comprehensive income	68,378,611	18,001,871	961,829	507,058	12,510,238	6,255,204	1,014,031	9,335,392	116,964,234
Financial investments at amortised cost	46,600,058	14,259,597	110,503	446,831	14,853,319	1,623,091	428,527	2,464,514	80,786,440
Loans, advances and financing to financial institutions	–	–	–	164,124	–	743,089	–	–	907,213
Loans, advances and financing to customers	425,849,270	139,675,181	7,114,091	4,435,486	47,349,652	24,834,028	2,088,384	25,635,288	676,981,380
Derivative assets*	84,254,580	22,178,908	4,399,262	(16,104,456)	(125,357,074)	(6,844,075)	4,736,399	50,376,684	17,640,228
Insurance contract/takaful certificate assets	4,397	44,711	–	–	–	54,057	–	–	103,165
Reinsurance contract/retakaful certificate assets	4,029,398	1,146,456	–	–	5,828	88,053	–	4,710	5,274,445
Other assets*	6,706,196	518,938	969,627	246,313	5,673,989	1,422,766	486,429	1,292,084	17,316,342
Investment properties	1,038,105	–	–	–	895	–	–	3,622	1,042,622
Statutory deposits with central banks	3,187,221	6,243,432	–	–	864,206	1,293,258	–	370,798	11,958,915
Interest in associates and joint venture	4,511	–	–	–	2,095	–	–	1,825,778	1,832,384
Property, plant and equipment	1,257,181	748,646	23,895	3,079	62,509	300,212	–	62,781	2,458,303
Right-of-use assets	1,339,026	242,904	12,864	16,444	83,681	148,918	–	80,190	1,924,027
Intangible assets	1,330,429	1,899,345	–	99,055	16,630	2,409,756	–	777,358	6,532,573
Deferred tax assets*	1,340,929	5,256	–	–	2,100	162,043	–	207,890	1,718,218
Total assets	692,179,251	218,952,579	14,016,988	(8,614,032)	(13,041,391)	39,730,470	9,310,461	101,049,267	1,053,583,593

* The currency positions of the respective assets and liabilities in the analysis above have been stated on a gross basis. These assets and liabilities have been set–off and presented on a net basis if necessary and as appropriate in accordance with applicable MFRS Accounting Standards in the Group's and the Bank's statements of financial position.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(f) Market risk management (cont'd.)

6. Foreign exchange risk (cont'd.)

The tables below analyse the net foreign exchange positions of the Group and of the Bank as at 31 December 2025 and 31 December 2024, by major currencies, which are mainly in Ringgit Malaysia, Singapore Dollar, Great Britain Pound, Hong Kong Dollar, United States Dollar, Indonesia Rupiah and Euro. The "others" foreign exchange risk include mainly exposure to Australian Dollar, Japanese Yen, Chinese Renminbi, Philippine Peso and Brunei Dollar (cont'd.).

Group 2025 (cont'd.)	Malaysian Ringgit RM'000	Singapore Dollar RM'000	Great Britain Pound RM'000	Hong Kong Dollar RM'000	United States Dollar RM'000	Indonesia Rupiah RM'000	Euro RM'000	Others RM'000	Total RM'000
Liabilities									
Customers' funding:									
– Deposits from customers	387,633,372	160,838,396	5,592,971	7,447,938	94,448,183	21,453,992	1,618,452	19,176,923	698,210,227
– Investment accounts of customers^	32,782,974	–	–	–	–	–	–	–	32,782,974
Deposits and placements from financial institutions	6,688,026	2,049,812	93,855	5,574,827	20,157,280	1,222,018	121,650	6,679,861	42,587,329
Obligations on financial assets sold under repurchase agreements	17,270,891	1,390,854	–	–	5,003,388	1,903,376	–	330,916	25,899,425
Derivative liabilities*	132,097,377	13,515,788	7,015,118	(23,991,024)	(157,514,109)	(7,377,406)	2,200,633	58,589,499	24,535,876
Financial liabilities at fair value through profit or loss	211,980	2,834,878	–	–	6,536,879	–	–	–	9,583,737
Bills and acceptances payable	660,924	332,181	196	50	417,930	30,831	375	9,908	1,452,395
Insurance contract/takaful certificate liabilities	33,516,632	12,979,352	–	–	57,574	176,032	–	364,340	47,093,930
Reinsurance contract/retakaful certificate liabilities	–	24,722	–	–	–	8,040	–	–	32,762
Other liabilities*	12,294,094	1,267,835	861,996	1,337,184	5,079,692	2,023,076	744,296	5,507,320	29,115,493
Provision for taxation and zakat	(67,585)	374,629	88	(434)	23,332	70,010	–	(4,249)	395,791
Deferred tax liabilities	822,175	(8,714)	70	–	–	–	–	1,176	814,707
Borrowings	5,990,248	770,732	–	1,448,660	8,056,448	3,591,532	4,834,516	3,515,009	28,207,145
Subordinated obligations	14,452,872	–	–	–	–	–	–	–	14,452,872
Capital securities	1,577,087	–	–	–	–	–	–	–	1,577,087
Total liabilities	645,931,067	196,370,465	13,564,294	(8,182,799)	(17,733,403)	23,101,501	9,519,922	94,170,703	956,741,750
On-balance sheet open position	46,248,184	22,582,114	452,694	(431,233)	4,692,012	16,628,969	(209,461)	6,878,564	96,841,843
Less: Derivative assets	(84,254,580)	(22,178,908)	(4,399,262)	16,104,456	125,357,074	6,844,075	(4,736,399)	(50,376,684)	(17,640,228)
Add: Derivative liabilities	132,097,377	13,515,788	7,015,118	(23,991,024)	(157,514,109)	(7,377,406)	2,200,633	58,589,499	24,535,876
Add: Net forward position	(26,650,557)	8,587,311	(2,607,315)	7,887,940	36,372,903	(3,261,623)	2,743,828	(8,703,045)	14,369,442
Net open position	67,440,424	22,506,305	461,235	(429,861)	8,907,880	12,834,015	(1,399)	6,388,334	118,106,933
Net structural currency exposures	–	18,143,490	51,154	154,606	9,606,102	7,362,321	(1,097)	5,155,908	40,472,484

^ Investment accounts of customers are used to fund financing and advances as disclosed in Note 63(I).

* The currency positions of the respective assets and liabilities in the analysis above have been stated on a gross basis. These assets and liabilities have been set–off and presented on a net basis if necessary and as appropriate in accordance with applicable MFRS Accounting Standards in the Group's and the Bank's statements of financial position.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(f) Market risk management (cont'd.)

6. Foreign exchange risk (cont'd.)

The tables below analyse the net foreign exchange positions of the Group and of the Bank as at 31 December 2025 and 31 December 2024, by major currencies, which are mainly in Ringgit Malaysia, Singapore Dollar, Great Britain Pound, Hong Kong Dollar, United States Dollar, Indonesia Rupiah and Euro. The "others" foreign exchange risk include mainly exposure to Australian Dollar, Japanese Yen, Chinese Renminbi, Philippine Peso and Brunei Dollar (cont'd.).

Group 2024	Malaysian Ringgit RM'000	Singapore Dollar RM'000	Great Britain Pound RM'000	Hong Kong Dollar RM'000	United States Dollar RM'000	Indonesia Rupiah RM'000	Euro RM'000	Others RM'000	Total RM'000
Assets									
Cash and short-term funds	19,332,587	7,784,321	462,109	67,408	8,978,067	556,749	536,736	2,804,543	40,522,520
Deposits and placements with financial institutions	750,497	11,959,041	33	4,167	9,271,902	–	35	289,357	22,275,032
Financial assets purchased under resale agreements	51,508	1,755,750	–	–	14,591,575	229,350	–	2,600	16,630,783
Financial assets designated upon initial recognition at fair value through profit or loss	12,771,186	3,836	–	2,980	110,612	552	–	44,168	12,933,334
Financial investments at fair value through profit or loss	13,830,556	8,811,348	8	968,707	3,284,578	2,760,889	116,297	3,502,157	33,274,540
Financial investments at fair value through other comprehensive income	74,537,560	21,890,412	683,627	695,652	9,929,871	9,307,697	422,794	10,709,791	128,177,404
Financial investments at amortised cost	43,843,655	14,501,158	112,219	947,168	14,838,781	702,305	441,597	3,990,609	79,377,492
Loans, advances and financing to financial institutions	263,801	–	–	–	162,259	1,607,165	–	–	2,033,225
Loans, advances and financing to customers	397,461,241	138,866,952	7,874,403	7,397,828	53,263,554	27,828,506	2,545,173	27,503,203	662,740,860
Derivative assets*	(47,633,392)	(77,068,682)	(6,063,433)	14,467,170	224,863,773	(6,721,800)	753,101	(79,179,157)	23,417,580
Insurance contract/takaful certificate assets	2,505	52,870	–	–	(31,014)	50,838	–	–	75,199
Reinsurance contract/retakaful certificate assets	4,405,612	1,395,771	–	–	614	97,417	–	10,645	5,910,059
Other assets*	5,874,967	286,866	2,096,003	3,480	4,307,963	1,269,936	438,663	1,208,146	15,486,024
Investment properties	1,033,592	–	–	–	873	–	–	4,192	1,038,657
Statutory deposits with central banks	6,384,199	6,637,871	–	–	1,002,984	2,418,316	–	723,139	17,166,509
Interest in associates and joint venture	4,511	–	–	–	187,424	–	–	1,665,793	1,857,728
Property, plant and equipment	1,006,728	764,519	22,836	4,461	59,709	359,962	–	64,882	2,283,097
Right-of-use assets	750,743	281,259	3,121	33,120	109,000	176,528	–	102,693	1,456,464
Intangible assets	1,127,372	1,982,028	–	79,726	19,010	2,964,699	–	820,455	6,993,290
Deferred tax assets*	1,119,405	9,767	–	–	12,760	278,565	–	251,662	1,672,159
Total assets	536,918,833	139,915,087	5,190,926	24,671,867	344,964,295	43,887,674	5,254,396	(25,481,122)	1,075,321,956

* The currency positions of the respective assets and liabilities in the analysis above have been stated on a gross basis. These assets and liabilities have been set–off and presented on a net basis if necessary and as appropriate in accordance with applicable MFRS Accounting Standards in the Group's and the Bank's statements of financial position.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(f) Market risk management (cont'd.)

6. Foreign exchange risk (cont'd.)

The tables below analyse the net foreign exchange positions of the Group and of the Bank as at 31 December 2025 and 31 December 2024, by major currencies, which are mainly in Ringgit Malaysia, Singapore Dollar, Great Britain Pound, Hong Kong Dollar, United States Dollar, Indonesia Rupiah and Euro. The "others" foreign exchange risk include mainly exposure to Australian Dollar, Japanese Yen, Chinese Renminbi, Philippine Peso and Brunei Dollar (cont'd.).

Group 2024 (cont'd.)	Malaysian Ringgit RM'000	Singapore Dollar RM'000	Great Britain Pound RM'000	Hong Kong Dollar RM'000	United States Dollar RM'000	Indonesia Rupiah RM'000	Euro RM'000	Others RM'000	Total RM'000
Liabilities									
Customers' funding:									
– Deposits from customers	377,651,327	170,467,361	4,191,763	6,826,526	105,846,384	25,237,799	2,082,136	20,612,163	712,915,459
– Investment accounts of customers^	28,981,847	–	–	–	–	–	–	–	28,981,847
Deposits and placements from financial institutions	7,326,020	2,362,201	42,148	4,237,770	22,453,093	763,083	22,023	9,844,882	47,051,220
Obligations on financial assets sold under repurchase agreements	21,028,784	983,504	–	–	6,059,428	4,096,014	–	663,961	32,831,691
Derivative liabilities*	(7,010,559)	(77,818,664)	(1,464,708)	12,670,758	181,140,639	(5,174,254)	180,956	(75,029,691)	27,494,477
Financial liabilities at fair value through profit or loss	331,670	4,483,203	–	–	7,128,581	–	–	–	11,943,454
Bills and acceptances payable	512,767	303,073	201	55	346,239	33,056	292	18,951	1,214,634
Insurance contract/takaful certificate liabilities	33,677,257	11,820,476	–	–	5,880	180,341	–	418,381	46,102,335
Reinsurance contract/retakaful certificate liabilities	–	14,852	–	–	(257)	12,468	–	–	27,063
Other liabilities*	13,005,265	2,707,421	2,023,260	605,224	3,891,826	1,605,677	660,364	3,008,942	27,507,979
Provision for taxation and zakat	(164,373)	375,127	2,277	(1,166)	20,831	32,192	–	29,755	294,643
Deferred tax liabilities	754,606	(12,995)	31	–	3	–	–	13,693	755,338
Borrowings	2,867,743	1,474,143	–	1,317,101	9,266,483	2,892,524	2,418,501	8,023,606	28,260,101
Subordinated obligations	11,157,808	–	–	–	–	–	–	–	11,157,808
Capital securities	1,576,770	–	–	–	–	–	–	–	1,576,770
Total liabilities	491,696,932	117,159,702	4,794,972	25,656,268	336,159,130	29,678,900	5,364,272	(32,395,357)	978,114,819
On-balance sheet open position	45,221,901	22,755,385	395,954	(984,401)	8,805,165	14,208,774	(109,876)	6,914,235	97,207,137
Less: Derivative assets	47,633,392	77,068,682	6,063,433	(14,467,170)	(224,863,773)	6,721,800	(753,101)	79,179,157	(23,417,580)
Add: Derivative liabilities	(7,010,559)	(77,818,664)	(1,464,708)	12,670,758	181,140,639	(5,174,254)	180,956	(75,029,691)	27,494,477
Add: Net forward position	(28,941,607)	1,061,369	(4,597,620)	2,319,323	45,326,646	(3,366,305)	693,645	(4,117,087)	8,378,364
Net open position	56,903,127	23,066,772	397,059	(461,490)	10,408,677	12,390,015	11,624	6,946,614	109,662,398
Net structural currency exposures	–	17,732,815	65,769	165,999	11,423,422	7,833,248	(1,120)	5,239,102	42,459,235

^ Investment accounts of customers are used to fund financing and advances as disclosed in Note 63(I).

* The currency positions of the respective assets and liabilities in the analysis above have been stated on a gross basis. These assets and liabilities have been set–off and presented on a net basis if necessary and as appropriate in accordance with applicable MFRS Accounting Standards in the Group's and the Bank's statements of financial position.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(f) Market risk management (cont'd.)

6. Foreign exchange risk (cont'd.)

The tables below analyse the net foreign exchange positions of the Group and of the Bank as at 31 December 2025 and 31 December 2024, by major currencies, which are mainly in Ringgit Malaysia, Singapore Dollar, Great Britain Pound, Hong Kong Dollar, United States Dollar, Indonesia Rupiah and Euro. The "others" foreign exchange risk include mainly exposure to Australian Dollar, Japanese Yen, Chinese Renminbi, Philippine Peso and Brunei Dollar (cont'd.).

Bank 2025	Malaysian Ringgit RM'000	Singapore Dollar RM'000	Great Britain Pound RM'000	Hong Kong Dollar RM'000	United States Dollar RM'000	Indonesia Rupiah RM'000	Euro RM'000	Others RM'000	Total RM'000
Assets									
Cash and short-term funds	11,338,444	820,619	498,089	426,490	7,733,566	119,839	423,794	2,499,916	23,860,757
Deposits and placements with financial institutions	17,736,898	587,777	136,493	68	11,053,517	–	–	98,386	29,613,139
Financial assets purchased under resale agreements	1,828,683	1,135,321	–	–	6,768,775	–	–	4,187	9,736,966
Financial investments at fair value through profit or loss	9,436,399	3,995,230	–	711,214	512,323	5,464,123	–	1,363,876	21,483,165
Financial investments at fair value through other comprehensive income	37,020,095	6,488,729	788,306	507,058	11,189,896	–	1,001,908	8,623,854	65,619,846
Financial investments at amortised cost	41,629,702	10,336,307	110,503	446,831	13,772,121	–	392,966	1,277,395	67,965,825
Loans, advances and financing to financial institutions	45,464,287	–	561,646	164,124	3,374,546	–	–	–	49,564,603
Loans, advances and financing to customers	113,786,461	48,487,210	5,574,009	3,963,583	32,986,217	–	1,692,847	14,925,072	221,415,399
Derivative assets*	100,200,318	24,850,552	5,111,431	(16,109,179)	(144,418,885)	(6,745,760)	2,242,611	52,273,957	17,405,045
Other assets*	5,177,485	227,979	958,754	(67,751)	5,349,227	(449,094)	452,605	178,714	11,827,919
Statutory deposits with central banks	994,888	1,945,769	–	–	28,036	–	–	82,525	3,051,218
Investment in subsidiaries	15,865,642	14,774,102	–	–	375,440	3,517,532	–	2,601,074	37,133,790
Interest in associates and joint venture	4,511	–	–	–	6,140	–	–	428,208	438,859
Property, plant and equipment	720,605	235,585	23,230	1,501	5,061	–	–	1,941	987,923
Right-of-use assets	1,198,705	47,817	9,299	9,297	6,853	–	–	13,239	1,285,210
Intangible assets	799,345	2,350	–	1,057	4,116	–	–	8,133	815,001
Deferred tax assets*	293,075	(20,763)	–	–	–	–	–	113,661	385,973
Total assets	403,495,543	113,914,584	13,771,760	(9,945,707)	(51,253,051)	1,906,640	6,206,731	84,494,138	562,590,638

* The currency positions of the respective assets and liabilities in the analysis above have been stated on a gross basis. These assets and liabilities have been set–off and presented on a net basis if necessary and as appropriate in accordance with applicable MFRS Accounting Standards in the Group's and the Bank's statements of financial position.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(f) Market risk management (cont'd.)

6. Foreign exchange risk (cont'd.)

The tables below analyse the net foreign exchange positions of the Group and of the Bank as at 31 December 2025 and 31 December 2024, by major currencies, which are mainly in Ringgit Malaysia, Singapore Dollar, Great Britain Pound, Hong Kong Dollar, United States Dollar, Indonesia Rupiah and Euro. The "others" foreign exchange risk include mainly exposure to Australian Dollar, Japanese Yen, Chinese Renminbi, Philippine Peso and Brunei Dollar (cont'd.).

Bank 2025 (cont'd.)	Malaysian Ringgit RM'000	Singapore Dollar RM'000	Great Britain Pound RM'000	Hong Kong Dollar RM'000	United States Dollar RM'000	Indonesia Rupiah RM'000	Euro RM'000	Others RM'000	Total RM'000
Liabilities									
Deposits from customers	167,139,177	57,377,764	4,140,691	7,267,111	51,882,824	915	1,076,730	11,461,566	300,346,778
Deposits and placements from financial institutions	22,057,613	9,896,713	86,077	5,622,220	24,842,554	17,681	142,071	7,223,689	69,888,618
Obligations on financial assets sold under repurchase agreements	19,060,296	4,758,837	–	–	9,799,020	–	–	330,915	33,949,068
Derivative liabilities*	126,799,529	13,307,292	8,795,181	(23,874,161)	(159,132,906)	(4,175,087)	4,504,631	57,932,167	24,156,646
Financial liabilities at fair value through profit or loss	211,981	–	–	–	6,536,879	–	–	–	6,748,860
Bills and acceptances payable	606,073	185	196	50	1,649	–	299	257	608,709
Other liabilities*	10,477,985	846,601	726,053	230,964	1,070,692	(1,346)	477,186	986,143	14,814,278
Borrowings	5,443,246	783,309	–	1,405,352	6,527,458	–	–	2,643,557	16,802,922
Subordinated obligations	14,138,570	–	–	–	–	–	–	–	14,138,570
Capital securities	1,577,087	–	–	–	–	–	–	–	1,577,087
Total liabilities	367,511,557	86,970,701	13,748,198	(9,348,464)	(58,471,830)	(4,157,837)	6,200,917	80,578,294	483,031,536
On-balance sheet open position	35,983,986	26,943,883	23,562	(597,243)	7,218,779	6,064,477	5,814	3,915,844	79,559,102
Less: Derivative assets	(100,200,318)	(24,850,552)	(5,111,431)	16,109,179	144,418,885	6,745,760	(2,242,611)	(52,273,957)	(17,405,045)
Add: Derivative liabilities	126,799,529	13,307,292	8,795,181	(23,874,161)	(159,132,906)	(4,175,087)	4,504,631	57,932,167	24,156,646
Add: Net forward position	(26,650,557)	(1,111,645)	(979,094)	5,497,336	20,561,383	(1,320,676)	(155,353)	(1,552,831)	(5,711,437)
Net open position	35,932,640	14,288,978	2,728,218	(2,864,889)	13,066,141	7,314,474	2,112,481	8,021,223	80,599,266
Net structural currency exposures	–	24,164,694	41,969	–	8,883,260	3,517,532	(1,208)	4,106,704	40,712,951

* The currency positions of the respective assets and liabilities in the analysis above have been stated on a gross basis. These assets and liabilities have been set–off and presented on a net basis if necessary and as appropriate in accordance with applicable MFRS Accounting Standards in the Group's and the Bank's statements of financial position.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(f) Market risk management (cont'd.)

6. Foreign exchange risk (cont'd.)

The tables below analyse the net foreign exchange positions of the Group and of the Bank as at 31 December 2025 and 31 December 2024, by major currencies, which are mainly in Ringgit Malaysia, Singapore Dollar, Great Britain Pound, Hong Kong Dollar, United States Dollar, Indonesia Rupiah and Euro. The "others" foreign exchange risk include mainly exposure to Australian Dollar, Japanese Yen, Chinese Renminbi, Philippine Peso and Brunei Dollar (cont'd.).

Bank 2024	Malaysian Ringgit RM'000	Singapore Dollar RM'000	Great Britain Pound RM'000	Hong Kong Dollar RM'000	United States Dollar RM'000	Indonesia Rupiah RM'000	Euro RM'000	Others RM'000	Total RM'000
Assets									
Cash and short-term funds	9,544,802	7,204,307	469,688	127,294	6,774,627	245,950	462,340	2,383,268	27,212,276
Deposits and placements with financial institutions	17,388,448	11,344,133	240,513	–	9,329,165	–	–	7,357	38,309,616
Financial assets purchased under resale agreements	1,485,953	1,530,799	–	–	14,591,575	–	–	–	17,608,327
Financial investments at fair value through profit or loss	6,659,001	4,322,848	–	691,632	709,206	2,044,569	–	977,267	15,404,523
Financial investments at fair value through other comprehensive income	40,716,545	7,883,485	683,627	694,335	8,830,806	–	389,159	9,729,246	68,927,203
Financial investments at amortised cost	36,842,451	10,322,241	112,219	947,168	14,359,810	–	441,597	1,655,821	64,681,307
Loans, advances and financing to financial institutions	44,299,052	–	728,175	–	3,293,988	–	–	–	48,321,215
Loans, advances and financing to customers	114,808,124	51,045,979	5,935,498	6,998,320	36,603,107	–	2,360,636	15,722,350	233,474,014
Derivative assets*	(46,596,616)	(73,085,441)	(6,539,623)	14,354,345	220,788,550	(6,848,973)	(1,890,867)	(76,849,597)	23,331,778
Other assets*	3,338,072	(99,599)	2,046,192	(119,727)	3,982,654	(6,333)	117,005	165,666	9,423,930
Statutory deposits with central banks	2,139,303	2,131,481	–	–	63,129	–	–	314,182	4,648,095
Investment in subsidiaries	13,959,205	14,774,102	–	–	388,838	3,517,532	–	2,936,074	35,575,751
Interest in associates and joint venture	4,511	–	–	–	6,140	–	–	428,208	438,859
Property, plant and equipment	587,197	241,576	22,158	1,141	7,451	–	–	2,328	861,851
Right-of-use assets	353,824	50,278	2,227	16,874	11,997	–	–	24,930	460,130
Intangible assets	646,846	–	–	1,089	5,071	–	–	11,597	664,603
Deferred tax assets*	143,052	5,974	–	–	–	–	–	147,629	296,655
Total assets	246,319,770	37,672,163	3,700,674	23,712,471	319,746,114	(1,047,255)	1,879,870	(42,343,674)	589,640,133

* The currency positions of the respective assets and liabilities in the analysis above have been stated on a gross basis. These assets and liabilities have been set–off and presented on a net basis if necessary and as appropriate in accordance with applicable MFRS Accounting Standards in the Group's and the Bank's statements of financial position.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(f) Market risk management (cont'd.)

6. Foreign exchange risk (cont'd.)

The tables below analyse the net foreign exchange positions of the Group and of the Bank as at 31 December 2025 and 31 December 2024, by major currencies, which are mainly in Ringgit Malaysia, Singapore Dollar, Great Britain Pound, Hong Kong Dollar, United States Dollar, Indonesia Rupiah and Euro. The "others" foreign exchange risk include mainly exposure to Australian Dollar, Japanese Yen, Chinese Renminbi, Philippine Peso and Brunei Dollar (cont'd.).

Bank 2024 (cont'd.)	Malaysian Ringgit RM'000	Singapore Dollar RM'000	Great Britain Pound RM'000	Hong Kong Dollar RM'000	United States Dollar RM'000	Indonesia Rupiah RM'000	Euro RM'000	Others RM'000	Total RM'000
Liabilities									
Deposits from customers	163,339,369	60,545,884	2,719,779	6,636,760	64,435,732	12	1,268,474	11,662,976	310,608,986
Deposits and placements from financial institutions	18,795,198	13,201,422	2,326,134	4,256,884	28,285,966	33,425	76,473	10,023,722	76,999,224
Obligations on financial assets sold under repurchase agreements	22,463,880	11,643,694	–	–	12,183,277	–	–	663,961	46,954,812
Derivative liabilities*	(18,132,500)	(76,227,152)	(1,587,844)	12,664,899	190,271,501	(5,283,874)	358,948	(75,079,498)	26,984,480
Financial liabilities at fair value through profit or loss	331,669	–	–	–	7,097,373	–	–	–	7,429,042
Bills and acceptances payable	437,066	8,159	201	55	1,872	–	292	18,525	466,170
Other liabilities*	8,723,161	1,262,370	195,066	253,000	2,402,583	3,303	137,160	716,335	13,692,978
Provision for taxation and zakat	–	–	–	–	–	–	–	–	–
Borrowings	2,867,741	384,457	–	1,264,491	5,409,115	–	–	5,620,623	15,546,427
Subordinated obligations	10,843,439	–	–	–	–	–	–	–	10,843,439
Capital securities	1,576,770	–	–	–	–	–	–	–	1,576,770
Total liabilities	211,245,793	10,818,834	3,653,336	25,076,089	310,087,419	(5,247,134)	1,841,347	(46,373,356)	511,102,328
On-balance sheet open position	35,073,977	26,853,329	47,338	(1,363,618)	9,658,695	4,199,879	38,523	4,029,682	78,537,805
Less: Derivative assets	46,596,616	73,085,441	6,539,623	(14,354,345)	(220,788,550)	6,848,973	1,890,867	76,849,597	(23,331,778)
Add: Derivative liabilities	(18,132,500)	(76,227,152)	(1,587,844)	12,664,899	190,271,501	(5,283,874)	358,948	(75,079,498)	26,984,480
Add: Net forward position	(28,941,607)	3,060,690	2,200,563	30,550,350	(1,636,555)	(2,252,462)	–	(1,782,917)	1,198,062
Net open position	34,596,486	26,772,308	7,199,680	27,497,286	(22,494,909)	3,512,516	2,288,338	4,016,864	83,388,569
Net structural currency exposures	–	23,914,333	56,731	–	10,545,549	3,517,532	–	4,369,958	42,404,103

* The currency positions of the respective assets and liabilities in the analysis above have been stated on a gross basis. These assets and liabilities have been set–off and presented on a net basis if necessary and as appropriate in accordance with applicable MFRS Accounting Standards in the Group's and the Bank's statements of financial position.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(f) Market risk management (cont'd.)

6. Foreign exchange risk (cont'd.)

Net structural foreign currency position represents the Group's and the Bank's net investment in overseas operations. This position comprises the net assets of the Group's and of the Bank's overseas branches and investments in overseas subsidiaries.

Where possible, the Group and the Bank mitigate the effect of currency exposures by funding the overseas operations with borrowings and deposits received in the same functional currencies of the respective overseas locations. The foreign currency exposures are also hedged using foreign exchange derivatives.

The structural currency exposures of the Group and of the Bank as at the reporting dates are as follows:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Singapore Dollar	**18,143,490**	17,732,815	**24,164,694**	23,914,333
Great Britain Pound	**51,154**	65,769	**41,969**	56,731
Hong Kong Dollar	**154,606**	165,999	**–**	–
United States Dollar	**9,606,102**	11,423,422	**8,883,260**	10,545,549
Indonesia Rupiah	**7,362,321**	7,833,248	**3,517,532**	3,517,532
Euro	**(1,097)**	(1,120)	**(1,208)**	–
Others	**5,155,908**	5,239,102	**4,106,704**	4,369,958
	40,472,484	42,459,235	**40,712,951**	42,404,103

7. Sensitivity analysis for foreign exchange risk

Foreign exchange risk

Foreign exchange risk arises from the movements in exchange rates that adversely affect the revaluation of the Group's and of the Bank's foreign currency positions. Considering that other risk variables remain constant, the foreign currency revaluation sensitivity for the Group and the Bank on their unhedged position are as follows:

	Group		Bank	
	1% Appreciation RM'000	**1% Depreciation RM'000**	**1% Appreciation RM'000**	**1% Depreciation RM'000**
2025				
Impact to profit before taxation	**(28,767)**	**28,767**	**(21,397)**	**21,397**
2024				
Impact to profit before taxation	(36,518)	36,518	(25,471)	25,471

Interpretation of impact

The Group and the Bank measures the foreign exchange sensitivity based on the foreign exchange net open positions (including foreign exchange structural position) under an adverse movement in all foreign currencies against the functional currency – Ringgit Malaysia ("RM"). The result implies that the Group and the Bank may be subject to additional translation (losses)/gains if the RM appreciates/depreciates against other currencies and vice versa.

8. Equity price risk

Equity price risk arises from the unfavourable movements in share price of quoted equity investments that adversely affect the Group's and the Bank's mark–to–market valuation on quoted equity investments. There is a direct correlation between movements in share price of quoted equity investments and movements in stock market index. The Group's equity price risk policy requires it to manage such risk by setting and monitoring objectives and constraints on investments, diversification plans and limits on investment in each country, sector, market and issuer.

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(f) Market risk management (cont'd.)

8. Equity price risk (cont'd.)

Considering that other risk variables remain constant, the sensitivity of mark–to–market valuation of quoted equity investments for the Group and the Bank against the stock market index are as follows:

	Group		Bank	
	Change in market index		Change in market index	
	+10% RM'000	–10% RM'000	+10% RM'000	–10% RM'000
2025				
Impact to profit after tax	**1,531,349**	**(1,531,349)**	**414,149**	**(414,149)**
Impact to post–tax equity	**54,347**	**(54,347)**	**26,592**	**(26,592)**
2024				
Impact to profit after tax	972,943	(972,943)	174,530	(174,530)
Impact to post–tax equity	35,708	(35,708)	34	(34)

(g) Liquidity risk management

1. Liquidity risk management overview

Liquidity risk management

Liquidity risk is defined as the risk of an adverse impact to the Group's financial condition or overall safety and soundness that could arise from its inability (or perceived inability) or unexpected higher cost to meet its obligations.

The Group has adopted BNM Liquidity Coverage Ratio, Net Stable Funding Ratio and other industry leading practices as a foundation to measure and manage its liquidity risk exposure. The Group also uses a range of tools to monitor and control liquidity risk exposure such as liquidity gap, early warning signals, liquidity indicators and stress testing. The liquidity positions of the Group are monitored regularly against the established policies, procedures and limits.

The Group has a diversified liability structure to meet its funding requirements. The primary source of funding includes customer deposits, interbank deposits, debt securities, swap market, bank loan syndication and medium term funds. The Group also initiates and implements strategic fund raising programmes as well as institutes standby lines with external parties on a need basis. Sources of fund providers are regularly reviewed to maintain a wide diversification by currency, provider, product and term, thus minimising excessive funding concentration.

Management of liquidity risk

For day–to–day liquidity management, the treasury operations will ensure sufficient funding to meet its intraday payment and settlement obligations on a timely basis. Besides, the process of managing liquidity risk also includes:

- Maintaining a sufficient amount of unencumbered high quality liquidity buffer as a protection against any unforeseen interruption to cash flows;
- Managing short and long–term cash flows via maturity mismatch report and various indicators;
- Monitoring depositor concentration at the Group and the Bank levels to avoid undue reliance on large depositors;
- Managing liquidity exposure by domestic and significant foreign currencies;
- Diversifying funding sources to ensure appropriate funding mix;
- Enhanced Liquidity Coverage Ratio reporting to optimise liquidity management;
- Conducting liquidity stress testing under various scenarios as part of prudent liquidity control;
- Maintaining a robust contingency funding plan that includes strategies, decision–making authorities, internal and external communication and courses of action to be taken under different liquidity crisis scenarios;
- Conducting Recovery Plan testing to examine the effectiveness and robustness of the plans to avert any potential liquidity disasters affecting the Group's and the Bank's liquidity soundness and financial solvency;
- Extensive review of the Group Recovery Plan incorporating industry best practices with the assistance of an external consultant; and
- Enhancement of the Group Contingency Funding Plan in compliance with BNM's Liquidity Risk Policy Document.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(g) Liquidity risk management (cont'd.)

2. Contractual maturity of total assets and liabilities

The tables below analyse assets and liabilities (inclusive of non–financial instruments) of the Group and of the Bank in the relevant maturity tenors based on remaining contractual maturities as at 31 December 2025 and 31 December 2024.

These disclosures are made in accordance with the requirement of Policy document on Financial Reporting issued by BNM:

Group 2025	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 6 months RM'000	>6 months to 1 year RM'000	>1 to 3 years RM'000	>3 to 5 years RM'000	Over 5 years RM'000	No-specific maturity RM'000	Total RM'000
Assets									
Cash and short-term funds	28,328,140	–	–	–	–	–	–	–	28,328,140
Deposits and placements with financial institutions	9,491	8,025,216	5,555,777	56,463	383,419	–	–	–	14,030,366
Financial assets purchased under resale agreements	8,398,056	414,370	–	–	–	–	–	–	8,812,426
Financial assets designated upon initial recognition at fair value through profit or loss	302,800	314,785	33,444	163,452	1,304,777	751,122	10,021,170	14,143	12,905,693
Financial investments at fair value through profit or loss	3,847,382	2,229,362	3,583,199	4,776,505	1,294,338	2,599,594	4,218,720	23,517,379	46,066,479
Financial investments at fair value through other comprehensive income	3,295,960	3,500,483	2,219,754	3,127,327	11,210,413	15,992,604	73,634,442	3,983,251	116,964,234
Financial investments at amortised cost	2,792,219	3,448,330	4,024,214	6,288,953	15,888,767	11,434,010	34,583,295	2,326,652	80,786,440
Loans, advances and financing to financial institutions	126,040	109,824	303,997	136,214	145,195	81,066	4,877	–	907,213
Loans, advances and financing to customers	76,975,559	23,008,402	21,294,367	38,536,284	76,459,437	74,919,877	365,787,454	–	676,981,380
Derivative assets	721,321	1,477,462	1,160,206	1,166,058	2,245,550	1,439,631	9,430,000	–	17,640,228
Insurance contract/takaful certificate assets	58,454	–	–	–	–	–	–	44,711	103,165
Reinsurance contract/retakaful certificate assets	4,121,332	–	–	–	–	–	–	1,153,113	5,274,445
Other assets	12,204,716	1,060,583	263,340	1,500,791	303,056	78,346	12,678	1,892,832	17,316,342
Investment properties	–	–	–	–	–	–	–	1,042,622	1,042,622
Statutory deposits with central banks	–	–	–	–	–	–	–	11,958,915	11,958,915
Interest in associates and joint venture	–	–	–	–	–	–	–	1,832,384	1,832,384
Property, plant and equipment	–	–	–	–	–	–	–	2,458,303	2,458,303
Right-of-use assets	56,690	2,240	10,665	22,137	134,792	94,720	1,573,242	29,541	1,924,027
Intangible assets	–	–	–	–	–	–	–	6,532,573	6,532,573
Deferred tax assets	–	–	–	–	–	–	–	1,718,218	1,718,218
Total assets	141,238,160	43,591,057	38,448,963	55,774,184	109,369,744	107,390,970	499,265,878	58,504,637	1,053,583,593
Liabilities									
Customers' funding:									
– Deposits from customers	419,429,930	128,139,614	89,596,405	54,973,186	5,519,593	68,990	482,509	–	698,210,227
– Investment accounts of customers^	29,309,422	1,406,981	1,022,476	1,033,400	9,508	1,187	–	–	32,782,974
Deposits and placements from financial institutions	7,713,558	11,386,012	6,516,542	13,180,237	3,288,908	126,537	375,535	–	42,587,329
Obligations on financial assets sold under repurchase agreements	14,062,232	10,818,713	–	–	1,018,480	–	–	–	25,899,425
Derivative liabilities	2,331,660	1,982,261	1,909,317	1,497,131	1,756,672	1,416,500	13,642,335	–	24,535,876
Financial liabilities at fair value through profit or loss	1,840	25,683	189,410	163,873	2,306,565	359,487	6,536,879	–	9,583,737
Bills and acceptances payable	1,108,545	184,073	156,135	1,288	–	–	–	2,354	1,452,395
Insurance contract/takaful certificate liabilities	34,116,128	–	–	–	–	–	–	12,977,802	47,093,930
Reinsurance contract/retakaful certificate liabilities	8,040	–	–	–	–	–	–	24,722	32,762
Other liabilities	23,762,999	222,190	405,453	874,198	261,299	79,068	545,733	2,964,553	29,115,493
Provision for taxation and zakat	17,364	15,377	169	5,791	–	–	1,539	355,551	395,791
Deferred tax liabilities	–	–	–	–	–	–	–	814,707	814,707
Borrowings	662,318	2,878,402	2,937,126	5,218,977	11,838,328	4,614,976	57,018	–	28,207,145
Subordinated obligations	296,261	–	–	3,000,000	700,000	3,000,000	7,456,611	–	14,452,872
Capital securities	17,087	–	–	–	1,560,000	–	–	–	1,577,087
Total liabilities	532,837,384	157,059,306	102,733,033	79,948,081	28,259,353	9,666,745	29,098,159	17,139,689	956,741,750
Net liquidity gap	(391,599,224)	(113,468,249)	(64,284,070)	(24,173,897)	81,110,391	97,724,225	470,167,719	41,364,948	96,841,843

^ Investment accounts of customers are used to fund financing and advances as disclosed in Note 63(I).

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(g) Liquidity risk management (cont'd.)

2. Contractual maturity of total assets and liabilities (cont'd.)

The tables below analyse assets and liabilities (inclusive of non–financial instruments) of the Group and of the Bank in the relevant maturity tenors based on remaining contractual maturities as at 31 December 2025 and 31 December 2024 (cont'd.).

These disclosures are made in accordance with the requirement of Policy document on Financial Reporting issued by BNM (cont'd.):

Group 2024	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 6 months RM'000	>6 months to 1 year RM'000	>1 to 3 years RM'000	>3 to 5 years RM'000	Over 5 years RM'000	No-specific maturity RM'000	Total RM'000
Assets									
Cash and short-term funds	40,522,520	–	–	–	–	–	–	–	40,522,520
Deposits and placements with financial institutions	28,882	13,244,583	8,428,210	236,224	3,147	–	333,986	–	22,275,032
Financial assets purchased under resale agreements	646,913	15,983,870	–	–	–	–	–	–	16,630,783
Financial assets designated upon initial recognition at fair value through profit or loss	113,414	10,224	20,209	238,720	1,176,497	812,685	10,542,291	19,294	12,933,334
Financial investments at fair value through profit or loss	5,466,590	1,794,563	3,264,127	1,473,868	1,506,035	1,457,197	3,037,332	15,274,828	33,274,540
Financial investments at fair value through other comprehensive income	6,474,112	7,462,594	6,902,010	3,798,425	10,196,605	13,422,399	79,020,511	900,748	128,177,404
Financial investments at amortised cost	176,335	4,917,655	7,475,357	4,344,570	22,957,569	8,931,856	30,573,366	784	79,377,492
Loans, advances and financing to financial institutions	165,622	278,347	59,465	173,217	428,718	290,759	637,097	–	2,033,225
Loans, advances and financing to customers	61,029,794	23,031,740	14,267,639	30,331,015	87,516,987	86,612,621	359,951,064	–	662,740,860
Derivative assets	806,423	1,567,492	1,470,586	1,804,919	3,356,246	2,185,749	12,226,165	–	23,417,580
Insurance contract/takaful certificate assets	24,361	–	–	50,838	–	–	–	–	75,199
Reinsurance contract/retakaful certificate assets	5,812,642	–	–	97,417	–	–	–	–	5,910,059
Other assets	12,646,383	419,805	26,736	1,347,431	63,489	194,240	5,397	782,543	15,486,024
Investment properties	–	–	–	–	–	–	–	1,038,657	1,038,657
Statutory deposits with central banks	–	–	–	–	–	–	–	17,166,509	17,166,509
Interest in associates and joint venture	–	–	–	–	–	–	–	1,857,728	1,857,728
Property, plant and equipment	–	–	–	–	–	–	–	2,283,097	2,283,097
Right-of-use assets	–	–	–	–	–	–	–	1,456,464	1,456,464
Intangible assets	–	–	–	–	–	–	–	6,993,290	6,993,290
Deferred tax assets	–	–	–	–	–	–	–	1,672,159	1,672,159
Total assets	133,913,991	68,710,873	41,914,339	43,896,644	127,205,293	113,907,506	496,327,209	49,446,101	1,075,321,956
Liabilities									
Customers' funding:									
– Deposits from customers	398,819,013	131,522,973	105,953,885	68,124,830	6,955,789	872,062	666,907	–	712,915,459
– Investment accounts of customers^	26,162,761	565,070	969,216	1,272,490	10,827	1,483	–	–	28,981,847
Deposits and placements from financial institutions	6,359,583	14,521,493	8,201,456	11,914,895	5,702,626	243,603	107,564	–	47,051,220
Obligations on financial assets sold under repurchase agreements	22,102,433	10,691,204	38,054	–	–	–	–	–	32,831,691
Derivative liabilities	1,736,675	2,232,500	873,440	1,663,666	2,914,072	1,746,891	16,327,233	–	27,494,477
Financial liabilities at fair value through profit or loss	66,081	75,348	164,161	117,149	3,448,797	906,091	7,165,827	–	11,943,454
Bills and acceptances payable	914,799	163,444	132,811	2,316	–	–	–	1,264	1,214,634
Insurance contract/takaful certificate liabilities	19,911,889	–	–	180,341	–	–	–	26,010,105	46,102,335
Reinsurance contract/retakaful certificate liabilities	–	–	–	12,211	–	–	–	14,852	27,063
Other liabilities	22,144,388	370,362	243,478	548,221	477,355	116,307	677,512	2,930,356	27,507,979
Provision for taxation and zakat	9,323	83	8,640	3,118	–	–	–	273,479	294,643
Deferred tax liabilities	–	–	–	–	–	–	–	755,338	755,338
Borrowings	5,355,510	2,662,529	1,952,887	2,721,420	9,192,897	4,295,422	2,079,436	–	28,260,101
Subordinated obligations	143,440	–	–	2,300,000	5,400,000	3,000,000	314,368	–	11,157,808
Capital securities	16,770	–	–	–	1,560,000	–	–	–	1,576,770
Total liabilities	503,742,665	162,805,006	118,538,028	88,860,657	35,662,363	11,181,859	27,338,847	29,985,394	978,114,819
Net liquidity gap	(369,828,674)	(94,094,133)	(76,623,689)	(44,964,013)	91,542,930	102,725,647	468,988,362	19,460,707	97,207,137

^ Investment accounts of customers are used to fund financing and advances as disclosed in Note 63(I).

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(g) Liquidity risk management (cont'd.)

2. Contractual maturity of total assets and liabilities (cont'd.)

The tables below analyse assets and liabilities (inclusive of non–financial instruments) of the Group and of the Bank in the relevant maturity tenors based on remaining contractual maturities as at 31 December 2025 and 31 December 2024 (cont'd.).

These disclosures are made in accordance with the requirement of Policy document on Financial Reporting issued by BNM (cont'd.):

Bank 2025	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 6 months RM'000	>6 months to 1 year RM'000	>1 to 3 years RM'000	>3 to 5 years RM'000	Over 5 years RM'000	No-specific maturity RM'000	Total RM'000
Assets									
Cash and short-term funds	23,860,757	–	–	–	–	–	–	–	23,860,757
Deposits and placements with financial institutions	–	23,868,530	5,330,061	55,274	359,274	–	–	–	29,613,139
Financial assets purchased under resale agreements	7,493,914	2,243,052	–	–	–	–	–	–	9,736,966
Financial investments at fair value through profit or loss	2,720,572	1,497,907	2,669,653	3,614,699	851,134	1,800,673	2,046,818	6,281,709	21,483,165
Financial investments at fair value through other comprehensive income	851,465	1,754,496	764,032	2,015,876	4,869,733	7,607,699	46,982,868	773,677	65,619,846
Financial investments at amortised cost	1,747,342	4,778,980	6,877,431	4,838,952	13,420,964	6,802,712	29,499,444	–	67,965,825
Loans, advances and financing to financial institutions	10,083,279	2,165,334	1,495,734	2,720,275	12,330,755	11,826,612	8,942,614	–	49,564,603
Loans, advances and financing to customers	34,380,444	10,688,983	12,764,796	27,136,004	38,063,305	24,980,097	73,401,770	–	221,415,399
Derivative assets	433,581	1,567,901	1,260,602	1,026,364	2,211,167	1,459,256	9,446,174	–	17,405,045
Other assets	8,996,361	1,013,576	256,354	556,832	243,582	236	–	760,978	11,827,919
Statutory deposits with central banks	–	–	–	–	–	–	–	3,051,218	3,051,218
Investment in subsidiaries	–	–	–	–	–	–	–	37,133,790	37,133,790
Interest in associates and joint venture	–	–	–	–	–	–	–	438,859	438,859
Property, plant and equipment	–	–	–	–	–	–	–	987,923	987,923
Right-of-use assets	7,549	1,349	2,025	11,704	23,681	11,629	1,227,273	–	1,285,210
Intangible assets	–	–	–	–	–	–	–	815,001	815,001
Deferred tax assets	–	–	–	–	–	–	–	385,973	385,973
Total assets	90,575,264	49,580,108	31,420,688	41,975,980	72,373,595	54,488,914	171,546,961	50,629,128	562,590,638
Liabilities									
Deposits from customers	191,422,238	54,872,253	29,859,024	22,207,296	1,452,264	51,194	482,509	–	300,346,778
Deposits and placements from financial institutions	27,245,980	9,766,250	6,128,941	23,642,913	3,104,534	–	–	–	69,888,618
Obligations on financial assets sold under repurchase agreements	18,261,648	14,668,939	–	–	1,018,481	–	–	–	33,949,068
Derivative liabilities	2,206,095	1,872,525	1,804,449	1,210,161	2,004,532	1,418,815	13,640,069	–	24,156,646
Financial liabilities at fair value through profit or loss	1,728	25,678	–	6,776	46,623	131,175	6,536,880	–	6,748,860
Bills and acceptances payable	608,708	–	1	–	–	–	–	–	608,709
Other liabilities	13,497,069	123,296	222,594	547,218	24,663	8,330	26,683	364,425	14,814,278
Borrowings	550,985	1,864,425	745,863	4,679,502	4,290,153	4,614,976	57,018	–	16,802,922
Subordinated obligations	1,888,570	–	–	3,000,000	700,00	3,000,000	5,550,000	–	14,138,570
Capital securities	17,087	–	–	–	1,560,000	–	–	–	1,577,087
Total liabilities	255,700,108	83,193,366	38,760,872	55,293,866	14,201,250	9,224,490	26,293,159	364,425	483,031,536
Net liquidity gap	(165,124,844)	(33,613,258)	(7,340,184)	(13,317,886)	58,172,345	45,264,424	145,253,802	50,264,703	79,559,102

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(g) Liquidity risk management (cont'd.)

2. Contractual maturity of total assets and liabilities (cont'd.)

The tables below analyse assets and liabilities (inclusive of non–financial instruments) of the Group and of the Bank in the relevant maturity tenors based on remaining contractual maturities as at 31 December 2025 and 31 December 2024 (cont'd.).

These disclosures are made in accordance with the requirement of Policy document on Financial Reporting issued by BNM (cont'd.):

Bank 2024	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 6 months RM'000	>6 months to 1 year RM'000	>1 to 3 years RM'000	>3 to 5 years RM'000	Over 5 years RM'000	No-specific maturity RM'000	Total RM'000
Assets									
Cash and short-term funds	27,212,276	–	–	–	–	–	–	–	27,212,276
Deposits and placements with financial institutions	–	29,322,800	8,416,973	235,846	–	–	333,997	–	38,309,616
Financial assets purchased under resale agreements	414,962	17,193,365	–	–	–	–	–	–	17,608,327
Financial investments at fair value through profit or loss	4,108,171	1,299,612	2,638,897	730,825	903,748	1,195,368	1,448,180	3,079,722	15,404,523
Financial investments at fair value through other comprehensive income	3,053,031	3,863,524	2,117,384	1,782,782	5,679,392	6,410,652	45,662,968	357,470	68,927,203
Financial investments at amortised cost	8,767	4,258,197	5,951,719	2,560,869	18,963,167	5,850,879	27,086,925	784	64,681,307
Loans, advances and financing to financial institutions	7,914,912	1,680,228	441,291	2,149,396	10,401,412	15,368,011	10,365,965	–	48,321,215
Loans, advances and financing to customers	26,464,905	10,912,718	7,422,237	18,526,159	54,455,579	38,535,212	77,157,204	–	233,474,014
Derivative assets	738,759	1,484,796	1,442,382	1,757,477	3,520,320	2,149,313	12,238,731	–	23,331,778
Other assets	8,545,811	372,609	24,916	210,043	3,383	291	–	266,877	9,423,930
Statutory deposits with central banks	–	–	–	–	–	–	–	4,648,095	4,648,095
Investment in subsidiaries	–	–	–	–	–	–	–	35,575,751	35,575,751
Interest in associates and joint venture	–	–	–	–	–	–	–	438,859	438,859
Property, plant and equipment	–	–	–	–	–	–	–	861,851	861,851
Right-of-use assets	–	–	–	–	–	–	–	460,130	460,130
Intangible assets	–	–	–	–	–	–	–	664,603	664,603
Deferred tax assets	–	–	–	–	–	–	–	296,655	296,655
Total assets	78,461,594	70,387,849	28,455,799	27,953,397	93,927,001	69,509,726	174,293,970	46,650,797	589,640,133
Liabilities									
Deposits from customers	186,025,239	57,467,524	34,157,978	31,734,853	706,989	11,255	505,148	–	310,608,986
Deposits and placements from financial institutions	24,720,071	14,125,444	13,233,812	19,458,656	5,461,241	–	–	–	76,999,224
Obligations on financial assets sold under repurchase agreements	18,006,419	28,910,339	38,054	–	–	–	–	–	46,954,812
Derivative liabilities	1,644,444	1,969,352	823,614	1,431,758	3,033,047	1,725,524	16,356,741	–	26,984,480
Financial liabilities at fair value through profit or loss	–	–	24,960	34,844	176,134	95,731	7,097,373	–	7,429,042
Bills and acceptances payable	466,170	–	–	–	–	–	–	–	466,170
Other liabilities	11,317,889	305,619	27,992	125,102	10,581	21,916	47,124	1,836,755	13,692,978
Borrowings	492,506	1,160,965	1,120,098	1,658,712	4,943,931	5,157,410	1,012,805	–	15,546,427
Subordinated obligations	143,439	–	–	2,300,000	5,400,000	3,000,000	–	–	10,843,439
Capital securities	16,770	–	–	–	1,560,000	–	–	–	1,576,770
Total liabilities	242,832,947	103,939,243	49,426,508	56,743,925	21,291,923	10,011,836	25,019,191	1,836,755	511,102,328
Net liquidity gap	(164,371,353)	(33,551,394)	(20,970,709)	(28,790,528)	72,635,078	59,497,890	149,274,779	44,814,042	78,537,805

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(g) Liquidity risk management (cont'd.)

3. Contractual maturity of financial liabilities on an undiscounted basis

The tables below analyse the cash flows payable by the Group and the Bank under non–derivative financial liabilities by remaining contractual maturities as at 31 December 2025 and 31 December 2024. The amounts disclosed in the tables will not agree to the carrying amounts reported in the statements of financial position as the amounts incorporated all contractual cash flows, on an undiscounted basis, relating to both principal and interest/profit analysis. The Group and the Bank manage inherent liquidity risk based on discounted expected cash flows.

Group 2025	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 6 months RM'000	>6 months to 1 year RM'000	>1 to 3 years RM'000	>3 to 5 years RM'000	Over 5 years RM'000	Total RM'000
Non–derivative liabilities								
Deposits from customers	420,197,107	129,840,514	89,634,926	55,499,999	5,495,520	331,578	626,286	701,625,930
Investment accounts of customers	30,450,040	1,420,712	1,033,761	1,048,364	10,017	1,311	–	33,964,205
Deposits and placements from financial institutions	1,546,198	22,667,732	10,871,908	22,613,852	14,112,621	382,034	923,199	73,117,544
Obligations on financial assets sold under repurchase agreements	13,338,117	10,836,274	–	–	1,268,060	50,206	455,907	25,948,564
Financial liabilities at fair value through profit or loss	6,900	25,550	189,468	163,699	2,278,818	353,783	11,010,711	14,028,929
Bills and acceptances payable	1,455,364	–	269	1	–	–	–	1,455,634
Insurance contract/takaful certificate liabilities	34,116,493	–	–	–	–	–	12,977,439	47,093,932
Reinsurance contract/retakaful certificate liabilities	8,040	–	–	–	–	–	24,722	32,762
Other liabilities	15,490,521	1,875,723	933,781	3,839,824	3,456,541	2,117,387	3,839,431	31,553,208
Borrowings	1,511,735	2,561,963	2,977,367	3,944,611	12,581,478	5,966,597	59,024	29,602,775
Subordinated obligations	148,055	–	–	3,102,580	743,400	3,424,305	9,332,065	16,750,405
Capital securities	–	–	–	1,624,604	–	–	–	1,624,604
	518,268,570	169,228,468	105,641,480	91,837,534	39,946,455	12,627,201	39,248,784	976,798,492
Commitments and contingencies								
Direct credit substitutes	1,798,411	1,484,122	1,359,531	4,848,764	1,059,114	78,310	6,099	10,634,351
Certain transaction–related contingent items	1,859,551	839,438	1,631,783	2,894,871	5,978,511	2,706,727	1,362,390	17,273,271
Short–term self–liquidating trade–related contingencies	3,016,056	2,353,748	278,114	111,896	64,545	–	–	5,824,359
Irrevocable commitments to extend credit	97,106,897	7,093,803	5,748,179	67,500,758	35,468,172	24,559,268	11,906,230	249,383,307
Miscellaneous	3,617,500	4,388,865	2,211,795	1,828,323	95,592	47,697	–	12,189,772
	107,398,415	16,159,976	11,229,402	77,184,612	42,665,934	27,392,002	13,274,719	295,305,060

Group 2024	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 6 months RM'000	>6 months to 1 year RM'000	>1 to 3 years RM'000	>3 to 5 years RM'000	Over 5 years RM'000	Total RM'000
Non–derivative liabilities								
Deposits from customers	405,603,386	133,171,082	106,769,702	69,108,848	3,911,137	140,294	684,366	719,388,815
Investment accounts of customers	26,176,699	571,960	982,553	1,296,920	11,531	1,665	–	29,041,328
Deposits and placements from financial institutions	6,682,115	14,759,890	8,540,964	12,667,923	5,764,688	326,251	398,256	49,140,087
Obligations on financial assets sold under repurchase agreements	22,112,172	10,706,773	38,054	–	–	–	–	32,856,999
Financial liabilities at fair value through profit or loss	–	32,717	165,800	119,358	3,546,119	931,284	12,194,891	16,990,169
Bills and acceptances payable	1,747,449	404	23	29,933	24	–	6,571	1,784,404
Insurance contract/takaful certificate liabilities	45,921,995	–	–	180,341	–	–	–	46,102,336
Reinsurance contract/retakaful certificate liabilities	14,852	–	–	12,211	–	–	–	27,063
Other liabilities	12,946,014	3,172,462	1,056,238	3,253,956	5,750,491	1,187,595	1,539,042	28,905,798
Borrowings	4,614,878	2,942,479	2,418,308	2,018,614	10,122,497	5,256,959	1,331,596	28,705,331
Subordinated obligations	143,440	248,460	18,769	2,402,476	5,639,700	3,121,791	328,363	11,902,999
Capital securities	587,212	1,434	–	18,771	1,816,395	–	–	2,423,812
	526,550,212	165,607,661	119,990,411	91,109,351	36,562,582	10,965,839	16,483,085	967,269,141
Commitments and contingencies								
Direct credit substitutes	990,956	2,193,413	1,778,263	4,773,058	1,263,253	266,402	211,494	11,476,839
Certain transaction–related contingent items	1,480,916	1,024,806	2,313,080	3,666,881	5,511,978	2,103,997	1,021,904	17,123,562
Short–term self–liquidating trade–related contingencies	1,872,722	3,791,586	705,969	95,778	56,828	–	–	6,522,883
Irrevocable commitments to extend credit	100,337,544	8,212,711	9,571,305	59,343,045	34,573,462	30,212,581	6,224,890	248,475,538
Miscellaneous	8,956,781	1,955,877	1,595,947	1,377,565	202,206	65,675	–	14,154,051
	113,638,919	17,178,393	15,964,564	69,256,327	41,607,727	32,648,655	7,458,288	297,752,873

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(g) Liquidity risk management (cont'd.)

3. Contractual maturity of financial liabilities on an undiscounted basis (cont'd.)

The tables below analyse the cash flows payable by the Group and the Bank under non–derivative financial liabilities by remaining contractual maturities as at 31 December 2025 and 31 December 2024. The amounts disclosed in the tables will not agree to the carrying amounts reported in the statements of financial position as the amounts incorporated all contractual cash flows, on an undiscounted basis, relating to both principal and interest/profit analysis. The Group and the Bank manage inherent liquidity risk based on discounted expected cash flows (cont'd.).

Bank 2025	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 6 months RM'000	>6 months to 1 year RM'000	>1 to 3 years RM'000	>3 to 5 years RM'000	Over 5 years RM'000	Total RM'000
Non–derivative liabilities								
Deposits from customers	192,869,241	55,195,637	29,440,058	22,267,105	1,477,745	94,826	607,516	301,952,128
Deposits and placements from financial institutions	23,793,842	10,069,982	6,875,347	22,328,244	13,784,409	39,712	327,329	77,218,865
Obligations on financial assets sold under repurchase agreements	17,534,056	14,686,501	–	–	1,268,060	50,206	455,907	33,994,730
Financial liabilities at fair value through profit or loss	6,900	25,550	–	6,750	46,450	128,160	11,010,711	11,224,521
Bills and acceptances payable	608,708	–	–	1	–	–	–	608,709
Other liabilities	2,742,150	1,776,497	690,342	3,514,339	3,289,139	1,921,432	1,941,612	15,875,511
Borrowings	1,438,214	1,246,936	755,912	3,261,488	5,880,487	5,434,474	59,024	18,076,535
Subordinated obligations	1,740,364	–	–	3,102,580	743,400	3,424,305	7,399,436	16,410,085
Capital securities	–	–	–	1,624,604	–	–	–	1,624,604
	240,733,475	83,001,103	37,761,659	56,105,111	26,489,690	11,093,115	21,801,535	476,985,688
Commitments and contingencies								
Direct credit substitutes	829,443	1,086,654	670,997	3,659,659	629,611	63,292	4,557	6,944,213
Certain transaction–related contingent items	1,162,909	598,406	1,050,545	1,620,525	3,686,580	1,936,297	950,133	11,005,395
Short–term self–liquidating trade–related contingencies	2,464,650	1,956,906	249,704	90,409	–	–	–	4,761,669
Irrevocable commitments to extend credit	77,171,648	6,084,229	4,885,111	17,511,881	16,466,627	23,092,800	2,481,086	147,693,382
Miscellaneous	1,280,564	4,372,175	2,208,104	1,674,753	–	–	–	9,535,596
	82,909,214	14,098,370	9,064,461	24,557,227	20,782,818	25,092,389	3,435,776	179,940,255

Bank 2024	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 6 months RM'000	>6 months to 1 year RM'000	>1 to 3 years RM'000	>3 to 5 years RM'000	Over 5 years RM'000	Total RM'000
Non–derivative liabilities								
Deposits from customers	187,101,359	57,709,247	34,382,624	32,138,599	810,638	58,498	658,965	312,859,930
Deposits and placements from financial institutions	24,130,358	14,384,684	13,575,791	20,262,012	5,523,017	82,027	290,249	78,248,138
Obligations on financial assets sold under repurchase agreements	18,016,158	28,925,908	38,054	–	–	–	–	46,980,120
Financial liabilities at fair value through profit or loss	–	–	24,900	34,600	175,910	96,770	12,124,397	12,456,577
Bills and acceptances payable	466,170	–	–	–	–	–	–	466,170
Other liabilities	2,118,088	3,060,342	758,035	1,334,731	5,204,196	763,927	470,470	13,709,789
Borrowings	71,797	1,160,966	1,122,647	1,672,545	5,029,466	5,157,410	1,012,805	15,227,636
Subordinated obligations	143,439	218,304	18,769	2,371,820	5,518,077	3,000,000	–	11,270,409
Capital securities	16,770	–	–	–	1,560,000	–	–	1,576,770
	232,064,139	105,459,451	49,920,820	57,814,307	23,821,304	9,158,632	14,556,886	492,795,539
Commitments and contingencies								
Direct credit substitutes	625,567	2,059,488	1,063,101	2,933,817	704,513	54,038	8,725	7,449,249
Certain transaction–related contingent items	1,091,255	685,025	1,760,217	2,464,508	3,314,641	1,653,103	724,949	11,693,698
Short–term self–liquidating trade–related contingencies	967,844	3,212,335	685,785	88,731	–	–	–	4,954,695
Irrevocable commitments to extend credit	77,883,044	7,301,034	8,546,257	12,928,322	16,422,250	26,815,832	848,936	150,745,675
Miscellaneous	5,625,131	1,947,249	1,591,978	1,545,121	8,938	–	–	10,718,417
	86,192,841	15,205,131	13,647,338	19,960,499	20,450,342	28,522,973	1,582,610	185,561,734

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(g) Liquidity risk management (cont'd.)

3. Contractual maturity of financial liabilities on an undiscounted basis (cont'd.)

The tables below analyse the Group's and the Bank's derivative financial liabilities that will be settled on a net basis into relevant maturity groupings by remaining contractual maturities as at 31 December 2025 and 31 December 2024. The amounts disclosed in the tables are the contractual undiscounted cash flows.

Group 2025	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 6 months RM'000	>6 months to 1 year RM'000	>1 to 3 years RM'000	>3 to 5 years RM'000	Over 5 years RM'000	Total RM'000
Net settled derivatives								
Derivative financial liabilities								
Trading derivatives								
– Foreign exchange related contracts	(231,932)	(403,573)	249,230	1,350,943	(1,024,843)	120,546	(42,410)	17,961
– Interest rate related contracts	(98,460)	(118,889)	(140,014)	(378,594)	(1,098,315)	(1,074,289)	(10,109,781)	(13,018,342)
– Equity related contracts	(21,231)	–	–	(789)	(8)	–	–	(22,028)
Hedging derivatives								
– Interest rate related contracts	–	–	–	–	–	–	–	–
	(351,623)	(522,462)	109,216	971,560	(2,123,166)	(953,743)	(10,152,191)	(13,022,409)
Gross settled derivatives								
Derivative financial liabilities								
Trading derivatives								
Derivatives:								
– Outflow	(62,470,644)	(63,036,416)	(71,651,915)	(34,104,119)	(223,692,727)	(7,980,459)	(1,843,124)	(464,779,404)
– Inflow	61,012,897	61,464,925	69,135,722	30,703,775	220,936,392	7,613,844	1,839,232	452,706,787
Hedging derivatives								
Derivatives:								
– Outflow	(124,812)	(21,920)	(31,110)	(560,737)	(1,039,218)	(828,092)	(768,696)	(3,374,585)
– Inflow	110,405	14,557	16,581	424,285	933,135	700,750	567,983	2,767,696
	(1,472,154)	(1,578,854)	(2,530,722)	(3,536,796)	(2,862,418)	(493,957)	(204,605)	(12,679,506)

Group 2024	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 6 months RM'000	>6 months to 1 year RM'000	>1 to 3 years RM'000	>3 to 5 years RM'000	Over 5 years RM'000	Total RM'000
Net settled derivatives								
Derivative financial liabilities								
Trading derivatives								
– Foreign exchange related contracts	698,250	(353,616)	85,119	2,326,730	(2,922,946)	(30,321)	(388)	(197,172)
– Interest rate related contracts	(146,170)	(371,073)	(327,031)	(827,392)	(2,188,179)	(2,115,073)	(12,780,052)	(18,754,970)
– Equity related contracts	23,669	–	–	–	832	–	–	24,501
Hedging derivatives								
– Interest rate related contracts	–	(15,392)	–	–	–	–	–	(15,392)
	575,749	(740,081)	(241,912)	1,499,338	(5,110,293)	(2,145,394)	(12,780,440)	(18,943,033)
Gross settled derivatives								
Derivative financial liabilities								
Trading derivatives								
Derivatives:								
– Outflow	(43,289,060)	(43,965,671)	(23,972,922)	(16,999,274)	(15,006,597)	(6,108,837)	(3,346,527)	(152,688,888)
– Inflow	41,898,157	43,025,240	23,408,216	14,127,668	14,512,383	5,684,593	3,255,054	145,911,311
Hedging derivatives								
Derivatives:								
– Outflow	(146,441)	(2,588,814)	(880,877)	(353,361)	(1,015,655)	(1,160,090)	(507,999)	(6,653,237)
– Inflow	128,280	2,196,676	802,509	293,032	751,927	920,229	339,510	5,432,163
	(1,409,064)	(1,332,569)	(643,074)	(2,931,935)	(757,942)	(664,105)	(259,962)	(7,998,651)

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(g) Liquidity risk management (cont'd.)

3. Contractual maturity of financial liabilities on an undiscounted basis (cont'd.)

The tables below analyse the Group's and the Bank's derivative financial liabilities that will be settled on a net basis into relevant maturity groupings by remaining contractual maturities as at 31 December 2025 and 31 December 2024. The amounts disclosed in the tables are the contractual undiscounted cash flows (cont'd.).

Bank 2025	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 6 months RM'000	>6 months to 1 year RM'000	>1 to 3 years RM'000	>3 to 5 years RM'000	Over 5 years RM'000	Total RM'000
Net settled derivatives								
Derivative financial liabilities								
Trading derivatives								
– Foreign exchange related contracts	(211,105)	(403,026)	213,379	(326,676)	(1,080,907)	120,546	(42,410)	(1,730,199)
– Interest rate related contracts	(98,440)	(118,847)	(139,794)	(378,593)	(1,114,300)	(1,074,289)	(10,109,781)	(13,034,044)
– Equity related contracts	–	–	–	(415)	–	–	–	(415)
Hedging derivatives								
– Interest rate related contracts	–	–	–	–	–	–	–	–
	(309,545)	(521,873)	73,585	(705,684)	(2,195,207)	(953,743)	(10,152,191)	(14,764,658)
Gross settled derivatives								
Derivative financial liabilities								
Trading derivatives								
Derivatives:								
– Outflow	(59,512,703)	(58,278,552)	(59,753,355)	(23,627,875)	(3,467,465)	(2,691,277)	(105,163)	(207,436,390)
– Inflow	58,243,545	56,930,547	58,464,616	23,143,756	3,133,997	2,378,817	101,272	202,396,550
Hedging derivatives								
Derivatives:								
– Outflow	(124,812)	(17,390)	(31,110)	(560,737)	(1,039,218)	(828,092)	(768,696)	(3,370,055)
– Inflow	110,405	14,557	16,581	424,285	933,135	700,750	567,983	2,767,696
	(1,283,565)	(1,350,838)	(1,303,268)	(620,571)	(439,551)	(439,802)	(204,604)	(5,642,199)

Bank 2024	Up to 1 month RM'000	>1 to 3 months RM'000	>3 to 6 months RM'000	>6 months to 1 year RM'000	>1 to 3 years RM'000	>3 to 5 years RM'000	Over 5 years RM'000	Total RM'000
Net settled derivatives								
Derivative financial liabilities								
Trading derivatives								
– Foreign exchange related contracts	698,250	(353,616)	85,119	(55,457)	(2,922,946)	(30,321)	(388)	(2,579,359)
– Interest rate related contracts	(146,170)	(371,073)	(327,031)	(827,392)	(2,222,109)	(2,115,073)	(12,780,052)	(18,788,900)
– Equity related contracts	–	–	–	–	679	–	–	679
Hedging derivatives								
– Interest rate related contracts	–	(15,392)	–	–	–	–	–	(15,392)
	552,080	(740,081)	(241,912)	(882,849)	(5,144,376)	(2,145,394)	(12,780,440)	(21,382,972)
Gross settled derivatives								
Derivative financial liabilities								
Trading derivatives								
Derivatives:								
– Outflow	(39,951,985)	(44,829,586)	(23,467,468)	(14,486,992)	(5,913,733)	(2,454,574)	(1,733,279)	(132,837,617)
– Inflow	38,640,395	43,807,626	22,989,445	14,214,829	5,413,054	2,027,849	1,643,280	128,736,478
Hedging derivatives								
Derivatives:								
– Outflow	(146,441)	(2,588,814)	(880,877)	(353,361)	(1,015,655)	(1,160,090)	(508,000)	(6,653,238)
– Inflow	128,280	2,196,676	802,509	293,032	751,927	920,229	339,510	5,432,163
	(1,329,751)	(1,414,098)	(556,391)	(332,492)	(764,407)	(666,586)	(258,489)	(5,322,214)

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

53. FINANCIAL RISK MANAGEMENT POLICIES (CONT'D.)

(h) Non-financial risk management

Non-financial risk ("NFR") refers to the risk of loss arising from inadequate or failed internal processes, people and systems or from external events, and encompasses a broad spectrum of risk types including operational, technology, business continuity, third party and conduct-related risks. In Maybank Group, NFR management is governed by a comprehensive group-wide NFR Framework and supporting policies, which provide the overarching principles, standards and minimum requirements for consistent risk management across the Group.

The Group's NFR management is underpinned by a clearly articulated risk appetite approved by the Board, which defines the level of non-financial risk the Group is willing to accept in pursuit of its business objectives. A robust risk governance structure based on the Three Lines of Defence model, supported by a strong risk culture, ensures clear accountability and effective oversight of non-financial risks across all entities.

The Group applies a structured and integrated approach to NFR and operational resilience management through the deployment of standardised risk and resilience methodologies, tools and supporting systems. These include processes for the identification, assessment, measurement, monitoring and reporting of non-financial risks, the management of incidents, issues and control effectiveness, as well as the identification of critical business services, service impact tolerances and severe but plausible disruption scenarios.

For regulatory capital purposes, the Group applies the Standardised Approach ("SA") in calculating the minimum capital requirement for operational risk in accordance with Bank Negara Malaysia's Capital Adequacy Framework (Operational Risk), which took effect from January 2025.

(i) Environment, social and governance risk management

Environment, social and governance risks ("ESG risks") refer to the potential adverse impacts that ESG factors can have on a bank's financial performance, regulatory standing, reputation and long-term resilience.

The Group has in place the Maybank Group ESG Risk Management Framework ("ESGRMF") which sets out Maybank's approach to managing ESG risks, with a particular focus on climate change, human rights and governance practices. The ESGRMF applies to all Maybank entities, across internal operations and business activities including but not limited to loans/financing, insurance/takaful, investment and financial advisory services.

The ESGRMF is enhanced to embed key sustainability commitments, notably No Deforestation, No Peat, No Exploitation ("NDPE") and Group's Net Zero Carbon emissions target within the established risk management processes. This enhancement establishes a structured and systematic approach to identifying, addressing and overseeing mainly environmental risks across Group's operations and strategic decision-making.

In addition, the ESGRMF outlines Group's approach to assessing how clients manage social risks as well as the governance structure embedded within the ESG risk management practices.

Although ESG events and conditions presents risks, the Group has introduced various initiatives to help mitigate and adapt to these risks to ensure that the business is resilient and better-positioned to meet stakeholder's needs and expectations over the long term. Clients are assessed through various screening documents before and during onboarding as part of the Group's ESG.

In terms of products, services and advices, the Group intends to support customers in their transition to a low-carbon economy (as guided by the Group's Sustainable Product Framework, Transition Finance Framework and Net Zero Whitepaper). Additionally, the Group strives to be resource-efficient, consequently reducing operating costs, as well as indirect impact on climate change. In doing so, the Group hopes to improve the climate resiliency of the Group's business.

54. FAIR VALUE MEASUREMENTS

This disclosure provides information on fair value measurements for financial and non-financial assets and financial liabilities and is structured as follows:

(a) Valuation principles;

(b) Valuation techniques;

(c) Fair value measurements and classifications within the fair value hierarchy;

(d) Transfers between Level 1 and Level 2 in the fair value hierarchy;

(e) Movements of Level 3 instruments;

(f) Sensitivity of fair value measurements to changes in unobservable input assumptions; and

(g) Financial instruments not measured at fair value.

(a) Valuation principles

Fair value is defined as the price that would be received for the sale of an asset or paid to transfer a liability in an orderly transaction between market participants in the principal or most advantageous market as of the measurement date. The Group and the Bank determine the fair value by reference to quoted prices in active markets or by using valuation techniques based on observable inputs or unobservable inputs.

Management judgement is exercised in the selection and application of appropriate parameters, assumptions and modelling techniques where some or all of the parameter inputs are not observable in deriving fair value. The Group established a framework and policies that provide guidance concerning the practical considerations, principles and analytical approaches for the establishment of prudent valuation for financial instruments measured at fair value.

Valuation adjustment is also an integral part of the valuation process. Valuation adjustment is to reflect the uncertainty in valuations generally for products that are less standardised, less frequently traded and more complex in nature. In making a valuation adjustment, the Group and the Bank follow methodologies that consider factors such as bid-offer spread, unobservable prices/inputs in the market and uncertainties in the assumptions/parameters.

54. FAIR VALUE MEASUREMENTS (CONT'D.)

(a) Valuation principles (cont'd.)

The Group and the Bank continuously enhance their designs, validation methodologies and processes to ensure the valuations are reflective. The valuation models are validated both internally and externally, with periodic reviews to ensure the model remains suitable for their intended use.

For disclosure purposes, the level in the hierarchy within which the instruments are classified in its entirety is based on the lowest level input that is significant to the position's fair value measurements:

- Level 1: Quoted prices (unadjusted) in active markets for identical assets and liabilities

  Refers to financial instruments which are regarded as quoted in an active market if quoted prices are readily and regularly available from an exchange, and those prices which represent actual and regularly occurring market transactions in an arm's length basis. Such financial instruments include actively traded government securities, listed derivatives and cash products traded on exchange.

- Level 2: Valuation techniques for which all significant inputs are, or are based on, observable market data

  Refers to inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. prices) or indirectly (i.e. derived from prices). Examples of Level 2 financial instruments include over-the-counter ("OTC") derivatives, corporate and other government bonds, illiquid equities and consumer loans and financing with homogeneous or similar features in the market.

- Level 3: Valuation techniques for which significant inputs are not based on observable market data

  Refers to instruments where fair value is measured using significant unobservable inputs. The valuation techniques used are consistent with Level 2 but incorporate the Group's and the Bank's own assumptions and data. Examples of Level 3 instruments include corporate bonds in illiquid markets, private equity investments and loans and financing priced primarily based on internal credit assessment.

(b) Valuation techniques

The valuation techniques used for the financial and non-financial assets and financial liabilities that are not determined by reference to quoted prices (Level 1) are described below:

Derivatives

The fair values of the Group's and the Bank's derivative instruments are derived using discounted cash flow analysis, option pricing and benchmarking models.

Financial assets designated upon initial recognition at fair value through profit or loss, financial investments at fair value through profit or loss and financial investments at fair value through other comprehensive income

The fair values of these financial assets/financial investments are determined by reference to prices quoted by independent data providers and independent brokers. Fair values for unquoted equity securities held for socioeconomic reasons (classified as Level 3) are determined based on the net tangible assets of the companies.

Loans, advances and financing at fair value through profit or loss and at fair value through other comprehensive income

The fair values are estimated based on expected future cash flows of contractual instalment payments, discounted at applicable and prevailing rates at reporting date offered for similar facilities to new borrowers with similar credit profiles.

Financial liabilities at fair value through profit or loss

The fair values of financial liabilities designated at fair value through profit or loss were derived using discounted cash flows.

Investment properties

The fair values of investment properties are determined by an accredited independent valuer using a variety of approaches such as comparison method and income capitalisation approach. Under the comparison method, fair value is estimated by considering the selling price per square foot of comparable investment properties sold adjusted for location, quality and finishes of the building, design and size of the building, title conditions, market trends and time factor. Income capitalisation approach considers the capitalisation of net income of the investment properties such as the gross rental less current maintenance expenses and outgoings. This process may consider the relationships including yield and discount rates.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

54. FAIR VALUE MEASUREMENTS (CONT'D.)

(c) Fair value measurements and classifications within the fair value hierarchy

The classification in the fair value hierarchy of the Group's and of the Bank's financial and non-financial assets and financial liabilities measured at fair value is summarised in the table below:

Group 2025	Quoted market price (Level 1) RM'000	Valuation technique using: Observable inputs (Level 2) RM'000	Valuation technique using: Unobservable inputs (Level 3) RM'000	Total RM'000
Non-financial assets measured at fair value:				
Investment properties	–	–	1,042,622	1,042,622
Financial assets measured at fair value:				
Financial assets designated upon initial recognition at fair value through profit or loss	13,952	12,891,741	–	12,905,693
Money market instruments	–	1,140,166	–	1,140,166
Quoted securities	13,952	–	–	13,952
Unquoted securities	–	11,751,575	–	11,751,575
Financial investments at fair value through profit or loss	22,844,527	22,163,726	1,058,226	46,066,479
Money market instruments	–	12,344,115	–	12,344,115
Quoted securities	22,844,527	–	–	22,844,527
Unquoted securities	–	9,819,611	1,058,226	10,877,837
Financial investments at fair value through other comprehensive income	5,811,836	110,722,829	429,569	116,964,234
Money market instruments	–	45,411,041	–	45,411,041
Quoted securities	5,811,836	–	–	5,811,836
Unquoted securities	–	65,311,788	429,569	65,741,357
Loans, advances and financing at fair value through other comprehensive income	–	–	30,288,409	30,288,409
Derivative assets	–	16,918,739	721,489	17,640,228
Foreign exchange related contracts	–	5,673,565	–	5,673,565
Interest rate related contracts	–	11,655,500	–	11,655,500
Equity and commodity related contracts	–	764,104	721,489	1,485,593
Credit related contracts	–	933	–	933
Netting effects under MFRS 132 Amendments	–	(1,175,363)	–	(1,175,363)
	28,670,315	162,697,035	32,497,693	223,865,043
Financial liabilities measured at fair value:				
Financial liabilities at fair value through profit or loss	–	9,583,737	–	9,583,737
Structured deposits	–	3,046,858	–	3,046,858
Borrowings	–	6,536,879	–	6,536,879
Derivative liabilities	–	23,814,387	721,489	24,535,876
Foreign exchange related contracts	–	7,107,247	–	7,107,247
Interest rate related contracts	–	15,900,683	–	15,900,683
Equity and commodity related contracts	–	1,981,689	721,489	2,703,178
Credit related contracts	–	131	–	131
Netting effects under MFRS 132 Amendments	–	(1,175,363)	–	(1,175,363)
	–	33,398,124	721,489	34,119,613

54. FAIR VALUE MEASUREMENTS (CONT'D.)

(c) Fair value measurements and classifications within the fair value hierarchy (cont'd.)

The classification in the fair value hierarchy of the Group's and of the Bank's financial and non-financial assets and financial liabilities measured at fair value is summarised in the table below (cont'd.):

Group 2024	Quoted market price (Level 1) RM'000	Valuation technique using Observable inputs (Level 2) RM'000	Valuation technique using Unobservable inputs (Level 3) RM'000	Total RM'000
Non-financial assets measured at fair value:				
Investment properties	–	–	1,038,657	1,038,657
Financial assets measured at fair value:				
Financial assets designated upon initial recognition at fair value through profit or loss	28,240	12,905,094	–	12,933,334
Money market instruments	–	996,018	–	996,018
Quoted securities	28,240	–	–	28,240
Unquoted securities	–	11,909,076	–	11,909,076
Financial investments at fair value through profit or loss	14,634,985	17,634,130	1,005,425	33,274,540
Money market instruments	–	11,506,001	–	11,506,001
Quoted securities	14,634,985	–	–	14,634,985
Unquoted securities	–	6,128,129	1,005,425	7,133,554
Financial investments at fair value through other comprehensive income	6,709,806	121,104,718	362,880	128,177,404
Money market instruments	–	64,845,688	–	64,845,688
Quoted securities	6,709,806	–	–	6,709,806
Unquoted securities	–	56,259,030	362,880	56,621,910
Loans, advances and financing at fair value through other comprehensive income	–	–	32,016,786	32,016,786
Derivative assets	–	22,613,612	803,968	23,417,580
Foreign exchange related contracts	–	7,670,066	–	7,670,066
Interest rate related contracts	–	17,783,970	–	17,783,970
Equity and commodity related contracts	–	409,731	803,968	1,213,699
Credit related contracts	–	1,305	–	1,305
Netting effects under MFRS 132 Amendments	–	(3,251,460)	–	(3,251,460)
	21,373,031	174,257,554	34,189,059	229,819,644
Financial liabilities measured at fair value:				
Financial liabilities at fair value through profit or loss	–	11,943,454	–	11,943,454
Structured deposits	–	4,846,081	–	4,846,081
Borrowings	–	7,097,373	–	7,097,373
Derivative liabilities	–	26,690,509	803,968	27,494,477
Foreign exchange related contracts	–	7,731,538	–	7,731,538
Interest rate related contracts	–	21,602,131	–	21,602,131
Equity and commodity related contracts	–	608,044	803,968	1,412,012
Credit related contracts	–	256	–	256
Netting effects under MFRS 132 Amendments	–	(3,251,460)	–	(3,251,460)
	–	38,633,963	803,968	39,437,931

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

54. FAIR VALUE MEASUREMENTS (CONT'D.)

(c) Fair value measurements and classifications within the fair value hierarchy (cont'd.)

The classification in the fair value hierarchy of the Group's and of the Bank's financial and non-financial assets and financial liabilities measured at fair value is summarised in the table below (cont'd.):

Bank 2025	Quoted market price (Level 1) RM'000	Valuation technique using: Observable inputs (Level 2) RM'000	Valuation technique using: Unobservable inputs (Level 3) RM'000	Total RM'000
Financial assets measured at fair value:				
Financial investments at fair value through profit or loss	**5,449,330**	**15,201,392**	**832,443**	**21,483,165**
Money market instruments	**–**	**10,007,363**	**–**	**10,007,363**
Quoted securities	**5,449,330**	**–**	**–**	**5,449,330**
Unquoted securities	**–**	**5,194,029**	**832,443**	**6,026,472**
Financial investments at fair value through other comprehensive income	**371,277**	**64,824,791**	**423,778**	**65,619,846**
Money market instruments	**–**	**22,378,231**	**–**	**22,378,231**
Quoted securities	**371,277**	**–**	**–**	**371,277**
Unquoted securities	**–**	**42,446,560**	**423,778**	**42,870,338**
Loans, advances and financing at fair value through other comprehensive income	**–**	**–**	**35,715,653**	**35,715,653**
Derivative assets	**–**	**16,683,556**	**721,489**	**17,405,045**
Foreign exchange related contracts	**–**	**5,950,442**	**–**	**5,950,442**
Interest rate related contracts	**–**	**11,693,652**	**–**	**11,693,652**
Equity and commodity related contracts	**–**	**202,828**	**721,489**	**924,317**
Credit related contracts	**–**	**933**	**–**	**933**
Netting effects under MFRS 132 Amendments	**–**	**(1,164,299)**	**–**	**(1,164,299)**
	5,820,607	**96,709,739**	**37,693,363**	**140,223,709**
Financial liabilities measured at fair value:				
Financial liabilities at fair value through profit or loss	**–**	**6,748,860**	**–**	**6,748,860**
Structured deposits	**–**	**211,981**	**–**	**211,981**
Borrowings	**–**	**6,536,879**	**–**	**6,536,879**
Derivative liabilities	**–**	**23,435,157**	**721,489**	**24,156,646**
Foreign exchange related contracts	**–**	**7,216,512**	**–**	**7,216,512**
Interest rate related contracts	**–**	**15,951,085**	**–**	**15,951,085**
Equity and commodity related contracts	**–**	**1,431,728**	**721,489**	**2,153,217**
Credit related contracts	**–**	**131**	**–**	**131**
Netting effects under MFRS 132 Amendments	**–**	**(1,164,299)**	**–**	**(1,164,299)**
	–	**30,184,017**	**721,489**	**30,905,506**

54. FAIR VALUE MEASUREMENTS (CONT'D.)

(c) Fair value measurements and classifications within the fair value hierarchy (cont'd.)

The classification in the fair value hierarchy of the Group's and of the Bank's financial and non-financial assets and financial liabilities measured at fair value is summarised in the table below (cont'd.):

Bank 2024	Quoted market price (Level 1) RM'000	Valuation technique using: Observable inputs (Level 2) RM'000	Valuation technique using: Unobservable inputs (Level 3) RM'000	Total RM'000
Financial assets measured at fair value:				
Financial investments at fair value through profit or loss	2,296,449	12,324,734	783,340	15,404,523
Money market instruments	–	9,492,419	–	9,492,419
Quoted securities	2,296,449	–	–	2,296,449
Unquoted securities	–	2,832,315	783,340	3,615,655
Financial investments at fair value through other comprehensive income	447	68,569,734	357,022	68,927,203
Money market instruments	–	31,786,657	–	31,786,657
Quoted securities	447	–	–	447
Unquoted securities	–	36,783,077	357,022	37,140,099
Loans, advances and financing at fair value through other comprehensive income	–	–	34,662,051	34,662,051
Derivative assets	–	22,527,810	803,968	23,331,778
Foreign exchange related contracts	–	7,611,469	–	7,611,469
Interest rate related contracts	–	17,869,589	–	17,869,589
Equity and commodity related contracts	–	251,533	803,968	1,055,501
Credit related contracts	–	1,305	–	1,305
Netting effects under MFRS 132 Amendments	–	(3,206,086)	–	(3,206,086)
	2,296,896	103,422,278	36,606,381	142,325,555
Financial liabilities measured at fair value:				
Financial liabilities at fair value through profit or loss	–	7,429,042	–	7,429,042
Structured deposits	–	331,669	–	331,669
Borrowings	–	7,097,373	–	7,097,373
Derivative liabilities	–	26,180,512	803,968	26,984,480
Foreign exchange related contracts	–	7,620,708	–	7,620,708
Interest rate related contracts	–	21,640,537	–	21,640,537
Equity and commodity related contracts	–	125,097	803,968	929,065
Credit related contracts	–	256	–	256
Netting effects under MFRS 132 Amendments	–	(3,206,086)	–	(3,206,086)
	–	33,609,554	803,968	34,413,522

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

54. FAIR VALUE MEASUREMENTS (CONT'D.)

(d) Transfers between Level 1 and Level 2 in the fair value hierarchy

The accounting policy for determining when transfers between levels of the fair value hierarchy occurred is disclosed in Note 2.3(xxii). There were no transfers between Level 1 and Level 2 for the Group and the Bank during the financial year ended 31 December 2025.

(e) Movements of Level 3 instruments

The following tables present additional information about Level 3 financial assets and financial liabilities measured at fair value on a recurring basis:

Group As at 31 December 2025	At 1 January 2025 RM'000	Other gains/ (losses) recognised in income statements* RM'000	Unrealised gains/ (losses) recognised in income statements# RM'000	Unrealised gains/ (losses) recognised in other comprehensive income RM'000	Purchases/ Issuances/ Additions RM'000	Sales RM'000	Settlements RM'000	Exchange differences RM'000	At 31 December 2025 RM'000
Financial investments at fair value through profit or loss									
Unquoted securities	**1,005,425**	**–**	**52,838**	**–**	**–**	**–**	**–**	**(37)**	**1,058,226**
Financial investments at fair value through other comprehensive income									
Unquoted securities	**362,880**	**–**	**–**	**66,895**	**–**	**(167)**	**–**	**(39)**	**429,569**
Loans, advances and financing at fair value through other comprehensive income	**32,016,786**	**–**	**–**	**(233,229)**	**10,080,729**	**–**	**(10,112,070)**	**(1,463,807)**	**30,288,409**
Derivative assets									
Equity and commodity related contracts	**803,968**	**188,227**	**(379,553)**	**–**	**338,083**	**(229,236)**	**–**	**–**	**721,489**
Total Level 3 financial assets	**34,189,059**	**188,227**	**(326,715)**	**(166,334)**	**10,418,812**	**(229,403)**	**(10,112,070)**	**(1,463,883)**	**32,497,693**
Derivative liabilities									
Equity and commodity related contracts	**(803,968)**	**(206,443)**	**380,560**	**–**	**(338,083)**	**246,445**	**–**	**–**	**(721,489)**
Total Level 3 financial liabilities	**(803,968)**	**(206,443)**	**380,560**	**–**	**(338,083)**	**246,445**	**–**	**–**	**(721,489)**
Total net Level 3 financial assets/(liabilities)	**33,385,091**	**(18,216)**	**53,845**	**(166,334)**	**10,080,729**	**17,042**	**(10,112,070)**	**(1,463,883)**	**31,776,204**

* Included within 'Other operating income', '(Allowances for)/writeback of impairment losses on financial investments, net' and 'Income from Islamic Banking Scheme operations'.

\# Included within 'Other operating income' and 'Income from Islamic Banking Scheme operations'.

54. FAIR VALUE MEASUREMENTS (CONT'D.)

(e) Movements of Level 3 instruments (cont'd.)

The following tables present additional information about Level 3 financial assets and financial liabilities measured at fair value on a recurring basis (cont'd.):

Group As at 31 December 2024	At 1 January 2024 RM'000	Other gains/(losses) recognised in income statements* RM'000	Unrealised gains/(losses) recognised in income statements# RM'000	Unrealised (losses)/gains recognised in other comprehensive income RM'000	Purchases/ Issuances/ Additions RM'000	Sales RM'000	Settlements RM'000	Exchange differences RM'000	At 31 December 2024 RM'000
Financial investments at fair value through profit or loss									
Unquoted securities	903,628	–	101,821	–	–	–	–	(24)	1,005,425
Financial investments at fair value through other comprehensive income									
Unquoted securities	541,784	2,993	–	(180,508)	–	–	(1,250)	(139)	362,880
Loans, advances and financing at fair value through other comprehensive income	34,974,217	–	–	266,308	10,090,991	–	(11,781,683)	(1,533,047)	32,016,786
Derivative assets									
Equity and commodity related contracts	404,097	125,398	(4,450)	–	217,530	61,393	–	–	803,968
Total Level 3 financial assets	36,823,726	128,391	97,371	85,800	10,308,521	61,393	(11,782,933)	(1,533,210)	34,189,059
Derivative liabilities									
Equity and commodity related contracts	(404,097)	(136,275)	4,450	–	(217,530)	(50,516)	–	–	(803,968)
Total Level 3 financial liabilities	(404,097)	(136,275)	4,450	–	(217,530)	(50,516)	–	–	(803,968)
Total net Level 3 financial assets/(liabilities)	36,419,629	(7,884)	101,821	85,800	10,090,991	10,877	(11,782,933)	(1,533,210)	33,385,091

* Included within 'Other operating income', '(Allowances for)/writeback of impairment losses on financial investments, net' and 'Income from Islamic Banking Scheme operations'.
Included within 'Other operating income' and 'Income from Islamic Banking Scheme operations'.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

54. FAIR VALUE MEASUREMENTS (CONT'D.)

(e) Movements of Level 3 instruments (cont'd.)

The following tables present additional information about Level 3 financial assets and financial liabilities measured at fair value on a recurring basis (cont'd.):

Bank As at 31 December 2025	At 1 January 2025 RM'000	Other gains/ (losses) recognised in income statements* RM'000	Unrealised gains/ (losses) recognised in income statements# RM'000	Unrealised (losses)/ gains recognised in other comprehensive income RM'000	Purchases/ Issuances/ Additions RM'000	Sales RM'000	Settlements RM'000	Exchange differences RM'000	At 31 December 2025 RM'000
Financial investments at fair value through profit or loss									
Unquoted securities	**783,340**	**–**	**49,103**	**–**	**–**	**–**	**–**	**–**	**832,443**
Financial investments at fair value through other comprehensive income									
Unquoted securities	**357,022**	**–**	**–**	**66,756**	**–**	**–**	**–**	**–**	**423,778**
Loans, advances and financing at fair value through other comprehensive income	**34,662,051**	**–**	**–**	**(235,585)**	**13,698,789**	**–**	**(10,888,009)**	**(1,521,593)**	**35,715,653**
Derivative assets									
Equity and commodity related contracts	**803,968**	**188,227**	**(379,553)**	**–**	**338,083**	**(229,236)**	**–**	**–**	**721,489**
Total Level 3 financial assets	**36,606,381**	**188,227**	**(330,450)**	**(168,829)**	**14,036,872**	**(229,236)**	**(10,888,009)**	**(1,521,593)**	**37,693,363**
Derivative liabilities									
Equity and commodity related contracts	**(803,968)**	**(206,443)**	**380,560**	**–**	**(338,083)**	**246,445**	**–**	**–**	**(721,489)**
Total Level 3 financial liabilities	**(803,968)**	**(206,443)**	**380,560**	**–**	**(338,083)**	**246,445**	**–**	**–**	**(721,489)**
Total net Level 3 financial assets/(liabilities)	**35,802,413**	**(18,216)**	**50,110**	**(168,829)**	**13,698,789**	**17,209**	**(10,888,009)**	**(1,521,593)**	**36,971,874**

* Included within 'Other operating income' and '(Allowances for)/writeback of impairment losses on financial investments, net'.
\# Included within 'Other operating income'.

54. FAIR VALUE MEASUREMENTS (CONT'D.)

(e) Movements of Level 3 instruments (cont'd.)

The following tables present additional information about Level 3 financial assets and financial liabilities measured at fair value on a recurring basis (cont'd.):

Bank As at 31 December 2024	At 1 January 2024 RM'000	Other gains/ (losses) recognised in income statements* RM'000	Unrealised gains/ (losses) recognised in income statements# RM'000	Unrealised (losses)/ gains recognised in other comprehensive income RM'000	Purchases/ Issuances/ Additions RM'000	Sales RM'000	Settlements RM'000	Exchange differences RM'000	At 31 December 2024 RM'000
Financial investments at fair value through profit or loss									
Unquoted securities	733,325	–	50,015	–	–	–	–	–	783,340
Financial investments at fair value through other comprehensive income									
Unquoted securities	534,563	2,993	–	(180,534)	–	–	–	–	357,022
Loans, advances and financing at fair value through other comprehensive income	35,311,779	–	–	141,244	12,028,633	–	(11,288,774)	(1,530,831)	34,662,051
Derivative assets									
Equity and commodity related contracts	404,097	125,398	(4,450)	–	217,530	61,393	–	–	803,968
Total Level 3 financial assets	36,983,764	128,391	45,565	(39,290)	12,246,163	61,393	(11,288,774)	(1,530,831)	36,606,381
Derivative liabilities									
Equity and commodity related contracts	(404,097)	(136,275)	4,450	–	(217,530)	(50,516)	–	–	(803,968)
Total Level 3 financial liabilities	(404,097)	(136,275)	4,450	–	(217,530)	(50,516)	–	–	(803,968)
Total net Level 3 financial assets/(liabilities)	36,579,667	(7,884)	50,015	(39,290)	12,028,633	10,877	(11,288,774)	(1,530,831)	35,802,413

* Included within 'Other operating income' and '(Allowances for)/writeback of impairment losses on financial investments, net'.
\# Included within 'Other operating income'.

There were no transfers into or out of Level 3 for the Group and the Bank during the financial year ended 31 December 2025.

(f) Sensitivity of fair value measurements to changes in unobservable input assumptions

Changing one or more of the inputs to reasonable alternative assumptions would not change the value significantly for the financial assets and financial liabilities in Level 3 of the fair value hierarchy.

Recent sale transactions transacted in the real estate market would result in a significant change of estimated fair value for investment properties.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

54. FAIR VALUE MEASUREMENTS (CONT'D.)

(g) Financial instruments not measured at fair value

The on-balance sheet financial assets and financial liabilities of the Group and of the Bank whose fair values are required to be disclosed in accordance with MFRS 132 comprise all their assets and liabilities with the exception of investments in subsidiaries, interest in associates and joint ventures, property, plant and equipment and provision for current and deferred taxation.

For loans, advances and financing to customers, where such market prices are not available, various methodologies have been used to estimate the approximate fair values of such instruments. These methodologies are significantly affected by the assumptions used and judgements made regarding risk characteristics of various financial instruments, discount rates, estimates of future cash flows, future expected loss experience and other factors. Changes in the assumptions could significantly affect these estimates and the resulting fair value estimates. Therefore, for a significant portion of the Group's and of the Bank's financial instruments, including loans, advances and financing to customers, their respective fair value estimates do not purport to represent, nor should they be construed to represent, the amounts that the Group and the Bank could realise in a sale transaction as at the reporting date. The fair value information presented herein should also in no way be construed as representative of the underlying value of the Group and of the Bank as a going concern.

The estimated fair values of those on-balance sheet financial assets and financial liabilities as at the reporting date approximate their carrying amounts as shown in the statement of financial position, except for the financial assets and financial liabilities as disclosed below.

The table below analyses financial instruments not carried at fair value for which fair value is disclosed, together with carrying amount shown in the statement of financial position:

Group	Level 1 RM'000	Level 2 RM'000	Level 3 RM'000	Total fair value RM'000	Carrying amount RM'000
2025					
Financial assets					
Deposits and placements with financial institutions	**–**	**14,030,366**	**–**	**14,030,366**	**14,030,366**
Financial investments at amortised cost	**–**	**79,371,143**	**28,622**	**79,399,765**	**80,786,440**
Loans, advances and financing to financial institutions	**–**	**–**	**952,071**	**952,071**	**907,213**
Loans, advances and financing to customers	**–**	**244,677,072**	**421,331,019**	**666,008,091**	**646,692,971**
Financial liabilities					
Customers' funding:					
– Deposits from customers	**–**	**700,079,212**	**–**	**700,079,212**	**698,210,227**
– Investment accounts of customers^	**–**	**32,783,154**	**–**	**32,783,154**	**32,782,974**
Deposits and placements from financial institutions	**–**	**41,684,732**	**–**	**41,684,732**	**42,587,329**
Borrowings	**–**	**18,394,537**	**9,837,644**	**28,232,181**	**28,207,145**
Subordinated obligations	**–**	**14,267,596**	**–**	**14,267,596**	**14,452,872**
Capital securities	**–**	**1,564,805**	**–**	**1,564,805**	**1,577,087**
2024					
Financial assets					
Deposits and placements with financial institutions	–	22,275,032	–	22,275,032	22,275,032
Financial investments at amortised cost	–	74,699,857	1,737,392	76,437,249	79,377,492
Loans, advances and financing to financial institutions	–	–	1,889,877	1,889,877	1,886,064
Loans, advances and financing to customers	–	243,398,669	425,840,731	669,239,400	630,871,235
Financial liabilities					
Customers' funding:					
– Deposits from customers	–	715,072,236	–	715,072,236	712,915,459
– Investment accounts of customers^	–	28,981,821	–	28,981,821	28,981,847
Deposits and placements from financial institutions	–	47,128,513	–	47,128,513	47,051,220
Borrowings	–	16,850,768	11,609,245	28,460,013	28,260,101
Subordinated obligations	–	10,973,022	–	10,973,022	11,157,808
Capital securities	–	1,560,437	–	1,560,437	1,576,770

^ Investment accounts of customers are used to fund financing and advances as disclosed in Note 63(l).

54. FAIR VALUE MEASUREMENTS (CONT'D.)

(g) Financial instruments not measured at fair value (cont'd.)

The table below analyses financial instruments not carried at fair value for which fair value is disclosed, together with carrying amount shown in the statement of financial position (cont'd.):

Bank	Level 1 RM'000	Level 2 RM'000	Level 3 RM'000	Total fair value RM'000	Carrying amount RM'000
2025					
Financial assets					
Deposits and placements with financial institutions	–	**29,613,139**	–	**29,613,139**	**29,613,139**
Financial investments at amortised cost	–	**66,672,902**	–	**66,672,902**	**67,965,825**
Loans, advances and financing to financial institutions	–	–	**49,609,459**	**49,609,459**	**49,564,603**
Loans, advances and financing to customers	–	**123,510,101**	**66,471,078**	**189,981,179**	**185,699,746**
Financial liabilities					
Deposits from customers	–	**301,722,490**	–	**301,722,490**	**300,346,778**
Deposits and placements from financial institutions	–	**69,029,696**	–	**69,029,696**	**69,888,618**
Borrowings	–	**16,811,894**	–	**16,811,894**	**16,802,922**
Subordinated obligations	–	**13,953,295**	–	**13,953,295**	**14,138,570**
Capital securities	–	**1,564,805**	–	**1,564,805**	**1,577,087**
2024					
Financial assets					
Deposits and placements with financial institutions	–	38,309,616	–	38,309,616	38,309,616
Financial investments at amortised cost	–	62,189,956	–	62,189,956	64,681,307
Loans, advances and financing to financial institutions	–	–	47,871,426	47,871,426	47,867,612
Loans, advances and financing to customers	–	127,166,896	80,756,195	207,923,091	199,265,566
Financial liabilities					
Deposits from customers	–	311,974,764	–	311,974,764	310,608,986
Deposits and placements from financial institutions	–	77,108,272	–	77,108,272	76,999,224
Borrowings	–	15,818,286	–	15,818,286	15,546,427
Subordinated obligations	–	10,658,654	–	10,658,654	10,843,439
Capital securities	–	1,560,437	–	1,560,437	1,576,770

The following methods and assumptions are used to estimate the fair values of the following classes of financial instruments:

(i) Financial investments at amortised cost

Fair values of securities that are actively traded is determined by quoted bid prices. For non-actively traded securities, independent broker quotations are obtained. Fair values of equity securities are estimated using a number of methods, including earnings multiples and discounted cash flows analysis. Where discounted cash flows technique is used, the estimated future cash flows are discounted using applicable prevailing market or indicative rates of similar instruments at the reporting date.

(ii) Loans, advances and financing

The fair values of variable rate loans are estimated to approximate their carrying amount. For fixed rate loans and Islamic financing, the fair values are estimated based on expected future cash flows of contractual instalment payments, discounted at applicable and prevailing rates at reporting date offered for similar facilities to new borrowers with similar credit profiles. In respect of impaired loans, the fair values are deemed to approximate the carrying amount which are net of impairment allowances.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

54. FAIR VALUE MEASUREMENTS (CONT'D.)

(g) Financial instruments not measured at fair value (cont'd.)

The following methods and assumptions are used to estimate the fair values of the following classes of financial instruments (cont'd.):

(iii) Deposits from customers, deposits and placements with/from financial institutions and investment accounts of customers

The fair values of deposits payable on demand and deposits and placements with maturities of less than one year approximate their carrying amount due to the relatively short maturity of these instruments. The fair values of fixed deposits and placements with remaining maturities of more than one year are estimated based on discounted cash flows using applicable rates currently offered for deposits and placements with similar remaining maturities.

(iv) Borrowings, subordinated obligations and capital securities

The fair values of borrowings, subordinated obligations and capital securities are estimated by discounting the expected future cash flows using the applicable prevailing interest rates for similar instruments as at reporting date.

55. OFFSETTING OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

Financial assets and financial liabilities are offset and the net amounts are reported in the statements of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

Amounts which are not offset in the statement of financial position are related to:

(i) The counterparties' offsetting exposures with the Group and the Bank where the right to set-off is only enforceable in the event of default, insolvency or bankruptcy of the counterparties; and

(ii) Cash and securities that are received from or pledged with counterparties.

Financial assets and financial liabilities subject to offsetting, enforceable master netting arrangements and similar agreements are as follows:

Group	Gross amount of recognised financial assets/ financial liabilities RM'000	Gross amount offset in the statement of financial position RM'000	Amount presented in the statement of financial position RM'000	Amount not offset in the statement of financial position		Net amount RM'000
				Financial instruments RM'000	Financial collateral received/ pledged RM'000	
2025						
Financial assets						
Derivative assets	**18,815,591**	**(1,175,363)**	**17,640,228**	**(10,909,325)**	**(4,299,662)**	**2,431,241**
Other assets:						
Amount due from brokers and clients (Note 15)	**18,853,645**	**(16,440,837)**	**2,412,808**	**–**	**–**	**2,412,808**
Financial liabilities						
Derivative liabilities	**25,711,239**	**(1,175,363)**	**24,535,876**	**(10,909,325)**	**(1,315,176)**	**12,311,375**
Other liabilities:						
Amount due to brokers and clients (Note 26)	**23,096,671**	**(16,440,837)**	**6,655,834**	**–**	**–**	**6,655,834**
2024						
Financial assets						
Derivative assets	26,669,040	(3,251,460)	23,417,580	(15,633,653)	(3,926,356)	3,857,571
Other assets:						
Amount due from brokers and clients (Note 15)	14,213,106	(12,130,051)	2,083,055	–	–	2,083,055
Financial liabilities						
Derivative liabilities	30,745,937	(3,251,460)	27,494,477	(15,633,653)	(1,142,943)	10,717,881
Other liabilities:						
Amount due to brokers and clients (Note 26)	16,725,108	(12,130,051)	4,595,057	–	–	4,595,057

55. OFFSETTING OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES (CONT'D.)

Financial assets and financial liabilities subject to offsetting, enforceable master netting arrangements and similar agreements are as follows (cont'd.):

Bank	Gross amount of recognised financial assets/ financial liabilities RM'000	Gross amount offset in the statement of financial position RM'000	Amount presented in the statement of financial position RM'000	Amount not offset in the statement of financial position		Net amount RM'000
				Financial instruments RM'000	Financial collateral received/ pledged RM'000	
2025						
Financial assets						
Derivative assets	**18,569,345**	**(1,164,300)**	**17,405,045**	**(10,899,464)**	**(4,634,402)**	**1,871,179**
Financial liabilities						
Derivative liabilities	**25,320,946**	**(1,164,300)**	**24,156,646**	**(10,899,464)**	**(1,315,176)**	**11,942,006**
2024						
Financial assets						
Derivative assets	26,537,864	(3,206,086)	23,331,778	(15,550,037)	(4,148,656)	3,633,085
Financial liabilities						
Derivative liabilities	30,190,566	(3,206,086)	26,984,480	(15,550,037)	(1,142,943)	10,291,500

56. CAPITAL AND OTHER COMMITMENTS

Capital expenditure approved by directors but not provided for in the financial statements amounting to:

	Group		Bank	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Approved and contracted for	**349,844**	635,284	**9,902**	213,247
Approved but not contracted for	**640,584**	707,090	**177,907**	190,390
	990,428	1,342,374	**187,809**	403,637

57. CAPITAL MANAGEMENT

The Group's approach to capital management is driven by its strategic objectives and takes into account all relevant regulatory, economic and commercial environments in which the Group operates. The Group regards having a strong capital position as essential to the Group's business strategy and competitive position. As such, the Board and senior management take into account implications on the Group's capital position prior to implementing major business decisions in order to preserve the Group's overall capital strength.

Effective capital management is fundamental to the sustainability of the Group. The Group proactively manages its capital to meet the expectations of key stakeholders such as regulators, shareholders, investors, rating agencies and analysts whilst ensuring that the returns on capital commensurate with risks undertaken by respective business units. The objectives are to:

- Maintain capital ratios at levels sufficiently above the regulatory minimum requirements;
- Support the Group's strong credit ratings from local and international rating agencies;
- Deploy capital efficiently to businesses and optimise returns on capital;
- Remain flexible to capitalise on future opportunities; and
- Build and invest in businesses, even in a stressed environment.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

57. CAPITAL MANAGEMENT (CONT'D.)

The quality and composition of capital are key factors in the Board and senior management's evaluation of the Group's capital adequacy position. The Group places strong emphasis on the quality of its capital and, accordingly, holds a significant amount of its capital in the form of common equity which is permanent and has the highest loss absorption capability on a going concern basis.

The Group's capital management is guided by the Group Capital Management Framework to ensure that capital is managed on an integrated approach and ensure a strong and flexible financial position to manage through economic cycles across the Group.

The Group's capital management is also supplemented by the Group Annual Capital and Funding Plan to facilitate efficient capital levels and utilisation across the Group. The plan is updated on an annual basis covering at least a three-year horizon and reviewed and approved by the Board for implementation at the beginning of each financial year in order to keep abreast with the latest developments on capital management and also to ensure effective and timely execution of the plans contained therein.

Pursuant to Bank Negara Malaysia's ("BNM") Capital Adequacy Framework (Capital Components) ("Framework") issued on 14 June 2024, all financial institutions shall hold and maintain at all times, the minimum Common Equity Tier 1 Ratio of 4.5%, Tier 1 Ratio of 6.0%, and Total Capital Ratio of 8.0%. The Framework also provides guidance on additional capital buffer requirements which comprise Capital Conservation Buffer of 2.5% of total RWA and Countercyclical Capital Buffer ranging between 0% - 2.5% of total RWA.

Pursuant to BNM's policy document on Domestic Systemically Important Banks ("D-SIB") Framework and identified Maybank as one of the banks categorised as a D-SIB. Under the D-SIB framework, Maybank is categorised under Bucket 2 of the Higher Loss Absorbency ("HLA") requirements wherein Maybank is required to maintain an additional Common Equity Tier 1 Ratio of 1.0% on top of the regulatory minimum with effect from 31 January 2021.

In the Group's pursuit of an efficient and healthy capital position, the Group had established a recurrent and optional Dividend Reinvestment Plan ("DRP") that allows the shareholders of the Group to reinvest electable portions of their dividends into new ordinary shares in the Bank. The DRP is part of the Group's strategy to preserve equity capital to meet the regulatory requirement as well as to grow its business whilst providing healthy dividend income to shareholders. The Group did not implement any DRP during the financial year.

58. INTERNAL CAPITAL ADEQUACY ASSESSMENT PROCESS ("ICAAP")

(a) General

The Group's overall capital adequacy in relation to its risk profile is assessed through a process articulated in the Maybank Group ICAAP Policy ("ICAAP Policy"). The ICAAP Policy is designed to ensure that adequate levels of capital, including capital buffers, are held to support the Group's current and projected demand for capital under existing and stressed conditions. Regular ICAAP reports are submitted to the Group Executive Risk and Compliance Committee ("GERCC"), Risk Management Committee ("RMC") and Board on quarterly basis for comprehensive review of all material risks faced by the Group and assessment of the adequacy of capital to support them. The ICAAP closely integrates the risk and capital planning and management processes.

Supplementing the ICAAP document is the Group Capital and Funding Plan, which subject to annual review, where the internal capital targets are set and reviewed, among others as part of a sound capital management. The Group Capital and Funding Plan is submitted to the Board for approval.

(b) Comprehensive risk assessment under ICAAP Policy

Under the Group's ICAAP methodology, the following risk types are identified and measured:

- Risks captured under Pillar 1 (credit risk, market risk, operational risk and large exposures risk requirement ("LERR"));
- Risks not covered or fully captured under Pillar 1 e.g. credit concentration risk, interest rate risk/rate of return risk (both banking and trading book), model risk, regulatory ASB add-on, liquidity risk, business and strategic risk, reputational risk, regulatory risk, profitability risk, country risk, compliance risk, Shariah non-compliance risk, cyber risk, Information Technology risk, information risk, conduct risk, data quality risk, workforce risk, and ESG risk amongst others; and
- External factors, including changes in economic environment (i.e. emerging risk, regulations and accounting rules) that may affect the Bank's risk profile over time.

Annually, a group-wide risk landscape survey is carried out as part of a robust risk management approach to identify and prioritise the key risks based on potential impact of the risks on earnings and capital faced by the Group. The survey results provide a synthesis of perceptions of current and future market outlook, based on perspectives of the key stakeholders across retail, commercial, investment banking and insurance operations across the Group's major entities. In addition, the outcomes of the survey assist in identifying the major risk scenarios over the near future.

58. INTERNAL CAPITAL ADEQUACY ASSESSMENT PROCESS ("ICAAP") (CONT'D.)

(c) Assessment of Pillar 1 and Pillar 2 risks

In line with industry best practices, the Group quantifies its risks using methodologies that have been reasonably tested and determined to be fit-for-purpose.

Where risks may not be easily quantified due to lack of commonly accepted risk measurement techniques, expert judgement is used to determine the size and materiality of risk. The Group has also incorporated historical trend analysis and forward-looking element to strengthen the Pillar 2 assessment. The Group's ICAAP focused on the qualitative measures in managing such material non-quantifiable risks. These measures include the following:

- Risk factors or emerging risk events/incidents;
- Adequate systems, procedures and internal controls;
- Effective risk mitigation strategies; and
- Regular monitoring and reporting.

(d) Regular and robust stress testing

The Group's stress testing programme is embedded within the risk and capital management process of the Group and is a key function of the capital and business planning processes. The programme serves as a forward-looking risk and capital management tool to understand the risk profile under adverse scenarios. Such scenarios may arise mainly from economic, political and/or environmental factors.

Under Maybank Group Stress Testing Policy, the potential unfavourable effects of adverse scenarios on the Group's profitability, asset quality, risk-weighted assets, capital adequacy, liquidity and ability to comply with the risk appetites set, are considered.

Specifically, the stress test programme is designed to:

- Highlight the dynamics of stress events and their potential implications on the Group's credit risk profile, trading and banking book exposures, capital and liquidity positions and plausible reputational impacts;
- Proactively identify key strategies to mitigate the adverse impact from stress events;
- Produce stress results as inputs into the Group Capital and Funding Plan in establishing internal capital targets;
- Establish a range of "near default" scenarios to demonstrate the viability of the recovery plan which used to identify preferred recovery strategies and ultimately link to risk appetite setting; and
- Provide insights on risk return profile by entity and by line of business under stress.

There are several types of stress tests conducted across the Group:

- Group-wide stress test – Developed hypothetical stress scenarios (typically an exceptional-but-plausible scenario and a worst-case scenario) that comply with regulatory requirements and approved by RMC, of which the stress test results are submitted to BNM on a half-yearly basis;
- Localised stress test – Limited scope stress test initiated and driven by Countries and Businesses to meet requirements at their respective locations;
- Ad-hoc stress test – Periodic stress test exercise conducted in response to emerging risk events;
- Reverse stress test – An approach used to identify a 'near viable' scenario that could threaten the viability of Maybank;
- Additional stress tests required by BNM – Ad-hoc regulatory stress tests (e.g. Industry-wide Stress Test, Overseas Operations Stress Test) as requested by BNM where the scenarios are pre-defined; and
- Scenario analysis for Maybank Group Recovery Plan – Established a range of "near default" scenarios to demonstrate the viability of the recovery plan, in accordance to BNM policy document on Recovery Planning.

Stress test themes reviewed by the Stress Test Working Group in the past 2-3 years include US Weaponises Trade Policy and Tariff, US Trade Policy Revamp Triggers Global Trade War, Escalated Geopolitical Tension and Growing Fragmentation, US Recession with China Slowdown, Global Recession & Debt Crisis, amongst others.

The Stress Test Working Group, which comprises representatives from various teams including business, countries and risk management teams, whom responsible to prepare, review and table the stress test reports to the senior management committees prior submitting the stress test results to the regulators.

59. CAPITAL ADEQUACY

(a) Compliance and application of capital adequacy ratios

The capital adequacy ratios of the Group and of the Bank are computed in accordance with BNM's Capital Adequacy Framework (Capital Components) issued on 14 June 2024 and Capital Adequacy Framework (Basel II - Risk-Weighted Assets) issued on 18 December 2023. For Operational Risk, this refers to BNM's Capital Adequacy Framework (Operational Risk) issued on 15 December 2023. The total RWA are computed based on the following approaches:

(A) Credit risk under Internal Ratings-Based Approach and Standardised Approach;

(B) Market risk under Standardised Approach;

(C) Operational risk under Standardised Approach; and

(D) Large exposure risk requirements.

On an entity level basis, the computation of capital adequacy ratios of the subsidiaries of the Group are as follows:

(i) For Maybank Islamic Berhad, the computation of capital adequacy ratios are based on BNM's Capital Adequacy Framework for Islamic Banks (Capital Components) issued on 14 June 2024 and Capital Adequacy Framework for Islamic Banks (Risk-Weighted Assets) issued on 18 December 2023. For Operational Risk, this refers to BNM's Capital Adequacy Framework (Operational Risk) issued on 15 December 2023. The total RWA are computed based on the following approaches:

(A) Credit risk under Internal Ratings-Based Approach and Standardised Approach;

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

59. CAPITAL ADEQUACY (CONT'D.)

(a) Compliance and application of capital adequacy ratios (cont'd.)

On an entity level basis, the computation of capital adequacy ratios of the subsidiaries of the Group are as follows (cont'd.):

(i) For Maybank Islamic Berhad, the computation of capital adequacy ratios are based on BNM's Capital Adequacy Framework for Islamic Banks (Capital Components) issued on 14 June 2024 and Capital Adequacy Framework for Islamic Banks (Risk-Weighted Assets) issued on 18 December 2023. For Operational Risk, this refers to BNM's Capital Adequacy Framework (Operational Risk) issued on 15 December 2023. The total RWA are computed based on the following approaches: (cont'd.):

(B) Market risk under Standardised Approach;

(C) Operational risk under Standardised Approach; and

(D) Large exposure risk requirements.

The minimum regulatory capital adequacy requirements for CET1, Tier 1 and Total Capital are 4.5%, 6.0% and 8.0% of total RWA for the financial year ended 31 December 2025 (2024: 4.5%, 6.0% and 8.0% of total RWA).

(ii) For Maybank Investment Bank Berhad, the computation of capital adequacy ratios are based on BNM's Capital Adequacy Framework (Capital Components) issued on 14 June 2024 and Capital Adequacy Framework (Basel II - Risk-Weighted Assets) issued on 18 December 2023. For Operational Risk, this refers to BNM's Capital Adequacy Framework (Operational Risk) issued on 15 December 2023. The total RWA are computed based on the following approaches:

(A) Credit risk under Standardised Approach;

(B) Market risk under Standardised Approach;

(C) Operational risk under Standardised Approach; and

(D) Large exposure risk requirements.

The minimum regulatory capital adequacy requirements for CET1, Tier 1 and Total Capital are 4.5%, 6.0% and 8.0% of total RWA for the financial year ended 31 December 2025 (2024: 4.5%, 6.0% and 8.0% of total RWA).

(iii) For PT Bank Maybank Indonesia Tbk, the computation of capital adequacy ratios are in accordance with local requirements, which is based on the Basel II capital accord. The total RWA are computed based on the following approaches:

(A) Credit risk under Standardised Approach;

(B) Market risk under Standardised Approach; and

(C) Operational risk under Basic Indicator Approach.

The minimum regulatory capital adequacy requirement for PT Bank Maybank Indonesia Tbk for the financial year ended 31 December 2025 is 9.0% up to less than 10.0% (2024: 9.0% up to less than 10.0%) of total RWA.

(iv) For Maybank Singapore Limited, the computation of capital adequacy ratios are based on MAS Notice 637 dated 20 September 2023 (last revised on 9 October 2025) issued by the Monetary Authority of Singapore ("MAS"). The total RWA are computed based on the following approaches:

(A) Credit risk under Internal Ratings-Based Approach and Standardised Approach;

(B) Market risk under Standardised Approach;

(C) Operational risk under Standardised Approach; and

(D) Output floor calculation to RWA under MAS Notice 637.

The minimum regulatory capital adequacy requirements for CET1, Tier 1 and Total Capital are 6.5%, 8.0% and 10.0% of total RWA for the financial year ended 31 December 2025 (2024: 6.5%, 8.0% and 10.0% of total RWA).

(b) The capital adequacy ratios of the Group and of the Bank

With effect from 30 June 2013, the amount of declared dividend to be deducted in the calculation of CET1 Capital under a DRP shall be determined in accordance with BNM's Implementation Guidance on Capital Adequacy Framework (Capital Components) ("Implementation Guidance") issued on 8 May 2013. Under the said Implementation Guidance, where a portion of the dividend may be reinvested under a DRP (the electable portion), the amount of declared dividend to be deducted in the calculation of CET1 Capital may be reduced as follows:

(i) where an irrevocable written undertaking from a shareholder has been obtained to reinvest the electable portion of the dividend; or

(ii) where there is no irrevocable written undertaking provided, the average of the preceding 3-year take-up rates subject to the amount being not more than 50% of the total electable portion of the dividend.

In respect of the financial year ended 31 December 2025, the Bank has declared a single-tier second interim cash dividend of 33.0 sen per ordinary share subsequent to financial year end.

In arriving at the capital adequacy ratios for the financial year ended 31 December 2025, the single-tier second interim cash dividend has not been deducted from the calculation of CET1 Capital.

59. CAPITAL ADEQUACY (CONT'D.)

(b) The capital adequacy ratios of the Group and of the Bank (cont'd.)

The capital adequacy ratios of the Group and of the Bank are as follows:

	Group		Bank	
	2025	**2024**	**2025**	**2024**
CET1 Capital Ratio	**16.041%**	15.765%	**15.558%**	15.210%
Tier 1 Capital Ratio	**16.419%**	16.135%	**15.787%**	15.433%
Total Capital Ratio	**19.960%**	18.906%	**19.599%**	18.325%

(c) Components of capital:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
CET1 Capital				
Share capital	**54,882,333**	54,736,195	**54,882,333**	54,736,195
Retained profits[1]	**28,382,877**	25,300,315	**20,053,848**	16,823,574
Other reserves[1]	**(71,879)**	4,955,212	**4,177,638**	6,613,195
Qualifying non-controlling interests	**120,750**	132,424	**–**	–
CET1 Capital before regulatory adjustments	**83,314,081**	85,124,146	**79,113,819**	78,172,964
Less: Regulatory adjustments applied on CET1 Capital	**(13,359,699)**	(14,736,937)	**(41,004,093)**	(40,040,772)
Deferred tax assets	**(1,470,364)**	(1,437,830)	**(385,973)**	(296,655)
Goodwill	**(4,834,154)**	(5,482,445)	**(81,015)**	(81,015)
Other intangibles	**(1,542,398)**	(1,343,316)	**(733,986)**	(583,588)
Gain on financial instruments classified as 'fair value through other comprehensive income'	**(1,103,087)**	(1,283,144)	**(686,087)**	(844,740)
Regulatory reserve	**(2,091,415)**	(2,846,576)	**(1,554,671)**	(2,230,452)
Investment in ordinary shares of unconsolidated financial and insurance/takaful entities[2]	**(2,318,281)**	(2,343,626)	**(37,562,361)**	(36,004,322)
Total CET1 Capital	**69,954,382**	70,387,209	**38,109,726**	38,132,192
Additional Tier 1 Capital				
Capital securities	**1,560,000**	1,560,000	**1,560,000**	1,560,000
Qualifying CET1 and Additional Tier 1 capital instruments held by third parties	**85,439**	90,631	**–**	–
Less: Investment in capital instruments of unconsolidated financial and insurance/takaful entities	**–**	–	**(1,000,000)**	(1,000,000)
Total Tier 1 Capital	**71,599,821**	72,037,840	**38,669,726**	38,692,192
Tier 2 Capital				
Subordinated obligations	**13,950,000**	10,700,000	**13,950,000**	10,700,000
Qualifying CET1, Additional Tier 1 and Tier 2 capital instruments held by third parties	**39,081**	41,659	**–**	–
General provisions[3]	**301,671**	384,405	**39,114**	128,082
Surplus of total eligible provision over total expected loss	**1,842,825**	1,934,821	**997,834**	1,108,726
Less: Investment in capital instruments of unconsolidated financial and insurance/takaful entities	**(691,000)**	(691,000)	**(5,648,257)**	(4,687,714)
Total Tier 2 Capital	**15,442,577**	12,369,885	**9,338,691**	7,249,094
Total Capital	**87,042,398**	84,407,725	**48,008,417**	45,941,286

[1] For the Group, the amount excludes retained profits and other reserves from insurance and takaful business. For the Bank, the amount included retained profits and other reserves of Maybank International (L) Ltd for the financial year ended 31 December 2024.

[2] For the Bank, the regulatory adjustment includes cost of investment in subsidiaries and associates, except for: (i) Myfin Berhad of RM1 as its business, assets and liabilities have been transferred to the Bank for the financial year ended 31 December 2025 and 31 December 2024 and (ii) Maybank International (L) Ltd. of RM10,289,000 as its assets are included in the Bank's RWA for the financial year ended 31 December 2024. For the Group, the regulatory adjustment includes carrying amount of associates and investment in insurance and takaful entities.

[3] Refers to loss allowances measured at an amount to 12-month and lifetime expected credit losses and regulatory reserve, to the extent they are ascribed to non-credit impaired exposures, determined under Standardised Approach for credit risk.

The capital adequacy ratios of the Group are derived from consolidated balances of the Bank and its subsidiaries, excluding the investments in insurance and takaful entities and associates.

The capital adequacy ratios of the Bank are derived from the Bank and its wholly-owned offshore banking subsidiary, Maybank International (L) Ltd. for the financial year ended 31 December 2024, excluding the investments in subsidiaries and associates (except for Myfin Berhad and Maybank International (L) Ltd. as disclosed above).

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

59. CAPITAL ADEQUACY (CONT'D.)

(d) The breakdown of RWA by each major risk categories for the Group and the Bank are as follows:

	Group		Bank	
	2025 RM'000	**2024 RM'000**	**2025 RM'000**	**2024 RM'000**
Standardised Approach exposure	**54,274,492**	55,201,939	**24,892,382**	23,837,842
Internal Ratings–Based Approach exposure after scaling factor	**307,137,565**	322,470,214	**166,305,591**	184,787,630
Exposures to Central Counterparties	**2,159,923**	–	**2,062,111**	–
Total RWA for credit risk	**363,571,980**	377,672,153	**193,260,084**	208,625,472
Total RWA for market risk	**19,824,895**	21,798,086	**17,678,489**	18,968,608
Total RWA for operational risk	**51,786,824**	46,137,958	**33,103,695**	22,250,109
Large exposure risk RWA for equity holdings	**907,931**	862,371	**905,014**	859,454
Total RWA	**436,091,630**	446,470,568	**244,947,282**	250,703,643

(e) The capital adequacy ratios and RWA of subsidiaries of the Bank are as follows:

(i) Capital adequacy ratios

	Maybank Islamic Berhad	Maybank Investment Bank Berhad	PT Bank Maybank Indonesia Tbk	Maybank Singapore Limited
2025				
CET1 Capital Ratio	**14.397%**	**18.671%**	**–**	**14.840%**
Tier 1 Capital Ratio	**15.224%**	**18.671%**	**–**	**14.840%**
Total Capital Ratio	**18.231%**	**19.111%**	**27.291%**	**18.193%**
2024				
CET1 Capital Ratio	13.414%	22.213%	–	16.176%
Tier 1 Capital Ratio	14.289%	22.213%	–	16.176%
Total Capital Ratio	16.568%	24.292%	25.555%	20.224%

(ii) The breakdown of RWA by each major risk categories of subsidiaries of the Bank are as follows:

	Maybank Islamic Berhad RM'000	Maybank Investment Bank Berhad RM'000	PT Bank Maybank Indonesia Tbk RM'000	Maybank Singapore Limited RM'000
2025				
Standardised Approach exposure	**3,754,067**	**911,059**	**24,894,889**	**10,205,333**
Internal Ratings-Based Approach exposure after scaling factor	**129,431,598**	**–**	**–**	**38,390,343**
Total RWA for credit risk	**133,185,665**	**911,059**	**24,894,889**	**48,595,676**
Total RWA for credit risk absorbed by Maybank and Investment Account Holders*	**(27,648,122)**	**–**	**–**	**–**
Total RWA for market risk	**1,768,164**	**801,981**	**997,243**	**849,026**
Total RWA for operational risk	**13,623,048**	**900,759**	**2,761,109**	**2,488,441**
Total RWA	**120,928,755**	**2,613,799**	**28,653,241**	**51,933,143**
2024				
Standardised Approach exposure	3,375,976	782,128	28,265,876	9,831,611
Internal Ratings-Based Approach exposure after scaling factor	121,548,907	–	–	35,918,081
Total RWA for credit risk	124,924,883	782,128	28,265,876	45,749,692
Total RWA for credit risk absorbed by Maybank and Investment Account Holders*	(24,473,794)	–	–	–
Total RWA for market risk	1,150,850	659,127	1,554,555	169,245
Total RWA for operational risk	12,665,099	813,985	2,940,201	2,223,906
Total RWA	114,267,038	2,255,240	32,760,632	48,142,843

* In accordance with the BNM Investment Account Policy document, the credit risk weighted assets funded by investment accounts (Unrestricted Investment Account and Restricted Investment Account) are excluded from the calculation of capital adequacy ratio of the Bank.

60. SEGMENT INFORMATION

(i) By business segments

The Group's operating segments are Group Community Financial Services, Group Global Banking and Group Insurance and Takaful. The Group determines and presents operating segments based on information provided to the Board and senior management of the Group.

The Group is organised into three (3) operating segments based on services and products available within the Group as follows:

(a) Group Community Financial Services ("CFS")

(i) Consumer Banking

Consumer Banking comprises the full range of products and services offered to individuals in the region, which includes savings and fixed deposits, remittance services, current accounts, consumer loans such as housing loans and personal loans, hire purchases, unit trusts, bancassurance products and credit cards.

(ii) Small, Medium Enterprise ("SME") Banking

SME Banking comprises the full range of products and services offered to small and medium enterprises in the region. The products and services offered include long-term loans such as project financing, short-term credit such as overdrafts and trade financing, and fee-based services such as cash management and custodian services.

(iii) Business Banking

Business Banking comprises the full range of products and services offered to commercial enterprises in the region. The products and services offered include long-term loans such as project financing, short-term credit such as overdrafts and trade financing, and fee-based services such as cash management and custodian services.

(b) Group Global Banking ("GB")

(i) Group Corporate & Commercial Banking and Global Markets

Group Corporate & Commercial Banking and Global Markets comprise of Corporate & Commercial Banking and Global Markets businesses.

Corporate & Commercial Banking comprises the full range of products and services offered to business customers in the region, ranging from large corporate and the public sector. The products and services offered include long-term loans such as project financing, short-term credit such as overdrafts and trade financing, and fee-based services.

Global Markets comprise the full range of products and services relating to treasury activities and services, which includes foreign exchange, money market, derivatives and trading of capital market.

(ii) Group Investment Banking

Investment Banking comprises the investment banking and securities broking business. This segment focuses on business needs of mainly large corporate customers and financial institutions. The products and services offered to customers include corporate advisory services, bond issuance, equity issuance, syndicated acquisition advisory services, debt restructuring advisory services, and share and futures dealings.

(iii) Group Asset Management

Asset Management comprises the asset and fund management services, providing a diverse range of Conventional and Islamic investment solutions to retail, corporate and institutional clients.

(c) Group Insurance and Takaful

Insurance and Takaful comprise the business of underwriting all classes of general and life insurance businesses, offshore investment life insurance business, general takaful and family takaful businesses.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

60. SEGMENT INFORMATION (CONT'D.)

(i) By business segments (cont'd.)

Group 2025	Group Community Financial Services RM'000	Group Corporate & Commercial Banking and Global Markets RM'000	Group Investment Banking RM'000	Group Asset Management RM'000	Group Insurance and Takaful RM'000	Head Office and Others RM'000	Total RM'000
	<---------- Business Segments ---------->						
		<-------- Group Global Banking -------->					
Net interest income/(expense):							
– External	7,496,260	4,291,734	523,765	17	1,653,001	(807,765)	13,157,012
– Inter-segment	–	–	(146,037)	2,633	28,774	114,630	–
	7,496,260	4,291,734	377,728	2,650	1,681,775	(693,135)	13,157,012
Net interest income/(expense)	7,496,260	4,291,734	377,728	2,650	1,681,775	(693,135)	13,157,012
Income from IBS operations	5,700,373	2,425,630	74,102	–	–	453,168	8,653,273
Insurance/takaful service result	–	–	–	–	1,292,381	463,367	1,755,748
Other operating income/(expense)	3,809,044	3,490,767	1,250,893	91,635	788,620	(411,405)	9,019,554
Total operating income/(expense)	17,005,677	10,208,131	1,702,723	94,285	3,762,776	(188,005)	32,585,587
Net insurance/takaful investment/finance result	–	–	–	–	(2,206,086)	–	(2,206,086)
Net operating income/(expense)	17,005,677	10,208,131	1,702,723	94,285	1,556,690	(188,005)	30,379,501
Overhead expenses	(10,239,690)	(2,955,329)	(1,303,092)	(93,352)	(247,736)	–	(14,839,199)
Operating profit/(loss) before impairment losses	6,765,987	7,252,802	399,631	933	1,308,954	(188,005)	15,540,302
(Allowances for)/writeback of impairment losses on loans, advances, financing and other debts, net	(1,468,793)	894,934	12,944	–	(1,221)	–	(562,136)
(Allowances for)/writeback of impairment losses on financial investments, net	(20,624)	(835,546)	–	(486)	9,414	–	(847,242)
(Allowances for)/writeback of impairment losses on other assets and interest in an associate, net	(661)	(71,287)	250	1	299	–	(71,398)
Operating profit/(loss)	5,275,909	7,240,903	412,825	448	1,317,446	(188,005)	14,059,526
Share of profits in associates and joint venture	–	270,653	3,615	–	–	–	274,268
Profit/(loss) before taxation and zakat	5,275,909	7,511,556	416,440	448	1,317,446	(188,005)	14,333,794
Taxation and zakat							(3,502,446)
Profit after taxation and zakat							10,831,348
Non-controlling interests							(317,400)
Profit for the financial year attributable to equity holders of the Bank							10,513,948
Included in other operating income/(expense) are:							
Fee income:							
Commission	1,371,876	109,452	36,427	69,432	–	(228,637)	1,358,550
Service charges and fees	1,319,939	299,639	226,880	83,744	4,928	30,533	1,965,663
Underwriting fees	–	12,361	62,076	–	–	–	74,437
Brokerage income	1,327	–	308,856	–	–	–	310,183
Fees on loans, advances and financing	96,546	187,770	8,375	–	–	(6,705)	285,986
Fee income from IBS operations	488,609	222,989	68,598	–	–	3,122	783,318
Included in overhead expenses and insurance/takaful service result are:							
Depreciation of property, plant and equipment	(204,720)	(56,475)	(28,947)	(310)	(21,740)	–	(312,192)
Depreciation of right-of-use assets	(328,035)	(90,213)	(58,523)	(3,773)	(22,845)	–	(503,389)
Amortisation of intangible assets	(186,882)	(52,565)	(6,466)	(97)	(23,278)	–	(269,288)

60. SEGMENT INFORMATION (CONT'D.)

(i) By business segments (cont'd.)

Group 2024*	<---------- Business Segments ---------->						
		<-------- Group Global Banking -------->					
	Group Community Financial Services RM'000	Group Corporate & Commercial Banking and Global Markets RM'000	Group Investment Banking RM'000	Group Asset Management RM'000	Group Insurance and Takaful RM'000	Head Office and Others RM'000	Total RM'000
Net interest income/(expense):							
– External	8,065,910	3,448,316	549,687	29	1,648,543	(905,062)	12,807,423
– Inter-segment	–	–	(164,730)	4,356	74,247	86,127	–
	8,065,910	3,448,316	384,957	4,385	1,722,790	(818,935)	12,807,423
Net interest income/(expense)	8,065,910	3,448,316	384,957	4,385	1,722,790	(818,935)	12,807,423
Income from IBS operations	5,455,494	2,506,383	48,465	–	–	336,057	8,346,399
Insurance/takaful service result	–	–	–	–	883,889	400,624	1,284,513
Other operating income/(expense)	3,579,641	3,544,701	1,128,887	83,724	1,164,498	(435,451)	9,066,000
Total operating income/(expense)	17,101,045	9,499,400	1,562,309	88,109	3,771,177	(517,705)	31,504,335
Net insurance/takaful investment/finance result	–	–	–	–	(1,931,829)	–	(1,931,829)
Net operating income/(expense)	17,101,045	9,499,400	1,562,309	88,109	1,839,348	(517,705)	29,572,506
Overhead expenses	(9,951,832)	(2,902,961)	(1,189,872)	(100,033)	(315,537)	–	(14,460,235)
Operating profit/(loss) before impairment losses	7,149,213	6,596,439	372,437	(11,924)	1,523,811	(517,705)	15,112,271
(Allowances for)/writeback of impairment losses on loans, advances, financing and other debts, net	(1,463,393)	(173,858)	(34,352)	–	1,058	–	(1,670,545)
Writeback of/(allowances for) impairment losses on financial investments, net	5	58,885	–	–	(16,537)	–	42,353
(Allowances for)/writeback of impairment losses on other assets and interest in an associate, net	(27)	(21,326)	(2,384)	–	4,921	–	(18,816)
Operating profit/(loss)	5,685,798	6,460,140	335,701	(11,924)	1,513,253	(517,705)	13,465,263
Share of profits in associates and joint venture	5,300	229,392	1,610	–	–	–	236,302
Profit/(loss) before taxation and zakat	5,691,098	6,689,532	337,311	(11,924)	1,513,253	(517,705)	13,701,565
Taxation and zakat							(3,195,179)
Profit after taxation and zakat							10,506,386
Non-controlling interests							(417,713)
Profit for the financial year attributable to equity holders of the Bank							10,088,673
Included in other operating income/(expense) are:							
Fee income:							
Commission	1,479,186	109,782	60,403	52,054	–	(346,480)	1,354,945
Service charges and fees	1,148,386	364,390	225,015	97,493	(2,975)	3,623	1,835,932
Underwriting fees	–	7,737	45,462	–	–	–	53,199
Brokerage income	1,592	–	331,135	–	–	–	332,727
Fees on loans, advances and financing	64,226	189,156	2,953	–	–	(2,922)	253,413
Fee income from IBS operations	492,164	172,468	44,120	–	–	7,141	715,893
Included in overhead expenses and insurance/takaful service result are:							
Depreciation of property, plant and equipment	(220,835)	(60,140)	(30,100)	(321)	(23,115)	–	(334,511)
Depreciation of right-of-use assets	(338,527)	(92,981)	(61,312)	(4,043)	(18,391)	–	(515,254)
Amortisation of intangible assets	(185,312)	(53,686)	(5,779)	(83)	(24,985)	–	(269,845)

* The figures as at 31 December 2024 have been restated due to a structural change of business segmentation that took effect during the financial year ended 31 December 2025.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

60. SEGMENT INFORMATION (CONT'D.)

(ii) By geographical locations

The Group has operations in Malaysia, Singapore, Indonesia, the Philippines, Brunei Darussalam, People's Republic of China, Hong Kong SAR, Vietnam, United Kingdom, United States of America, Cambodia, Laos, Myanmar, Labuan Offshore and Thailand.

With the exception of Malaysia, Singapore and Indonesia, no other individual country contributed more than 10% of the consolidated operating revenue before operating expenses and of the total assets.

Operating revenue, net operating income, profit before taxation and zakat, and assets based on geographical locations of customers are as follows:

Income statement items For the financial year ended	Operating revenue RM'000	Net operating income RM'000	Profit before taxation and zakat RM'000
31 December 2025			
Malaysia	**54,263,809**	**30,159,140**	**17,751,758**
Singapore	**13,141,718**	**5,796,994**	**2,625,723**
Indonesia	**4,419,185**	**2,461,183**	**545,266**
Others	**5,418,861**	**1,603,630**	**631,115**
	77,243,573	**40,020,947**	**21,553,862**
Elimination*	**(10,874,341)**	**(9,641,446)**	**(7,220,068)**
Group	**66,369,232**	**30,379,501**	**14,333,794**
31 December 2024			
Malaysia	52,355,825	27,676,480	16,277,447
Singapore	15,936,469	6,089,656	3,000,613
Indonesia	4,401,681	2,588,303	379,957
Others	6,902,802	1,863,792	546,824
	79,596,777	38,218,231	20,204,841
Elimination*	(10,653,992)	(8,645,725)	(6,503,276)
Group	68,942,785	29,572,506	13,701,565

* Inter-segment revenues are eliminated on consolidation.

The total non-current and current assets based on geographical locations are as follows:

Statement of financial position items:	Non-current assets[1]		Current assets[2]	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Malaysia	**10,343,902**	9,944,093	**733,453,407**	708,722,037
Singapore	**1,070,964**	1,145,433	**292,808,055**	329,375,838
Indonesia	**269,771**	335,832	**46,264,345**	53,685,475
Others	**370,719**	399,955	**81,530,098**	86,967,546
	12,055,356	11,825,313	**1,154,055,905**	1,178,750,896
Elimination[3]	**(97,831)**	(53,805)	**(112,429,837)**	(115,200,448)
Group	**11,957,525**	11,771,508	**1,041,626,068**	1,063,550,448

[1] Non-current assets consist of investment properties, property, plant and equipment, right-of-use assets and intangible assets.

[2] Current assets are total assets excluding non-current assets as stated above.

[3] Inter-segment balances are eliminated on consolidation.

61. SIGNIFICANT AND SUBSEQUENT EVENTS

(i) The following are the significant events of the Group and of the Bank during the financial year ended 31 December 2025:

(a) Issuance of 14,153,123 new ordinary shares pursuant to the ESGP

The share capital of the Bank increased from RM54,736,195,010 as at 31 December 2024 to RM54,882,332,779 as at 31 December 2025 via issuance of 14,153,123 new ordinary shares amounting to RM146,137,769 arising from the ESGP.

The issued ordinary shares of the Bank as at 31 December 2025 is 12,081,105,315 units.

(b) Issuances of Tier 2 Subordinated Sukuk Murabahah pursuant to the RM30.0 billion Sukuk Programme of the Bank

The Bank has completed the issuances of Subordinated Sukuk Murabahah under the RM30.0 billion Sukuk Programme. Details of the issuances are as follows:

Maturity Date	Nominal Value	Description	Tenor
29 May 2037	RM750.0 million	Tier 2 Subordinated Sukuk Murabahah (12 non-call 7)	12 years
28 August 2037	RM1.8 billion	Tier 2 Subordinated Sukuk Murabahah (12 non-call 7)	12 years
7 September 2040	RM3.0 billion	Tier 2 Subordinated Sukuk Murabahah (15 non-call 10)	15 years

(c) Redemption of RM2.3 billion Tier 2 Subordinated Sukuk Murabahah pursuant to the RM30.0 billion Sukuk Programme of the Bank

On 9 October 2025, the Bank fully redeemed the RM2.3 billion Tier 2 Subordinated Sukuk Murabahah on its first call date. The RM2.3 billion Tier 2 Subordinated Sukuk Murabahah was issued on 9 October 2020.

(ii) The following are the significant event of the Group and of the Bank subsequent to the financial year ended 31 December 2025:

(a) Redemption of RM1.7 billion Additional Tier 1 Sukuk Mudharabah pursuant to the RM30.0 billion Sukuk Programme of the Bank

On 30 January 2026, the Bank fully redeemed the RM1.7 billion Additional Tier 1 Sukuk Mudharabah on its first call date. The RM1.7 billion Additional Tier 1 Sukuk Mudharabah was issued on 31 January 2019.

(b) Issuance of RM3.0 billion Islamic Medium Term Notes pursuant to the RM20.0 billion Islamic Medium Term Notes Programme of Maybank Islamic Berhad

On 6 February 2026 and 23 February 2026, Maybank Islamic Berhad completed the issuance of Islamic Medium Term Notes amounting to RM2.0 billion and RM1.0 billion, respectively, pursuant to the Islamic Medium Term Notes Programme of up to RM20.0 billion. Details of the issuances are as follows:

Issuance on 6 February 2026:

Maturity Date	Nominal Value	Description	Tenor
7 February 2033	RM2.0 billion	Fixed rate Islamic Medium Term Notes	7 years

Issuance on 23 February 2026:

Maturity Date	Nominal Value	Description	Tenor
24 February 2031	RM1.0 billion	Fixed rate Islamic Medium Term Notes	5 years

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

62. INCOME STATEMENT AND STATEMENT OF FINANCIAL POSITION OF INSURANCE AND TAKAFUL BUSINESS

(a) Income statement

Group	Life Business		Family Takaful Business		General Takaful Business		General Business and Others		Total	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Operating revenue	**3,048,644**	3,422,783	**2,904,591**	2,573,089	**2,675,371**	2,538,834	**3,974,071**	4,924,332	**12,602,677**	13,459,038
Interest income	**738,909**	781,937	**670,968**	672,913	**205,837**	198,130	**144,289**	149,526	**1,760,003**	1,802,506
Interest expense	**(19,660)**	(20,594)	**–**	(1)	**–**	–	**(58,568)**	(59,121)	**(78,228)**	(79,716)
Net interest income	**719,249**	761,343	**670,968**	672,912	**205,837**	198,130	**85,721**	90,405	**1,681,775**	1,722,790
Insurance/takaful service result	**344,574**	565,286	**611,941**	(81,693)	**236,917**	207,846	**98,949**	192,450	**1,292,381**	883,889
Other operating income	**507,800**	772,731	**216,331**	242,013	**12,808**	57,088	**51,681**	92,666	**788,620**	1,164,498
Total operating income	**1,571,623**	2,099,360	**1,499,240**	833,232	**455,562**	463,064	**236,351**	375,521	**3,762,776**	3,771,177
Net insurance/takaful investment/finance result	**(1,152,247)**	(1,309,280)	**(940,141)**	(474,980)	**(105,682)**	(130,879)	**(8,016)**	(16,690)	**(2,206,086)**	(1,931,829)
Net operating income	**419,376**	790,080	**559,099**	358,252	**349,880**	332,185	**228,335**	358,831	**1,556,690**	1,839,348
Overhead expenses	**(117,611)**	(147,972)	**(11,588)**	(7,459)	**(9,542)**	(9,789)	**(105,120)**	(142,162)	**(243,861)**	(307,382)
Operating profit before impairment losses	**301,765**	642,108	**547,511**	350,793	**340,338**	322,396	**123,215**	216,669	**1,312,829**	1,531,966
(Allowances for)/writeback of impairment losses on loans, advances, financing and other debts, net	**(973)**	335	**3**	7	**–**	–	**(251)**	716	**(1,221)**	1,058
(Allowances for)/writeback of impairment losses on financial investments, net	**(192)**	1,729	**(110)**	664	**(204)**	196	**9,920**	(19,126)	**9,414**	(16,537)
Writeback of/(allowances for) impairment losses on other assets, net	**631**	(214)	**–**	(3)	**(203)**	393	**(129)**	4,745	**299**	4,921
Profit before taxation and zakat	**301,231**	643,958	**547,404**	351,461	**339,931**	322,985	**132,755**	203,004	**1,321,321**	1,521,408
Taxation and zakat	**(60,586)**	(48,848)	**(151,965)**	(104,491)	**(109,905)**	(90,225)	**(63,105)**	(95,332)	**(385,561)**	(338,896)
Profit for the financial year	**240,645**	595,110	**395,436**	246,970	**230,026**	232,760	**69,650**	107,672	**935,760**	1,182,512

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

62. INCOME STATEMENT AND STATEMENT OF FINANCIAL POSITION OF INSURANCE AND TAKAFUL BUSINESS (CONT'D.)

(b) Statement of financial position

Group	Life Business		Family Takaful Business		General Takaful Business		General Business and Others		Total	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Assets										
Cash and short-term funds	**702,199**	556,573	**94,501**	86,485	**118,045**	57,881	**126,960**	137,015	**1,041,705**	837,954
Deposits and placements with financial institutions	**884,774**	1,066,307	**1,206,031**	1,204,971	**1,039,866**	1,339,965	**516,810**	926,931	**3,647,481**	4,538,174
Financial assets purchased under resale agreements	**–**	223,774	**–**	–	**–**	–	**–**	–	**–**	223,774
Financial assets designated upon initial recognition at fair value through profit or loss	**6,098,601**	6,003,196	**6,723,661**	6,821,943	**13,401**	13,560	**56,078**	60,487	**12,891,741**	12,899,186
Financial investments at fair value through profit or loss	**10,864,385**	8,640,961	**2,165,695**	1,132,549	**349,531**	272,221	**510,313**	295,057	**13,889,924**	10,340,788
Financial investments at fair value through other comprehensive income	**7,505,859**	8,299,824	**7,514,628**	7,573,302	**4,342,688**	3,780,115	**1,662,142**	1,621,364	**21,025,317**	21,274,605
Financial investments at amortised cost	**–**	–	**–**	–	**–**	–	**16,243**	19,054	**16,243**	19,054
Loans, advances and financing	**85,827**	92,721	**8,069**	9,362	**646**	825	**49,367**	48,156	**143,909**	151,064
Derivative assets	**71,805**	2,876	**992**	–	**470**	–	**230**	–	**73,497**	2,876
Insurance contract/takaful certificate assets	**44,710**	21,856	**4,397**	2,506	**–**	–	**54,058**	50,837	**103,165**	75,199
Reinsurance contract/retakaful certificate assets	**1,223,389**	1,480,588	**394,448**	307,415	**448,195**	429,312	**3,208,413**	3,692,744	**5,274,445**	5,910,059
Other assets	**191,494**	323,993	**95,827**	160,799	**7,506**	5,303	**182,792**	243,481	**477,619**	733,576
Investment properties	**853,925**	849,270	**–**	–	**–**	–	**185,075**	185,195	**1,039,000**	1,034,465
Statutory deposits with central banks	**2,841**	3,129	**–**	–	**–**	–	**–**	–	**2,841**	3,129
Property, plant and equipment	**126,334**	112,069	**158**	194	**12,110**	37	**83,536**	81,696	**222,138**	193,996
Right-of-use assets	**39,166**	43,030	**338**	526	**–**	–	**11,787**	12,931	**51,291**	56,487
Intangible assets	**73,274**	93,602	**25,081**	11,810	**7,798**	5,785	**35,017**	41,480	**141,170**	152,677
Deferred tax assets	**21,694**	16,605	**104,897**	99,524	**85,659**	84,367	**35,603**	33,833	**247,853**	234,329
Total assets	**28,790,277**	27,830,374	**18,338,723**	17,411,386	**6,425,915**	5,989,371	**6,734,424**	7,450,261	**60,289,339**	58,681,392
Liabilities										
Derivative liabilities	**4,633**	224,546	**–**	213	**–**	–	**16,289**	34,007	**20,922**	258,766
Insurance contract/takaful certificate liabilities	**24,599,031**	23,549,839	**14,479,940**	14,207,236	**3,712,807**	3,546,701	**4,302,152**	4,798,559	**47,093,930**	46,102,335
Reinsurance contract/retakaful certificate liabilities	**24,722**	14,595	**–**	–	**–**	–	**8,040**	12,468	**32,762**	27,063
Other liabilities[#]	**1,427,678**	1,605,511	**758,129**	367,959	**315,125**	244,668	**336,930**	369,514	**2,837,862**	2,587,652
Provision for taxation and zakat	**(67,097)**	(50,402)	**41,030**	65,383	**55,044**	40,674	**33,386**	5,593	**62,363**	61,248
Deferred tax liabilities	**530,112**	472,622	**61,081**	43,240	**40,618**	38,558	**65,357**	73,872	**697,168**	628,292
Subordinated obligations	**–**	–	**–**	–	**–**	–	**312,051**	312,118	**312,051**	312,118
Total liabilities	**26,519,079**	25,816,711	**15,340,180**	14,684,031	**4,123,594**	3,870,601	**5,074,205**	5,606,131	**51,057,058**	49,977,474
Equity attributable to equity holders of the Subsidiaries										
Share capital	**1,388,122**	1,388,122	**100,000**	100,000	**970,001**	970,001	**(1,797,257)**	(1,797,257)	**660,866**	660,866
Other reserves	**883,076**	625,541	**2,898,543**	2,627,355	**1,332,320**	1,148,769	**3,457,476**	3,641,387	**8,571,415**	8,043,052
	2,271,198	2,013,663	**2,998,543**	2,727,355	**2,302,321**	2,118,770	**1,660,219**	1,844,130	**9,232,281**	8,703,918
Total liabilities and shareholders' equity	**28,790,277**	27,830,374	**18,338,723**	17,411,386	**6,425,915**	5,989,371	**6,734,424**	7,450,261	**60,289,339**	58,681,392

* Included inter-company transactions within insurance/takaful entities which are eliminated on consolidation at Group level.

[#] Included in other liabilities are the amounts due to/(from) life, general and investment-linked funds which are unsecured, not subject to any interest elements and are repayable on demand.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS")

(a) Statement of financial position

Group	Note	2025 RM'000	2024 RM'000
Assets			
Cash and short-term funds	(f)	**18,919,885**	20,828,364
Deposits and placements with banks and other financial institutions	(g)	**4,668,171**	8,513,204
Financial assets purchased under resale agreements	(h)	**2,553,228**	1,434,429
Financial investments at fair value through profit or loss	(i)	**1,685,011**	1,527,376
Financial investments at fair value through other comprehensive income	(j)	**15,506,334**	18,178,884
Financial investments at amortised cost	(k)	**14,348,351**	12,788,932
Financing and advances	(l)	**275,699,184**	251,303,767
Derivative assets	(m)	**963,038**	563,671
Other assets	(n)	**4,919,670**	6,478,931
Statutory deposits with central banks	(o)	**2,192,333**	4,244,896
Property, plant and equipment	(p)	**277**	374
Right-of-use assets	(q)	**3,170**	1,325
Deferred tax assets	(r)	**327,522**	220,963
Total assets		**341,786,174**	326,085,116
Liabilities			
Customers' funding:			
– Deposits from customers	(s)	**245,558,580**	234,149,822
– Investment accounts of customers[1]	(t)	**33,909,533**	30,138,364
Deposits and placements from financial institutions	(u)	**23,356,869**	23,089,740
Obligations on financial assets sold under repurchase agreements	(h)	**1,829,680**	1,435,112
Bills and acceptances payable		**54,494**	75,343
Derivative liabilities	(m)	**1,356,308**	379,353
Other liabilities	(v)	**2,258,329**	7,267,327
Provision for taxation and zakat	(w)	**92,344**	74,970
Term funding	(x)	**10,575,944**	9,990,105
Subordinated sukuk	(y)	**3,024,604**	2,020,610
Capital securities	(z)	**1,002,217**	1,002,087
Total liabilities		**323,018,902**	309,622,833
Islamic Banking Capital Funds			
Islamic Banking Funds	(d)	**14,688,443**	12,579,879
Retained profits	(d)	**3,014,818**	2,922,948
Other reserves		**1,064,011**	959,456
		18,767,272	16,462,283
Total liabilities and Islamic Banking Capital Funds		**341,786,174**	326,085,116
Restricted investment accounts managed by the Group	(t)	**48,309,416**	47,711,393
TOTAL ISLAMIC BANKING ASSETS OWNED AND MANAGED BY THE GROUP		**390,095,590**	373,796,509
Commitments and contingencies	(aj)	**146,130,956**	116,095,566

[1] Investment accounts of customers are used to fund financing and advances as disclosed in Note 63(l).

The accompanying notes form an integral part of the financial statements.

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(b) Income statement

Group	Note	2025 RM'000	2024 RM'000
Income derived from investment of depositors' funds	(aa)	**13,783,333**	13,111,772
Income derived from investment of investment account funds	(ab)	**1,463,263**	1,327,575
Income derived from investment of Islamic Banking Funds	(ac)	**889,621**	744,905
Allowances for impairment losses on financing and advances, net	(ad)	**(1,101,905)**	(1,112,584)
Allowances for impairment losses on financial investments, net	(ae)	**(64,343)**	(4,211)
Allowances for impairment losses on other assets, net	(af)	**(2,159)**	(5,699)
Total distributable income		**14,967,810**	14,061,758
Profit share income from investment accounts		**208,838**	204,040
Profit distributed to depositors	(ag)	**(7,080,236)**	(6,659,360)
Profit distributed to investment account holders		**(492,775)**	(459,109)
Total net income		**7,603,637**	7,147,329
Finance cost		**(535,360)**	(542,824)
Overhead expenses	(ah)	**(3,000,226)**	(2,779,775)
Profit before taxation and zakat		**4,068,051**	3,824,730
Taxation	(ai)	**(971,733)**	(922,076)
Zakat		**(67,622)**	(53,377)
Profit for the financial year		**3,028,696**	2,849,277

For consolidation and amalgamation with the conventional banking operations, income from Islamic Banking Scheme as shown on the face of the consolidated income statement, comprises the following items:

Group	2025 RM'000	2024 RM'000
Income derived from investment of depositors' funds	**13,783,333**	13,111,772
Income derived from investment of investment account funds	**1,463,263**	1,327,575
Income derived from investment of Islamic Banking Funds	**889,621**	744,905
Total income before allowances for impairment losses on financial assets and overhead expenses	**16,136,217**	15,184,252
Profit share income from investment accounts	**208,838**	204,040
Profit distributed to depositors	**(7,080,236)**	(6,659,360)
Profit distributed to investment account holders	**(492,775)**	(459,109)
	8,772,044	8,269,823
Finance cost	**(535,360)**	(542,824)
Net of intercompany income and expenses	**623,977**	823,140
Profit share income from investment accounts funded by the Bank	**(207,388)**	(203,740)
Income from Islamic Banking Scheme operations reported in the income statement of the Group	**8,653,273**	8,346,399

The accompanying notes form an integral part of the financial statements.

(c) Statement of comprehensive income

Group	2025 RM'000	2024 RM'000
Profit for the financial year	**3,028,696**	2,849,277
Other comprehensive income/(loss):		
Items that may be reclassified subsequently to profit or loss:		
Net gain on foreign exchange translation	**5,380**	1,299
Net gain/(loss) on financial investments at fair value through other comprehensive income	**178,158**	(265,166)
– Net loss from change in fair value	**(152,379)**	(364,610)
– Changes in expected credit losses	**293,966**	11,938
– Income tax effect	**36,571**	87,506
	183,538	(263,867)
Other comprehensive income/(loss) for the financial year, net of tax	**183,538**	(263,867)
Total comprehensive income for the financial year	**3,212,234**	2,585,410

The accompanying notes form an integral part of the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(d) Statement of changes in Islamic Banking Capital Funds

Group As at 31 December 2025	Islamic Banking Funds RM'000	<---------- Non-distributable ----------> Regulatory Reserve RM'000	Fair Value Through Other Comprehensive Income Reserve RM'000	Exchange Fluctuation Reserve RM'000	*Equity Contribution From the Holding Company RM'000	Distributable Retained Profits RM'000	Total RM'000
At 1 January 2025	**12,579,879**	**604,236**	**354,981**	**(1,458)**	**1,697**	**2,922,948**	**16,462,283**
Profit for the financial year	**–**	**–**	**–**	**–**	**–**	**3,028,696**	**3,028,696**
Other comprehensive income	**–**	**–**	**178,158**	**5,380**	**–**	**–**	**183,538**
Net gain on foreign exchange translation	**–**	**–**	**–**	**5,380**	**–**	**–**	**5,380**
Net gain on financial investments at fair value through other comprehensive income	**–**	**–**	**178,158**	**–**	**–**	**–**	**178,158**
Total comprehensive income for the financial year	**–**	**–**	**178,158**	**5,380**	**–**	**3,028,696**	**3,212,234**
Transfer to conventional banking operations	**–**	**–**	**–**	**–**	**–**	**(19,031)**	**(19,031)**
Transfer from regulatory reserve	**–**	**(78,983)**	**–**	**–**	**–**	**78,983**	**–**
Issue of ordinary shares	**2,108,564**	**–**	**–**	**–**	**–**	**–**	**2,108,564**
Dividends paid	**–**	**–**	**–**	**–**	**–**	**(2,996,778)**	**(2,996,778)**
At 31 December 2025	**14,688,443**	**525,253**	**533,139**	**3,922**	**1,697**	**3,014,818**	**18,767,272**

Group As at 31 December 2024	Islamic Banking Funds RM'000	<---------- Non-distributable ----------> Regulatory Reserve RM'000	Fair Value Through Other Comprehensive Income Reserve RM'000	Exchange Fluctuation Reserve RM'000	*Equity Contribution From the Holding Company RM'000	Distributable Retained Profits RM'000	Total RM'000
At 1 January 2024	11,681,910	629,580	620,147	(2,757)	1,697	2,577,023	15,507,600
Profit for the financial year	–	–	–	–	–	2,849,277	2,849,277
Other comprehensive (loss)/income	–	–	(265,166)	1,299	–	–	(263,867)
Net gain on foreign exchange translation	–	–	–	1,299	–	–	1,299
Net loss on financial investments at fair value through other comprehensive income	–	–	(265,166)	–	–	–	(265,166)
Total comprehensive (loss)/income for the financial year	–	–	(265,166)	1,299	–	2,849,277	2,585,410
Transfer to conventional banking operations	–	–	–	–	–	(5,948)	(5,948)
Transfer from regulatory reserve	–	(25,344)	–	–	–	25,344	–
Issue of ordinary shares	897,969	–	–	–	–	–	897,969
Dividends paid	–	–	–	–	–	(2,522,748)	(2,522,748)
At 31 December 2024	12,579,879	604,236	354,981	(1,458)	1,697	2,922,948	16,462,283

* This equity contribution reserve from the holding company is pertaining to waiver of intercompany balances between respective subsidiaries and its holding company.

The accompanying notes form an integral part of the financial statements.

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(e) Statement of cash flows

Group	2025 RM'000	2024 RM'000
Cash flows from operating activities		
Profit before taxation and zakat	**4,068,051**	3,824,730
Adjustments for:		
Allowances for impairment losses on financing and advances, net	**1,301,616**	1,305,200
Allowances for impairment losses on financial investments, net	**64,343**	4,211
Allowances for impairment losses on other assets, net	**2,159**	5,699
Amortisation of premiums, net	**77,124**	56,038
Unrealised loss on revaluation of derivatives	**5,038**	2,604
Unrealised gain on revaluation of financial investments at fair value through profit or loss	**(14,271)**	(9,778)
Net gain on disposal of financial investments at fair value through profit or loss	**(39,593)**	(30,405)
Net gain on disposal of financial investments at fair value through other comprehensive income	**(453,774)**	(483,547)
Gain on foreign exchange translations	**(382,564)**	(339,885)
Depreciation of property, plant and equipment	**91**	116
Depreciation of right-of-use assets	**2,351**	3,154
ESGP expenses	**5,674**	2,701
Finance cost	**535,360**	542,824
Finance cost on lease liabilities	**125**	89
Operating profit before working capital changes	**5,171,730**	4,883,751
Change in cash and short-term funds with original maturity of more than three months	**(1,321,975)**	(260,326)
Change in deposits and placements with banks and other financial institutions with original maturity of more than three months	**783,861**	(5,248,946)
Change in financial assets purchased under resale agreements	**(1,119,802)**	(1,376,898)
Change in financing and advances	**(28,783,124)**	(28,471,601)
Change in derivative assets and liabilities	**572,549**	(335,395)
Change in other assets	**1,692,893**	(2,307,555)
Change in statutory deposits with central banks	**2,052,563**	(623,753)
Change in deposits from customers	**11,408,758**	23,450,842
Change in deposits and placements from financial institutions	**1,848,672**	10,821,299
Change in investment accounts of customers	**3,168,598**	2,730,307
Change in obligations on financial assets sold under repurchase agreements	**394,568**	1,435,112
Change in bills and acceptances payable	**(20,850)**	(5,453)
Change in financial investments portfolio	**3,951,316**	6,891,586
Change in other liabilities	**(5,013,020)**	5,917,618
Cash (used in)/generated from operations	**(5,213,263)**	17,500,588
Taxes and zakat paid	**(951,246)**	(1,034,960)
Net cash generated (used in)/generated from operating activities	**(6,164,509)**	16,465,628
Cash flows from investing activities		
Purchase of property, plant and equipment	**–**	(294)
Net cash used in investing activities	**–**	(294)
Cash flows from financing activities		
Dividends paid	**(2,996,778)**	(2,522,748)
Dividends paid for subordinated sukuk	**(88,497)**	(72,219)
Dividends paid for term funding	**(359,430)**	(366,279)
Dividends paid for capital securities	**(47,470)**	(47,991)
Proceeds from issuance of ordinary shares	**2,108,564**	897,969
Drawdown of subordinated sukuk	**1,000,000**	–
Issuance/(repayment) of term funding	**550,000**	(1,000,000)
Funds transferred to holding company	**(19,031)**	(5,949)
Repayment of lease liabilities	**(31)**	(2,930)
Net cash generated from/(used in) financing activities	**147,327**	(3,120,147)
Net (decrease)/increase in cash and cash equivalents	**(6,017,182)**	13,345,187
Cash and cash equivalents at 1 January	**23,834,774**	10,614,986
Effects of foreign exchange rate changes	**(275,574)**	(125,399)
Cash and cash equivalents at 31 December	**17,542,018**	23,834,774
Cash and cash equivalents comprise:		
Cash and short-term funds (Note 63(f))	**18,920,744**	20,830,309
Deposits and placements with banks and other financial institutions (Note 63(g))	**4,668,660**	8,513,737
	23,589,404	29,344,046
Less:		
Cash and short-term funds and deposits and placements with banks and other financial institutions, with original maturity of more than three months	**(6,047,386)**	(5,509,272)
Cash and cash equivalents at 31 December	**17,542,018**	23,834,774

The accompanying notes form an integral part of the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(f) Cash and short-term funds

Group	Note	2025 RM'000	2024 RM'000
Cash, bank balances and deposits with financial institutions		**4,142**	3,798
Money at call		**18,916,602**	20,826,511
		18,920,744	20,830,309
Allowances for impairment losses	(i)	**(859)**	(1,945)
		18,919,885	20,828,364

(i) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on cash and short-term funds are as follows:

As at 31 December 2025

Changes in the gross carrying amount of cash and short-term funds that contributed to changes in the loss allowances during the financial year ended 31 December 2025 were mainly due to the following:

– The decrease in the ECL for Stage 1 was due to derecognition of financial assets which correspondingly decreased the ECL allowances for cash and short-term funds.

Group	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
At 1 January 2025	**1,945**	**–**	**–**	**1,945**
Financial assets derecognised	**(945)**	**–**	**–**	**(945)**
Exchange differences	**(141)**	**–**	**–**	**(141)**
At 31 December 2025	**859**	**–**	**–**	**859**

As at 31 December 2024

Changes in the gross carrying amount of cash and short-term funds that contributed to changes in the loss allowances during the financial year ended 31 December 2024 were mainly due to the following:

– The increase in the ECL for Stage 1 was arising from newly recognised financial assets during the year which resulted in higher ECL allowances for cash and short-term funds.

Group	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
At 1 January 2024	**–**	**–**	**–**	**–**
New financial assets originated or purchased	**1,836**	**–**	**–**	**1,836**
Exchange differences	**109**	**–**	**–**	**109**
At 31 December 2024	**1,945**	**–**	**–**	**1,945**

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(g) Deposits and placements with banks and other financial institutions

Group	Note	2025 RM'000	2024 RM'000
Licensed banks		**3,854,749**	7,527,526
Bank Negara Malaysia		**813,911**	986,211
		4,668,660	8,513,737
Allowances for impairment losses	(i)	**(489)**	(533)
		4,668,171	8,513,204

(i) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on deposits and placements with banks and other financial institutions are as follows:

As at 31 December 2025

Changes in the gross carrying amount of deposits and placements with banks and other financial institutions that contributed to changes in the loss allowances during the financial year ended 31 December 2025 were mainly due to the following:

– The decrease in the ECL for Stage 1 was due to derecognition of financial assets which correspondingly decreased the ECL allowances for deposits and placements with banks and other financial institutions.

Group	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
At 1 January 2025	**533**	**–**	**–**	**533**
Financial assets derecognised	**(27)**	**–**	**–**	**(27)**
Exchange differences	**(17)**	**–**	**–**	**(17)**
At 31 December 2025	**489**	**–**	**–**	**489**

As at 31 December 2024

Changes in the gross carrying amount of deposits and placements with banks and other financial institutions that contributed to changes in the loss allowances during the financial year ended 31 December 2024 were mainly due to the following:

– The increase in the ECL for Stage 1 was arising from newly recognised financial assets during the year which resulted in higher ECL allowances for deposits and placements with banks and other financial institutions.

Group	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
At 1 January 2024	**–**	**–**	**–**	**–**
New financial assets originated or purchased	**511**	**–**	**–**	**511**
Exchange differences	**22**	**–**	**–**	**22**
At 31 December 2024	**533**	**–**	**–**	**533**

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(h) Financial assets purchased under resale agreements and obligations on financial assets sold under repurchase agreements

(i) The financial assets purchased under resale agreements are as follows:

Group	Note	2025 RM'000	2024 RM'000
Corporate Bonds and Sukuk		**2,554,898**	1,435,096
Allowances for impairment losses	(a)	**(1,670)**	(667)
		2,553,228	1,434,429

(a) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on financial assets purchased under resale agreements are as follows:

As at 31 December 2025

Changes in the gross carrying amount of financial assets purchased under resale agreements that contributed to changes in the loss allowances during the financial year ended 31 December 2025 were mainly due to the following:

– The increase in the gross carrying amount due to financial assets recognised during the year which correspondingly increased ECL allowances.

Group	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
At 1 January 2025	**667**	**–**	**–**	**667**
New financial assets originated or purchased	**1,670**	**–**	**–**	**1,670**
Financial assets derecognised	**(667)**	**–**	**–**	**(667)**
At 31 December 2025	**1,670**	**–**	**–**	**1,670**

As at 31 December 2024

Changes in the gross carrying amount of financial assets purchased under resale agreements that contributed to changes in the loss allowances during the financial year ended 31 December 2024 was mainly due to the following:

– The increase in the gross carrying amount due to financial assets recognised during the year which correspondingly increased ECL allowances.

Group	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
At 1 January 2024	80	–	–	80
New financial assets originated or purchased	667	–	–	667
Financial assets derecognised	(80)	–	–	(80)
At 31 December 2024	667	–	–	667

(ii) Obligations on financial assets sold under repurchase agreements are as follows:

Group	Note	2025 RM'000	2024 RM'000
Financial investments at fair value through other comprehensive income	(j)	**1,829,680**	1,435,112

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(i) Financial investments at fair value through profit or loss

Group	2025 RM'000	2024 RM'000
At fair value		
Money market instruments:		
Malaysian Government Treasury Bills	**851,592**	973,890
Malaysian Government Investment Issues	**133,524**	123,287
Cagamas Sukuk	**130,592**	190,507
	1,115,708	1,287,684
Quoted securities:		
In Malaysia:		
Shares, warrants and loan stocks	**23,943**	–
Unquoted securities:		
In Malaysia:		
Islamic private debt securities	**401,037**	–
Outside Malaysia:		
Corporate Sukuk	**144,323**	239,692
Total financial investments at FVTPL	**1,685,011**	1,527,376

(j) Financial investments at fair value through other comprehensive income

Group	Note	2025 RM'000	2024 RM'000
At fair value			
Money market instruments:			
Malaysian Government Investment Issues		**10,062,113**	14,466,707
Negotiable instruments of deposits		**–**	149,721
		10,062,113	14,616,428
Unquoted securities:			
In Malaysia:			
Corporate Sukuk	(i)	**5,444,221**	3,562,456
Total financial investments at FVOCI		**15,506,334**	18,178,884

(i) As at 31 December 2025, the Corporate Sukuk funded by RPSIA amounting to RM2,846.7 million (2024: RM3,351.7 million) was recorded off-balance sheet under the operations of IBS.

(ii) The maturity profile of money market instruments are as follows:

Group	2025 RM'000	2024 RM'000
Within one year	**141,689**	180,145
One year to three years	**953,236**	380,707
Three years to five years	**2,518,503**	3,895,378
After five years	**6,448,685**	10,160,198
	10,062,113	14,616,428

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(j) Financial investments at fair value through other comprehensive income (cont'd.)

(iii) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on financial investments at fair value through other comprehensive income are as follows:

As at 31 December 2025

Changes in the gross carrying amount of financial investments at fair value through other comprehensive income that contributed to the changes in the loss allowances during the financial year ended 31 December 2025 were mainly due to the the following:

– The increase in ECL for Stage 1 was due to new financial assets originated or purchased which correspondingly increased the ECL allowances.

	Stage 1	Stage 2	Stage 3	
Group	**12-month ECL RM'000**	**Lifetime ECL not credit impaired RM'000**	**Lifetime ECL credit impaired RM'000**	**Total RM'000**
At 1 January 2025	**98**	**–**	**–**	**98**
Net remeasurement of allowances	**3,649**	**–**	**–**	**3,649**
New financial assets originated or purchased	**4,324**	**–**	**–**	**4,324**
Financial assets derecognised	**(699)**	**–**	**–**	**(699)**
Changes in models/risk parameters	**(326)**	**–**	**–**	**(326)**
At 31 December 2025	**7,046**	**–**	**–**	**7,046**

As at 31 December 2024

Changes in the gross carrying amount of financial investments at fair value through other comprehensive income that contributed to the changes in the loss allowances during the financial year ended 31 December 2024 were mainly due to the following:

– The decrease in ECL for Stage 1 was due to net remeasurement of allowances financial assets which correspondingly decreased the ECL allowances.

	Stage 1	Stage 2	Stage 3	
Group	**12-month ECL RM'000**	**Lifetime ECL not credit impaired RM'000**	**Lifetime ECL credit impaired RM'000**	**Total RM'000**
At 1 January 2024	380	–	–	380
Net remeasurement of allowances	(1,164)	–	–	(1,164)
New financial assets originated or purchased	895	–	–	895
Financial assets derecognised	(13)	–	–	(13)
At 31 December 2024	98	–	–	98

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(j) Financial investments at fair value through other comprehensive income (cont'd.)

(iv) Included in investments at FVOCI are financial assets sold under repurchase agreements as follows:

Group	2025 RM'000	2024 RM'000
Malaysian Government Investment Issues	**1,829,680**	1,435,112

(k) Financial investments at amortised cost

Group	Note	2025 RM'000	2024 RM'000
At amortised cost			
Money market instruments:			
Malaysian Government Investment Issues		**9,596,767**	9,266,129
Unquoted securities:			
In Malaysia			
Corporate Sukuk	(i)	**4,832,291**	3,546,115
Allowances for impairment losses	(iii)	**(80,707)**	(23,312)
Total financial investments at amortised cost		**14,348,351**	12,788,932

(i) As at 31 December 2025, the Corporate Sukuk funded by RPSIA amounting to RM3,245.6 million (2024: RM5,129.0 million) was recorded off-balance sheet under the operations of IBS.

(ii) The maturity profile of money market instruments are as follows:

Group	2025 RM'000	2024 RM'000
Within one year	**506,536**	81,766
One year to three years	**2,070,082**	771,732
Three years to five years	**2,586,670**	2,010,404
After five years	**4,433,479**	6,402,227
	9,596,767	9,266,129

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(k) Financial investments at amortised cost (cont'd.)

(iii) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on financial investments at amortised cost are as follows:

As at 31 December 2025

Changes in the gross carrying amount of financial investments at amortised cost that contributed to the changes in the loss allowances during the financial year ended 31 December 2025 were mainly due to the following:

– The increase in the ECL for Stage 1 and Stage 2 was due to deterioration in credit risk which correspondingly increased the net remeasurement of allowances.

Group	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
At 1 January 2025	**1,237**	**5,385**	**16,690**	**23,312**
Net remeasurement of allowances	**10,085**	**47,951**	**194**	**58,230**
New financial assets originated or purchased	**1,599**	**–**	**–**	**1,599**
Financial assets derecognised	**(2,329)**	**(105)**	**–**	**(2,434)**
At 31 December 2025	**10,592**	**53,231**	**16,884**	**80,707**

As at 31 December 2024

Changes in the gross carrying amount of financial investments at amortised cost that contributed to the changes in the loss allowances during the financial year ended 31 December 2024 were mainly due to the following:

– The decrease in the ECL for Stage 1 was due to derecognition of financial assets mainly from Corporate Sukuk; and

– The increase in the ECL for Stage 2 was due to deterioration in credit risk which correspondingly increased the net remeasurement of allowances.

Group	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
At 1 January 2024	2,078	–	16,741	18,819
Transferred to Stage 2	(1,285)	1,285	–	–
Net remeasurement of allowances	853	4,100	(51)	4,902
New financial assets originated or purchased	1,190	–	–	1,190
Financial assets derecognised	(1,599)	–	–	(1,599)
At 31 December 2024	1,237	5,385	16,690	23,312

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(I) Financing and advances

Group	2025 RM'000	2024 RM'000
Financing and advances*:		
(A) Financing and advances at fair value through other comprehensive income	**2,476,689**	1,362,401
(B) Financing and advances at amortised cost	**332,221,193**	310,070,486
	334,697,882	311,432,887
Unearned income	**(55,448,879)**	(56,539,578)
Gross financing and advances	**279,249,003**	254,893,309
Allowances for financing and advances:		
– Stage 1 – 12-month ECL	**(778,242)**	(545,845)
– Stage 2 – Lifetime ECL not credit impaired	**(1,598,131)**	(1,737,715)
– Stage 3 – Lifetime ECL credit impaired	**(1,173,446)**	(1,305,982)
Net financing and advances	**275,699,184**	251,303,767

* As at 31 December 2025, the financing and advances funded by RPSIA amounting to RM42,217.1 million (2024: RM38,992.0 million) was recorded off-balance sheet under the operations of IBS.

The gross exposure of the financing and advances funded by Investment Accounts of Customers ("IA") as at 31 December 2025 was RM33,909.5 million (2024: RM30,138.4 million).

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(I) Financing and advances (cont'd.)

Group	Bai'[1] RM'000	Murabahah RM'000	Musharakah RM'000	Al-Ijarah Thumma Al-Bai ("AITAB")[2] RM'000	Ijarah[3] RM'000	Others RM'000	Total financing and advances RM'000
2025							
Cashline	–	**7,978,371**	–	–	–	–	**7,978,371**
Term financing:							
– Housing financing	**9,169,779**	**122,921,277**	**1,136,509**	–	–	–	**133,227,565**
– Syndicated financing	–	**2,917,239**	–	–	–	–	**2,917,239**
– Hire purchase receivables	–	**10,671,358**	–	**58,319,627**	–	–	**68,990,985**
– Lease receivables	–	–	–	–	**3,304,942**	–	**3,304,942**
– Other term financing	**2,815,691**	**93,814,688**	**296,560**	–	–	**64,409**	**96,991,348**
Trust receipts	–	**134,731**	–	–	–	–	**134,731**
Claims on customers under acceptance credits	–	**7,483,030**	–	–	–	–	**7,483,030**
Staff financing	**181,530**	**3,446,662**	**4,441**	**125,502**	–	**68,000**	**3,826,135**
Credit card receivables	–	–	–	–	–	**2,942,192**	**2,942,192**
Revolving credit	–	**6,852,663**	–	–	–	–	**6,852,663**
Share margin financing	–	**46,117**	–	–	–	–	**46,117**
Financing to:							
– Directors of the Bank	–	**2,347**	–	**152**	–	**65**	**2,564**
	12,167,000	**256,268,483**	**1,437,510**	**58,445,281**	**3,304,942**	**3,074,666**	**334,697,882**
Unearned income							**(55,448,879)**
Gross financing and advances[4]							**279,249,003**
Allowances for financing and advances:							
– Stage 1 – 12–month ECL							**(778,242)**
– Stage 2 – Lifetime ECL not credit impaired							**(1,598,131)**
– Stage 3 – Lifetime ECL credit impaired							**(1,173,446)**
Net financing and advances							**275,699,184**

[1] Bai' comprises Bai' Bithaman Ajil, Bai' Al-Inah and Bai'-Al-Dayn Al-Sila'.
[2] The Group is the owner of the asset. The ownership of an asset will be transferred to the customer via sale at the end of the Ijarah financing.
[3] The Group is the owner of the asset. The ownership of an asset will be transferred to the customer at the end of the Ijarah financing subject to the customer's execution of the purchase option.
[4] Included in financing and advances are the underlying assets under the IA.

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(I) Financing and advances (cont'd.)

Group	Bai'[1] RM'000	Murabahah RM'000	Musharakah RM'000	Al-Ijarah Thumma Al-Bai ("AITAB")[2] RM'000	Ijarah[3] RM'000	Others RM'000	Total financing and advances RM'000
2024							
Cashline	–	7,392,557	–	–	–	–	7,392,557
Term financing:							
– Housing financing	9,897,757	111,091,992	1,250,705	–	–	2,078	122,242,532
– Syndicated financing	–	3,374,265	–	–	–	–	3,374,265
– Hire purchase receivables	–	12,705,891	–	51,928,928	–	–	64,634,819
– Lease receivables	–	–	–	–	3,046,495	–	3,046,495
– Other term financing	3,583,245	87,481,333	345,802	–	–	43,488	91,453,868
Trust receipts	–	158,947	–	–	–	–	158,947
Claims on customers under acceptance credits	–	7,940,915	–	–	–	–	7,940,915
Staff financing	203,163	3,240,491	4,998	150,653	–	60,663	3,659,968
Credit card receivables	–	–	–	–	–	2,524,867	2,524,867
Revolving credit	–	4,962,899	–	–	–	–	4,962,899
Share margin financing	–	39,347	–	–	–	–	39,347
Financing to:							
– Directors of the Bank	–	1,180	–	131	–	45	1,356
– Directors of subsidiaries	–	52	–	–	–	–	52
	13,684,165	238,389,869	1,601,505	52,079,712	3,046,495	2,631,141	311,432,887
Unearned income							(56,539,578)
Gross financing and advances[4]							254,893,309
Allowances for financing and advances:							
– Stage 1 – 12–month ECL							(545,845)
– Stage 2 – Lifetime ECL not credit impaired							(1,737,715)
– Stage 3 – Lifetime ECL credit impaired							(1,305,982)
Net financing and advances							251,303,767

[1] Bai' comprises Bai' Bithaman Ajil, Bai' Al-Inah and Bai'-Al-Dayn Al-Sila'.
[2] The Group is the owner of the asset. The ownership of an asset will be transferred to the customer via sale at the end of the Ijarah financing.
[3] The Group is the owner of the asset. The ownership of an asset will be transferred to the customer at the end of the Ijarah financing subject to the customer's execution of the purchase option.
[4] Included in financing and advances are the underlying assets under the IA.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(I) Financing and advances (cont'd.)

(i) Financing and advances analysed by type of customers are as follows:

Group	2025 RM'000	2024 RM'000
Domestic non–banking institutions	**6,464,686**	7,611,424
Domestic business enterprises:		
– Small and medium enterprises	**56,267,926**	48,779,715
– Others	**16,045,692**	15,631,044
Government and statutory bodies	**96,970**	109,458
Individuals	**198,964,227**	181,217,724
Other domestic entities	**196,927**	176,682
Foreign entities	**1,212,575**	1,367,262
Gross financing and advances	**279,249,003**	254,893,309

(ii) Financing and advances analysed by profit rate sensitivity are as follows:

Group	2025 RM'000	2024 RM'000
Fixed rate:		
– House financing	**1,727,713**	1,696,867
– Hire purchase receivables	**52,018,335**	46,295,416
– Other financing	**13,070,219**	11,056,243
	66,816,267	59,048,526
Floating rate:		
– House financing	**105,556,871**	92,671,723
– Other financing	**106,875,865**	103,173,060
	212,432,736	195,844,783
Gross financing and advances	**279,249,003**	254,893,309

(iii) Financing and advances analysed by economic purpose are as follows:

Group	2025 RM'000	2024 RM'000
Purchase of securities	**20,342,055**	20,619,376
Purchase of transport vehicles	**60,708,453**	57,309,463
Purchase of landed properties:		
– Residential	**110,945,786**	97,529,316
– Non–residential	**27,991,108**	24,416,816
Purchase of fixed assets (exclude landed properties)	**537,645**	340,924
Personal use	**5,518,778**	4,804,847
Purchase of consumer durables	**1,399**	1,109
Constructions	**3,473,570**	2,833,351
Mergers and acquisitions	**214,026**	31,999
Working capital	**46,500,015**	44,412,817
Credit cards	**3,016,168**	2,593,291
Gross financing and advances	**279,249,003**	254,893,309

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(I) Financing and advances (cont'd.)

(iv) The maturity profile of financing and advances are as follows:

Group	2025 RM'000	2024 RM'000
Within one year	**28,933,970**	26,410,011
One year to three years	**10,733,493**	8,924,192
Three years to five years	**22,368,803**	22,779,164
After five years	**217,212,737**	196,779,942
Gross financing and advances	**279,249,003**	254,893,309

(v) Movements in the impaired financing and advances ("impaired financing") are as follows:

Group	2025 RM'000	2024 RM'000
At 1 January	**2,863,158**	2,450,297
Newly impaired	**2,496,670**	1,631,315
Reclassified as non-impaired	**(264,870)**	(144,253)
Amount recovered	**(519,880)**	(331,181)
Amount written off	**(879,637)**	(743,020)
Gross impaired financing at 31 December	**3,695,441**	2,863,158
Less: Stage 3 – Lifetime ECL credit impaired	**(1,173,446)**	(1,305,982)
Net impaired financing at 31 December	**2,521,995**	1,557,176
Calculation of ratio of net impaired financing (excluding financing funded by IA):		
Gross impaired financing at 31 December	**3,695,441**	2,863,158
Less: Stage 3 – Lifetime ECL credit impaired	**(1,173,446)**	(1,305,982)
Net impaired financing at 31 December	**2,521,995**	1,557,176
Gross financing and advances	**245,339,470**	224,754,945
Less: Allowances for impaired financing and advances at amortised cost and FVOCI	**(3,868,870)**	(3,621,575)
Net financing and advances	**241,470,600**	221,133,370
Net impaired financing as a percentage of net financing and advances	**1.04%**	0.70%

(vi) Impaired financing and advances by economic purpose are as follows:

Group	2025 RM'000	2024 RM'000
Purchase of securities	**66,715**	9,957
Purchase of transport vehicles	**456,070**	341,260
Purchase of landed properties:		
– Residential	**697,661**	570,442
– Non-residential	**488,745**	438,000
Purchase of fixed assets (exclude landed properties)	**9,700**	6,318
Personal use	**154,625**	353,973
Purchase of consumer durables	**1**	1
Constructions	**33,292**	76,678
Working capital	**1,773,431**	1,054,609
Credit cards	**15,201**	11,920
Impaired financing and advances	**3,695,441**	2,863,158

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(I) Financing and advances (cont'd.)

(vii) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on financing and advances are as follows:

As at 31 December 2025

Changes in the gross carrying amount of financing and advances carried at fair value through other comprehensive income and amortised cost for the Group that contributed to the changes in the loss allowances during the financial year ended 31 December 2025 were mainly due to the following:

- Gross carrying amount grew primarily from retail house financing, hire purchase receivables and other term financing by 9%, 7% and 6%, respectively;
- The ECL for Stage 1 (12-month ECL) and Stage 2 (lifetime ECL not credit impaired) increased by RM96.6 million. The increase is in tandem with higher growth in financing and advances; and
- The ECL for Stage 3 (lifetime ECL credit impaired) increased by RM150.7 million primarily due to provisions provided for significant financing and advances, offset with write-off during year, which remain under active recovery efforts, amounting to RM879.6 million (2024: RM743.0 million).

At fair value through other comprehensive income

Group	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
At 1 January 2025	**6,258**	**25,775**	**–**	**32,033**
Net remeasurement of allowances	**662**	**30**	**283,257**	**283,949**
New financial assets originated or purchased	**4,418**	**13,302**	**–**	**17,720**
Financial assets derecognised	**(5,476)**	**(229)**	**–**	**(5,705)**
Changes in models/risk parameters	**(1,239)**	**(7,658)**	**–**	**(8,897)**
Exchange differences	**(32)**	**(17)**	**–**	**(49)**
At 31 December 2025	**4,591**	**31,203**	**283,257**	**319,051**

At amortised cost

Group	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
At 1 January 2025	**545,845**	**1,737,715**	**1,305,982**	**3,589,542**
Transferred to Stage 1	**166,903**	**(147,628)**	**(19,275)**	**–**
Transferred to Stage 2	**(33,714)**	**93,007**	**(59,293)**	**–**
Transferred to Stage 3	**(10,098)**	**(114,219)**	**124,317**	**–**
Net remeasurement of allowances	**39,535**	**17,330**	**701,081**	**757,946**
New financial assets originated or purchased	**157,773**	**89,711**	**–**	**247,484**
Financial assets derecognised	**(67,603)**	**(104,507)**	**–**	**(172,110)**
Changes in models/risk parameters	**(19,739)**	**27,193**	**(41)**	**7,413**
Amount written off	**–**	**–**	**(879,637)**	**(879,637)**
Exchange differences	**(660)**	**(471)**	**312**	**(819)**
At 31 December 2025	**778,242**	**1,598,131**	**1,173,446**	**3,549,819**

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(I) Financing and advances (cont'd.)

(vii) Analysis of changes in gross carrying amount and the corresponding allowances for impairment losses on financing and advances are as follows (cont'd.):

As at 31 December 2024

Changes in the gross carrying amount of financing and advances carried at fair value through other comprehensive income and amortised cost for the Group that contributed to the changes in the loss allowances during the financial year ended 31 December 2024 were mainly due to the following:

- Gross carrying amount grew primarily from retail hire purchase receivables and house financing by 11% and 6%, respectively;
- The ECL for Stage 1 (12-month ECL) and Stage 2 (lifetime ECL not credit impaired) increased by RM323.1 million. The increase is in tandem with higher growth in financing and advances and customer migration as a result of the Group's active credit risk management; and
- The ECL for Stage 3 (lifetime ECL credit impaired) increased by RM203.9 million primarily due to provisions provided for significant financing and advances, offset with write-off during the year, which remain under active recovery efforts, amounting to RM743.0 million (2023: RM1,060.0 million).

At fair value through other comprehensive income

Group	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
At 1 January 2024	6,424	13,389	–	19,813
Net remeasurement of allowances	6,431	12,386	–	18,817
New financial assets originated or purchased	(2,932)	–	–	(2,932)
Financial assets derecognised	(3,665)	12	–	(3,653)
Exchange differences	–	(12)	–	(12)
At 31 December 2024	6,258	25,775	–	32,033

At amortised cost

Group	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
At 1 January 2024	548,816	1,423,854	1,102,053	3,074,723
Transferred to Stage 1	127,086	(115,139)	(11,947)	–
Transferred to Stage 2	(26,326)	57,790	(31,464)	–
Transferred to Stage 3	(10,290)	(108,399)	118,689	–
Net remeasurement of allowances	(186,711)	449,537	871,678	1,134,504
New financial assets originated or purchased	155,747	85,748	–	241,495
Financial assets derecognised	(56,729)	(55,167)	–	(111,896)
Changes in models/risk parameters	(5,837)	(544)	(7)	(6,388)
Amount written off	–	–	(743,020)	(743,020)
Exchange differences	89	35	–	124
At 31 December 2024	545,845	1,737,715	1,305,982	3,589,542

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(m) Derivative financial instruments and hedge accounting

The table below shows the fair values of derivative financial instruments, recorded as assets or liabilities, together with their principal amounts. The principal amount, recorded gross, is the amount of derivative's underlying asset, reference rate or index and is the basis upon which change in the value of derivatives are measured. The principal amounts indicate the volume of transactions outstanding at the reporting date and are indicative of neither the market risks nor the credit risk.

The Group enters into derivative financial instruments at the request and on behalf of its customers as well as to hedge the Group's own exposures and not for speculative purposes. Derivative financial instruments that are entered into for hedging purpose but which the Group have not used to apply hedge accounting or which relate to customers' transactions are classified as trading derivatives.

	2025			2024		
		<------- Fair Values ------->			<------- Fair Values ------->	
Group	**Principal amount RM'000**	**Assets RM'000**	**Liabilities RM'000**	**Principal amount RM'000**	**Assets RM'000**	**Liabilities RM'000**
Trading derivatives						
Foreign exchange related contracts						
Currency forward:						
– Less than one year	**19,859,629**	**105,647**	**(706,385)**	10,929,559	102,689	(141,637)
– One year to three years	**1,731,735**	**61,371**	**(61,106)**	2,117,674	16,968	(16,968)
– More than three years	**1,230,150**	**57,683**	**(57,710)**	1,559,000	31,423	(31,450)
Currency swaps:						
– Less than one year	**44,604,418**	**716,094**	**(509,757)**	26,319,184	395,070	(169,394)
– One year to three years	**140,665**	**3**	**–**	–	–	–
Currency spots:						
– Less than one year	**523,212**	**1,551**	**(686)**	57,160	448	(1,906)
Currency options:						
– Less than one year	**5,760**	**1,816**	**(17)**	4,484	13	(13)
Cross currency profit rate swaps:						
– Less than one year	**56,991**	**153**	**(153)**	77,876	4,088	(4,088)
– One year to three years	**399,435**	**5,069**	**(5,069)**	419,607	6,976	(7,971)
– More than three years	**745,499**	**8,821**	**(8,821)**	–	–	–
	69,297,494	**958,208**	**(1,349,704)**	41,484,544	557,675	(373,427)
Profit rate related contracts						
Profit rate swaps:						
– One year to three years	**1,200,000**	**564**	**(565)**	–	–	–
– More than three years	**569,023**	**4,266**	**(6,039)**	560,649	5,996	(5,926)
	1,769,023	**4,830**	**(6,604)**	560,649	5,996	(5,926)
Total	**71,066,517**	**963,038**	**(1,356,308)**	42,045,193	563,671	(379,353)

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(m) Derivative financial instruments and hedge accounting (cont'd.)

Fair value hedge

Included within hedging derivatives are derivatives where the Group applied hedge accounting.

Fair value hedge is used by the Group to protect against changes in the fair value of financial assets and financial liabilities due to movements in profit rates. The financial instruments hedged for profit rate risk include the Group's financial investments.

The Group discontinued a number of hedge relationships between the hedged items and hedging instruments due to change in risk management objective resulted from the implementation of the GIMF in financial year ended 31 December 2023.

A total loss of RM4,255,334 (2024: RM4,255,334) is amortised to the profit or loss during the financial year with the remaining unamortised Fair Value Hedge adjustment being RM26,081,081 (2024: RM30,336,415) which will be amortised over the average remaining maturity of the related financial assets.

For the financial year ended 31 December 2025, the Group recognised the following net loss for discontinued hedge:

Group	2025 RM'000	2024 RM'000
Loss on the hedged items attributable to the hedged risk	**(4,255)**	(4,255)

(n) Other assets

Group	Note	2025 RM'000	2024 RM'000
Amount due from holding company		**2,741,412**	4,585,091
Prepayment and deposits		**63,810**	74,343
Tax recoverable		**212,238**	352,961
Other debtors		**1,907,103**	1,469,301
		4,924,563	6,481,696
Allowances for impairment losses	(i)	**(4,893)**	(2,765)
		4,919,670	6,478,931

(i) The movement of the accumulated impairment losses on other assets is as follows:

	2025 RM'000	2024 RM'000
At 1 January	**2,765**	–
Impairment made	**2,892**	2,765
Impairment written back	**(764)**	–
At 31 December	**4,893**	2,765

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(o) Statutory deposits with central bank

The non-profit bearing statutory deposits maintained with BNM is in compliance with the requirement of the Central Bank of Malaysia Act 2009, the amount of which is determined as set percentages of total eligible liabilities.

(p) Property, plant and equipment

Group	Office Furniture, Fittings, Equipment and Renovations RM'000	Computers and Peripherals RM'000	Motor Vehicles RM'000	Total RM'000
As at 31 December 2025				
Cost				
At 1 January 2025	**1,025**	**292**	**669**	**1,986**
Exchange differences	**(94)**	**(27)**	**(34)**	**(155)**
At 31 December 2025	**931**	**265**	**635**	**1,831**
Accumulated depreciation				
At 1 January 2025	**1,024**	**203**	**385**	**1,612**
Depreciation charge for the financial year (Note 63(ah))	**1**	**31**	**59**	**91**
Exchange differences	**(95)**	**(20)**	**(34)**	**(149)**
At 31 December 2025	**930**	**214**	**410**	**1,554**
Net carrying amount				
At 31 December 2025	**1**	**51**	**225**	**277**

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(p) Property, plant and equipment (cont'd.)

Group	Office Furniture, Fittings, Equipment and Renovations RM'000	Computers and Peripherals RM'000	Motor Vehicles RM'000	Total RM'000
As at 31 December 2024				
Cost				
At 1 January 2024	1,053	300	385	1,738
Additions	–	–	294	294
Exchange differences	(28)	(8)	(10)	(46)
At 31 December 2024	1,025	292	669	1,986
Accumulated depreciation				
At 1 January 2024	1,043	156	340	1,539
Depreciation charge for the financial year (Note 63(ah))	8	53	55	116
Exchange differences	(27)	(6)	(10)	(43)
At 31 December 2024	1,024	203	385	1,612
Net carrying amount				
At 31 December 2024	1	89	284	374

(q) Right-of-use assets

Group	Premises	
	2025 RM'000	2024 RM'000
Cost		
At 1 January	**13,289**	13,394
Additions	**4,076**	–
Termination	**(13,020)**	–
Exchange differences	**(269)**	(105)
At 31 December	**4,076**	13,289
Accumulated depreciation		
At 1 January	**11,964**	8,900
Depreciation charge for the financial year (Note 63(ah))	**2,351**	3,154
Termination	**(13,020)**	–
Exchange differences	**(389)**	(90)
At 31 December	**906**	11,964
Net carrying amount		
At 31 December	**3,170**	1,325

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(r) Deferred tax

Group	2025 RM'000	2024 RM'000
At 1 January	**220,963**	79,648
Recognised in income statement (Note 63(ai))	**69,988**	53,809
Relating to origination and reversal of temporary differences	**69,988**	53,809
Recognised in statement of other comprehensive income	**36,571**	87,506
At 31 December	**327,522**	220,963

Presented after appropriate offsetting as follows:

Group	2025 RM'000	2024 RM'000
Deferred tax assets	**392,952**	322,957
Deferred tax liabilities	**(65,430)**	(101,994)
At 31 December	**327,522**	220,963

Deferred tax assets and liabilities are offset when there is a legally enforceable right to set-off current tax assets against current tax liabilities and when the deferred income taxes relate to the same fiscal authority.

The components and movements of deferred tax assets and liabilities during the financial year prior to offsetting are as follows:

Deferred tax assets of the Group:

Group	Unutilised ICBU business losses RM'000	Impairment losses on financing, financial investments and other financial assets RM'000	FVOCI reserve RM'000	Other temporary differences RM'000	Total RM'000
As at 31 December 2025					
At 1 January 2025	**10,259**	**286,704**	**1**	**25,993**	**322,957**
Recognised in income statement:					
Relating to origination and reversal of temporary differences	**(2,581)**	**66,203**	**(1)**	**6,374**	**69,995**
At 31 December 2025	**7,678**	**352,907**	**–**	**32,367**	**392,952**
As at 31 December 2024					
At 1 January 2024	11,859	241,906	1	15,376	269,142
Recognised in income statement:					
Relating to origination and reversal of temporary differences	(1,600)	44,798	–	10,617	53,815
At 31 December 2024	10,259	286,704	1	25,993	322,957

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(r) Deferred tax (cont'd.)

The components and movements of deferred tax assets and liabilities during the financial year prior to offsetting are as follows (cont'd.):

Deferred tax liabilities of the Group:

Group	FVOCI reserve RM'000	Unabsorbed capital allowances RM'000	Total RM'000
As at 31 December 2025			
At 1 January 2025	**(101,957)**	**(37)**	**(101,994)**
Recognised in income statement:			
Relating to origination and reversal of temporary differences	**–**	**(7)**	**(7)**
Recognised in statement of other comprehensive income	**36,571**	**–**	**36,571**
At 31 December 2025	**(65,386)**	**(44)**	**(65,430)**
As at 31 December 2024			
At 1 January 2024	(189,463)	(31)	(189,494)
Recognised in income statement:			
Relating to origination and reversal of temporary differences	–	(6)	(6)
Recognised in statement of other comprehensive income	87,506	–	87,506
At 31 December 2024	(101,957)	(37)	(101,994)

Pursuant to Finance Bill 2021, the tax losses can be utilised up to a maximum of ten consecutive years effective retrospectively from year of assessment 2019 up until 2030.

(s) Deposits from customers

Group	2025 RM'000	2024 RM'000
Savings deposits		
Murabahah	**29,411,430**	28,309,482
Qard	**1,458,225**	1,440,679
	30,869,655	29,750,161
Demand deposits		
Murabahah	**41,670,889**	38,307,257
Qard	**3,767,704**	4,210,298
	45,438,593	42,517,555
Term deposits		
Murabahah	**168,397,850**	161,105,195
Qard	**852,482**	776,911
	169,250,332	161,882,106
Total deposits from customers	**245,558,580**	234,149,822

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(s) Deposits from customers (cont'd.)

(i) The maturity profile of term deposits are as follows:

Group	2025 RM'000	2024 RM'000
Within six months	**151,102,105**	146,154,762
Six months to one year	**18,058,417**	15,640,105
One year to three years	**73,219**	76,459
Three years to five years	**16,591**	10,780
	169,250,332	161,882,106

(ii) The deposits are sourced from the following type of customers:

Group	2025 RM'000	2024 RM'000
Business enterprises	**106,565,325**	99,415,256
Individuals	**78,022,009**	73,875,821
Government and statutory bodies	**27,614,658**	33,111,193
Others	**33,356,588**	27,747,552
	245,558,580	234,149,822

(t) Investment accounts

Group	2025 RM'000	2024 RM'000
Investment accounts of customers – Unrestricted investment accounts	**33,909,533**	30,138,364
Restricted investment accounts managed by the Group[1]	**48,309,416**	47,711,393

As reported in the Group's statements of financial position, the unrestricted investment accounts (net of intercompany balances) was RM32,783.0 million (2024: RM28,981.8 million).

(i) Movements in the investment accounts are as follows:

	Unrestricted investment accounts			Restricted investment accounts managed by the Group[1]
Group	Mudharabah RM'000	Wakalah RM'000	Total RM'000	Mudharabah RM'000
2025				
Funding inflows/(outflows)				
At 1 January 2025	**29,442,273**	**696,091**	**30,138,364**	**47,711,393**
New placements during the financial year	**64,823,937**	**–**	**64,823,937**	**11,927,121**
Redemptions during the financial year	**(60,358,493)**	**(695,000)**	**(61,053,493)**	**(10,920,527)**
Changes in profit payable	**1,816**	**(1,091)**	**725**	**(408,571)**
At 31 December 2025	**33,909,533**	**–**	**33,909,533**	**48,309,416**

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(t) Investment accounts (cont'd.)

(i) Movements in the investment accounts are as follows (cont'd.):

Group	Unrestricted investment accounts			Restricted investment accounts managed by the Group[1]
	Mudharabah RM'000	Wakalah RM'000	Total RM'000	Mudharabah RM'000
2024				
Funding inflows/(outflows)				
At 1 January 2024	27,103,783	250,554	27,354,337	42,884,778
New placements during the financial year	61,200,942	445,000	61,645,942	18,158,857
Redemptions during the financial year	(58,861,488)	–	(58,861,488)	(13,446,720)
Changes in profit payable	(964)	537	(427)	114,478
At 31 December 2024	29,442,273	696,091	30,138,364	47,711,393

(ii) Investment accounts are sourced from the following type of customers:

Group	Unrestricted investment accounts			Restricted investment accounts managed by the Group[1]
	Mudharabah RM'000	Wakalah RM'000	Total RM'000	Mudharabah RM'000
2025				
Business enterprises	**17,398,739**	**–**	**17,398,739**	**–**
Individuals	**12,074,122**	**–**	**12,074,122**	**–**
Government and statutory bodies	**700,310**	**–**	**700,310**	**–**
Licensed banks	**–**	**–**	**–**	**48,307,667**
Others	**3,736,362**	**–**	**3,736,362**	**1,749**
	33,909,533	**–**	**33,909,533**	**48,309,416**
2024				
Business enterprises	14,678,650	–	14,678,650	–
Individuals	11,913,062	–	11,913,062	–
Government and statutory bodies	440,417	–	440,417	–
Licensed banks	–	–	–	47,107,072
Others	2,410,144	696,091	3,106,235	604,321
	29,442,273	696,091	30,138,364	47,711,393

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(t) Investment accounts (cont'd.)

(iii) The maturity profile of investment accounts are as follows:

Group	Unrestricted investment accounts			Restricted investment accounts managed by the Group[1]
	Mudharabah RM'000	Wakalah RM'000	Total RM'000	Mudharabah RM'000
2025				
– Without maturity	**29,201,228**	**–**	**29,201,228**	**–**
– With maturity				
Within six months	**3,664,210**	**–**	**3,664,210**	**13,584,543**
Six months to one year	**1,033,400**	**–**	**1,033,400**	**585,926**
One year to three years	**9,508**	**–**	**9,508**	**10,153,114**
Three years to five years	**1,187**	**–**	**1,187**	**23,985,833**
	4,708,305	**–**	**4,708,305**	**48,309,416**
	33,909,533	**–**	**33,909,533**	**48,309,416**
2024				
– Without maturity	26,242,369	–	26,242,369	–
– With maturity				
Within six months	2,120,437	490,758	2,611,195	10,853,927
Six months to one year	1,067,157	205,333	1,272,490	310,641
One year to three years	10,827	–	10,827	10,606,804
Three years to five years	1,483	–	1,483	25,940,021
	3,199,904	696,091	3,895,995	47,711,393
	29,442,273	696,091	30,138,364	47,711,393

(iv) The allocation of investments asset are as follows:

Group	Unrestricted investment accounts			Restricted investment accounts managed by the Group[1]
	Mudharabah RM'000	Wakalah RM'000	Total RM'000	Mudharabah RM'000
2025				
Retail financing	**32,159,533**	**–**	**32,159,533**	**–**
Non-retail financing	**1,750,000**	**–**	**1,750,000**	**42,217,085**
Corporate Sukuk	**–**	**–**	**–**	**6,092,331**
	33,909,533	**–**	**33,909,533**	**48,309,416**
2024				
Retail financing	27,442,273	696,091	28,138,364	–
Non-retail financing	2,000,000	–	2,000,000	39,155,205
Corporate Sukuk	–	–	–	8,556,188
	29,442,273	696,091	30,138,364	47,711,393

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(t) Investment accounts (cont'd.)

(v) Profit sharing ratio and rate of return are as follows:

Group	Investment account holder ("IAH")	
	Average profit sharing ratio %	Average rate of return %
2025		
Investment accounts of customers		
– Unrestricted investment accounts		
– Mudharabah	**35.49**	**1.53**
Restricted investment accounts managed by the Group[1]	**85.47**	**4.13**
2024		
Investment accounts of customers		
– Unrestricted investment accounts		
– Mudharabah	35.33	1.57
– Wakalah	–	3.92
Restricted investment accounts managed by the Group[1]	83.04	4.27

[1] Included in restricted investment accounts managed by the Group is an arrangement between the Group with the holding company and with the third party where the Group acts as an investment agent to manage and administer the restricted investment accounts amounting to RM48,307.7 million and RM1.7 million (2024: RM47,107.1 million and RM604.3 million) respectively. The amount of restricted investment accounts managed by the Group are disclosed net of any impairment allowances required on the underlying financial assets funded by the restricted investment accounts.

(u) Deposits and placements from financial institutions

Group	2025 RM'000	2024 RM'000
Non-Mudharabah Fund		
Licensed banks	**22,547,337**	22,164,757
Licensed Islamic banks	**99,343**	–
Licensed investment banks	**–**	50,542
Other financial institutions	**710,189**	874,441
	23,356,869	23,089,740

(v) Other liabilities

Group	Note	2025 RM'000	2024 RM'000
Due to holding company		**42,683**	205,583
Other creditors, provisions and accruals		**2,129,371**	6,943,907
Allowances for impairment losses on financing commitments and financial guarantee contracts	(i)	**80,721**	114,387
Lease liabilities	(ii)	**2,492**	667
Structured deposits		**3,062**	2,783
		2,258,329	7,267,327

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(v) Other liabilities (cont'd.)

(i) Movements in the allowances for impairment losses on financing commitments and financial guarantee contracts are as follows:

Group	Stage 1 12-month ECL RM'000	Stage 2 Lifetime ECL not credit impaired RM'000	Stage 3 Lifetime ECL credit impaired RM'000	Total RM'000
As at 31 December 2025				
At 1 January 2025	**47,705**	**10,648**	**56,034**	**114,387**
Transferred to Stage 1	**1,500**	**(1,500)**	**–**	**–**
Transferred to Stage 2	**(5,580)**	**5,904**	**(324)**	**–**
Transferred to Stage 3	**–**	**(210)**	**210**	**–**
Net remeasurement of allowances	**(1,925)**	**(1,036)**	**17,120**	**14,159**
New credit exposures originated or purchased	**28,637**	**7,699**	**–**	**36,336**
Credit exposures derecognised	**(21,889)**	**(6,611)**	**(53,686)**	**(82,186)**
Changes in models/risk parameters	**(1,215)**	**(99)**	**–**	**(1,314)**
Exchange differences	**(651)**	**(10)**	**–**	**(661)**
At 31 December 2025	**46,582**	**14,785**	**19,354**	**80,721**
As at 31 December 2024				
At 1 January 2024	29,713	8,728	68,732	107,173
Transferred to Stage 1	520	(520)	–	–
Transferred to Stage 2	(498)	498	–	–
Transferred to Stage 3	–	(3)	3	–
Net remeasurement of allowances	6,216	1,635	53,187	61,038
New credit exposures originated or purchased	32,579	7,131	–	39,710
Credit exposures derecognised	(20,697)	(6,808)	(65,886)	(93,391)
Changes in models/risk parameters	(1)	–	–	(1)
Exchange differences	(127)	(13)	(2)	(142)
At 31 December 2024	47,705	10,648	56,034	114,387

(ii) The movements in lease liabilities are as follows:

Group	2025 RM'000	2024 RM'000
At 1 January	**667**	3,539
New lease contracts	**3,592**	–
Termination	**(119)**	–
Finance cost on lease liabilities	**125**	89
Lease obligation reduction	**(31)**	(2,930)
Exchange differences	**(1,742)**	(31)
At 31 December	**2,492**	667

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(w) Provision for taxation and zakat

Group	2025 RM'000	2024 RM'000
Taxation	**23,378**	17,525
Zakat	**68,966**	57,445
	92,344	74,970

(x) Term funding

Group	2025 RM'000	2024 RM'000
Unsecured term funding:		
(i) Commercial Papers		
– Less than one year	**7,472,452**	6,919,678
(ii) Medium Term Notes		
– More than one year	**2,003,796**	2,003,796
(iii) Term funding		
– More than one year[1]	**1,099,696**	1,066,631
Total term funding	**10,575,944**	9,990,105

[1] Term funding relates to amounts received by the Group under government financing scheme as part of the government support measures in response to COVID-19 pandemic for the purpose of SME financing at a below market rate with a six-year maturity to be repaid on 17 June 2026. The financing under the government scheme is for financing at concession rates to SMEs and for COVID-19 related relief measures.

The movements in the term funding are as follows:

Group	2025 RM'000	2024 RM'000
At 1 January	**9,990,105**	10,932,227
Drawdown/(redemption), net	**550,000**	(1,000,000)
Dividend paid for term funding	**(359,430)**	(366,280)
Non-cash changes:		
Finance cost on term funding	**395,269**	424,158
At 31 December	**10,575,944**	9,990,105

The following are the changes in the term funding that include the commercial papers/medium term notes/sukuk issued/redeemed by the Group during the financial year ended 31 December 2025:

Issuance of Islamic Commercial Papers ("ICP") by Maybank Islamic Berhad

The aggregate nominal value of the commercial papers issued by Maybank Islamic Berhad and outstanding as at 31 December 2025 are as follows:

Currency	Description	Aggregated Nominal Value (RM' million)
RM	Zero Profit ICP[2]	7,550.0

[2] The ICP is fully subscribed by the Bank.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(y) Subordinated sukuk

Group	Note	2025 RM'000	2024 RM'000
RM1,000 million Islamic subordinated Sukuk Murabahah due in 2031	(i)	**1,011,044**	1,011,044
RM1,000 million Islamic subordinated Sukuk Murabahah due in 2034	(ii)	**1,009,677**	1,009,566
RM1,000 million Islamic subordinated Sukuk Murabahah due in 2035	(iii)	**1,003,883**	–
		3,024,604	2,020,610

Details of the issued subordinated sukuk are as follows:

Note	Description/nominal value	Issue date	First call date	Maturity date	Profit rate (% p.a.)	Nominal value (RM' million)
	Maybank Islamic Berhad					
	RM10.0 billion Subordinated Sukuk Murabahah Programme					
(i)	Subordinated Sukuk Murabahah[1,2]	15-Feb-21	16-Feb-26	14-Feb-31	2.90	1,000.0
(ii)	Subordinated Sukuk Murabahah[1,2]	5-Apr-24	5-Apr-29	5-Apr-34	4.06	1,000.0
(iii)	Subordinated Sukuk Murabahah[1,2]	22-May-25	22-May-30	22-May-35	3.73	1,000.0

[1] The subsidiary may, subject to the prior consent of BNM, redeem these subordinated sukuk, in whole or in part, on the first call date and on each semi-annual profit payment date thereafter.
[2] These subordinated sukuk are fully subscribed by the Bank.

Group	2025 RM'000	2024 RM'000
At 1 January	**2,020,610**	2,021,893
Issuance during the financial year	**1,000,000**	1,000,000
Redemption during the financial year	**–**	(1,000,000)
Profit payment	**(88,497)**	(72,219)
Non-cash changes:		
Finance cost on subordinated sukuk	**92,491**	70,936
At 31 December	**3,024,604**	2,020,610

(z) Capital securities

Description	Issue date	First call date	Maturity date	2025 RM'000	2024 RM'000
Maybank Islamic Berhad					
RM10.0 billion Additional Tier 1 Sukuk Wakalah Programme					
RM1,000.0 million 4.76% Additional Tier 1 Sukuk Wakalah[1,2]	14-Dec-22	14-Dec-27	Perpetual	**1,002,217**	1,002,087

[1] The subsidiary, may redeem the Additional Tier 1 Sukuk Wakalah, in whole or in part, on the first call date and on every periodic distribution date thereafter.
[2] The Additional Tier 1 Sukuk Wakalah are fully subscribed by the Bank.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(aa) Income derived from investment of depositors' funds

Group	2025 RM'000	2024 RM'000
Income from investment of:		
(i) General investment deposits	**9,500,109**	9,064,971
(ii) Other deposits	**4,283,224**	4,046,801
	13,783,333	13,111,772

(i) Income derived from investment of general investment deposits:

Group	2025 RM'000	2024 RM'000
Finance income and hibah:		
Financing and advances	**7,122,797**	6,832,159
Financial assets purchased under resale agreements	**39,425**	43,869
Financial investments at FVOCI	**478,695**	585,161
Financial investments at amortised cost	**350,655**	323,383
Financial investments at FVTPL	**18,080**	20,001
Money at call and deposits and placements with financial institutions	**486,587**	286,456
	8,496,239	8,091,029
Amortisation of premiums, net	**(50,158)**	(36,768)
Total finance income and hibah	**8,446,081**	8,054,261
Other operating income:		
Fee income	**467,003**	443,778
Gain on disposal of financial investments at FVTPL	**23,567**	18,309
Gain on disposal of financial investments at FVOCI	**295,115**	317,267
Unrealised gain/(loss) on revaluation of:		
– Financial investments at FVTPL	**9,281**	6,416
– Derivatives	**(3,277)**	(1,708)
Foreign exchange gain, net	**248,963**	223,097
Others	**13,376**	3,551
Total other operating income	**1,054,028**	1,010,710
Total	**9,500,109**	9,064,971

Included in finance income are income on impaired assets amounting to RM85.3 million (2024: RM73.4 million).

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(aa) Income derived from investment of depositors' funds (cont'd.)

(ii) Income derived from investment of other deposits:

Group	2025 RM'000	2024 RM'000
Finance income and hibah:		
Financing and advances	**3,211,386**	3,050,026
Financial assets purchased under resale agreements	**17,775**	19,584
Financial investments at FVOCI	**215,824**	261,229
Financial investments at amortised cost	**158,096**	144,365
Financial investments at FVTPL	**8,152**	8,929
Money at call and deposits and placements with financial institutions	**219,383**	127,880
	3,830,616	3,612,013
Amortisation of premiums, net	**(22,614)**	(16,414)
Total finance income and hibah	**3,808,002**	3,595,599
Other operating income:		
Fee income	**210,553**	198,113
Gain on disposal of financial investments at FVTPL	**10,626**	8,174
Gain on disposal of financial investments at FVOCI	**133,056**	141,635
Unrealised gain/(loss) on revaluation of:		
– Financial investments at FVTPL	**4,185**	2,864
– Derivatives	**(1,477)**	(763)
Foreign exchange gain, net	**112,248**	99,595
Others	**6,031**	1,584
Total other operating income	**475,222**	451,202
Total	**4,283,224**	4,046,801

Included in finance income are income on impaired assets amounting to RM38.4 million (2024: RM32.8 million).

(ab) Income derived from investment of investment account funds

Group	2025 RM'000	2024 RM'000
Finance income and hibah:		
Financing and advances	**1,460,338**	1,326,427
Other operating income:		
Fee income	**2,925**	1,148
Total	**1,463,263**	1,327,575

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(ac) Income derived from investment of Islamic Banking Funds

Group	2025 RM'000	2024 RM'000
Finance income and hibah:		
Financing and advances	**617,944**	530,717
Financial assets purchased under resale agreements	**3,420**	3,408
Financial investments at FVOCI	**41,530**	45,455
Financial investments at amortised cost	**30,421**	25,120
Financial investments at FVTPL	**1,569**	1,554
Money at call and deposits and placements with financial institutions	**42,214**	22,252
	737,098	628,506
Amortisation of premiums, net	**(4,352)**	(2,856)
Total finance income and hibah	**732,746**	625,650
Other operating income:		
Fee income	**102,837**	72,854
Gain on disposal of financial investments at FVTPL	**5,400**	3,922
Gain on disposal of financial investments at FVOCI	**25,603**	24,645
Unrealised gain/(loss) on revaluation of:		
– Financial investments at FVTPL	**805**	498
– Derivatives	**(284)**	(133)
Foreign exchange gain, net	**21,353**	17,193
Others	**1,161**	276
Total other operating income	**156,875**	119,255
Total	**889,621**	744,905

Included in finance income are income on impaired assets amounting to RM7.4 million (2024: RM5.7 million).

(ad) Allowances for impairment losses on financing and advances, net

Group	2025 RM'000	2024 RM'000
Stage 1 – 12-month ECL, net	**111,939**	(75,599)
Stage 2 – Lifetime ECL not credit impaired, net	**35,125**	493,930
Stage 3 – Lifetime ECL credit impaired, net	**947,731**	858,972
Bad debts and financing:		
– Written off	**206,252**	27,508
– Recovered	**(199,711)**	(192,616)
Allowances for impairment losses on other debts	**569**	389
	1,101,905	1,112,584

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(ae) Allowances for impairment losses on financial investments, net

Group	2025 RM'000	2024 RM'000
Financial investments at fair value through other comprehensive income		
Stage 1 – 12-month ECL, net	**6,948**	(282)
Financial investments at amortised cost		
Stage 1 – 12-month ECL, net	**9,355**	444
Stage 2 – Lifetime ECL not credit impaired, net	**47,846**	4,100
Stage 3 – Lifetime ECL credit impaired, net	**194**	(51)
	57,395	4,493
	64,343	4,211

(af) Allowances for impairment losses on other assets, net

Group	2025 RM'000	2024 RM'000
Other financial assets		
Cash and short-term funds		
Stage 1 – 12-month ECL, net	**(945)**	1,836
Deposits and placements with financial institutions		
Stage 1 – 12-month ECL, net	**(27)**	511
Financial assets purchased under resale agreements		
Stage 1 – 12-month ECL, net	**1,003**	587
	31	2.934
Other non-financial assets	**2,128**	2,765
	2,159	5,699

(ag) Profit distributed to depositors

Group	2025 RM'000	2024 RM'000
Deposits from customers:		
– Non-Mudharabah Fund	**6,248,968**	5,876,224
Deposits and placements from financial institutions:		
– Non-Mudharabah Fund	**831,137**	782,784
Structured deposits	**131**	352
	7,080,236	6,659,360

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(ah) Overhead expenses

Group	2025 RM'000	2024 RM'000
Personnel expenses:		
– Salaries, allowances and bonuses	**81,802**	51,843
– Social security cost	**400**	251
– Retirement cost	**12,649**	7,697
– ESGP expenses	**5,674**	2,701
– Other staff related expenses	**9,231**	6,770
	109,756	69,262
Establishment costs:		
– Depreciation of property, plant and equipment (Note 63(p))	**91**	116
– Depreciation of right-of-use assets (Note 63(q))	**2,351**	3,154
– Information technology expenses	**6,094**	8,093
– Finance cost on lease liabilities	**980**	89
– Others	**(520)**	156
	8,996	11,608
Marketing expenses:		
– Advertisement and publicity	**14,457**	14,153
– Others	**1,750**	992
	16,207	15,145
Administration and general expenses:		
– Fees and brokerage	**142,341**	89,328
– Administrative expenses	**6,285**	3,927
– General expenses	**61,896**	74,800
	210,522	168,055
Shared service cost paid/payable to Maybank and related company	**2,654,745**	2,515,705
Total	**3,000,226**	2,779,775
Included in overhead expenses are:		
Shariah Committee members' fees and remuneration	**1,040**	1,091

(ai) Taxation

Group	2025 RM'000	2024 RM'000
Tax expense for the financial year:		
Malaysian income tax	**1,046,313**	972,778
(Over)/under provision in respect of prior year:		
Malaysian income tax	**(4,592)**	3,107
	1,041,721	975,885
Deferred tax (Note 63(r)):		
Relating to origination and reversal of temporary differences	**(69,988)**	(53,809)
	971,733	922,076

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(aj) Commitments and contingencies

In the normal course of business, the Group makes various commitments and incurs certain contingent liabilities with legal recourse to their customers. No material losses are anticipated as a result of these transactions.

The risk-weighted exposures of the Group as at 31 December are as follows:

	2025			2024		
Group	**Full Commitment RM'000**	**Credit Equivalent Amount* RM'000**	**Risk-Weighted Amount* RM'000**	**Full Commitment RM'000**	**Credit Equivalent Amount* RM'000**	**Risk-Weighted Amount* RM'000**
Contingent liabilities						
Direct credit substitutes	**2,744,636**	**2,639,019**	**1,362,286**	3,262,747	3,151,618	2,614,932
Certain transaction-related contingent items	**5,322,497**	**2,649,055**	**1,491,452**	4,653,620	2,311,067	1,333,482
Short-term self-liquidating trade-related contingencies	**457,506**	**92,499**	**31,115**	973,572	196,112	46,295
	8,524,639	**5,380,573**	**2,884,853**	8,889,939	5,658,797	3,994,709
Commitments						
Irrevocable commitments to extend credit:						
– Maturity within one year	**48,421,469**	**2,739,529**	**490,930**	47,753,997	2,336,794	443,056
– Maturity exceeding one year	**17,965,126**	**33,690,777**	**12,832,567**	17,237,737	34,411,187	10,931,161
	66,386,595	**36,430,306**	**13,323,497**	64,991,734	36,747,981	11,374,217
Miscellaneous commitments and contingencies	**153,205**	**1,996**	**359**	168,700	–	–
Total credit-related commitments and contingencies	**75,064,439**	**41,812,875**	**16,208,709**	74,050,373	42,406,778	15,368,926
Derivative financial instruments						
Foreign exchange related contracts:						
– Less than one year	**65,050,010**	**1,014,168**	**283,545**	37,388,263	583,636	156,922
– One year to less than five years	**4,247,484**	**306,344**	**128,683**	3,664,275	272,650	101,308
– Five years and above	**–**	**–**	**–**	432,006	36,880	10,737
	69,297,494	**1,320,512**	**412,228**	41,484,544	893,166	268,967
Profit rate related contracts:						
– One year to less than five years	**1,549,023**	**20,860**	**7,143**	340,649	16,921	4,499
– Five years and above	**220,000**	**13,195**	**4,844**	220,000	14,346	5,025
	1,769,023	**34,055**	**11,987**	560,649	31,267	9,524
Total treasury-related commitments and contingencies	**71,066,517**	**1,354,567**	**424,215**	42,045,193	924,433	278,491
Total commitments and contingencies	**146,130,956**	**43,167,442**	**16,632,924**	116,095,566	43,331,211	15,647,417

* The credit equivalent amount and risk-weighted amount are arrived at using the credit conversion factors and risk-weights respectively as specified by Bank Negara Malaysia for regulatory capital adequacy purposes.

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(ak) Capital adequacy

The capital adequacy ratios of the IBS operations are as follows:

Group	2025	2024
CET1 Capital Ratio	**14.431%**	13.458%
Tier 1 Capital Ratio	**15.257%**	14.333%
Total Capital Ratio	**18.260%**	16.610%

Components of capital:

Group	2025 RM'000	2024 RM'000
CET1 Capital		
Share capital/Islamic Banking Fund	**14,688,443**	12,579,879
Retained profits	**3,014,818**	2,922,948
Other reserves	**737,914**	927,326
CET1 Capital before regulatory adjustments	**18,441,175**	16,430,153
Less: Regulatory adjustment applied in CET1 Capital	**(968,732)**	(1,039,350)
Total CET1 Capital	**17,472,443**	15,390,803
Additional Tier 1 Capital		
Capital securities	**1,000,000**	1,000,000
Total Tier 1 Capital	**18,472,443**	16,390,803
Tier 2 Capital		
Subordinated sukuk	**3,000,000**	2,000,000
General provisions[1]	**25,293**	21,166
Surplus of eligible provision over expected loss	**610,934**	582,451
Total Tier 2 Capital	**3,636,227**	2,603,617
Total Capital	**22,108,670**	18,994,420

[1] Refers to loss allowance measured at an amount equal to 12-month and lifetime expected credit losses and regulatory reserve, to the extent they are ascribed to non-credit impaired exposures, determined under Standardised Approach for credit risk.

The breakdown of RWA by each major risk categories are as follows:

Group	2025 RM'000	2024 RM'000
Standardised Approach exposure	**3,817,692**	3,443,080
Internal Ratings-Based Approach exposure after scaling factor	**129,431,598**	121,548,907
Total RWA for credit risk	**133,249,290**	124,991,987
Total RWA for credit risk absorbed by Maybank and IAH*	**(27,648,122)**	(24,473,794)
Total RWA for market risk	**1,768,164**	1,150,850
Total RWA for operational risk	**13,706,589**	12,689,460
Total RWA	**121,075,921**	114,358,503

* In accordance with the BNM Investment Account policy, the credit risk weighted assets funded by investment accounts (Unrestricted Investment Account and Restricted Investment Account) are excluded from the calculation of capital adequacy ratio of the Group.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(al) Fair values of financial assets and financial liabilities

The estimated fair values of financial assets and financial liabilities as at the reporting date approximate their carrying amounts as shown in the statement of financial position, except for the following financial assets and liabilities:

Group	Level 1 RM'000	Level 2 RM'000	Level 3 RM'000	Total fair value RM'000	Carrying amount RM'000
2025					
Financial assets					
Financial investments at amortised cost	–	**14,276,879**	**28,622**	**14,305,501**	**14,348,351**
Financing and advances	–	**25,368,170**	**264,272,773**	**289,640,943**	**273,222,495**
Financial liabilities					
Customers' funding:					
– Deposits from customers	–	**245,558,588**	–	**245,558,588**	**245,558,580**
– Investment accounts of customers^	–	**33,909,713**	–	**33,909,713**	**33,909,533**
Deposits and placements from financial institutions	–	**23,401,702**	–	**23,401,702**	**23,356,869**
Term funding	–	**10,606,884**	–	**10,606,884**	**10,575,944**
Subordinated sukuk	–	**3,037,534**	–	**3,037,534**	**3,024,604**
Capital securities	–	**1,021,567**	–	**1,021,567**	**1,002,217**
2024					
Financial assets					
Financial investments at amortised cost	–	12,466,382	27,050	12,493,432	12,788,932
Financing and advances	–	19,980,894	243,936,582	263,917,476	249,941,366
Financial liabilities					
Customers' funding:					
– Deposits from customers	–	234,149,828	–	234,149,828	234,149,822
– Investment accounts of customers^	–	30,138,338	–	30,138,338	30,138,364
Deposits and placements from financial institutions	–	23,076,988	–	23,076,988	23,089,740
Term funding	–	10,014,185	–	10,014,185	9,990,105
Subordinated sukuk	–	2,001,730	–	2,001,730	2,020,610
Capital securities	–	1,014,427	–	1,014,427	1,002,087

^ Investment accounts of customers are used to fund financing and advances as disclosed in Note 63(l).

The methods and assumptions used to estimate the fair values of the financial assets and financial liabilities of IBS operations are as disclosed in Note 55.

(am) Allocation of income

The policy of allocation of income to the various types of deposits and investments is subject to the "Framework of Rate of Return" issued by BNM in October 2001 and has been updated on 13 March 2013. The objective is to set the minimum standard and terms of reference for the Islamic banking institutions in calculating and deriving the rate of return for the depositors.

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(an) Shariah disclosures

(i) Shariah Committee and governance

The operations of Islamic businesses of the Group are governed by Sections 28 and 29 of the Islamic Financial Services Act 2013 ("IFSA"), which stipulates, that any licensed institution shall at all times ensure that its aims and operations, business, affairs and activities are in compliance with Shariah, and, in accordance with the advice or rulings of Shariah Advisory Council ("SAC"), specifies standards on Shariah matters in respect of the carrying on of its business, affair or activity. Meanwhile, BNM's Shariah Governance Policy Document (BNM/RH/PD 028-100) relates to, among other things, Shariah Committee's objectivity to reinforce sound decision-making process and robustness of internal control functions for effective management of Shariah non-compliance risks.

Based on the above, the duties and responsibilities of the Shariah Committee ("SC") are to advise on the overall operations of the Group's Islamic business in order to ensure compliance with the Shariah requirements.

The roles and responsibilities of SC in monitoring the Group's activities include, but not limited to the following:

(a) To provide a decision or advice to the financial institution on the application of any rulings of the SAC or standards on Shariah matters to its operations, business, affairs and activities;

(b) To provide a decision or advice on matters which require a reference to be made to the SAC;

(c) To provide a decision or advice on the operations, business, affairs and activities of the financial institution which may trigger a Shariah non-compliance event;

(d) To deliberate and affirm a Shariah non-compliance finding by any relevant functions; and

(e) To endorse a rectification measure to address a Shariah non-compliance event.

The SC at the Group level has five members as at 31 December 2025.

Any transaction classified as potential Shariah non-compliant will be escalated to the SC for deliberation and decision whether any Shariah requirements have been breached. Shariah Risk Management will track on the incident and rectification status, and ensure timely reporting to the SC, Board and BNM. For Shariah non-compliant transactions, any related income earned will be purified by channeling the amount to charity or given back to the customer, as determined by the SC.

(ii) Shariah non-compliant events

The nature of transactions deliberated to SC for Shariah non-compliance are as follows:

Group	No. of events	RM'000
2025		
Financing was granted to businesses with mixed Shariah-compliant and non-compliant income streams[1]	**1**	**427**
Improper sequence of the Property Sale Agreement ("PSA") and Property Purchase Agreement ("PPA") for the Bai' Bithaman Ajil ("BBA") contract[1]	**1**	**46**
Subsequent change in business activities for financing granted to a customer resulting in revenue generated from rental of property used for non-halal activities[1]	**1**	**33**
Absence of Commodity Murabahah ("CM") trading execution to disbursement of Share Margin Financing-i facility	**1**	**12**
Al-Ijarah Thumma Al-Bai' ("AITAB") financing was extended to a customer later identified as engaging in Shariah non-compliant activities	**1**	**2**
Certain upfront Late Payment Charges ("LPC") collected for Extensions of Time were not refunded upon early settlement[2]	**1**	**–**
Compounding of monthly profit for Cash Line-i ("CL-i") account	**1**	**–**
	7	**520**
2024		
Islamic Hire Purchase financing facility granted to a customer whose Nature of Business is manufacturing of Halal and non-Halal frozen food product	1	37
Compounding of accrued profit for restructured term financing account[3]	1	–
Imposition of Islamic Interbank Money Market ("IIMM") rate for computation of late payment charges[3]	1	–
	3	37

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(an) Shariah disclosures (cont'd.)

(ii) Shariah non-compliant events (cont'd.)

Apart from the purification of income from Shariah non-compliant events, Maybank Islamic Berhad has instituted several rectification measures relating to systems, processes and procedures to enhance control mechanisms and minimise recurrence of Shariah non-compliant incidents.

The rectification action plans are as follows:

Nature of events	Measures undertaken	Status
Financing granted to businesses with mixed Shariah-compliant and non-compliant income streams[1].	System enhancements on the digital financing platform were completed to strengthen Shariah screening. The review, including termination of affected facilities, has been initiated, and the total income identified for purification has been quantified. Thematic review of customers on the platform is scheduled for Q2 2026.	Review and facility termination are in progress, with completion targeted by Q1 2026. Income identified for purification is pending distribution.
Improper sequence of the PSA and PPA for the BBA contract[1].	Completed Actions Income purification for the affected account has been completed, the conversion to a CM contract is in progress, and the involved solicitor has been suspended. Additional Measures A review of remaining BBA accounts handled by the same solicitor is ongoing to address similar sequencing issues, including the identification of income to be purified, if any.	Purification of income completed. The conversion of existing BBA to CM contract is still pending for the identified account. Further remediation for remaining accounts is in progress.
Subsequent change in business activities for financing granted to a customer which the revenue generated from rental of property used for non-halal activities[1].	Termination of the affected Islamic financing facility and purification of related profit, together with enhancements to the Shariah screening procedure to incorporate annual reviews for non-individual customers. The total income identified for purification has been quantified.	Review and facility termination are in progress, with completion targeted by Q1 2026. Income identified for purification is pending distribution.
Absence of CM trading execution to disbursement of Share Margin Financing-i facility.	Implementation of an enhanced disbursement checklist incorporating CM trading verification prior to disbursement for corporate cases, together with training provided to relevant personnel. The total income identified for purification has been quantified.	Purification of income completed.
AITAB financing granted to customer involved in Shariah non-compliant activity.	Termination of the affected Islamic facility, purification of the related income; and refresher training for all relevant personnel. The total income identified for purification has been quantified.	Purification of income completed.
LPC collected upfront for Extension of Time granted to successful auction bidders not refunded upon early settlement[2].	The refunds were processed and refinement of Standard Operating Procedures ("SOP") is currently in progress.	Refunds have been completed and refinement of the SOP targeted for completion by Q2 2026.
Compounding of monthly, profit for CL-i account	A review has been initiated and early impacts assessed, including the identification of income to be purified, if any, with corrective actions under progress.	Review in progress; corrective actions targeted for completion by Q1 2026.

[1] These events were confirmed as Shariah non-compliant by the Shariah Committee, including cases reassessed following the Shariah Advisory Council's ascertainment received after the reporting date through BNM's letter dated 29 December 2025.

[2] During the financial year ended 31 December 2025, an additional amount of RM4,354 has been refunded to bidders in relation to the SNC event.

[3] These events were identified in 2024 but concluded as Shariah non-compliant by the SC on 15 January 2025.

63. THE OPERATIONS OF ISLAMIC BANKING SCHEME ("IBS") (CONT'D.)

(an) Shariah disclosures (cont'd.)

(iii) Sources and uses of charity funds

Group	2025 RM'000	2024 RM'000
Sources of charity funds		
Shariah non-compliant/prohibited income[4]	**60**	716
Moratorium penalty under BNM First Home Financing Scheme[5]	**143**	83
Total sources of charity funds during the financial year	**203**	799
Uses of charity funds		
Contribution to non-profit organisation	**–**	722
Total uses of charity funds during the financial year	**–**	722
Undistributed charity funds as at 31 December[6]	**203**	77

[4] The Shariah non-compliant/prohibited income was fully disbursed to charity on 12 February 2026, subsequent to the financial year end.

[5] Moratorium penalty imposed on customers on selling of properties within five (5) years under BNM First Home Financing Scheme to be distributed for charitable purposes.

[6] The balance of RM76,832.72 in 2024 was brought forward into 2025.

(iv) Recognition and measurement by main class of Shariah contracts

The recognition and measurement of each main class of Shariah contract are dependent on the nature of the products, either financing or deposit product. The accounting policies for each of these products are disclosed in their respective policies.

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

64. DETAILS OF SUBSIDIARIES, DEEMED CONTROLLED STRUCTURED ENTITIES, ASSOCIATES AND JOINT VENTURE

(a) Details of the subsidiaries are as follows:

Name of Company	Principal Activities	Country of Incorporation/ Principal Place of Business	Share Capital 2025 RM	Share Capital 2024 RM	Effective Interest held by the Group 2025 %	Effective Interest held by the Group 2024 %	Effective Interest held by the Non-Controlling Interest 2025 %	Effective Interest held by the Non-Controlling Interest 2024 %	Total 2025 %	Total 2024 %
Banking										
Maybank Islamic Berhad	Islamic banking	Malaysia	**14,683,443,625**	12,574,879,419	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank International (L) Ltd.	Offshore banking	Malaysia	**3,500,000**[2]	3,500,000[2]	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Philippines, Incorporated[10]	Banking	Philippines	**10,545,500,338**[3]	10,545,500,338[3]	**99.98**	99.98	**0.02**	0.02	**100.00**	100.00
PT Bank Maybank Indonesia Tbk[10]	Banking	Indonesia	**10,213,284,063,018**[1]	10,213,284,063,018[1]	**98.52**[14]	98.52[14]	**1.48**	1.48	**100.00**	100.00
Maybank (Cambodia) Plc.[10]	Banking	Cambodia	**75,000,000**[2]	75,000,000[2]	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Singapore Limited[10]	Banking	Singapore	**2,000,000,100**[4]	2,000,000,100[4]	**100.00**	100.00	**–**	–	**100.00**	100.00
Finance										
PT Maybank Indonesia Finance[10]	Multi-financing	Indonesia	**32,370,000,000**[1]	32,370,000,000[1]	**98.51**[14]	98.51[14]	**1.49**	1.49	**100.00**	100.00
PT Wahana Ottomitra Multiartha Tbk[10]	Multi-financing	Indonesia	**508,338,022,174**[1]	508,338,022,174[1]	**67.54**[14]	67.54[14]	**32.46**	32.46	**100.00**	100.00
Insurance										
Maybank Ageas Holdings Berhad	Investment holding	Malaysia	**660,866,223**	660,866,223	**69.05**	69.05	**30.95**	30.95	**100.00**	100.00
Etiqa Life International (L) Ltd.	Offshore investment-linked business	Malaysia	**3,500,000**[2]	3,500,000[2]	**69.05**	69.05	**30.95**	30.95	**100.00**	100.00
Etiqa General Insurance Berhad	General insurance business	Malaysia	**229,878,927**	229,878,927	**69.05**	69.05	**30.95**	30.95	**100.00**	100.00
Etiqa Family Takaful Berhad	Family takaful and investment-linked businesses	Malaysia	**100,000,000**	100,000,000	**69.05**	69.05	**30.95**	30.95	**100.00**	100.00
Etiqa Offshore Insurance (L) Ltd.	Bureau services	Malaysia	**215,500**[2]	215,500[2]	**69.05**	69.05	**30.95**	30.95	**100.00**	100.00
Etiqa International Holdings Sdn. Bhd.	Investment holding	Malaysia	**485,310,828**	485,310,828	**100.00**	100.00	**–**	–	**100.00**	100.00
Etiqa Life and General Assurance Philippines, Inc.[10]	General insurance and life insurance businesses	Philippines	**1,732,717,867**[3]	1,206,511,152[3]	**95.24**	95.24	**4.76**	4.76	**100.00**	100.00
Etiqa Insurance Pte. Ltd.[10]	General insurance and life insurance businesses	Singapore	**368,000,000**[4]	368,000,000[4]	**69.05**	69.05	**30.95**	30.95	**100.00**	100.00
PT Asuransi Etiqa Internasional Indonesia[10]	General insurance business	Indonesia	**267,429,068,000**[1]	267,429,068,000[1]	**79.87**	79.87	**20.13**	20.13	**100.00**	100.00
Etiqa Life Insurance Berhad	Life insurance and investment-linked businesses	Malaysia	**100,000,000**	100,000,000	**69.05**	69.05	**30.95**	30.95	**100.00**	100.00
Etiqa General Takaful Berhad	General takaful business	Malaysia	**970,000,500**	970,000,500	**69.05**	69.05	**30.95**	30.95	**100.00**	100.00
Etiqa General Insurance (Cambodia) Plc.[10]	General insurance business	Cambodia	**11,000,000**[2]	11,000,000[2]	**100.00**	100.00	**–**	–	**100.00**	100.00
Etiqa Life Insurance (Cambodia) Plc.[10]	Life insurance and investment-linked businesses	Cambodia	**12,000,000**[2]	12,000,000[2]	**100.00**	100.00	**–**	–	**100.00**	100.00
Investment Banking										
Maybank Investment Bank Berhad	Investment banking	Malaysia	**222,785,000**	222,785,000	**100.00**	100.00	**–**	–	**100.00**	100.00
Maysec Sdn. Bhd.	Investment holding	Malaysia	**162,000,000**	162,000,000	**100.00**	100.00	**–**	–	**100.00**	100.00

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

64. DETAILS OF SUBSIDIARIES, DEEMED CONTROLLED STRUCTURED ENTITIES, ASSOCIATES AND JOINT VENTURE (CONT'D.)

(a) Details of the subsidiaries are as follows (cont'd.):

Name of Company	Principal Activities	Country of Incorporation/ Principal Place of Business	Share Capital 2025 RM	Share Capital 2024 RM	Effective Interest held by the Group 2025 %	Effective Interest held by the Group 2024 %	Effective Interest held by the Non-Controlling Interest 2025 %	Effective Interest held by the Non-Controlling Interest 2024 %	Total 2025 %	Total 2024 %
Investment Banking (cont'd.)										
Maybank International Holdings Sdn. Bhd.	Investment holding	Malaysia	**4,333,256,980**	4,333,256,980	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank IBG Holdings Limited[10]	Investment holding	Singapore	**211,114,224[4]**	211,114,224[4]	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Securities Pte. Ltd.[10]	Dealing in securities	Singapore	**75,000,000[4]**	75,000,000[4]	**100.00**	100.00	**–**	–	**100.00**	100.00
PT Maybank Sekuritas Indonesia[10]	Dealing in securities	Indonesia	**589,805,000,000[1]**	589,805,000,000[1]	**99.78**	99.78	**0.22**	0.22	**100.00**	100.00
Maybank Securities (Thailand) Public Company Limited[10]	Dealing in securities	Thailand	**3,377,643,229[7]**	3,377,643,229[7]	**83.50**	83.50	**16.50**	16.50	**100.00**	100.00
Maybank Securities (London) Limited[10]	Dealing in securities	United Kingdom	**600,000[6]**	600,000[6]	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Securities USA Inc.[11]	Dormant	United States of America	**31,054,000[2]**	31,054,000[2]	**100.00**	100.00	**–**	–	**100.00**	100.00
MIB Securities India Private Limited[10]	Dealing in securities	India	**950,000,000[8]**	950,000,000[8]	**100.00**	100.00	**–**	–	**100.00**	100.00
MIB Finance (Hong Kong) Limited[10]	Securities trading	Hong Kong	**5,000,000[5]**	5,000,000[5]	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Research Pte. Ltd.[10]	Provision of research services	Singapore	**300,000[4]**	300,000[4]	**100.00**	100.00	**–**	–	**100.00**	100.00
MIB Securities (Hong Kong) Limited[10]	Dealing in securities	Hong Kong	**310,000,000[5]**	310,000,000[5]	**100.00**	100.00	**–**	–	**100.00**	100.00
MIB Futures (Hong Kong) Limited[10]	Futures contracts broker	Hong Kong	**6,000,000[5]**	6,000,000[5]	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Capital, Inc.[10]	Corporate finance & financial and investment advisory	Philippines	**872,558,000[3]**	872,558,000[3]	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Securities, Inc.[10]	Dealing in securities	Philippines	**404,795,900[3]**	404,795,900[3]	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Securities Limited[10]	Dealing in securities	Vietnam	**2,200,000,000,000[9]**	2,200,000,000,000[9]	**100.00**	100.00	**–**	–	**100.00**	100.00
Asset Management/Trustees/ Custody										
Maybank Asset Management Group Berhad	Investment holding	Malaysia	**262,300,030**	262,300,030	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank (Indonesia) Berhad	Dormant	Malaysia	**2**	2	**100.00**	100.00	**–**	–	**100.00**	100.00
Cekap Mentari Berhad	Investment holding	Malaysia	**6,070,828,970**	6,070,828,970	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank International Trust (Labuan) Berhad	Investment holding	Malaysia	**2,064,861,449**	2,064,861,449	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Offshore Corporate Services (Labuan) Sdn. Bhd.	Investment holding	Malaysia	**7,824,635,855**	7,824,635,855	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Trustees Berhad	Trustee services	Malaysia	**500,000**	500,000	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Private Equity Sdn. Bhd.	Under member's voluntary liquidation	Malaysia	**3,500,000**	3,500,000	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Asset Management Sdn. Bhd.	Fund management	Malaysia	**54,720,003**	47,720,000	**100.00**	100.00	**–**	–	**100.00**	100.00
Philmay Property, Inc.[10]	Property leasing and trading	Philippines	**100,000,000[3]**	100,000,000[3]	**100.00**	100.00	**–**	–	**100.00**	100.00

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

64. DETAILS OF SUBSIDIARIES, DEEMED CONTROLLED STRUCTURED ENTITIES, ASSOCIATES AND JOINT VENTURE (CONT'D.)

(a) Details of the subsidiaries are as follows (cont'd.):

Name of Company	Principal Activities	Country of Incorporation/ Principal Place of Business	Share Capital 2025 RM	Share Capital 2024 RM	Effective Interest held by the Group 2025 %	Effective Interest held by the Group 2024 %	Effective Interest held by the Non-Controlling Interest 2025 %	Effective Interest held by the Non-Controlling Interest 2024 %	Total 2025 %	Total 2024 %
Asset Management/Trustees/ Custody (cont'd.)										
Maybank (Nominees) Sdn. Bhd.	Nominee services	Malaysia	**31,000**	31,000	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Nominees (Tempatan) Sdn. Bhd.	Nominee services	Malaysia	**10,000**	10,000	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Nominees (Asing) Sdn. Bhd.	Nominee services	Malaysia	**10,000**	10,000	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Nominees (Singapore) Private Limited[10]	Nominee services	Singapore	**60,000[4]**	60,000[4]	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Nominees (Hong Kong) Limited[10]	Nominee services	Hong Kong	**3[5]**	3[5]	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Securities Nominees (Tempatan) Sdn. Bhd.	Nominee services	Malaysia	**10,000**	10,000	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Securities Nominees (Asing) Sdn. Bhd.	Nominee services	Malaysia	**10,000**	10,000	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Allied Berhad	Investment holding	Malaysia	**753,908,638**	753,908,638	**100.00**	100.00	**–**	–	**100.00**	100.00
Dourado Tora Holdings Sdn. Bhd.	Investment holding	Malaysia	**81,196,888**	81,196,888	**100.00**	100.00	**–**	–	**100.00**	100.00
Aurea Lakra Holdings Sdn. Bhd.	Property investment	Malaysia	**1,000,000**	1,000,000	**100.00**	100.00	**–**	–	**100.00**	100.00
KBB Properties Sdn. Bhd.	Ceased operations	Malaysia	**410,000**	410,000	**100.00**	100.00	**–**	–	**100.00**	100.00
Double Care Sdn. Bhd.[13]	Under member's voluntary liquidation	Malaysia	**35,000,000**	35,000,000	**69.05**	69.05	**30.95**	**30.95**	**100.00**	100.00
Sorak Financial Holdings Pte. Ltd.[10]	Investment holding	Singapore	**911,337,499[4]**	911,337,499[4]	**100.00**	100.00	**–**	–	**100.00**	100.00
Myfin Berhad	Ceased operations	Malaysia	**73,755**	73,755	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Alliances Sdn. Bhd.	Investment holding	Malaysia	**90,181**	204,070,181	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Ventures Sdn. Bhd.	Business/Economic consultancy and advisory	Malaysia	**742,011**	742,011	**100.00**	100.00	**–**	–	**100.00**	100.00
MIB Strategic Pte. Ltd.[10]	Investment holding	Singapore	**2[4]**	2[4]	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Properties Pte. Ltd.[10]	Property investment	Singapore	**8,000,000[4]**	8,000,000[4]	**100.00**	100.00	**–**	–	**100.00**	100.00
Strategic Acquisitions Pte. Ltd.[10]	Under member's voluntary liquidation	Singapore	**94,556[4]**	94,556[4]	**100.00**	100.00	**–**	–	**100.00**	100.00
MIB Investment Limited[10]	Investment holding	Hong Kong	**415,000,000[5]**	415,000,000[5]	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Securities Nominees Pte. Ltd.[10]	Acting as nominee for beneficiary shareholders	Singapore	**10,000[4]**	10,000[4]	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Asset Management Singapore Pte. Ltd.[10]	Fund management	Singapore	**9,768,512[4]**	9,768,512[4]	**100.00**	100.00	**–**	–	**100.00**	100.00
MIB Nominees (Hong Kong) Limited[10]	Nominee services	Hong Kong	**2[5]**	2[5]	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Kim Eng Properties USA Inc.[12]	Property investment	United States of America	**3,000,000[2]**	3,000,000[2]	**100.00**	100.00	**–**	–	**100.00**	100.00
PT Prosperindo[11]	Investment holding	Indonesia	**275,730,000,000[1]**	275,730,000,000[1]	**100.00**	100.00	**–**	–	**100.00**	100.00
Maybank Shared Services Sdn. Bhd.	IT shared services	Malaysia	**5,000,000**	5,000,000	**100.00**	100.00	**–**	–	**100.00**	100.00
PT Maybank Asset Management[10]	Fund management	Indonesia	**218,613,000,000[1]**	193,902,032,258[1]	**99.00**	99.00	**1.00**	**1.00**	**100.00**	100.00
Maybank Islamic Asset Management Sdn. Bhd.	Fund management	Malaysia	**3,000,000**	3,000,000	**100.00**	100.00	**–**	–	**100.00**	100.00

64. DETAILS OF SUBSIDIARIES, DEEMED CONTROLLED STRUCTURED ENTITIES, ASSOCIATES AND JOINT VENTURE (CONT'D.)

(a) Details of the subsidiaries are as follows (cont'd.):

Name of Company	Principal Activities	Country of Incorporation/ Principal Place of Business	Share Capital 2025 RM	Share Capital 2024 RM	Effective Interest held by the Group 2025 %	Effective Interest held by the Group 2024 %	Effective Interest held by the Non-Controlling Interest 2025 %	Effective Interest held by the Non-Controlling Interest 2024 %	Total 2025 %	Total 2024 %
Asset Management/Trustees/ Custody (cont'd.)										
MBB Labs Private Limited[10]	IT development services	India	**60,000,000[8]**	60,000,000[8]	**100.00**	100.00	**–**	–	**100.00**	100.00
Amanah Mutual Berhad	Fund management	Malaysia	**1,000,000**	1,000,000	**100.00**	100.00	**–**	–	**100.00**	100.00
Etiqa Digital Solutions Sdn. Bhd.	Other IT, business management consultancy/ support services	Malaysia	**2,500,000**	2,500,000	**100.00**	100.00	**–**	–	**100.00**	100.00
Philmay Holding, Inc.[10]	Investment holding	Philippines	**60,000,000[3]**	60,000,000[3]	**100.00**	100.00	**–**	–	**100.00**	100.00

(b) Details of the deemed controlled structured entities are as follows:

Name of Company	Principal Activities	Country of Incorporation/Principal Place of Business	Effective Interest 2025 %	Effective Interest 2024 %
Held by the Bank				
Maybank Money Market Fund[10] (formerly known as Maybank Enhanced Income Fund)	Equity Fund	Singapore	**–**	42
Maybank All-Weather Quantitative Fund[10]	Equity Fund	Singapore	**–**	37
Maybank Global Strategic Growth-I Fund[10]	Equity Fund	Malaysia	**68**	99
Held through subsidiaries				
Silver Fern Covered Bonds Pte. Ltd.	Covered Bond Guarantor	Singapore	**100**	100

(c) Details of the associates are as follows:

Name of Company	Principal Activities	Country of Incorporation/Principal Place of Business	Effective Interest 2025 %	Effective Interest 2024 %
Held by the Bank				
Uzbek Leasing International A.O.[11]	Leasing	Uzbekistan	**10**	10
An Binh Commercial Joint Stock Bank[11]	Banking	Vietnam	**16**	16
Held through subsidiaries				
MCB Bank Limited[11]	Banking	Pakistan	**19**	19
Tullet Prebon (Philippines), Inc.[11]	Broker between participants in forex and fixed income	Philippines	**49**	49
A. V. Ocampo – ATR KimEng Insurance Broker, Inc.[10]	Insurance brokerage	Philippines	**23**	23

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

64. DETAILS OF SUBSIDIARIES, DEEMED CONTROLLED STRUCTURED ENTITIES, ASSOCIATES AND JOINT VENTURE (CONT'D.)

(d) Details of the joint venture are as follows:

Name of Company	Principal Activities	Country of Incorporation/Principal Place of Business	Effective Interest 2025 %	Effective Interest 2024 %
Anfaal Capital[11]	Under member's voluntary liquidation	Kingdom of Saudi Arabia	**35**	35

Note:

1 Indonesian Rupiah (IDR)

2 United States Dollars (USD)

3 Philippine Peso (Peso)

4 Singapore Dollars (SGD)

5 Hong Kong Dollars (HKD)

6 Great Britain Pound (GBP)

7 Thailand Baht (THB)

8 Indian Rupee (INR)

9 Vietnamese Dong (VND)

10 Audited by other member firms of Ernst & Young Global

11 Audited by firms of auditors other than Ernst & Young Global

12 No audit required as allowed by the laws of the respective country of incorporation

13 No audit required as the entity is under members' voluntary liquidation

14 In the financial year ended 31 December 2013, the Group completed the disposal of 18.3% equity interest in PT Bank Maybank Indonesia Tbk ("BMI") to a third party investor. The disposal was undertaken to ensure compliance with the Otoritas Jasa Keuangan ("OJK")'s mandatory sell down requirement under the OJK Regulation No. IX.H.1. The Group had also entered into a commercial arrangement where the economic exposure resulting from the disposal was retained. During the financial year ended 31 December 2023, the Group terminated the previous commercial arrangement and completed a new commercial arrangement to retain the same economic exposure of 18.3% equity interest. Hence, there is no change in the Group's effective interest in BMI.

65. CURRENCY

The financial statements are presented in Ringgit Malaysia ("RM"), which is also the Bank's functional currency and rounded to the nearest thousand (RM'000) unless otherwise stated.

66. DIRECTORS OF SUBSIDIARIES OF THE GROUP

The following is the list of directors who served on the Boards of the subsidiaries of the Group since the beginning of the current financial year to the date of the directors' report:

Name of Company	Name of Directors
Maybank Islamic Berhad	Dato' Zulkiflee Abbas bin Abdul Hamid Professor Dato' Dr. Aznan bin Hasan Shariffuddin bin Khalid Natasha binti Kamaluddin Datuk Zainal Izlan bin Zainal Abidin
Maybank International (L) Ltd.	Nor Rashidi bin Mohammad Malique Firdauz bin Ahmad Sidique (resigned on 30 September 2025)
Maybank Philippines, Incorporated	Anthony Brent Elam Jesus Roberto S. Reyes Simoun S. Ung Dr. Siew Chan Cheong Maria Victoria Español Chiam Sou Hong (appointed on 4 April 2025) Felino James Marcelo (appointed on 4 April 2025) Renato Tinio De Guzman (resigned on 5 April 2025)
PT Bank Maybank Indonesia Tbk	Dato' Sri Khairussaleh bin Ramli Edwin Gerungan Datuk Lim Hong Tat Dr. Hendar Putut Eko Bayuseno Dato' Zulkiflee Abbas bin Abdul Hamid Marina R Tusin Daniel James Rompas Achjar Iljas (resigned on 11 April 2025)
Maybank (Cambodia) Plc.	Shariffuddin bin Khalid Khieu Mealy Shirley Goh Syed Ahmad Taufik Albar Datuk Lim Hong Tat
Maybank Singapore Limited	Datuk Yee Yang Chien Dato' Sri Khairussaleh bin Ramli Anthony Brent Elam Spencer Lee Tien Chye Wong Heng Ning Kevin Lee Yong Guan Renato Tinio De Guzman Sia Swie Kean, Stanley (appointed on 1 February 2026)
PT Maybank Indonesia Finance	Budhi Dyah Sitawati Herwan Ng Bianto Surodjo (appointed on 14 March 2025) Steffano Ridwan (resigned on 14 March 2025)
PT Wahana Ottomitra Multiartha Tbk	Sarastri Baskoro Rallyati Arianto Wibowo, S.E. Thilagavathy Nadason Taufik Aulia Myrnie Zachraini Tamin (resigned on 30 September 2025)

Name of Company	Name of Directors
Maybank Ageas Holdings Berhad	Fauziah binti Hisham Datuk Mohd Najib bin Abdullah Che Zakiah binti Che Din Glenn John Williams (appointed on 1 July 2025) Ajay Kumar Garg (appointed on 1 July 2025) Shafiq bin Abdul Jabbar (appointed on 1 January 2026) Mohd Din bin Merican (appointed on 1 January 2026) Gary Lee Crist (resigned on 30 June 2025) Emmanuel Gerard C. Van Grimbergen (resigned on 30 June 2025) Dato' Majid bin Mohamad (resigned on 30 November 2025)
Etiqa Life International (L) Ltd.	Wong Shu Yoon Johan Lam Chung Yin Dato' Majid bin Mohamad (resigned on 31 December 2025)
Etiqa General Insurance Berhad	Mohamad Shukor bin Ibrahim Tan Kwang Kherng Siti Nita Zuhra binti Mohd Nazri Thomas Frank Caris Alias Reynders Mohd Din bin Merican (appointed on 1 January 2026) Datuk Mohd Najib bin Abdullah (resigned on 31 December 2025)
Etiqa Family Takaful Berhad	Wong Pakshong Kat Jeong Colin Stewart Ajay Kumar Garg Datuk Mohd Najib bin Abdullah (appointed on 1 January 2026) Hasnah binti Omar (appointed on 1 January 2026) Mohamad Yasin bin Abdullah (appointed on 1 January 2026) Professor Dr. Azman bin Mohd Noor (resigned on 14 June 2025) Malique Firdauz bin Ahmad Sidique (appointed on 2 July 2025 and resigned on 30 September 2025) Dato' Majid bin Mohamad (resigned on 31 December 2025) Mohd Din bin Merican (resigned on 31 December 2025)
Etiqa Offshore Insurance (L) Ltd.	Wong Shu Yoon Johan Lam Chung Yin Dato' Majid bin Mohamad (resigned on 31 December 2025)
Etiqa International Holdings Sdn. Bhd.	Fauziah binti Hisham Mohd Din Merican Che Zakiah binti Che Din Shafiq bin Abdul Jabbar (appointed on 1 November 2025)

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

66. DIRECTORS OF SUBSIDIARIES OF THE GROUP (CONT'D.)

The following is the list of directors who served on the Boards of the subsidiaries of the Group since the beginning of the current financial year to the date of the directors' report (cont'd.):

Name of Company	Name of Directors
Etiqa Life and General Assurance Philippines, Inc.	Mohd Din bin Merican Loh Lee Soon Manuel Nava Tordesillas Eulogio A. Mendoza Ricardo Nicanor N. Jacinto Anthony Lou M. Bernabe Nora Junita binti Mohd Hussaini (appointed on 9 July 2025) Helen T. De Guzman (resigned on 8 July 2025)
Etiqa Insurance Pte. Ltd.	Fauziah binti Hisham Francis Tan Wee Ming Kamaludin bin Ahmad Filip Andre L. Coremans Loo Pauy Lean Hitesh Motichand Shah
PT Asuransi Etiqa Internasional Indonesia	Kamaludin bin Ahmad Riduan Simanjuntak Didit Mehta Pariadi Salomo Rahmatuah Damanik Tanto Sudiro (appointed on 15 September 2025) Chris Eng Poh Yoon (resigned on 19 December 2025)
Etiqa Life Insurance Berhad	Datuk Mohd Najib bin Abdullah Frank J.G. Van Kempen Wong Pakshong Kat Jeong Colin Stewart Dr. Ariffin bin Yahaya Dr. Siew Chan Cheong
Etiqa General Takaful Berhad	Wong Shu Yoon Dominik Jacqueline A. Smeets Nora Junita binti Mohd Hussaini Mohd Amri bin Mohd Sofian (appointed on 1 December 2025) Mohd Din bin Merican (appointed on 1 January 2026) Dato' Muzaffar bin Hisham (resigned on 17 May 2025) Dato' Majid bin Mohamad (resigned on 31 December 2025)
Etiqa General Insurance (Cambodia) Plc.	Datuk Mohd Najib bin Abdullah Loh Lee Soon Kirupalani Chelliah Kamaludin bin Ahmad Nora Junita binti Mohd Hussaini (appointed on 10 February 2026) John Tan Kwang Kherng (appointed on 10 February 2026) Mohd Din bin Merican (resigned on 10 February 2026) Eng Poh Yoon (resigned on 10 February 2026)
Etiqa Life Insurance (Cambodia) Plc.	Wong Pakshong Kat Jeong Colin Stewart Siti Nita Zuhra binti Mohd Nazri Foo Wei Hoong Dato' Mohd Hanif bin Suadi Veejay Madhavan Choo Sin Fook

Name of Company	Name of Directors
Maybank Investment Bank Berhad	Dr. Hasnita binti Dato' Hashim Che Zakiah binti Che Din Dato' Sri Sharifah Sofianny binti Syed Hussain Dato' John Chong Eng Chuan Dato' Philip Tan Puay Koon Alina Chiew Bee Geok (appointed on 15 January 2026) Goh Ching Yin (resigned on 25 July 2025) Dato' Abdul Hamid bin Sheikh Mohamed (resigned on 26 October 2025)
Maysec Sdn. Bhd.	Ezrina binti Mahadzir Allen Tan Hock Leong
Maybank International Holdings Sdn. Bhd.	Dr. Hasnita binti Dato' Hashim Che Zakiah binti Che Din Dato' Sri Sharifah Sofianny binti Syed Hussain Dr. Areepong Bhoocha-Oom Dato' John Chong Eng Chuan Dato' Philip Tan Puay Koon Alina Chiew Bee Geok (appointed on 15 January 2026) Dato' Abdul Hamid bin Sheikh Mohamed (resigned on 26 October 2025) Goh Ching Yin (resigned on 25 July 2025)
Maybank IBG Holdings Limited	Aditya Laroia Lee Lian Soon
Maybank Securities Pte. Ltd.	Goh Ching Yin Oh Lau Chong Jin Lee Han Eng, Alvin Chong Wee Yeat (appointed on 1 February 2026) Soon Kwo Chuan, Christopher (resigned on 1 February 2026)
PT Maybank Sekuritas Indonesia	Dato' Abdul Hamid bin Sheikh Mohamed Budhi Dyah Sitawati (appointed on 4 June 2025) Umar Juoro (appointed on 4 June 2025) I Nyoman Tjager (resigned on 4 June 2025) Deswandhy Agusman (resigned on 4 June 2025)
Maybank Securities (Thailand) Public Company Limited	Dr. Areepong Bhoocha-Oom Hans Johan Patrik Sandin Arapat Sankharat Ricardo Nicanor Jacinto Oh Lau Chong Jin Manpong Senanarong (appointed on 9 April 2025) Sopawadee Lertmanaschai (resigned on 9 April 2025)
Maybank Securities (London) Limited	Leonard White Ahmad Hamdi bin Abdullah Tengku Ariff Azhar bin Tengku Mohamed Farhan Nor Diyana binti Samsudin (resigned on 1 December 2025)
Maybank Securities USA Inc.	Ahmad Hamdi bin Abdullah

66. DIRECTORS OF SUBSIDIARIES OF THE GROUP (CONT'D.)

The following is the list of directors who served on the Boards of the subsidiaries of the Group since the beginning of the current financial year to the date of the directors' report (cont'd.):

Name of Company	Name of Directors
MIB Securities India Private Limited	Jigar Shah Aditya Laroia Ezrina binti Mahadzir
MIB Finance (Hong Kong) Limited	Chan Cheung Hung Li Jia You, Leo (appointed on 8 September 2025) Tengku Ariff Azhar bin Tengku Mohamed (resigned on 8 September 2025)
Maybank Research Pte. Ltd.	Ong Seng Yeow Shrianand Pathmakanthan
MIB Securities (Hong Kong) Limited	Chan Cheung Hung Li Jia You, Leo (appointed on 8 September 2025) Leung Wai Lan, Ausca (appointed on 8 September 2025) Felino James Marcelo (resigned on 8 September 2025) Tengku Ariff Azhar bin Tengku Mohamed (resigned on 8 September 2025)
MIB Futures (Hong Kong) Limited	Chan Cheung Hung Li Jia You, Leo
Maybank Capital Inc.	Ricardo Nicanor Jacinto Daniel Gabriel M. Montecillo Dato' Sri Sharifah Sofianny binti Syed Hussain Aurelio Noel G. Dayrit Ezrina binti Mahadzir (appointed on 2 September 2025) Jose R. Soberano III (resigned on 2 September 2025)
Maybank Securities, Inc.	Ricardo Nicanor Jacinto Daniel Gabriel M. Montecillo Alexander Ludwig L. Dauz Dato' Sri Sharifah Sofianny binti Syed Hussain Ezrina binti Mahadzir (appointed on 2 September 2025) Jose R. Soberano III (resigned on 2 September 2025)
Maybank Securities Limited	Lok Eng Hong Dr. Nguyen The Tho Dato' Philip Tan Puay Koon (appointed on 18 June 2025) Tengku Ariff Azhar bin Tengku Mohamed (appointed on 18 June 2025) Nguyen Chi Dung (appointed on 12 January 2026) Che Zakiah binti Che Din (resigned on 18 June 2025) Michael Foong Seong Yew (resigned on 18 June 2025)
Maybank Asset Management Group Berhad	Dr. Hasnita binti Hashim Goh Ching Yin Shirley Goh Kamarul Ariffin bin Mohd Jamil Dato' John Chong Eng Chuan
Maybank (Indonesia) Berhad	Loy Teck Wooi Wan Marzimin bin Wan Muhammad
Cekap Mentari Berhad	Lee Yih Hwan Mohd Amri bin Mohd Sofian

Name of Company	Name of Directors
Maybank International Trust (Labuan) Berhad	Lee Yih Hwan Mohd Amri bin Mohd Sofian
Maybank Offshore Corporate Services (Labuan) Sdn. Bhd.	Surin Segar a/l Gnanasegaram Mohd Amri bin Mohd Sofian
Maybank Trustees Berhad	Shirley Goh Surindar Kaur a/p Gian Singh Elisabeth Iype Dr. Mohd Zaini bin Aris (appointed on 21 January 2026) Datuk Hamirullah bin Boorhan (resigned on 30 June 2025)
Maybank Private Equity Sdn. Bhd.*	Ahmad Najib bin Nazlan Norazlina binti Abdul Rashid
Maybank Asset Management Sdn. Bhd.	Dr. Hasnita binti Hashim Goh Ching Yin Shirley Goh Muhammad Hishamudin bin Hamzah
Philmay Property, Inc.	Lee Yih Hwan Loy Teck Wooi Malique Firdauz bin Ahmad Sidique (resigned on 30 September 2025)
Maybank (Nominees) Sdn. Bhd.	Datuk Ekhwan bin Jani Surin Segar a/l Gnanasegaram
Maybank Nominees (Tempatan) Sdn. Bhd.	Datuk Ekhwan bin Jani Surin Segar a/l Gnanasegaram
Maybank Nominees (Asing) Sdn. Bhd.	Datuk Ekhwan bin Jani Surin Segar a/l Gnanasegaram
Maybank Nominees (Singapore) Private Limited	Chew Yew Leong David Loy Teck Wooi
Maybank Nominees (Hong Kong) Limited	Lim Kok Boon (appointed on 16 February 2026) Felino James Marcelo (resigned on 16 February 2026)
Maybank Securities Nominees (Tempatan) Sdn. Bhd.	Ezrina binti Mahadzir Allen Tan Hock Leong
Maybank Securities Nominees (Asing) Sdn. Bhd.	Ezrina binti Mahadzir Allen Tan Hock Leong
Maybank Allied Berhad	Wan Marzimin bin Wan Muhammad Mohd Amri bin Mohd Sofian
Dourado Tora Holdings Sdn. Bhd.	Lee Yih Hwan Mohd Amri bin Mohd Sofian
Aurea Lakra Holdings Sdn. Bhd.	Choong Yoke Choo Lee Yih Hwan

NOTES TO THE FINANCIAL STATEMENTS

31 DECEMBER 2025

66. DIRECTORS OF SUBSIDIARIES OF THE GROUP (CONT'D.)

The following is the list of directors who served on the Boards of the subsidiaries of the Group since the beginning of the current financial year to the date of the directors' report (cont'd.):

Name of Company	Name of Directors
KBB Properties Sdn. Bhd.	Yeoh Cheang Teik Mohd Noor bin Bahari Abdullah bin Taib
Double Care Sdn. Bhd.*	Dato' Aminuddin bin Md Desa Hans De Cuyper
Sorak Financial Holdings Pte. Ltd.	Lee Yih Hwan Loy Teck Wooi
Myfin Berhad	Loy Teck Wooi Surin Segar a/l Gnanasegaram
Maybank Alliances Sdn. Bhd.	Surin Segar a/l Gnanasegaram Mohd Amri bin Mohd Sofian
Maybank Ventures Sdn. Bhd.	Dr. Muhd Ramadhan Fitri bin Ellias (appointed on 30 September 2025) Mohamad Yasin bin Abdullah (appointed on 1 December 2025) Nor Shahrizan bin Sulaiman (resigned on 31 July 2025) Malique Firdauz bin Ahmad Sidique (resigned on 30 September 2025) Ismail bin Haron (resigned on 2 December 2025)
MIB Strategic Pte. Ltd.	Lee Sian Soon Ezrina binti Mahadzir
Maybank Properties Pte. Ltd.	Lee Yih Hwan Ezrina binti Mahadzir
MIB Investment Limited	Chan Cheung Hung Tengku Ariff Azhar bin Tengku Mohamed Lim Kok Boon (appointed on 16 February 2026) Felino James Marcelo (resigned on 16 February 2026)
Maybank Securities Nominees Pte. Ltd.	Tan Kok Kang (appointed on 15 August 2025) Lee Lian Soon (appointed on 29 August 2025) Henry Koh Swee Ong (resigned on 15 August 2025) Young Lim Koon Yang (resigned on 29 August 2025)
Maybank Asset Management Singapore Pte. Ltd.	Goh Ching Yin Lee Han Eng, Alvin Muhammad Hishamudin bin Hamzah Goh Keat Jin (resigned on 31 December 2025)
MIB Nominees (Hong Kong) Limited	Chan Cheung Hung Li Jia You, Leo
Maybank Kim Eng Properties USA Inc.	Ahmad Hamdi Abdullah
PT Prosperindo	Surin Segar a/l Gnanasegaram Narita Naziree binti Ahmad Naziree
Maybank Shared Services Sdn. Bhd.	Surin Segar a/l Gnanasegaram Lau Chee Kheong, Alan Khan Mohammed Meraj
PT Maybank Asset Management	Muhammad Hishamudin bin Hamzah (appointed on 19 September 2025) Legowo Kusumonegoro (appointed on 3 November 2025) Badrul Hisyam bin Abu Bakar (resigned on 19 September 2025) Freddy Hendradjaja (resigned on 3 November 2025)
Maybank Islamic Asset Management Sdn. Bhd.	Kamarul Ariffin bin Mohd Jamil Nadjihah binti Mohd Dzaiddin Mohamad Yasin bin Abdullah (appointed on 1 December 2025) Dato' Muzaffar Hisham (resigned on 17 May 2025)
MBB Labs Private Limited	Mohd Amri bin Mohd Sofian Kalyani Balakrishnan Nair Deepak Chandur Kewalramani (appointed on 3 July 2025) Meenakshy Ramaswamy Iyer (resigned on 3 July 2025)
Amanah Mutual Berhad	Ahmad Najib bin Nazlan Muhammad Hishamudin bin Hamzah
Etiqa Digital Solutions Sdn. Bhd.	Kamaludin bin Ahmad Lee Hin Sze Dr. Siew Chan Cheong
Philmay Holding, Inc.	Lee Yih Hwan Loy Teck Wooi Malique Firdauz bin Ahmad Sidique (resigned on 30 September 2025)

* Under members' voluntary liquidation

FINANCIAL DATA FOR SHARIAH SCREENING DISCLOSURE

Pursuant to Paragraph 9.25A of the MAIN Market Listing Requirements, below are the financial data that are relevant for the purpose of Shariah screening by the Shariah Advisory Council of the Securities Commission Malaysia. These include financial data on Shariah non-permissible income arising from the Group's business activities and interest-based financial position.

(a) Group Total Income and Total Assets

	Remarks	Group 2025 RM'000	Group 2024 RM'000
Interest income		**29,351,194**	32,769,873
Other income		**8,950,888**	8,996,273
Dividend income		**68,666**	69,727
Share of results of associates		**274,268**	236,302
Others	Income from Islamic Banking Scheme operations[1]	**8,653,273**	8,346,399
	Insurance/takaful service result[2]	**1,755,748**	1,284,513
Total income		**49,054,037**	51,703,087
Total assets		**1,053,583,593**	1,075,321,956

[1] Net of finance expenses.
[2] Net of insurance/takaful service expenses and net expenses from reinsurance contracts/retakaful certificates held.

(b) Business Activities

Shariah Non-Compliant Activities	Group 2025 RM'000	Group 2024 RM'000
Interest income	**29,351,194**	32,769,873
Conventional banking & finance and related services	**9,293,822**	9,302,302
Insurance income	**906,890**	1,158,360
Total	**39,551,906**	43,230,535

(c) Component of Financial Position

(i) Cash Component - Financial assets

	Remarks	Group 2025 RM'000	Group 2024 RM'000
Islamic Account/Instruments			
Cash at bank		**3,283**	1,853
Short-term funds		**4,960,573**	12,091,706
Deposits with licensed bank		**813,422**	985,678
Financial assets	Include Financial assets/investments and Financing and advances	**289,017,520**	260,063,147
Money market instruments		**20,774,588**	25,170,241
Total		**315,569,386**	298,312,625
Conventional Account/Instruments			
Cash at bank		**20,825,362**	25,002,070
Short-term funds		**2,538,922**	3,426,891
Deposits with licensed bank		**13,156,044**	21,249,154
Financial assets	Include Financial assets/investments and Loans, advances and financing	**553,102,298**	557,795,791
Money market instruments		**80,529,459**	92,138,459
Total		**670,152,085**	699,612,365

FINANCIAL DATA FOR SHARIAH SCREENING DISCLOSURE

(c) Component of Financial Position (cont'd.)

(ii) Debt Component

Islamic Financing	Remarks	Group 2025 RM'000	Group 2024 RM'000
Current			
Repurchase agreements		**1,829,680**	1,435,112
Bill payables		**54,494**	75,343
Islamic Commercial Papers		**547,003**	–
Non-Current			
Other Islamic financing facility	Lease liabilities in Other liabilities	**2,492**	667
Total		**2,433,669**	1,511,122

Conventional Borrowing	Remarks	Group 2025 RM'000	Group 2024 RM'000
Current			
Repurchase agreements		**23,051,264**	31,396,579
Bill payables		**1,397,901**	1,139,291
Conventional bonds		**359,843**	683,531
Commercial Papers		**3,846,158**	1,509,669
Medium term notes		**1,344,360**	2,653,597
Term loans		**5,599,458**	7,879,980
Other interest bearing debt	Includes Medium term notes in Financial liabilities at FVTPL, Subordinated obligations, Capital securities, and Lease liabilities in Other liabilities	**8,401,246**	4,695,794
Non-Current			
Repurchase agreements		**1,018,481**	–
Conventional bonds		**5,447,638**	2,696,039
Commercial Papers		**–**	114,152
Medium term notes		**8,155,436**	7,403,393
Term loans		**2,907,249**	5,319,740
Other interest bearing debt	Includes Medium term notes in Financial liabilities at FVTPL, Subordinated obligations, Capital securities, and Lease liabilities in Other liabilities	**16,088,247**	16,452,352
Total		**77,617,281**	81,944,117

www.maybank.com

Humanising
Financial Services

Maybank